

CERTIFICATION OF ENROLLMENT
ENGROSSED SUBSTITUTE SENATE BILL 5998

Chapter 268, Laws of 2026
(partial veto)

69th Legislature
2026 Regular Session

OPERATING BUDGET—SUPPLEMENTAL

EFFECTIVE DATE: April 1, 2026

Passed by the Senate March 12, 2026
Yeas 28 Nays 21

DENNY HECK
President of the Senate

Passed by the House March 12, 2026
Yeas 54 Nays 43

LAURIE JINKINS
**Speaker of the House of
Representatives**

Approved April 1, 2026 10:06 AM with
the exception of certain items that
were vetoed (see veto message).

BOB FERGUSON
Governor of the State of Washington

CERTIFICATE

I, Sarah Bannister, Secretary of
the Senate of the State of
Washington, do hereby certify that
the attached is **ENGROSSED
SUBSTITUTE SENATE BILL 5998** as
passed by the Senate and the House
of Representatives on the dates
hereon set forth.

SARAH BANNISTER

Secretary

FILED

April 1, 2026

**Secretary of State
State of Washington**

ENGROSSED SUBSTITUTE SENATE BILL 5998

AS RECOMMENDED BY THE CONFERENCE COMMITTEE

Passed Legislature - 2026 Regular Session

State of Washington

69th Legislature

2026 Regular Session

By Senate Ways & Means (originally sponsored by Senators Robinson and Nobles; by request of Office of Financial Management)

READ FIRST TIME 02/25/26.

1 AN ACT Relating to fiscal matters; amending RCW 28B.15.210,
2 28B.15.310, 28B.35.370, 28B.50.360, 28B.76.526, 29B.60.080,
3 38.40.210, 41.24.030, 41.45.060, 41.45.070, 43.07.130, 43.41.399,
4 43.43.839, 43.43.944, 43.70.250, 43.70.320, 43.79.565, 43.88.030,
5 43.88.055, 43.105.342, 43.216.828, 43.280.130, 43.330.767, 50.24.014,
6 70.168.040, 70.170.080, 70A.15.1010, 70A.65.260, 70A.200.140,
7 71A.20.170, 74.39A.032, 74.46.561, 82.87.030, 89.16.020, and
8 90.48.465; amending 2025 c 424 ss 101, 102, 103, 104, 105, 106, 107,
9 108, 109, 111, 112, 113, 114, 115, 116, 117, 118, 119, 120, 121, 122,
10 123, 124, 126, 127, 128, 129, 130, 131, 132, 133, 134, 135, 136, 137,
11 138, 139, 140, 141, 142, 143, 144, 145, 146, 147, 148, 149, 150, 151,
12 152, 153, 154, 155, 156, 157, 158, 201, 202, 203, 204, 205, 206, 207,
13 208, 209, 210, 211, 212, 213, 214, 215, 216, 217, 218, 219, 220, 221,
14 222, 223, 224, 225, 226, 227, 228, 229, 230, 231, 232, 233, 234, 235,
15 236, 237, 301, 302, 303, 304, 305, 306, 307, 308, 309, 310, 311, 312,
16 401, 402, 501, 502, 503, 504, 505, 506, 507, 508, 509, 511, 512, 513,
17 515, 516, 517, 518, 519, 520, 521, 522, 523, 601, 605, 606, 607, 608,
18 609, 610, 611, 612, 613, 614, 615, 616, 617, 618, 619, 701, 702, 704,
19 713, 719, 722, 723, 727, 709, 729, 732, 740, 726, 714, 801, 805, 901,
20 907, 909, and 913 (uncodified); adding new sections to 2025 c 424
21 (uncodified); making appropriations; and declaring an emergency.

22 BE IT ENACTED BY THE LEGISLATURE OF THE STATE OF WASHINGTON:

PART I
GENERAL GOVERNMENT

Sec. 101. 2025 c 424 s 101 (uncodified) is amended to read as follows:

FOR THE HOUSE OF REPRESENTATIVES

General Fund—State Appropriation (FY 2026)	((\$61,985,000))
	<u>\$62,240,000</u>
General Fund—State Appropriation (FY 2027)	((\$65,250,000))
	<u>\$66,649,000</u>
TOTAL APPROPRIATION.	((\$127,235,000))
	<u>\$128,889,000</u>

The appropriations in this section are subject to the following conditions and limitations: \$250,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for expenses of the joint legislative-executive committee on budget transparency and fiscal sustainability established in section 907 of this act, including any contracts authorized pursuant to section 907(4) of this act.

Sec. 102. 2025 c 424 s 102 (uncodified) is amended to read as follows:

FOR THE SENATE

General Fund—State Appropriation (FY 2026)	((\$45,521,000))
	<u>\$45,533,000</u>
General Fund—State Appropriation (FY 2027)	((\$50,984,000))
	<u>\$51,948,000</u>
TOTAL APPROPRIATION.	((\$96,505,000))
	<u>\$97,481,000</u>

The appropriations in this section are subject to the following conditions and limitations: \$250,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for expenses of the joint legislative-executive committee on budget transparency and fiscal sustainability established in section 907 of this act, including any contracts authorized pursuant to section 907(4) of this act.

Sec. 103. 2025 c 424 s 103 (uncodified) is amended to read as follows:

1 **FOR THE JOINT LEGISLATIVE AUDIT AND REVIEW COMMITTEE**

2 Performance Audits of Government Account—State

3	Appropriation.	((\$13,910,000))
4		<u>\$13,966,000</u>
5	TOTAL APPROPRIATION.	((\$13,910,000))
6		<u>\$13,966,000</u>

7 The appropriations in this section are subject to the following
8 conditions and limitations:

9 (1) Notwithstanding the provisions of this section, the joint
10 legislative audit and review committee may adjust the due dates for
11 projects included on the committee's 2025-2027 work plan as necessary
12 to efficiently manage workload.

13 (2) (a) \$400,000 of the performance audits of government account—
14 state appropriation is for the joint legislative audit and review
15 committee to review the department of children, youth, and families
16 juvenile rehabilitation programs as listed on the committee's
17 approved work plan, including:

18 (i) Review the department of children, youth, and families
19 juvenile rehabilitation program's existing processes and staffing
20 methodology used for determining adequate staffing ratios to meet the
21 confinement and rehabilitative needs of the juveniles and ensure
22 public safety;

23 (ii) Review procedures and protocols for professional
24 development, hiring and recruitment, and training for staff serving
25 youth in juvenile rehabilitation institutions, with a focus on how
26 staff are trained to implement rehabilitative practices;

27 (iii) Review youth access to programming, treatment, and services
28 including, but not limited to, educational programming, treatment and
29 services for youth experiencing substance use disorder, behavioral
30 health treatment, available reentry services such as housing, job
31 training, and other supports, access to technology services, family
32 and community connections, and other programming and services offered
33 by the department to provide youth with rehabilitation and
34 restorative interventions;

35 (iv) Review existing security and safety measures, including the
36 use of disciplinary procedures for total isolation and room
37 confinement, adopted by the department and their effectiveness in
38 meeting the unique needs of the juvenile population in the custody of
39 the department;

1 (v) Review how often and how many youth face new juvenile or
2 adult criminal offense charges, convictions, or both while residing
3 at juvenile rehabilitation institutions and potential future
4 consequences that may occur as a result such as sentence extension,
5 likelihood of recidivism, health impacts, and effects regarding
6 criminal records;

7 (vi) Assess gender equity regarding education, employment, and
8 career options for female youth;

9 (vii) Review how staffing impacts youth-on-youth conflict and
10 safety;

11 (viii) Review best practices from other states regarding security
12 and safety measures, programming opportunities, reentry supports,
13 staff training and professional development, and staffing ratios, and
14 identify options that may be feasible to adopt in Washington state to
15 increase public safety and the security, programming options,
16 treatment services, and rehabilitation mission of the department's
17 juvenile rehabilitation institutions;

18 (ix) Review the department's existing processes for responding to
19 critical incidents, including communication and cooperation with
20 local law enforcement, and identify areas for improvement; and

21 (x) Review the impacts of changes in average daily population,
22 longer lengths of stay, longer sentences, increases in maximum age of
23 release, increases in more serious offense types and adult sentences,
24 and related effects of chapter 322, Laws of 2019.

25 (b) The joint legislative audit and review committee shall report
26 its findings and recommendations to the governor and the appropriate
27 committees of the legislature by June 30, 2026. The report shall
28 include recommendations on supporting the juvenile rehabilitation
29 program's efforts to gradually move young people from carceral
30 settings to least restrictive environments to improve positive
31 reentry outcomes.

32 (3) \$400,000 of the performance audits of government account—
33 state appropriation is for the joint legislative audit and review
34 committee to evaluate the ignition interlock device revolving account
35 including the compliance and monitoring results associated with the
36 device requirements, as listed on the committee's approved work plan.
37 The evaluation must include but is not limited to the following:

38 (a) An assessment of the compliance rates for individuals with a
39 legal requirement to have an ignition interlock device installed on
40 their vehicle;

1 (b) A review of impediments of barriers to individual compliance
2 with ignition interlock device installation and use requirements;

3 (c) An examination of state and local agency performance in
4 monitoring and enforcing ignition interlock device requirements; and

5 (d) Prioritized recommendations of potential procedural, policy,
6 or statutory changes, including additional fiscal resources to state
7 or local agencies which will improve ignition interlock device
8 compliance rates. The joint legislative and audit review committee
9 must prioritize the evaluation of compliance and results associated
10 with the state's ignition interlock device requirements in its work
11 plan for the 2025-2027 fiscal biennium.

12 (4) \$150,000 of the performance audits of government account—
13 state appropriation is for the joint legislative audit and review
14 committee to review the department of natural resources long-term
15 forest health planning and sustainable harvest approach as listed on
16 the committee's approved work plan.

17 (5) Within the amount appropriated in this section, the joint
18 legislative audit and review committee shall conduct the audit
19 required under Second Substitute House Bill No. 1715 (energy
20 standard/comply cost).

21 (6)(a) The joint legislative audit and review committee shall
22 review auditing, accountability, and risk management practices across
23 Washington's state agencies. The review may consider:

24 (i) Existing internal controls, oversight processes, a sample of
25 state programs that oversee and administer grants, loans and
26 contracts, and the role of the state auditor, internal auditors
27 within agencies, and the office of financial management in preventing
28 fraud, waste, abuse, and mismanagement;

29 (ii) Gaps, weaknesses, or inefficiencies in current auditing and
30 accountability practices;

31 (iii) A comparison of Washington's auditing and accountability
32 practices to those of other states, highlighting models, strategies,
33 or tools that have proven effective elsewhere; and

34 (iv) Options for enhancing statewide accountability that are
35 produced in clear and accessible language, highlighting actionable
36 steps that could improve accountability and stewardship of public
37 funds.

38 (b) The committee shall report on the results of the performance
39 audit, including findings and recommendations, to the legislature by
40 June 30, 2027.

Sec. 104. 2025 c 424 s 104 (uncodified) is amended to read as follows:

FOR THE LEGISLATIVE EVALUATION AND ACCOUNTABILITY PROGRAM COMMITTEE

Performance Audits of Government Account—State

Appropriation.	((\$5,607,000))
	<u>\$5,627,000</u>
TOTAL APPROPRIATION.	((\$5,607,000))
	<u>\$5,627,000</u>

Sec. 105. 2025 c 424 s 105 (uncodified) is amended to read as follows:

FOR THE JOINT LEGISLATIVE SYSTEMS COMMITTEE

General Fund—State Appropriation (FY 2026).	((\$23,263,000))
	<u>\$23,261,000</u>
General Fund—State Appropriation (FY 2027).	((\$22,084,000))
	<u>\$22,213,000</u>
TOTAL APPROPRIATION.	((\$45,347,000))
	<u>\$45,474,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) Within the amounts provided in this section, the joint legislative systems committee shall provide information technology support, including but not limited to internet service, for the district offices of members of the house of representatives and the senate.

(2) \$1,003,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for purchasing IT equipment for the Pritchard building.

Sec. 106. 2025 c 424 s 106 (uncodified) is amended to read as follows:

FOR THE OFFICE OF STATE LEGISLATIVE LABOR RELATIONS

General Fund—State Appropriation (FY 2026).	((\$919,000))
	<u>\$925,000</u>
General Fund—State Appropriation (FY 2027).	((\$933,000))
	<u>\$969,000</u>
TOTAL APPROPRIATION.	((\$1,852,000))
	<u>\$1,894,000</u>

1 **Sec. 107.** 2025 c 424 s 107 (uncodified) is amended to read as
2 follows:

3 **FOR THE OFFICE OF THE STATE ACTUARY**

4	General Fund—State Appropriation (FY 2026)	\$404,000
5	General Fund—State Appropriation (FY 2027)	\$422,000
6	State Health Care Authority Administrative Account—	
7	State Appropriation.	\$318,000
8	Department of Retirement Systems Expense Account—	
9	State Appropriation.	((\$7,684,000))
10		<u>\$7,717,000</u>
11	School Employees' Insurance Administrative Account—	
12	State Appropriation.	\$265,000
13	<u>Volunteer Firefighters' and Reserve Officers'</u>	
14	<u>Administrative Account—State Appropriation.</u>	<u>\$50,000</u>
15	TOTAL APPROPRIATION.	((\$9,093,000))
16		<u>\$9,176,000</u>

17 The appropriations in this section are subject to the following
18 conditions and limitations:

19 (1) The select committee on pension policy shall study and report
20 on the tax, legal, actuarial, pension policy, and administrative
21 implications of merging the legacy pension systems as contemplated in
22 Substitute Senate Bill No. 5085 (closed retirement plans) and
23 terminating plan 1 of the law enforcement officers' and firefighters'
24 retirement system as contemplated in Substitute House Bill No. 2034
25 (LEOFF 1 restatement). The department of retirement systems, the
26 attorney general's office, the office of the state treasurer, the
27 Washington state investment board, and the office of the state
28 actuary shall provide the select committee on pension policy with
29 assistance as requested. The select committee on pension policy shall
30 submit a report to include key findings to the fiscal committees of
31 the legislature by January 9, 2026.

32 (2) \$50,000 of the volunteer firefighters' and reserve officers'
33 administrative account—state appropriation is provided solely for the
34 office to review the board of volunteer firefighters and reserve
35 officers relief and pension funds and evaluate whether the current
36 annual allocation of fire insurance premium tax provides sufficient
37 funding, together with member and employer contributions, to meet the
38 plan's systematic actuarial required contributions while mitigating

the risk of excess funding. The office shall provide findings to the appropriate committees of the legislature by December 31, 2026.

Sec. 108. 2025 c 424 s 108 (uncodified) is amended to read as follows:

FOR THE STATUTE LAW COMMITTEE

General Fund—State Appropriation (FY 2026)	((\$6,429,000))
	<u>\$6,226,000</u>
General Fund—State Appropriation (FY 2027)	((\$6,245,000))
	<u>\$6,506,000</u>
TOTAL APPROPRIATION	((\$12,674,000))
	<u>\$12,732,000</u>

Sec. 109. 2025 c 424 s 109 (uncodified) is amended to read as follows:

FOR THE OFFICE OF LEGISLATIVE SUPPORT SERVICES

General Fund—State Appropriation (FY 2026)	((\$6,568,000))
	<u>\$6,629,000</u>
General Fund—State Appropriation (FY 2027)	((\$6,926,000))
	<u>\$7,246,000</u>
TOTAL APPROPRIATION	((\$13,494,000))
	<u>\$13,875,000</u>

Sec. 110. 2025 c 424 s 111 (uncodified) is amended to read as follows:

FOR THE SUPREME COURT

General Fund—State Appropriation (FY 2026)	((\$15,979,000))
	<u>\$15,976,000</u>
General Fund—State Appropriation (FY 2027)	((\$16,247,000))
	<u>\$16,230,000</u>
TOTAL APPROPRIATION	((\$32,226,000))
	<u>\$32,206,000</u>

The legislature respectfully requests that by November 1, 2026, the family well-being community collaborative work group of the supreme court commission on children in foster care provide a report to the appropriate committees of the legislature regarding the work group's recommendations for court processes for child welfare cases without removal from the home.

Sec. 111. 2025 c 424 s 112 (uncodified) is amended to read as follows:

FOR THE COMMISSION ON JUDICIAL CONDUCT

General Fund—State Appropriation (FY 2026)	((\$2,935,000))
	<u>\$2,934,000</u>
General Fund—State Appropriation (FY 2027)	((\$2,863,000))
	<u>\$2,880,000</u>
TOTAL APPROPRIATION	((\$5,798,000))
	<u>\$5,814,000</u>

Sec. 112. 2025 c 424 s 113 (uncodified) is amended to read as follows:

FOR THE COURT OF APPEALS

General Fund—State Appropriation (FY 2026)	((\$27,987,000))
	<u>\$27,976,000</u>
General Fund—State Appropriation (FY 2027)	((\$28,640,000))
	<u>\$28,629,000</u>
TOTAL APPROPRIATION	((\$56,627,000))
	<u>\$56,605,000</u>

***Sec. 113.** 2025 c 424 s 114 (uncodified) is amended to read as follows:

FOR THE ADMINISTRATOR FOR THE COURTS

General Fund—State Appropriation (FY 2026)	((\$108,147,000))
	<u>\$108,793,000</u>
General Fund—State Appropriation (FY 2027)	((\$109,947,000))
	<u>\$115,553,000</u>
General Fund—Federal Appropriation	\$2,209,000
General Fund—Private/Local Appropriation	\$681,000
Judicial Stabilization Trust Account—State Appropriation	((\$36,639,000))
	<u>\$37,784,000</u>
Judicial Information Systems Account—State Appropriation	((\$79,530,000))
	<u>\$83,437,000</u>
Opioid Abatement Settlement Account—State Appropriation	\$940,000
TOTAL APPROPRIATION	((\$338,093,000))
	<u>\$349,397,000</u>

1 The appropriations in this section are subject to the following
2 conditions and limitations:

3 (1) The distributions made under this section and distributions
4 from the county criminal justice assistance account made pursuant to
5 section 801 of this act constitute appropriate reimbursement for
6 costs for any new programs or increased level of service for purposes
7 of RCW 43.135.060.

8 (2)(a) \$2,000,000 of the general fund—state appropriation for
9 fiscal year 2026 and \$2,000,000 of the general fund—state
10 appropriation for fiscal year 2027 are provided solely for
11 distribution to county juvenile court administrators for the costs
12 associated with processing and case management of truancy, children
13 in need of services, and at-risk youth referrals. The administrator
14 for the courts, in conjunction with the juvenile court
15 administrators, shall develop an equitable funding distribution
16 formula. The formula must neither reward counties with higher than
17 average per-petition/referral processing costs nor shall it penalize
18 counties with lower than average per-petition/referral processing
19 costs.

20 (b) Each fiscal year during the 2025-2027 fiscal biennium, each
21 county shall report the number of petitions processed and the total
22 actual costs of processing truancy, children in need of services, and
23 at-risk youth petitions. Counties shall submit the reports to the
24 administrator for the courts no later than 45 days after the end of
25 the fiscal year. The administrator for the courts shall
26 electronically transmit this information to the chairs and ranking
27 minority members of the house of representatives and senate fiscal
28 committees no later than 60 days after a fiscal year ends. These
29 reports are informational in nature and are not for the purpose of
30 distributing funds.

31 (c) In the report required under this subsection for fiscal year
32 2026, the administrator for the courts shall additionally recommend
33 reforms to the distribution of costs associated with processing and
34 case management of truancy, children in need of services, and at-risk
35 youth referrals that would:

- 36 (i) Improve outcomes for children in the juvenile court system;
37 (ii) More efficiently cover costs for juvenile court
38 administrators;
39 (iii) Reduce abuses of the juvenile court system; and

1 (iv) Provide more efficient use of state dollars in the juvenile
2 court system.

3 (3) \$3,000,000 of the general fund—state appropriation for fiscal
4 year 2027 is provided solely for distribution to superior courts
5 (juvenile court administrators) for early intervention and prevention
6 services that support and provide direct and wrap-around services for
7 truant and at-risk youth, children in need of services, and their
8 families. The administrator for the courts, in conjunction with the
9 juvenile court administrators, shall develop an equitable funding
10 distribution formula. Funding must be used solely for services for
11 youth in the county juvenile justice system, which may include
12 staffing used to provide direct services to youth, but may not be
13 used for general court staff salaries.

14 (4) ((~~\$6,000,000~~)) \$6,625,000 of the judicial stabilization trust
15 account—state appropriation is provided solely for distribution to
16 local courts for costs associated with the court-appointed attorney
17 and visitor requirements set forth in the uniform guardianship act,
18 chapter 11.130 RCW. If the amount provided in this subsection is
19 insufficient to fully fund the local court costs, distributions must
20 be reduced on a proportional basis to ensure that expenditures remain
21 within the available funds provided in this subsection.

22 ((~~+4~~)) (5) \$500,000 of the general fund—state appropriation for
23 fiscal year 2026 and \$500,000 of the general fund—state appropriation
24 for fiscal year 2027 are provided solely for the administrative
25 office of the courts to use as matching funds to distribute to small
26 municipal and county courts, located in a rural county as defined in
27 RCW 43.160.020, for the purpose of increasing security for court
28 facilities. Grants must be used solely for security equipment and
29 services for municipal, district, and superior courts and may not be
30 used for staffing or administrative costs.

31 ((~~+5~~)) (6) \$5,937,000 of the judicial stabilization trust
32 account—state appropriation is provided solely to establish a direct
33 refund process to individuals to refund legal financial obligations,
34 collection costs, and document-verified costs paid to third parties
35 previously paid by defendants whose convictions have been vacated by
36 court order due to the *State v. Blake* ruling. Superior court clerks,
37 district court administrators, and municipal court administrators
38 must certify and send to the office the amount of any refund ordered
39 by the court. The court order must either contain the amount of the

1 refund or provide language for the clerk or court administrator to
2 certify to the office the amount to be refunded to the individual.

3 ~~((+6))~~ (7) \$870,000 of the general fund—state appropriation for
4 fiscal year 2026 and \$870,000 of the general fund—state appropriation
5 for fiscal year 2027 are provided solely for activities of the office
6 relating to the resentencing or vacating convictions of individuals
7 and refund of legal financial obligations and costs associated with
8 the *State v. Blake* ruling. In addition to contracting with cities and
9 counties for the disbursement of funds appropriated for resentencing
10 costs, the office must:

11 (a) Collaborate with superior court clerks, district court
12 administrators, and municipal court administrators to prepare
13 comprehensive reports, based on available court records, of all cause
14 numbers impacted by *State v. Blake* going back to 1971. Such reports
15 must include the refund amount related to each cause number;

16 (b) In collaboration with the office of public defense and the
17 office of civil legal aid, establish a process that can be used by
18 individuals seeking a refund, provide individuals information
19 regarding the application process necessary to claim a refund, and
20 issue payments from the refund bureau to individuals certified in
21 subsection ~~((+5))~~ (6) of this section; and

22 (c) Collaborate with counties and municipalities to adopt
23 standard coding for application to *State v. Blake* convictions and to
24 develop a standardized practice regarding vacated convictions.

25 ~~((+7))~~ (8) \$7,563,000 of the judicial stabilization trust
26 account—state appropriation is provided solely to assist counties and
27 cities with costs of complying with the *State v. Blake* decision that
28 arise from their role in operating the state's criminal justice
29 system, including resentencing, vacating prior convictions for simple
30 drug possession, to include cannabis and possession of paraphernalia,
31 and certifying refunds of legal financial obligations and collections
32 costs. The office shall contract with counties and cities for
33 judicial, clerk, defense, and prosecution expenses for these purposes
34 if requested by a county or city. A county or city may designate the
35 office to use available funding to administer a vacate process, or a
36 portion of the vacate process, on behalf of the county or city. The
37 office must collaborate with counties and cities to adopt standard
38 coding for application to *Blake* convictions and to develop a
39 standardized practice regarding vacated convictions.

1 ~~((+8))~~ (9) \$4,188,000 of the judicial stabilization trust
2 account—state appropriation is provided solely for decision-making
3 assistance pursuant to chapter 267, Laws of 2024 (2SSB 5825). During
4 the fiscal biennium, in conformity with RCW 2.72.030, the
5 administrative office of the courts shall collect uniform and
6 consistent data on decision making assistance to include, but not
7 limited to: The number of requests for decision making assistance
8 received from hospitals, the number of guardianships and less
9 restrictive alternatives to guardianships provided, the support and
10 housing provided, and any other data related to case monitoring and
11 management.

12 ~~((+9))~~ (10) \$242,000 of the general fund—state appropriation for
13 fiscal year 2026 is provided solely for implementation of Engrossed
14 Second Substitute House Bill No. 1163 (firearms purchase). ~~((If the
15 bill is not enacted by June 30, 2025, the amount provided in this
16 subsection shall lapse.~~

17 ~~(10)~~ ~~\$520,000)~~ (11) \$1,040,000 of the judicial stabilization
18 trust account—state appropriation is provided solely for pilot self-
19 help centers in two courthouses, one on each side of the state.
20 Within the amount provided in this subsection, by December 31, 2026,
21 the administrator for the courts shall report to the fiscal
22 committees of the legislature on whether self-help centers should be
23 expanded to additional counties or remain in the counties selected
24 for the pilot project, or whether funding for the pilot project
25 should be discontinued at the end of the 2025-2027 fiscal biennium.

26 (12) \$249,000 of the general fund—state appropriation for fiscal
27 year 2026 and \$133,000 of the general fund—state appropriation for
28 fiscal year 2027 are provided solely for implementation of Second
29 Substitute House Bill No. 1391 (court alternatives/youth). ~~((If the
30 bill is not enacted by June 30, 2025, the amounts provided in this
31 subsection shall lapse.))~~

32 (13) \$600,000 of the general fund—state appropriation for fiscal
33 year 2026 and \$1,094,000 of the general fund—state appropriation for
34 fiscal year 2027 ~~((is))~~ are provided solely for the statewide fiscal
35 impact on Thurston county courts. It is the intent of the legislature
36 that this policy will be continued in subsequent fiscal biennia.

37 (14) \$500,000 of the general fund—state appropriation for fiscal
38 year 2026 and \$500,000 of the general fund—state appropriation for

fiscal year 2027 are provided solely to address data quality issues across Washington state court management systems.

(15) \$12,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for the administrative office of the courts for data management and research related to conducting statewide research on the proportionality of court charges in Washington state based on race and ethnicity.

(16) \$440,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for implementation of Senate Bill No. 5868 (superior court judges). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(17) \$1,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for implementation of Substitute House Bill No. 2355 (domestic workers). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(18) \$188,000 of the judicial information systems account—state appropriation is provided solely for implementation of Engrossed Second Substitute Senate Bill No. 6066 (crash prevention zones). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(19) \$11,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for implementation of Engrossed Second Substitute Senate Bill No. 6070 (recovery of missing persons). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(20) \$10,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for implementation of Substitute Senate Bill No. 5855 (law enf. face coverings) and Engrossed Substitute Senate Bill No. 6002 (driver privacy).

****Sec. 113 was partially vetoed. See message at end of chapter.***

Sec. 114. 2025 c 424 s 115 (uncodified) is amended to read as follows:

FOR THE OFFICE OF PUBLIC DEFENSE

General Fund—State Appropriation (FY 2026)	((\$83,336,000))
	<u>\$80,837,000</u>
General Fund—State Appropriation (FY 2027)	((\$84,113,000))
	<u>\$87,547,000</u>
General Fund—Private/Local Appropriation.	\$40,000

Judicial Stabilization Trust Account—State	
Appropriation.	((\$19,056,000))
	<u>\$19,054,000</u>
TOTAL APPROPRIATION.	((\$186,505,000))
	<u>\$187,478,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) \$900,000 of the general fund—state appropriation for fiscal year 2026 and \$900,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the purpose of improving the quality of trial court public defense services as authorized by chapter 10.101 RCW. The office of public defense must allocate these amounts so that \$450,000 per fiscal year is distributed to counties, and \$450,000 per fiscal year is distributed to cities, for grants under chapter 10.101 RCW.

(2) \$2,632,000 of the general fund—state appropriation for fiscal year 2026 and \$2,812,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the office of public defense to administer contracts for appellate attorneys to cover a backlog of case assignments and increasing workload associated with indigent appeals. The office shall provide training for contracted attorneys.

(3)(a) \$8,615,000 of the judicial stabilization trust account—state appropriation is provided solely to:

(i) Assist counties and cities with public defense services related to vacating the convictions of defendants and/or resentencing for defendants whose convictions or sentences are affected by the *State v. Blake* decision. The office of public defense will:

(A) Provide statewide attorney training, technical assistance, data analysis and reporting, and quality oversight, to administer financial assistance for public defense costs related to *State v. Blake* impacts;

(B) Maintain a triage team to provide statewide support to the management and flow of hearings for individuals impacted by the *State v. Blake* decision; and

(C) Assist counties and cities in providing counsel for defendants seeking to vacate a conviction and/or be resentenced under *State v. Blake*. Assistance shall be allocated to counties and cities based upon a formula established by the office of public defense. Counties may receive assistance by applying for grant funding and/or

1 designating the office of public defense to contract directly with
2 counsel. The office of public defense shall contract directly with
3 counsel to assist cities under this subsection; and

4 (ii) Administer statutory duties under RCW 2.70.200 through the
5 simple possession advocacy and representation program.

6 (b) Of the amounts provided in this subsection, the office of
7 public defense may utilize up to \$5,000 for fiscal year 2026 and
8 \$5,000 for fiscal year 2027 to address emergency needs for clients
9 served by the simple possession advocacy and representation program.
10 Temporary, limited assistance may be made available to address short
11 term urgent needs that, if unaddressed, could cause clients to miss
12 court dates or fail to engage in court-ordered services. The office
13 of public defense shall establish eligibility criteria and an
14 expedited process for reviewing financial assistance requests
15 submitted by SPAR program contractors.

16 (4) \$40,000 of the general fund—state appropriation for fiscal
17 year 2026 and \$40,000 of the general fund—state appropriation for
18 fiscal year 2027 are provided solely for the office of public defense
19 to address emergency safety assistance and other urgent needs for
20 clients served by the parents representation program. Temporary,
21 limited assistance may be made available for short-term housing,
22 utilities, transportation, food assistance, and other urgent needs
23 that, if unaddressed, could adversely impact dependency case outcomes
24 and impede successful family reunification. The office of public
25 defense shall utilize eligibility criteria and an expedited process
26 for reviewing financial assistance requests submitted by parents
27 representation program contractors.

28 (5) \$500,000 of the general fund—state appropriation for fiscal
29 year 2026 and \$500,000 of the general fund—state appropriation for
30 fiscal year 2027 are provided solely for the parents for parents
31 program, as established by RCW 2.70.060 through 2.70.090. Funds must
32 be used to maintain and improve the parents for parents service
33 model, including host organizations and county coordinators.

34 (6) \$300,000 of the general fund—state appropriation for fiscal
35 year 2026 is provided solely for the office of public defense to
36 contract with a nonprofit organization in eastern Washington
37 providing peer-led reentry services such as peer coaching, basic
38 needs, housing resources, behavioral health treatment, family
39 support, civic engagement, and voting education. The organization

1 must have a history of collaboration with the department of
2 corrections to provide trainings on trauma to individuals reentering
3 the community after incarceration. The organization shall provide
4 comprehensive trainings, resources and referrals to individuals with
5 a history of reentry from incarceration.

6 (7) (~~(\$13,600,000)~~) \$12,700,000 of the general fund—state
7 appropriation for fiscal year 2026 and (~~(\$13,600,000)~~) \$12,700,000 of
8 the general fund—state appropriation for fiscal year 2027 are
9 provided solely for the office of public defense to administer funds
10 to counties and cities pursuant to formulas established in RCW
11 10.101.050 through 10.101.080.

12 (8) \$1,808,000 of the judicial stabilization trust account—state
13 appropriation is provided solely for implementation of chapter 293,
14 Laws of 2024 (2SSB 5780).

15 (9) \$102,000 of the general fund—state appropriation for fiscal
16 year 2026 and \$102,000 of the general fund—state appropriation for
17 fiscal year 2027 are provided solely for implementation of Substitute
18 Senate Bill No. 5149 (early childhood court prg.). (~~(If the bill is~~
19 ~~not enacted by June 30, 2025, the amounts provided in this subsection~~
20 ~~shall lapse.))~~

21 **Sec. 115.** 2025 c 424 s 116 (uncodified) is amended to read as
22 follows:

23 **FOR THE OFFICE OF CIVIL LEGAL AID**

24	General Fund—State Appropriation (FY 2026)	((\$66,083,000))
25		<u>\$66,084,000</u>
26	General Fund—State Appropriation (FY 2027)	((\$64,483,000))
27		<u>\$69,355,000</u>
28	Judicial Stabilization Trust Account—State	
29	Appropriation	\$1,464,000
30	TOTAL APPROPRIATION	((\$132,030,000))
31		<u>\$136,903,000</u>

32 The appropriations in this section are subject to the following
33 conditions and limitations:

34 (1) \$8,611,000 of the general fund—state appropriation for fiscal
35 year 2026 and (~~(\$8,611,000)~~) \$9,430,000 of the general fund—state
36 appropriation for fiscal year 2027 are provided solely for the
37 appointed counsel program for children and youth in dependency cases
38 under RCW 13.34.212(3) in accordance with revised practice, caseload,

1 and training standards adopted by the supreme court commission on
2 children in foster care. The amounts provided in this subsection
3 includes funding for implementation of Senate Bill No. 5761
4 (dependency/attorney appt.).

5 (2) \$2,579,000 of the general fund—state appropriation for fiscal
6 year 2026 and \$2,579,000 of the general fund—state appropriation for
7 fiscal year 2027 are provided solely for the provision of civil legal
8 information, advice, and representation for tenants at risk of
9 eviction but not yet eligible for appointed counsel services under
10 RCW 59.18.640.

11 (3) \$19,612,000 of the general fund—state appropriation for
12 fiscal year 2026 and (~~(\$16,898,000)~~) \$19,898,000 of the general fund—
13 state appropriation for fiscal year 2027 are provided solely for the
14 appointed counsel program for tenants in unlawful detainer cases
15 established in RCW 59.18.640. The office of civil legal aid shall
16 assign priority to providing legal representation to indigent tenants
17 in those counties in which the most evictions occur and to indigent
18 tenants who are disproportionately at risk of eviction, as provided
19 in RCW 59.18.640.

20 (4) An amount not to exceed \$40,000 of the general fund—state
21 appropriation for fiscal year 2026 and an amount not to exceed
22 \$40,000 of the general fund—state appropriation for fiscal year 2027
23 may be used to provide telephonic legal advice and assistance to
24 otherwise eligible persons who are 60 years of age or older on
25 matters authorized by RCW 2.53.030(2) (a) through (k) regardless of
26 household income or asset level.

27 (5) \$604,000 of the general fund—state appropriation for fiscal
28 year 2026 and \$607,000 of the general fund—state appropriation for
29 fiscal year 2027 are provided solely to the office of civil legal aid
30 to maintain a kinship care legal advice phone line and support
31 program. The program provides guidance and legal advice to kinship
32 caregivers on topics including kinship care, guardianship, the child
33 welfare system, and issues related to child custody.

34 (6) \$2,000,000 of the general fund—state appropriation for fiscal
35 year 2026 and \$2,000,000 of the general fund—state appropriation for
36 fiscal year 2027 are provided solely for the office of civil legal
37 aid to continue civil legal aid services for survivors of domestic
38 violence, including legal services for protection order proceedings,
39 family law cases, immigration assistance, and other civil legal

1 issues arising from or related to the domestic violence they
2 experienced.

3 (7) \$1,007,000 of the general fund—state appropriation for fiscal
4 year 2026 and (~~(\$1,022,000)~~) \$1,272,000 of the general fund—state
5 appropriation for fiscal year 2027 are provided solely for the office
6 of civil legal aid to continue the statewide reentry legal aid
7 project as established in section 115(12), chapter 357, Laws of 2020.

8 (8) \$204,000 of the general fund—state appropriation for fiscal
9 year 2026 and \$204,000 of the general fund—state appropriation for
10 fiscal year 2027 is provided solely for implementation of chapter
11 328, Laws of 2024 (E2SSB 6109).

12 (9) \$783,000 of the general fund—state appropriation for fiscal
13 year 2026 and (~~(\$783,000)~~) \$1,566,000 of the general fund—state
14 appropriation for fiscal year 2027 are provided solely for the office
15 of civil legal aid to establish a program for the provision of civil
16 legal services to medicaid-eligible long-term care residents being
17 discharged from a provider-owned setting.

18 **Sec. 116.** 2025 c 424 s 117 (uncodified) is amended to read as
19 follows:

20 **FOR THE OFFICE OF THE GOVERNOR**

21	General Fund—State Appropriation (FY 2026)	((\$23,479,000))
22		<u>\$23,752,000</u>
23	General Fund—State Appropriation (FY 2027)	((\$23,590,000))
24		<u>\$23,478,000</u>
25	<u>General Fund—Private/Local Appropriation.</u>	<u>\$634,000</u>
26	Economic Development Strategic Reserve Account—State	
27	Appropriation.	\$2,215,000
28	GOV Central Service Account—State Appropriation. . .	((\$20,473,000))
29		<u>\$20,653,000</u>
30	Performance Audits of Government Account—State	
31	Appropriation.	\$854,000
32	TOTAL APPROPRIATION.	((\$70,611,000))
33		<u>\$71,586,000</u>

34 The appropriations in this section are subject to the following
35 conditions and limitations:

36 (1) \$1,146,000 of the general fund—state appropriation for fiscal
37 year 2026 and \$1,146,000 of the general fund—state appropriation for

1 fiscal year 2027 are provided solely for the office of the education
2 ombuds.

3 (2) \$20,473,000 of the GOV central service account—state
4 appropriation is provided solely for the office of equity.

5 (3) \$1,187,000 of the general fund—state appropriation for fiscal
6 year 2026 and \$1,187,000 of the general fund—state appropriation for
7 fiscal year 2027 are provided solely for implementation of Substitute
8 House Bill No. 1272 (children in crisis program). (~~If the bill is~~
9 ~~not enacted by June 30, 2025, the amounts provided in this subsection~~
10 ~~shall lapse.~~)) Within amounts provided in this subsection:

11 (a) (~~(\$1,136,000)~~) \$1,000,000 of the general fund—state
12 appropriation for fiscal year 2026 and (~~(\$1,137,000)~~) \$1,000,000 of
13 the general fund—state appropriation for fiscal year 2027 are
14 provided solely for flexible funding to support children in crisis.
15 Uses of the flexible funding include, but are not limited to:

16 (i) Residential, housing, or wraparound supports that facilitate
17 the safe discharge of children in crisis from hospitals;

18 (ii) Support for families and caregivers to mitigate the risk of
19 a child going into or returning to a state of crisis;

20 (iii) Respite and relief services for families and caregivers
21 that would assist in the safe discharge of a child in crisis from a
22 hospital, or prevent or mitigate a child's future hospitalization due
23 to crisis; or

24 (iv) Any support or service that would expedite a safe discharge
25 of a child in crisis from an acute care hospital or that would
26 prevent or mitigate a child's future hospitalization due to crisis.

27 (b) Flexible funding expenditures may not be used for
28 administrative expenses.

29 (c) The project director in Substitute House Bill No. 1272
30 (children in crisis program) must approve any expenditures of
31 flexible funding.

32 (4) Within the amounts appropriated in this section, the
33 Washington state office of equity must cofacilitate the Washington
34 digital equity forum with the statewide broadband office.

35 (5) \$328,000 of the general fund—state appropriation for fiscal
36 year 2026 and \$318,000 of the general fund—state appropriation for
37 fiscal year 2027 are provided solely for implementation of Senate
38 Bill No. 5032 (juvenile rehab ombuds). (~~If the bill is not enacted~~

~~by June 30, 2025, the amounts provided in this subsection shall lapse.))~~

(6) \$7,000 of the general fund—state appropriation for fiscal year 2026 and \$7,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of Senate Bill No. 5199 (DCYF oversight board comp.). ~~((If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.))~~

(7)(a) \$240,000 of the general fund—state appropriation for fiscal year 2026 and \$100,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the governor to invite federally recognized tribes, local governments, agricultural producers, commercial and recreational fisher organizations, business organizations, salmon recovery organizations, forestry and agricultural organizations, and environmental organizations to participate in a process facilitated by an independent entity to develop recommendations on proposed changes in policy and spending priorities to improve riparian habitat to ensure salmon and steelhead recovery.

(i) The independent entity must develop recommendations on furthering riparian funding and policy including, but not limited to, strategies that can attract private investment in improving riparian habitat and developing a regulatory or compensation strategy if voluntary programs do not achieve concrete targets.

(ii) Preliminary recommendations shall be submitted to the legislature and governor by June 1, 2026, with a final report by November 15, 2026.

(b) The amounts provided in fiscal year 2027 are provided solely for the task force to develop proposals to implement the recommendations submitted in (a) of this subsection. The independent entity must convene a group of interested members of the legislature to provide the task force with background information regarding the recommendations submitted to the legislature, and to support the development of the implementation proposals. A report outlining the implementation proposals is due to the governor and the appropriate committees of the legislature by November 15, 2026.

(c) The office of the governor may contract for an independent facilitator. The contract is exempt from the competitive procurement requirements in chapter 39.26 RCW.

1 (8) \$234,000 of the general fund—private/local appropriation is
2 provided solely for implementation of Second Substitute House Bill
3 No. 2429 (youth behavioral health). If the bill is not enacted by
4 June 30, 2026, the amount provided in this subsection shall lapse.

5 (9) (a) Within the amounts appropriated in this section, the
6 governor or the governor's staff designee shall, in alignment with
7 the Washington thriving strategic plan developed under RCW
8 74.09.4951(6), convene a work group of representatives from the
9 health care authority, the department of children, youth, and
10 families, the department of social and health services, and the
11 department of health to address the rise in the number of child
12 welfare critical incidents. The work group shall:

13 (i) Coordinate to identify all available substance use disorder
14 treatment options for families receiving child welfare services as
15 defined in RCW 74.13.020 and child protective services as defined in
16 RCW 26.44.020;

17 (ii) Establish a process to make substance use disorder treatment
18 options for families receiving child welfare services as defined in
19 RCW 74.13.020 and child protective services as defined in RCW
20 26.44.020 readily available to child welfare workers as defined in
21 RCW 74.14B.010;

22 (iii) Establish a process for child welfare workers as defined in
23 RCW 74.14B.010 to identify the unmet treatment needs of families they
24 are working with;

25 (iv) Identify resources that would allow families receiving child
26 welfare services and child protection services to obtain readily
27 available access to:

28 (A) Medication-assisted treatment;

29 (B) Medications for opioid use disorder; and

30 (C) Family-centered residential and intensive outpatient
31 treatment; and

32 (v) Identify policy or statutory barriers to substance use
33 disorder treatment options for families receiving child welfare
34 services as defined in RCW 74.13.020 and child protective services as
35 defined in RCW 26.44.020 and provide publicly available information
36 regarding these barriers and possible solutions to overcome these
37 barriers.

38 (b) By December 1, 2026, the work group shall report to the
39 appropriate committees of the legislature regarding its findings and
40 any recommendations.

(10) \$430,000 of the general fund—state appropriation for fiscal year 2026 and \$430,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the office of corrections ombuds to provide staffing for the construction training pathways oversight committee, established in RCW 43.06C.700.

Sec. 117. 2025 c 424 s 118 (uncodified) is amended to read as follows:

FOR THE LIEUTENANT GOVERNOR

General Fund—State Appropriation (FY 2026)	((\$1,356,000))
	<u>\$1,471,000</u>
General Fund—State Appropriation (FY 2027)	((\$1,416,000))
	<u>\$1,544,000</u>
General Fund—Private/Local Appropriation	\$90,000
TOTAL APPROPRIATION	((\$2,862,000))
	<u>\$3,105,000</u>

The appropriations in this section are subject to the following conditions and limitations: Within the amounts appropriated in this section, the office of the lieutenant governor shall conduct a review of retail or commercial properties with substantial potential for redevelopment as residential or mixed-use properties providing market rate and affordable housing supply, and identify state or local legislative actions that would reduce costs and accelerate delivery of new housing supply. The office shall solicit letters of interest from the owners or developers of such properties to be received no later than September 1, 2025. By December 1, 2025, the office must review the letters of interest and submit a report to the appropriate committees of the legislature identifying state or local legislative actions including, but not limited to, regulatory and tax incentives, permit streamlining, infrastructure assistance, support for local development agreements, or other actions that would accelerate delivery and reduce costs of new housing supply.

Sec. 118. 2025 c 424 s 119 (uncodified) is amended to read as follows:

FOR THE PUBLIC DISCLOSURE COMMISSION

General Fund—State Appropriation (FY 2026)	((\$4,501,000))
	<u>\$4,499,000</u>
General Fund—State Appropriation (FY 2027)	((\$5,851,000))

1		<u>\$4,397,000</u>
2	Public Disclosure Transparency Account—State	
3	Appropriation.	((\$3,208,000))
4		<u>\$4,708,000</u>
5	TOTAL APPROPRIATION.	((\$13,560,000))
6		<u>\$13,604,000</u>

7 The appropriations in this section are subject to the following
8 conditions and limitations:

9 (1) No moneys may be expended from the appropriations in this
10 section to establish an electronic directory, archive, or other
11 compilation of political advertising unless explicitly authorized by
12 the legislature.

13 (2) \$2,170,000 of the public disclosure transparency account—
14 state appropriation is provided solely for the public disclosure
15 commission for the purpose of improving the ability of the public to
16 access information about political campaigns, lobbying, and elected
17 officials, and facilitating accurate and timely reporting by the
18 regulated community. The commission must report to the office of
19 financial management and fiscal committees of the legislature by
20 October 31st of each year detailing information on the public
21 disclosure transparency account. The report shall include, but is not
22 limited to:

23 (a) An investment plan of how funds would be used to improve the
24 ability of the public to access information about political
25 campaigns, lobbying, and elected officials, and facilitate accurate
26 and timely reporting by the regulated community;

27 (b) A list of active projects as of July 1st of the fiscal year.
28 This must include a breakdown of expenditures by project and expense
29 type for all current and ongoing projects;

30 (c) A list of projects that are planned in the current and
31 following fiscal year and projects the commission would recommend for
32 future funding. The commission must identify priorities, and develop
33 accountability measures to ensure the projects meet intended
34 purposes; and

35 (d) Any other metric or measure the commission deems appropriate
36 to track the outcome of the use of the funds.

37 ***Sec. 119.** 2025 c 424 s 120 (uncodified) is amended to read as
38 follows:

FOR THE SECRETARY OF STATE

General Fund—State Appropriation (FY 2026)	((\$33,025,000))
	<u>\$33,186,000</u>
General Fund—State Appropriation (FY 2027)	((\$40,763,000))
	<u>\$43,258,000</u>
General Fund—Federal Appropriation	((\$8,822,000))
	<u>\$8,816,000</u>
Public Records Efficiency, Preservation, and Access	
Account—State Appropriation	((\$12,854,000))
	<u>\$12,890,000</u>
Charitable Organization Education Account—State	
Appropriation	\$1,305,000
Washington State Library Operations Account—State	
Appropriation	((\$14,891,000))
	<u>\$14,933,000</u>
Local Government Archives Account—State	
Appropriation	((\$11,783,000))
	<u>\$11,821,000</u>
Election Account—Federal Appropriation	\$4,499,000
Personnel Service Account—State Appropriation	((\$1,685,000))
	<u>\$1,684,000</u>
<u>Secretary of State's Revolving Nonappropriated</u>	
<u>Account—State Appropriation</u>	<u>\$2,697,000</u>
TOTAL APPROPRIATION	((\$129,627,000))
	<u>\$135,089,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) ((~~\$16,998,000~~)) \$2,498,000 of the general fund—state appropriation for fiscal year 2026 and ((~~\$21,450,000~~)) \$12,196,000 of the general fund—state appropriation for fiscal year 2027 are provided solely to reimburse counties for the state's share of primary and general election costs and the costs of conducting mandatory recounts on state measures. Counties shall be reimbursed only for those costs that the secretary of state validates as eligible for reimbursement.

(2) Any reductions to funding for the Washington talking book and Braille library may not exceed in proportion any reductions taken to the funding for the library as a whole.

1 (3) \$75,000 of the general fund—state appropriation for fiscal
2 year 2026 and \$75,000 of the general fund—state appropriation for
3 fiscal year 2027 are provided solely for humanities Washington
4 speaker's bureau community conversations.

5 (4) \$114,000 of the general fund—state appropriation for fiscal
6 year 2026 and \$114,000 of the general fund—state appropriation for
7 fiscal year 2027 are provided solely for election reconciliation
8 reporting. Funding provides for one staff to compile county
9 reconciliation reports, analyze the data, and to complete an annual
10 statewide election reconciliation report for every state primary and
11 general election. The report must be submitted annually on July 31,
12 to legislative policy and fiscal committees. The annual report must
13 include statewide analysis and by county analysis on the reasons for
14 ballot rejection and an analysis of the ways ballots are received,
15 counted, rejected and cure data that can be used by policymakers to
16 better understand election administration.

17 (5) \$870,000 of the general fund—state appropriation for fiscal
18 year 2026 (~~and~~), \$870,000 of the general fund—state appropriation
19 for fiscal year 2027, and \$1,740,000 of the secretary of state's
20 revolving account are provided solely for staff dedicated to the
21 maintenance and operations of the voter registration and election
22 management system. These staff will manage database upgrades,
23 database maintenance, system training and support to counties, and
24 triage and customer service to system users.

25 (6) \$8,000,000 of the general fund—state appropriation for fiscal
26 year 2026 and \$8,000,000 of the general fund—state appropriation for
27 fiscal year 2027 are provided solely for:

28 (a) Funding the security operations center, including identified
29 needs for expanded operations, systems, technology tools, training
30 resources;

31 (b) Additional staff dedicated to the cyber and physical security
32 of election operations at the office and county election offices;

33 (c) Expanding security assessments, threat monitoring, enhanced
34 security training; and

35 (d) Providing grants to county partners to address identified
36 threats and expand existing grants and contracts with other public
37 and private organizations such as the Washington military department,
38 national guard, private companies providing cyber security, and
39 county election offices.

1 (7) \$580,000 of the general fund—state appropriation for fiscal
2 year 2026 and \$580,000 of the general fund—state appropriation for
3 fiscal year 2027 are provided solely for the office's migration of
4 its applications and systems to Azure cloud environments, and is
5 subject to the conditions, limitations, and review requirements of
6 section 701 of this act.

7 (8) \$154,000 of the general fund—state appropriation for fiscal
8 year 2026 and \$154,000 of the general fund—state appropriation for
9 fiscal year 2027 are provided solely for the Washington state library
10 branch at Green Hill school.

11 (9) \$81,000 of the general fund—state appropriation for fiscal
12 year 2026 and \$81,000 of the general fund—state appropriation for
13 fiscal year 2027 are provided solely for intrusion detection systems
14 that prevent election security breaches.

15 (10) \$57,000 of the general fund—state appropriation for fiscal
16 year 2026 is provided solely for artifact preservation at Lakeland
17 Village.

18 (11) \$237,000 of the general fund—state appropriation for fiscal
19 year 2026 is provided solely for implementation of Senate Bill No.
20 5077 (agency voter registration). ~~((If the bill is not enacted by
21 June 30, 2025, the amount provided in this subsection shall lapse.))~~

22 (12) \$2,226,000 of the general fund—state appropriation for
23 fiscal year 2026 is provided solely for implementation of Senate
24 Joint Resolution No. 8201 (investments/LTSS accounts). ~~((If the
25 resolution is not enacted by June 30, 2025, the amount provided in
26 this subsection shall lapse.))~~

27 (13) \$189,000 of the general fund—state appropriation for fiscal
28 year 2027, \$1,259,000 of the Washington state library operations
29 account—state appropriation, and \$2,697,000 of the secretary of
30 state's revolving account—state appropriation are provided solely for
31 the activities and operations of the Washington state talking book
32 and braille library.

33 (14) \$150,000 of the general fund—state appropriation for fiscal
34 year 2026 and \$150,000 of the general fund—state appropriation for
35 fiscal year 2027 are provided solely for humanities Washington's
36 prime time family reading program. Funding must be focused on
37 utilizing instructors, and securing additional books if needed, while
38 collaborating with area libraries and schools to ensure the six-week

programs address those students who have fallen behind in reading scores and require special, small-group attention to catch up.

**Sec. 119 was partially vetoed. See message at end of chapter.*

Sec. 120. 2025 c 424 s 121 (uncodified) is amended to read as follows:

FOR THE GOVERNOR'S OFFICE OF INDIAN AFFAIRS

General Fund—State Appropriation (FY 2026)	((\$852,000))
	<u>\$851,000</u>
General Fund—State Appropriation (FY 2027)	((\$833,000))
	<u>\$836,000</u>
Climate Commitment Account—State Appropriation	((\$506,000))
	<u>\$508,000</u>
TOTAL APPROPRIATION	((\$2,191,000))
	<u>\$2,195,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) The office shall assist the department of enterprise services on providing the government-to-government training sessions for federal, state, local, and tribal government employees. The training sessions shall cover tribal historical perspectives, legal issues, tribal sovereignty, and tribal governments. Costs of the training sessions shall be recouped through a fee charged to the participants of each session. The department of enterprise services shall be responsible for all of the administrative aspects of the training, including the billing and collection of the fees for the training.

(2) The office must report to and coordinate with the department of ecology to track expenditures from climate commitment act accounts, as defined and described in RCW 70A.65.300 and chapter 173-446B WAC. If an expenditure is expected to result in greenhouse gas emission reductions, the office must use a department of ecology approved calculator tool or methodology.

Sec. 121. 2025 c 424 s 122 (uncodified) is amended to read as follows:

FOR THE COMMISSION ON ASIAN PACIFIC AMERICAN AFFAIRS

General Fund—State Appropriation (FY 2026)	((\$628,000))
	<u>\$629,000</u>
General Fund—State Appropriation (FY 2027)	((\$619,000))

1 \$623,000
2 TOTAL APPROPRIATION. ((\$1,247,000))
3 \$1,252,000

4 **Sec. 122.** 2025 c 424 s 123 (uncodified) is amended to read as
5 follows:

6 **FOR THE STATE TREASURER**

7 State Treasurer's Service Account—State
8 Appropriation. ((\$24,224,000))
9 \$25,221,000
10 TOTAL APPROPRIATION. ((\$24,224,000))
11 \$25,221,000

12 The appropriation in this section is subject to the following
13 conditions and limitations:

14 \$250,000 of the state treasurer's service account—state
15 appropriation is provided for the office to enhance local government
16 access to infrastructure financing as provided in subsections (1)
17 through (3) of this section.

18 (1) The office shall analyze how public banking tools can be
19 applied to leverage and extend existing legislative appropriations
20 for infrastructure. This analysis must include, but need not be
21 limited to, consideration of how revolving loan funds such as the
22 public works assistance account, the clean water state revolving
23 fund, and the drinking water state revolving fund, can be leveraged.
24 Agencies that administer local government infrastructure funding,
25 such as the public works board and the departments of commerce,
26 ecology, and health, are encouraged to collaborate with the office in
27 this analysis. Examples of public banking tools that the office may
28 consider include tax-exempt and taxable revenue bonds, credit
29 enhancements, certificates of participation, and local government
30 investment pools.

31 (2) The office must conduct outreach to local governments to
32 identify any barriers they are facing in accessing current
33 infrastructure financing programs and any additional administrative,
34 governance, educational, or other tools that they identify as
35 potentially helpful in accessing financing. The outreach should also
36 identify any gaps in current funding programs for infrastructure that
37 could be addressed to help local governments address their
38 communities' infrastructure needs.

(3) The office must provide an update with any recommendations to the relevant committees of the legislature by June 30, 2027.

Sec. 123. 2025 c 424 s 124 (uncodified) is amended to read as follows:

FOR THE STATE AUDITOR

General Fund—State Appropriation (FY 2026)	\$723,000
General Fund—State Appropriation (FY 2027)	((\$737,000))
	<u>\$739,000</u>
Auditing Services Revolving Account—State	
Appropriation	((\$18,024,000))
	<u>\$18,130,000</u>
Performance Audits of Government Account—State	
Appropriation	((\$81,000))
	<u>\$2,944,000</u>
TOTAL APPROPRIATION	((\$19,565,000))
	<u>\$22,536,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) \$1,870,000 of the performance audit of government account—state appropriation is provided solely for staff and related costs to verify the accuracy of reported school district data submitted for state funding purposes; conduct school district program audits of state-funded public school programs; establish the specific amount of state funding adjustments whenever audit exceptions occur and the amount is not firmly established in the course of regular public school audits; and to assist the state special education safety net committee when requested.

(2) ~~((\$730,000))~~ \$663,000 of the general fund—state appropriation for fiscal year 2026 and ~~((\$730,000))~~ \$663,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for law enforcement audits pursuant to RCW 43.101.460 and 43.101.465.

(3) \$825,000 of the auditing services revolving account—state appropriation is provided solely for accountability and risk based audits.

(4) It is the intent of the legislature that savings assumed in this section from an underspend in audit services be one-time in the 2025-2027 fiscal biennium.

(5) \$1,000,000 of the performance audits of governments account—state appropriation is provided solely for a review and performance audit of the commercial shellfish program. A preliminary report is due to the policy and fiscal committees of the legislature and the governor by June 30, 2027. It is the intent of the legislature to provide funding in the 2027-2029 fiscal biennium for completion of a final report. The state auditor shall work collaboratively with the department of health and the fiscal committees of the legislature on determining the parameters and scope of the performance review and audit.

(6) \$2,000,000 of the performance audits of government nonappropriated account—state appropriation is provided to augment cybersecurity audits of state agencies and local governments with additional penetration testing through a security contractor.

Sec. 124. 2025 c 424 s 126 (uncodified) is amended to read as follows:

FOR THE ATTORNEY GENERAL

General Fund—State Appropriation (FY 2026)	((\$40,286,000))
	<u>\$40,003,000</u>
General Fund—State Appropriation (FY 2027)	((\$34,616,000))
	<u>\$38,821,000</u>
General Fund—Federal Appropriation.	((\$29,506,000))
	<u>\$29,496,000</u>
General Fund—Private/Local Appropriation.	((\$104,000))
	<u>\$254,000</u>
Public Service Revolving Account—State Appropriation.	((\$6,568,000))
	<u>\$6,610,000</u>
New Motor Vehicle Arbitration Account—State	
Appropriation.	((\$1,934,000))
	<u>\$1,945,000</u>
Medicaid Fraud Penalty Account—State Appropriation.	((\$8,735,000))
	<u>\$8,731,000</u>
Child Rescue Fund—State Appropriation.	\$200,000
Legal Services Revolving Account—State Appropriation ((\$435,096,000))	
	<u>\$436,367,000</u>
Local Government Archives Account—State	
Appropriation.	((\$1,161,000))
	<u>\$1,167,000</u>

Tobacco Prevention and Control Account—State	
Appropriation.	((\$275,000))
	<u>\$276,000</u>
TOTAL APPROPRIATION.	((\$558,481,000))
	<u>\$563,870,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) The attorney general shall report each fiscal year on actual legal services expenditures and actual attorney staffing levels for each agency receiving legal services. The report shall be submitted to the office of financial management and the fiscal committees of the senate and house of representatives no later than ninety days after the end of each fiscal year. As part of its by agency report to the legislative fiscal committees and the office of financial management, the office of the attorney general shall include information detailing the agency's expenditures for its agency-wide overhead and a breakdown by division of division administration expenses.

(2) Prior to entering into any negotiated settlement of a claim against the state that exceeds five million dollars, the attorney general shall notify the director of the office of financial management and the chairs and ranking members of the senate committee on ways and means and the house of representatives committee on appropriations.

(3) The attorney general shall annually report to the fiscal committees of the legislature all new cy pres awards and settlements and all new accounts, disclosing their intended uses, balances, the nature of the claim or account, proposals, and intended timeframes for the expenditure of each amount. The report shall be distributed electronically and posted on the attorney general's web site. The report shall not be printed on paper or distributed physically.

(4) \$1,981,000 of the general fund—state appropriation for fiscal year 2026 and \$1,981,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for multi-year arbitrations of the state's diligent enforcement of its obligations to receive amounts withheld from tobacco master settlement agreement payments.

(5) \$958,000 of the general fund—state appropriation for fiscal year 2026 (~~and \$958,000 of the general fund—state appropriation for fiscal year 2027 are~~) is provided solely for implementation of a

1 program for receiving and responding to tips from the public
2 regarding risks or potential risks to the safety or well-being of
3 youth, called the YES tip line program. Risks to safety or well-being
4 may include, but are not limited to, harm or threats of harm to self
5 or others, sexual abuse, assault, rape, bullying or cyberbullying,
6 substance use, and criminal acts. Any person contacting the YES tip
7 line, whether for themselves or for another person, must receive
8 timely assistance and not be turned away. The program must operate
9 within the guidelines of this subsection.

10 (a) During the development and implementation of the YES tip line
11 program the attorney general shall convene an advisory committee
12 consisting of representatives from the Washington state patrol, the
13 department of health, the health care authority, the office of the
14 superintendent of public instruction, the Washington student
15 achievement council, the Washington association of educational
16 service districts, and other participants the attorney general
17 appoints.

18 (b) The attorney general shall develop and implement policies and
19 processes for:

20 (i) Assessing tips based on the level of severity, urgency, and
21 assistance needed using best triage practices including the YES tip
22 line;

23 (ii) Risk assessment for referral of persons contacting the YES
24 tip line to service providers;

25 (iii) Threat assessment that identifies circumstances requiring
26 the YES tip line to alert law enforcement, mental health services, or
27 other first responders immediately when immediate emergency response
28 to a tip is warranted;

29 (iv) Referral and follow-up on tips to schools or postsecondary
30 institution teams, local crisis services, law enforcement, and other
31 entities;

32 (v) YES tip line information data retention and reporting
33 requirements;

34 (vi) Ensuring the confidentiality of persons submitting a tip and
35 to allow for disclosure when necessary to respond to a specific
36 emergency threat to life; and

37 (vii) Systematic review, analysis, and reporting by the YES tip
38 line program of YES tip line data including, but not limited to,
39 reporting program utilization and evaluating whether the YES tip line
40 is being implemented equitably across the state.

1 (c) The YES tip line shall be operated by a vendor selected by
2 the attorney general through a competitive contracting process. The
3 attorney general shall ensure that the YES tip line program vendor
4 and its personnel are properly trained and resourced. The contract
5 must require the vendor to be bound by confidentiality policies
6 developed by the office. The contract must also provide that the
7 state of Washington owns the data and information produced from the
8 YES tip line and that vendor must comply with the state's data
9 retention, use, and security requirements.

10 (d) The YES tip line program must develop and maintain a
11 reference and best practices tool kit for law enforcement and mental
12 health officials that identifies statewide and community mental
13 health resources, services, and contacts, and provides best practices
14 and strategies for investigators to use in investigating cases and
15 assisting youths and their parents and guardians.

16 (e) The YES tip line program must promote and market the program
17 and YES tip line to youth, families, community members, schools, and
18 others statewide to build awareness of the program's resources and
19 the YES tip line. Youth perspectives must be included and consulted
20 in tip line development and implementation including creating
21 marketing campaigns and materials required for the YES tip line
22 program. The insights of youth representing marginalized and minority
23 communities must be prioritized for their invaluable insight. Youths
24 are eligible for stipends and reasonable allowances for
25 reimbursement, lodging, and travel expenses as provided in RCW
26 43.03.220.

27 (6) \$7,000,000 of the legal services revolving fund—state
28 appropriation is provided solely for additional legal services to
29 address additional legal services necessary for dependency actions
30 where the state and federal Indian child welfare act (ICWA) apply.
31 The office must report to the fiscal committees of the legislature
32 within 90 days of the close of the fiscal year the following
33 information for new cases initiated in the previous fiscal year to
34 measure quantity and use of this funding:

35 (a) The number and ~~((proportion of))~~ percent of dependency and
36 permanency cases ((where the state and federal Indian child welfare
37 act (ICWA) applies as compared to non-ICWA new cases)) in which ICWA
38 applies as compared to those in which they do not apply; and

39 ~~((The amount of time spent advising on, preparing for court,~~
40 ~~and litigating issues and elements related to ICWA's requirements as~~

1 ~~compared to the amount of time advising on, preparing for court, and~~
2 ~~litigating issues and elements that are not related to ICWA's~~
3 ~~requirements;~~

4 ~~(c) The length of state and federal Indian child welfare act~~
5 ~~cases as compared to non-ICWA cases measured by time or number of~~
6 ~~court hearings; and~~

7 ~~(d) Any other information or metric the office determines is~~
8 ~~appropriate to measure the quantity and use of the funding in this~~
9 ~~subsection))~~ The amount of attorney and staff time spent on
10 dependency and permanency cases in which ICWA applies compared to
11 time spent on dependency and permanency cases in which ICWA does not
12 apply.

13 (7) \$689,000 of the general fund—state appropriation for fiscal
14 year 2026 and \$689,000 of the general fund—state appropriation for
15 fiscal year 2027 are provided solely for legal services related to
16 the defense of the state and its agencies in a federal environmental
17 cleanup action involving the Quendall terminals superfund site.

18 (8) \$216,000 of the general fund—state appropriation for fiscal
19 year 2026 and \$216,000 of the general fund—state appropriation for
20 fiscal year 2027 are provided solely for personnel and associated
21 costs to implement and maintain functional operations such as
22 support, records management and disclosure, victim liaisons, and
23 information technology for the clemency and pardons board.

24 (9) \$905,000 of the general fund—state appropriation for fiscal
25 year 2026 and \$906,000 of the general fund—state appropriation for
26 fiscal year 2027 are provided solely for implementation of chapter
27 299, Laws of 2024 (hate crimes & bias incidents).

28 (10)(a) \$253,000 of the general fund—state appropriation for
29 fiscal year 2026 ~~((is))~~ and \$165,000 of the general fund—state
30 appropriation for fiscal year 2027 are provided solely for the office
31 of the attorney general, jointly with the department of health, to
32 operate a task force to provide recommendations to establish a
33 comprehensive public health and community-based framework to combat
34 extremism and mass violence.

35 (b) The office of the attorney general must, in consultation with
36 the department of health, appoint a minimum of 10 members to the task
37 force representing different stakeholder groups including, but not
38 limited to:

1 (i) Community organizations working to address the impacts of or
2 to assist those who are affected by extremism and mass violence;

3 (ii) Law enforcement organizations that gather data about or work
4 to combat extremism and mass violence; and

5 (iii) Public health and nonprofit organizations that work to
6 address the impacts of extremism and mass violence.

7 (c) The office of the attorney general and the department of
8 health may each have no more than one voting member on the task
9 force.

10 (d) The office of the attorney general must provide staff support
11 for the task force.

12 (e) Any reimbursement for nonlegislative members of the task
13 force is subject to chapter 43.03 RCW.

14 (f) The task force must submit a final report to the governor and
15 appropriate committees of the legislature by December 1, 2026. The
16 final report must include legislative and policy recommendations for
17 establishing the comprehensive framework.

18 (g) No aspect of this subsection should be construed as a
19 directive to alter any aspect of criminal law, create new criminal
20 penalties, or increase criminal law enforcement.

21 (11) \$107,000 of the legal services revolving fund—state
22 appropriation is provided solely for implementation of Engrossed
23 Substitute Senate Bill No. 5291 (long-term services trust). ~~((If the~~
24 ~~bill is not enacted by June 30, 2025, the amount provided in this~~
25 ~~subsection shall lapse.))~~

26 (12) \$22,000 of the legal services revolving fund—state
27 appropriation is provided solely for implementation of Substitute
28 Senate Bill No. 5149 (early childhood court prg.). ~~((If the bill is~~
29 ~~not enacted by June 30, 2025, the amount provided in this subsection~~
30 ~~shall lapse.))~~

31 (13) \$480,000 of the legal services revolving fund—state
32 appropriation is provided solely for implementation of Senate Bill
33 No. 5463 (industrial insurance/duties). ~~((If the bill is not enacted~~
34 ~~by June 30, 2025, the amount provided in this subsection shall~~
35 ~~lapse.))~~

36 (14) \$34,000 of the legal services revolving fund—state
37 appropriation is provided solely for implementation of Substitute
38 Senate Bill No. 5501 (employee driving requirement). ~~((If the bill is~~

1 ~~not enacted by June 30, 2025, the amount provided in this subsection~~
2 ~~shall lapse.))~~

3 (15) \$250,000 of the general fund—state appropriation for fiscal
4 year 2026 and \$250,000 of the general fund—state appropriation for
5 fiscal year 2027 are provided solely for the Washington state office
6 of the attorney general to support the continuation of the Washington
7 state missing and murdered indigenous women and people task force and
8 truth and healing tribal advisory committee.

9 (16) \$553,000 of the legal services revolving account—state
10 appropriation is provided solely for implementation of Engrossed
11 Second Substitute Senate Bill No. 5217 (pregnancy accommodations).
12 ~~((If the bill is not enacted by June 30, 2025, the amount provided in~~
13 ~~this subsection shall lapse.))~~

14 (17) \$45,000 of the general fund—state appropriation for fiscal
15 year 2026 is provided solely for the office to support the
16 underground economy task force created in section 906, chapter 376,
17 Laws of 2024.

18 (18) \$44,000 of the legal services revolving account—state
19 appropriation is provided solely for implementation of Second
20 Substitute House Bill No. 1409 (clean fuels program). ~~((If the bill~~
21 ~~is not enacted by June 30, 2025, the amount provided in this~~
22 ~~subsection shall lapse.))~~

23 (19) \$49,000 of the general fund—state appropriation for fiscal
24 year 2026, \$49,000 of the general fund—state appropriation for fiscal
25 year 2027, and \$58,000 of the legal services revolving account—state
26 appropriation are provided solely for implementation of Second
27 Substitute House Bill No. 1359 (criminal insanity). ~~((If the bill is~~
28 ~~not enacted by June 30, 2025, the amounts provided in this subsection~~
29 ~~shall lapse.~~

30 ~~+21+))~~ (20) \$545,000 of the legal services revolving account—
31 state appropriation is provided solely for implementation of
32 Engrossed Second Substitute House Bill No. 1163 (firearms purchase).
33 ~~((If the bill is not enacted by June 30, 2025, the amount provided in~~
34 ~~this subsection shall lapse.~~

35 ~~+22+))~~ (21) \$33,000 of the legal services revolving account—state
36 appropriation is provided solely for implementation of Second
37 Substitute House Bill No. 1524 (isolated employees). ~~((If the bill is~~
38 ~~not enacted by June 30, 2025, the amount provided in this subsection~~
39 ~~shall lapse.~~

1 ~~(23))~~ (22) \$294,000 of the public service revolving account—
2 state appropriation and \$40,000 of the legal services revolving
3 account—state appropriation are provided solely for implementation of
4 Second Substitute House Bill No. 1514 (low carbon thermal energy).
5 ~~((If the bill is not enacted by June 30, 2025, the amounts provided~~
6 ~~in this subsection shall lapse.~~

7 ~~(24))~~ (23) \$29,000 of the legal services revolving account—state
8 appropriation is provided solely for implementation of Engrossed
9 Second Substitute House Bill No. 1213 (paid family & medical leave).
10 ~~((If the bill is not enacted by June 30, 2025, the amount provided in~~
11 ~~this subsection shall lapse.~~

12 ~~(25))~~ (24) \$94,000 of the general fund—state appropriation for
13 fiscal year 2026 and \$94,000 of the general fund—state appropriation
14 for fiscal year 2027 are provided solely for implementation of Second
15 Substitute House Bill No. 1217 (residential tenants). ~~((If the bill~~
16 ~~is not enacted by June 30, 2025, the amounts provided in this~~
17 ~~subsection shall lapse.~~

18 ~~(26))~~ (25) \$394,000 of the public service revolving account—
19 state appropriation is provided solely for implementation of
20 Engrossed Substitute House Bill No. 1522 (utility wildfire
21 mitigation). ~~((If the bill is not enacted by June 30, 2025, the~~
22 ~~amount provided in this subsection shall lapse.~~

23 ~~(27))~~ (26) \$40,000 of the legal services revolving account—state
24 appropriation is provided solely for implementation of Engrossed
25 Substitute House Bill No. 1644 (working minors). ~~((If the bill is not~~
26 ~~enacted by June 30, 2025, the amount provided in this subsection~~
27 ~~shall lapse.~~

28 ~~(28))~~ (27) \$25,000 of the general fund—state appropriation for
29 fiscal year 2026 and \$25,000 of the general fund—state appropriation
30 for fiscal year 2027 are provided solely for the office of the
31 attorney general to coordinate the receipt of agency reporting
32 requirements pursuant to sections 201, 210, 219, 221, 230, 233, and
33 601 of this act.

34 (28) \$31,000 of the legal services revolving account—state
35 appropriation is provided solely for implementation of Substitute
36 House Bill No. 2355 (domestic workers). If the bill is not enacted by
37 June 30, 2026, the amount provided in this subsection shall lapse.

38 (29) \$40,000 of the general fund—state appropriation for fiscal
39 year 2026 and \$285,000 of the general fund—state appropriation for

fiscal year 2027 are provided solely for implementation of Second Substitute House Bill No. 2105 (immigrant workers). If the bill is not enacted by June 30, 2026, the amounts provided in this subsection shall lapse.

(30) \$31,000 of the legal services revolving account—state appropriation is provided solely for implementation of Second Substitute House Bill No. 2479 (unpaid wage recovery). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(31) \$1,000 of the general fund—state appropriation for fiscal year 2026 and \$1,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of Engrossed Second Substitute House Bill No. 1750 (voting rights act claims). If the bill is not enacted by June 30, 2026, the amounts provided in this subsection shall lapse.

(32) \$10,000 of the general fund—state appropriation for fiscal year 2026, \$148,000 of the general fund—state appropriation for fiscal year 2027, and \$31,000 of the legal services revolving account—state appropriation are provided solely for implementation of Engrossed Third Substitute House Bill No. 1710 (voting rights compliance). If the bill is not enacted by June 30, 2026, the amounts provided in this subsection shall lapse.

(33) \$89,000 of the legal services revolving account—state appropriation is provided solely for implementation of Engrossed Substitute Senate Bill No. 6302 (public works/finishing trade). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(34) \$193,000 of the general fund—state appropriation for fiscal year 2027 and \$22,000 of the legal services revolving account—state appropriation are provided solely for implementation of Engrossed Substitute Senate Bill No. 6002 (driver privacy). If the bill is not enacted by June 30, 2026, the amounts provided in this subsection shall lapse.

Sec. 125. 2025 c 424 s 127 (uncodified) is amended to read as follows:

FOR THE CASELOAD FORECAST COUNCIL

General Fund—State Appropriation (FY 2026)	\$2,395,000
General Fund—State Appropriation (FY 2027)	((\$2,369,000))

1		\$2,386,000
2	Workforce Education Investment Account—State	
3	Appropriation.	\$367,000
4	TOTAL APPROPRIATION.	((\$5,131,000))
5		\$5,148,000

6 The appropriations in this section are subject to the following
7 conditions and limitations:

8 (1) \$367,000 of the workforce education investment account—state
9 appropriation is provided solely to forecast the caseload for the
10 Washington college grant program.

11 (2) Within existing resources, the caseload forecast council
12 shall produce an unofficial forecast of the long-term caseload for
13 juvenile rehabilitation as a courtesy.

14 (3) Within the amounts appropriated in this section, the council
15 must forecast the number of people eligible for the apple health
16 expansion for Washington residents with incomes at or below 138
17 percent of the federal poverty level, regardless of immigration
18 status.

19 **Sec. 126.** 2025 c 424 s 128 (uncodified) is amended to read as
20 follows:

21 **FOR THE DEPARTMENT OF COMMERCE**

22 The appropriations in sections 129 through 134 (~~(of this act)~~),
23 chapter 424, Laws of 2025 and sections 127 through 132 of this act
24 are subject to the following conditions and limitations:

25 (1) Repayments of outstanding mortgage and rental assistance
26 program loans administered by the department under RCW 43.63A.640
27 shall be remitted to the department, including any current revolving
28 account balances. The department shall collect payments on
29 outstanding loans, and deposit them into the state general fund.
30 Repayments of funds owed under the program shall be remitted to the
31 department according to the terms included in the original loan
32 agreements.

33 (2) The department is authorized to suspend issuing any
34 nonstatutorily required grants or contracts of an amount less than
35 \$1,000,000 per year.

36 (3)(a) The appropriations to the department of commerce in this
37 act must be expended for the programs and in the amounts specified in
38 this act. However, after May 1, 2026, unless prohibited by this act,

the department may transfer general fund—state appropriations for fiscal year 2026 among programs after approval by the director of the office of financial management. However, the department may not transfer state appropriations that are provided solely for a specified purpose, except that provisoed amounts may be transferred among programs if they are transferred in their entirety.

(b) Within 30 days after the close of fiscal year 2026, the department must provide the office of financial management and the fiscal committees of the legislature with an accounting of any transfers under this subsection. The accounting shall include a narrative explanation and justification of the changes, along with expenditures and allotments by budget unit and appropriation, both before and after any allotment modifications or transfers. The department must also provide recommendations for revisions to appropriations to better align funding with the new budget structure for the department in this act and to eliminate the need for transfer authority in future budgets.

(4) The department must report to and coordinate with the department of ecology to track expenditures from climate commitment act accounts, as defined and described in RCW 70A.65.300 and chapter 173-446B WAC. If an expenditure is expected to result in greenhouse gas emission reductions, the department must use a department of ecology approved calculator tool or methodology.

***Sec. 127.** 2025 c 424 s 129 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF COMMERCE—COMMUNITY SERVICES

General Fund—State Appropriation (FY 2026).	((\$72,053,000))
	<u>\$82,488,000</u>
General Fund—State Appropriation (FY 2027).	((\$55,043,000))
	<u>\$77,894,000</u>
General Fund—Federal Appropriation.	((\$143,496,000))
	<u>\$150,490,000</u>
General Fund—Private/Local Appropriation.	((\$5,396,000))
	<u>\$25,000</u>
Climate Commitment Account—State Appropriation.	((\$25,005,000))
	<u>\$55,005,000</u>
<u>Community and Economic Development Fee Account—State</u>	
<u>Appropriation.</u>	<u>\$1,439,000</u>

1	Community Reinvestment Account—State Appropriation. . . .	\$60,000,000
2	Domestic Violence Co-Responder Account—State	
3	Appropriation.	\$8,326,000
4	<u>Domestic Violence Prevention Account—State</u>	
5	<u>Appropriation.</u>	<u>\$1,000,000</u>
6	Financial Fraud and Identity Theft Crimes	
7	Investigation and Prosecution Account—State	
8	Appropriation.	\$2,680,000
9	Lead Paint Account—State Appropriation.	((\$1,690,000))
10		<u>\$1,694,000</u>
11	((Opioid Abatement Settlement Account—State	
12	Appropriation.	\$200,000))
13	Prostitution Prevention and Intervention Account—	
14	State Appropriation.	\$26,000
15	TOTAL APPROPRIATION.	((\$373,915,000))
16		<u>\$441,067,000</u>

17 The appropriations in this section are subject to the following
18 conditions and limitations:

19 (1) \$9,975,000 of the general fund—state appropriation for fiscal
20 year 2026 and \$9,975,000 of the general fund—state appropriation for
21 fiscal year 2027 are provided solely for a grant to resolution
22 Washington to build statewide capacity for alternative dispute
23 resolution centers and dispute resolution programs that guarantee
24 that citizens have access to low-cost resolution as an alternative to
25 litigation.

26 (2) Within existing resources, the department shall provide
27 administrative and other indirect support to the developmental
28 disabilities council.

29 (3) \$2,000,000 of the general fund—state appropriation for fiscal
30 year 2026 and \$2,000,000 of the general fund—state appropriation for
31 fiscal year 2027 are provided solely for the Washington new Americans
32 program. The department may require a cash match or in-kind
33 contributions to be eligible for state funding.

34 (4) \$797,000 of the general fund—state appropriation for fiscal
35 year 2026 and \$797,000 of the general fund—state appropriation for
36 fiscal year 2027 are provided solely for the department to contract
37 with a private, nonprofit organization to provide developmental
38 disability ombuds services.

1 (5) \$557,000 of the general fund—state appropriation for fiscal
2 year 2026 and \$557,000 of the general fund—state appropriation for
3 fiscal year 2027 are provided solely for the department to design and
4 administer the achieving a better life experience program.

5 (6) \$9,000,000 of the general fund—state appropriation for fiscal
6 year 2026 and \$9,000,000 of the general fund—state appropriation for
7 fiscal year 2027 are provided solely for the department to contract
8 with organizations and attorneys to provide either legal
9 representation or referral services for legal representation, or
10 both, to indigent persons who are in need of legal services for
11 matters related to their immigration status. Persons eligible for
12 assistance under any contract entered into pursuant to this
13 subsection must be determined to be indigent under standards
14 developed under chapter 10.101 RCW.

15 (7) \$1,332,000 of the general fund—state appropriation for fiscal
16 year 2026 and \$1,332,000 of the general fund—state appropriation for
17 fiscal year 2027 are provided solely for the operations of the long-
18 term care ombudsman program.

19 (8) \$100,000 of the general fund—state appropriation for fiscal
20 year 2026 and \$100,000 of the general fund—state appropriation for
21 fiscal year 2027 are provided solely for the department to contract
22 with a nonprofit entity located in Seattle that focuses on poverty
23 reduction and racial equity to convene and staff a poverty reduction
24 workgroup steering committee comprised of individuals that have lived
25 experience with poverty. Funding provided in this section may be used
26 to reimburse steering committee members for travel, child care, and
27 other costs associated with participation in the steering committee.

28 (9) \$8,618,000 of the general fund—state appropriation for fiscal
29 year 2026 and (~~(\$8,618,000)~~) \$6,463,000 of the general fund—state
30 appropriation for fiscal year 2027 are provided solely for the
31 department to continue the Washington state office of firearm safety
32 and violence prevention, including the creation of a state and
33 federal grant funding plan to direct resources to cities that are
34 most impacted by community violence. Of the amounts provided in this
35 subsection:

36 (a) \$5,318,000 of the general fund—state appropriation for fiscal
37 year 2026 (~~(and \$5,318,000 of the general fund—state appropriation~~
38 ~~for fiscal year 2027 are))~~) is provided solely for grants to support
39 existing programs and capacity building for new programs providing

1 evidence-based violence prevention and intervention services to youth
2 who are at high risk to perpetrate or be victims of firearm violence
3 and who reside in areas with high rates of firearm violence as
4 provided in RCW 43.330A.050.

5 (i) Priority (~~((shall))~~) may be given to programs that partner with
6 the University of Washington, school of medicine, department of
7 psychiatry and behavioral sciences for training and support to
8 deliver culturally relevant family integrated transition services
9 through use of credible messenger advocates.

10 (ii) The office may enter into agreement with the University of
11 Washington or another independent entity with expertise in evaluating
12 community-based grant-funded programs to evaluate the grant program's
13 effectiveness.

14 (iii) The office (~~((shall))~~) may enter into agreement to provide
15 funding to the University of Washington, school of medicine,
16 department of psychiatry and behavioral sciences to directly deliver
17 trainings and support to programs providing culturally relevant
18 family integrated transition services through use of credible
19 messenger and to train a third-party organization to similarly
20 support those programs.

21 (iv) Of the amounts provided under (a) of this subsection,
22 \$250,000 of the general fund—state appropriation for fiscal year 2026
23 (~~((and \$250,000 of the general fund—state appropriation for fiscal~~
24 ~~year 2027 are))~~) is provided solely for a certified credible messenger
25 program that does work in at least three regions of Washington state
26 to train and certify credible messengers to implement a culturally
27 responsive, evidence-based credible messenger violence prevention and
28 intervention services program.

29 (b) \$500,000 of the general fund—state appropriation for fiscal
30 year 2026 (~~((and \$500,000 of the general fund—state appropriation for~~
31 ~~fiscal year 2027 are))~~) is provided to support safe storage programs
32 and suicide prevention outreach and education efforts across the
33 state.

34 (10) \$1,250,000 of the general fund—state appropriation for
35 fiscal year 2026 and \$1,250,000 of the general fund—state
36 appropriation for fiscal year 2027 are provided solely for the
37 department to administer grants to diaper banks for the purchase of
38 diapers, wipes, and other essential baby products, for distribution
39 to families in need. The department must give priority to providers

1 serving or located in marginalized, low-income communities or
2 communities of color; and providers that help support racial equity.
3 Of the amounts provided in this subsection, \$150,000 of the general
4 fund—state appropriation for fiscal year 2026 is provided solely for
5 a grant to a Federal Way-based nonprofit diaper bank.

6 (11)(a) (~~(\$25,000,000)~~) \$55,000,000 of the climate commitment
7 account—state appropriation is provided solely for the department to
8 administer grant funding through the existing (~~(network)~~) providers
9 of federal low-income home energy assistance program grantees to
10 provide low-income households with energy utility bill assistance.

11 (b) To qualify for assistance, a household must be below 80
12 percent of the area median income and living in a community that
13 experiences high environmental health disparities.

14 (c) Under the grant program, each household accessing energy bill
15 assistance must be offered an energy (~~(assessment)~~) questionnaire
16 that includes determining the household's need for clean cooling and
17 heating system upgrades that improve safety and efficiency while
18 meeting Washington's climate goals. If beneficial, households may be
19 offered grant funding to cover the replacement of inefficient,
20 outdated, or unsafe home heating and cooling systems with more energy
21 efficient electric heating and cooling technologies, such as heat
22 pumps.

23 (d) Of the amounts provided in this subsection, no more than 60
24 percent of the funding may be utilized by the department to target
25 services to multifamily residential buildings across the state that
26 experience high energy use, where a majority of the residents within
27 the building are below 80 percent of the area median income and the
28 community experiences high environmental health disparities.

29 (e) Of the amounts provided under (a) of this subsection,
30 \$5,000,000 of the climate commitment account—state appropriation is
31 provided for members of tribes or tribal organizations.

32 (f) In serving low-income households who rent or lease a
33 residence, the department must establish processes to ensure that the
34 rent for the residence is not increased and the tenant is not evicted
35 as a result of receiving assistance under the grant program.

36 (~~((f))~~) (g) The department must incorporate data collected while
37 implementing this program into future energy assistance reports as
38 required under RCW 19.405.120. The department may publish information
39 on its website on the number of furnace or heating and cooling system

1 replacements, including replacements within multifamily housing
2 units.

3 ~~((g))~~ (h) The department may utilize a portion of the funding
4 provided within this subsection to create an electronic application
5 system.

6 (12) \$140,000 of the general fund—state appropriation for fiscal
7 year 2026 and \$140,000 of the general fund—state appropriation for
8 fiscal year 2027 are provided solely for the developmental
9 disabilities council.

10 (13) \$20,000,000 of the general fund—state appropriation for
11 fiscal year 2026 ~~((is))~~, \$19,355,000 of the general fund—state
12 appropriation for fiscal year 2027, \$1,000,000 of the domestic
13 violence prevention account—state appropriation, and \$1,000,000 of
14 the domestic violence co-responder account—state appropriation are
15 provided solely for grants to crime victims service providers. The
16 department must distribute the funding in a manner that is consistent
17 with the office of crime victims advocacy's state plan. Of the
18 amounts provided in this subsection:

19 (a) \$500,000 of the general fund—state appropriation for fiscal
20 year 2027 is for grants for crime victim advocacy services for
21 victims of crimes perpetrated by juvenile offenders.

22 (b) \$1,000,000 of the domestic violence prevention account—state
23 appropriation and \$1,000,000 of the domestic violence co-responder
24 account—state appropriation are for services for victims of domestic
25 violence.

26 (14) The department may submit the report required under section
27 1115(50)(b) of this act by October 1, 2025.

28 (15) The department may submit the report required under section
29 1115(124)(d) of this act by October 1, 2025.

30 ~~((17))~~ (16) \$100,000 of the general fund—state appropriation
31 for fiscal year 2026 and \$100,000 of the general fund—state
32 appropriation for fiscal year 2027 are provided solely for the
33 department to provide grants to nonprofit organizations including,
34 but not limited to, religious nonprofits, "by and for" organizations,
35 or cultural community centers, to fund the physical security or
36 repair of such institutions. Grant recipients must substantiate that
37 their site or sites have been subject to or at risk of physical
38 attacks, threats, vandalism, or damages based on their mission,
39 ideology, or beliefs and demonstrate a need for investments in

1 physical security enhancements, construction or renovation, target
2 hardening, preparedness planning, training, or exercises.

3 ~~((+20+))~~ (17) \$125,000 of the general fund—state appropriation
4 for fiscal year 2026 and \$125,000 of the general fund—state
5 appropriation for fiscal year 2027 are provided solely for a grant to
6 a nonprofit community-based organization to provide youth mental and
7 behavioral health education and support services. Services may
8 include, but are not limited to, employment, mental health,
9 counseling, tutoring, and mentoring. The grant recipient must be a
10 community-based organization located in Granger operating a Spanish
11 language public radio station with the mission of addressing the
12 social, educational, and health needs of Spanish-speaking residents
13 of central and eastern Washington.

14 ~~((+21+))~~ (18) \$125,000 of the general fund—state appropriation
15 for fiscal year 2026 and \$125,000 of the general fund—state
16 appropriation for fiscal year 2027 are provided solely for a grant to
17 a nonprofit organization within the city of Tacoma that provides
18 social services and educational programming to assist Latino and
19 indigenous communities in honoring heritage and culture through the
20 arts, and in overcoming barriers to social, political, economic, and
21 cultural community development. Grant funding may be used for
22 activities including, but not limited to, providing family support
23 services for bilingual, bicultural clients.

24 ~~((+22+))~~ (19) \$150,000 of the general fund—state appropriation
25 for fiscal year 2026 and \$150,000 of the general fund—state
26 appropriation for fiscal year 2027 are provided solely for a grant to
27 a nonprofit organization to provide legal aid in subjects including,
28 but not limited to, criminal law and civil rights cases for
29 underserved populations focusing on Black gender-diverse communities.
30 The grant recipient must be a nonprofit organization with offices in
31 Seattle and Tacoma and with a mission to provide intersectional legal
32 and social services for Black intersex and gender-diverse communities
33 in Washington.

34 ~~((+23+))~~ (20) \$60,000,000 of the community reinvestment account—
35 state appropriation is provided solely for the department to
36 distribute grants for economic development, civil and criminal legal
37 assistance, community-based violence intervention and prevention
38 services, and reentry services programs, and to implement Engrossed
39 Second Substitute House Bill No. 2523 (community reinvestment prg.).

1 In making distributions under this subsection, the department must
2 award funds among these program areas in similar proportions to
3 awards made during the 2023-2025 fiscal biennium for these purposes.

4 ~~((+24+))~~ (21) \$125,000 of the general fund—state appropriation
5 for fiscal year 2026 and \$125,000 of the general fund—state
6 appropriation for fiscal year 2027 are provided solely for a grant to
7 a nonprofit organization to support the development of and outreach
8 for community-led mental health support groups and classes serving
9 individuals and families throughout Washington state, with special
10 focus on Latino communities, rural areas, and tribes. The grant
11 recipient must be a nonprofit organization that serves as the
12 Washington state office of a national grassroots mental health
13 organization dedicated to building better lives for individuals
14 affected by mental health conditions.

15 ~~((+25+))~~ (22) \$150,000 of the general fund—state appropriation
16 for fiscal year 2026 and \$150,000 of the general fund—state
17 appropriation for fiscal year 2027 are provided solely for the
18 department, in consultation with the state commission on African
19 American affairs, to contract with a qualified research entity to
20 conduct the Charles Mitchell and George Washington Bush study on
21 reparative action for Washington state's descendants of victims of
22 United States chattel slavery.

23 (a) The department shall verify and contract, in consultation
24 with the commission on African American affairs, that the contracted
25 research entity or research team possesses expertise in reparations,
26 historical analysis, public policy development, and must have the
27 following:

28 (i) A researcher who possesses a Ph.D. or equivalent advanced
29 degree in history, African American studies, sociology, American
30 studies, ethnic studies, law, economics, public policy, or a related
31 field with a direct focus on reparations or United States chattel
32 slavery;

33 (ii) Verifiable expertise in writing peer-reviewed academic
34 studies, publications, or policy reports related to reparations,
35 historical analysis, public policy development, or economic valuation
36 for direct descendants of United States chattel slavery victims;

37 (iii) Expertise in calculating the present value of uncompensated
38 slave labor for direct victims of United States chattel slavery;

1 (iv) Substantial knowledge of the history and doctrine of United
2 States chattel slavery reparations and the ability to develop a
3 process requiring Washington residents seeking reparations to
4 demonstrate direct descent from individuals enslaved in the United
5 States between 1776 and 1865;

6 (v) Demonstrated commitment to reviewing and recommending
7 reparations public policy;

8 (vi) Professional expertise in the field of reparative justice;

9 (vii) A composition that, to the greatest extent possible,
10 reflects the diversity of individuals with direct lived experience
11 related to the subject matter of the study; and

12 (viii) An experienced genealogist on their research team.

13 (b) The department, in consultation with the state commission on
14 African American affairs shall commission and oversee the Charles
15 Mitchell and George Washington Bush study on reparative action for
16 Washington state's descendants of victims of United States chattel
17 slavery, which shall examine the historical injustices of United
18 States chattel slavery and their enduring impact on direct
19 descendants, particularly as they relate to Washington state laws and
20 policies. The study must include, but is not limited to the
21 following:

22 (i) Identification, compilation, and synthesization of historical
23 records concerning the institution of United States chattel slavery
24 (1619-1865), including its vestiges within the laws and economic and
25 social practices of Oregon and Washington territories (1848-1889)
26 against freed persons and their direct descendants;

27 (ii) An assessment of Washington territory and the state of
28 Washington's historical and present role in perpetuating
29 discriminatory practices through laws, policies, and economic
30 structures against direct descendants of the victims of United States
31 chattel slavery, particularly in economic opportunity, education, and
32 criminal justice;

33 (iii) Appropriate reparative remedies based on study findings,
34 including, but not limited to:

35 (A) Identified highlights for contributions to federal
36 discussions on reparations, including proposed frameworks for
37 calculating and awarding reparations at the national level;

38 (B) The identification of existing Washington state laws and
39 policies that continue to disproportionately harm direct descendants

1 of United States enslaved persons and recommendations for their
2 reform or repeal;

3 (C) Proposed methods for calculating, structuring, and awarding
4 compensation, including both direct cash payments and alternative
5 measures such as enacting appropriate recommended state-level
6 investments in educational access, economic opportunity, and criminal
7 justice reforms; and

8 (D) A cost-benefit analysis for Washington state on the impact of
9 enacting appropriate, recommended reparative investments in
10 education, economic opportunity, and criminal justice for the direct
11 descendants of United States chattel slavery victims; and

12 (iv) Utilization of the social determinants of health framework,
13 as outlined by the healthy people 2030 initiative under the United
14 States department of health and human services, to assess economic,
15 educational, and social disparities with the goal of informing
16 Washington state-level policy recommendations.

17 (c) The department, in consultation with the state commission on
18 African American affairs, shall transmit the selected research entity
19 or research team's following reports:

20 (i) A preliminary report to the legislature by June 30, 2026,
21 detailing researcher qualifications, study scope, methodology, and an
22 outline plan for continued community engagement plan throughout the
23 study;

24 (ii) An interim report by December 31, 2026, providing updates on
25 the study's progress and any initial findings; and

26 (iii) A final report by June 30, 2027, presenting findings and
27 recommendations to the legislature, the governor, and Washington
28 state's federal delegation.

29 (d) The department may receive and utilize gifts, grants, or
30 endowments from public, private, or philanthropic sources for the
31 sole purpose of the study.

32 ~~((26))~~ (23) \$1,169,000 of the general fund—state appropriation
33 for fiscal year 2026 and \$1,169,000 of the general fund—state
34 appropriation for fiscal year 2027 are provided solely for
35 implementation of chapter 462, Laws of 2023 (domestic violence).

36 ~~((27) \$54,000 of the general fund—state appropriation for fiscal~~
37 ~~year 2026 and \$54,000 of the general fund—state appropriation for~~
38 ~~fiscal year 2027 are provided solely for implementation of the~~
39 ~~existing structure tax incentive program.))~~ (24) \$2,750,000 of the

general fund—state appropriation for fiscal year 2026 is provided solely for a contract with a public or private entity for the purpose of public safety and security activities related to the 2026 world cup event. Funding may be provided for law enforcement and fire department resources, emergency management, traffic control, and security at official event venues, including fields and fan activation areas.

~~((+29+))~~ (25) \$1,426,000 of the lead paint account—state appropriation is provided solely for implementation of Substitute Senate Bill No. 5494 (lead-based paint). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.~~

~~(+33+))~~ (26) \$150,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for a grant to a King county-based nonprofit that exclusively serves foreign-trained physicians to help foreign-trained physicians prepare for work in a United States clinical setting. Funds may be used to operate an educational outreach program to help medical providers and institutions understand the medical doctor: clinical experience program and for stipends for foreign-trained physicians to take medical exams and for other professional development.

~~((+38) \$8,326,000))~~ (27) \$2,326,000 of the domestic violence co-responder account—state appropriation is provided solely for implementation of Substitute House Bill No. 1498 (domestic viol. co-responders). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

(28) \$5,000,000 of the domestic violence co-responder account—state appropriation is provided solely for programs to address domestic violence, including services for victims and perpetrators of domestic violence. Of the amount provided in this subsection:

(a) \$4,000,000 of the domestic violence co-responder account—state appropriation is for grants to county prosecutor offices for victim and witness advocates and related services. The office of crime victims advocacy must, in consultation with the Washington association of prosecuting attorneys, distribute funds in a manner that prioritizes counties most adversely impacted by the relative reductions in funding attributable to chapter 449, Laws of 2023 (ESHB 1169). The office must distribute funds as expeditiously as possible.

(b) \$350,000 of the domestic violence co-responder account—state appropriation is to continue research in Washington state on the use

1 of internal family systems as a modality for domestic violence
2 intervention treatment. The department must contract with a health
3 care system affiliated with a university that has received state
4 funding to conduct research in Washington state on the use of
5 internal family systems as a modality for domestic violence
6 intervention treatment.

7 (c) \$400,000 of the domestic violence co-responder account—state
8 appropriation is for a contract with a research university to
9 continue a randomized control trial comparing the strength at home
10 program to standard domestic violence intervention treatment methods
11 used in Washington state. The research university must have completed
12 a randomized control trial of domestic violence intervention
13 treatment at joint base Lewis-McChord.

14 (d) \$250,000 of the domestic violence co-responder account—state
15 appropriation is for the department, in consultation with the health
16 care authority, to contract with one or more training entities for
17 the development of three separate courses of instruction related to
18 the provision of peer support services to persons who have
19 experienced domestic violence, sexual assault, or human trafficking.
20 The department shall collaborate with people with lived and living
21 experience in the development of the courses. The courses must
22 supplement the instruction received by certified peer support
23 specialists and incorporate competencies that are typically taught in
24 training programs for victim advocates, including safety planning; a
25 foundational understanding of domestic violence, sexual assault, or
26 human trafficking, as applicable; and advocacy across legal, medical,
27 social services, and other systems.

28 (e) Any funds not expended under (a) through (d) of this
29 subsection may be used for the domestic violence co-responder grant
30 program established in RCW 43.280.135.

31 **(29) (a) \$500,000 of the general fund—state appropriation for**
32 **fiscal year 2027 is provided solely for a contract with a statewide**
33 **organization with a mission of developing new and innovative ways to**
34 **combat organized retail crime to implement a program to respond to**
35 **organized retail crime, with a focus on diversion-oriented programs.**

36 **(b) The contract recipient must establish three program sites.**
37 **The contract recipient must make a reasonable effort to establish at**
38 **least one site east of the Cascade mountains. No single site may use**
39 **more than \$300,000 of the funding provided under this subsection.**

(c) The contract recipient must use the funds to coordinate community efforts to enhance responses to organized retail crime within each site area. Coordination must include the following entities: Cities, counties, or affiliated associations with programs focused on diversion and restitution; local retail stores; law enforcement agencies; local prosecutors and public defense; and therapeutic courts. Funding may also be used for planning and other activities to achieve a targeted response to reported retail crimes from diversion programs or law enforcement agencies.

(d) The contract recipient must provide a report to the department by June 15, 2027, on the number of responses to retail crime and the number of diversions initiated for each site, data regarding the role of local prosecutors at each site, and opportunities and challenges in retail crime response and diversion identified by program participants. The department must submit the report to the appropriate committees of the legislature by June 30, 2027.

(30) \$300,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for the department, in coordination with the office of the governor and the department of health, to support access to protected health care services, as defined in chapter 7.115 RCW, that are at risk of disruption.

(31) \$275,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for a Washington state mentoring organization to continue its public-private partnerships providing technical assistance and training to mentoring programs that serve at-risk youth.

**Sec. 127 was partially vetoed. See message at end of chapter.*

Sec. 128. 2025 c 424 s 130 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF COMMERCE—HOUSING

General Fund—State Appropriation (FY 2026)	((\$309,054,000))
	<u>\$299,770,000</u>
General Fund—State Appropriation (FY 2027)	((\$304,114,000))
	<u>\$289,443,000</u>
General Fund—Federal Appropriation.	((\$65,412,000))
	<u>\$65,529,000</u>
General Fund—Private/Local Appropriation.	<u>\$5,832,000</u>

1	Home Security Fund Account—State Appropriation. . .	((\$248,615,000))
2		<u>\$248,705,000</u>
3	Affordable Housing for All Account—State	
4	Appropriation.	((\$91,728,000))
5		<u>\$91,835,000</u>
6	Community and Economic Development Fee Account—State	
7	Appropriation.	((\$3,448,000))
8		<u>\$2,042,000</u>
9	Apple Health and Homes Account—State Appropriation. . . .	\$6,496,000
10	Covenant Homeownership Account—State Appropriation. . .	\$200,000,000
11	Washington Housing Trust Account—State Appropriation. ((\$11,295,000))	
12		<u>\$35,408,000</u>
13	TOTAL APPROPRIATION.	((\$1,240,162,000))
14		<u>\$1,245,060,000</u>

15 The appropriations in this section are subject to the following
16 conditions and limitations:

17 (1) \$1,000,000 of the general fund—state appropriation for fiscal
18 year 2026, \$1,000,000 of the general fund—state appropriation for
19 fiscal year 2027, and \$2,000,000 of the Washington housing trust
20 account—state appropriation are provided solely for services to
21 homeless families and youth through the Washington youth and families
22 fund.

23 (2) \$1,000,000 of the general fund—state appropriation for fiscal
24 year 2026, \$1,000,000 of the general fund—state appropriation for
25 fiscal year 2027, and \$2,000,000 of the home security fund—state
26 appropriation are provided solely for the administration of the grant
27 program required in chapter 43.185C RCW, linking homeless students
28 and their families with stable housing.

29 (3) \$11,252,000 of the general fund—state appropriation for
30 fiscal year 2026 and \$11,252,000 of the general fund—state
31 appropriation for fiscal year 2027 are provided solely for housing
32 assistance, including long-term rental subsidies, permanent
33 supportive housing, and low- and no-barrier housing beds, for
34 unhoused individuals. Priority must be given to individuals with a
35 mental health disorder, substance use disorder, or other complex
36 conditions; individuals with a criminal history; and individuals
37 transitioning from behavioral health treatment facilities or local
38 jails.

1 (4) (a) \$12,500,000 of the general fund—state appropriation for
2 fiscal year 2026, \$12,500,000 of the general fund—state appropriation
3 for fiscal year 2027, and \$37,000,000 of the affordable housing for
4 all account—state appropriation are provided solely for grants to
5 support the building operation, maintenance, and service costs of
6 permanent supportive housing projects or units within housing
7 projects serving individuals and families that have or will receive
8 funding from the housing trust fund—state account or other public
9 capital funding that:

10 (i) Is dedicated as permanent supportive housing units;

11 (ii) Is occupied by low-income households with incomes at or
12 below 30 percent of the area median income; and

13 (iii) Requires a supplement to rent income to cover ongoing
14 property operating, maintenance, and service expenses.

15 (b) Permanent supportive housing projects receiving federal
16 operating subsidies that do not fully cover the operation,
17 maintenance, and service costs of the projects are eligible to
18 receive grants as described in this subsection.

19 (c) The department may use a reasonable amount of funding
20 provided in this subsection to administer the grants.

21 (d) If Engrossed Second Substitute Senate Bill No. 6027
22 (affordable housing funding) is enacted by June 30, 2026, grants
23 awarded beginning July 1, 2026, must be administered in a manner that
24 is consistent with the requirements of the bill.

25 (e) Within amounts provided in this subsection, the department
26 must provide staff support for the permanent supportive housing
27 operations, maintenance, and services forecast. The department must
28 develop a model to estimate demand for operating, maintenance, and
29 services costs for permanent supportive housing units that qualify
30 for grant funding under (a) of this subsection. The model shall
31 incorporate factors including the number of qualifying units
32 currently in operation; the number of new qualifying units assumed to
33 come online since the previous forecast and the timing of when those
34 units will become operational; the impacts of enacted or proposed
35 investments in the capital budget on the number of new potentially
36 qualifying units; the number of units supported through a grant
37 awarded under (a) of this subsection; the historical actual per unit
38 average grant awards under (a) of this subsection; reported data from
39 housing providers on actual costs for operations, maintenance, and

1 services; and other factors identified as appropriate for estimating
2 the demand for maintenance, operations, and services for qualifying
3 permanent supportive housing units. The forecast methodology,
4 updates, and methodology changes must be conducted in coordination
5 with staff from the department, the office of financial management,
6 and the appropriate fiscal committees of the legislature. The
7 forecast must be updated each February and November during the fiscal
8 biennium and the department must submit a report to the legislature
9 summarizing the updated forecast based on actual awards made under
10 (a) of this subsection and the completed construction of new
11 qualifying units.

12 (5) \$7,000,000 of the home security fund—state appropriation is
13 provided solely for the office of homeless youth prevention and
14 protection programs to:

15 (a) Expand outreach, services, and housing for homeless youth and
16 young adults including but not limited to secure crisis residential
17 centers, crisis residential centers, and HOPE beds, so that resources
18 are equitably distributed across the state;

19 (b) Contract with other public agency partners to test innovative
20 program models that prevent youth from exiting public systems into
21 homelessness; and

22 (c) Support the development of an integrated services model,
23 increase performance outcomes, and enable providers to have the
24 necessary skills and expertise to effectively operate youth programs.

25 (6) \$3,800,000 of the general fund—state appropriation for fiscal
26 year 2026 and \$3,800,000 of the general fund—state appropriation for
27 fiscal year 2027 are provided solely for the office of homeless youth
28 to build infrastructure and services to support a continuum of
29 interventions, including but not limited to prevention, crisis
30 response, and long-term housing, to reduce youth homelessness in
31 communities identified as part of the anchor community initiative.

32 (7) \$1,913,000 of the general fund—state appropriation for fiscal
33 year 2026 and \$1,912,000 of the general fund—state appropriation for
34 fiscal year 2027 are provided solely for the office of homeless youth
35 to contract with one or more nonprofit organizations to provide youth
36 services and young adult housing on a multi-acre youth campus located
37 in the city of Tacoma. Youth services include, but are not limited
38 to, HOPE beds and crisis residential centers to provide temporary
39 shelter and permanency planning for youth under the age of 18. Young

adult housing includes, but is not limited to, rental assistance and case management for young adults ages 18 to 24. The department shall submit ~~((an annual))~~ a biennial report to the legislature on the use of the funds. The report is due ~~((annually on June 30th))~~ every even year on October 31st. The report shall include but is not limited to:

(a) A breakdown of expenditures by program and expense type, including the cost per bed;

(b) The number of youth and young adults helped by each program;

(c) The number of youth and young adults on the waiting list for programs, if any; and

(d) Any other metric or measure the department deems appropriate to evaluate the effectiveness of the use of the funds.

(8)(a) \$68,550,000 of the general fund—state appropriation for fiscal year 2026 and \$68,550,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the essential needs and housing support program and related services.

(b) The department may use a portion of the funds provided in this subsection to continue the pilot program established in section 127(106), chapter 357, Laws of 2020 (addressing the immediate housing needs of low or extremely low-income elderly or disabled adults in certain counties who receive social security disability or retirement income).

(c) The department must ensure the timely redistribution of the funding provided in this subsection among entities or counties to reflect actual caseload changes as required under RCW 43.185C.220(5)(c).

(d) The department may use a portion of the funds provided in this subsection to provide housing supports for individuals enrolled in the foundational community supports initiative who are transitioning off of benefits under RCW 74.04.805 due to increased income or other changes in eligibility.

(9) \$1,000,000 of the general fund—state appropriation for fiscal year 2026, \$1,000,000 of the general fund—state appropriation for fiscal year 2027, and \$4,500,000 of the home security fund—state appropriation are provided solely for the consolidated homeless grant program. Of the amounts provided in this subsection(+-

~~(a) \$4,500,000 of the home security fund—state appropriation is provided solely for permanent supportive housing targeted at those families who are chronically homeless and where at least one member~~

~~of the family has a disability. The department will also connect these families to medicaid supportive services.~~

~~(b))~~, \$500,000 of the general fund—state appropriation for fiscal year 2026 and \$500,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for diversion services for those families and individuals who are at substantial risk of losing stable housing or who have recently become homeless and are determined to have a high probability of returning to stable housing.

(10) \$1,007,000 of the general fund—state appropriation for fiscal year 2026 and \$1,007,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the department to administer a transitional housing program for nondependent homeless youth.

(11)(a) \$2,000,000 of the general fund—state appropriation for fiscal year 2026 and \$2,000,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the office of homeless youth prevention and protection programs to administer flexible funding to serve eligible youth and young adults. The flexible funding administered under this subsection may be used for the immediate needs of eligible youth or young adults. An eligible youth or young adult may receive support under this subsection more than once.

(b) Flexible funding provided under this subsection may be used for purposes including but not limited to:

(i) Car repair or other transportation assistance;

(ii) Rental application fees, a security deposit, or short-term rental assistance;

(iii) Offsetting costs for first and last month's rent and security deposits;

(iv) Transportation costs to go to work;

(v) Assistance in obtaining photo identification or birth certificates; and

(vi) Other uses that will support the eligible youth or young adult's housing stability, education, or employment, or meet immediate basic needs.

(c) The flexible funding provided under this subsection may be provided to:

(i) Eligible youth and young adults. For the purposes of this subsection, an eligible youth or young adult is a person under age 25

1 who is experiencing or at risk of experiencing homelessness,
2 including but not limited to those who are unsheltered, doubled up or
3 in unsafe living situations, exiting inpatient programs, or in
4 school;

5 (ii) Community-based providers assisting eligible youth or young
6 adults in attaining safe and stable housing; and

7 (iii) Individuals or entities, including landlords, providing
8 safe housing or other support designed to lead to housing for
9 eligible youth or young adults.

10 (12) \$607,000 of the general fund—state appropriation for fiscal
11 year 2026 and \$607,000 of the general fund—state appropriation for
12 fiscal year 2027 are provided solely for the department to assist
13 homeowners at risk of foreclosure pursuant to chapter 61.24 RCW.
14 Funding provided in this section may be used for activities to
15 prevent mortgage or tax lien foreclosure, housing counselors, a
16 foreclosure prevention hotline, legal services for low-income
17 individuals, mediation, and other activities that promote
18 homeownership. The department may contract with other foreclosure
19 fairness program state partners to carry out this work.

20 (13) \$1,400,000 of the general fund—state appropriation for
21 fiscal year 2026 and \$1,400,000 of the general fund—state
22 appropriation for fiscal year 2027 are provided solely for the office
23 of homeless youth to administer a competitive grant process to award
24 funding to licensed youth shelters, HOPE centers, and crisis
25 residential centers to provide behavioral health support services for
26 youth in crisis, and to increase funding for current grantees.

27 (14) \$55,500,000 of the general fund—state appropriation for
28 fiscal year 2026 (~~and \$55,500,000~~), \$31,500,000 of the general fund
29 —state appropriation for fiscal year 2027, and \$24,000,000 of the
30 Washington housing trust account—state appropriation are provided
31 solely for the department to continue grant funding for emergency
32 housing and shelter capacity and associated supports such as street
33 outreach, diversion services, short-term rental assistance, hotel and
34 motel vouchers, housing search and placement, and housing stability
35 case management. Entities eligible for grant funding include local
36 governments and nonprofit entities. The department may use existing
37 programs, such as the consolidated homelessness grant program, to
38 award funding under this subsection. Grants provided under this
39 subsection must be used to maintain or increase current emergency

1 housing capacity, funded by the shelter program grant and other
2 programs, as practicable due to increased costs of goods, services,
3 and wages. Emergency housing includes transitional housing,
4 congregate or noncongregate shelter, sanctioned encampments, or
5 short-term hotel or motel stays.

6 (15)(a) \$45,050,000 of the general fund—state appropriation for
7 fiscal year 2026 and \$45,050,000 of the general fund—state
8 appropriation for fiscal year 2027 are provided solely for a targeted
9 grant program to transition persons residing in encampments to safer
10 housing opportunities, with an emphasis on ensuring individuals
11 living unsheltered reach permanent housing solutions. Eligible grant
12 recipients include local governments and nonprofit organizations
13 operating to provide housing or services. The department may provide
14 funding to state agencies to ensure individuals accessing housing
15 services are also able to access other wrap-around services that
16 enable them to obtain housing such as food, personal identification,
17 and other related services. Local government and nonprofit grant
18 recipients may use grant funding to provide outreach, housing, case
19 management, transportation, site monitoring, and other services
20 needed to assist individuals residing in encampments and on public
21 rights-of-way with moving into housing.

22 (b) When awarding grants under (a) of this subsection, the
23 department must prioritize applicants that focus on ensuring an
24 expeditious path to or remaining in sustainable permanent housing
25 solutions, and that demonstrate an understanding of working with
26 individuals to identify their optimal housing type and level of
27 ongoing services through the effective use of outreach, engagement,
28 and temporary lodging and permanent housing placement.

29 (c) Grant recipients under (a) of this subsection must enter into
30 a memorandum of understanding with the department, and other state
31 agencies if applicable, as a condition of receiving funds. Memoranda
32 of understanding must specify the responsibilities of the grant
33 recipients and the state agencies and must include specific
34 measurable outcomes for each entity signing the memorandum. The
35 department must publish all signed memoranda on the department's
36 website and must publish updates on outcomes for each memorandum at
37 least every 90 days, while taking steps to protect the privacy of
38 individuals served by the program. At a minimum, outcomes must
39 include:

1 (i) The number of people actually living in any encampment
2 identified for intervention by the department or grantees;

3 (ii) The demographics of those living in any encampment
4 identified for intervention by the department or grantees;

5 (iii) The duration of engagement with individuals living within
6 encampments;

7 (iv) The types of housing options that were offered;

8 (v) The number of individuals who accepted offered housing;

9 (vi) Any reasons given for why individuals declined offered
10 housing;

11 (vii) The types of assistance provided to move individuals into
12 offered housing;

13 (viii) Any services and benefits in which an individual was
14 successfully enrolled; and

15 (ix) The housing outcomes of individuals who were placed into
16 housing every six months after placement.

17 (d) Grant recipients under (a) of this subsection may not
18 transition individuals from encampments or close encampments unless
19 they have provided extensive outreach and offered each individual
20 temporary lodging or permanent housing that matches the actual
21 situation and needs of each person, is noncongregate whenever
22 possible, and takes into consideration individuals' immediate and
23 long-term needs and abilities to achieve and maintain housing
24 stability. Grant recipients who initially match an individual to
25 temporary lodging must make efforts to transition the person to a
26 permanent housing placement within six months except under unusual
27 circumstances. The department must establish criteria regarding the
28 safety, accessibility, and habitability of housing options to be
29 offered by grant recipients to ensure that such options are private,
30 sanitary, healthy, and dignified, and that grant recipients provide
31 options that are well-matched to an individual's assessed needs.

32 (e) Funding granted to eligible recipients under (a) of this
33 subsection may not be used to supplant or replace existing funding
34 provided for housing or homeless services.

35 (16) \$200,000,000 of the covenant homeownership account—state
36 appropriation is provided solely for implementation of the covenant
37 homeownership program.

38 (17) Before awarding or entering into grants or contracts for the
39 2025-2027 fiscal biennium for homeless housing and service programs
40 that are funded from the home security fund account or the affordable

1 housing for all account, the department must first consult with local
2 governments and eligible grantees to ensure that funding from these
3 accounts is used to maintain the quantity and types of homeless
4 housing and services funded in local communities as of February 28,
5 2025. The department may take into consideration local document
6 recording fee balances and individual county fluctuations in
7 recording fee collections when allocating state funds. The department
8 must redeploy funds to other nonprofit and county grantees if
9 originally granted amounts are not expended or committed within a
10 reasonable timeline. The department may then provide funding to
11 eligible entities to undertake the activities described in RCW
12 36.22.250(4)(b), such as funding for project-based vouchers and other
13 assistance necessary to support permanent supportive housing as
14 defined in RCW 36.70A.030 or as administered by the office of apple
15 health and homes created in RCW 43.330.181.

16 (18) \$425,000 of the general fund—state appropriation for fiscal
17 year 2026 and \$425,000 of the general fund—state appropriation for
18 fiscal year 2027 are provided solely for the continuation of existing
19 contracts with a nonprofit organization to increase housing supply
20 and equitable housing outcomes by advancing affordable housing
21 options, including affordable homeownership or affordable rental
22 housing, supportive housing, transitional housing, shelter, or
23 housing funded through the apple health and homes program, that are
24 co-located with community services such as education centers, health
25 clinics, nonprofit organizations, social services, or community
26 spaces or facilities, available to residents or the public, on
27 underutilized or tax-exempt land. Contract funding may be used for
28 costs including, but not limited to, identifying properties and
29 implementing strategies to accelerate the development of affordable
30 housing, conducting affordable housing site predevelopment
31 activities, providing technical assistance on topics related to
32 affordable housing development, facilitating collaboration and
33 codevelopment between affordable housing and community partners, and
34 conducting community engagement activities.

35 (19) \$58,802,000 of the general fund—state appropriation for
36 fiscal year 2026 and \$58,802,000 of the general fund—state
37 appropriation for fiscal year 2027 are provided solely for grants to
38 counties, cities, and other entities receiving contracts pursuant to
39 RCW 43.185C.080(3) for homeless housing programs and services

1 including, but not limited to, emergency housing and shelter,
2 temporary housing, permanent supportive housing programs, and other
3 homeless housing services and initiatives, including those funded
4 through the document recording fee collected pursuant to RCW
5 36.22.250. Grant funds must be prioritized for maintaining existing
6 levels of service and preventing the closure of existing beds or
7 programs.

8 (20) Within existing resources, the department must review
9 current policies and practices regarding reimbursement documentation
10 requirements for grant and contract recipients, with a focus on
11 requirements for grants made under subsection (4) of this section and
12 RCW 36.22.250(5), to improve the efficiency of the reimbursement
13 process and streamline compliance processes for grants and contract
14 recipients while continuing to manage risks related to financial
15 controls and federal requirements. In reviewing policies and
16 practices, the department may consider implementing process changes
17 and other approaches, including but not limited to risk-based tiering
18 of requirements for grant and contract recipients.

19 (21) Within existing resources, the department must consult with
20 permanent supportive housing providers awarded grants under
21 subsection (4) of this section or RCW 36.22.250(5) to provide
22 awardees the opportunity to provide feedback and develop
23 recommendations on topics including, but not limited to, allowable
24 expenditures under these grant programs, statewide application
25 benchmarks for operations and maintenance costs per unit and services
26 costs per tenant, and opportunities to streamline grant
27 administration.

28 (22) \$229,000 of the general fund—state appropriation for fiscal
29 year 2026 and \$229,000 of the general fund—state appropriation for
30 fiscal year 2027 are provided solely for implementation of the mobile
31 home community sales program.

32 (23) \$107,000 of the general fund—state appropriation for fiscal
33 year 2026 and \$55,000 of the general fund—state appropriation for
34 fiscal year 2027 are provided solely for implementation of Substitute
35 Senate Bill No. 5298 (mobile home community sale). (~~(If the bill is~~
36 ~~not enacted by June 30, 2025, the amounts provided in this subsection~~
37 ~~shall lapse.))~~)

38 (24) \$33,000 of the general fund—state appropriation for fiscal
39 year 2026 and \$33,000 of the general fund—state appropriation for

1 fiscal year 2027 are provided solely for implementation of Substitute
2 Senate Bill No. 5587 (affordable housing dev.). (~~((If the bill is not
3 enacted by June 30, 2025, the amounts provided in this subsection
4 shall lapse.))~~)

5 (25) \$400,000 of the general fund—state appropriation for fiscal
6 year 2026 is provided solely for a grant to a Pierce county-based
7 nonprofit with emergency shelters in Pierce, King, Thurston, and
8 Kitsap counties which provides a comprehensive approach to addressing
9 the root causes of homelessness to sustain emergency shelters.

10 (26) \$150,000 of the general fund—state appropriation for fiscal
11 year 2026 is provided solely for a grant to a south King county-based
12 nonprofit family center for families experiencing homelessness to
13 maintain services, including emergency shelter beds.

14 (27) \$200,000 of the general fund—state appropriation for fiscal
15 year 2026 is provided solely for a grant to a King county-based
16 nonprofit organization that runs at least two emergency shelters with
17 at least 500 beds to help families stay housed while researchers
18 study the effects of direct rental assistance on families.

19 ~~((+29))~~ (28) \$500,000 of the general fund—state appropriation
20 for fiscal year 2026 and \$500,000 of the general fund—state
21 appropriation for fiscal year 2027 are provided solely for
22 implementation of chapter 408, Laws of 2023 (ESSB 5599). The entirety
23 of this amount is provided for the office of homeless youth for
24 prevention and protection programs to provide supportive care grants
25 to organizations to address the needs of youth seeking protected
26 health care services.

27 ~~((+30))~~ (29) \$100,000 of the general fund—state appropriation
28 for fiscal year 2026 and \$100,000 of the general fund—state
29 appropriation for fiscal year 2027 are provided solely for
30 implementation of Engrossed House Bill No. 1217 (residential
31 tenants). (~~((If the bill is not enacted by June 30, 2025, the amounts
32 provided in this subsection shall lapse.))~~)

33 (30) \$63,000 of the general fund—state appropriation for fiscal
34 year 2026 and \$250,000 of the general fund—state appropriation for
35 fiscal year 2027 are provided solely to support the task force on the
36 establishment of a department of housing, which may include
37 conducting research and consulting experts, facilitating task force
38 convenings, and preparing the report and recommendations. The
39 department may contract with a third party to complete this work.

1 (31) (a) \$15,000,000 of the general fund—state appropriation for
2 fiscal year 2027 is provided solely for grants to permanent
3 supportive housing providers for operations, maintenance, and
4 services costs.

5 (b) To be eligible for a grant under this subsection, a permanent
6 supportive housing provider must:

7 (i) Verify that they received a funding award for a permanent
8 supportive housing project through the United States department of
9 housing and urban development continuum of care grant program for
10 federal fiscal year 2024;

11 (ii) Verify that they have received either a lesser award or no
12 award for a permanent supportive housing project through the
13 continuum of care grant program for federal fiscal year 2025;

14 (iii) Demonstrate the level of financial support necessary to
15 maintain the same level of operations, maintenance, and services for
16 the permanent supportive housing project as was funded through their
17 federal fiscal year 2024 award; and

18 (iv) Provide a letter of support from the provider's local
19 continuum of care lead entity certifying the expiration date of the
20 previous federal continuum of care contract for the permanent
21 supportive housing project.

22 (c) When allocating grants under this subsection, the department
23 must prioritize projects that have received funding from the
24 Washington housing trust fund, local low-income housing capital
25 investment programs, or the federal low-income housing tax credit
26 program.

27 (d) When determining the amount to be awarded to a given project,
28 the department may incorporate inflationary increases in addition to
29 the project's actual award for federal fiscal year 2024.

30 (e) The department must accept applications on a rolling basis
31 throughout fiscal year 2027 or until all funds have been awarded.

32 (f) The department must notify the local continuum of care lead
33 entity of a project upon making a grant award.

34 (32) \$94,000 of the affordable housing for all account—state
35 appropriation is provided solely for implementation of Engrossed
36 Second Substitute Senate Bill No. 6027 (affordable housing funding).
37 If the bill is not enacted by June 30, 2026, the amount provided in
38 this subsection shall lapse.

Sec. 129. 2025 c 424 s 131 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF COMMERCE—LOCAL GOVERNMENT

General Fund—State Appropriation (FY 2026)	((\$30,488,000))
	<u>\$20,670,000</u>
General Fund—State Appropriation (FY 2027)	((\$27,669,000))
	<u>\$20,523,000</u>
General Fund—Federal Appropriation	((\$55,565,000))
	<u>\$55,665,000</u>
General Fund—Private/Local Appropriation	((\$1,137,000))
	<u>\$1,170,000</u>
Climate Commitment Account—State Appropriation	((\$22,589,000))
	<u>\$23,079,000</u>
Community Preservation and Development Authority	
Account—State Appropriation	((\$1,016,000))
	<u>\$5,775,000</u>
Growth Management Planning and Environmental Review	
Fund—State Appropriation	((\$5,681,000))
	<u>\$5,829,000</u>
Liquor Excise Tax Account—State Appropriation	\$1,402,000
Liquor Revolving Account—State Appropriation	((\$6,850,000))
	<u>\$6,851,000</u>
Model Toxics Control Stormwater Account—State	
Appropriation	\$100,000
Natural Climate Solutions Account—State	
Appropriation	\$4,136,000
Public Facilities Construction Loan Revolving	
Account—State Appropriation	((\$1,596,000))
	<u>\$1,621,000</u>
Public Works Assistance Account—State Appropriation	((\$9,030,000))
	<u>\$9,277,000</u>
TOTAL APPROPRIATION	((\$167,259,000))
	<u>\$156,098,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) The department shall administer its growth management act technical assistance and pass-through grants so that smaller cities and counties receive proportionately more assistance than larger cities or counties.

1 (2) \$6,827,000 of the liquor revolving account—state
2 appropriation is provided solely for the department to contract with
3 the municipal research and services center of Washington.

4 (3) \$100,000 of the general fund—state appropriation for fiscal
5 year 2026 and \$100,000 of the general fund—state appropriation for
6 fiscal year 2027 are provided solely for the department to produce
7 the biennial report identifying a list of projects to address
8 incompatible developments near military installations as provided in
9 RCW 43.330.520.

10 (4) \$1,160,000 of the general fund—state appropriation for fiscal
11 year 2026 and \$1,159,000 of the general fund—state appropriation for
12 fiscal year 2027 are provided solely for the statewide broadband
13 office established in RCW 43.330.532.

14 (5) \$9,000,000 of the general fund—state appropriation for fiscal
15 year 2026 and ~~((\$9,000,000))~~ \$6,088,000 of the general fund—state
16 appropriation for fiscal year 2027 are provided solely for the
17 department for grants for updating and implementing comprehensive
18 plans and development regulations in order to implement the
19 requirements of the growth management act.

20 (a) In allocating grant funding to local jurisdictions, awards
21 must be based on a formula, determined by the department, to ensure
22 that grants are distributed equitably among cities and counties.
23 Grants will be used primarily to fund the review and update
24 requirements for counties and cities required by RCW 36.70A.130.
25 Funding provided on this formula basis shall cover additional county
26 and city costs, if applicable, to implement chapter 254, Laws of 2021
27 (emergency shelters & housing) and to implement chapter 368, Laws of
28 2023 (land use permitting/local).

29 ~~(b) ((Within the amounts not utilized under (a) of this~~
30 ~~subsection, the department shall establish a competitive grant~~
31 ~~program to implement requirements of the growth management act.~~

32 ~~(c) Up to \$500,000 per biennium may be allocated toward growth~~
33 ~~management policy research and development or to assess the ongoing~~
34 ~~effectiveness of existing growth management policy.~~

35 ~~(d) The department must develop a process for consulting with~~
36 ~~local governments, affected stakeholders, and the appropriate~~
37 ~~committees of the legislature to establish emphasis areas for~~
38 ~~competitive grant distribution and for research priorities.~~

1 ~~(e))~~) \$149,000 of the amounts appropriated in this subsection for
2 fiscal year 2026 is for the department to develop recommendations for
3 the integration of special purpose districts into the state's growth
4 management planning framework. The department must provide a final
5 report with recommendations to the governor's office and the
6 appropriate committees of the legislature by December 1, 2025.

7 (6) Within the amounts provided in this section, the department
8 must publish on its website housing data needed to complete housing
9 needs assessments required by RCW 36.70A.070(2)(a). The data shall
10 include:

11 (a) Housing profiles for each county and city in the state,
12 including cost burden, vacancy, and income;

13 (b) Data to assess racially disparate impacts, exclusion, and
14 displacement; and

15 (c) A dashboard to display data in an easily accessible format.

16 (7) \$847,000 of the general fund—state appropriation for fiscal
17 year 2026 and \$847,000 of the general fund—state appropriation for
18 fiscal year 2027 are provided solely to increase middle housing.

19 (8) \$22,544,000 of the climate commitment account—state
20 appropriation is provided solely for local government climate
21 planning implementation.

22 (9) \$67,000 of the general fund—state appropriation for fiscal
23 year 2026 and \$67,000 of the general fund—state appropriation for
24 fiscal year 2027 are provided solely for the noise abatement program
25 for qualifying port districts.

26 ~~(10) ((\$2,750,000 of the general fund—state appropriation for~~
27 ~~fiscal year 2026 is provided solely for a contract with a public or~~
28 ~~private entity for the purpose of public safety and security~~
29 ~~activities related to the 2026 world cup event. Funding may be~~
30 ~~provided for law enforcement and fire department resources, emergency~~
31 ~~management, traffic control, and security at official event venues,~~
32 ~~including fields and fan activation areas.~~

33 ~~(13))~~) \$375,000 of the general fund—state appropriation for
34 fiscal year 2026 and \$375,000 of the general fund—state appropriation
35 for fiscal year 2027 are provided solely as pass-through funding to
36 Walla Walla Community College for its water and environmental center.

37 ~~((14) \$500,000))~~ (11) \$2,875,000 of the community preservation
38 and development authority account—state appropriation is provided
39 solely for the Central district community preservation and

development authority established in RCW 43.167.070 to carry out the duties and responsibilities set forth in RCW 43.167.030.

~~((15) \$500,000))~~ (12) \$2,875,000 of the community preservation and development authority account—state appropriation is provided solely for the Pioneer Square-International district community preservation and development authority established in RCW 43.167.060 to carry out the duties and responsibilities set forth in RCW 43.167.030.

~~((17) \$1,809,000))~~ (13) \$1,729,000 of the general fund—state appropriation for fiscal year 2026 and ~~((2,008,000))~~ \$2,965,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of Engrossed Second Substitute House Bill No. 1096 (lot splitting), Second Substitute House Bill No. 1183 (building codes), Third Substitute House Bill No. 1491 (transit-oriented housing dev), Engrossed Second Substitute Senate Bill No. 5148 (GMA housing element), Engrossed Substitute Senate Bill No. 5184 (minimum parking requirements), Engrossed Senate Bill No. 5471 (middle housing), Engrossed Substitute Senate Bill No. 5509 (child care center siting), Engrossed Senate Bill No. 5559 (UGA subdivision process), and Substitute Senate Bill No. 5587 (affordable housing dev).

(14) \$500,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for the department to administer grants to local governments to update their permit review processes.

(15) \$490,000 of the climate commitment account—state appropriation is provided solely for the department to administer grants to assist local governments to support siting and permitting of clean energy projects in the state.

(16) \$202,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for the department to adopt guidelines for measures and criteria for use by counties and cities in the implementation progress reports required by chapter 192, Laws of 2022.

(17) \$131,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for implementation of Engrossed Second Substitute Senate Bill No. 6026 (residential development/zones). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

1 (18) \$54,000 of the general fund—state appropriation for fiscal
2 year 2026 and \$54,000 of the general fund—state appropriation for
3 fiscal year 2027 are provided solely for implementation of the
4 existing structure tax incentive program.

5 (19) \$49,000 of the general fund—state appropriation for fiscal
6 year 2027 is provided solely for implementation of Substitute Senate
7 Bill No. 6309 (high cap. transit permits). If the bill is not enacted
8 by June 30, 2026, the amount provided in this subsection shall lapse.

9 (20) \$110,000 of the general fund—state appropriation for fiscal
10 year 2027 is provided solely for implementation of Substitute Senate
11 Bill No. 6355 (electric transmission system). If the bill is not
12 enacted by June 30, 2026, the amount provided in this subsection
13 shall lapse.

14 (21) \$25,000 of the general fund—state appropriation for fiscal
15 year 2027 is provided solely for the department to engage with the
16 department of archaeology and historic preservation in the
17 development of a model ordinance for archaeological and cultural
18 resource protection.

19 (22) \$73,000 of the general fund—state appropriation for fiscal
20 year 2027 is provided solely for implementation of Engrossed Second
21 Substitute House Bill No. 2418 (permit review). If the bill is not
22 enacted by June 30, 2026, the amount provided in this subsection
23 shall lapse.

24 (23) \$366,000 of the general fund—state appropriation for fiscal
25 year 2027 is provided solely for implementation of Engrossed Third
26 Substitute House Bill No. 1960 (renewable energy). If the bill is not
27 enacted by June 30, 2026, the amount provided in this subsection
28 shall lapse.

29 (24)(a) \$50,000 of the general fund—state appropriation for
30 fiscal year 2026 and \$100,000 of the general fund—state appropriation
31 for fiscal year 2027 are provided solely for the department to
32 conduct a study regarding financial incentives to reduce the
33 financial burden associated with the seismic retrofit of unreinforced
34 masonry buildings.

35 (b) The study must, at a minimum, include impact analysis and
36 policy recommendations for:

37 (i) The modification and expansion of the special valuation tax;

38 (ii) The expansion of current use taxation;

(iii) Opportunities for time-limited exemptions under state property tax, excise tax, sales tax, business and occupation tax, or other tax structures;

(iv) The use of valuation of special assessments and assessment zones; and

(v) The identification of financial incentives for tax-exempt entities, such as schools, nonprofits, and religious organizations.

(c) The department must request input from the state association of county assessors, a professional society representing architects in Washington, a nonprofit organization representing structural engineers in Washington, the department of revenue, and the joint legislative audit and review committee.

(d) The department must submit a report to the appropriate committees of the legislature by December 1, 2026.

***Sec. 130.** 2025 c 424 s 132 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF COMMERCE—OFFICE OF ECONOMIC DEVELOPMENT

General Fund—State Appropriation (FY 2026). (~~(\$15,018,000)~~)
\$14,919,000

General Fund—State Appropriation (FY 2027). (~~(\$15,522,000)~~)
\$14,800,000

General Fund—Federal Appropriation. (~~(\$8,153,000)~~)
\$8,191,000

General Fund—Private/Local Appropriation. (~~(\$1,269,000)~~)
\$1,282,000

Dedicated Cannabis Account—State Appropriation
(FY 2026). (~~(\$3,706,000)~~)
\$3,709,000

Dedicated Cannabis Account—State Appropriation
(FY 2027). (~~(\$3,831,000)~~)
\$3,813,000

Andy Hill Cancer Research Endowment Fund Match

Transfer Account—State Appropriation. (~~(\$22,220,000)~~)
\$10,000,000

Climate Commitment Account—State Appropriation. \$951,000

Community and Economic Development Fee Account—State
Appropriation. \$765,000

Coronavirus State Fiscal Recovery Fund—Federal

1	<u>Appropriation.</u>	<u>\$567,000</u>
2	Economic Development Strategic Reserve Account—State	
3	Appropriation.	((\$2,851,000))
4		<u>\$1,851,000</u>
5	Statewide Tourism Marketing Account—State	
6	Appropriation.	\$3,021,000
7	TOTAL APPROPRIATION.	((\$77,307,000))
8		<u>\$63,869,000</u>

9 The appropriations in this section are subject to the following
10 conditions and limitations:

11 (1) \$4,152,000 of the general fund—state appropriation for fiscal
12 year 2026 and ~~((\$4,152,000))~~ \$4,000,000 of the general fund—state
13 appropriation for fiscal year 2027 are provided solely for associate
14 development organizations. ~~((During the 2025-2027 fiscal biennium,~~
15 ~~the department shall consider an associate development organization's~~
16 ~~total resources when making contracting and fund allocation~~
17 ~~decisions, in addition to the schedule provided in RCW 43.330.086.~~
18 ~~The department may distribute the funding as follows:~~

19 ~~(a) For associate development organizations serving urban~~
20 ~~counties, which are counties other than rural counties as defined in~~
21 ~~RCW 82.14.370, a locally matched allocation of up to \$1.00 per~~
22 ~~capita, totaling no more than \$300,000 per organization; and~~

23 ~~(b) For associate development organizations in rural counties, as~~
24 ~~defined in RCW 82.14.370, a \$1.00 per capita allocation with a base~~
25 ~~allocation of \$50,000.))~~

26 (2) \$150,000 of the general fund—state appropriation for fiscal
27 year 2026 and \$150,000 of the general fund—state appropriation for
28 fiscal year 2027 are provided solely for the northwest agriculture
29 business center.

30 (3) (a) \$1,335,000 of the general fund—state appropriation for
31 fiscal year 2026 and \$1,335,000 of the general fund—state
32 appropriation for fiscal year 2027 are provided solely for the small
33 business export assistance program, for the department to establish
34 representation in key international markets that will provide the
35 greatest opportunities for increased trade and investment for small
36 businesses in the state of Washington, and for a grant to a business
37 center that provides confidential, no-cost, one-on-one, client-
38 centered assistance to small businesses to expand outreach in
39 underserved communities, especially Black, indigenous, and people of

1 color-owned businesses, providing targeted assistance where needed.
2 Funding may also be used to collaborate with the department, the
3 Washington economic development association, and others to develop a
4 more effective and efficient service delivery system for Washington's
5 women and minority-owned small businesses.

6 (b) Of the amounts provided in (a) of this subsection, \$400,000
7 of the general fund—state appropriation for fiscal year 2027 is
8 provided to address the impact of tariffs on Washington jobs and
9 exports, which may include diversification of trade partnerships,
10 enhancing sector innovation and supply chain resilience, and
11 supporting the recruitment and retention of trade driven enterprises.
12 The department must provide a progress report to the legislature and
13 the governor on its activities under this subsection (3)(b) by
14 November 1, 2026.

15 (4) \$60,000 of the general fund—state appropriation for fiscal
16 year 2026 and \$60,000 of the general fund—state appropriation for
17 fiscal year 2027 are provided solely for the department to submit the
18 necessary Washington state membership dues for the Pacific Northwest
19 economic region.

20 (5) \$1,219,000 of the general fund—state appropriation for fiscal
21 year 2026 and \$1,219,000 of the general fund—state appropriation for
22 fiscal year 2027 are provided solely for the department to identify
23 and invest in strategic growth areas, support key sectors, and align
24 existing economic development programs and priorities. The department
25 must consider Washington's position as the most trade-dependent state
26 when identifying priority investments. The department must engage
27 states and provinces in the northwest as well as associate
28 development organizations, small business development centers,
29 chambers of commerce, ports, and other partners to leverage the funds
30 provided. Sector leads established by the department must include the
31 industries of: (a) Aerospace; (b) clean technology and renewable and
32 nonrenewable energy; (c) wood products and other natural resource
33 industries; (d) information and communication technology; (e) life
34 sciences and global health; (f) maritime; (g) military and defense;
35 and (h) creative industries. The department may establish these
36 sector leads by hiring new staff, expanding the duties of current
37 staff, or working with partner organizations and or other agencies to
38 serve in the role of sector lead.

1 (6) (~~(\$22,220,000)~~) \$10,000,000 of the Andy Hill cancer research
2 endowment fund match transfer account—state appropriation is provided
3 solely for the Andy Hill cancer research endowment program. Amounts
4 provided in this subsection may be used for grants and administration
5 costs.

6 (7) \$100,000 of the general fund—state appropriation for fiscal
7 year 2026 (~~((and \$100,000 of the general fund—state appropriation for~~
8 ~~fiscal year 2027 are))~~) is provided solely for a grant to assist
9 people with limited incomes in urban areas of the state start and
10 sustain small businesses. The grant recipient must be a nonprofit
11 organization involving a network of microenterprise organizations and
12 professionals to support micro entrepreneurship and access to
13 economic development resources.

14 (8) \$1,000,000 of the general fund—state appropriation for fiscal
15 year 2026 and (~~(\$1,000,000)~~) \$700,000 of the general fund—state
16 appropriation for fiscal year 2027 are provided solely for a
17 nonprofit organization whose sole purpose is to provide grants,
18 capacity building, and technical assistance support to a network of
19 microenterprise development organizations. The microenterprise
20 development organizations will support rural and urban Black,
21 indigenous and people of color owned businesses, veteran owned
22 businesses, and limited resourced and other hard to serve businesses
23 with five or fewer employees throughout the state with business
24 training, technical assistance, and microloans.

25 (9) \$200,000 of the general fund—state appropriation for fiscal
26 year 2026 and \$200,000 of the general fund—state appropriation for
27 fiscal year 2027 are provided solely to strengthen capacity of the
28 keep Washington working act work group established in RCW 43.330.510.

29 (~~((+11+))~~) (10) \$300,000 of the general fund—state appropriation
30 for fiscal year 2026 is provided solely for the city of Seattle to
31 lease space for nonprofit and academic institutions to incubate
32 technology business startups, especially those focusing on artificial
33 intelligence and develop and teach curricula to skill up workers to
34 use artificial intelligence as a business resource.

35 (~~((+12+))~~) (11) \$500,000 of the climate commitment account—state
36 appropriation is provided solely for the department to contract with
37 a nonregulatory coalition located in Seattle that supports the
38 strategic development and activation of Washington state's
39 participation in the West Coast wide-floating offshore wind supply

1 chain through a collaborative approach. The department and
2 nonregulatory coalition shall identify economic, community, and
3 workforce development opportunities resulting from Washington state's
4 participation in the offshore wind supply chain through conducting
5 convenings, workshops, and studies as appropriate.

6 ~~((13))~~ (12) Sufficient amounts are provided in this section for
7 the department to administer a grant program to cannabis licensees
8 holding a license issued after July 1, 2024, who meet the social
9 equity applicant criteria under RCW 69.50.335. The department must
10 award grants primarily based on the strength of the social equity
11 plans submitted by cannabis licensees but may also consider
12 additional criteria if deemed necessary or appropriate by the
13 department. Technical assistance activities eligible for funding
14 include, but are not limited to:

- 15 (a) Assistance navigating the cannabis licensure process;
- 16 (b) Cannabis-business specific education and business plan
17 development;
- 18 (c) Regulatory compliance training;
- 19 (d) Financial management training and assistance in seeking
20 financing;
- 21 (e) Strengthening a social equity plan as defined in RCW
22 69.50.101; and
- 23 (f) Connecting social equity applicants with established industry
24 members and tribal cannabis enterprises and programs for mentoring
25 and other forms of support.

26 (13)(a) \$300,000 of the general fund—state appropriation for
27 fiscal year 2027 is provided solely for the department to develop a
28 statewide economic development and competitiveness strategic plan.

29 (b) At a minimum, the plan shall include the following:

30 (i) Goals and strategies for state-supported economic development
31 activities in the state, utilizing analysis of economic and industry
32 data;

33 (ii) A state economic profile, examining such factors as
34 demographics, workforce characteristics, industry landscape, and
35 regional and tribal economics, infrastructure, and assets;

36 (iii) Economic challenges and opportunities;

37 (iv) Updates on the small business resiliency program and other
38 programs addressing the overall needs of businesses;

39 (v) Equity and community wealth building efforts;

40 (vi) Metrics for measuring outcomes; and

(vii) An implementation plan.

(c) The department must submit a report to the appropriate committees of the legislature that includes the completed plan by June 30, 2027.

****Sec. 130 was partially vetoed. See message at end of chapter.***

***Sec. 131.** 2025 c 424 s 133 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF COMMERCE—ENERGY AND INNOVATION

General Fund—State Appropriation (FY 2026)	((\$3,601,000))
	<u>\$1,949,000</u>
General Fund—State Appropriation (FY 2027)	((\$3,522,000))
	<u>\$2,949,000</u>
General Fund—Federal Appropriation.	((\$39,799,000))
	<u>\$115,636,000</u>
General Fund—Private/Local Appropriation.	((\$106,000))
	<u>\$133,000</u>
Building Code Council Account—State Appropriation.	\$19,000
Climate Commitment Account—State Appropriation.	((\$54,112,000))
	<u>\$47,729,000</u>
Community and Economic Development Fee Account—State	
Appropriation.	\$160,000
Energy Efficiency Account—State Appropriation.	\$20,000
Low-Income Weatherization and Structural	
Rehabilitation Assistance Account—State	
Appropriation.	((\$1,416,000))
	<u>\$1,423,000</u>
Natural Climate Solutions Account—State	
Appropriation.	((\$166,000))
	<u>\$91,000</u>
<u>Sustainable Aviation Fuel Account—State</u>	
<u>Appropriation.</u>	<u>\$556,000</u>
TOTAL APPROPRIATION.	((\$102,921,000))
	<u>\$170,665,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) The department is authorized to require an applicant to pay an application fee to cover the cost of reviewing the project and preparing an advisory opinion on whether a proposed electric

1 generation project or conservation resource qualifies to meet
2 mandatory conservation targets.

3 (2) \$500,000 of the general fund—state appropriation for fiscal
4 year 2026 and \$500,000 of the general fund—state appropriation for
5 fiscal year 2027 are provided solely to build a mapping and
6 forecasting tool that provides locations and information on charging
7 and refueling infrastructure as required in chapter 300, Laws of 2021
8 (zero emissions transp.). The department shall collaborate with the
9 interagency electric vehicle coordinating council established in
10 chapter 182, Laws of 2022 (transportation resources) when developing
11 the tool and must work to meet benchmarks established in chapter 182,
12 Laws of 2022 (transportation resources).

13 (3) ~~((\$5,000,000))~~ (a) \$4,510,000 of the climate commitment
14 account—state appropriation is provided solely for grants to support
15 port districts, counties, cities, towns, special purpose districts,
16 any other municipal corporations or quasi-municipal corporations, and
17 tribes to support siting and permitting of clean energy projects in
18 the state. Eligible uses of grant funding provided in this section
19 include supporting predevelopment work for sites intended for clean
20 energy projects, land use studies, conducting or engaging in planning
21 efforts such as planned actions and programmatic environmental impact
22 statements, and staff to improve permit timeliness and certainty.

23 (b) In carrying out the provisions of this subsection, the
24 department must prioritize grants in jurisdictions where transmission
25 constraints or rapid load growth threaten reliability and timely
26 achievement of statewide clean energy transformation act requirements
27 and greenhouse gas targets. The department should use information to
28 which it has access to make this determination.

29 (4) (a) ~~((\$500,000 of the general fund state appropriation for~~
30 ~~fiscal year 2026))~~ \$800,000 of the climate commitment account—state
31 appropriation is provided solely for the department to contract with
32 ((one or more of the western national laboratories, or a similar
33 independent research organization, in consultation with state and
34 federal energy agencies, stakeholders, and relevant utilities,)) an
35 entity or firm with necessary expertise to conduct an analysis for
36 new electricity generation, transmission, ancillary services,
37 efficiency and storage sufficient to offset those ~~((presently))~~
38 provided by the lower Snake river dams. The analysis should include a
39 list of requirements for a replacement portfolio that diversifies and

1 improves the resilience and maintains the reliability and adequacy of
2 the electric power system, is consistent with the state's statutory
3 and regulatory requirements for clean electricity generation, and is
4 ~~((supplementary to the resources))~~ optimized into regional resource
5 needs that will be required to replace fossil fuels in the electrical
6 generation, transportation, industry, and buildings sectors.
7 Consistent with Washington executive order 24-06, the analysis should
8 also be responsive to and consistent with the objectives of the
9 Columbia basin restoration initiative (CBRI). The department and its
10 contractor's assessment will include quantitative analysis based on
11 available data as well as qualitative input gathered from impacted
12 tribal and other governments, the Northwest power and conservation
13 council, relevant utilities, and other key stakeholders. The analysis
14 ~~((must include))~~ should consider the following:

15 (i) Expected trends for demand, and distinct scenarios that
16 examine potential outcomes for electricity demand, generation, and
17 storage technologies development(~~((, land use and land use~~
18 ~~constraints))~~), and cost through 2050, as well as ~~((the most))~~
19 relevant recent ~~((analysis))~~ analyses of future resource adequacy and
20 reliability, including the range of energy needs, resources available
21 during the next 20 years, new resources that need to be developed,
22 and adequacy and reliability analysis;

23 (ii) A resource portfolio approach in which a combination of
24 ~~((commercially available))~~ generating resources, energy efficiency,
25 conservation, and demand response programs, transmission resources,
26 and other programs and resources that ~~((would be necessary~~
27 ~~prerequisites))~~ are commercially available at the time when they are
28 needed to replace the power and grid reliability services otherwise
29 provided by the lower Snake river dams and the time frame needed to
30 put those resources into operation;

31 ~~((Identification of generation and transmission siting~~
32 ~~options consistent with the overall replacement resource portfolio,~~
33 ~~in coordination with other state processes and requirements~~
34 ~~supporting the planning of clean energy and transmission siting;~~

35 ~~((iv))~~ An evaluation of alternatives for the development, ownership
36 and operation of the replacement resource portfolio;

37 ~~((v))~~ Examination of possible impacts and opportunities that
38 might result from the renewal of the Columbia river treaty, revisions
39 of the Bonneville power administration preference contracts,
40 implementation of the western resource adequacy program (WRAP),

1 expansion of the western day ahead power markets, and other changes
2 in operation and governance of the regional electric power system,
3 consistent with statutory and regulatory requirements of the clean
4 energy transformation act;

5 ~~((vi) Identification of revenue and payment structures~~
6 ~~sufficient to maintain reliable and affordable electricity supplies~~
7 ~~for ratepayers, with emphasis on overburdened communities;~~

8 ~~(vii))~~ (iv) Development of distinct scenarios that examine
9 different potential cost and timeline potentials for development and
10 implementation of identified generation, storage, and transmission
11 needs ~~((and options including planning, permitting, design, and~~
12 ~~construction, including relevant federal authorities,))~~ consistent
13 with the statutory and regulatory requirements of the clean energy
14 transformation act; and

15 ~~((viii))~~ (v) Quantification of impacts to greenhouse gas
16 emissions including life-cycle emissions analysis associated with
17 implementation of identified generation and transmission needs and
18 options including ~~((A) planning, permitting, design, and~~
19 ~~construction, and, if relevant,))~~ emissions associated with the
20 acquisition of non-Washington state domestic or foreign sources of
21 electricity, ~~((and (B))~~ any additional operations of existing
22 fossil-fueled generating resources~~((; and~~

23 ~~(ix) An inventory of electricity demand by state-owned or~~
24 ~~operated facilities and information needed to complete a request for~~
25 ~~proposals (RFP) to satisfy this demand through new nonhydro renewable~~
26 ~~energy generation and/or conservation)), and the impact of forecasted~~
27 new load growth on greenhouse gas emissions.

28 (b) The department shall, to the extent determined practicable,
29 consider related analyses ~~((undertaken by the federal government as~~
30 ~~part of the Columbia river system operation stay of litigation agreed~~
31 ~~to in National Wildlife Federation et al. v. National Marine~~
32 ~~Fisheries Service et al. in October 2021))~~ completed by the Pacific
33 Northwest national laboratory on the lower Snake river dams
34 contribution to grid services. The department shall also, to the
35 extent determined practicable, rely on methods, models, and data
36 consistent with those developed and relied upon by the Northwest
37 power and conservation council as part of its most recent power plan.

38 (c) The department shall provide ~~((a status update))~~ the final
39 report to the energy and environment committees of the legislature
40 and governor's office by June 30, ~~((2026))~~ 2027.

(5) (~~(\$13,088,000)~~) \$11,452,000 of the climate commitment account—state appropriation is provided solely for the department to administer a grant program to assist owners of public buildings in covering the costs of conducting an investment grade energy audit for those buildings. Public buildings include those owned by state and local governments, tribes, and school districts.

(6) \$1,078,000 of the climate commitment account—state appropriation is provided solely for the department to develop plans to test hydrogen combustion and resulting nitrogen oxides (NOx) emissions, technical assistance for strategic end uses of hydrogen, a feasibility assessment regarding underground storage of hydrogen in Washington, and an environmental justice toolkit for hydrogen projects.

(7) \$1,678,000 of the climate commitment account—state appropriation is provided solely for implementation of chapter 344, Laws of 2024 (public building materials), including to develop and maintain a publicly accessible database for covered projects to submit environmental and working conditions data, to convene a technical work group, and to develop legislative reports.

(8) \$2,500,000 of the climate commitment account—state appropriation is provided solely for the department for activities that engage tribes or overburdened communities when siting renewable energy generation or electrical transmission facilities in Washington state. Of the amounts provided in this subsection:

(a) \$2,000,000 of the climate commitment account—state appropriation is provided solely for engagement of a tribal collaborative and participating tribes to identify areas with higher and lower potential for avoiding conflicts with tribes when siting renewable energy generation and electrical transmission facilities. The effort must consider tribal renewable energy and transmission needs, tribal sovereignty and rights, sensitive natural areas and working lands, and the goal to minimize harm while maximizing benefits to tribal communities. The department may contract for this purpose.

(b) \$500,000 of the climate commitment account—state appropriation is provided solely for the department to engage with communities to create a framework and process to support early and ongoing overburdened community input for the planning and development of transmission corridors. This shall, to the extent feasible,

1 include identifying ways for overburdened communities to benefit from
2 transmission corridor development as well as ways to reduce and avoid
3 conflict with overburdened communities in the development of
4 transmission corridors. Engagement activities may be coordinated with
5 the tribal collaborative described in section 133 of this act and
6 other relevant community engagement activities within the department.

7 (9) (a) \$200,000 of the climate commitment account—state
8 appropriation is provided solely for a grant to continue the
9 Washington just and rapid transition climate tech program. The grant
10 will provide funding for the recruitment, development, business
11 training, and support of underserved climate technology innovators,
12 entrepreneurs, and organizations developing or deploying solutions in
13 the areas of renewable energy, energy efficiency, sustainable
14 transportation, and other technology solving for the environmental
15 challenges facing overburdened communities in Washington.

16 (b) Activities may include supporting entrepreneurs in preparing
17 for private investment; technical assistance for entrepreneurs
18 receiving state directed federal equity and debt capital; assistance
19 accessing or leveraging the use of federal funding; business coaching
20 and mentoring; and connections to technical and business resources.

21 (c) The grant recipient must be a nonprofit organization that has
22 been awarded, from the state of Washington, federal state small
23 business credit initiative funds for investment in Washington climate
24 tech entrepreneurs, and must also have experience managing investment
25 funding and providing entrepreneurial support programs and federal
26 funding assistance to early-stage climate start-ups and businesses
27 based in Washington. The grant recipient should have experience
28 providing services to individuals and companies led by individuals
29 from underrepresented groups, including BIPOC, women, and individuals
30 residing in rural communities and have working partnerships with
31 state research universities, climate technology industry
32 associations, and community-based organizations serving underserved
33 communities.

34 (10) \$300,000 of the climate commitment account—state
35 appropriation is provided solely for the department to provide
36 assistance and develop financing recommendations to increase
37 transmission capacity in Washington. The department must use the
38 funding provided in this subsection to:

39 (a) Provide assistance to local and tribal governments regarding
40 the permitting of electric transmission projects which includes, but

1 is not limited to, providing easily accessible information on
2 advanced transmission technologies in Washington and identifying
3 applicable codes and ordinances that support transmission facilities
4 for the purpose of providing frameworks that local and tribal
5 governments may consider or adopt;

6 (b) Provide technical assistance to transmission operators for
7 increasing and enhancing transmission capacity with reconductoring
8 and other advanced transmission technologies; and

9 (c) Identify the appropriate finance mechanisms needed to improve
10 capacity to develop electric transmission in Washington. By November
11 1, 2025, the department must submit a report that analyzes financing
12 options for transmission projects and provides recommendations to the
13 governor and the appropriate committees of the legislature.

14 (11) \$163,000 of the climate commitment account—state
15 appropriation is provided solely for the department to administer a
16 pilot program to provide grants and technical assistance to support
17 planning, predevelopment, and installation of commercial, dual-use
18 solar power demonstration projects. Eligible grant recipients may
19 include, but are not limited to, nonprofit organizations, public
20 entities, and federally recognized tribes.

21 (12)(a) (~~(\$10,000,000)~~) \$7,500,000 of the climate commitment
22 account—state appropriation is provided solely for the department to
23 administer a program to assist community-based organizations, local
24 governments, ports, tribes, and other entities to access federal tax
25 incentives and grants. Eligible entities for the program include, but
26 are not limited to, local governments in Washington, tribal
27 governments and tribal entities, community-based organizations,
28 housing authorities, ports, transit agencies, nonprofit
29 organizations, and for-profit businesses. The department shall
30 prioritize assistance that benefits vulnerable populations in
31 overburdened communities, with a goal of directing at least 25
32 percent of funds to this purpose.

33 (b) Within the amounts provided in (a) of this subsection, the
34 department must contract with a nonprofit organization to provide the
35 following services:

36 (i) Development of tax guidance resources for clean energy tax
37 credits, including core legal documents to be used broadly across
38 stakeholders;

39 (ii) Providing tailored marketing materials for these resources
40 targeting underserved entities; and

1 (iii) Providing funds to subcontract with clean energy tax
2 attorneys to pilot office hours style support available to eligible
3 entities across the state.

4 (13) \$3,500,000 of the climate commitment account—state
5 appropriation is provided solely for the department to provide and
6 facilitate access to energy assistance programs, including
7 incentives, energy audits, and rebate programs to retrofit homes and
8 small businesses.

9 (14) \$250,000 of the climate commitment account—state
10 appropriation is provided solely for the department to contract with
11 a nonprofit entity that represents the maritime industry to develop
12 and publish a strategic framework regarding the production, supply,
13 and use of sustainable maritime fuels and deployment of low and zero-
14 emissions vessel technologies in Washington. Analyses will include
15 relevant human and environmental health and equity considerations.
16 Funding under this subsection may be used for activities including,
17 but not limited to, convening stakeholders and building
18 organizational capacity. Stakeholder engagement pursuant to this
19 subsection shall include, at a minimum, engagement with federal and
20 state agencies, ports, industry, labor, research institutions,
21 nongovernmental organizations, and relevant federally recognized
22 tribes.

23 ~~((17))~~ (15) \$450,000 of the climate commitment account—state
24 appropriation is provided solely for the department to contract with
25 the Washington state academy of sciences to complete a study to
26 determine the value of distributed solar and storage in Washington
27 state. Including any factors that it finds relevant, the academy
28 shall develop policy recommendations and options for a methodology or
29 methodologies that utility regulators and governing bodies may use
30 after the statutory four percent net metering threshold is met. The
31 academy shall submit a final report to the department and the
32 utilities and transportation commission by October 1, 2026.

33 ~~((18))~~ (16) \$197,000 of the general fund—state appropriation
34 for fiscal year 2026 is provided solely for the department to
35 complete the final report of the electrical transmission workforce
36 needs study pursuant to section 1117(40) of this act. The department
37 must submit the final report of the study to the appropriate
38 committees of the legislature by November 1, 2025.

(17) \$744,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for implementation of Substitute Senate Bill No. 6355 (electric transmission system). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

**Sec. 131 was partially vetoed. See message at end of chapter.*

Sec. 132. 2025 c 424 s 134 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF COMMERCE—PROGRAM SUPPORT

General Fund—State Appropriation (FY 2026)	((\$6,539,000))
	<u>\$10,832,000</u>
General Fund—State Appropriation (FY 2027)	((\$5,692,000))
	<u>\$9,589,000</u>
General Fund—Federal Appropriation	\$7,902,000
General Fund—Private/Local Appropriation	((\$2,075,000))
	<u>\$2,085,000</u>
((Dedicated Cannabis Account—State	
Appropriation (FY 2026)	(\$2,000))
Climate Commitment Account—State Appropriation	((\$1,753,000))
	<u>\$1,627,000</u>
((Growth Management Planning and Environmental	
Review Fund—State Appropriation	(\$148,000))
Coronavirus State Fiscal Recovery Fund—Federal	
Appropriation	<u>\$142,000</u>
State Agency Office Relocation Pool Account—State	
Appropriation	<u>\$325,000</u>
TOTAL APPROPRIATION	((\$24,111,000))
	<u>\$32,502,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) ((~~\$253,000~~)) \$127,000 of the climate commitment account—state appropriation is provided solely for the department to incorporate equity and environmental justice into agency grant programs with the goal of reducing programmatic barriers to vulnerable populations in overburdened communities in accessing department funds. The department shall prioritize grant programs receiving funds from the accounts established under RCW 70A.65.240, 70A.65.250, 70A.65.260, 70A.65.270, and 70A.65.280.

(2) \$1,500,000 of the climate commitment account—state appropriation is provided solely for the department to continue implementation of chapter 70A.02 RCW.

(3) \$175,000 of the general fund—state appropriation for fiscal year 2026 and \$175,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for language access activities, which may include translation services, interpretation services, and in-language material development.

(4) \$150,000 of the general fund—state appropriation for fiscal year 2026 and \$150,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the department, in collaboration with the office of financial management and relevant partners, to conduct an evaluation of the short-term and long-term facility needs to maximize usage and return on investment of the Pacific tower property, as contracted to the department by the Pacific hospital preservation and development authority. In conducting the evaluation, the department may enter a contract, which must be with an entity with expertise in space planning, financial modeling, and public-sector real estate management. The department must submit a final report of their evaluation by November 1, 2026. The evaluation must include, but is not limited to:

(a) A floor-by-floor utilization assessment and restacking plan that considers state agencies, local government partners, mission-aligned nonprofits, and other appropriate tenants;

(b) An analysis of financial, operational, and contractual factors affecting the building's financial sustainability, including sublease structures and potential areas of duplicative payment or cost overlap;

(c) Recommendations for optimizing space based on telework trends, tenant readiness, and the building's physical and historic constraints; and

(d) A long-term strategy to improve return on investment, stabilize operating costs, and ensure alignment with the master lease and the 2013 legislative intent for the facility.

Sec. 133. 2025 c 424 s 135 (uncodified) is amended to read as follows:

FOR THE ECONOMIC AND REVENUE FORECAST COUNCIL

General Fund—State Appropriation (FY 2026) ((~~\$948,000~~))

1		<u>\$1,002,000</u>
2	General Fund—State Appropriation (FY 2027)	((\$946,000))
3		<u>\$964,000</u>
4	Lottery Administrative Account—State Appropriation.	\$50,000
5	TOTAL APPROPRIATION.	((\$1,944,000))
6		<u>\$2,016,000</u>
7	Sec. 134. 2025 c 424 s 136 (uncodified) is amended to read as	
8	follows:	
9	FOR THE OFFICE OF FINANCIAL MANAGEMENT	
10	General Fund—State Appropriation (FY 2026)	((\$16,140,000))
11		<u>\$15,103,000</u>
12	General Fund—State Appropriation (FY 2027)	((\$16,270,000))
13		<u>\$11,342,000</u>
14	General Fund—Federal Appropriation.	((\$36,493,000))
15		<u>\$35,598,000</u>
16	General Fund—Private/Local Appropriation.	((\$539,000))
17		<u>\$7,132,000</u>
18	Climate Commitment Account—State Appropriation.	((\$3,004,000))
19		<u>\$2,254,000</u>
20	Performance Audits of Government Account—State	
21	Appropriation.	\$2,000
22	Personnel Service Account—State Appropriation.	((\$24,571,000))
23		<u>\$24,948,000</u>
24	Higher Education Personnel Services Account—State	
25	Appropriation.	((\$1,428,000))
26		<u>\$1,427,000</u>
27	Statewide 988 Behavioral Health Crisis Response Line	
28	Account—State Appropriation.	\$300,000
29	Statewide Information Technology System Development	
30	Revolving Account—State Appropriation.	((\$154,207,000))
31		<u>\$272,275,000</u>
32	Office of Financial Management Central Service	
33	Account—State Appropriation.	((\$34,140,000))
34		<u>\$40,115,000</u>
35	((Labor Relations Service Nonappropriated	
36	Account—State Appropriation.	\$11,797,000))
37	TOTAL APPROPRIATION.	((\$298,891,000))
38		<u>\$410,496,000</u>

1 The appropriations in this section are subject to the following
2 conditions and limitations:

3 (1)(a) The student achievement council and all institutions of
4 higher education as defined in RCW 28B.92.030 and eligible for state
5 financial aid programs under chapters 28B.92 and 28B.118 RCW shall
6 ensure that data needed to analyze and evaluate the effectiveness of
7 state financial aid programs are promptly transmitted to the
8 education data center so that it is available and easily accessible.
9 The data to be reported must include but not be limited to:

10 (i) The number of Washington college grant and college bound
11 recipients;

12 (ii) Persistence and completion rates of Washington college grant
13 recipients and college bound recipients, disaggregated by institution
14 of higher education;

15 (iii) Washington college grant recipients grade point averages;
16 and

17 (iv) Washington college grant and college bound scholarship
18 program costs.

19 (b) The student achievement council shall submit student unit
20 record data for state financial aid program applicants and recipients
21 to the education data center.

22 (2)(a) (~~(\$153,269,000)~~) \$271,365,000 of the information
23 technology system development revolving account—state appropriation
24 is provided solely for the one Washington enterprise resource
25 planning statewide program phase 1A (agency financial reporting
26 system replacement) and is subject to the conditions, limitations,
27 and review requirements of section 701 of this act.

28 (b) Of the amount provided in this subsection:

29 (i) (~~(\$15,300,000)~~) \$38,643,000 of the information technology
30 system development revolving account—state appropriation is provided
31 solely for a technology pool (~~(in fiscal year 2026)~~) to pay for phase
32 1A (agency financial reporting system replacement—core financials)
33 state agency costs due to legacy system remediation work associated
34 with impacted financial systems and interfaces. Of the amount
35 provided in this subsection (2)(b)(i), \$12,087,000 is for costs in
36 fiscal year 2026, and \$26,556,000 is for costs in fiscal year 2027.

37 The office of financial management must manage the pool, authorize
38 funds, track funds authorized and spent by agency by fiscal month,
39 and report after each fiscal month close on the agency spending to

1 Washington technology solutions so that the spending is included in
2 the statewide dashboard actual spending each fiscal month for phase
3 1A and included on the program dashboard for program actual spend;

4 (ii) (~~(\$27,563,000)~~) \$49,962,000 of the information technology
5 system development revolving account—state appropriation is provided
6 solely for an agency readiness pool (~~(in fiscal year 2026)~~) to pay
7 for phase 1A (agency financial reporting system replacement-core
8 financials) state agency costs incurred in preparation for a
9 successful transition to phase 1A. Of the amount provided in this
10 subsection (2)(b)(ii), \$21,775,000 is for costs in fiscal year 2026,
11 and \$28,187,000 is for costs in fiscal year 2027. The office of
12 financial management must manage this pool, authorize funds, track
13 funds authorized and spent by agency by fiscal month, and report
14 after each fiscal month close on the agency spending to Washington
15 technology solutions so that the spending is included in the
16 statewide dashboard actual spending each fiscal month for phase 1A
17 and included on the program dashboard program actual spend; and

18 (iii) (~~(\$988,000)~~) \$1,773,000 of the information technology
19 system development revolving account—state appropriation is provided
20 solely for an interagency agreement (~~(in fiscal year 2026)~~) with
21 Washington technology solutions for one dedicated information
22 technology consultant and two dedicated system architect staff. These
23 staff will work with state agencies to ensure preparation and timely
24 decommission of information technology systems that will no longer be
25 necessary post implementation of phase 1A (agency financial reporting
26 system replacement-core financials). Of the amount provided in this
27 subsection (2)(b)(iii), \$988,000 is for costs in fiscal year 2026,
28 and \$785,000 is for costs in fiscal year 2027.

29 (c) The one Washington solution and team must use an agile
30 development model holding live demonstrations of functioning
31 software, developed using incremental user research, held at the end
32 of two-week sprints.

33 (d) The one Washington solution must be capable of being
34 continually updated, as necessary.

35 (e) Beginning July 1, 2025, the office of financial management
36 shall provide written quarterly reports, within 30 calendar days of
37 the end of each fiscal quarter, to legislative fiscal committees and
38 the legislative evaluation and accountability program committee to
39 include how funding was spent compared to the budget spending plan
40 for the prior quarter by fiscal month and what the ensuing quarter

1 budget will be by fiscal month. All reporting must be separated by
2 phase of one Washington subprojects. The written report must also
3 include:

4 (i) A list of quantifiable deliverables scheduled for that
5 quarter, including those accomplished and the amount spent associated
6 with each deliverable, by fiscal month;

7 (ii) A report on the contract full-time equivalent charged
8 compared to the budget spending plan by fiscal month for each
9 contracted vendor, to include interagency agreements with other state
10 agencies, and what the ensuing contract equivalent budget spending
11 plan assumes by fiscal month;

12 (iii) A report identifying each state agency that applied for and
13 received technology pool resources under (b)(i) of this subsection,
14 the staffing equivalent used, and the actual spending by fiscal month
15 by agency compared to the budget spending plan by fiscal month;

16 (iv) A report identifying each state agency that applied for and
17 received agency readiness pool resources under (b)(ii) of this
18 subsection, the staffing equivalent used, and the actual spending by
19 fiscal month by agency compared to the budget spending plan by fiscal
20 month;

21 (v) A report on budget spending plan by fiscal month by phase
22 compared to actual spending by fiscal month, and the projected
23 spending plan by fiscal month for the ensuing quarter;

24 (vi) A report on current financial office performance metrics
25 that at least 10 state agencies use, to include the monthly
26 performance data, that began July 1, 2021;

27 ~~(vii) ((A report identifying each mandatory go-live phase 1A~~
28 ~~system by agency and system name, and the status on each system~~
29 ~~readiness compliance to meet the go-live date as of the start of the~~
30 ~~quarter and the percentage of compliance by the end of the quarter;~~

31 ~~(viii))~~ (viii) An accounting of each known risk to the project
32 identified by Washington technology solutions, the assigned quality
33 assurance vendor, or the program during the last quarter, and then
34 how each of these risks were addressed during the last quarter, what
35 date each of these risks are anticipated to be resolved, and if the
36 risk will be unresolved in the ensuing quarter;

37 ~~((ix))~~ (viii) An accounting of any deliverables that were
38 changed in the last quarter noting start and anticipated end dates
39 before and after change, and any plans to change future deliverables
40 to include what the deliverable was, what the new deliverable is, why

1 the deliverable was or will be missed, what was done to mitigate this
2 delay, and what the revised deliverable date is; and

3 ~~((x))~~ (ix) The project roll-out schedule by phase to include
4 the date each phase will go live compared to the last known go-live
5 date. If the go-live date changed since the last quarterly report,
6 the report must reference the last go-live date compared to the new
7 one and include detail on why the schedule will be missed, how the
8 project mitigated additional delays, and what the additional time in
9 the schedule is anticipated to cost by fiscal year.

10 (f) Prior to the expenditure of the amounts provided in this
11 subsection, the director of the office of financial management must
12 review and approve the spending in writing.

13 ~~(g) ((The legislature intends to provide additional funding for~~
14 ~~fiscal year 2027 costs for phase 1A (agency financial reporting~~
15 ~~system replacement) to be completed.))~~ (i) Beginning April 1, 2026,
16 the office of financial management shall publish monthly snapshot
17 reports on the public facing one Washington website that show the
18 agency and system name noting if the system (on the snapshot date),
19 on go-live, will connect:

20 (A) Directly to workday; or

21 (B) Via the transformation layer.

22 (ii) The report must retain prior month reporting so that
23 historical snapshots by agency by system will be available until go-
24 live implementation.

25 (3) \$250,000 of the office of financial management central
26 services account—state appropriation is provided solely for a
27 dedicated information technology budget staff for the work associated
28 with statewide information technology projects that at least are
29 subject to the conditions, limitations, and review requirements of
30 section 701 of this act and are under the oversight of Washington
31 technology solutions. The staff will be responsible for providing a
32 monthly financial report after each fiscal month close to fiscal
33 staff of the senate ways and means and house appropriations
34 committees to reflect at least:

35 (a) Fund balance of the information technology pool account after
36 each fiscal month close;

37 (b) Amount by information technology project, differentiated if
38 in the technology pool or the agency budget, of what funding has been
39 approved to date and for the last fiscal month;

1 (c) Amount by agency of what funding has been approved to date
2 and for the last fiscal month;

3 (d) Total amount approved to date, differentiated if in the
4 technology pool or the agency budget, and for the last fiscal month;

5 (e) A projection for the information technology pool account by
6 fiscal month through the 2025-2027 fiscal biennium close, and a
7 calculation spent to date as a percentage of the total appropriation;

8 (f) A projection of each information technology project spending
9 compared to budget spending plan by fiscal month through the
10 2025-2027 fiscal biennium, and a calculation of amount spent to date
11 as a percentage of total project cost; and

12 (g) A list of agencies and projects that have not yet applied for
13 nor been approved for funding by the office of financial management.

14 (4) Within existing resources, the labor relations section shall
15 produce a report annually on workforce data and trends for the
16 previous fiscal year. At a minimum, the report must include a
17 workforce profile; information on employee compensation, including
18 salaries and cost of overtime; and information on retention,
19 including average length of service and workforce turnover.

20 (5) The office of financial management must report to and
21 coordinate with the department of ecology to track expenditures from
22 climate commitment act accounts, as defined and described in RCW
23 70A.65.300 and chapter 173-446B WAC. If an expenditure is expected to
24 result in greenhouse gas emission reductions, the office must use a
25 department of ecology approved calculator tool or methodology.

26 (6) Within existing resources, the office will maintain a data
27 portal to track state agency expenditures from climate commitment act
28 accounts as defined and described in RCW 70A.65.300 and chapter
29 173-446B WAC. The data portal must be coordinated with the department
30 of ecology.

31 (7) \$250,000 of the general fund—state appropriation for fiscal
32 year 2026 and \$250,000 of the general fund—state appropriation for
33 fiscal year 2027 are provided solely for implementation of chapter
34 245, Laws of 2022 (state boards, etc./stipends).

35 (8)(a) \$100,000 of the general fund—state appropriation for
36 fiscal year 2026 is provided solely for the office of financial
37 management to complete a study of the future long-term uses of the
38 Olympic heritage behavioral health campus. The study must assess the
39 options for maximizing the facility's ability to receive federal

1 matching funds for services provided while contributing to the health
2 of the entire state behavioral health system based on community
3 needs. The study must examine Washington behavioral health system
4 trends, including demand and capacity for voluntary and involuntary
5 behavioral health in-patient treatment, forecasted bed need and
6 current and planned statewide capacity for civil and forensic state
7 hospital populations, short-term civil commitment capacity trends,
8 and trends in prosecutorial forensic referrals. The study must also
9 consider area provider admittance and refusal rates. The study must
10 include:

11 (i) An analysis on the types of services which could be provided
12 at the property, including but not limited to:

13 (A) Voluntary behavioral health treatment services, including
14 diversion, prediversion, and specialty services for people with co-
15 occurring conditions including substance use disorders, intellectual
16 or developmental disabilities, traumatic brain disorders, or
17 dementia;

18 (B) Services for patients that are deemed not guilty by reason of
19 insanity;

20 (C) Integrated service approaches that address medical, housing,
21 vocational, and other needs of behaviorally disabled individuals with
22 criminal legal involvement or likelihood of criminal legal
23 involvement;

24 (D) Long-term involuntary treatment services for specialized
25 populations such as those with developmental disabilities or
26 dementia;

27 (E) Short-term involuntary treatment services;

28 (F) Long-term involuntary treatment services for civil conversion
29 patients;

30 (G) Out-patient intensive behavioral health treatment including
31 partial hospitalization and intensive outpatient care;

32 (H) Crisis response services; and

33 (I) Other services that will increase the state's ability to
34 comply with requirements for providing timely admission of competency
35 restoration patients into treatment beds;

36 (ii) Review of potential for additional capacity or services on
37 the entirety of the property, including any capital improvements
38 needed to expand services under the options described in (a)(i) of
39 this subsection;

1 (iii) Identification and evaluation of strategies to obtain
2 federal matching funding opportunities, specifically focusing on
3 innovative medicaid framework adjustments and the consideration of
4 necessary state plan amendments;

5 (iv) Estimated costs, required staffing and workforce
6 availability for each of the recommended types of services if
7 available; and

8 (v) Consideration of options for providers that can provide the
9 different services recommended at the facility and an analysis on the
10 cost differential and potential federal reimbursement for the
11 different providers. The office of financial management may consider
12 a variety of provider types or partners, including, but not limited
13 to:

14 (A) Tribal or local governments;

15 (B) Acute care hospitals already providing similar care;

16 (C) Providers contracted by the health care authority; and

17 (D) State-operated options.

18 (b) The office of financial management shall consult with the
19 University of Washington school of medicine, the health care
20 authority, and the department of social and health services in
21 developing and conducting the study.

22 (c) The office of financial management shall submit a final
23 report with its findings and recommendations to the governor and the
24 appropriate policy and fiscal committees of the legislature by
25 December 1, 2025.

26 (d) The office of financial management may contract with one or
27 more third parties and consult with other state entities to conduct
28 the study. The contract is exempt from the competitive procurement
29 requirements in chapter 39.26 RCW.

30 (9) \$352,000 of the labor relations service nonappropriated
31 account—state appropriation is provided solely for implementation of
32 Senate Bill No. 5653 (fish and wildlife officers). ~~((If the bill is
33 not enacted by June 30, 2025, the amount provided in this subsection
34 shall lapse.))~~

35 (10) \$174,000 of the personnel service account—state
36 appropriation is provided solely for implementation of Substitute
37 Senate Bill No. 5827 (veterans/discharge def.). If the bill is not
38 enacted by June 30, 2026, the amount provided in this subsection
39 shall lapse.

1 **Sec. 135.** 2025 c 424 s 137 (uncodified) is amended to read as
2 follows:

3 **FOR THE OFFICE OF ADMINISTRATIVE HEARINGS**

4	<u>General Fund—State Appropriation (FY 2026)</u>	\$25,000
5	<u>General Fund—State Appropriation (FY 2027)</u>	\$25,000
6	Administrative Hearings Revolving Account—State	
7	Appropriation.	((\$72,878,000))
8		<u>\$74,063,000</u>
9	Administrative Hearings Revolving Account—Local	
10	Appropriation.	\$12,000
11	TOTAL APPROPRIATION.	((\$72,890,000))
12		<u>\$74,125,000</u>

13 The appropriations in this section are subject to the following
14 conditions and limitations:

15 (1) \$809,000 of the administrative hearings revolving account—
16 state appropriation is provided solely for implementation of
17 Engrossed Substitute Senate Bill No. 5291 (long-term services trust).
18 ~~((If the bill is not enacted by June 30, 2025, the amount provided in~~
19 ~~this subsection shall lapse.))~~

20 (2) \$24,000 of the administrative hearings revolving account—
21 state appropriation is provided solely for implementation of
22 Engrossed Second Substitute Senate Bill No. 5217 (pregnancy
23 accommodations). ~~((If the bill is not enacted by June 30, 2025, the~~
24 ~~amount provided in this subsection shall lapse.))~~

25 (3) \$56,000 of the administrative hearings revolving account—
26 state appropriation is provided solely for implementation of
27 Engrossed Second Substitute House Bill No. 1213 (paid family and
28 medical leave protections). ~~((If the bill is not enacted by June 30,~~
29 ~~2025, the amount provided in this subsection shall lapse.))~~

30 (4) \$39,000 of the administrative hearings revolving account—
31 state appropriation is provided solely for implementation of
32 Engrossed Substitute House Bill No. 1644 (working minors). ~~((If the~~
33 ~~bill is not enacted by June 30, 2025, the amount provided in this~~
34 ~~subsection shall lapse.))~~

35 (5) \$27,000 of the administrative hearings revolving account—
36 state appropriation is provided solely for implementation of
37 Engrossed Substitute Senate Bill No. 6302 (public works/finishing
38 trade). If the bill is not enacted by June 30, 2026, the amount
39 provided in this subsection shall lapse.

1 (6) (a) \$25,000 of the general fund—state appropriation for fiscal
2 year 2026 and \$25,000 of the general fund—state appropriation for
3 fiscal year 2027 are provided solely for the office of administrative
4 hearings to convene a committee for the purpose of developing
5 recommended changes to the current system and processes for claims
6 against the state, or against its officers, employees, or volunteers,
7 acting in such capacity, for damages arising out of tortious conduct.
8 The committee shall explore, review, and consider options to improve
9 existing systems and processes related to adjudicating claims for
10 tortious conduct against the state or its political subdivisions. The
11 committee shall prioritize recommendations that ensure a fair,
12 efficient, and trauma-informed process for claimants that reduce the
13 impacts to public costs arising from claims of tortious conduct
14 against the state or its political subdivisions. The committee, in
15 making recommendations, shall be balanced in its approach, ensuring
16 issues related to access to justice and the courts, meaningful
17 remedies for claimants, responsible stewardship of public dollars,
18 and transparency and accountability for the state are reflected.

19 (b) Members of the committee shall be appointed by the governor,
20 except as otherwise provided in this subsection. The members shall
21 consist of:

22 (i) A representative of the office of the attorney general,
23 appointed by the attorney general;

24 (ii) Two victims' advocates;

25 (iii) A mental health professional;

26 (iv) Three members of the public who have experience in a civil
27 justice advocacy organization;

28 (v) Two representatives from state agencies with a high volume of
29 tort cases;

30 (vi) A single representative for all counties, appointed by the
31 Washington state association of counties;

32 (vii) A single representative for all school districts, appointed
33 by the Washington schools risk management pool;

34 (viii) A representative of the office of financial management;

35 (ix) A representative from the department of enterprise services;
36 and

37 (x) A representative from the office of administrative hearings.

38 (c) In order to be expedient with this effort, the office of
39 administrative hearings may convene preliminary meetings with the
40 anticipated membership prior to all official appointments being

1 completed, provided that no work on recommendations may begin until
2 official appointments have been made.

3 (d) The duties of the committee shall include, but are not
4 limited to:

5 (i) Examining processes for claims for personal injury arising
6 from alleged tortious conduct against the state. This may also
7 include examining processes related to claims for personal injury
8 arising from alleged tortious conduct against the state's political
9 subdivisions. As part of its recommendations, the committee shall
10 provide guidance about the scope of any proposed changes and whether
11 they would apply solely to the state or to the state and its
12 political subdivisions;

13 (ii) Reviewing outcomes and best practices in other states for
14 adjudicating claims against the state or its political subdivisions
15 for damages arising out of allegations of tortious conduct;

16 (iii) Reviewing and providing recommendations to mitigate future
17 public costs through policy or other changes that would prevent or
18 reduce harm or injury to claimants before it occurs;

19 (iv) Ensuring that any recommendations developed by the committee
20 support training in trauma-informed practices, recognizing the
21 impacts of trauma on participants in the adjudication of claims, and
22 conducting proceedings in a manner that promotes fairness, safety,
23 and respect for all participants;

24 (v) To the extent the committee considers an alternative process
25 for adjudicating claims related to tortious conduct against the state
26 or its political subdivisions, developing recommendations regarding
27 neutral hearings officers; and

28 (vi) To the extent the committee considers an alternative process
29 for adjudicating claims related to tortious conduct against the state
30 or its political subdivisions, recommending rules or processes that
31 would govern the procedural conduct of hearings.

32 (e) The committee shall provide a report to the governor, the
33 appropriate committees of the legislature, and the interbranch
34 advisory committee by November 1, 2026. The report shall include
35 materials developed from its review of best practices in other
36 states, details on the work of the committee and the scope it
37 considered, and any recommendations the committee has for system or
38 process improvements.

Sec. 136. 2025 c 424 s 138 (uncodified) is amended to read as follows:

FOR THE WASHINGTON STATE LOTTERY

Lottery Administrative Account—State Appropriation.	((\$31,618,000))
	<u>\$31,851,000</u>
TOTAL APPROPRIATION.	((\$31,618,000))
	<u>\$31,851,000</u>

The appropriation in this section is subject to the following conditions and limitations:

(1) No portion of this appropriation may be used for acquisition of gaming system capabilities that violate state law.

(2) Pursuant to RCW 67.70.040, the commission shall take such action necessary to reduce retail commissions to an average of 5.1 percent of sales.

Sec. 137. 2025 c 424 s 139 (uncodified) is amended to read as follows:

FOR THE COMMISSION ON HISPANIC AFFAIRS

General Fund—State Appropriation (FY 2026).	((\$1,173,000))
	<u>\$1,174,000</u>
General Fund—State Appropriation (FY 2027).	((\$1,199,000))
	<u>\$1,207,000</u>
TOTAL APPROPRIATION.	((\$2,372,000))
	<u>\$2,381,000</u>

The appropriations in this section are subject to the following conditions and limitations: \$105,000 of the general fund—state appropriation for fiscal year 2026 and \$105,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for grants to gang youth intervention specialists for a pilot program within high schools in Washington. Grants may be provided without using a competitive selection process.

Sec. 138. 2025 c 424 s 140 (uncodified) is amended to read as follows:

FOR THE COMMISSION ON AFRICAN-AMERICAN AFFAIRS

General Fund—State Appropriation (FY 2026).	((\$559,000))
	<u>\$560,000</u>
General Fund—State Appropriation (FY 2027).	((\$541,000))
	<u>\$545,000</u>

TOTAL APPROPRIATION. ((\$1,100,000))
\$1,105,000

Sec. 139. 2025 c 424 s 141 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF RETIREMENT SYSTEMS—OPERATIONS

Department of Retirement Systems Expense Account—

State Appropriation. ((\$124,988,000))
\$125,893,000

TOTAL APPROPRIATION. ((\$124,988,000))
\$125,893,000

The appropriation in this section is subject to the following conditions and limitations:

(1) \$45,493,000 of the department of retirement systems expense account—state appropriation is provided solely for pension system modernization, and is subject to the conditions, limitations, and review requirements of section 701 of this act.

(2) \$20,000 of the department of retirement systems expense account—state appropriation is provided solely for implementation of Senate Bill No. 5306 (pension credit for leave). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

(3) \$120,000 of the department of retirement systems expense account—state appropriation is provided solely for implementation of Engrossed Second Substitute House Bill No. 2034 (LEOFF 1 restatement). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(4) \$11,000 of the department of retirement systems expense account—state appropriation is provided solely for implementation of House Bill No. 2124 (lump sum retirement payments). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(5) \$18,000 of the department of retirement systems expense account—state appropriation is provided solely for implementation of Engrossed House Bill No. 2179 (port workers PERS membership). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(6) \$149,000 of the department of retirement systems expense account—state appropriation is provided solely for implementation of

House Bill No. 2441 (survivor insurance/LEOFF). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(7) \$10,000 of the department of retirement systems expense account—state appropriation is provided solely for implementation of Substitute Senate Bill No. 5862 (TRS & PERS plan 1 COLA). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

Sec. 140. 2025 c 424 s 142 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF REVENUE

General Fund—State Appropriation (FY 2026)	((\$431,882,000))
	<u>\$468,206,000</u>
General Fund—State Appropriation (FY 2027)	((\$448,347,000))
	<u>\$508,236,000</u>
Timber Tax Distribution Account—State Appropriation.	((\$8,187,000))
	<u>\$8,463,000</u>
Business License Account—State Appropriation.	((\$20,025,000))
	<u>\$20,747,000</u>
Waste Reduction, Recycling, and Litter Control	
Account—State Appropriation.	\$184,000
Model Toxics Control Operating Account—State	
Appropriation.	\$128,000
Financial Services Regulation Nonappropriated Fund—	
State Appropriation.	\$5,000,000
TOTAL APPROPRIATION.	((\$913,753,000))
	<u>\$1,010,964,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) \$1,661,000 of the general fund—state appropriation for fiscal year 2026 and \$1,661,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the implementation of chapter 196, Laws of 2021 (capital gains tax).

(2) ((~~\$253,005,000~~)) \$289,005,000 of the general fund—state appropriation for fiscal year 2026 and ((~~\$273,103,000~~)) \$309,103,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of chapter 195, Laws of 2021

(working families tax exempt.). Of the total amounts provided in this subsection:

(a) \$14,005,000 of the general fund—state appropriation for fiscal year 2026 and \$14,103,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for administration of the working families tax exemption program; and

(b) (~~(\$239,000,000)~~) \$275,000,000 of the general fund—state appropriation for fiscal year 2026 and (~~(\$259,000,000)~~) \$295,000,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for remittances under the working families tax exemption program.

(3) \$6,976,000 of the general fund—state appropriation for fiscal year 2026 and \$4,510,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the department to implement 2025 revenue legislation. Within the amounts provided in this section, funding is sufficient for the department to implement Substitute Senate Bill No. 5314 (capital gains tax) and Engrossed Substitute House Bill No. 2061 (duty-free sales enterprises).

(4) \$181,000 of the general fund—state appropriation for fiscal year 2026 is provided solely to support the underground economy task force created in section 906, chapter 376, Laws of 2024.

(5) Within existing resources, during the 2025-2027 fiscal biennium, the department of revenue shall implement an expanded voluntary disclosure program for all entities engaged in investment activities that are not a banking, lending, or security business, as defined in RCW 82.04.4281. Unless an audit has been commenced by the department as of July 1, 2025, all such entities may participate in the expanded voluntary disclosure program. During the 2025-2027 fiscal biennium, the department shall waive all penalties and interest for participating entities of the expanded voluntary disclosure program for the purpose of registering and collecting revenue due from businesses.

(6) \$59,000 of the general fund—state appropriation for fiscal year 2026 and \$1,522,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the department to implement 2026 revenue legislation.

(7) \$42,000 of the general fund—state appropriation for fiscal year 2026 and \$10,196,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of Engrossed

Substitute Senate Bill No. 6346 (tax on millionaires). If the bill is not enacted by June 30, 2026, the amounts provided in this subsection shall lapse.

(8) The general fund—state appropriation in this section shall be reduced in accordance with the reduction in lease costs resulting from the department's move into the Edna Lucile Goodrich state-owned building. It is the intent of the legislature to continue this reduction in subsequent fiscal biennia.

Sec. 141. 2025 c 424 s 143 (uncodified) is amended to read as follows:

FOR THE BOARD OF TAX APPEALS

General Fund—State Appropriation (FY 2026)	((\$2,810,000))
	<u>\$2,881,000</u>
General Fund—State Appropriation (FY 2027)	((\$2,847,000))
	<u>\$2,975,000</u>
TOTAL APPROPRIATION	((\$5,657,000))
	<u>\$5,856,000</u>

Sec. 142. 2025 c 424 s 144 (uncodified) is amended to read as follows:

FOR THE OFFICE OF MINORITY AND WOMEN'S BUSINESS ENTERPRISES

General Fund—State Appropriation (FY 2026)	\$3,611,000
General Fund—State Appropriation (FY 2027)	((\$3,677,000))
	<u>\$3,671,000</u>
Minority and Women's Business Enterprises Account—	
State Appropriation	((\$8,350,000))
	<u>\$8,436,000</u>
TOTAL APPROPRIATION	((\$15,638,000))
	<u>\$15,718,000</u>

The appropriations in this section are subject to the following conditions and limitations: The office of minority and women's business enterprises shall consult with the Washington state office of equity on the Washington state toolkit for equity in public spending.

Sec. 143. 2025 c 424 s 145 (uncodified) is amended to read as follows:

FOR THE INSURANCE COMMISSIONER

1	((General Fund—State Appropriation (FY 2026)	\$300,000))
2	General Fund—State Appropriation (FY 2027)	((\$800,000))
3		<u>\$1,100,000</u>
4	General Fund—Federal Appropriation.	((\$6,780,000))
5		<u>\$6,779,000</u>
6	Insurance Commissioner's Regulatory Account—State	
7	Appropriation.	((\$95,465,000))
8		<u>\$101,325,000</u>
9	Insurance Commissioner's Fraud Account—State	
10	Appropriation.	((\$4,851,000))
11		<u>\$5,253,000</u>
12	TOTAL APPROPRIATION.	((\$108,196,000))
13		<u>\$114,457,000</u>

14 The appropriations in this section are subject to the following
15 conditions and limitations:

16 (1) \$1,244,000 of the insurance commissioner's regulatory account
17 —state appropriation is provided solely for the commissioner to
18 continue its work on behavioral health parity compliance,
19 enforcement, and provider network oversight. The commissioner may use
20 internal staff and contracted experts to oversee provider directories
21 and evaluate consumer access to services for mental health and
22 substance use disorders in state-regulated individual, small group,
23 and large group health plans.

24 (2) \$350,000 of the insurance commissioner's regulatory account—
25 state appropriation is provided solely for the commissioner to study
26 the feasibility of using a joint underwriting association to provide
27 property and liability insurance coverage for child care centers,
28 group foster homes, family child care homes, child and youth serving
29 organizations, and child placement services. The commissioner must
30 provide a report of findings to the appropriate policy committees of
31 the legislature by December 31, 2025.

32 (a) The commissioner shall collect information from entities
33 transacting insurance in the state and other sources to evaluate
34 feasibility, limitations, and options. Any authorized insurers,
35 unauthorized insurers, and risk retention groups contacted for
36 purposes of this study are required to provide the requested
37 information to the commissioner. The commissioner may confer with
38 government entities, insurers, and stakeholders as needed for the
39 feasibility study and report of findings.

1 (b) The commissioner may contract with actuaries and other
2 consultants, as needed, to analyze data gathered, evaluate
3 feasibility, assess limitations, develop options and recommendations,
4 and prepare the report.

5 (c) The study shall evaluate, at a minimum:

6 (i) Concerns with the cost or availability of property and
7 liability coverage for child care centers, group foster homes, family
8 child care homes, child and youth serving organizations, and child
9 placement services;

10 (ii) Barriers that child care centers, group foster homes, family
11 child care homes, child and youth serving organizations, and child
12 placement services experience in accessing adequate property and
13 liability coverage;

14 (iii) Whether and how a joint underwriting association might suit
15 the property and liability coverage needs of child care centers,
16 group foster homes, family child care homes, child and youth serving
17 organizations, and child placement services, and any limitations of a
18 joint underwriting association in meeting the need; and

19 (iv) Statutory or implementation considerations relevant to
20 legislative deliberations regarding feasibility.

21 (3) \$3,297,000 of the insurance commissioner's regulatory account
22 —state appropriation is provided solely for the commissioner to
23 enhance consumer education, outreach, counseling, and complaint
24 resolution for elders and persons with disabilities related to
25 medicare program enrollment and access to care through the senior
26 health insurance benefit advisor program. Activities under this
27 subsection may include but are not limited to: Contracts with
28 community-based organizations with language skills and relationships
29 with medicare beneficiaries; permanent or part-time staffing;
30 volunteer recruitment; and outreach activities.

31 (4) \$187,000 of the insurance commissioner's regulatory account—
32 state appropriation is provided solely for implementation of
33 Engrossed Senate Bill No. 5721 (automobile insurance). (~~If the bill~~
34 ~~is not enacted by June 30, 2025, the amount provided in this~~
35 ~~subsection shall lapse.~~)

36 (5) \$290,000 of the insurance commissioner's regulatory account—
37 state appropriation is provided solely for implementation of
38 Substitute Senate Bill No. 5351 (dental insurance practices). (~~If~~

1 ~~the bill is not enacted by June 30, 2025, the amount provided in this~~
2 ~~subsection shall lapse.))~~

3 (6) \$528,000 of the insurance commissioner's regulatory account—
4 state appropriation for fiscal year 2026 is provided solely for the
5 commissioner to study insurers' use of credit history, credit-based
6 insurance scores, other rate factors that may have disparate impacts
7 on Washington residents, and alternatives to their use, in
8 determining personal insurance premiums, rates, or eligibility for
9 coverage, and the associated impacts to consumer costs and the
10 availability of insurance. The commissioner must provide a report of
11 findings to the appropriate policy committees of the legislature by
12 ~~((November 1, 2026))~~ June 1, 2027.

13 (a) In conducting the study, the commissioner shall:

14 (i) Collect information from entities transacting personal
15 insurance as defined in RCW 48.19.035(1)(e), and any identified
16 authorized insurers are required to provide the requested information
17 to the commissioner;

18 (ii) Investigate and obtain any other relevant information that
19 may assist the commissioner with analyzing insurers' use of credit
20 history, credit-based insurance scoring models, other rate factors
21 that may disparately impact Washington residents, and alternatives to
22 their use, in determining personal insurance premiums, rates,
23 eligibility for coverage, and evaluating the associated impacts to
24 consumer costs and the availability of insurance;

25 (iii) Contract with actuarial and other consultants, as needed,
26 to:

27 (A) Analyze insurers' use of credit history, credit-based
28 insurance scoring models, or other rate factors that may disparately
29 impact Washington residents, in determining premiums, rates, and
30 eligibility for coverage for people of various races, ethnicities,
31 sexes, socioeconomic status, and national origins;

32 (B) Identify and analyze alternate rate factors that could be
33 used to determine premiums, rates, and eligibility for coverage that
34 neither rely on credit history or credit-based insurance scoring
35 models, nor disparately impact Washington residents of various races,
36 ethnicities, sexes, socioeconomic status, or national origins; and

37 (C) Analyze the likely impact of insurers' uses under (a)(iii)(A)
38 of this subsection and alternative rate factors identified under
39 (a)(iii)(B) of this subsection, on consumer costs, rates, premiums
40 eligibility for coverage, and availability of insurance for people of

1 various races, ethnicities, sexes, socioeconomic status, and national
2 origins; and

3 (iv) Develop for legislative consideration, policy options and
4 their likely impacts on consumer costs, premiums, rates, eligibility
5 for coverage, and the availability of personal insurance, of use of
6 rate plans that include and exclude credit history, credit-based
7 insurance scoring models, or other rate factors that may have a
8 disparate impact on Washington residents.

9 (b) Consistent with RCW 43.01.036, the commissioner shall submit
10 a final report by (~~November 1, 2026~~) June 1, 2027, with review
11 findings, policy options, and recommendations regarding allowance,
12 prohibition, or contingent use, of credit history, credit-based
13 insurance scoring models, other disparately impactful rating factors,
14 and alternatives to their use, for personal insurance, and the
15 associated impacts on consumer costs, premiums, rates, eligibility
16 for coverage, and availability of insurance for people of various
17 races, ethnicities, sexes, socioeconomic status, and national
18 origins.

19 (c) Data requested by, or provided to, the commissioner and the
20 commissioner's contracted consultants for the purpose of complying
21 with the study and reporting requirements in this subsection is
22 confidential by law and privileged and is not subject to public
23 disclosure under chapter 48.02.065(8) RCW. Nothing in this subsection
24 prohibits the commissioner from preparing and publishing reports,
25 analyses, or other documents using the data received under this
26 subsection so long as the data is in aggregate form and does not
27 permit the identification of information related to individual
28 companies. Data in the aggregate form is deemed public records
29 available for public inspection. Nothing in this subsection affects,
30 limits, or amends the commissioner's authority under chapter 48.37
31 RCW.

32 (7) \$737,000 of the insurance commissioner's regulatory account—
33 state appropriation is provided solely for implementation of
34 Engrossed Substitute Senate Bill No. 5291 (long-term services trust).
35 (~~(If the bill is not enacted by June 30, 2025, the amount provided in~~
36 ~~this subsection shall lapse.)~~)

37 (8) \$284,000 of the insurance commissioner's regulatory account—
38 state appropriation is provided solely for implementation of
39 Substitute House Bill No. 1669 (prosthetic limb coverage). (~~If the~~

~~bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

(9) \$56,000 of the insurance commissioner's regulatory account—state appropriation is provided solely for implementation of Substitute Senate Bill No. 5419 (reports of fire losses). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

(10) \$157,000 of the insurance commissioner's regulatory account—state appropriation is provided solely for implementation of Senate Bill No. 5108 (service contracts). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

(11)(a) \$250,000 of the insurance commissioner's regulatory account—state appropriation is provided solely for the commissioner, in consultation with the health care authority, to complete an analysis of the cost to implement an obesity treatment benefit as described in Senate Bill No. 5353 (diabetes and obesity).

(b) The commissioner must contract with one or more consultants to obtain utilization and cost data from the Washington state all payer claims database and, if needed, Washington state health carriers, as defined in RCW 48.43.005, necessary to provide an estimate of the fiscal impact of including an obesity treatment benefit in the commercial health plan market.

(c) The analysis must include, but is not limited to, a utilization and cost analysis of each of the following services:

(i) Intensive health, behavioral, and lifestyle treatment;

(ii) Metabolic and bariatric surgery; and

(iii) Food and drug administration-approved obesity medication.

(d) The report should include projected costs in the individual, small group and large group markets, separate and in the aggregate, expressed both as total annual costs and per member per month costs for plan years 2028 through 2029.

(e) The commissioner must report the findings of the analysis to the governor and appropriate committees of the legislature by September 30, 2026.

(12) \$350,000 of the insurance commissioner's regulatory account—state appropriation is provided solely for the commissioner to review and evaluate the efficacy of current property protection class rating methodologies and to study the feasibility of modernizing community property classification rating schedules to more accurately reflect

1 the fire protection risk and available mitigations for a specific
2 property by December 31, 2025.

3 (13) \$491,000 of the insurance commissioner's fraud account—state
4 appropriation is provided solely for the commissioner to collaborate
5 with the Pierce county prosecuting attorney's office regarding the
6 criminal prosecution of matters investigated by the limited authority
7 peace officers employed by the commissioner.

8 (14) \$100,000 of the insurance commissioner's regulatory account—
9 state appropriation is provided solely for implementation of
10 Engrossed Second Substitute House Bill No. 1686 (health care entity
11 registry). ~~((If the bill is not enacted by June 30, 2025, the amount
12 provided in this subsection shall lapse.))~~

13 (15) \$1,287,000 of the insurance commissioner's regulatory
14 account—state appropriation is provided solely for implementation of
15 Engrossed Second Substitute House Bill No. 1432 (mental health
16 services). ~~((If the bill is not enacted by June 30, 2025, the amount
17 provided in this subsection shall lapse.))~~

18 (16) \$14,000 of the insurance commissioner's regulatory account—
19 state appropriation is provided solely for implementation of
20 Engrossed Substitute House Bill No. 1971 (prescription hormone
21 therapy). ~~((If the bill is not enacted by June 30, 2025, the amount
22 provided in this subsection shall lapse.))~~

23 (17) \$250,000 of the insurance commissioner's regulatory account—
24 state appropriation is provided solely for the commissioner to enter
25 into an interagency agreement with the health care authority to
26 support economic, actuarial, or other modeling related to design of a
27 universal health care system, as directed in RCW 41.05.840.

28 ~~(18) ((\$116,000 of the insurance commissioner's regulatory
29 account—state appropriation is provided solely for implementation of
30 Substitute House Bill No. 1392 (medicaid access program). If the bill
31 is not enacted by June 30, 2025, the amount provided in this
32 subsection shall lapse.~~

33 ~~(19))~~ \$273,000 of the insurance commissioner's regulatory
34 account—state appropriation is provided solely for implementation of
35 Substitute Senate Bill No. 5579 (health/contract terminations). ~~((If
36 the bill is not enacted by June 30, 2025, the amount provided in this
37 subsection shall lapse.~~

38 ~~(20) \$300,000 of the general fund—state appropriation for fiscal
39 year 2026 and \$800,000))~~ (19) \$1,100,000 of the general fund—state

1 appropriation for fiscal year 2027 (~~(are)~~) is provided solely to the
2 office of the insurance commissioner to defray costs during plan year
3 2026 incurred by carriers for coverage in qualified health plans of
4 state-mandated health benefits included in the state essential health
5 benefits benchmark plan as approved by the federal centers for
6 medicare and medicaid services on October 7, 2024, that are not
7 permitted to be treated as an essential health benefit under federal
8 law or regulation.

9 ~~((21))~~ (20) \$368,000 of the insurance commissioner's regulatory
10 account—state appropriation is provided solely for implementation of
11 Second Substitute House Bill No. 1516 (insurance/affordable units).
12 ~~((If the bill is not enacted by June 30, 2025, the amount provided in
13 this subsection shall lapse.))~~

14 (21)(a) \$250,000 of the insurance commissioner's regulatory
15 account—state appropriation is provided solely for the commissioner
16 to enter into a contract with the William D. Ruckelshaus center to
17 design, convene, and facilitate a collaborative forum with respect to
18 contracting practices between health carriers and health care
19 providers and facilities described in (b) of this subsection for
20 fully insured health plans. The forum shall include participation
21 from:

22 (i) Representatives of licensed clinicians not affiliated with or
23 owned by hospitals or health carriers, such as physical, speech and
24 occupational therapists, chiropractors, advanced registered nurse
25 practitioners, physicians, physician assistants, licensed clinical
26 social workers, marriage and family counselors, mental health
27 counselors, and psychologists;

28 (ii) Representatives of health carriers, as defined in RCW
29 48.43.005;

30 (iii) Representatives of health care facilities, such as urban
31 hospitals, rural hospitals, ambulatory surgery centers, behavioral
32 health agencies, tribal clinics and federally qualified health
33 centers;

34 (iv) A representative of the commissioner; and

35 (v) A representative of the health care authority.

36 (b) The forum shall be capped at 25 primary participants. The
37 Ruckelshaus Center shall work in collaboration with the insurance
38 commissioner to identify and select participants who are
39 representative of interested organizations.

1 (c) The forum shall address issues related to one or more of the
2 following topic areas, which may be prioritized or sequenced:

3 (i) Credentialing of health care facilities and providers,
4 including the use of a uniform electronic process for collecting and
5 transmitting necessary provider-supplied data to support
6 credentialing under RCW 48.165.035, information required by carriers
7 for credentialing, and timeliness of credentialing decisions;

8 (ii) Midcontract modifications of carrier payment, utilization
9 review, or other policies related to payment for or delivery of care
10 to enrollees; and

11 (iii) Contract negotiation practices with respect to rates, fee
12 schedules, or payment methodologies for payment to health care
13 providers and facilities.

14 (d) The forum shall submit a preliminary report to the
15 legislature by December 31, 2026, summarizing its progress to date.

16 (e) It is the intent of the legislature to continue funding the
17 collaborative forum in the 2027-2029 fiscal biennium. The forum shall
18 submit a final report to the legislature by December 15, 2027,
19 detailing the outcome of its work and documenting areas of agreement,
20 disagreement, and any policy considerations or recommendations.
21 Consensus among participants is not required.

22 (22) \$103,000 of the insurance commissioner's regulatory account—
23 state appropriation is provided solely for implementation of Second
24 Substitute House Bill No. 2384 (continuing care retirement). If the
25 bill is not enacted by June 30, 2026, the amount provided in this
26 subsection shall lapse.

27 (23) \$55,000 of the insurance commissioner's regulatory account—
28 state appropriation is provided solely for implementation of
29 Substitute House Bill No. 2428 (life insurance policy lapses). If the
30 bill is not enacted by June 30, 2026, the amount provided in this
31 subsection shall lapse.

32 (24) \$286,000 of the insurance commissioner's regulatory account—
33 state appropriation is provided solely for implementation of
34 Engrossed Second Substitute Senate Bill No. 5395 (prior
35 authorization/health). If the bill is not enacted by June 30, 2026,
36 the amount provided in this subsection shall lapse.

37 (25) \$396,000 of the insurance commissioner's regulatory account—
38 state appropriation is provided solely for implementation of
39 Substitute Senate Bill No. 6248 (travel insurance). If the bill is

not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(26) \$856,000 of the insurance commissioner's regulatory account—state appropriation is provided solely for implementation of Engrossed Substitute Senate Bill No. 5845 (health carrier payments). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(27) \$61,000 of the insurance commissioner's regulatory account—state appropriation is provided solely for implementation of Substitute Senate Bill No. 6183 (HIV antiviral drugs). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(28) \$12,000 of the insurance commissioner's regulatory account—state appropriation is provided solely for implementation of Engrossed Substitute House Bill No. 1187 (delayed ambulance bills). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(29) \$108,000 of the insurance commissioner's regulatory account—state appropriation is provided solely for implementation of Second Substitute Senate Bill No. 6182 (abortion savings program). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(30) \$70,000 of the insurance commissioner's regulatory account—state appropriation is provided solely for implementation of Engrossed Substitute House Bill No. 2242 (preventive health services). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

Sec. 144. 2025 c 424 s 146 (uncodified) is amended to read as follows:

FOR THE STATE INVESTMENT BOARD

State Investment Board Expense Account—State

Appropriation.	((\$90,325,000))
	<u>\$90,548,000</u>
TOTAL APPROPRIATION.	((\$90,325,000))
	<u>\$90,548,000</u>

The appropriation in this section is subject to the following conditions and limitations: \$170,000 of the state investment board expense account—state appropriation is provided solely for

implementation of Senate Joint Resolution No. 8201 (investment/LTSS accounts). ~~((If the resolution is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

Sec. 145. 2025 c 424 s 147 (uncodified) is amended to read as follows:

FOR THE LIQUOR AND CANNABIS BOARD

General Fund—State Appropriation (FY 2026)	\$620,000
General Fund—State Appropriation (FY 2027)	((\$638,000))
	<u>\$637,000</u>
General Fund—Federal Appropriation	((\$3,210,000))
	<u>\$3,249,000</u>
General Fund—Private/Local Appropriation	\$75,000
Dedicated Cannabis Account—State Appropriation	
(FY 2026)	\$14,486,000
Dedicated Cannabis Account—State Appropriation	
(FY 2027)	((\$14,966,000))
	<u>\$14,892,000</u>
Liquor Revolving Account—State Appropriation	((\$105,057,000))
	<u>\$106,798,000</u>
TOTAL APPROPRIATION	((\$139,052,000))
	<u>\$140,757,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) The liquor and cannabis board may require electronic payment of the cannabis excise tax levied by RCW 69.50.535. The liquor and cannabis board may allow a waiver to the electronic payment requirement for good cause as provided by rule.

(2) \$8,208,000 of the liquor revolving account—state appropriation is provided solely for the tax and fee systems replacement and are subject to the conditions, limitations, and review requirements of section 701 of this act.

(3) \$117,000 of the liquor revolving account—state appropriation is provided solely for implementation of Engrossed Senate Bill No. 5206 (cannabis advertising). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

(4) \$165,000 of the liquor revolving account—state appropriation is provided solely for implementation of Second Substitute Senate

1 Bill No. 5786 (liquor license fees). ~~((If the bill is not enacted by~~
2 ~~June 30, 2025, the amount provided in this subsection shall lapse.))~~

3 (5) \$1,367,000 of the liquor revolving account—state
4 appropriation is provided solely for implementation of Second
5 Substitute House Bill No. 1515 (alcohol service in public). ~~((If the~~
6 ~~bill is not enacted by June 30, 2025, the amount provided in this~~
7 ~~subsection shall lapse.))~~

8 (6) \$28,000 of the liquor revolving account—state appropriation
9 is provided solely for implementation of Engrossed House Bill No.
10 1602 (liquor food service options). ~~((If the bill is not enacted by~~
11 ~~June 30, 2025, the amount provided in this subsection shall lapse.))~~

12 (7) Within existing resources appropriated in this section, by
13 December 1, 2025, the liquor and cannabis board, in consultation with
14 the department of commerce when specified in this subsection, shall
15 evaluate the cannabis social equity program as provided in this
16 subsection and submit a report to the governor and appropriate
17 committees of the legislature with findings and policy options. In
18 conducting the evaluation, the board shall provide opportunities for
19 public comment on the cannabis social equity program from communities
20 throughout Washington. The evaluation must include the following
21 components:

22 (a) A review of feedback received by the board in public comments
23 from individuals that the program is intended to benefit, the public,
24 and the cannabis industry;

25 (b) An examination of the issuance and reissuance of cannabis
26 retailer licenses that began before January 1, 2025, under the
27 provisions of chapter 236, Laws of 2020, including a comparative
28 analysis of the applicants who successfully secured a location and
29 were issued a cannabis retailer license relative to applicants whose
30 status remains pending but were issued a preliminary letter of
31 approval by the board;

32 (c) An examination, in consultation with the department of
33 commerce, of grants awarded and the mentorships provided under RCW
34 43.330.540 and opportunities for the alignment of the board's
35 implementation of the cannabis social equity program with the
36 department of commerce's implementation of RCW 43.330.540;

37 (d) The demographic information about owners of licensed cannabis
38 businesses who became licensed under the cannabis social equity
39 program, to the extent such information is available or obtainable by
40 the board;

(e) The identification of any provisions of law or rule and any economic, market, or practical factors that effectively prevent or hinder the successful opening, operation, and business success of cannabis businesses licensed under the cannabis social equity program; and

(f) An examination of the impact of provisions in laws and rules on cannabis licensees in the cannabis social equity program with respect to: (i) Permissible locations for the siting of licensed cannabis businesses, including distance restrictions in RCW 69.50.331(8), zoning or other location restrictions in local government ordinances, and local written objections under RCW 69.50.331(11); (ii) the mobility of cannabis licenses to or between jurisdictions; (iii) the ability of persons holding an existing cannabis retailer license or title certificate for a cannabis retailer business to apply for a cannabis license under a cannabis social equity program, when the license or certificate holder is located in a local jurisdiction that is subject to a ban or moratorium on cannabis retail businesses; (iv) prioritizing license applications through use of a third-party contractor, using a scoring rubric developed by the board; (v) restrictions on the transfer or assumption of a cannabis license issued through the cannabis social equity program, other than to individuals or groups of individuals who comply with the requirements for initial licensure as a social equity applicant for a period of at least five years from the date of initial licensure; and (vi) the definition of a "social equity applicant."

Sec. 146. 2025 c 424 s 148 (uncodified) is amended to read as follows:

FOR THE UTILITIES AND TRANSPORTATION COMMISSION

Public Service Revolving Account—State Appropriation.	((\$72,453,000))
	<u>\$73,324,000</u>
Public Service Revolving Account—Federal	
Appropriation.	\$100,000
Pipeline Safety Account—State Appropriation.	((\$3,759,000))
	<u>\$3,787,000</u>
Pipeline Safety Account—Federal Appropriation.	((\$3,473,000))
	<u>\$3,472,000</u>
TOTAL APPROPRIATION.	((\$79,785,000))

The appropriations in this section are subject to the following conditions and limitations:

(1) Up to \$800,000 of the public service revolving account—state appropriation in this section is for the utilities and transportation commission to supplement funds committed by a telecommunications company to expand rural broadband service on behalf of an eligible governmental entity. The amount in this subsection represents payments collected by the utilities and transportation commission pursuant to the Qwest performance assurance plan.

(2) \$617,000 of the public service revolving account—state appropriation is provided solely for implementation of Engrossed Second Substitute Senate Bill No. 5284 (solid waste management). If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.

(3) \$239,000 of the public service revolving account—state appropriation is provided solely for implementation of Engrossed Substitute Senate Bill No. 5445 (local energy resilience). If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.

(4) \$39,000 of the public service revolving account—state appropriation is provided solely for implementation of Second Substitute House Bill No. 1990 (utility disaster costs). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

(5) \$71,000 of the public service revolving account—state appropriation is provided solely for implementation of Engrossed Substitute House Bill No. 1522 (utility wildfire mitigation). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

(6) \$202,000 of the public service revolving account—state appropriation is provided solely for implementation of Second Substitute House Bill No. 1514 (low carbon thermal energy). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

(7) \$404,000 of the public service revolving account—state appropriation is provided solely for implementation of Second Substitute House Bill No. 1906 (water system rates). If the bill is

not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(8) \$79,000 of the public services revolving account—state appropriation is provided solely for implementation of Substitute Senate Bill No. 5982 (consumer-owned utilities). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(9) \$132,000 of the public service revolving account—state appropriation is provided solely for implementation of Substitute Senate Bill No. 6355 (electric transmission system). If the bill is not enacted by June 30, 2026, the amounts provided in this subsection shall lapse.

Sec. 147. 2025 c 424 s 149 (uncodified) is amended to read as follows:

FOR THE MILITARY DEPARTMENT

General Fund—State Appropriation (FY 2026).	((\$16,219,000))
	<u>\$16,185,000</u>
General Fund—State Appropriation (FY 2027).	((\$15,961,000))
	<u>\$17,013,000</u>
General Fund—Federal Appropriation.	((\$148,158,000))
	<u>\$148,640,000</u>
911 Account—State Appropriation.	((\$55,114,000))
	<u>\$65,656,000</u>
Disaster Response Account—State Appropriation.	((\$52,763,000))
	<u>\$86,382,000</u>
Disaster Response Account—Federal Appropriation.	((\$702,432,000))
	<u>\$608,182,000</u>
Military Department Rent and Lease Account—State Appropriation.	\$1,409,000
Military Department Active State Service Account— State Appropriation.	\$400,000
Natural Climate Solutions Account—State Appropriation.	((\$55,000))
	<u>\$28,000</u>
Oil Spill Prevention Account—State Appropriation.	\$855,000
Worker and Community Right to Know Fund—State Appropriation.	((\$2,243,000))
	<u>\$2,242,000</u>

TOTAL APPROPRIATION. ((~~\$995,609,000~~))
\$946,992,000

The appropriations in this section are subject to the following conditions and limitations:

(1) The military department shall submit a report to the office of financial management and the legislative fiscal committees by February 1st and October 31st of each year detailing information on the disaster response account, including: (a) The amount and type of deposits into the account; (b) the current available fund balance as of the reporting date; and (c) the projected fund balance at the end of the 2025-2027 fiscal biennium based on current revenue and expenditure patterns.

(2) \$40,000,000 of the general fund—federal appropriation is provided solely for homeland security, subject to the following conditions: Any communications equipment purchased by local jurisdictions or state agencies shall be consistent with standards set by the Washington state interoperability executive committee.

(3) ((~~\$11,000,000~~)) \$16,500,000 of the 911 account—state appropriation is provided solely for financial assistance to counties.

(4) \$784,000 of the disaster response account—state appropriation is provided solely for fire suppression training, equipment, and supporting costs to national guard soldiers and airmen.

(5) \$876,000 of the disaster response account—state appropriation is provided solely for a dedicated access and functional needs program manager, access and functional need services, and a dedicated tribal liaison to assist with disaster preparedness and response.

(6) The department must report to and coordinate with the department of ecology to track expenditures from climate commitment act accounts, as defined and described in RCW 70A.65.300 and chapter 173-446B WAC. If an expenditure is expected to result in greenhouse gas emission reductions, the department must use a department of ecology approved calculator tool or methodology.

(7)(a) \$355,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for the department to conduct a study regarding statewide building code and construction standards pertaining to earthquake and tsunami resilience as well as recommendations for functional recovery of buildings and critical infrastructure directly following an earthquake. In conducting the

1 study, the department must request input from the state building code
2 council and representatives of appropriate public and private sector
3 entities. The department may contract for all or a portion of the
4 study. The study must, at a minimum, include an assessment of:

5 (i) Functional recovery building code standards that are being
6 developed at the federal level, have been proposed or adopted in
7 other countries, states, or local jurisdictions with a high risk of
8 earthquakes, or are developed by public or private organizations with
9 expertise in earthquake performance standards and safety;

10 (ii) The levels of functional recovery supported by current state
11 and local building and construction codes;

12 (iii) The objectives, feasibility, necessary measures, and
13 estimated costs of adopting and implementing statewide functional
14 recovery building code standards, and how this assessment is impacted
15 by whether the standards:

16 (A) Are mandatory or voluntary;

17 (B) Apply to only certain types of structures and infrastructure
18 or prioritize certain types of structures and infrastructure;

19 (C) Apply to existing structures and infrastructure in addition
20 to new construction;

21 (D) Are intended to apply to only specific seismic hazard levels;
22 or

23 (E) Include nonstructural components as well as structural
24 systems;

25 (iv) How statewide standards for functional recovery would fit
26 into an all hazards approach for state emergency response and
27 recovery;

28 (v) Funding opportunities that provide for the coordination of
29 state and federal funds for the purposes of improving the state's
30 preparedness for functional recovery following a significant
31 earthquake or tsunami; and

32 (vi) Equity considerations for the development of statewide
33 building code standards for functional recovery.

34 (b) The department must submit a final report summarizing the
35 study's findings and including policy recommendations relating to
36 statewide building code standards for functional recovery to the
37 appropriate committees of the legislature by May 1, 2026.

38 (8) \$2,500,000 of the 911 account—state appropriation is provided
39 solely for statewide 911 technology enhancements and is subject to

1 the conditions, limitations, and review requirements of section 701
2 of this act.

3 (9) (a) \$150,000 of the general fund—state appropriation for
4 fiscal year 2027 is provided solely for the department to update and
5 complete the inventory and categorization of unreinforced masonry
6 buildings in Washington, as initially directed in section 1009,
7 chapter 298, Laws of 2018.

8 (b) In updating the inventory, the department must:

9 (i) Review existing survey and data sources, including the
10 state's historic resources database and Sanborn maps to identify and
11 confirm unreinforced masonry construction;

12 (ii) Conduct ground truthing of suspected unreinforced masonry to
13 confirm construction type and vulnerability; and

14 (iii) Upload unreinforced masonry data into the Washington system
15 for architectural and archaeological records data portal and
16 dashboard to enable local jurisdictions to view, download, and use to
17 guide unreinforced masonry retrofit efforts, hazard mitigation plans,
18 and emergency management plans.

19 (c) The department must submit a preliminary report on the
20 progress of updating the inventory to the appropriate committees of
21 the legislature by June 30, 2027. The department must submit a final
22 report with the completed inventory to the appropriate committees of
23 the legislature by June 30, 2029. It is the intent of the legislature
24 to provide funding to complete the inventory and the final report in
25 the 2027-2029 fiscal biennium.

26 ***Sec. 148.** 2025 c 424 s 150 (uncodified) is amended to read as
27 follows:

28 **FOR THE PUBLIC EMPLOYMENT RELATIONS COMMISSION**

29	General Fund—State Appropriation (FY 2026).	((\$2,765,000))
30		<u>\$2,764,000</u>
31	General Fund—State Appropriation (FY 2027).	((\$2,740,000))
32		<u>\$2,811,000</u>
33	Personnel Service Account—State Appropriation.	((\$4,872,000))
34		<u>\$4,897,000</u>
35	Higher Education Personnel Services Account—State	
36	Appropriation.	((\$1,613,000))
37		<u>\$1,615,000</u>
38	TOTAL APPROPRIATION.	((\$11,990,000))

The appropriations in this section are subject to the following conditions and limitations:

(1) \$61,000 of the general fund—state appropriation for fiscal year 2026 and \$41,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of Substitute Senate Bill No. 5503 (public employee bargaining). ~~((If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.))~~

(2) \$119,000 of the general fund—state appropriation for fiscal year 2026 and \$99,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of Engrossed Substitute House Bill No. 1141 (ag. cannabis workers). ~~((If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.))~~

(3) \$41,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for implementation of Substitute Senate Bill No. 5972 (correctional officers/arb.). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

**Sec. 148 was partially vetoed. See message at end of chapter.*

Sec. 149. 2025 c 424 s 151 (uncodified) is amended to read as follows:

FOR THE BOARD OF ACCOUNTANCY

Certified Public Accountants' Account—State

Appropriation. ((\$4,802,000))

\$4,958,000

TOTAL APPROPRIATION. ((\$4,802,000))

\$4,958,000

Sec. 150. 2025 c 424 s 152 (uncodified) is amended to read as follows:

FOR THE BOARD FOR VOLUNTEER FIREFIGHTERS

Volunteer Firefighters' and Reserve Officers'

Administrative Account—State Appropriation. ((\$1,563,000))

\$1,517,000

TOTAL APPROPRIATION. ((\$1,563,000))

\$1,517,000

Sec. 151. 2025 c 424 s 153 (uncodified) is amended to read as follows:

FOR THE FORENSIC INVESTIGATION COUNCIL

Death Investigations Account—State Appropriation.	((\$841,000))
	<u>\$840,000</u>
TOTAL APPROPRIATION.	((\$841,000))
	<u>\$840,000</u>

The appropriation in this section is subject to the following conditions and limitations:

(1)(a) \$250,000 of the death investigations account—state appropriation is provided solely for providing financial assistance to local jurisdictions in multiple death investigations. The forensic investigation council shall develop criteria for awarding these funds for multiple death investigations involving an unanticipated, extraordinary, and catastrophic event or those involving multiple jurisdictions.

(b) Of the amount provided in this subsection, \$30,000 of the death investigations account—state appropriation is provided solely for the Adams county crime lab to investigate a double homicide that occurred in fiscal year 2021.

(2) \$210,000 of the death investigations account—state appropriation is provided solely for providing financial assistance to local jurisdictions in identifying human remains.

(3) The forensic investigation council must collaborate and work with the Washington state patrol for the patrol to provide services related to public records requests, to include responding to, or assisting the council in responding to, public disclosure requests received by the council.

Sec. 152. 2025 c 424 s 154 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF ENTERPRISE SERVICES

General Fund—State Appropriation (FY 2026).	((\$18,229,000))
	<u>\$18,118,000</u>
General Fund—State Appropriation (FY 2027).	((\$17,985,000))
	<u>\$16,929,000</u>
General Fund—Private/Local Appropriation.	\$102,000
Building Code Council Account—State Appropriation.	((\$2,266,000))
	<u>\$2,678,000</u>

Climate Commitment Account—State Appropriation. . . .	((\$1,308,000))
	<u>\$2,808,000</u>
Prescribed Fire Claims Account—State Appropriation. . . .	\$2,000,000
TOTAL APPROPRIATION.	((\$41,890,000))
	<u>\$42,635,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) \$6,672,000 of the general fund—state appropriation for fiscal year 2026 and ((~~\$6,725,000~~)) \$6,846,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the payment of facilities and services charges to include campus rent, parking, security, contracts, public and historic facilities, financial cost recovery, and capital projects surcharges allocable to the senate, house of representatives, statute law committee, legislative support services, and joint legislative systems committee. The department shall allocate charges attributable to these agencies among the affected revolving funds. The department shall maintain an interagency agreement with these agencies to establish performance standards, prioritization of preservation and capital improvement projects, and quality assurance provisions for the delivery of services under this subsection. The legislative agencies named in this subsection shall continue to have all of the same rights of occupancy and space use on the capitol campus as historically established.

(2) Before any agency may purchase a passenger motor vehicle as defined in RCW 43.19.560, the agency must have approval from the director of the department of enterprise services. Agencies that are exempted from the requirement are the Washington state patrol, Washington state department of transportation, and the department of natural resources.

(3) From the fee charged to master contract vendors, the department shall transfer to the office of minority and women's business enterprises in equal monthly installments \$1,500,000 in fiscal year 2026 and \$1,300,000 in fiscal year 2027.

(4) Within existing resources, the department, in collaboration with Washington technology solutions, must provide a report to the governor and fiscal committees of the legislative by October 31 of each calendar year that reflects information technology contract information based on a contract snapshot from June 30 of that same

1 calendar year, and must also include any contract that was active
2 since July 1 of the previous calendar year. The department will
3 coordinate to receive contract information for all contracts to
4 include those where the department has delegated authority so that
5 the report includes statewide contract information. The report must
6 contain a list of all information technology contracts to include the
7 agency name, contract number, vendor name, contract term start and
8 end dates, contract dollar amount in total, and contract dollar
9 amounts by state fiscal year. The report must also include, by
10 contract, the contract spending projections by state fiscal year for
11 each ensuing state fiscal year through the contract term, and note
12 the type of service delivered. The list of contracts must be provided
13 electronically in Excel and be sortable by all field requirements.
14 The report must also include trend analytics on information
15 technology contracts, and recommendations for reducing costs where
16 possible.

17 (5) \$654,000 of the general fund—state appropriation for fiscal
18 year 2026 (~~((and \$654,000 of the general fund—state appropriation for~~
19 ~~fiscal year 2027 are))~~) is provided solely for the department, in
20 collaboration with the state efficiency and environmental performance
21 program, to implement the zero emission vehicle strategy.

22 (6) \$1,501,000 of the general fund—state appropriation for fiscal
23 year 2026 and \$1,500,000 of the (~~((general fund—state appropriation~~
24 ~~for fiscal year 2027))~~) climate commitment account—state appropriation
25 are provided solely for zero emission electric vehicle supply
26 equipment infrastructure at facilities to accommodate charging
27 station installation. The electric vehicle charging equipment must
28 allow for the collection of usage data and must be coordinated with
29 the state efficiency and environmental performance program. The
30 department must prioritize locations based on state efficiency and
31 environmental performance location priorities, and at least where
32 zero emission fleet vehicles are or are scheduled to be purchased.
33 The department must report when and where the equipment was
34 installed, usage data at each charging station, and the state
35 agencies and facilities that benefit from the installation of the
36 charging station to the fiscal committees of the legislature by June
37 30. The department shall collaborate with the interagency electric
38 vehicle coordinating council to implement this subsection and must

work to meet benchmarks established in chapter 182, Laws of 2022 (transportation resources).

(7) (a) \$6,052,000 of the general fund—state appropriation for fiscal year 2026 and \$6,052,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for contracting with a nonprofit organization to produce gavel-to-gavel television coverage of state government deliberations and other events statewide. The funding level for each year of the contract shall be based on the amount provided in this subsection. The nonprofit organization shall be required to raise contributions or commitments to make contributions, in cash or in kind, in an amount equal to 40 percent of the state contribution. The department may make full or partial payment once all criteria in this subsection have been satisfactorily documented.

(b) The legislature finds that the commitment of on-going funding is necessary to ensure continuous, autonomous, and independent coverage of public affairs. For that purpose, the department shall enter into a contract with the nonprofit organization to provide public affairs coverage.

(c) The nonprofit organization shall prepare an annual independent audit, an annual financial statement, and an annual report, including benchmarks that measure the success of the nonprofit organization in meeting the intent of the program.

(d) No portion of any amounts disbursed pursuant to this subsection may be used, directly or indirectly, for any of the following purposes:

(i) Attempting to influence the passage or defeat of any legislation by the legislature of the state of Washington, by any county, city, town, or other political subdivision of the state of Washington, or by the congress, or the adoption or rejection of any rule, standard, rate, or other legislative enactment of any state agency;

(ii) Making contributions reportable under chapter 42.17A RCW; or

(iii) Providing any: (A) Gift; (B) honoraria; or (C) travel, lodging, meals, or entertainment to a public officer or employee.

(8) \$15,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for implementation of Substitute Senate Bill No. 5655 (child care centers/buildings). (~~If the bill is not~~

enacted by June 30, 2025, the amount provided in this subsection shall lapse.))

(9) \$112,000 of the general fund—state appropriation for fiscal year ((2026)) 2027 is provided solely for implementation of Engrossed Substitute Senate Bill No. 5552 (kit homes/building codes). If the bill is not enacted by June 30, ((2025)) 2026, the amount provided in this subsection shall lapse.

(10) \$2,000,000 of the prescribed fire claims account—state appropriation is provided solely for implementation of Engrossed Second Substitute House Bill No. 1563 (prescribed fire claims). ((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))

Sec. 153. 2025 c 424 s 155 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF ARCHAEOLOGY AND HISTORIC PRESERVATION

General Fund—State Appropriation (FY 2026).	((\$4,040,000))
	<u>\$4,009,000</u>
General Fund—State Appropriation (FY 2027).	((\$3,973,000))
	<u>\$4,308,000</u>
General Fund—Federal Appropriation.	((\$2,559,000))
	<u>\$3,387,000</u>
General Fund—Private/Local Appropriation.	\$14,000
Climate Commitment Account—State Appropriation.	\$617,000
TOTAL APPROPRIATION.	((\$11,203,000))
	<u>\$12,335,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) \$350,000 of the general fund—state appropriation for fiscal year 2026 and \$350,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the Washington main street program.

(2) \$125,000 of the general fund—state appropriation for fiscal year 2026 and \$125,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the implementation of the black historic sites survey project.

(3) The department must report to and coordinate with the department of ecology to track expenditures from climate commitment act accounts, as defined and described in RCW 70A.65.300 and chapter

173-446B WAC. If an expenditure is expected to result in greenhouse gas emission reductions, the department must use a department of ecology approved calculator tool or methodology.

(4) \$142,000 of the general fund—state appropriation is provided solely for implementation of Substitute Senate Bill No. 6355 (electric transmission system). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(5) \$175,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for the department to develop a model ordinance that could be used by local governments to protect archaeological and cultural resources when development may impact places of importance to local history and federally recognized Indian tribes. The model ordinance must be developed in consultation with federally recognized Indian tribes and with participation from the Washington state association of counties, the association of Washington cities, the governor's office of Indian affairs, the department of commerce, the department of ecology, a statewide association representing home builders, a statewide association representing general business, and an environmental nonprofit focused on land use and housing. In developing the model ordinance, the department must identify minimum requirements that would demonstrate archaeological and cultural resources protection. In developing minimum requirements, the department must consider best practices from ordinances adopted by local jurisdictions with the express purpose of protecting archaeological and cultural resources. By June 1, 2027, the department must provide a report to the legislature that includes: The model ordinance; minimum requirements for a compliant ordinance; a list of tribes consulted; a list of stakeholders engaged; and a summary of key findings that informed the development of the ordinance.

***Sec. 154.** 2025 c 424 s 156 (uncodified) is amended to read as follows:

FOR THE WASHINGTON TECHNOLOGY SOLUTIONS AGENCY

General Fund—State Appropriation (FY 2026) \$188,000

General Fund—State Appropriation (FY 2027) ((~~\$188,000~~))

\$130,000

Washington Technology Solutions Revolving Account—

State Appropriation. ((~~\$140,085,000~~))

1 \$141,558,000
2 TOTAL APPROPRIATION. ((~~\$140,461,000~~))
3 \$141,876,000

4 The appropriations in this section are subject to the following
5 conditions and limitations:

6 (1) \$2,000,000 of the Washington technology solutions revolving
7 account—state appropriation is provided solely for experienced
8 information technology project managers to provide critical support
9 to agency IT projects that are under oversight from Washington
10 technology solutions. The staff or vendors will:

11 (a) Provide master level project management guidance to agency IT
12 stakeholders;

13 (b) Consider statewide best practices from the public and private
14 sectors, independent review and analysis, vendor management, budget
15 and timing quality assurance and other support of current or past IT
16 projects in at least Washington state and share these with agency IT
17 stakeholders and legislative fiscal staff at least twice annually and
18 post these to the statewide IT dashboard; and

19 (c) Provide independent recommendations to legislative fiscal
20 committees by December of each calendar year on oversight of IT
21 projects to include opportunities for accountability and performance
22 metrics.

23 ~~(2) ((\$2,226,000 of the Washington technology solutions revolving~~
24 ~~account—state appropriation is provided solely for the enterprise~~
25 ~~data management pilot project, and is subject to the conditions,~~
26 ~~limitations, and review requirements of section 701 of this act.~~

27 ~~(3) (\$16,655,000))~~ \$16,474,000 of the Washington technology
28 solutions revolving account—state appropriation is provided solely
29 for the office of cyber security.

30 ~~((+4))~~ (3) \$2,692,000 of the Washington technology solutions
31 revolving account—state appropriation is provided solely for the
32 office of privacy and data protection.

33 ~~((+5))~~ (4) Washington technology solutions shall work with
34 customer agencies using the Washington state electronic records vault
35 (WASERV) to identify opportunities to:

36 (a) Reduce storage volumes and costs associated with vault
37 records stored beyond the agencies' record retention schedules; and

1 (b) Assess a customized service charge as defined in chapter 304,
2 Laws of 2017 for costs of using WASERV to prepare data compilations
3 in response to public records requests.

4 (~~((+6))~~) (5) (a) In conjunction with Washington technology
5 solutions' prioritization of proposed information technology
6 expenditures, agency budget requests for proposed information
7 technology expenditures must include the following:

8 (i) The agency's priority ranking of each information technology
9 request;

10 (ii) The estimated cost by fiscal year and by fund for the
11 current biennium;

12 (iii) The estimated cost by fiscal year and by fund for the
13 ensuing biennium;

14 (iv) The estimated total cost for the current and ensuing
15 biennium;

16 (v) The total cost by fiscal year, by fund, and in total, of the
17 information technology project since it began;

18 (vi) The estimated cost by fiscal year and by fund over all
19 biennia through implementation and close out and into maintenance and
20 operations;

21 (vii) The estimated cost by fiscal year and by fund for service
22 level agreements once the project is implemented;

23 (viii) The estimated cost by fiscal year and by fund for agency
24 staffing for maintenance and operations once the project is
25 implemented; and

26 (ix) The expected fiscal year when the agency expects to complete
27 the request.

28 (b) Washington technology solutions and the office of financial
29 management may request agencies to include additional information on
30 proposed information technology expenditure requests.

31 (~~((+7))~~) (6) Washington technology solutions must not increase
32 fees charged for existing services without prior approval by the
33 office of financial management. The agency may develop fees to
34 recover the actual cost of new infrastructure to support increased
35 use of cloud technologies.

36 (~~((+8))~~) (7) Within existing resources, the agency must provide
37 oversight of state procurement and contracting for information
38 technology goods and services by the department of enterprise
39 services.

1 ~~((9))~~ (8) Within existing resources, the agency must host,
2 administer, and support the state employee directory in an online
3 format to provide public employee contact information.

4 ~~((10))~~ (9) The health care authority, the health benefit
5 exchange, the department of social and health services, the
6 department of health, the department of corrections, and the
7 department of children, youth, and families shall work together
8 within existing resources to establish the health and human services
9 enterprise coalition (the coalition). The coalition, led by the
10 health care authority, must be a multi-organization collaborative
11 that provides strategic direction and federal funding guidance for
12 projects that have cross-organizational or enterprise impact,
13 including information technology projects that affect organizations
14 within the coalition. Washington technology solutions shall maintain
15 a statewide perspective when collaborating with the coalition to
16 ensure that the development of projects identified in this report are
17 planned for in a manner that ensures the efficient use of state
18 resources and maximizes federal financial participation. The work of
19 the coalition and any project identified as a coalition project is
20 subject to the conditions, limitations, and review provided in
21 section 701 of this act.

22 ~~((11) \$9,101,000))~~ (10) \$8,975,000 of the Washington technology
23 solutions revolving account—state appropriation is provided solely
24 for the creation and ongoing delivery of information technology
25 services tailored to the needs of small agencies. The scope of
26 services must include, at a minimum, full-service desktop support,
27 service assistance, security, and consultation.

28 ~~((12) \$86,566,000))~~ (11) \$89,716,000 of the Washington
29 technology solutions revolving account—state appropriation is
30 provided solely for the procurement and distribution of Microsoft 365
31 licenses which must include advanced security features and cloud-
32 based private branch exchange capabilities for state agencies. The
33 office must report annually to fiscal committees of the legislature
34 each December 31, on the count and type of licenses distributed by
35 Washington technology solutions to each state agency. The report must
36 also separately report on the count and type of Microsoft 365
37 licenses that state agencies have in addition to those that are
38 distributed by Washington technology solutions so that the total
39 count, type of license, and cost is known for statewide Microsoft 365
40 licenses.

1 (~~(13)~~) (12) Washington technology solutions shall maintain an
2 information technology project dashboard that, at minimum, provides
3 updated information each fiscal month on, at least, the projects
4 subject to section 701 of this act.

5 (a) The statewide information technology dashboard must include,
6 at a minimum, the:

7 (i) Start date of the project;

8 (ii) End date of the project, when the project will close out and
9 implementation will commence;

10 (iii) Term of the project in state fiscal years across all
11 biennia to reflect the start of the project through the end of the
12 project;

13 (iv) Total project cost from start date through the end date of
14 the project in total dollars, and a subtotal of near general fund
15 outlook;

16 (v) Near general fund outlook budget and actual spending in total
17 dollars and by fiscal month for central service agencies that bill
18 out project costs;

19 (vi) Start date of maintenance and operations;

20 (vii) Estimated annual state fiscal year cost of maintenance and
21 operations after implementation and close out;

22 (viii) Actual spending by state fiscal year and in total for
23 state fiscal years that have closed;

24 (ix) Date a feasibility study was completed or note if none has
25 been completed to date;

26 (x) Monthly project status assessments on scope, schedule,
27 budget, and overall by the:

28 (A) Washington technology solutions;

29 (B) Quality assurance vendor, if applicable; and

30 (C) Agency project team;

31 (xi) Monthly quality assurance reports, if applicable;

32 (xii) Monthly Washington technology solutions status reports on
33 budget, scope, schedule, and overall project status; and

34 (xiii) Historical project budget and expenditures through fiscal
35 year 2025.

36 (b) The statewide dashboard must retain a roll up of the entire
37 project cost, including all subprojects, that can display subproject
38 detail. This includes coalition projects that are active. For
39 projects that include multiple agencies or subprojects and roll up,
40 the dashboard must display:

1 (i) A separate technology budget and investment plan for each
2 impacted agency. If the impacted agency has funding appropriated to
3 another agency, as is done with the statewide electronic health
4 records solution where the federal funding is appropriated to the
5 health care authority and not at the department of corrections, then
6 the technology budget must be compiled in the lead agency technology
7 budget only, referencing any differences in appropriation index, as
8 described in section 701(4)(b)(iii)(B) of this act; and

9 (ii) A statewide project technology budget roll up that includes
10 each affected agency at the subproject level.

11 (c) Washington technology solutions may recommend additional
12 elements to include but must have agreement with legislative fiscal
13 committees and the office of financial management prior to including
14 additional elements.

15 (d) The agency must ensure timely posting of project data on the
16 statewide information technology dashboard for at least each project
17 funded in the budget and those projects subject to the conditions,
18 limitations, and review requirements of section 701 of this act to
19 include, at a minimum, posting on the dashboard:

20 (i) The budget funded level by project for each project under
21 oversight within 30 calendar days of the budget being signed into
22 law;

23 (ii) The project historical expenditures through completed fiscal
24 years by December 31; and

25 (iii) Whether each project has completed a feasibility study.

26 (e) Washington technology solutions must post to the statewide
27 dashboard a list of funding received by fiscal year by enacted
28 session law, and how much was received citing chapter law as a list
29 of funding provided by fiscal year.

30 (f) Washington technology solutions must update processes for
31 posting to the statewide dashboard to ensure the actual project
32 expenditures are posted to the statewide dashboard as the costs are
33 incurred against the discrete project coding in the agency financial
34 reporting system (AFRS).

35 (g) Washington technology solutions must update processes for
36 posting to the statewide dashboard to ensure the budget program
37 planned spend amounts by fiscal month for this fiscal biennium are
38 not posted to the dashboard until the office of financial management
39 has approved funding for the certified project gate, after the 10
40 business day review by fiscal committees of the legislature.

1 (h) Washington technology solutions must update process
2 assumptions for the technology budget so that projects:

3 (i) Under oversight do not exceed the enacted budget amounts by
4 fund by fiscal year on the budgeted resources worksheet; and

5 (ii) Not under oversight use the in-kind resources worksheet for
6 their project detail and do not use the budgeted resources worksheet
7 as they enter their budget spending plans by fund by fiscal month and
8 fiscal year.

9 (i) Washington technology solutions must ensure that each
10 discrete posting to the statewide dashboard of a technology budget
11 must remain posted to the dashboard for historical purposes and not
12 be removed or replaced.

13 (j) Washington technology solutions must ensure that if a project
14 technology budget workbook changes, including technical changes
15 within the workbook, and varies from the prior posted technology
16 budget on the dashboard, and once a revised technology budget is
17 completed, a comparison of the revised technology budget to the last
18 posted approved technology budget must be posted to the dashboard, to
19 include a narrative rationale on what changed, why, and how the
20 changes impact the project scope, budget, and schedule.

21 (k) Washington technology solutions must ensure that, if a
22 project is aware of deliverable and milestone changes compared to the
23 last gated office of financial management approved funding gated
24 release, before approving or certifying the next gate the project
25 must update the technology budget deliverables and spending plan to
26 reflect these changes before the agency can apply for certification
27 as required in section 701 of this act.

28 ~~((14))~~ (13) Within existing resources, Washington technology
29 solutions must collaborate with the department of enterprise services
30 on the annual contract report that provides information technology
31 contract information. Washington technology solutions will:

32 (a) Provide data to the department of enterprise services
33 annually by September 1 of each year; and

34 (b) Provide analysis on contract information for all agencies
35 comparing spending across state fiscal years by, at least, the
36 contract spending towers.

37 ~~((15)) \$8,666,000 of the Washington technology solutions~~
38 ~~revolving account state appropriation is provided solely for~~
39 ~~implementation of the enterprise cloud computing program as outlined~~
40 ~~in the December 2020 Washington state cloud readiness report. Funding~~

provided includes, but is not limited to, cloud service broker resources, cloud center of excellence, cloud management tools, a network assessment, cybersecurity governance, and a cloud security roadmap.

~~(16)~~ \$3,498,000 of the Washington technology solutions revolving account state appropriation is provided solely for the implementation of the recommendations of the cloud transition task force report to include:

~~(a)~~ A cloud readiness program to help agencies plan and prepare for transitioning to cloud computing;

~~(b)~~ A cloud retraining program to provide a coordinated approach to skills development and retraining; and

~~(c)~~ Staffing to define career pathways and core competencies for the state's information technology workforce.

~~(17))~~ (14) \$11,623,000 of the Washington technology solutions revolving account state appropriation is provided solely for enterprise cloud services. Funding provided includes, but is not limited to:

(a) Cloud service broker resources, cloud center of excellence, cloud management tools, a network assessment, cybersecurity governance, and a cloud security roadmap; and

(b) The implementation of the recommendations of the cloud transition task force report and a cloud readiness program.

(15) Washington technology solutions must collaborate with the office of the secretary of state in the evaluation of the office of the secretary of state's information technology infrastructure and applications in determining the appropriate candidates for the location of data and the systems that could be exempt from Washington technology solutions oversight.

~~((18))~~ (16) (a) Washington technology solutions must include the enterprise statewide electronic health records program on the statewide information technology program dashboard for those agencies appropriated funding for the statewide electronic health records solution. The program dashboard must ensure the program detail will roll up the below required subprojects:

(i) Enterprise foundational statewide electronic health records system, appropriated to the health care authority;

(ii) Department of corrections statewide electronic health records, appropriated to the department of corrections;

1 (iii) Department of social and health services statewide
2 electronic health records, appropriated to the department of social
3 and health services; and

4 (iv) Health care authority statewide electronic health records,
5 appropriated to the health care authority.

6 (b) The Washington technology solutions must report to the
7 technology services board by December 31, 2025, June 30, 2026, and
8 October 31, 2026, on the status of the following statewide electronic
9 health records solution go-live dates:

10 (i) (~~August 15, 2027~~) March 15, 2028, for the department of
11 corrections;

12 (ii) (~~August 15, 2027~~) March 15, 2028, for the department of
13 social and health services; and

14 (iii) (~~August 15, 2027~~) March 15, 2028, for the health care
15 authority;

16 The update must include any changes to the scheduled go-live
17 dates by agency, reporting on all risks to the schedule for the above
18 milestone go-live dates by agency, include detail on why the schedule
19 will be missed by agency, how the project mitigated additional
20 delays, and what the additional time in the schedule is anticipated
21 to cost by fiscal year by fund source by agency, and in total.

22 (c) Washington technology solutions must:

23 (i) Require that vendors for the statewide electronic health
24 records solution must use an agile development model holding live
25 demonstrations of functioning software, be developed using
26 incremental user research, and held at the end of two-week sprints;

27 (ii) Require the solutions be capable of being continually
28 updated, as necessary; and

29 (iii) Ensure development of the statewide electronic health
30 records solution shall include consideration of national
31 interoperability standards, such as United States core data for
32 interoperability or the trusted exchange framework and common
33 agreement.

34 (~~((19))~~) (17) In collaboration with the department of health and
35 the health care authority:

36 (a) Washington technology solutions must actively consult and
37 provide oversight over:

38 (i) The department of health 988 technology platform that must
39 provide interoperability capabilities between the 988-related system
40 and the health care authority's 988-related system;

(ii) The health care authority 988 technology platform that must provide interoperability capabilities between the 988-related system and the department of health's 988 call center platform;

(iii) How the platforms in (a)(i) and (ii) of this subsection will meet the statutory requirements for technology platform functionality and implementation dates as established in chapter 364, Laws of 2024, and must report on the progress of both platforms' budget, scope, schedule, and milestone accomplishments at a technology services board meeting by October 31, 2025. The update must include any changes to the scheduled October 1, 2025, request for proposal issuance and the January 1, 2028, go-live date by agency, reporting on all risks to the schedule for the milestone dates by agency, include detail on why the schedule will be missed by agency, how the project mitigated additional delays, and what the additional time in the schedule is anticipated to cost by fiscal year by fund source by agency, and in total; and

(b) Washington technology solutions must:

(i) Require that vendors for the 988 technology platforms must use an agile development model holding live demonstrations of functioning software, be developed using incremental user research, and held at the end of two-week sprints; and

(ii) Require the solutions be capable of being continually updated, as necessary.

(18)(a) The statewide electronic health records project, to include all subprojects, must continue to comply with the currently approved statewide electronic health records plan that includes the department of corrections, the department of social and health services, and the health care authority unless an alternate plan that must include the department of corrections, the department of social and health services, and the health care authority is submitted to the technology services board by August 1, 2026, and approved by the technology services board by September 1, 2026. If an alternate plan is presented to the technology services board, to be considered, it must:

(i) Be a plan to implement a common technology solution to leverage shared business processes and data across the state in support of client services; and

(ii) Include, but not be limited to, the following elements:

(A) A comprehensive and complete project schedule to include quantifiable anticipated deliverables that must include start date

1 and estimated completion dates for each milestone, from at least July
2 1, 2026, through implementation and go-live dates for the department
3 of corrections, the department of social and health services, and the
4 health care authority;

5 (B) An implementation plan for the technology solution from July
6 1, 2026, through five years maintenance and operations post go-live
7 implementation;

8 (C) Technology budgets to include estimated budget and resources
9 needed to implement the electronic health records solution by agency
10 and subproject, including fund sources and fund splits, and all
11 technology budget element requirements as outlined in section 701(4)
12 of this act;

13 (D) A comparison of the current approved plan to the proposed
14 alternate plan by subproject and in total through at least go-live
15 and implementation, to include discrete comprehensive comparisons of:

16 (I) Budget;

17 (II) Scope;

18 (III) Schedule;

19 (IV) Technology budgets, that must be compliant with section
20 701(4) of this act for each of the following subprojects: Enterprise
21 foundational electronic health records system; department of
22 corrections electronic health records; department of social and
23 health services electronic health records; and health care authority
24 electronic health records;

25 (V) Staffing by subproject by fiscal year, by fund, by
26 classification;

27 (VI) Licensing costs by fiscal year, and what is included in that
28 cost and what is not included;

29 (VII) Each identified third party application solution necessary
30 for go live and if the alternate would assume an alternate third
31 party application compared to current plan for each third party
32 application;

33 (VIII) Maintenance and operations cost by fiscal year from go-
34 live through at least five fiscal years to include, but not be
35 limited to, state employee staffing levels and detail of state
36 employee classifications, contracted professional services by
37 contractor name and service provided, and software licenses and
38 subscriptions to include contractor name and software categories; and

39 (IX) Each bucket of cost, of total associated costs, by fiscal
40 year by fund provided in plain language;

1 (E) A system that will use an agile development model holding
2 live demonstrations of functioning software, developed using
3 incremental user research, held at the end of every two-week sprint;

4 (F) A system that must be capable of being continually updated,
5 as necessary;

6 (G) A system that will deploy usable functionality into
7 production for users within 180 days from the date there is an
8 executed procurement contract after a competitive request for
9 proposal is closed;

10 (H) A system that uses quantifiable deliverables that must
11 include live, accessible demonstrations of software in development to
12 program staff and end users at each sprint or at least monthly; and

13 (I) The development of the statewide electronic health records
14 solution must include consideration of national interoperability
15 standards, such as United States core data for interoperability or
16 the trusted exchange framework and common agreement.

17 (b) The plan and all requirements described in (a) of this
18 subsection:

19 (i) Must be submitted in plain language to the office of
20 financial management, the chair and ranking member of the senate
21 environment, energy, and technology policy committee and the house
22 technology, economic development, and veterans policy committee, the
23 chairs and ranking members of the fiscal committees of the
24 legislature, and the technology services board by August 1, 2026, and
25 must allow for at least 10 business days from the date of submittal
26 of all materials for review before it can be approved; and

27 (ii) Must be approved by the office of financial management and
28 the technology services board established in RCW 43.105.285 by
29 September 1, 2026, or the previously approved technology services
30 board plan will continue to be completed in full.

**Sec. 154 was partially vetoed. See message at end of chapter.*

31 **Sec. 155.** 2025 c 424 s 157 (uncodified) is amended to read as
32 follows:

33 **FOR THE BOARD OF REGISTRATION OF PROFESSIONAL ENGINEERS AND LAND**
34 **SURVEYORS**

Professional Engineers' Account—State Appropriation.	((\$5,018,000))
	<u>\$5,036,000</u>
TOTAL APPROPRIATION.	((\$5,018,000))
	<u>\$5,036,000</u>

NEW SECTION. **Sec. 156.** A new section is added to 2025 c 424
(uncodified) to read as follows:

FOR THE DEPARTMENT OF FINANCIAL INSTITUTIONS

General Fund—State Appropriation (FY 2027).	\$300,000
TOTAL APPROPRIATION.	\$300,000

The appropriation in this section is subject to the following conditions and limitations: \$300,000 of the general fund—state appropriation for fiscal year 2027 is provided solely to establish a public bank work group. The work group is established with the purpose of developing a Washington state banking implementation report.

(1) The work group shall consist of:

(a) The director of the department of financial institutions or their designee, who shall serve as chair of the work group;

(b) At least three industry experts on public banking appointed by the chair, which may include representatives from organizations devoted to researching public banking;

(c) Representatives from the following offices and agencies:

(i) The office of the state treasurer;

(ii) The office of the state auditor; and

(iii) The office of the insurance commissioner;

(d) A member from the senate appointed by the president of the senate; and

(e) A member from the house of representatives appointed by the speaker of the house of representatives.

(2) The work group shall make efforts to invite participation from consultants or representatives from other public banks, including the bank of North Dakota, Deutsche Bundesbank, or other such individuals with expertise in establishing or managing a public bank.

(3) The work group shall consult with the department of commerce, which may also provide staff support to the work group. The work group may consult with other state agencies that invest public dollars.

(4) The work group shall provide a public bank implementation report to the legislature no later than June 30, 2027, with an update to the legislature by December 31, 2026. The implementation report must include:

(a) Recommendations for the state public bank's operational and administrative structure;

(b) An assessment of state funds or accounts which could be used to capitalize the state public bank; and

(c) An implementation plan for how the state public bank should be formed.

(5) Members of the public bank work group are not entitled to be reimbursed for travel expenses if they are elected officials or are participating on behalf of an employer, governmental entity, or other organization. Any reimbursement for other nonlegislative members is subject to chapter 43.03 RCW.

(6) The department of financial institutions shall provide staff support for coordinating and administering the work group and technical assistance as requested by work group members.

Sec. 157. 2025 c 424 s 158 (uncodified) is amended to read as follows:

FOR THE WASHINGTON STATE LEADERSHIP BOARD

Washington State Leadership Board Account—State

Appropriation.	((\$1,696,000))
	<u>\$1,705,000</u>

TOTAL APPROPRIATION.	((\$1,696,000))
	<u>\$1,705,000</u>

The appropriation in this section is subject to the following conditions and limitations:

(1) \$374,000 of the Washington state leadership board account—state appropriation is provided solely for implementation of chapter 96, Laws of 2022 (WA state leadership board).

(2) \$1,200,000 of the Washington state leadership board account—state appropriation is provided solely for implementing programming in RCW 43.388.010, and specifically the Washington world fellows program, sports mentoring program/boundless Washington, compassion scholars, and the Washington state leadership awards.

(End of part)

PART II
HUMAN SERVICES

***Sec. 201.** 2025 c 424 s 201 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF SOCIAL AND HEALTH SERVICES

(1) The appropriations to the department of social and health services in this act shall be expended for the programs and in the amounts specified in this act. Appropriations made in this act to the department of social and health services shall initially be allotted as required by this act. Subsequent allotment modifications shall not include transfers of moneys between sections of this act except as expressly provided in this act, nor shall allotment modifications permit moneys that are provided solely for a specified purpose to be used for other than that purpose.

(2) The department of social and health services shall not initiate any services that require expenditure of state general fund moneys unless expressly authorized in this act or other law. The department may seek, receive, and spend, under RCW 43.79.260 through 43.79.282, federal moneys not anticipated in this act as long as the federal funding does not require expenditure of state moneys for the program in excess of amounts anticipated in this act. If the department receives unanticipated unrestricted federal moneys, those moneys shall be spent for services authorized in this act or in any other legislation providing appropriation authority, and an equal amount of appropriated state general fund moneys shall lapse. Upon the lapsing of any moneys under this subsection, the office of financial management shall notify the legislative fiscal committees. As used in this subsection, "unrestricted federal moneys" includes block grants and other funds that federal law does not require to be spent on specifically defined projects or matched on a formula basis by state funds.

(3) The legislature finds that medicaid payment rates, as calculated by the department pursuant to the appropriations in this act, bear a reasonable relationship to the costs incurred by efficiently and economically operated facilities for providing quality services and will be sufficient to enlist enough providers so that care and services are available to the extent that such care and services are available to the general population in the geographic area. The legislature finds that cost reports, payment data from the

1 federal government, historical utilization, economic data, and
2 clinical input constitute reliable data upon which to determine the
3 payment rates.

4 (4) The department shall to the maximum extent practicable use
5 the same system for delivery of spoken-language interpreter services
6 for social services appointments as the one established for medical
7 appointments in the health care authority. When contracting directly
8 with an individual to deliver spoken language interpreter services,
9 the department shall only contract with language access providers who
10 are working at a location in the state and who are state-certified or
11 state-authorized, except that when such a provider is not available,
12 the department may use a language access provider who meets other
13 certifications or standards deemed to meet state standards, including
14 interpreters in other states.

15 (5) Information technology projects or investments and proposed
16 projects or investments impacting time capture, payroll and payment
17 processes and systems, eligibility, case management, and
18 authorization systems within the department of social and health
19 services are subject to technical oversight by Washington technology
20 solutions.

21 (6)(a) The department shall facilitate enrollment under the
22 medicaid expansion for clients applying for or receiving state funded
23 services from the department and its contractors. Prior to open
24 enrollment, the department shall coordinate with the health care
25 authority to provide referrals to the Washington health benefit
26 exchange for clients that will be ineligible for medicaid.

27 (b) To facilitate a single point of entry across public and
28 medical assistance programs, and to maximize the use of federal
29 funding, the health care authority, the department of social and
30 health services, and the health benefit exchange will coordinate
31 efforts to expand HealthPlanfinder access to public assistance and
32 medical eligibility staff. The department shall complete medicaid
33 applications in the HealthPlanfinder for households receiving or
34 applying for public assistance benefits.

35 (7) The health care authority, the health benefit exchange, the
36 department of social and health services, the department of health,
37 the department of corrections, and the department of children, youth,
38 and families shall work together within existing resources to
39 establish the health and human services enterprise coalition (the
40 coalition). The coalition, led by the health care authority, must be

1 a multi-organization collaborative that provides strategic direction
2 and federal funding guidance for projects that have cross-
3 organizational or enterprise impact, including information technology
4 projects that affect organizations within the coalition. Washington
5 technology solutions shall maintain a statewide perspective when
6 collaborating with the coalition to ensure that projects are planned
7 for in a manner that ensures the efficient use of state resources,
8 support the adoption of a cohesive technology and data architecture,
9 and maximize federal financial participation. The work of the
10 coalition is subject to the conditions, limitations, and review
11 provided in section 701 of this act.

12 (8) The department must report to and coordinate with the
13 department of ecology to track expenditures from climate commitment
14 act accounts, as defined and described in RCW 70A.65.300 and chapter
15 173-446B WAC. If an expenditure is expected to result in greenhouse
16 gas emission reductions, the department must use a department of
17 ecology approved calculator tool or methodology.

18 (9) The department shall promptly notify the office of the
19 attorney general upon the receipt of a request from or on behalf of a
20 federal agency or a federal, state, or local law enforcement
21 authority for health care information, as defined in RCW 70.02.010,
22 program eligibility information for individuals, information that may
23 identify a health care provider's or facility's delivery of health
24 care services to noncitizens, or the delivery of protected health
25 care services as defined in RCW 7.115.010 where the request may
26 impact expenditures for such services. The department shall require
27 contracted entities to notify the department promptly upon receipt of
28 a request from a federal agency or law enforcement authority as
29 described in this subsection.

30 (10) At least 30 calendar days prior to a change in program
31 policies or procedures which the department determines is likely to
32 have an adverse impact to a majority of that program's clients, the
33 department shall communicate the change to impacted persons. The
34 department may leverage multiple communication platforms and diverse
35 methods to communicate the change under this subsection. In cases
36 where the change in program policies or procedures must be
37 implemented in a time frame that renders 30-day advance notice
38 infeasible, the department shall make efforts to notify impacted
39 persons as soon as possible. The department shall partner with
40 community-based organizations, tribes, and state and local agencies

1 to share information broadly, prioritizing language access where
2 possible.

3 (11) The appropriations to the department of social and health
4 services in this act must be expended for the programs and in the
5 amounts specified in this act. However:

6 (a) In support of the recent reorganization, the department may
7 transfer funds among the behavioral health administration, the aging
8 and long-term support administration, and the developmental
9 disabilities administration to the extent necessary to facilitate
10 accurate record keeping for each administration.

11 (b) After May 1, 2026, unless prohibited by this act, the
12 department may transfer general fund—state appropriations for fiscal
13 year 2026 among programs and subprograms after approval by the
14 director of the office of financial management. However, the
15 department may not transfer state appropriations that are provided
16 solely for a specified purpose except as expressly provided in (c)
17 and (d) of this subsection.

18 (c) To the extent that transfers under (b) of this subsection are
19 insufficient to fund actual expenditures in excess of fiscal year
20 2026 caseload forecasts and utilization assumptions in the long-term
21 care, developmental disabilities, and public assistance programs, or
22 to support the reorganization described in (a) of this subsection,
23 the department may transfer state appropriations that are provided
24 solely for a specified purpose. The department may not transfer
25 funds, and the director of the office of financial management may not
26 approve the transfer, unless the transfer is consistent with the
27 objective of conserving, to the maximum extent possible, the
28 expenditure of state funds. The director of the office of financial
29 management shall notify the appropriate fiscal committees of the
30 legislature in writing seven days prior to approving any allotment
31 modifications or transfers under this subsection. The written
32 notification shall include a narrative explanation and justification
33 of the changes, along with expenditures and allotments by budget unit
34 and appropriation, both before and after any allotment modifications
35 or transfers.

36 (d) Within the mental health program, the department may transfer
37 appropriations that are provided solely for a specified purpose
38 within and between subprograms as needed to fund actual expenditures
39 through the end of fiscal year 2026.

1 (12) It is the intent of the legislature to make budget structure
2 changes to the department of social and health services in the
3 2027-2029 biennial omnibus operating budget to align with the
4 reorganization that consolidated functions of the behavioral health,
5 developmental disabilities, and aging and long-term support
6 administrations into two administrations entitled the behavioral
7 health and habilitation administration and the home and community
8 living administrations. The governor's budget proposal submitted in
9 December 2026 must incorporate the following budget structure
10 changes:

11 (a) Creation of the behavioral health and habilitation
12 administration and the home and community living administration;

13 (b) Consolidation of expenditures for behavioral health services
14 and expenditures for state-operated settings for those with
15 developmental disabilities, including 24/7 facilities and residential
16 habilitation centers, within the behavioral health and habilitation
17 administration and organized into the following individual program
18 structure:

19 (i) Behavioral health services;

20 (ii) Developmental disabilities institutional services;

21 (iii) Developmental disabilities habilitation services; and

22 (iv) Program support; and

23 (c) Consolidation of expenditures for aging and long-term
24 services and supports and expenditures for community services for
25 those with developmental disabilities within the home and community
26 living administration and organized into the following individual
27 program structure:

28 (i) Aging and long-term community services;

29 (ii) Developmental disabilities community services; and

30 (iii) Program support.

*Sec. 201 was partially vetoed. See message at end of chapter.

31 **Sec. 202.** 2025 c 424 s 202 (uncodified) is amended to read as
32 follows:

33 **FOR THE DEPARTMENT OF SOCIAL AND HEALTH SERVICES—MENTAL HEALTH**
34 **PROGRAM**

35 General Fund—State Appropriation (FY 2026). ((~~\$703,408,000~~))

36 \$706,845,000

37 General Fund—State Appropriation (FY 2027). ((~~\$729,030,000~~))

1		<u>\$701,045,000</u>
2	General Fund—Federal Appropriation.	((\$204,706,000))
3		<u>\$192,277,000</u>
4	General Fund—Private/Local Appropriation.	((\$15,151,000))
5		<u>\$5,443,000</u>
6	Coronavirus State Fiscal Recovery Fund—Federal	
7	Appropriation.	\$7,575,000
8	Model Toxics Control Operating Account—State	
9	Appropriation.	\$680,000
10	TOTAL APPROPRIATION.	((\$1,660,550,000))
11		<u>\$1,613,865,000</u>

12 The appropriations in this section are subject to the following
13 conditions and limitations:

14 (1) The state psychiatric hospitals and residential treatment
15 facilities may use funds appropriated in this subsection to purchase
16 goods, services, and supplies through hospital group purchasing
17 organizations when it is cost-effective to do so.

18 (2) \$320,000 of the general fund—state appropriation for fiscal
19 year 2026 and \$320,000 of the general fund—state appropriation for
20 fiscal year 2027 are provided solely for a community partnership
21 between western state hospital and the city of Lakewood to support
22 community policing efforts in the Lakewood community surrounding
23 western state hospital. The amounts provided in this subsection are
24 for the salaries, benefits, supplies, and equipment for the city of
25 Lakewood to produce incident and police response reports, investigate
26 potential criminal conduct, assist with charging consultations,
27 liaison between staff and prosecutors, provide staff training on
28 criminal justice procedures, assist with parking enforcement, and
29 attend meetings with hospital staff.

30 (3) \$45,000 of the general fund—state appropriation for fiscal
31 year 2026 and \$45,000 of the general fund—state appropriation for
32 fiscal year 2027 are provided solely for payment to the city of
33 Lakewood for police services provided by the city at western state
34 hospital and adjacent areas.

35 (4) \$320,000 of the general fund—state appropriation for fiscal
36 year 2026 and \$320,000 of the general fund—state appropriation for
37 fiscal year 2027 are provided solely for the salaries, benefits,
38 supplies, and equipment for one full-time investigator, one full-time
39 police officer, and one full-time community services officer for

1 policing efforts at eastern state hospital. The department must
2 collect data from the city of Medical Lake on the use of the funds
3 and the number of calls responded to by the community policing
4 program and submit a report with this information to the office of
5 financial management and the appropriate fiscal committees of the
6 legislature each December of the fiscal biennium.

7 (5) \$25,000 of the general fund—state appropriation for fiscal
8 year 2026 and \$25,000 of the general fund—state appropriation for
9 fiscal year 2027 are provided solely for payment to the city of
10 Medical Lake for police services provided by the city at eastern
11 state hospital and adjacent areas.

12 (6) \$250,000 of the general fund—state appropriation for fiscal
13 year 2026 and \$250,000 of the general fund—state appropriation for
14 fiscal year 2027 are provided solely for the department, in
15 collaboration with the health care authority, to develop and
16 implement a predictive modeling tool which identifies clients who are
17 at high risk of future involvement with the criminal justice system
18 and for developing a model to estimate demand for civil and forensic
19 state hospital bed needs pursuant to the following requirements.

20 (a) By the first day of each December during the fiscal biennium,
21 the department, in coordination with the health care authority, must
22 submit a report to the office of financial management and the
23 appropriate committees of the legislature that summarizes how the
24 predictive modeling tool has been implemented and includes the
25 following: (i) The number of individuals identified by the tool as
26 having a high risk of future criminal justice involvement; (ii) the
27 method and frequency for which the department is providing lists of
28 high-risk clients to contracted managed care organizations and
29 behavioral health administrative services organizations; (iii) a
30 summary of how the managed care organizations and behavioral health
31 administrative services organizations are utilizing the data to
32 improve the coordination of care for the identified individuals; and
33 (iv) a summary of the administrative data to identify whether
34 implementation of the tool is resulting in increased access and
35 service levels and lower recidivism rates for high-risk clients at
36 the state and regional level.

37 (b) The department must provide staff support for the forensic
38 and long-term civil commitment bed forecast which must be conducted
39 under the direction of the office of financial management. The

1 forecast methodology, updates, and methodology changes must be
2 conducted in coordination with staff from the department, the health
3 care authority, the office of financial management, and the
4 appropriate fiscal committees of the state legislature. The model
5 shall incorporate factors for capacity in state hospitals as well as
6 contracted facilities, which provide similar levels of care, referral
7 patterns, wait lists, lengths of stay, and other factors identified
8 as appropriate for estimating the number of beds needed to meet the
9 demand for civil and forensic state hospital services. Factors should
10 include identification of need for the services and analysis of the
11 effect of community investments in behavioral health services and
12 other types of beds that may reduce the need for long-term civil
13 commitment needs. The forecast must be updated each February, June,
14 and November during the fiscal biennium and the department must
15 submit a report to the legislature and the appropriate committees of
16 the legislature summarizing the updated forecast based on the
17 caseload forecast council's schedule for entitlement program
18 forecasts.

19 (7) (~~(\$9,119,000)~~) \$8,473,000 of the general fund—state
20 appropriation for fiscal year 2026 and (~~(\$9,145,000)~~) \$8,499,000 of
21 the general fund—state appropriation for fiscal year 2027 are
22 provided solely for the settlement agreement under *Trueblood, et al.*
23 *v. Department of Social and Health Services, et al.*, United States
24 District Court for the Western District of Washington, Cause No. 14-
25 cv-01178-MJP. The department, in collaboration with the health care
26 authority and the criminal justice training commission, must
27 implement the provisions of the settlement agreement pursuant to the
28 timeline and implementation plan provided for under the settlement
29 agreement. This includes implementing provisions related to
30 competency evaluations, competency restoration, forensic navigators,
31 crisis diversion and supports, education and training, and workforce
32 development.

33 (8) \$7,147,000 of the general fund—state appropriation for fiscal
34 year 2026 and \$7,147,000 of the general fund—state appropriation for
35 fiscal year 2027 are provided solely to maintain implementation of
36 efforts to improve the timeliness of competency evaluation services
37 for individuals who are in local jails pursuant to chapter 5, Laws of
38 2015 (timeliness of competency treatment and evaluation services).
39 This funding must be used solely to maintain increases in the number

1 of competency evaluators that began in fiscal year 2016 pursuant to
2 the settlement agreement under *Trueblood, et al. v. Department of*
3 *Social and Health Services, et al.*, United States District Court for
4 the Western District of Washington, Cause No. 14-cv-01178-MJP.

5 (9) \$71,690,000 of the general fund—state appropriation for
6 fiscal year 2026 and \$77,825,000 of the general fund—state
7 appropriation for fiscal year 2027 are provided solely for
8 implementation of efforts to improve the timeliness of competency
9 restoration services pursuant to chapter 5, Laws of 2015 (timeliness
10 of competency treatment and evaluation services) and the settlement
11 agreement under *Trueblood, et al. v. Department of Social and Health*
12 *Services, et al.*, United States District Court for the Western
13 District of Washington, Cause No. 14-cv-01178-MJP. These amounts must
14 be used to maintain increases that were implemented between fiscal
15 year 2016 and fiscal year 2025. Pursuant to chapter 7, Laws of 2015
16 1st sp. sess. (timeliness of competency treatment and evaluation
17 services), the department may contract some of these amounts for
18 services at alternative locations if the secretary determines that
19 there is a need.

20 (10) \$84,565,000 of the general fund—state appropriation for
21 fiscal year 2026, \$77,343,000 of the general fund—state appropriation
22 for fiscal year 2027, and \$960,000 of the general fund—federal
23 appropriation are provided solely for the department to continue to
24 implement an acuity based staffing tool at western state hospital and
25 eastern state hospital in collaboration with the hospital staffing
26 committees. The staffing tool must be used to identify, on a daily
27 basis, the clinical acuity on each patient ward and determine the
28 minimum level of direct care staff by profession to be deployed to
29 meet the needs of the patients on each ward. The department must
30 evaluate interrater reliability of the tool within each hospital and
31 between the two hospitals. The department must also continue to
32 update, in collaboration with the office of financial management's
33 labor relations office, the staffing committees, and state labor
34 unions, an overall state hospital staffing plan that looks at all
35 positions and functions of the facilities.

36 (a) Within the amounts provided in this section, the department
37 must establish, monitor, track, and report monthly staffing and
38 expenditures at the state hospitals, including overtime and use of
39 locums, to the functional categories identified in the recommended

1 staffing plan. The allotments and tracking of staffing and
2 expenditures must include all areas of the state hospitals, must be
3 done at the ward level, and must include contracted facilities
4 providing forensic restoration services as well as the office of
5 forensic mental health services.

6 (b) By December 1st of each fiscal year of the biennium, the
7 department must submit reports to the office of financial management
8 and the appropriate committees of the legislature that provide a
9 comparison of monthly spending, staffing levels, overtime, and use of
10 locums for the prior year compared to allotments and to the
11 recommended state hospital staffing model. The format for these
12 reports must be developed in consultation with staff from the office
13 of financial management and the appropriate committees of the
14 legislature. The reports must include a summary of the results of the
15 evaluation of the interrater reliability in use of the staffing
16 acuity tool and an update from the hospital staffing committees.

17 (c) Monthly staffing levels and related expenditures at the state
18 hospitals must not exceed official allotments without prior written
19 approval from the director of the office of financial management. In
20 the event the director of the office of financial management approves
21 an increase in monthly staffing levels and expenditures beyond what
22 is budgeted, notice must be provided to the appropriate committees of
23 the legislature within 30 days of such approval. The notice must
24 identify the reason for the authorization to exceed budgeted staffing
25 levels and the time frame for the authorization. Extensions of
26 authorizations under this subsection must also be submitted to the
27 director of the office of financial management for written approval
28 in advance of the expiration of an authorization. The office of
29 financial management must notify the appropriate committees of the
30 legislature of any extensions of authorizations granted under this
31 subsection within 30 days of granting such authorizations and
32 identify the reason and time frame for the extension.

33 (11) (~~(\$8,611,000)~~) \$8,345,000 of the general fund—state
34 appropriation for fiscal year 2026, (~~(\$8,611,000)~~) \$8,345,000 of the
35 general fund—state appropriation for fiscal year 2027, and \$924,000
36 of the general fund—federal appropriation are provided solely for a
37 violence reduction team at western state hospital to improve patient
38 and staff safety at eastern and western state hospitals. A report
39 must be submitted by December 1st of each fiscal year of the

1 biennium, which includes a description of the violence reduction or
2 safety strategy, a profile of the types of patients being served, the
3 staffing model being used, and outcomes associated with each
4 strategy. The outcomes section should include tracking data on
5 facility-wide metrics related to patient and staff safety as well as
6 individual outcomes related to the patients served.

7 (12) \$2,593,000 of the general fund—state appropriation for
8 fiscal year 2026 and \$2,593,000 of the general fund—state
9 appropriation for fiscal year 2027 are provided solely for services
10 to patients found not guilty by reason of insanity under the *Ross v.*
11 *Lashway* settlement agreement.

12 (13) Within the amounts provided in this subsection, the
13 department must develop and submit an annual state hospital
14 performance report for eastern and western state hospitals. Each
15 measure included in the performance report must include baseline
16 performance data, agency performance targets, and performance for the
17 most recent fiscal year. The performance report must include a one
18 page dashboard as well as charts for each fiscal year and quality of
19 care measure broken out by hospital and including but not limited to:
20 (a) Monthly FTE expenditures compared to allotments; (b) monthly
21 dollar expenditures compared to allotments; (c) monthly FTE
22 expenditures per thousand patient bed days; (d) monthly dollar
23 expenditures per thousand patient bed days; (e) percentage of FTE
24 expenditures for overtime; (f) average length of stay by category of
25 patient; (g) average monthly civil wait list; (h) average monthly
26 forensic wait list; (i) rate of staff assaults per thousand patient
27 bed days; (j) rate of patient assaults per thousand patient bed days;
28 (k) average number of days to release after a patient has been
29 determined to be clinically ready for discharge; and (l) average
30 monthly vacancy rates for key clinical positions. The department must
31 submit the state hospital performance report to the office of
32 financial management and the appropriate committees of the
33 legislature by the first day of each December of the biennium.

34 (14) \$135,000 of the general fund—state appropriation for fiscal
35 year 2026 and \$135,000 of the general fund—state appropriation for
36 fiscal year 2027 are provided solely for the department to maintain
37 an on-site safety compliance officer, stationed at western state
38 hospital, to provide oversight and accountability of the hospital's

1 response to safety concerns regarding the hospital's work
2 environment.

3 (15) \$100,000 of the general fund—state appropriation for fiscal
4 year 2026 and \$100,000 of the general fund—state appropriation for
5 fiscal year 2027 are provided solely for the department to track
6 compliance with the requirements of RCW 71.05.365 for transition of
7 state hospital patients into community settings within 14 days of the
8 determination that they no longer require active psychiatric
9 treatment at an inpatient level of care. The department must use
10 these amounts to track the following elements related to this
11 requirement: (a) The date on which an individual is determined to no
12 longer require active psychiatric treatment at an inpatient level of
13 care; (b) the date on which the behavioral health entities and other
14 organizations responsible for resource management services for the
15 person is notified of this determination; and (c) the date on which
16 either the individual is transitioned to the community or has been
17 reevaluated and determined to again require active psychiatric
18 treatment at an inpatient level of care. The department must provide
19 this information in regular intervals to behavioral health entities
20 and other organizations responsible for resource management services.
21 The department must summarize the information and provide a report to
22 the office of financial management and the appropriate committees of
23 the legislature on progress toward meeting the 14 day standard by
24 December 1st of each year of the biennium.

25 (16) (~~(\$298,000)~~) \$498,000 of the general fund—state
26 appropriation for fiscal year 2026 (~~(and \$297,000 of the general fund~~
27 ~~—state appropriation for fiscal year 2027 are))~~) is provided solely
28 for maintenance of the facility, property, and assets at the
29 Brockmann campus located in Clark county.

30 (17) (~~(\$77,102,000)~~) \$61,475,000 of the general fund—state
31 appropriation for fiscal year 2026 and (~~(\$81,301,000)~~) \$72,830,000 of
32 the general fund—state appropriation for fiscal year 2027 are
33 provided solely for the department to operate the maple lane campus
34 as described in (a) and (b) of this subsection.

35 (a) The department shall operate the Oak, Columbia, and Cascade
36 cottages to provide:

37 (i) Treatment services to individuals committed to a state
38 hospital under chapter 71.05 RCW pursuant to the dismissal of

1 criminal charges and a civil evaluation ordered under RCW 10.77.086
2 or 10.77.088; and

3 (ii) Treatment services to individuals acquitted of a crime by
4 reason of insanity and subsequently ordered to receive treatment
5 services under RCW 10.77.120.

6 (b) The department shall open and operate the Baker and Chelan
7 cottages to provide treatment services to individuals committed to a
8 state hospital under chapter 71.05 RCW pursuant to the dismissal of
9 criminal charges and a civil evaluation ordered under RCW 10.77.086
10 or 10.77.088.

11 (c) In considering placements at the maple lane campus, the
12 department must maximize forensic bed capacity at the state hospitals
13 for individuals in jails awaiting admission that are class members of
14 *Trueblood, et al. v. Department of Social and Health Services, et*
15 *al.*, United States district court for the western district of
16 Washington, cause no. 14-cv-01178-MJP.

17 (18) \$1,412,000 of the general fund—state appropriation for
18 fiscal year 2026 and \$1,412,000 of the general fund—state
19 appropriation for fiscal year 2027 are provided solely for
20 relocation, storage, and other costs associated with building
21 demolition on the western state hospital campus.

22 (19) Within the amounts provided in this section, the department
23 is provided funding to operate civil long-term inpatient beds at the
24 state hospitals as follows:

25 (a) Funding is sufficient for the department to operate 162 civil
26 beds at eastern state hospital in both fiscal year 2026 and fiscal
27 year 2027.

28 (b) Funding is sufficient for the department to operate 287 civil
29 beds at western state hospital in both fiscal year 2026 and fiscal
30 year 2027.

31 (c) The department shall fully operate funded civil capacity at
32 eastern state hospital, including reopening and operating civil beds
33 that are not needed for eastern Washington residents to provide
34 services for western Washington residents.

35 (d) The department shall coordinate with the health care
36 authority toward increasing community capacity for long-term
37 inpatient services required under section 214(30) of this act.

38 (20)(a) (~~(\$59,650,000)~~) \$48,635,000 of the general fund—state
39 appropriation for fiscal year 2026 and (~~(\$59,650,000)~~) \$53,566,000 of

1 the general fund—state appropriation for fiscal year 2027 are
2 provided solely for the department to operate 74 beds in three wards
3 in the Olympic heritage behavioral health facility.

4 (b) The department may not use the remaining 38 beds at the
5 facility for any purpose and must permit the contractor selected by
6 the health care authority to utilize the beds pursuant to and upon
7 completion of the contracted process outlined in section 214 of this
8 act.

9 (21) \$9,905,000 of the general fund—state appropriation for
10 fiscal year 2026 and \$4,974,000 of the general fund—state
11 appropriation for fiscal year 2027 are provided solely for overtime
12 staffing costs at eastern state hospital and western state hospital.

13 (22) Within existing resources, the department shall participate
14 in the advisory group for the behavioral health facilities program
15 referenced in chapter 474, Laws of 2023 and chapter 414, Laws of
16 2025. Responsibilities of the department include:

17 (a) Attend monthly advisory group meetings;

18 (b) Designate subject matter experts to provide input and
19 technical assistance in developing program guidelines, notices of
20 funding availability, and application questions;

21 (c) Designate subject matter experts to serve as application
22 reviewers including scoring applications and making recommendations
23 on funding decisions;

24 (d) Provide guidance and technical assistance related to
25 behavioral health facility development, behavioral health service
26 modalities, unmet demand for different types of behavioral health
27 facilities and services, insurance, and other programmatic issues;
28 and

29 (e) In coordination with the health care authority, inform local
30 jurisdictions annually on the progress of new state and community
31 behavioral health facilities, including information about contracted
32 providers and anticipated impacts on local community services.

33 (23) \$61,000 of the general fund—state appropriation for fiscal
34 year 2026 and \$29,000 of the general fund—state appropriation for
35 fiscal year 2027 are provided solely for implementation of Second
36 Substitute House Bill No. 1359 (criminal insanity). ((If the bill is
37 not enacted by June 30, 2025, the amounts provided in this subsection
38 shall lapse.)) Within these amounts, \$25,000 of the general fund—
39 state appropriation for fiscal year 2027 is provided solely for a

1 contract with the Washington state association of counties to provide
2 staff support for the task force created in the bill.

3 ~~((+22+))~~ (24) \$175,000 of the general fund—state appropriation
4 for fiscal year 2026 and \$175,000 of the general fund—state
5 appropriation for fiscal year 2027 are provided solely for
6 implementation of Second Substitute House Bill No. 1162 (health care
7 work violence). ~~((If the bill is not enacted by June 30, 2025, the~~
8 ~~amounts provided in this subsection shall lapse.~~

9 ~~(+23)~~ ~~\$3,278,000)~~ (25) \$2,789,000 of the general fund—state
10 appropriation for fiscal year 2026 and ~~((+24+))~~ ~~(\$4,345,000)~~ \$3,856,000 of
11 the general fund—state appropriation for fiscal year 2027 are
12 provided solely for implementation of chapter 453, Laws of 2023
13 (competency evaluations).

14 ~~((+24+))~~ (26) \$4,118,000 of the general fund—state appropriation
15 for fiscal year 2026, ~~((+25+))~~ ~~(\$4,118,000)~~ \$3,614,000 of the general fund—
16 state appropriation for fiscal year 2027, and \$396,000 of the general
17 fund—federal appropriation are provided solely for the department to
18 address delays in patient discharge as provided in this subsection.

19 (a) The department shall hire staff dedicated to discharge
20 reviews, including psychologists to complete reviews and staff for
21 additional discharge review work, including, but not limited to,
22 scheduling, planning, and providing transportation; and establish and
23 implement a sex offense and problematic behavior program as part of
24 the sex offense review and referral team program.

25 (b) ~~((Of the amounts provided in this subsection, \$504,000 per~~
26 ~~year shall be used for bed fees for patients who are not guilty by~~
27 ~~reason of insanity.~~

28 ~~(+26+))~~ The department shall track data as it relates to this
29 subsection and, where available, compare it to historical data.

30 (27) \$348,000 of the general fund—state appropriation for fiscal
31 year 2027 is provided solely for the department to hire a consultant
32 to develop a plan for certification and accreditation of the new
33 forensic hospital on the western state hospital campus.

34 (28) \$214,000 of the general fund—state appropriation for fiscal
35 year 2026 and \$1,071,000 of the general fund—state appropriation for
36 fiscal year 2027 are provided solely for the department to ensure
37 effective communication with patients with hearing disabilities in
38 the department's custody and comply with the terms of the settlement
39 agreement with the United States department of justice.

(29) Within existing resources, the department in coordination with the health care authority shall jointly meet with community health providers, universities, legislative members, relevant union members, persons with lived experience, county behavioral health officials, and tribes to identify utilization options for behavioral health and treatment capacity, including but not limited to facilities in Clark county, that could serve state or community behavioral health needs. The feedback sessions must prioritize civil commitment and conversion capacity to be responsive to state litigation and an adequate continuum of 90/180 day behavioral health community capacity. Options to address needs should include, but not be limited to, public private partnerships, long-term leases, local government partnerships, behavioral health service organizations, and state operations. The department and the health care authority shall convene at least four meetings, with the first meeting held by June 1, 2026. The secretary and the director of the health care authority shall provide a list of options, including anticipated barriers and cost estimates for each, to the governor and the fiscal committees of the legislature by September 30, 2026.

*Sec. 203. 2025 c 424 s 203 (uncodified) is amended to read as follows:

**FOR THE DEPARTMENT OF SOCIAL AND HEALTH SERVICES—DEVELOPMENTAL
DISABILITIES PROGRAM**

(1) COMMUNITY SERVICES

General Fund—State Appropriation (FY 2026).	((\$1,328,114,000))
	<u>\$1,355,638,000</u>
General Fund—State Appropriation (FY 2027).	((\$1,390,855,000))
	<u>\$1,426,239,000</u>
General Fund—Federal Appropriation.	((\$2,781,638,000))
	<u>\$2,871,520,000</u>
General Fund—Private/Local Appropriation.	((\$4,486,000))
	<u>\$4,496,000</u>
Developmental Disabilities Community Services	
Account—State Appropriation.	((\$2,020,000))
	<u>\$4,020,000</u>
TOTAL APPROPRIATION.	((\$5,507,113,000))
	<u>\$5,661,913,000</u>

1 The appropriations in this subsection are subject to the
2 following conditions and limitations:

3 (a) Individuals who receive supplemental security income (SSI)
4 state supplemental payments shall not become eligible for medical
5 assistance under RCW 74.09.510 solely on the basis of receiving those
6 payments.

7 (b) In accordance with RCW 18.51.050, 18.20.050, 70.128.060, and
8 43.135.055, the department is authorized to increase nursing
9 facility, assisted living facility, and adult family home fees as
10 necessary to fully support the actual costs of conducting the
11 licensure, inspection, and regulatory programs. The license fees may
12 not exceed the department's annual licensing and oversight activity
13 costs and shall include the department's cost of paying providers for
14 the amount of the license fee attributed to medicaid clients.

15 (i) The current annual license renewal fee for adult family homes
16 is \$450 per bed. A nonrefundable processing fee of \$2,750 shall be
17 charged for the initial licensing of each adult family home. In
18 addition, a processing fee of \$700 shall be imposed on providers
19 submitting an application for a change of ownership.

20 (ii) The current annual license renewal fee for assisted living
21 facilities is \$383 per bed in fiscal year 2026 and \$381 in fiscal
22 year 2027.

23 (iii) The current annual license renewal fee for nursing
24 facilities is \$814 per bed in fiscal year 2026 and \$834 per bed in
25 fiscal year 2027.

26 (c) \$14,742,000 of the general fund—state appropriation for
27 fiscal year 2026, \$35,028,000 of the general fund—state appropriation
28 for fiscal year 2027, and \$62,704,000 of the general fund—federal
29 appropriation are provided solely for the rate increase for the new
30 consumer-directed employer contracted individual providers as set by
31 the consumer-directed employer rate setting board in accordance with
32 RCW 74.39A.530.

33 (d) \$1,146,000 of the general fund—state appropriation for fiscal
34 year 2026, \$2,755,000 of the general fund—state appropriation for
35 fiscal year 2027, and \$4,914,000 of the general fund—federal
36 appropriation are provided solely for the homecare agency parity
37 consistent with the rate set by the consumer-directed employer rate
38 setting board in accordance with RCW 74.39A.530.

1 (e) \$1,027,000 of the general fund—state appropriation for fiscal
2 year 2026, \$1,862,000 of the general fund—state appropriation for
3 fiscal year 2027, and \$3,639,000 of the general fund—federal
4 appropriation are provided solely for administrative costs of the
5 consumer-directed employer as set by the consumer-directed employer
6 rate setting board in accordance with RCW 74.39A.530.

7 (f) \$228,000 of the general fund—state appropriation for fiscal
8 year 2026, \$420,000 of the general fund—state appropriation for
9 fiscal year 2027, and \$817,000 of the general fund—federal
10 appropriation are provided solely to increase the administrative rate
11 for home care agencies by 30 cents per hour effective July 1, 2025,
12 and an additional 23 cents per hour effective July 1, 2026.

13 (g) \$6,953,000 of the general fund—state appropriation for fiscal
14 year 2026, \$7,815,000 of the general fund—state appropriation for
15 fiscal year 2027, and \$18,212,000 of the general fund—federal
16 appropriation are provided solely for the implementation of an
17 agreement reached between the governor and the adult family home
18 council under the provisions of chapter 41.56 RCW for the 2025-2027
19 fiscal biennium, as provided in section 907 of this act.

20 (h) The department may authorize a one-time waiver of all or any
21 portion of the licensing and processing fees required under RCW
22 70.128.060 in any case in which the department determines that an
23 adult family home is being relicensed because of exceptional
24 circumstances, such as death or incapacity of a provider, and that to
25 require the full payment of the licensing and processing fees would
26 present a hardship to the applicant. In these situations the
27 department is also granted the authority to waive the required
28 residential administrator training for a period of 120 days if
29 necessary to ensure continuity of care during the relicensing
30 process.

31 (i)(i) \$10,722,000 of the general fund—state appropriation for
32 fiscal year 2026, \$10,722,000 of the general fund—state appropriation
33 for fiscal year 2027, and \$21,190,000 of the general fund—federal
34 appropriation are provided solely to increase rates by two percent,
35 effective July 1, 2025, for community residential service providers.
36 This includes supported living, group home, group training home,
37 licensed staff residential services, community protection, and
38 children's out-of-home services to individuals with developmental
39 disabilities. The full amount must be used for compensation increases

1 for direct support professionals and other direct care workers in
2 these settings.

3 (ii) Contracted agency providers must include staffing
4 information in their community residential cost reports. This
5 includes wages, health insurance, number of positions, and turnover.
6 The data must be broken out specifically for direct support
7 professionals and published on the department's residential programs
8 reimbursement website.

9 (j) Community residential cost reports that are submitted by or
10 on behalf of contracted agency providers are required to include
11 information about agency staffing including health insurance, wages,
12 number of positions, and turnover.

13 (k) Sufficient appropriations are provided to continue community
14 alternative placement beds that prioritize the transition of clients
15 who are ready for discharge from the state psychiatric hospitals, but
16 who have additional long-term care or developmental disability needs.

17 (i) Community alternative placement beds include enhanced service
18 facility beds, adult family home beds, skilled nursing facility beds,
19 shared supportive housing beds, state operated living alternative
20 beds, and assisted living facility beds.

21 (ii) Each client must receive an individualized assessment prior
22 to leaving one of the state psychiatric hospitals. The individualized
23 assessment must identify and authorize personal care, nursing care,
24 behavioral health stabilization, physical therapy, or other necessary
25 services to meet the unique needs of each client. It is the
26 expectation that, in most cases, staffing ratios in all community
27 alternative placement options described in (i)(i) of this subsection
28 will need to increase to meet the needs of clients leaving the state
29 psychiatric hospitals. If specialized training is necessary to meet
30 the needs of a client before he or she enters a community placement,
31 then the person centered service plan must also identify and
32 authorize this training.

33 (iii) When reviewing placement options, the department must
34 consider the safety of other residents, as well as the safety of
35 staff, in a facility. An initial evaluation of each placement,
36 including any documented safety concerns, must occur within thirty
37 days of a client leaving one of the state psychiatric hospitals and
38 entering one of the community placement options described in (i)(i)
39 of this subsection. At a minimum, the department must perform two

1 additional evaluations of each placement during the first year that a
2 client has lived in the facility.

3 (iv) In developing bed capacity, the department shall consider
4 the complex needs of individuals waiting for discharge from the state
5 psychiatric hospitals.

6 (l) Sufficient appropriations are provided for discharge case
7 managers stationed at the state psychiatric hospitals. Discharge case
8 managers will transition clients ready for hospital discharge into
9 less restrictive alternative community placements. The transition of
10 clients ready for discharge will free up bed capacity at the state
11 psychiatric hospitals.

12 (m) The annual certification renewal fee for community
13 residential service businesses is \$859 per client in fiscal year 2026
14 and \$859 per client in fiscal year 2027. The annual certification
15 renewal fee may not exceed the department's annual licensing and
16 oversight activity costs.

17 (n) (~~(\$3,042,000)~~) \$2,884,000 of the general fund—state
18 appropriation for fiscal year 2026, (~~(\$3,115,000)~~) \$3,016,000 of the
19 general fund—state appropriation for fiscal year 2027, and
20 (~~(\$2,695,000)~~) \$2,581,000 of the general fund—federal appropriation
21 are provided for enhanced respite beds across the state for children.
22 These services are intended to provide families and caregivers with a
23 break in caregiving, the opportunity for behavioral stabilization of
24 the child, and the ability to partner with the state in the
25 development of an individualized service plan that allows the child
26 to remain in his or her home. The department must provide the
27 legislature with a respite utilization report in January of each year
28 that provides information about the number of children who have used
29 enhanced respite in the preceding year, as well as the location and
30 number of days per month that each respite bed was occupied.

31 (o) (~~(\$2,553,000)~~) \$1,947,000 of the general fund—state
32 appropriation for fiscal year 2026 and (~~(\$2,621,000)~~) \$2,058,000 of
33 the general fund—state appropriation for fiscal year 2027 are
34 provided for 13 community respite beds across the state for adults.
35 These services are intended to provide families and caregivers with a
36 break in caregiving and the opportunity for stabilization of the
37 individual in a community-based setting as an alternative to using a
38 residential habilitation center to provide planned or emergent
39 respite. The department must provide the legislature with a respite

1 utilization report by January of each year that provides information
2 about the number of individuals who have used community respite in
3 the preceding year, as well as the location and number of days per
4 month that each respite bed was occupied.

5 (p) \$204,000 of the general fund—state appropriation for fiscal
6 year 2026, \$204,000 of the general fund—state appropriation for
7 fiscal year 2027, and \$512,000 of the general fund—federal
8 appropriation are provided solely for a one-time bridge rate for
9 assisted living facilities, enhanced adult residential centers, and
10 adult residential centers, with high medicaid occupancy. The bridge
11 rate does not replace or substitute the capital add-on rate found in
12 RCW 74.39A.320 and the same methodology from RCW 74.39A.320 shall be
13 used to determine each facility's medicaid occupancy percentage for
14 the purposes of this one-time bridge rate add-on. Facilities with a
15 medicaid occupancy level 75 percent or more shall receive a \$20.99
16 add-on per resident day effective July 1, 2025.

17 (q) A nonrefundable fee of \$485 shall be charged for each
18 application to increase bed capacity at an adult family home to seven
19 or eight beds.

20 (r) ~~((The appropriations in this section include sufficient~~
21 ~~funding to provide access to the individual and family services~~
22 ~~waiver and the basic plus waiver to those individuals on the service~~
23 ~~request list as forecasted by the caseload forecast council. For~~
24 ~~subsequent policy level budgets, the department shall submit a~~
25 ~~request for funding associated with individuals requesting to receive~~
26 ~~the individual and family services waiver and the basic plus waiver~~
27 ~~in accordance with the courtesy forecasts provided by the caseload~~
28 ~~forecast council.~~

29 ~~(s))~~ \$332,000 of the general fund—state appropriation for fiscal
30 year 2026, \$740,000 of the general fund—state appropriation for
31 fiscal year 2027, and \$1,074,000 of the general fund—federal
32 appropriation are provided solely for supported employment and
33 community inclusion services for those individuals with intellectual
34 or developmental disabilities who are transitioning from high school
35 in the 2025-2027 fiscal biennium and are anticipated to utilize these
36 services. Within amounts appropriated in this section, the department
37 shall, no later than September 1, 2025, and September 1, 2026, submit
38 to the governor and the appropriate committees of the legislature a
39 forecast of: (i) The total caseload of individuals anticipated to

utilize supported employment and community inclusion services; and
(ii) the caseload of individuals transitioning from high school anticipated to utilize supported employment and community inclusion services. These forecasts shall be utilized to inform the governor's operating maintenance and policy level budgets during the 2025-2027 fiscal biennium and shall include data that begins with fiscal year 2018, incorporates actual entries and exits, and delineates the community inclusion caseload from the supported employment caseload for both the total supported employment and community inclusion caseload forecasts and the separate caseload forecasts of those individuals transitioning from high school.

~~((t) \$3,345,000))~~ (s) \$1,622,000 of the general fund—state appropriation for fiscal year 2026 and ~~((\$3,345,000))~~ \$1,622,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the department to provide personal care services for up to ~~((33))~~ 16 clients who are not United States citizens and who are ineligible for medicaid upon their discharge from an acute care hospital. The department must prioritize the funding provided in this subsection for such clients in acute care hospitals who are also on the department's wait list for services.

~~((u))~~ (t)(i) ~~((\$9,346,000))~~ \$12,257,000 of the general fund—state appropriation for fiscal year 2026, ~~((\$9,376,000))~~ \$8,726,000 of the general fund—state appropriation for fiscal year 2027, and ~~((\$15,292,000))~~ \$7,125,000 of the general fund—federal appropriation are provided solely for the department to operate a transitional facility specializing in treatment for youth aged 13-17 who have intellectual and developmental disabilities, or autism spectrum disorder, and a severe psychiatric diagnosis requiring 24/7 care under the direction of a physician. Youth admitted to the facility require health services wherein treatment modalities and interventions are adapted to specifically provide youth with I/DD benefits from the level of care provided. Services must be provided at a leased property in Burien, serve no more than 12 youth at one time, and be implemented in a way that prioritizes transition to less restrictive community-based settings. Youth shall be voluntarily admitted to the facility by their own consent or the consent of their guardian or legal representative. The department shall collaborate with the department of children, youth, and families to identify youth for placement in this setting and regarding appropriate

1 discharge options with a focus on less restrictive community-based
2 settings.

3 (ii) The department and the health care authority shall
4 collaborate in the identification and evaluation of strategies to
5 obtain federal matching funding opportunities, specifically focusing
6 on innovative medicaid framework adjustments and the consideration of
7 necessary state plan amendments. This collaborative effort aims not
8 only to enhance the funding available for the operation of the
9 facility but also to maintain adherence to its fundamental objective
10 of offering voluntary, transitional services. These services are
11 designed to facilitate the transition of youth to community-based
12 settings that are less restrictive, aligning with the facility's
13 commitment to supporting youth with complex needs in a manner that
14 encourages their movement toward independence.

15 ~~((+v))~~ (u) \$118,000 of the general fund—state appropriation for
16 fiscal year 2026, \$118,000 of the general fund—state appropriation
17 for fiscal year 2027, and \$204,000 of the general fund—federal
18 appropriation are provided solely for implementation of Substitute
19 House Bill No. 1272 (children in crisis program). ~~((If the bill is
20 not enacted by June 30, 2025, the amounts provided in this subsection
21 shall lapse.~~

22 ~~(+w))~~ (v) \$486,000 of the general fund—federal appropriation and
23 \$420,000 of the general fund—private/local appropriation are provided
24 solely for a rate add-on for adult family homes in the amount
25 necessary to reimburse for the annual license renewal fee increase
26 included in (b)(i) of this subsection that is paid on medicaid beds.

27 ~~((+x))~~ (w) \$21,000 of the general fund—federal appropriation and
28 \$18,000 of the general fund—private/local appropriation are provided
29 solely for a rate add-on for assisted living facilities in the amount
30 necessary to reimburse for the annual license renewal fee increase
31 included in (b)(ii) of this subsection that is paid on medicaid beds.

32 ~~((+y))~~ (x) \$12,000 of the general fund—state appropriation for
33 fiscal year 2026 and \$12,000 of the general fund—state appropriation
34 for fiscal year 2027 are provided solely for implementation of Senate
35 Bill No. 5079 (DSHS overpayments). ~~((If the bill is not enacted by
36 June 30, 2025, the amounts provided in this subsection shall lapse.~~

37 ~~(+z)~~ ~~\$1,326,000 of the general fund—state appropriation for fiscal~~
38 ~~year 2026, \$5,015,000 of the general fund—state appropriation for~~
39 ~~fiscal year 2027, and \$5,850,000 of the general fund—federal~~

~~appropriation are provided solely for implementation of Substitute Senate Bill No. 5393 (Yakima & Rainier schools). If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.))~~ (y) (i) \$556,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for the department, in coordination with the health care authority, to implement a program beginning October 1, 2026, to continue services for up to 29 individuals who:

(A) Have an immigration status making them ineligible for federal medicaid coverage for developmental disability services due to provisions of section 71119 of P.L. 119-21; and

(B) Are prioritized by the department as clients in residential settings at risk of losing their housing or those with higher levels of acuity.

(ii) By October 1, 2026, the department, in coordination with the health care authority, shall provide a report to the governor's office and fiscal committees of the legislature that includes recommendations for how the program described in (y) (i) of this subsection can achieve savings through a reduction in services or benefits to allow for an increase in enrollment capacity.

(z) (i) \$250,000 of the developmental disabilities community services account—state appropriation is provided solely for the department to establish a strategic planning work group to transform Washington's system of services and supports for individuals with intellectual and developmental disabilities by:

(A) Prioritizing collaborative engagement between individuals with lived or living experience and decision makers who will act to make the vision a reality;

(B) Identifying and implementing strategies to reduce or eliminate the use of expensive, congregate institutional settings for long-term care;

(C) Expanding community-based services to serve a larger population of people with intellectual and developmental disabilities;

(D) Addressing barriers to service access and equity; and

(E) Identifying necessary investments in community infrastructure, workforce, and service capacity.

(ii) By June 30, 2027, the strategic planning work group must develop and submit to the appropriate committees of the legislature a comprehensive 10-year strategic plan to increase statewide access to

adequate and appropriate community-based services and supports for infants, children, youth, young adults, and adults with intellectual and developmental disabilities, and their families and caregivers.

(iii) Staffing for the work group shall be provided by the department.

(2) INSTITUTIONAL SERVICES

General Fund—State Appropriation (FY 2026) ~~(((\$156,314,000))~~
\$149,447,000

General Fund—State Appropriation (FY 2027) ~~(((\$151,860,000))~~
\$142,110,000

General Fund—Federal Appropriation. ~~(((\$256,720,000))~~
\$242,332,000

General Fund—Private/Local Appropriation. ~~(((\$19,501,000))~~
\$19,332,000

TOTAL APPROPRIATION. ~~(((\$584,395,000))~~
\$553,221,000

The appropriations in this subsection are subject to the following conditions and limitations:

(a) Individuals receiving services as supplemental security income (SSI) state supplemental payments may not become eligible for medical assistance under RCW 74.09.510 due solely to the receipt of SSI state supplemental payments.

(b) The residential habilitation centers may use funds appropriated in this subsection to purchase goods, services, and supplies through hospital group purchasing organizations when it is cost-effective to do so.

~~((c) Sufficient appropriations are provided for the department to support the transition of individuals residing at Rainier School or the three other residential habilitation centers, into appropriate alternative residential settings, should those facilities be closed. The department shall ensure that each affected individual is offered a meaningful choice of alternative placements, including other residential habilitation centers, supported living arrangements, state operated living alternatives, adult family homes, skilled nursing facilities, or other community-based settings. When transitioning individuals, the department shall prioritize client choice, autonomy, individual preferences, medical and behavioral health care needs, and opportunities for community integration. The department shall develop individualized transition plans in~~

collaboration with each resident, their family or legal guardian, caregivers, and support providers. The department shall coordinate closely with other state agencies, local entities, health care providers, and community stakeholders to ensure seamless transitions. The funding provided shall cover all costs associated with assessments, planning, relocation expenses, necessary housing modifications, staff training, crisis support, and related transition activities. Additionally, the department shall implement robust oversight and accountability measures, regularly monitoring transition outcomes, individual well-being and satisfaction.))

(c) Within existing resources, the department shall develop a plan to implement a pilot program to allow certain clients with a developmental disability, as defined in RCW 71A.10.020, who are served by the department, who live in community settings, and whose behavioral or medical acuity prevents them from accessing routine community dental care, to access dental services at residential habilitation centers. The plan must be submitted to the appropriate committees of the legislature by December 1, 2026.

(i) The department shall work with the health care authority to identify the best enrollment and billing path for the dental clinics at residential habilitation centers to serve clients with intellectual or developmental disabilities who live in community settings.

(ii) The plan may present multiple options, but it must include a primary option that bases capacity and cost estimates on maximizing the existing physical footprint of residential habilitation center dental clinics, short of any capital improvements or facility expansions. To inform the pilot program, the plan must evaluate the clinics' ability to serve clients across various acuity levels, including identifying which clients can receive direct dental treatment at the centers and which require triage, assessment, and care coordination for a referral to specialized providers for higher-level interventions.

(iii) The plan must contain the following:

(A) Necessary cost information;

(B) Estimates of how much costs could be recovered per client and in aggregate through insurance, fees, medicaid billing, or other options;

(C) Information on which options might require additional billing technology and a detailed explanation of why existing health care authority billing pathways cannot be utilized;

(D) Recommendations for statutory changes; and

(E) Identification of any necessary updates to the state plan approved by the centers for medicare and medicaid services.

(3) PROGRAM SUPPORT

General Fund—State Appropriation (FY 2026)	((\$3,714,000))
	<u>\$3,349,000</u>
General Fund—State Appropriation (FY 2027)	((\$3,774,000))
	<u>\$3,282,000</u>
General Fund—Federal Appropriation	((\$4,267,000))
	<u>\$3,615,000</u>
TOTAL APPROPRIATION	((\$11,755,000))
	<u>\$10,246,000</u>

(4) SPECIAL PROJECTS

General Fund—State Appropriation (FY 2026)	\$68,000
General Fund—State Appropriation (FY 2027)	\$71,000
General Fund—Federal Appropriation	\$1,094,000
TOTAL APPROPRIATION	\$1,233,000

**Sec. 203 was partially vetoed. See message at end of chapter.*

Sec. 204. 2025 c 424 s 204 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF SOCIAL AND HEALTH SERVICES—AGING AND ADULT SERVICES PROGRAM

General Fund—State Appropriation (FY 2026)	((\$2,688,279,000))
	<u>\$2,751,204,000</u>
General Fund—State Appropriation (FY 2027)	((\$2,884,087,000))
	<u>\$3,006,158,000</u>
General Fund—Federal Appropriation	((\$6,839,614,000))
	<u>\$7,159,718,000</u>
General Fund—Private/Local Appropriation	((\$122,541,000))
	<u>\$122,540,000</u>
Traumatic Brain Injury Account—State Appropriation	\$7,204,000
Skilled Nursing Facility Safety Net Trust Account— State Appropriation	\$133,360,000
Long-Term Services and Supports Trust Account—State	

1	Appropriation.	((\$214,874,000))
2		<u>\$230,866,000</u>
3	TOTAL APPROPRIATION.	((\$12,889,959,000))
4		<u>\$13,411,050,000</u>

5 The appropriations in this section are subject to the following
6 conditions and limitations:

7 (1)(a) For purposes of implementing chapter 74.46 RCW, the
8 weighted average nursing facility payment rate may not exceed \$376.54
9 for fiscal year 2026 and may not exceed (~~(\$394.32)~~) \$382.37 for
10 fiscal year 2027. Appropriations provided in this section are
11 sufficient to partially implement the case mix adjustment methodology
12 to adjust rates of individual facilities for case mix changes as
13 specified in RCW 74.46.485 and stay within the specific budget dials.
14 The weighted average nursing facility payment rates in this
15 subsection (1) include the following: \$35,436,000 of the general fund
16 —state appropriation for fiscal year 2026 and \$39,028,000 of the
17 general fund—federal appropriation are provided solely for a
18 facility-specific add-on to help mitigate for the removal of one-time
19 rate increases provided in the 2023-2025 fiscal biennium in an amount
20 that does not exceed the fiscal year 2026 weighted average nursing
21 facility payment rate referenced in this subsection.

22 (b) The department shall provide a medicaid rate add-on to
23 reimburse the medicaid share of the skilled nursing facility safety
24 net assessment as a medicaid allowable cost. The nursing facility
25 safety net rate add-on may not be included in the calculation of the
26 annual statewide weighted average nursing facility payment rate.

27 (2) In accordance with RCW 18.51.050, 18.20.050, 70.128.060, and
28 43.135.055, the department is authorized to increase nursing
29 facility, assisted living facility, and adult family home fees as
30 necessary to fully support the actual costs of conducting the
31 licensure, inspection, and regulatory programs. The license fees may
32 not exceed the department's annual licensing and oversight activity
33 costs and shall include the department's cost of paying providers for
34 the amount of the license fee attributed to medicaid clients.

35 (a) The current annual license renewal fee for adult family homes
36 is \$450 per bed. A nonrefundable processing fee of \$2,750 shall be
37 charged for the initial licensing of each adult family home. In
38 addition, a processing fee of \$700 shall be imposed on providers
39 submitting an application for a change of ownership.

1 (b) The current annual license renewal fee for assisted living
2 facilities is \$383 per bed in fiscal year 2026 and \$381 in fiscal
3 year 2027.

4 (c) The current annual license renewal fee for nursing facilities
5 is \$814 per bed in fiscal year 2026 and \$834 per bed in fiscal year
6 2027.

7 (3) The department is authorized to place long-term care clients
8 residing in nursing homes and paid for with state-only funds into
9 less restrictive community care settings while continuing to meet the
10 client's care needs.

11 (4) \$33,412,000 of the general fund—state appropriation for
12 fiscal year 2026, \$80,128,000 of the general fund—state appropriation
13 for fiscal year 2027, and \$143,047,000 of the general fund—federal
14 appropriation are provided solely for the rate increase for the new
15 consumer-directed employer contracted individual providers as set by
16 the consumer-directed rate setting board in accordance with RCW
17 74.39A.530.

18 (5) \$10,012,000 of the general fund—state appropriation for
19 fiscal year 2026, \$23,830,000 of the general fund—state appropriation
20 for fiscal year 2027, and \$42,637,000 of the general fund—federal
21 appropriation are provided solely for the homecare agency parity
22 consistent with the rate set by the consumer-directed employer rate
23 setting board in accordance with RCW 74.39A.530.

24 (6) \$2,327,000 of the general fund—state appropriation for fiscal
25 year 2026, \$4,259,000 of the general fund—state appropriation for
26 fiscal year 2027, and \$8,297,000 of the general fund—federal
27 appropriation are provided solely for administrative costs of the
28 consumer-directed employer as set by the consumer-directed employer
29 rate setting board in accordance with RCW 74.39A.530.

30 (7) \$1,991,000 of the general fund—state appropriation for fiscal
31 year 2026, \$3,637,000 of the general fund—state appropriation for
32 fiscal year 2027, and \$7,090,000 of the general fund—federal
33 appropriation are provided solely to increase the administrative rate
34 for home care agencies by 30 cents per hour effective July 1, 2025,
35 and an additional 23 cents per hour effective July 1, 2026.

36 (8) The department may authorize a one-time waiver of all or any
37 portion of the licensing and processing fees required under RCW
38 70.128.060 in any case in which the department determines that an
39 adult family home is being relicensed because of exceptional

1 circumstances, such as death or incapacity of a provider, and that to
2 require the full payment of the licensing and processing fees would
3 present a hardship to the applicant. In these situations the
4 department is also granted the authority to waive the required
5 residential administrator training for a period of 120 days if
6 necessary to ensure continuity of care during the relicensing
7 process.

8 (9) In accordance with RCW 18.390.030, the biennial registration
9 fee for continuing care retirement communities shall be \$900 for each
10 facility.

11 (10) Appropriations in this section are sufficient to fund
12 discharge case managers stationed at the state psychiatric hospitals.
13 Discharge case managers will transition clients ready for hospital
14 discharge into less restrictive alternative community placements. The
15 transition of clients ready for discharge will free up bed capacity
16 at the state psychiatric hospitals.

17 (11) Appropriations in this section are sufficient to fund
18 financial service specialists stationed at the state psychiatric
19 hospitals. Financial service specialists will help to transition
20 clients ready for hospital discharge into alternative community
21 placements. The transition of clients ready for discharge will free
22 up bed capacity at the state hospitals.

23 (12) The department shall continue to administer tailored support
24 for older adults, medicaid alternative care, presumptive eligibility,
25 and housing supports, as described in initiative 2 of the 1115
26 demonstration waiver. This initiative will be funded by the health
27 care authority through the medicaid quality improvement program. The
28 secretary in collaboration with the director of the health care
29 authority shall report to the office of financial management all
30 expenditures of this subsection and shall provide such fiscal data in
31 the time, manner, and form requested. The department shall not
32 increase general fund—state expenditures on this initiative.

33 (13) \$54,119,000 of the general fund—state appropriation for
34 fiscal year 2026, \$64,390,000 of the general fund—state appropriation
35 for fiscal year 2027, and \$147,644,000 of the general fund—federal
36 appropriation are provided solely for the implementation of an
37 agreement reached between the governor and the adult family home
38 council under the provisions of chapter 41.56 RCW for the 2025-2027
39 fiscal biennium, as provided in section 908 of this act.

1 (14) Appropriations provided in this section are sufficient to
2 continue community alternative placement beds that prioritize the
3 transition of clients who are ready for discharge from the state
4 psychiatric hospitals, but who have additional long-term care or
5 developmental disability needs.

6 (a) Community alternative placement beds include enhanced service
7 facility beds, adult family home beds, skilled nursing facility beds,
8 shared supportive housing beds, state operated living alternative
9 beds, assisted living facility beds, adult residential care beds, and
10 specialized dementia beds.

11 (b) Each client must receive an individualized assessment prior
12 to leaving one of the state psychiatric hospitals. The individualized
13 assessment must identify and authorize personal care, nursing care,
14 behavioral health stabilization, physical therapy, or other necessary
15 services to meet the unique needs of each client. It is the
16 expectation that, in most cases, staffing ratios in all community
17 alternative placement options described in (a) of this subsection
18 will need to increase to meet the needs of clients leaving the state
19 psychiatric hospitals. If specialized training is necessary to meet
20 the needs of a client before he or she enters a community placement,
21 then the person centered service plan must also identify and
22 authorize this training.

23 (c) When reviewing placement options, the department must
24 consider the safety of other residents, as well as the safety of
25 staff, in a facility. An initial evaluation of each placement,
26 including any documented safety concerns, must occur within thirty
27 days of a client leaving one of the state psychiatric hospitals and
28 entering one of the community placement options described in (a) of
29 this subsection. At a minimum, the department must perform two
30 additional evaluations of each placement during the first year that a
31 client has lived in the facility.

32 (d) In developing bed capacity, the department shall consider the
33 complex needs of individuals waiting for discharge from the state
34 psychiatric hospitals.

35 (15) The annual certification renewal fee for community
36 residential service businesses is \$859 per client in fiscal year 2026
37 and \$859 per client in fiscal year 2027. The annual certification
38 renewal fee may not exceed the department's annual licensing and
39 oversight activity costs.

1 (16) (~~(\$5,245,000)~~) \$4,206,000 of the general fund—state
2 appropriation for fiscal year 2026 and (~~(\$5,245,000)~~) \$4,263,000 of
3 the general fund—state appropriation for fiscal year 2027 are
4 provided solely for services and support to individuals who are deaf,
5 hard of hearing, or deaf-blind.

6 (17) \$8,747,000 of the general fund—state appropriation for
7 fiscal year 2026, \$8,747,000 of the general fund—state appropriation
8 for fiscal year 2027, and \$19,878,000 of the general fund—federal
9 appropriation are provided solely for a one-time bridge rate for
10 assisted living facilities, enhanced adult residential centers, and
11 adult residential centers, with high medicaid occupancy. The bridge
12 rate does not replace or substitute the capital add-on rate found in
13 RCW 74.39A.320 and the same methodology from RCW 74.39A.320 shall be
14 used to determine each facility's medicaid occupancy percentage for
15 the purposes of this one-time bridge rate add-on. Facilities with a
16 medicaid occupancy level 75 percent or more shall receive a \$20.99
17 add-on per resident day effective July 1, 2025.

18 (18) A nonrefundable fee of \$485 shall be charged for each
19 application to increase bed capacity at an adult family home to seven
20 or eight beds.

21 (19) \$1,858,000 of the general fund—state appropriation for
22 fiscal year 2026 and \$1,857,000 of the general fund—state
23 appropriation for fiscal year 2027 are provided solely for operation
24 of the volunteer services program. Funding must be prioritized
25 towards serving populations traditionally served by long-term care
26 services to include senior citizens and persons with disabilities.

27 (20) \$989,000 of the general fund—state appropriation for fiscal
28 year 2026 and \$989,000 of the general fund—state appropriation for
29 fiscal year 2027 are provided solely for the kinship navigator
30 program in the Colville Indian reservation, Yakama Nation, and other
31 tribal areas.

32 (21) The traumatic brain injury council shall collaborate with
33 other state agencies in their efforts to address traumatic brain
34 injuries to ensure that efforts are (~~((complimentary))~~) complementary
35 and continue to support the state's broader efforts to address this
36 issue.

37 (22) (~~(\$2,807,000)~~) \$3,436,000 of the general fund—state
38 appropriation for fiscal year 2026, (~~(\$2,811,000)~~) \$3,440,000 of the
39 general fund—state appropriation for fiscal year 2027, and

1 (~~(\$70,000)~~) \$66,000 of the general fund—federal appropriation are
2 provided solely for the kinship care support program. Of the amounts
3 provided in this subsection:

4 (a) (~~(\$863,000)~~) \$1,944,000 of the general fund—state
5 appropriation for fiscal year 2026 and (~~(\$867,000)~~) \$1,944,000 of the
6 general fund—state appropriation for fiscal year 2027 are provided
7 solely for the kinship care support program.

8 (b) (~~(\$1,726,000)~~) \$1,492,000 of the general fund—state
9 appropriation for fiscal year 2026, (~~(\$1,734,000)~~) \$1,496,000 of the
10 general fund—state appropriation for fiscal year 2027, and
11 (~~(\$70,000)~~) \$66,000 of the general fund—federal appropriation are
12 provided solely for kinship navigators, including an increase in the
13 number of kinship navigators so that each area agency on aging has
14 one kinship navigator and King county has two kinship navigators.

15 (23) \$2,574,000 of the general fund—state appropriation for
16 fiscal year 2026 and \$2,567,000 of the general fund—state
17 appropriation for fiscal year 2027 are provided solely for the
18 department to provide personal care services for up to 40 clients who
19 are not United States citizens and who are ineligible for medicaid
20 upon their discharge from an acute care hospital. The department must
21 prioritize the funding provided in this subsection for such clients
22 in acute care hospitals who are also on the department's wait list
23 for services.

24 (24) (~~(\$24,848,000)~~) \$18,047,000 of the long-term services and
25 supports trust account—state appropriation is provided solely for the
26 information technology project for the long-term services and
27 supports trust program(~~(, and is subject to the conditions,~~
28 ~~limitations, and review requirements of section 701 of this act))~~).

29 (25) \$13,982,000 of the general fund—state appropriation for
30 fiscal year 2026 and \$13,982,000 of the general fund—state
31 appropriation for fiscal year 2027 are provided solely for the area
32 agencies on aging to maintain senior nutrition services. This
33 includes, but is not limited to, meals at sites, through pantries,
34 and home-delivery.

35 (26) \$3,831,000 of the general fund—state appropriation for
36 fiscal year 2026, \$7,859,000 of the general fund—state appropriation
37 for fiscal year 2027, and \$7,187,000 of the general fund—federal
38 appropriation are provided solely for the nursing home to community

1 program to increase the rental subsidy base to \$1,400 and expand the
2 program by 200 slots.

3 ~~((+28+))~~ (27) \$750,000 of the general fund—state appropriation
4 for fiscal year 2026 and \$750,000 of the general fund—state
5 appropriation for fiscal year 2027 are provided solely for community-
6 based dementia education and support activities in three areas of the
7 state, including dementia resource catalyst staff and direct services
8 for people with dementia and their caregivers.

9 ~~((+29+))~~ (28)(a) ~~(((\$20,662,000))~~ \$15,852,000 of the general fund—
10 state appropriation for fiscal year 2026, ~~(((\$22,745,000))~~ \$22,754,000
11 of the general fund—state appropriation for fiscal year 2027, and
12 ~~(((\$43,416,000))~~ \$38,621,000 of the general fund—federal appropriation
13 are provided solely for the operating costs associated with enhanced
14 service facilities.

15 (b) The department shall broaden the current discharge and
16 referral case management practices for difficult to discharge
17 hospital patients waiting in acute care hospitals to include
18 referrals to all long-term care behavioral health settings, including
19 enhanced services facilities, enhanced adult residential care, and
20 enhanced adult residential care with community stability supports
21 contracts or community behavioral health support services, including
22 supportive supervision and oversight and skills development and
23 restoration. These home and community-based providers are contracted
24 to provide various levels of personal care, nursing, and behavior
25 supports for difficult to discharge hospital patients with
26 significant behavior support needs.

27 (c) Patients ready to discharge from acute care hospitals with
28 diagnosed behaviors or behavior history, and a likelihood of
29 unsuccessful placement in other licensed long-term care facilities, a
30 history of rejected applications for admissions, or a history of
31 unsuccessful placements shall be fully eligible for referral to
32 available beds in enhanced services facilities or enhanced adult
33 residential care with contracts that adequately meet the patient's
34 long-term care needs.

35 (d) Previous or current detainment under the involuntary
36 treatment act shall not be a requirement for individuals in acute
37 care hospitals to be eligible for these specialized settings. The
38 department shall develop a standard process for acute care hospitals
39 to refer patients to the department for placement in enhanced

1 services facilities and enhanced adult residential care with
2 contracts to provide behavior support.

3 ~~((+30+))~~ (29) \$1,761,000 of the general fund—state appropriation
4 for fiscal year 2026, \$1,761,000 of the general fund—state
5 appropriation for fiscal year 2027, and \$4,162,000 of the general
6 fund—federal appropriation are provided solely for case managers at
7 the area agencies on aging to coordinate care for medicaid clients
8 with mental illness who are living in their own homes. Work shall be
9 accomplished within existing standards for case management and no
10 requirements will be added or modified unless by mutual agreement
11 between the department of social and health services and area
12 agencies on aging.

13 ~~((+31) \$14,447,000))~~ (30) \$10,386,000 of the general fund—state
14 appropriation for fiscal year 2026, ~~((+31) \$14,510,000))~~ \$12,701,000 of
15 the general fund—state appropriation for fiscal year 2027, and
16 ~~((+32) \$28,959,000))~~ \$23,103,000 of the general fund—federal appropriation
17 are provided solely for nursing home services and emergent building
18 costs at the transitional care center of Seattle.

19 ~~((+32+))~~ (31) \$3,800,000 of the traumatic brain injury account—
20 state appropriation is provided solely for implementation of
21 Substitute House Bill No. 1848 (traumatic brain injuries). ~~((If the
22 bill is not enacted by June 30, 2025, the amount provided in this
23 subsection shall lapse.~~

24 ~~((+33+))~~ (32) \$3,681,000 of the general fund—federal appropriation
25 and \$3,179,000 of the general fund—private/local appropriation are
26 provided solely for a rate add-on for adult family homes in the
27 amount necessary to reimburse for the annual license renewal fee
28 increase included in subsection (2)(a) of this section that is paid
29 on medicaid beds.

30 ~~((+34+))~~ (33) \$2,216,000 of the general fund—federal
31 appropriation and \$1,974,000 of the general fund—private/local
32 appropriation are provided solely for a rate add-on for assisted
33 living facilities in the amount necessary to reimburse for the annual
34 license renewal fee increase included in subsection (2)(b) of this
35 section that is paid on medicaid beds.

36 ~~((+35+))~~ (34) \$3,944,000 of the general fund—federal
37 appropriation and \$3,580,000 of the general fund—private/local
38 appropriation are provided solely for a rate add-on for nursing
39 facilities in the amount necessary to reimburse for the annual

1 license renewal fee increase included in subsection (2)(c) of this
2 section that is paid on medicaid beds.

3 ~~((36))~~ (35) \$438,000 of the general fund—private/local
4 appropriation is provided solely for implementation of Engrossed
5 Second Substitute Senate Bill No. 5337 (memory care services). ~~((If~~
6 ~~the bill is not enacted by June 30, 2025, the amount provided in this~~
7 ~~subsection shall lapse.~~

8 ~~(37))~~ (36) \$4,722,000 of the long-term services and supports
9 trust account—state appropriation is provided solely for
10 implementation of Engrossed Substitute Senate Bill No. 5291 (long-
11 term services trust). ~~((If the bill is not enacted by June 30, 2025,~~
12 ~~the amount provided in this subsection shall lapse.~~

13 ~~(38))~~ (37) \$38,000 of the general fund—state appropriation for
14 fiscal year 2026 and \$38,000 of the general fund—state appropriation
15 for fiscal year 2027 are provided solely for implementation of Senate
16 Bill No. 5079 (DSHS overpayments). ~~((If the bill is not enacted by~~
17 ~~June 30, 2025, the amounts provided in this subsection shall lapse.))~~

18 (38) \$22,793,000 of the long-term services and supports trust
19 account—state appropriation is provided solely for ongoing
20 maintenance of the information technology platform for the long-term
21 services and supports trust program.

22 (39) It is the intent of the legislature that savings assumed in
23 this section from relocating offices from leased facilities to state-
24 owned facilities be continued into subsequent fiscal biennia.

25 (40)(a) \$17,824,000 of the general fund—state appropriation for
26 fiscal year 2027 is provided solely for the department, in
27 coordination with the health care authority, to implement a program
28 beginning October 1, 2026, to continue services for up to 1,162
29 individuals who:

30 (i) Have an immigration status making them ineligible for federal
31 medicaid coverage for long-term care services due to provisions of
32 section 71119 of P.L. 119-21; and

33 (ii) Are prioritized by the department as clients in residential
34 settings at risk of losing their housing or those with higher levels
35 of acuity.

36 (b) By October 1, 2026, the department, in coordination with the
37 health care authority, shall provide a report to the governor's
38 office and fiscal committees of the legislature that includes
39 recommendations for how the program described in (a) of this

subsection can achieve savings through a reduction in services or benefits to allow for an increase in enrollment capacity.

(41) \$452,000 of the general fund—state appropriation for fiscal year 2027 and \$456,000 of the general fund—federal appropriation are provided solely to restructure rates for adult day services and to provide a 10 percent rate increase. The department must restructure rates from three geographic regions into two geographic regions that includes one region for King, Pierce, and Snohomish counties and a second region for all other counties.

Sec. 205. 2025 c 424 s 205 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF SOCIAL AND HEALTH SERVICES—ECONOMIC SERVICES PROGRAM

General Fund—State Appropriation (FY 2026)	((\$761,681,000))
	<u>\$713,684,000</u>
General Fund—State Appropriation (FY 2027)	((\$710,910,000))
	<u>\$761,686,000</u>
General Fund—Federal Appropriation.	((\$1,910,479,000))
	<u>\$1,880,094,000</u>
General Fund—Private/Local Appropriation.	\$5,002,000
Administrative Contingency Account—State	
Appropriation.	((\$4,000,000))
	<u>\$26,500,000</u>
Domestic Violence Prevention Account—State	
Appropriation.	\$2,404,000
<u>Employment Service Administrative Account—State</u>	
<u>Appropriation.</u>	<u>\$17,500,000</u>
<u>Information Technology Investment Revolving</u>	
<u>Nonappropriated Account—State Appropriation.</u>	<u>\$3,900,000</u>
TOTAL APPROPRIATION.	((\$3,394,476,000))
	<u>\$3,410,770,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1)(a) ((~~\$201,111,000~~)) \$149,164,000 of the general fund—state appropriation for fiscal year 2026, ((~~\$183,932,000~~)) \$131,476,000 of the general fund—state appropriation for fiscal year 2027, ((~~\$868,255,000~~)) \$867,641,000 of the general fund—federal appropriation, \$15,500,000 of the employment services administrative

1 ~~account—state appropriation,~~ and (~~(\$4,000,000)~~) \$26,500,000 of the
2 administrative contingency account—state appropriation are provided
3 solely for all components of the WorkFirst program. Within the
4 amounts provided for the WorkFirst program, the department may
5 provide assistance using state-only funds for families eligible for
6 temporary assistance for needy families. The budget structure must
7 include budget units for the following: Cash assistance, child care,
8 WorkFirst activities, and administration of the program. Within these
9 budget units, the department must develop program index codes for
10 specific activities and develop allotments and track expenditures
11 using these codes. The department shall report to the office of
12 financial management and the relevant fiscal and policy committees of
13 the legislature prior to adopting a structure change.

14 (b) (~~(\$530,530,000)~~) \$469,061,000 of the amounts in (a) of this
15 subsection is for assistance to clients, including grants, diversion
16 cash assistance, and additional diversion emergency assistance
17 including but not limited to assistance authorized under RCW
18 74.08A.210. The department may use state funds to provide support to
19 working families that are eligible for temporary assistance for needy
20 families but otherwise not receiving cash assistance.

21 (c) (i) \$167,934,000 of the amounts in (a) of this subsection is
22 for WorkFirst job search, education and training activities, barrier
23 removal services, limited English proficiency services, and tribal
24 assistance under RCW 74.08A.040. The department must allocate this
25 funding based on client outcomes and cost effectiveness measures.
26 Within amounts provided in this subsection (1)(c), the department
27 shall implement the working family support program.

28 (ii) \$2,474,000 of the amounts provided in (c)(i) of this
29 subsection is for enhanced transportation assistance. The department
30 must prioritize the use of these funds for the recipients most in
31 need of financial assistance to facilitate their return to work. The
32 department must not utilize these funds to supplant repayment
33 arrangements that are currently in place to facilitate the
34 reinstatement of drivers' licenses.

35 (d) Of the amounts in (a) of this subsection, \$353,402,000 of the
36 general fund—federal appropriation is for the working connections
37 child care program under RCW 43.216.020 within the department of
38 children, youth, and families. The department is the lead agency for
39 and recipient of the federal temporary assistance for needy families

1 grant. A portion of this grant must be used to fund child care
2 subsidies expenditures at the department of children, youth, and
3 families.

4 (i) The department of social and health services shall work in
5 collaboration with the department of children, youth, and families to
6 determine the appropriate amount of state expenditures for the
7 working connections child care program to claim towards the state's
8 maintenance of effort for the temporary assistance for needy families
9 program. The departments will also collaborate to track the average
10 monthly child care subsidy caseload and expenditures by fund type,
11 including child care development fund, general fund—state
12 appropriation, and temporary assistance for needy families for the
13 purpose of estimating the annual temporary assistance for needy
14 families reimbursement from the department of social and health
15 services to the department of children, youth, and families.

16 (ii) On December 1st of each year of the biennium the department
17 of children, youth, and families must report to the governor and the
18 appropriate fiscal and policy committees of the legislature the total
19 state contribution for the working connections child care program
20 claimed the previous fiscal year towards the state's maintenance of
21 effort for the temporary assistance for needy families program and
22 the total temporary assistance for needy families reimbursement from
23 the department of social and health services for the previous fiscal
24 year.

25 (e) Of the amounts in (a) of this subsection, \$68,496,000 of the
26 general fund—federal appropriation is for child welfare services
27 within the department of children, youth, and families.

28 (f)(i) Of the amounts in (a) of this subsection, (~~(\$136,939,000)~~)
29 \$131,391,000 is for WorkFirst administration and overhead.

30 (ii) Within existing resources, the department must complete
31 system enhancements necessary to implement strategies to achieve the
32 federal temporary assistance for needy families program's work
33 participation rate.

34 (g)(i) The department shall submit quarterly expenditure reports
35 to the governor, the fiscal committees of the legislature, and the
36 legislative WorkFirst poverty reduction oversight task force under
37 RCW 74.08A.341. In addition to these requirements, the department
38 must detail any fund transfers across budget units identified in (a)
39 through (e) of this subsection. The department shall not initiate any

1 services that require expenditure of state general fund moneys that
2 are not consistent with policies established by the legislature.

3 (ii) The department may transfer up to 10 percent of funding
4 between budget units identified in (b) through (f) of this
5 subsection. The department shall provide notification prior to any
6 transfer to the office of financial management and to the appropriate
7 legislative committees and the legislative-executive WorkFirst
8 poverty reduction oversight task force. The approval of the director
9 of financial management is required prior to any transfer under this
10 subsection.

11 (h) On January 2nd and July 1st of each year, the department
12 shall provide a maintenance of effort and participation rate tracking
13 report for temporary assistance for needy families to the office of
14 financial management, the appropriate policy and fiscal committees of
15 the legislature, and the legislative-executive WorkFirst poverty
16 reduction oversight task force. The report must detail the following
17 information for temporary assistance for needy families:

18 (i) An overview of federal rules related to maintenance of
19 effort, excess maintenance of effort, participation rates for
20 temporary assistance for needy families, and the child care
21 development fund as it pertains to maintenance of effort and
22 participation rates;

23 (ii) Countable maintenance of effort and excess maintenance of
24 effort, by source, provided for the previous federal fiscal year;

25 (iii) Countable maintenance of effort and excess maintenance of
26 effort, by source, for the current fiscal year, including changes in
27 countable maintenance of effort from the previous year;

28 (iv) The status of reportable federal participation rate
29 requirements, including any impact of excess maintenance of effort on
30 participation targets;

31 (v) Potential new sources of maintenance of effort and progress
32 to obtain additional maintenance of effort;

33 (vi) A two-year projection for meeting federal block grant and
34 contingency fund maintenance of effort, participation targets, and
35 future reportable federal participation rate requirements; and

36 (vii) Proposed and enacted federal law changes affecting
37 maintenance of effort or the participation rate, what impact these
38 changes have on Washington's temporary assistance for needy families
39 program, and the department's plan to comply with these changes.

1 (i) In the 2025-2027 fiscal biennium, it is the intent of the
2 legislature to provide appropriations from the state general fund for
3 the purposes of (a) of this subsection if the department does not
4 receive additional federal temporary assistance for needy families
5 contingency funds in each fiscal year as assumed in the budget
6 outlook.

7 (2) \$3,545,000 of the general fund—state appropriation for fiscal
8 year 2026 and \$3,545,000 of the general fund—state appropriation for
9 fiscal year 2027 are provided solely for naturalization services.

10 (3) \$2,366,000 of the general fund—state appropriation for fiscal
11 year 2026 is provided solely for employment services for refugees and
12 immigrants, of which \$1,774,000 is provided solely for the department
13 to pass through to statewide refugee and immigrant assistance
14 organizations for limited English proficiency pathway services; and
15 \$2,366,000 of the general fund—state appropriation for fiscal year
16 2027 is provided solely for employment services for refugees and
17 immigrants, of which \$1,774,000 is provided solely for the department
18 to pass through to statewide refugee and immigrant assistance
19 organizations for limited English proficiency pathway services.

20 (4) On January 1st of each year, the department must report to
21 the governor and the legislature on all sources of funding available
22 for both refugee and immigrant services and naturalization services
23 during the current fiscal year and the amounts expended to date by
24 service type and funding source. The report must also include the
25 number of clients served and outcome data for the clients.

26 (5) To ensure expenditures remain within available funds
27 appropriated in this section, the legislature establishes the benefit
28 under the state food assistance program, pursuant to RCW 74.08A.120,
29 to be 100 percent of the federal supplemental nutrition assistance
30 program benefit amount.

31 (6) The department shall review clients receiving services
32 through the aged, blind, or disabled assistance program, to determine
33 whether they would benefit from assistance in becoming naturalized
34 citizens, and thus be eligible to receive federal supplemental
35 security income benefits. Those cases shall be given high priority
36 for naturalization funding through the department.

37 (7) The department shall continue the interagency agreement with
38 the department of veterans' affairs to establish a process for
39 referral of veterans who may be eligible for veterans' services. This

1 agreement must include out-stationing department of veterans' affairs
2 staff in selected community service office locations in King and
3 Pierce counties to facilitate applications for veterans' services.

4 (8) \$1,000,000 of the general fund—state appropriation for fiscal
5 year 2026 and \$1,000,000 of the general fund—state appropriation for
6 fiscal year 2027 are provided solely for operational support of the
7 Washington information network 211 organization.

8 (9) \$560,000 of the general fund—state appropriation for fiscal
9 year 2026 and \$560,000 of the general fund—state appropriation for
10 fiscal year 2027 are provided solely for a state-funded employment
11 and training program for recipients of the state's food assistance
12 program.

13 (10) (~~(\$4,984,000)~~) \$3,489,000 of the general fund—state
14 appropriation for fiscal year 2026, (~~(\$4,406,000)~~) \$5,948,000 of the
15 general fund—state appropriation for fiscal year 2027, and
16 (~~(\$17,548,000)~~) \$17,501,000 of the general fund—federal appropriation
17 are provided solely for the alignment of eligibility rules in
18 accordance with federal center for medicare and medicaid services'
19 regulations in 42 C.F.R. Sec. 433.112(b) and in coordination with the
20 health benefit exchange. Funding is subject to the conditions,
21 limitations, and review requirements of section 701 of this act.

22 (11) Within existing resources, a revised integrated eligibility
23 and enrollment roadmap and schedule will be created to accommodate
24 eligibility rule updates that are necessary to meet the federal
25 center for medicare and medicaid services' regulations.

26 (12) (~~(\$1,067,000 of the general fund state appropriation for~~
27 ~~fiscal year 2026, \$1,067,000 of the general fund state appropriation~~
28 ~~for fiscal year 2027, and \$4,980,000 of the general fund federal~~
29 ~~appropriation are provided solely for the integrated eligibility and~~
30 ~~enrollment modernization project office.~~

31 ~~(13))~~ (a) \$500,000 of the general fund—state appropriation for
32 fiscal year 2026 (~~(is)~~) and \$500,000 of the general fund—state
33 appropriation for fiscal year 2027 are provided solely for
34 sponsorship stabilization funds for eligible unaccompanied children
35 and their sponsors.

36 (b) Of the amounts provided in (a) of this subsection, \$350,000
37 of the general fund—state appropriation for fiscal year 2026 (~~(is)~~)
38 and \$350,000 of the general fund—state appropriation for fiscal year
39 2027 are provided solely for sponsorship stabilization funds for

1 eligible unaccompanied children and their sponsors in order to
2 address financial hardship and support household well-being.
3 Stabilization funds can be used to support the sponsorship household
4 with costs of housing, childcare, transportation, internet and data
5 services, household goods, legal services, and other unmet needs. The
6 funds may be provided on behalf of an unaccompanied child when the
7 following eligibility criteria are met:

8 (i) The unaccompanied child is between the ages of 0-17, has been
9 placed in Washington under the care of a nonparental sponsor
10 following release from the United States office of refugee
11 resettlement custody, and has not been reunified with a parent; and

12 (ii) The sponsorship household demonstrates financial need and
13 has an income below 250 percent of the federal poverty level. A
14 sponsorship household receiving stabilization funds on behalf of a
15 child who turns 18 may continue to receive funds for an additional 60
16 days after the child reaches 18 years of age.

17 (c) The department may work with community-based organizations to
18 administer sponsorship stabilization supports. Up to 10 percent of
19 the amounts provided in (b) of this subsection may be used by the
20 community-based organizations to cover administrative expenses
21 associated with the distribution of these supports.

22 (d) Of the amounts provided in (a) of this subsection, up to
23 \$150,000 (~~((15))~~) in fiscal year 2026 and up to \$150,000 in fiscal year
24 2027 are provided solely to cover the administrative resources
25 necessary for the department to administer the sponsorship
26 stabilization program.

27 (~~((14))~~) (13) \$185,000 of the general fund—state appropriation
28 for fiscal year 2026 is provided solely for the department to meet
29 the terms of its settlement agreement with the United States
30 department of agriculture (USDA), specifically to fund employment and
31 training program services and activities targeted to able-bodied
32 adults without dependents receiving food benefits from the USDA
33 supplemental nutrition assistance program, but open to all basic food
34 employment and training participants including participants who are
35 not able-bodied adults without dependents.

36 (~~((15))~~) (14) (a) \$1,140,000 of the general fund—state
37 appropriation for fiscal year 2026 and \$1,141,000 of the general fund
38 —federal appropriation are provided solely to fully integrate the

1 asset verification system into the automated client eligibility
2 system (ACES).

3 (b) \$716,000 of the general fund—state appropriation for fiscal
4 year 2027 and \$265,000 of the general fund—federal appropriation are
5 provided solely for the maintenance and operation costs for the fully
6 integrated asset verification system.

7 ~~((16))~~ (15) (a) \$6,911,000 of the general fund—state
8 appropriation for fiscal year 2026, ~~((4,924,000))~~ \$7,062,000 of the
9 general fund—state appropriation for fiscal year 2027, and
10 ~~((11,837,000))~~ \$13,974,000 of the general fund—federal appropriation
11 are provided solely for the implementation of the summer electronic
12 benefit transfer program for the summer break months following the
13 2024-25 ~~((and))~~, 2025-26, and 2026-27 school years. The program
14 implementation must align with the federal summer electronic benefit
15 program requirements defined in the consolidated appropriations act,
16 2023 (136 Stat. 4459). ~~((The department may use a third-party entity~~
17 ~~to administer the program through March of 2027.))~~

18 (b) Within existing resources, the department must submit a
19 report by September 12, 2025, to the appropriate policy and fiscal
20 committees of the legislature and the governor that includes detailed
21 estimates of the cost and timeline to administer the summer
22 electronic benefit transfer program within the community services
23 division. The report shall also include a comparison of the potential
24 benefits and risks of administering the program within the division
25 or through using a vendor and any recommendations the department may
26 have.

27 (c) Within existing resources, the agency must complete a
28 competitive request for proposal for a third-party contractor to
29 administer the summer electronic benefit program.

30 ~~((17))~~ (16) (a) \$25,000,000 of the general fund—state
31 appropriation for fiscal year 2026 ~~((is))~~ and \$25,000,000 of the
32 general fund—state appropriation for fiscal year 2027 are provided
33 solely to the office of refugee and immigrant assistance to expand
34 support services for individuals newly arriving to the United States
35 and Washington who do not qualify for federal refugee resettlement
36 program services. Support services include, but are not limited to,
37 housing assistance, food, transportation, childhood education
38 services, education and employment supports, connection to legal

1 services, language translation or interpretation services, and social
2 services navigation.

3 (b) Of the amounts in (a) of this subsection, up to \$810,000 for
4 fiscal year 2026 (~~(is)~~) and up to \$810,000 in fiscal year 2027 are
5 provided solely for staffing at the office of refugee and immigrant
6 assistance to cover the administrative expenses of implementing this
7 subsection.

8 (c) Of the amounts in (a) of this subsection, up to \$750,000 of
9 the fiscal year 2026 appropriation is provided solely to support
10 health-related information and referral services for Washington
11 residents impacted by data sharing of health and health care
12 information in the apple health program.

13 (d) Of the amounts in (a) of this subsection, up to \$500,000 of
14 the fiscal year 2026 appropriation and up to \$500,000 of the fiscal
15 year 2027 appropriation may be used for language translation or
16 interpretation services at community services offices.

17 (e) Following consultation with the governor's office, the
18 amounts provided in (a) of this subsection may be used for
19 individuals in Washington who have arrived in the United States and
20 are affected by recent changes in federal immigration policies and
21 procedures.

22 (~~((18))~~) (17) By June 30th of each fiscal year, the department
23 must submit a report to the governor and the legislature that shows
24 the prior fiscal year's call and lobby wait times by month and queue,
25 number of customer contacts by month and queue, processing times for
26 the various queues for the three most recent fiscal years along with
27 an explanation for any changes to the most recent year's processing
28 times, number of filled public benefit specialists 3 positions and
29 vacancies by month, any available wait time impacts associated with
30 the individual technology solution enhancements, any telephonic
31 savings experienced due to fewer customers waiting on hold, and
32 recommendations to continue reducing customer wait times.

33 (~~((19))~~) (18) Within existing resources, the department shall
34 assess the ongoing feasibility of continuing services with a third-
35 party employment verification vendor. A report shall be submitted to
36 the legislature and governor by September 12, 2025, that includes the
37 following:

38 (a) A detailed overview of the current employment verification
39 process, including the general instances in which employment

1 verification is deemed necessary, when the third-party vendor is used
2 to complete this task and who completes the verification;

3 (b) Current cost of the third-party vendor along with projected
4 rate increases;

5 (c) Available options to reduce the ongoing cost of using a
6 third-party vendor for employment verification services, including
7 but not limited to an inventory of available vendors and their rates
8 and ways to streamline employment verification costs by reducing
9 duplicative or unnecessary searches;

10 (d) Costs and risks associated with using in-house services to
11 verify employment instead of using a third-party vendor; and

12 (e) Recommendations of cost-effective and sustainable employment
13 verification options.

14 ~~((+20+))~~ (19) \$154,000 of the general fund—state appropriation
15 for fiscal year 2026 and \$154,000 of the general fund—state
16 appropriation for fiscal year 2027 are provided solely for
17 implementation of Senate Bill No. 5079 (DSHS overpayments). ~~((If this
18 bill is not enacted by June 30, 2025, the amounts provided in this
19 subsection shall lapse.~~

20 ~~(+21+))~~ (20) \$192,000 of the general fund—state appropriation for
21 fiscal year 2026, \$163,000 of the general fund—state appropriation
22 for fiscal year 2027, and \$465,000 of the general fund—federal
23 appropriation are provided solely to support the expansion of the
24 federal supplemental nutrition assistance program tribal eligibility
25 determination project to an additional five tribes.

26 (21) \$464,000 of the general fund—state appropriation for fiscal
27 year 2026, \$286,000 of the general fund—state appropriation for
28 fiscal year 2027, and \$720,000 of the general fund—federal
29 appropriation are provided solely for system enhancements and
30 staffing necessary to implement the federally mandated interstate
31 data matching system for the supplemental nutrition assistance
32 program.

33 (22)(a) \$2,491,000 of the general fund—state appropriation for
34 fiscal year 2026, \$6,832,000 of the general fund—state appropriation
35 for fiscal year 2027, and \$5,596,000 of the general fund—federal
36 appropriation are provided solely for the staffing necessary to
37 address the increased workload associated with changes made to work
38 requirements for able-bodied adults without dependents through H.R. 1

1 (P.L. 119-21), and the corresponding impacts to the state food
2 assistance program.

3 (b) \$20,000 of the general fund—state appropriation for fiscal
4 year 2026, \$91,000 of the general fund—state appropriation for fiscal
5 year 2027, \$2,061,000 of the general fund—federal appropriation, and
6 \$2,000,000 of the employment services administrative account—state
7 appropriation are provided solely for the expansion of the basic food
8 employment and training program.

9 (23) \$106,000 of the general fund—state appropriation for fiscal
10 year 2026, \$582,000 of the general fund—state appropriation for
11 fiscal year 2027, and \$370,000 of the general fund—federal
12 appropriation are provided solely for the increased staff necessary
13 to conduct quality control reviews for the supplemental nutrition
14 assistance program and to focus on reducing the state's payment error
15 rate associated with changes made through H.R. 1 (P.L. 119-21).

16 (24) \$3,026,000 of the general fund—state appropriation for
17 fiscal year 2026, \$4,366,000 of the general fund—state appropriation
18 for fiscal year 2027, \$8,748,000 of the general fund—federal
19 appropriation, and \$3,900,000 of the information technology
20 investment revolving account—state appropriation are provided solely
21 for a 12-month increase in contractor support for the automated
22 client eligibility system to implement necessary system enhancements
23 and expand system capacity.

24 (25) \$622,000 of the general fund—state appropriation for fiscal
25 year 2026, \$2,465,000 of the general fund—state appropriation for
26 fiscal year 2027, and \$5,308,000 of the general fund—federal
27 appropriation are provided solely for the implementation of a
28 community engagement hub and other provisions of section 71119 of
29 P.L. 119-21. The administration must collaborate on the
30 implementation of the community engagement hub with the health care
31 authority, health benefit exchange, workforce training and education
32 coordinating board, and other workforce development partners. Funding
33 is subject to the conditions, limitations, and review requirements of
34 section 701 of this act.

35 (26) \$2,150,000 of the general fund—state appropriation for
36 fiscal year 2026 is provided solely for food banks to provide food
37 during the November 2025 federal government shutdown.

Sec. 206. 2025 c 424 s 206 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF SOCIAL AND HEALTH SERVICES—VOCATIONAL REHABILITATION PROGRAM

General Fund—State Appropriation (FY 2026)	((\$25,410,000))
	<u>\$25,276,000</u>
General Fund—State Appropriation (FY 2027)	((\$25,958,000))
	<u>\$24,518,000</u>
General Fund—Federal Appropriation	((\$121,507,000))
	<u>\$121,403,000</u>
TOTAL APPROPRIATION	((\$172,875,000))
	<u>\$171,197,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) \$550,000 of the general fund—state appropriation for fiscal year 2026 and \$550,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for grants to federally recognized tribes of Washington to support culturally appropriate vocational rehabilitation services and adaptive technologies for tribal members with disabilities who are seeking employment.

~~((3))~~ (2) \$3,208,000 of the general fund—federal appropriation is provided solely for implementation of Substitute Senate Bill No. 5253 (special education services) to extend client services to students through the school year students turn 22. ~~((If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.))~~

Sec. 207. 2025 c 424 s 207 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF SOCIAL AND HEALTH SERVICES—SPECIAL COMMITMENT PROGRAM

General Fund—State Appropriation (FY 2026)	((\$80,354,000))
	<u>\$80,109,000</u>
General Fund—State Appropriation (FY 2027)	((\$80,835,000))
	<u>\$77,364,000</u>
TOTAL APPROPRIATION	((\$161,189,000))
	<u>\$157,473,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) The special commitment center may use funds appropriated in this subsection to purchase goods, services, and supplies through hospital group purchasing organizations when it is cost-effective to do so.

(2) \$8,000 of the general fund—state appropriation for fiscal year 2026 and \$57,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the department to ensure effective communication with patients with hearing disabilities in the department's custody and comply with the terms of the settlement agreement with the United States department of justice.

Sec. 208. 2025 c 424 s 208 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF SOCIAL AND HEALTH SERVICES—ADMINISTRATION AND SUPPORTING SERVICES PROGRAM

General Fund—State Appropriation (FY 2026).	((\$124,811,000))
	<u>\$126,423,000</u>
General Fund—State Appropriation (FY 2027).	((\$125,044,000))
	<u>\$179,886,000</u>
General Fund—Federal Appropriation.	((\$152,146,000))
	<u>\$173,248,000</u>
TOTAL APPROPRIATION.	((\$402,001,000))
	<u>\$479,557,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) Within amounts appropriated in this section, the department shall provide to the department of health, where available, the following data for all nutrition assistance programs funded by the United States department of agriculture and administered by the department. The department must provide the report for the preceding federal fiscal year by February 1, 2026, and February 1, 2027. The report must provide:

(a) The number of people in Washington who are eligible for the program;

(b) The number of people in Washington who participated in the program;

(c) The average annual participation rate in the program;

1 (d) Participation rates by geographic distribution; and

2 (e) The annual federal funding of the program in Washington.

3 (2) \$399,000 of the general fund—state appropriation for fiscal
4 year 2026, \$467,000 of the general fund—state appropriation for
5 fiscal year 2027, and \$508,000 of the general fund—federal
6 appropriation are provided solely for the implementation of an
7 agreement reached between the governor and the Washington federation
8 of state employees for the language access providers under the
9 provisions of chapter 41.56 RCW for the 2025-2027 fiscal biennium as
10 provided in section 907 of this act.

11 (3) \$138,000 of the general fund—state appropriation for fiscal
12 year 2026, \$138,000 of the general fund—state appropriation for
13 fiscal year 2027, and \$161,000 of the general fund—federal
14 appropriation are provided solely for implementation of Substitute
15 House Bill No. 1272 (children in crisis program). ((If the bill is
16 not enacted by June 30, 2025, the amounts provided in this subsection
17 shall lapse.))

18 (4) (a) ((~~\$931,000~~)) \$411,000 of the general fund—state
19 appropriation for fiscal year 2026, \$3,020,000 of the general fund—
20 state appropriation for fiscal year 2027, and ((~~\$9,839,000~~))
21 \$10,034,000 of the general fund—federal appropriation are provided
22 solely for the statewide electronic health records solution and is
23 subject to the conditions, limitations, and review requirements of
24 section 701 of this act.

25 (b) The statewide electronic health records solution must use an
26 agile development model holding live demonstrations of functioning
27 software, developed using incremental user research, held at the end
28 of two-week sprints.

29 (c) The statewide electronic health records solution must be
30 capable of being continually updated, as necessary.

31 (d) (i) The department must collaborate with the department of
32 corrections and the health care authority and, as a team, must work
33 to successfully meet budget, scope, and schedule for the statewide
34 electronic health records solution.

35 (ii) Beginning July 1, 2025, the department of social and health
36 services agency project team shall provide necessary updates to the
37 health care authority foundational project team for the statewide
38 electronic health records solution within 15 calendar days of the end
39 of each fiscal quarter.

(iii) The information provided to the authority shall include how funding was spent compared to the budget spending plan for the prior quarter by fiscal month and what the next quarter budget will be by fiscal month.

(iv) The requirements of the quarterly report are provided in section 211(58) of this act.

(5) \$1,067,000 of the general fund—state appropriation for fiscal year 2026, \$978,000 of the general fund—state appropriation for fiscal year 2027, and \$4,772,000 of the general fund—federal appropriation are provided solely for the integrated eligibility and enrollment modernization project office.

(6) \$497,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for maintenance of the facility, property, and assets at the Brockmann campus located in Clark county.

(7) \$347,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for the office of fraud and accountability to implement Substitute House Bill No. 2689 (working connect. child care), including for increased support to investigate potential child care subsidy fraud identified by auditors. If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

Sec. 209. 2025 c 424 s 209 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF SOCIAL AND HEALTH SERVICES—PAYMENTS TO OTHER AGENCIES PROGRAM

General Fund—State Appropriation (FY 2026)	((\$82,964,000))
	<u>\$80,766,000</u>
General Fund—State Appropriation (FY 2027)	((\$68,511,000))
	<u>\$102,803,000</u>
General Fund—Federal Appropriation.	((\$67,585,000))
	<u>\$69,049,000</u>
TOTAL APPROPRIATION.	((\$219,060,000))
	<u>\$252,618,000</u>

The appropriations in this section are subject to the following conditions and limitations: Within the amounts appropriated in this section, the department must extend master property insurance to all buildings owned by the department valued over \$250,000 and to all

locations leased by the department with contents valued over \$250,000.

Sec. 210. 2025 c 424 s 210 (uncodified) is amended to read as follows:

FOR THE STATE HEALTH CARE AUTHORITY

(1)(a) During the 2025-2027 fiscal biennium, the health care authority shall provide support and data as required by the office of the state actuary in providing the legislature with health care actuarial analysis, including providing any information in the possession of the health care authority or available to the health care authority through contracts with providers, plans, insurers, consultants, or any other entities contracting with the health care authority.

(b) Information technology projects or investments and proposed projects or investments impacting time capture, payroll and payment processes and systems, eligibility, case management, and authorization systems within the health care authority are subject to technical oversight by Washington technology solutions.

(2) The health care authority shall not initiate any services that require expenditure of state general fund moneys unless expressly authorized in this act or other law. The health care authority may seek, receive, and spend, under RCW 43.79.260 through 43.79.282, federal moneys not anticipated in this act as long as the federal funding does not require expenditure of state moneys for the program in excess of amounts anticipated in this act. If the health care authority receives unanticipated unrestricted federal moneys, those moneys shall be spent for services authorized in this act or in any other legislation providing appropriation authority, and an equal amount of appropriated state general fund moneys shall lapse. Upon the lapsing of any moneys under this subsection, the office of financial management shall notify the legislative fiscal committees. As used in this subsection, "unrestricted federal moneys" includes block grants and other funds that federal law does not require to be spent on specifically defined projects or matched on a formula basis by state funds.

(3)(a) The health care authority, the health benefit exchange, the department of social and health services, the department of health, the department of corrections, and the department of children, youth, and families shall work together within existing

resources to establish the health and human services enterprise coalition (the coalition). The coalition, led by the health care authority, must be a multi-organization collaborative that provides strategic direction and federal funding guidance for projects that have cross-organizational or enterprise impact, including information technology projects that affect organizations within the coalition. Washington technology solutions shall maintain a statewide perspective when collaborating with the coalition to ensure that projects are planned for in a manner that ensures the efficient use of state resources, supports the adoption of a cohesive technology and data architecture, and maximizes federal financial participation. The work of the coalition and any project identified as a coalition project is subject to the conditions, limitations, and review provided in section 701 of this act.

(b) The health care authority must submit a report on November 1st of each fiscal year to the fiscal committees of the legislature. The report must include, at a minimum:

(i) A list of active coalition projects as of July 1st of the fiscal year. This must include all current and ongoing coalition projects, which coalition agencies are involved in these projects, and the funding being expended on each project, including in-kind funding. For each project, the report must include which federal requirements each coalition project is working to satisfy, and when each project is anticipated to satisfy those requirements; and

(ii) A list of coalition projects that are planned in the current and following fiscal year. This must include which coalition agencies are involved in these projects, including the anticipated in-kind funding by agency, and if a budget request will be submitted for funding. This must reflect all funding required by fiscal year and by fund source and include the budget outlook period.

(4) The health care authority shall promptly notify the office of the attorney general upon the receipt of a request from or on behalf of a federal agency or a federal, state, or local law enforcement authority for health care information, as defined in RCW 70.02.010, program eligibility information for individuals, information that may identify a health care provider's or facility's delivery of health care services to noncitizens, or the delivery of protected health care services as defined in RCW 7.115.010 where the request may impact expenditures for such services. The authority shall require contracted entities to notify the authority promptly upon receipt of

1 a request from a federal agency or law enforcement authority as
2 described in this subsection.

3 (5) The appropriations to the health care authority in this act
4 shall be extended for the programs and in the amounts specified in
5 this act. However, after May 1, 2026, unless prohibited by this act,
6 the authority may transfer general fund—state appropriations for
7 fiscal year 2026 among programs after approval by the director of the
8 office of financial management. To the extent that appropriations in
9 this section are insufficient to fund actual expenditures in excess
10 of caseload forecast and utilization assumptions, the authority may
11 transfer general fund—state appropriations for fiscal year 2026 that
12 are provided solely for a specified purpose. The authority may not
13 transfer funds, and the director of the office of financial
14 management shall not approve the transfer, unless the transfer is
15 consistent with the objective of conserving, to the maximum extent
16 possible, the expenditure of state funds. The director of the office
17 of financial management shall notify the appropriate fiscal
18 committees of the legislature in writing seven days prior to
19 approving any allotment modifications or transfers under this
20 subsection. The written notification must include a narrative
21 explanation and justification of changes, along with expenditures and
22 allotments by budget unit and appropriation, both before and after
23 any allotment modifications and transfers.

24 (6) At least 30 calendar days prior to a change in program
25 policies or procedures which the authority determines is likely to
26 have an adverse impact to a majority of that program's clients, the
27 authority shall communicate the change to impacted persons. The
28 authority may leverage multiple communication platforms and diverse
29 methods to communicate the change under this subsection. In cases
30 where the change in program policies or procedures must be
31 implemented in a time frame that renders 30-day advance notice
32 infeasible, the authority shall make efforts to notify impacted
33 persons as soon as possible. The authority shall partner with
34 community-based organizations, tribes, and state and local agencies
35 to share information broadly, prioritizing language access where
36 possible.

37 *Sec. 211. 2025 c 424 s 211 (uncodified) is amended to read as
38 follows:

1	FOR THE STATE HEALTH CARE AUTHORITY—MEDICAL ASSISTANCE	
2	General Fund—State Appropriation (FY 2026).	((\$3,297,488,000))
3		<u>\$3,523,330,000</u>
4	General Fund—State Appropriation (FY 2027).	((\$3,238,506,000))
5		<u>\$3,510,064,000</u>
6	General Fund—Federal Appropriation.	((\$20,698,162,000))
7		<u>\$22,178,364,000</u>
8	General Fund—Private/Local Appropriation.	((\$1,799,623,000))
9		<u>\$1,543,801,000</u>
10	Dedicated Cannabis Account—State Appropriation	
11	(FY 2026).	((\$19,780,000))
12		<u>\$14,623,000</u>
13	Dedicated Cannabis Account—State Appropriation	
14	(FY 2027).	((\$20,850,000))
15		<u>\$14,764,000</u>
16	Emergency Medical Services and Trauma Care Systems	
17	Trust Account—State Appropriation.	\$15,086,000
18	Hospital Safety Net Assessment Account—State	
19	Appropriation.	((\$1,811,036,000))
20		<u>\$1,832,346,000</u>
21	Long-Term Services and Supports Trust Account—State	
22	Appropriation.	\$10,142,000
23	((Medicaid Access Program Account—State	
24	Appropriation.	\$35,000,000))
25	Medical Aid Account—State Appropriation.	((\$540,000))
26		<u>\$559,000</u>
27	Statewide 988 Behavioral Health Crisis Response Line	
28	Account—State Appropriation.	((\$1,610,000))
29		<u>\$786,000</u>
30	Telebehavioral Health Access Account—State	
31	Appropriation.	((\$7,608,000))
32		<u>\$9,368,000</u>
33	Ambulance Transport Fund—State Appropriation.	((\$12,368,000))
34		<u>\$13,031,000</u>
35	<u>Information Technology Investment Revolving</u>	
36	<u>Nonappropriated Account—State Appropriation.</u>	<u>\$9,600,000</u>
37	TOTAL APPROPRIATION.	((\$30,967,799,000))
38		<u>\$32,675,864,000</u>

1 The appropriations in this section are subject to the following
2 conditions and limitations:

3 (1) The authority may not accept or expend any federal funds
4 received under an 1115 demonstration waiver except as described in
5 this section unless the legislature has appropriated the federal
6 funding. To ensure compliance with legislative requirements and terms
7 and conditions of the waiver, the authority shall implement the
8 renewal of the 1115 demonstration waiver and reporting requirements
9 with oversight from the office of financial management. The
10 legislature finds that appropriate management of the renewal of the
11 1115 demonstration waiver as set forth in subsections (2), (3), and
12 (4) of this section requires sound, consistent, timely, and
13 transparent oversight and analytic review in addition to lack of
14 redundancy with other established measures. The patient must be
15 considered first and foremost in the implementation and execution of
16 the demonstration waiver. To accomplish these goals, the authority
17 shall develop consistent performance measures that focus on
18 population health and health outcomes. The authority shall limit the
19 number of projects that accountable communities of health may
20 participate in under initiative 1 to a maximum of six and shall seek
21 to develop common performance measures when possible. The joint
22 select committee on health care oversight will evaluate the measures
23 chosen: (a) For effectiveness and appropriateness; and (b) to provide
24 patients and health care providers with significant input into the
25 implementation of the demonstration waiver to promote improved
26 population health and patient health outcomes. In cooperation with
27 the department of social and health services, the authority shall
28 consult with and provide notification of work on applications for
29 federal waivers, including details on waiver duration, financial
30 implications, and potential future impacts on the state budget to the
31 joint select committee on health care oversight prior to submitting
32 these waivers for federal approval. Prior to final approval or
33 acceptance of funds by the authority, the authority shall submit the
34 special terms and conditions as submitted to the centers for medicare
35 and medicaid services and the anticipated budget for the duration of
36 the renewed waiver to the governor, the joint select committee on
37 health care, and the fiscal committees of the legislature. By federal
38 standard any programs created or funded by this waiver do not create

an entitlement. The demonstration period for the waiver as described in subsections (2), (3), and (4) of this section began July 1, 2023.

(2) (a) (~~(\$657,598,000)~~) \$608,495,000 of the general fund—federal appropriation and (~~(\$207,273,000)~~) \$273,495,000 of the general fund—local appropriation are provided solely for accountable communities of health described in initiative 1 of the 1115 demonstration waiver and this is the maximum amount that may be expended for this purpose. In renewing this initiative, the authority shall consider local input regarding community needs and shall limit total local projects to no more than six. To provide transparency to the appropriate fiscal committees of the legislature, the authority shall provide fiscal staff of the legislature query ability into any database of the fiscal intermediary that authority staff would be authorized to access. The authority shall not supplement the amounts provided in this subsection with any general fund—state moneys appropriated in this section or any moneys that may be transferred pursuant to subsection (1) of this section. The director shall report to the fiscal committees of the legislature all expenditures under this subsection and provide such fiscal data in the time, manner, and form requested by the legislative fiscal committees.

(b) (~~(\$557,333,000)~~) \$618,440,000 of the general fund—federal appropriation and (~~(\$227,643,000)~~) \$252,603,000 of the general fund—private/local appropriation are provided solely for the medicaid quality improvement program and this is the maximum amount that may be expended for this purpose. Medicaid quality improvement program payments do not count against the 1115 demonstration waiver spending limits and are excluded from the waiver's budget neutrality calculation. The authority may provide medicaid quality improvement program payments to apple health managed care organizations and their partnering providers as they meet designated milestones. Partnering providers and apple health managed care organizations must work together to achieve medicaid quality improvement program goals according to the performance period timelines and reporting deadlines as set forth by the authority. The authority may only use (~~(the)~~) this medicaid quality improvement program to support initiatives 1, 2, and 3 as described in the 1115 demonstration waiver (~~(and may not pursue its use for other purposes)~~). Any programs created or funded by the medicaid quality improvement program do not constitute an entitlement for clients or providers. The authority shall not

1 supplement the amounts provided in this subsection with any general
2 fund—state, general fund—federal, or general fund—local moneys
3 appropriated in this section or any moneys that may be transferred
4 pursuant to subsection (1) of this section. The director shall report
5 to the joint select committee on health care oversight not less than
6 quarterly on financial and health outcomes. The director shall report
7 to the fiscal committees of the legislature all expenditures under
8 this subsection and shall provide such fiscal data in the time,
9 manner, and form requested by the legislative fiscal committees.

10 (c) In collaboration with the accountable communities of health,
11 the authority will submit a report to the governor and the joint
12 select committee on health care oversight describing how each of the
13 accountable community of health's work aligns with the community
14 needs assessment no later than December 1, 2026.

15 (d) Performance measures and payments for accountable communities
16 of health shall reflect accountability measures that demonstrate
17 progress toward transparent, measurable, and meaningful goals that
18 have an impact on improved population health and improved health
19 outcomes, including a path to financial sustainability. While these
20 goals may have variation to account for unique community
21 demographics, measures should be standardized when possible.

22 (e) The authority shall coordinate with the accountable
23 communities of health to assist with public outreach and enrollment
24 assistance for clients at risk of losing medicaid or health care
25 coverage due to provisions of section 71119 of P.L. 119-21.

26 (3) (~~(\$146,275,000)~~) \$133,418,000 of the general fund—federal
27 appropriation and (~~(\$146,290,000)~~) \$133,441,000 of the general fund—
28 local appropriation are provided solely for long-term support
29 services as described in initiative 2 of the 1115 demonstration
30 waiver as well as administrative expenses for initiative 3 and this
31 is the maximum amount that may be expended for this purpose. The
32 authority shall contract with and provide funding to the department
33 of social and health services to administer initiative 2. The
34 director in cooperation with the secretary of the department of
35 social and health services shall report to the office of financial
36 management all of the expenditures of this section and shall provide
37 such fiscal data in the time, manner, and form requested. The
38 authority shall not supplement the amounts provided in this
39 subsection with any general fund—state moneys appropriated in this

1 section or any moneys that may be transferred pursuant to subsection
2 (1) of this section.

3 (4) (a) \$131,704,000 of the general fund—federal appropriation and
4 \$58,916,000 of the general fund—local appropriation are provided
5 solely for supported housing and employment services described in
6 initiative 3a and 3b of the 1115 demonstration waiver and this is the
7 maximum amount that may be expended for this purpose. Under this
8 initiative, the authority and the department of social and health
9 services shall ensure that allowable and necessary services are
10 provided to eligible clients as identified by the department or its
11 third-party administrator. The authority and the department, in
12 consultation with the medical assistance expenditure forecast work
13 group, shall ensure that reasonable reimbursements are established
14 for services deemed necessary within an identified limit per
15 individual. The authority shall not supplement the amounts provided
16 in this subsection with any general fund—state moneys appropriated in
17 this section or any moneys that may be transferred pursuant to
18 subsection (1) of this section. The director shall report to the
19 joint select committee on health care oversight no less than
20 quarterly on financial and health outcomes. The director shall also
21 report to the fiscal committees of the legislature all of the
22 expenditures of this subsection and shall provide such fiscal data in
23 the time, manner, and form requested by the legislative fiscal
24 committees.

25 (b) \$62,475,000 of the general fund—federal appropriation and
26 \$44,275,000 of the general fund—local appropriation are provided
27 solely for additional housing supports described in the 1115
28 demonstration waiver and this is the maximum amount that may be
29 expended for this purpose. The authority shall not supplement the
30 amounts provided in this subsection with any general fund—state
31 moneys appropriated in this section or any moneys that may be
32 transferred pursuant to subsection (1) of this section. The director
33 shall report to the joint select committee on health care oversight
34 no less than quarterly on financial and health outcomes. The director
35 shall also report to the fiscal committees of the legislature all of
36 the expenditures of this subsection and shall provide such fiscal
37 data in the time, manner, and form requested by the legislative
38 fiscal committees.

1 (c) The director shall report to the joint select committee on
2 health care oversight no less than quarterly on utilization and
3 caseload statistics for both supportive housing and employment
4 services and its progress toward increasing uptake and availability
5 for these services.

6 (5)(a) \$1,000,000 of the general fund—state appropriation for
7 fiscal year 2026 and \$1,000,000 of the general fund—state
8 appropriation for fiscal year 2027 are provided solely for supported
9 employment services and \$1,000,000 of the general fund—state
10 appropriation for fiscal year 2026 and \$1,000,000 of the general fund
11 —state appropriation for fiscal year 2027 are provided solely for
12 supported housing services, similar to the services described in
13 initiatives 3a and 3b of the 1115 demonstration waiver to individuals
14 who are ineligible for medicaid. Under these initiatives, the
15 authority and the department of social and health services shall
16 ensure that allowable and necessary services are provided to eligible
17 clients as identified by the authority or its third-party
18 administrator. Before authorizing services, eligibility for
19 initiative 3a or 3b of the 1115 demonstration waiver must first be
20 determined.

21 (b) The director shall report to the fiscal committees of the
22 legislature no less than quarterly on expenditures and utilization
23 data for both supportive housing and employment services under this
24 subsection.

25 (6)(a) (~~(\$4,534,000)~~) \$461,000 of the general fund—state
26 appropriation for fiscal year 2026, (~~(\$6,370,000)~~) \$3,335,000 of the
27 general fund—state appropriation for fiscal year 2027,
28 (~~(\$157,866,000)~~) \$75,501,000 of the general fund—federal
29 appropriation, and (~~(\$91,178,000)~~) \$54,058,000 of the general fund—
30 private/local appropriation are provided solely for prerelease
31 services including, but not limited to, case management, clinical
32 consultations, medication assisted therapy, community health worker
33 services, 30-day supply of medications, durable medical equipment,
34 medications, laboratory services, and radiology services.

35 (b) The authority shall coordinate with the department of
36 corrections for prison reentry implementation pursuant to the waiver
37 terms. The authority will coordinate with tribes, other state
38 agencies, and jail administrations as necessary to achieve the terms
39 of the section 1115 medicaid transformation waiver. The authority

1 shall use its statutory reentry advisory work group and subgroups as
2 necessary to coordinate with partners to achieve these goals.

3 (7) Sufficient amounts are appropriated in this subsection to
4 implement the medicaid expansion as defined in the social security
5 act, section 1902(a)(10)(A)(i)(VIII).

6 (8) The legislature finds that medicaid payment rates, as
7 calculated by the health care authority pursuant to the
8 appropriations in this act, bear a reasonable relationship to the
9 costs incurred by efficiently and economically operated facilities
10 for providing quality services and will be sufficient to enlist
11 enough providers so that care and services are available to the
12 extent that such care and services are available to the general
13 population in the geographic area. The legislature finds that the
14 cost reports, payment data from the federal government, historical
15 utilization, economic data, and clinical input constitute reliable
16 data upon which to determine the payment rates.

17 (9) Based on quarterly expenditure reports and caseload
18 forecasts, if the health care authority estimates that expenditures
19 for the medical assistance program will exceed the appropriations,
20 the health care authority shall take steps including but not limited
21 to reduction of rates or elimination of optional services to reduce
22 expenditures so that total program costs do not exceed the annual
23 appropriation authority.

24 (10) In determining financial eligibility for medicaid-funded
25 services, the health care authority is authorized to disregard
26 recoveries by Holocaust survivors of insurance proceeds or other
27 assets, as defined in RCW 48.104.030.

28 (11) The legislature affirms that it is in the state's interest
29 for Harborview medical center to remain an economically viable
30 component of the state's health care system.

31 (12) When a person is ineligible for medicaid solely by reason of
32 residence in an institution for mental diseases, the health care
33 authority shall provide the person with the same benefits as he or
34 she would receive if eligible for medicaid, using state-only funds to
35 the extent necessary.

36 (13) \$4,261,000 of the general fund—state appropriation for
37 fiscal year 2026, \$4,261,000 of the general fund—state appropriation
38 for fiscal year 2027, and \$8,522,000 of the general fund—federal

1 appropriation are provided solely for low-income disproportionate
2 share hospital payments.

3 (14) Within the amounts appropriated in this section, the health
4 care authority shall provide disproportionate share hospital payments
5 to hospitals that provide services to children in the children's
6 health program who are not eligible for services under Title XIX or
7 XXI of the federal social security act due to their citizenship
8 status.

9 (15) \$7,000,000 of the general fund—federal appropriation is
10 provided solely for supplemental payments to nursing homes operated
11 by public hospital districts. The public hospital district shall be
12 responsible for providing the required nonfederal match for the
13 supplemental payment, and the payments shall not exceed the maximum
14 allowable under federal rules. It is the legislature's intent that
15 the payments shall be supplemental to and shall not in any way offset
16 or reduce the payments calculated and provided in accordance with
17 part E of chapter 74.46 RCW. It is the legislature's further intent
18 that costs otherwise allowable for rate-setting and settlement
19 against payments under chapter 74.46 RCW shall not be disallowed
20 solely because such costs have been paid by revenues retained by the
21 nursing home from these supplemental payments. The supplemental
22 payments are subject to retrospective interim and final cost
23 settlements based on the nursing homes' as-filed and final medicare
24 cost reports. The timing of the interim and final cost settlements
25 shall be at the health care authority's discretion. During either the
26 interim cost settlement or the final cost settlement, the health care
27 authority shall recoup from the public hospital districts the
28 supplemental payments that exceed the medicaid cost limit and/or the
29 medicare upper payment limit. The health care authority shall apply
30 federal rules for identifying the eligible incurred medicaid costs
31 and the medicare upper payment limit.

32 (16) The health care authority shall continue the inpatient
33 hospital certified public expenditures program for the 2025-2027
34 fiscal biennium. The program shall apply to all public hospitals,
35 including those owned or operated by the state, except those
36 classified as critical access hospitals or state psychiatric
37 institutions. ~~((The health care authority shall submit reports to the~~
38 ~~governor and legislature by November 1st of each fiscal year that~~
39 ~~evaluate whether savings continue to exceed costs for this program.~~
40 ~~If the certified public expenditures (CPE) program in its current~~

~~form is no longer cost-effective to maintain, the health care authority shall submit a report to the governor and legislature detailing cost-effective alternative uses of local, state, and federal resources as a replacement for this program.))~~ During fiscal year 2026 and fiscal year 2027, hospitals in the program shall be paid and shall retain 100 percent of the federal portion of the allowable hospital cost for each medicaid inpatient fee-for-service claim payable by medical assistance and 100 percent of the federal portion of the maximum disproportionate share hospital payment allowable under federal regulations. For the purpose of determining the amount of any state grant under this subsection, payments will include the federal portion of medicaid program supplemental payments received by the hospitals. Inpatient medicaid payments shall be established using an allowable methodology that approximates the cost of claims submitted by the hospitals. Payments made to each hospital in the program in each fiscal year of the biennium shall be compared to a baseline amount. The baseline amount will be determined by the total of (a) the inpatient claim payment amounts that would have been paid during the fiscal year had the hospital not been in the CPE program based on the reimbursement rates developed, implemented, and consistent with policies approved in the 2025-2027 biennial operating appropriations act and in effect on July 1, 2015, (b) one-half of the indigent assistance disproportionate share hospital payment amounts paid to and retained by each hospital during fiscal year 2005, and (c) all of the other disproportionate share hospital payment amounts paid to and retained by each hospital during fiscal year 2005 to the extent the same disproportionate share hospital programs exist in the 2019-2021 fiscal biennium. If payments during the fiscal year exceed the hospital's baseline amount, no additional payments will be made to the hospital except the federal portion of allowable disproportionate share hospital payments for which the hospital can certify allowable match. If payments during the fiscal year are less than the baseline amount, the hospital will be paid a state grant equal to the difference between payments during the fiscal year and the applicable baseline amount. Payment of the state grant shall be made in the applicable fiscal year and distributed in monthly payments. The grants will be recalculated and redistributed as the baseline is updated during the fiscal year. The grant payments are subject to an interim settlement within 11 months after the end of the fiscal year. A final settlement shall be performed. To the extent

1 that either settlement determines that a hospital has received funds
2 in excess of what it would have received as described in this
3 subsection, the hospital must repay the excess amounts to the state
4 when requested.

5 (17) The health care authority shall seek public-private
6 partnerships and federal funds that are or may become available to
7 provide ongoing support for outreach and education efforts under the
8 federal children's health insurance program reauthorization act of
9 2009.

10 (18) The health care authority shall target funding for maternity
11 support services towards pregnant women with factors that lead to
12 higher rates of poor birth outcomes, including hypertension, a
13 preterm or low birth weight birth in the most recent previous birth,
14 a cognitive deficit or developmental disability, substance abuse,
15 severe mental illness, unhealthy weight or failure to gain weight,
16 tobacco use, or African American or Native American race. The health
17 care authority shall prioritize evidence-based practices for delivery
18 of maternity support services. To the extent practicable, the health
19 care authority shall develop a mechanism to increase federal funding
20 for maternity support services by leveraging local public funding for
21 those services.

22 (19) The authority shall submit a report to the governor and the
23 legislature by September 15, 2026, that delineates the number of
24 individuals in medicaid managed care, by carrier, age, gender, and
25 eligibility category, receiving preventative services and
26 vaccinations. The report should include baseline and benchmark
27 information from the previous two fiscal years and should be
28 inclusive of, but not limited to, services recommended under the
29 United States preventative services task force, advisory committee on
30 immunization practices, early and periodic screening, diagnostic, and
31 treatment (EPSDT) guidelines, and other relevant preventative and
32 vaccination medicaid guidelines and requirements.

33 (20) Managed care contracts must incorporate accountability
34 measures that monitor patient health and improved health outcomes,
35 and shall include an expectation that each patient receive a wellness
36 examination that documents the baseline health status and allows for
37 monitoring of health improvements and outcome measures.

38 (21) Sufficient amounts are appropriated in this section for the
39 authority to provide an adult dental benefit.

1 (22) The health care authority shall coordinate with the
2 department of social and health services to provide referrals to the
3 Washington health benefit exchange for clients that will be
4 ineligible for medicaid.

5 (23) To facilitate a single point of entry across public and
6 medical assistance programs, and to maximize the use of federal
7 funding, the health care authority, the department of social and
8 health services, and the health benefit exchange will coordinate
9 efforts to expand HealthPlanfinder access to public assistance and
10 medical eligibility staff. The health care authority shall complete
11 medicaid applications in the HealthPlanfinder for households
12 receiving or applying for medical assistance benefits.

13 (24) \$90,000 of the general fund—state appropriation for fiscal
14 year 2026, \$90,000 of the general fund—state appropriation for fiscal
15 year 2027, and \$180,000 of the general fund—federal appropriation are
16 provided solely to continue operation by a nonprofit organization of
17 a toll-free hotline that assists families to learn about and enroll
18 in the apple health for kids program.

19 (25) Within the amounts appropriated in this section, the
20 authority shall reimburse for primary care services provided by
21 naturopathic physicians.

22 (26) Within the amounts appropriated in this section, the
23 authority shall continue to provide coverage for pregnant teens that
24 qualify under existing pregnancy medical programs, but whose
25 eligibility for pregnancy related services would otherwise end due to
26 the application of the new modified adjusted gross income eligibility
27 standard.

28 (27) Sufficient amounts are appropriated in this section to
29 remove the mental health visit limit and to provide the shingles
30 vaccine and screening, brief intervention, and referral to treatment
31 benefits that are available in the medicaid alternative benefit plan
32 in the classic medicaid benefit plan.

33 (28) The authority shall use revenue appropriated from the
34 dedicated cannabis account for contracts with community health
35 centers under RCW 69.50.540 in lieu of general fund—state payments to
36 community health centers for services provided to medical assistance
37 clients, and it is the intent of the legislature that this policy
38 will be continued in subsequent fiscal biennia.

1 (29) For any service eligible under the medicaid state plan for
2 encounter payments, managed care organizations at the request of a
3 rural health clinic shall pay the full published encounter rate
4 directly to the clinic. At no time will a managed care organization
5 be at risk for or have any right to the supplemental portion of the
6 claim. Payments will be reconciled on at least an annual basis
7 between the managed care organization and the authority, with final
8 review and approval by the authority.

9 (30) Sufficient amounts are appropriated in this section for the
10 authority to provide a medicaid equivalent adult dental benefit to
11 clients enrolled in the medical care service program.

12 (31) Sufficient amounts are provided in this section for the
13 authority to provide services identical to those services covered by
14 the Washington state family planning waiver program as of August 2018
15 to individuals who:

16 (a) Are 19 years of age;

17 (b) Are at or below 260 percent of the federal poverty level as
18 established in WAC 182-505-0100;

19 (c) Are not covered by other public or private insurance; and

20 (d) Need family planning services and are not currently covered
21 by or eligible for another medical assistance program for family
22 planning.

23 (32) The authority shall ensure that appropriate resources are
24 dedicated to implementing the recommendations of the centers for
25 medicare and medicaid services center for program integrity as
26 provided to the authority in the January 2019 Washington focused
27 program integrity review final report. Additionally, the authority
28 shall:

29 (a) Work to ensure the efficient operations of the managed care
30 plans, including but not limited to, a deconflicting process for
31 audits with and among the managed care plans and the medicaid fraud
32 division at the attorney general's office, to ensure the authority
33 staff perform central audits of cases that appear across multiple
34 managed care plans, versus the audits performed by the individual
35 managed care plans or the fraud division;

36 (b) Remain accountable for operating in an effective and
37 efficient manner, including performing program integrity activities
38 that ensure high value in the medical assistance program in general
39 and in medicaid managed care specifically;

1 (c) Work with its contracted actuary and the medical assistance
2 expenditure forecast work group to develop methods and metrics
3 related to managed care program integrity activity that shall be
4 incorporated into annual rate setting; and

5 (d) Work with the medical assistance expenditure forecast work
6 group to ensure the results of program integrity activity are
7 incorporated into the rate setting process in a transparent, timely,
8 measurable, quantifiable manner.

9 (33)(a) The authority shall not enter into any future value-based
10 arrangements with federally qualified health centers or rural health
11 clinics prior to receiving approval from the office of financial
12 management and the appropriate committees of the legislature.

13 (b) The authority shall not modify the reconciliation process
14 with federally qualified health centers or rural health clinics
15 without notification to and the opportunity to comment from the
16 office of financial management.

17 (c) The authority shall require all managed care organizations to
18 provide information to the authority to account for all payments to
19 rural health clinics and federally qualified health centers to
20 include how payments are made, including any additional payments and
21 whether there is a sub-capitation arrangement or value-based
22 purchasing arrangement.

23 (d) For each fiscal year, the authority shall reconcile on an
24 annual basis with rural health clinics and federally qualified health
25 centers.

26 (e) For each fiscal year, the authority shall properly accrue for
27 any anticipated reconciliations with rural health clinics and
28 federally qualified health centers during the fiscal year close
29 process following generally accepted accounting practices.

30 (34) Within the amounts appropriated in this section, the
31 authority is to include allergen control bed and pillow covers as
32 part of the durable medical equipment benefit for children with an
33 asthma diagnosis enrolled in medical assistance programs.

34 (35)((a)) Sufficient funds are provided in this section for the
35 authority for the reimbursement of services provided by doula for
36 apple health clients.

37 (36)(a) \$1,000,000 of the general fund—state appropriation for
38 fiscal year 2027 is provided solely for the authority to contract
39 with an external organization for a statewide doula hub and referral
40 system.

1 (b) The authority shall continue to collaborate with an external
2 organization for participatory and equity-focused engagement with
3 doulas and doula partners across the state of Washington. This
4 organization must work in collaboration with community partners who
5 advance equitable access to improve perinatal outcomes and care
6 through holistic services for multiracial communities.

7 (c) The external organization will be responsible for
8 implementing a statewide doula hub and referral system consistent
9 with the recommendations for the design of a statewide doula hub and
10 referral system report done in partnership with the authority.

11 (d) The authority and the external organization will continue to
12 collaborate on how to:

13 (i) Provide statewide professional and workforce development and
14 sustainability support for birth doulas;

15 (ii) Increase statewide access to doula services for apple health
16 birthing people;

17 (iii) Assist doulas with department of health credentialing
18 requirements;

19 (iv) Assist doulas with the medicaid provider enrollment process
20 including, but not limited to, support with:

21 (A) Provider enrollment with the authority;

22 (B) Contracting with medicaid managed care organizations;

23 (C) Provider billing and claims submission processes;

24 (D) Provider payment requirements; and

25 (E) Eligibility within ProviderOne; and

26 (v) Establish communications with birthing people, families,
27 birth workers, and health care providers who are seeking to connect
28 with state-certified and medicaid-enrolled birth doulas through a
29 statewide directory or referral system.

30 ((~~(36)~~)) (37) Sufficient funds are provided in this section for
31 the authority to extend continuous eligibility for apple health to
32 children ages zero to six with income at or below 215 percent of the
33 federal poverty level. The centers for medicare and medicaid services
34 must approve the 1115 medicaid waiver prior to the implementation of
35 this policy.

36 ((~~(37)~~)) (38) Sufficient funds are provided to continue
37 reimbursing dental health aid therapists for services performed in
38 tribal facilities for medicaid clients. The authority must leverage
39 any federal funding that may become available as a result of appeal

1 decisions from the centers for medicare and medicaid services or the
2 United States court of appeals for the ninth circuit.

3 ~~((+38+))~~ (39) \$500,000 of the general fund—state appropriation
4 for fiscal year 2026 and \$500,000 of the general fund—state
5 appropriation for fiscal year 2027 are provided solely for the
6 perinatal support warm line to provide peer support, resources, and
7 referrals to new and expectant parents and people in the emotional
8 transition to parenthood experiencing, or at risk of, postpartum
9 depression or other mental health issues.

10 ~~((+39+))~~ (40) Sufficient funding is provided to remove the asset
11 test from the medicare savings program review process.

12 ~~((+40+))~~ (41) Sufficient funding is provided to eliminate the
13 mid-certification review process for the aged, blind, or disabled and
14 housing and essential needs referral programs.

15 ~~((+41+))~~ (42) \$2,545,000 of the general fund—state appropriation
16 for fiscal year 2026, \$2,545,000 of the general fund—state
17 appropriation for fiscal year 2027, and \$9,280,000 of the general
18 fund—federal appropriation are provided solely for reimbursement for
19 community health worker services.

20 ~~((+42+))~~ (43) Sufficient amounts are appropriated in this section
21 for the authority to provide coverage for all federal food and drug
22 administration-approved HIV antiviral drugs without prior
23 authorization. This coverage must be provided to apple health clients
24 enrolled in both fee-for-service and managed care programs.

25 ~~((+43+))~~ (44) Sufficient funds are provided in this section to
26 maintain access for primary care services for medicaid-enrolled
27 patients through increased provider rates.

28 ~~((+44+))~~ (45) Sufficient funds are provided in this section for
29 work required of the authority as specified in RCW 41.05.840.

30 ~~((+45+))~~ (46) (a) Sufficient funds are provided in this section
31 for an outpatient directed payment program.

32 (b) The authority shall:

33 (i) Maintain the program to support the state's access and other
34 quality of care goals and to not increase general fund—state
35 expenditures;

36 (ii) Direct managed care organizations to make payments to
37 eligible providers at levels required to ensure enrollees have timely
38 access to critical high-quality care as allowed under 42 C.F.R.
39 438.6(c); and

1 (iii) Increase medicaid payments for hospital outpatient services
2 provided by UW Medicine hospitals and, at their option, UW Medicine
3 affiliated hospitals to the average payment received from commercial
4 payers.

5 (c) Any incremental costs incurred by the authority in the
6 development, implementation, and maintenance of this program shall be
7 the responsibility of the participating hospitals.

8 (d) Participating hospitals shall retain the full amount of
9 payments provided under this program.

10 (~~((46))~~) (47) (a) Sufficient funds are provided in this section
11 for an inpatient directed payment program.

12 (b) The authority shall:

13 (i) Design the program to support the state's access and other
14 quality of care goals and to not increase general fund—state
15 expenditures;

16 (ii) Upon approval, direct managed care organizations to make
17 payments to eligible providers at levels required to ensure enrollees
18 have timely access to critical high-quality care as allowed under 42
19 C.F.R. 438.6(c); and

20 (iii) Increase medicaid payments for hospital inpatient services
21 provided by UW Medicine and, at their option, UW Medicine affiliated
22 hospitals to the average payment received from commercial payers.

23 (c) Any incremental costs incurred by the authority in the
24 development, implementation, and maintenance of this program shall be
25 the responsibility of the participating hospitals.

26 (d) Participating hospitals shall retain the full amount of
27 payments provided under this program.

28 (e) Participating hospitals will provide the local funds to fund
29 the required nonfederal contribution.

30 (f) This program shall be effective as soon as administratively
31 possible.

32 (~~((47))~~) (48) Within the amounts appropriated in this section,
33 the authority shall maintain and increase access for family planning
34 services for patients seeking services through department of health
35 sexual and reproductive health program family planning providers
36 based on the rates in effect as of July 1, 2022.

37 (~~((48))~~) (49) (a) \$11,838,000 of the general fund—federal
38 appropriation and \$11,838,000 of the general fund—private/local
39 appropriation are provided solely for the authority, in consultation

1 with the health and human services enterprise coalition, community-
2 based organizations, health plans, accountable communities of health,
3 and safety net providers, shall determine the cost and implementation
4 impacts of a statewide community information exchange (CIE). A CIE
5 platform must serve as a tool for addressing the social determinants
6 of health, defined as nonclinical community and social factors such
7 as housing, food security, transportation, financial strain, and
8 interpersonal safety, that affect health, functioning, and quality-
9 of-life outcomes.

10 (b) Prior to issuing a request for proposals or beginning this
11 project, the authority must work with stakeholders in (a) of this
12 subsection to determine which platforms already exist within the
13 Washington public and private health care system to determine
14 interoperability needs and fiscal impacts to both the state and
15 impacted providers and organizations that will be using a single
16 statewide community information exchange platform.

17 (c) The authority shall provide the office of financial
18 management and fiscal committees of the legislature a proposal to
19 leverage medicaid enterprise financing or other federal funds prior
20 to beginning this project and shall not expend funds under a 1115
21 waiver or any other waiver without legislative authorization.

22 (d) Sufficient funds are provided in this section for the
23 authority to implement the community information exchange program.
24 The technology solution chosen by the health care authority should be
25 capable of interoperating with other state funded systems in
26 Washington and should be able to electronically refer individuals to
27 services using a closed-loop referral process. Funding for the
28 community information exchange program is subject to the conditions,
29 limitations, and review requirements of section 701 of this act.

30 ~~((49))~~ (50) Sufficient funds in this section are provided for
31 staff dedicated to data review, analysis, and management, and policy
32 analysis in support of the health care cost transparency board as
33 described in chapter 70.390 RCW.

34 ~~((50))~~ (51) (a) ~~(((\$1,610,000))~~ \$786,000 of the statewide 988
35 behavioral health crisis response line account—state appropriation
36 and ~~(((\$1,572,000))~~ \$766,000 of the general fund—federal appropriation
37 are provided solely for the planning phase of the 988 technology
38 platform implementation project.

39 (b) The authority must actively collaborate with Washington
40 technology solutions and the department of health so that the

1 statewide 988 technology solutions will be coordinated and
2 interoperable.

3 (c) By October 1, 2025, the authority must provide an update to
4 legislative fiscal committees with the following details:

5 (i) An identified technology solution, with a list of
6 functionalities and the statutory requirement met by each
7 functionality;

8 (ii) Software, processes, and methods currently used by call
9 centers and designated 988 contact hubs that the proposed technology
10 platform would replace;

11 (iii) The number of call centers and designated 988 contact hubs
12 planning to transition all work processes to the proposed technology
13 platform; and

14 (iv) Identified risks and changes to the schedule and scope of
15 the project.

16 (d) The amounts in (a) of this subsection are subject to the
17 conditions, limitations, and review requirements provided in section
18 701 of this act.

19 (52)(a) (~~(\$71,376,000)~~) \$54,422,000 of the general fund—state
20 appropriation for fiscal year 2026 and (~~(\$70,976,000)~~) \$59,404,000 of
21 the general fund—state appropriation for fiscal year 2027 are
22 provided solely for the authority to implement a program with
23 coverage comparable to the amount, duration, and scope of care
24 provided in the categorically needy medicaid program for adult
25 individuals who:

26 (i) Have an immigration status making them ineligible for federal
27 medicaid or federal subsidies through the health benefit exchange;

28 (ii) Are age 19 and older, including over age 65, and have
29 countable income of up to 138 percent of the federal poverty level;
30 and

31 (iii) Are not eligible for another full scope federally funded
32 medical assistance program, including any expansion of medicaid
33 coverage for deferred action for childhood arrivals recipients.

34 (b) Within the amounts provided in this subsection, the authority
35 shall use the same eligibility, enrollment, redetermination and
36 renewal, and appeals procedures as categorically needy medicaid,
37 except where flexibility is necessary to maintain privacy or minimize
38 burden to applicants or enrollees.

39 (c) The authority in collaboration with the health benefit
40 exchange, the department of social and health services, and community

1 organizations must develop and implement an outreach and education
2 campaign.

3 (d) The authority must provide the following information to the
4 governor's office and appropriate committees of the legislature by
5 February 1st and November 1st of each year:

6 (i) Actual and forecasted expenditures;

7 (ii) Actual and forecasted data from the caseload forecast
8 council; and

9 (iii) The availability and impact of any federal program or
10 proposed rule that expands access to health care for the population
11 described in this subsection, such as the expansion of medicaid
12 coverage for deferred action for childhood arrivals recipients.

13 (e) No later than January 1, 2027, the authority must transition
14 the program described in (a) of this subsection from a managed care
15 to a fee-for-service service delivery model.

16 (f) On January 1, 2027, the authority shall open enrollment for
17 5,000 individuals.

18 (g) The amount provided in this subsection is the maximum amount
19 allowable for the purposes of this program.

20 (h) By October 1, 2026, the authority shall provide a report to
21 the governor's office and fiscal committees of the legislature that
22 includes recommendations for how the program described in (a) of this
23 subsection can achieve savings through a reduction in services or
24 benefits to allow for an increase in enrollment capacity.

25 (53) Within the amounts appropriated in this section, the
26 authority shall make administrative and system changes in
27 anticipation of receiving federal authority to provide continuous
28 eligibility for children ages zero to six covered through the apple
29 health children's health insurance program. The centers for medicare
30 and medicaid services must approve the section 1115 medicaid waiver
31 prior to the implementation of this policy.

32 (54) \$300,000 of the general fund—state appropriation for fiscal
33 year 2026 and \$300,000 of the general fund—state appropriation for
34 fiscal year 2027 are provided solely for the Bree collaborative to
35 support collaborative learning and targeted technical assistance for
36 quality improvement initiatives.

37 (55)(a) The authority shall collaborate with the University of
38 Washington on a supplemental payment program for the family medicine
39 residency network as a supplement to the family medical education
40 funding with additional federal funding.

(b) The authority shall provide a recommendation and report to the governor's office and fiscal committees of the legislature no later than September 30, 2025. The recommendation shall include how the supplemental payment program can improve the following:

- (i) Fiscal support for graduate medical education training;
- (ii) Access to quality health care services;
- (iii) The state's ability to ensure that medicaid graduate medical education funding supports the state's workforce development goals; and
- (iv) Health care access for underserved populations and regions.

(56) (a) \$165,000 of the general fund—state appropriation for fiscal year 2026 and \$165,000 of the general fund—federal appropriation are provided solely for the authority, in consultation with tribes, as required under 42 C.F.R. Sec. 431.408(b), to apply for a section 1115 waiver no later than ~~((December 31, 2025))~~ July 1, 2026, to provide coverage of traditional health care practices.

(b) Following consultation with tribes as described in (a) of this subsection, the authority shall provide a financing recommendation to the governor's office and the fiscal committees of the legislature no later than September 30, 2026.

(57) \$7,407,000 of the general fund—state appropriation for fiscal year 2026, ~~(((\$7,628,000))~~ \$11,442,000 of the general fund—state appropriation for fiscal year 2027, and ~~(((\$26,468,000))~~ \$33,183,000 of the general fund—federal appropriation are provided solely for the authority to continue the health homes program from January 1, 2026, through December 31, ~~((2026))~~ 2027.

(58) (a) ~~(((\$25,158,000))~~ \$12,062,000 of the general fund—state appropriation for fiscal year 2026, \$2,502,000 of the general fund—state appropriation for fiscal year 2027, \$9,600,000 of the information technology investment revolving account—state appropriation for fiscal year 2027, and ~~(((\$101,647,000))~~ \$65,231,000 of the general fund—federal appropriation are provided solely for the statewide electronic health records solution and is subject to the conditions, limitations, and review requirements of section 701 of this act.

(b) The statewide electronic health records solution must use an agile development model holding live demonstrations of functioning software, developed using incremental user research, held at the end of two-week sprints.

1 (c) The statewide electronic health records solution must be
2 capable of being continually updated, as necessary.

3 (d) The authority must ensure the development of the statewide
4 electronic health records solution includes consideration of national
5 interoperability standards, such as United States core data for
6 interoperability or the trusted exchange framework and common
7 agreement.

8 (e) The authority must work collaboratively with the department
9 of corrections agency project team, the department of social and
10 health services agency project team, and the health care authority
11 agency project team who are the state agencies included in the
12 statewide electronic health records solution project and, as a team,
13 must work to successfully meet budget, scope, and schedule for this
14 project.

15 (f) Beginning July 1, 2025, the authority shall provide written
16 quarterly reports, within 30 calendar days of the end of each fiscal
17 quarter, to legislative fiscal committees to include how funding was
18 spent compared to the budget spending plan for the prior quarter by
19 fiscal month and what the ensuing quarter budget will be by fiscal
20 month. The written report must also include detail summarized for the
21 entire statewide electronic health records solution, and also
22 delineated by each separate component technology budget, which are:
23 Enterprise foundational system, department of corrections, department
24 of social and health services, and the health care authority. The
25 written report must also include:

26 (i) A list of quantifiable deliverables scheduled for that
27 quarter, including those accomplished and the amount spent associated
28 with each deliverable, by fiscal month and fund source;

29 (ii) The contract full-time equivalent charged compared to the
30 budget spending plan by month for each contracted vendor, to include
31 interagency agreements with other state agencies, and what the next
32 contract equivalent budget spending plan assumes by fiscal month and
33 fund source;

34 (iii) The budget spending plan compared to actual spending by
35 fiscal month and fund source, and the projected spending plan by
36 fiscal month and fund source for the next quarter; and

37 (iv) An accounting of any deliverables that were changed in the
38 last quarter, and any plans to change future deliverables, to include
39 what the deliverable was, what the new deliverable is, why it was or
40 will be missed, and what the revised deliverable date is.

(59)(a) (~~(\$379,000)~~) \$1,518,000 of the general fund—state appropriation for fiscal year (~~(2026)~~) 2027 and (~~(\$1,258,000)~~) \$3,403,000 of the general fund—federal appropriation are provided solely for the statewide electronic health records solution and is subject to the conditions, limitations, and review requirements of section 701 of this act.

(b) The statewide electronic health records solution must use an agile development model holding live demonstrations of functioning software, developed using incremental user research, held at the end of two-week sprints.

(c) The statewide electronic health records solution must be capable of being continually updated, as necessary.

(d)(i) The authority must collaborate with the department of corrections and the department of social and health services and, as a team, must work to successfully meet budget, scope, and schedule for the statewide electronic health records solution.

(ii) Beginning July 1, 2025, the health care authority agency project team shall provide necessary updates to the health care authority foundational project team for the statewide electronic health records solution within 15 calendar days of the end of each fiscal quarter.

(iii) The information provided to the authority shall include how funding was spent compared to the budget spending plan for the prior quarter by fiscal month and what the next quarter budget will be by fiscal month.

(iv) The requirements of the quarterly report are listed in subsection (58) of this section.

(~~(+61+)~~) (60) \$330,000 of the general fund—state appropriation for fiscal year 2026, (~~(\$330,000)~~) \$498,000 of the general fund—state appropriation for fiscal year 2027, and (~~(\$786,000)~~) \$1,554,000 of the general fund—federal appropriation are provided solely to comply with federal eligibility rule changes required by the centers for medicare and medicaid services and funding is subject to the conditions, limitations, and review requirements of section 701 of this act.

(~~(+62+)~~) (61) \$100,000 of the general fund—state appropriation for fiscal year 2026 (~~(is)~~), \$100,000 of the general fund—state appropriation for fiscal year 2027, and \$98,000 of the general fund—federal appropriation are provided solely for the authority to

1 continue a public-private partnership with a state-based oral health
2 foundation to connect medicaid patients to dental services and reduce
3 barriers to accessing care.

4 ~~((+63+))~~ (62) (a) \$50,000 of the general fund—state appropriation
5 for fiscal year 2026 and \$50,000 of the general fund—federal
6 appropriation are provided solely for the authority, no later than
7 October 1, 2025, to convene negotiations with representatives of
8 primary care providers to develop budget-neutral, value-based
9 prospective payment methodologies for primary care services provided
10 to apple health enrollees, with the goal of entering into
11 arrangements appropriate to each primary care delivery system no
12 later than calendar year 2027. The authority shall prioritize the
13 development of methodologies that grow capacity to provide
14 comprehensive, whole person care. This includes, but is not limited
15 to, promoting workforce stability, team-based delivery models,
16 accountability for quality outcomes, equity-based care, and
17 improvements in population health.

18 (b) The authority shall, at a minimum, convene negotiations with
19 representatives of the statewide associations representing the
20 following categories of providers to develop budget-neutral payment
21 methodologies that maximize access and quality for medicaid patients
22 and are appropriate to their respective primary care delivery
23 systems:

- 24 (i) Family physicians;
25 (ii) Pediatricians; and
26 (iii) Federally qualified health centers.

27 ~~((+64) \$48,000 of the general fund—state appropriation for fiscal~~
28 ~~year 2027 and \$43,000 of the general fund—federal appropriation are~~
29 ~~provided solely for implementation of Substitute Senate Bill No. 5124~~
30 ~~(SNF & rehab network adequacy). If the bill is not enacted by June~~
31 ~~30, 2025, the amounts provided in this subsection shall lapse.~~

32 ~~(+65+))~~ (63) \$1,724,000 of the general fund—state appropriation
33 for fiscal year 2026, \$4,345,000 of the general fund—state
34 appropriation for fiscal year 2027, and \$6,068,000 of the general
35 fund—federal appropriation are provided solely for the authority in
36 coordination with the department of social and health services to
37 develop and implement a Katie Beckett section 1115 demonstration
38 waiver. The authority shall limit enrollment to 1,000 clients during
39 the waiver period. Based upon the experience developed during the

1 waiver period, the authority shall make recommendations to the
2 legislature for a future tax equity and fiscal responsibility act
3 state plan option.

4 ~~((+66+))~~ (64) \$200,000 of the general fund—state appropriation
5 for fiscal year 2026 is provided solely for the authority to contract
6 with a managed care organization for an enhanced case management
7 pilot program to expand resources for patients with post-acute care
8 transitions. The managed care organization must cover the largest
9 number of apple health clients in the state and implement the pilot
10 program with a hospital in Columbia county. The pilot program must
11 provide continuous support for 31 days post-discharge including, but
12 not limited to:

- 13 (a) Transportation;
- 14 (b) Transitional housing assistance;
- 15 (c) Rehabilitation referrals and coordination;
- 16 (d) Safety net program navigation and enrollment;
- 17 (e) Transitional primary care; and
- 18 (f) 24-hour clinic phone support.

19 ~~((+67+))~~ (65) \$50,000 of the general fund—state appropriation for
20 fiscal year 2026 and \$50,000 of the general fund—state appropriation
21 for fiscal year 2027 are provided solely for implementation of
22 Engrossed Second Substitute House Bill No. 1686 (health care entity
23 registry). ~~((If the bill is not enacted by June 30, 2025, the amounts
24 provided in this subsection shall lapse.~~

25 ~~+68+))~~ (66) (a) \$300,000 of the general fund—state appropriation
26 for fiscal year 2026 is provided solely for one-time bridge grants to
27 hospitals in financial distress or at risk of limiting access to
28 labor and delivery services due to a low-volume of deliveries at the
29 hospital.

30 (b) To qualify for these grants, a hospital must:

31 (i) Be located in Washington and not be part of a system of three
32 or more hospitals;

33 (ii) Serve individuals enrolled in state and federal medical
34 assistance programs;

35 (iii) Continue to maintain a medicaid population at similar
36 utilization levels as the most current complete calendar year data;

37 (iv) Be necessary for an adequate provider network for the
38 medicaid program;

(v) Demonstrate a plan for long-term financial sustainability;
and

(vi) Be at risk of limiting access to labor and delivery services due to:

(A) A low-volume of deliveries at the hospital described in (c)(i) of this subsection; or

(B) Serving a high percentage of individuals covered by public payers as described in (c)(ii) of this subsection.

(c) The grants must be distributed in amounts not to exceed \$150,000 per hospital to:

(i) A hospital that had fewer than 200 births funded by medicaid in the hospital's labor and delivery unit in the previous calendar year according to health care authority records and is located in a municipality with a population between 9,000 and 12,000; and

(ii) A public district hospital that had fewer than 250 births funded by public payers, including medicaid, tricare, and medicare, in the hospital's labor and delivery unit in the previous calendar year and is located on an island in Skagit county.

~~((69) \$111,000 of the general fund state appropriation for fiscal year 2026, \$63,385,000 of the general fund federal appropriation, and \$35,000,000 of the medicaid access program account—state appropriation are provided solely for implementation of Substitute House Bill No. 1392 (medicaid access program). If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.~~

~~(70))~~ (67) The amounts appropriated in this section are not sufficient to include coverage of prescription drugs for the treatment of obesity or weight loss under state or federally funded medical assistance programs. The authority shall not add coverage of prescription drugs for the treatment of obesity or weight loss without a specific appropriation from the legislature.

(68) \$5,069,000 of the general fund—state appropriation for fiscal year 2027 and \$32,200,000 of the general fund—federal appropriation are provided solely for the implementation of a community engagement hub and other provisions of section 71119 of P.L. 119-21. The authority must collaborate on the implementation of the community engagement hub with the department of social and health services, health benefit exchange, and other workforce development

1 partners. Funding is subject to the conditions, limitations, and
2 review requirements of section 701 of this act.

3 (69) \$282,000 of the telebehavioral health access account—state
4 appropriation is provided solely for implementation of House Bill No.
5 2254 (partnership access line). If the bill is not enacted by June
6 30, 2026, the amount provided in this subsection shall lapse.

7 (70) \$2,228,000 of the general fund—federal appropriation is
8 provided solely for the department of corrections' statewide
9 electronic health records solution and is subject to the conditions,
10 limitations, and review requirements of section 701 of this act. The
11 state match is appropriated to the department of corrections as
12 referenced in section 230(7)(i) of this act. The authority and the
13 department of corrections must coordinate on the coding used to allot
14 and record expenditures. This federal funding must be reflected in
15 the department of corrections' technology budget, which will show
16 both the federal funding from the authority and the state funding
17 from the department of corrections.

18 (71) Within the amounts appropriated in this section, the
19 authority shall reimburse rural emergency hospitals based on
20 allowable costs incurred during the year, effective the date the
21 hospital becomes designated by the centers for medicare and medicaid
22 services as a rural emergency hospital. The authority shall seek a
23 state plan amendment recognizing rural emergency hospitals and
24 reimbursing the rural emergency hospitals based on allowable costs
25 incurred during the year, effective the date the hospital became
26 designated a rural emergency hospital.

27 (72) \$24,000 of the general fund—state appropriation for fiscal
28 year 2027, \$41,000 of the general fund—federal appropriation, and
29 \$19,000 of the medical aid account—state appropriation are provided
30 solely for implementation of Senate Bill No. 5915 (health technology
31 assessment). If the bill is not enacted by June 30, 2026, the amounts
32 provided in this subsection shall lapse.

33 (73) \$376,000 of the general fund—state appropriation for fiscal
34 year 2027 and \$842,000 of the general fund—federal appropriation are
35 provided solely for implementation of Engrossed Substitute Senate
36 Bill No. 6194 (allowable costs/hospital). If the bill is not enacted
37 by June 30, 2026, the amounts provided in this subsection shall
38 lapse.

1 (74) \$100,000 of the general fund—federal appropriation and
2 \$100,000 of the general fund—private/local appropriation are provided
3 solely for the authority, in cooperation with managed care
4 organizations, public hospital districts, and publicly owned or
5 operated health care entities, to develop a new medicaid quality
6 improvement program that advances the state's strategic program
7 initiatives. Medicaid quality improvement program payments do not
8 count against the 1115 demonstration waiver spending limits and are
9 excluded from the waiver's budget neutrality calculation.

10 (75) \$608,000 of the general fund—state appropriation for fiscal
11 year 2027 is provided solely for implementation of Engrossed Second
12 Substitute Senate Bill No. 5981 (340b drug pricing program). If the
13 bill is not enacted by June 30, 2026, the amount provided in this
14 subsection shall lapse.

15 (76) \$51,000 of the general fund—state appropriation for fiscal
16 year 2027, \$51,000 of the general fund—federal appropriation, and
17 \$336,000 of the telebehavioral health access account—state
18 appropriation are provided solely for the authority to restore
19 reductions taken to the partnership access line and associated
20 programs taken in fiscal year 2027. Beginning July 1, 2026, the
21 authority is also required to increase contracted funding amounts for
22 the partnership access line and associated programs consistent with
23 the 2025-27 omnibus appropriations act.

24 (77) Within the amounts provided in this section, the authority
25 shall assist the department of children, youth, and families in
26 reimbursing providers in accordance with state and federal
27 requirements, including part C of the federal individuals with
28 disabilities education act and Title XIX of the federal social
29 security act. By December 1, 2026, the authority and the department
30 of children, youth, and families shall jointly report to the
31 legislature the following information, delineated by early
32 intervention service provider:

33 (a) An unduplicated count of children served;

34 (b) Total state funding reimbursed including, but not limited to,
35 the state share of any payments under Title XIX or XXI of the social
36 security act;

37 (c) Total federal funding reimbursed including, but not limited
38 to, any public insurance;

1 (d) Other funding expended for qualifying services, which may
2 include private insurance, fees, family contributions, grants,
3 philanthropy, or other fund sources that are available; and

4 (e) An assessment of whether service providers are fully
5 leveraging federal and other nonstate funding for qualifying
6 services, including billing applicable funding sources such as public
7 and private insurance and family fees such as copayments and
8 deductibles prior to using state and federal funds for early
9 intervention services, as required by WAC 110-400-0140.

10 (78) Within the amounts appropriated in this section, the
11 authority, in coordination with the department of social and health
12 services, must address the recommendations of the office of the
13 Washington state auditor's performance audit examining Washington's
14 concurrent medicaid enrollments published in October 2024. The
15 authority and department must:

16 (a) Collaborate to ensure that the department notifies the
17 authority when individuals who are enrolled in both the income-based
18 medicaid program and other income-based programs determined by both
19 the department and the authority, including but not limited to the
20 food stamp program as outlined in RCW 74.04.510, have moved out of
21 the state. The authority and the department shall consult and seek
22 recommendations from caseworkers and other relevant frontline staff
23 to more effectively and efficiently identify individuals who have
24 moved out of the state.

25 (b) Beginning January 1, 2027, the authority shall amend
26 contracts and processes with the managed care organizations to:

27 (i) Allow the state to recover premiums when the managed care
28 enrollee has moved out of Washington state and has not received any
29 services in the managed care service area;

30 (ii) Require managed care organizations that conduct business in
31 more than one state to analyze their enrollment records on a monthly
32 basis and identify occurrences when the enrollment records show that
33 the same person is enrolled in more than one state medicaid program;
34 and

35 (iii) Direct the managed care organizations to inform states of
36 the results of the analysis conducted in (c) of this subsection that
37 the same person is concurrently enrolled in their medicaid programs
38 and report those results to the authority on a monthly basis.

39 (c) The authority shall submit a report by June 30, 2027, to the
40 governor and the relevant committees of the legislature that details:

1 (i) The amount of premiums recovered from the managed care
2 organizations under the revised contract provisions implemented under
3 this subsection in the previous calendar year; and

4 (ii) The total number of individuals that the managed care
5 organizations have identified as enrolled in more than one state
6 medicaid program from the previous calendar year.

7 (79)(a) The statewide electronic health records project, to
8 include all subprojects, must continue to comply with the currently
9 approved statewide electronic health records plan that includes the
10 department of corrections, the department of social and health
11 services, and the health care authority unless an alternate plan that
12 must include the department of corrections, the department of social
13 and health services, and the health care authority is submitted to
14 the technology services board by August 1, 2026, and approved by the
15 technology services board by September 1, 2026. If an alternate plan
16 is presented to the technology services board, to be considered, it
17 must:

18 (i) Be a plan to implement a common technology solution to
19 leverage shared business processes and data across the state in
20 support of client services; and

21 (ii) Include, but not be limited to, the following elements:

22 (A) A comprehensive and complete project schedule to include
23 quantifiable anticipated deliverables that must include start date
24 and estimated completion dates for each milestone, from at least July
25 1, 2026, through implementation and go-live dates for the department
26 of corrections, the department of social and health services, and the
27 health care authority;

28 (B) An implementation plan for the technology solution from July
29 1, 2026, through five years maintenance and operations post go-live
30 implementation;

31 (C) Technology budgets to include estimated budget and resources
32 needed to implement the electronic health records solution by agency
33 and subproject, including fund sources and fund splits, and all
34 technology budget element requirements as outlined in section 701(4)
35 of this act;

36 (D) A comparison of the current approved plan to the proposed
37 alternate plan by subproject and in total through at least go-live
38 and implementation, to include discrete comprehensive comparisons of:

39 (I) Budget;

40 (II) Scope;

1 (III) Schedule;

2 (IV) Technology budgets, that must be compliant with section
3 701(4) of this act for each of the following subprojects: Enterprise
4 foundational electronic health records system; department of
5 corrections electronic health records; department of social and
6 health services electronic health records; and health care authority
7 electronic health records;

8 (V) Staffing by subproject by fiscal year, by fund, by
9 classification;

10 (VI) Licensing costs by fiscal year, and what is included in that
11 cost and what is not included;

12 (VII) Each identified third party application solution necessary
13 for go live and if the alternate would assume an alternate third
14 party application compared to current plan for each third party
15 application;

16 (VIII) Maintenance and operations cost by fiscal year from go-
17 live through at least five fiscal years to include, but not be
18 limited to, state employee staffing levels and detail of state
19 employee classifications, contracted professional services by
20 contractor name and service provided, and software licenses and
21 subscriptions to include contractor name and software categories; and

22 (IX) Each bucket of cost, of total associated costs, by fiscal
23 year by fund provided in plain language;

24 (E) A system that will use an agile development model holding
25 live demonstrations of functioning software, developed using
26 incremental user research, held at the end of every two-week sprint;

27 (F) A system that must be capable of being continually updated,
28 as necessary;

29 (G) A system that will deploy usable functionality into
30 production for users within 180 days from the date there is an
31 executed procurement contract after a competitive request for
32 proposal is closed;

33 (H) A system that uses quantifiable deliverables that must
34 include live, accessible demonstrations of software in development to
35 program staff and end users at each sprint or at least monthly; and

36 (I) The development of the statewide electronic health records
37 solution must include consideration of national interoperability
38 standards, such as United States core data for interoperability or
39 the trusted exchange framework and common agreement.

(b) The plan and all requirements described in (a) of this subsection:

(i) Must be submitted in plain language to the office of financial management, the chair and ranking member of the senate environment, energy, and technology policy committee and the house technology, economic development, and veterans policy committee, the chairs and ranking members of the fiscal committees of the legislature, and the technology services board by August 1, 2026, and must allow for at least 10 business days from the date of submittal of all materials for review before it can be approved; and

(ii) Must be approved by the office of financial management and the technology services board established in RCW 43.105.285 by September 1, 2026, or the previously approved technology services board plan will continue to be completed in full.

**Sec. 211 was partially vetoed. See message at end of chapter.*

Sec. 212. 2025 c 424 s 212 (uncodified) is amended to read as follows:

FOR THE STATE HEALTH CARE AUTHORITY—EMPLOYEE AND RETIREE BENEFITS PROGRAM

State Health Care Authority Administrative Account—

State Appropriation.	((\$46,618,000))
	<u>\$48,813,000</u>

School Employees' Insurance Administrative Account—

State Appropriation.	((\$34,500,000))
	<u>\$36,324,000</u>

TOTAL APPROPRIATION.	((\$81,118,000))
	<u>\$85,137,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) Any savings from reduced claims costs must be reserved for funding benefits during future fiscal biennia and may not be used for administrative expenses. The health care authority shall deposit any moneys received on behalf of the uniform medical plan resulting from rebates on prescription drugs, audits of hospitals, subrogation payments, or any other moneys received as a result of prior uniform medical plan claims payments, in the appropriate account to be used for insurance benefits.

(2) Any changes to benefits must be approved by the applicable program board. Neither board shall make any changes to benefits without considering a comprehensive analysis of the cost of those changes, and shall not increase benefits unless offsetting cost reductions from other benefit revisions are sufficient to fund the changes. The public employees' benefits board shall not make any change in retiree eligibility criteria that reestablishes eligibility for enrollment in retiree benefits.

(3) Each board shall collect a surcharge payment of \$25 per month from members who use tobacco products, and a surcharge payment of not less than \$50 per month from members who cover a spouse or domestic partner where the spouse or domestic partner has chosen not to enroll in another employer-based group health insurance that has benefits and premiums with an actuarial value of not less than 95 percent of the actuarial value of the public employees' benefits board plan with the largest enrollment. The surcharge payments shall be collected in addition to the member premium payment.

(4) \$10,000 of the state health care authority administrative account—state appropriation is provided solely for implementation of Senate Bill No. 5915 (health technology assessment). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(5) \$100,000 of the state health care authority administrative account—state appropriation is provided solely for a study of options to improve the affordability of retiree health care coverage for pre-medicare-eligible public employees. The study must include an analysis of available state and third-party coverage options, potential mechanisms to lower or offset retiree costs, and a fiscal analysis of the potential impacts to the community-rated public employee benefits risk pools. A report of the findings and recommendations must be submitted to the governor and the fiscal committees of the legislature by December 31, 2026.

Sec. 213. 2025 c 424 s 213 (uncodified) is amended to read as follows:

FOR THE STATE HEALTH CARE AUTHORITY—HEALTH BENEFIT EXCHANGE

General Fund—State Appropriation (FY 2026)	((\$8,766,000))
	<u>\$8,966,000</u>

General Fund—State Appropriation (FY 2027)	((\$8,609,000))
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1		<u>\$9,252,000</u>
2	General Fund—Federal Appropriation.	((\$87,363,000))
3		<u>\$97,845,000</u>
4	Education Legacy Trust Account—State Appropriation.	\$350,000
5	Health Benefit Exchange Account—State Appropriation.	((\$86,030,000))
6		<u>\$87,536,000</u>
7	State Health Care Affordability Account—State	
8	Appropriation.	((\$85,000,000))
9		<u>\$110,000,000</u>
10	TOTAL APPROPRIATION.	((\$276,118,000))
11		<u>\$313,949,000</u>

12 The appropriations in this section are subject to the following
13 conditions and limitations:

14 (1) The receipt and use of medicaid funds provided to the health
15 benefit exchange from the health care authority are subject to
16 compliance with state and federal regulations and policies governing
17 the Washington apple health programs, including timely and proper
18 application, eligibility, and enrollment procedures.

19 (2) (a) By July 15th, October 15th, and January 15th of each year,
20 the authority shall make a payment of 30 percent of the general fund—
21 state appropriation, 30 percent of the health benefit exchange
22 account—state appropriation, and 30 percent of the health care
23 affordability account—state appropriation to the exchange. By April
24 15th of each year, the authority shall make a payment of 10 percent
25 of the general fund—state appropriation, 10 percent of the health
26 benefit exchange account—state appropriation, and 10 percent of the
27 health care affordability account—state appropriation to the
28 exchange.

29 (b) The exchange shall monitor actual to projected revenues and
30 make necessary adjustments in expenditures or carrier assessments to
31 ensure expenditures do not exceed actual revenues.

32 (c) Payments made from general fund—state appropriation and
33 health benefit exchange account—state appropriation shall be
34 available for expenditure for no longer than the period of the
35 appropriation from which it was made. When the actual cost of
36 materials and services have been fully determined, and in no event
37 later than the lapsing of the appropriation, any unexpended balance
38 of the payment shall be returned to the authority for credit to the

1 fund or account from which it was made, and under no condition shall
2 expenditures exceed actual revenue.

3 (3) (~~(\$75,000,000)~~) \$100,000,000 of the state health care
4 affordability account—state appropriation is provided solely for the
5 exchange to administer a premium assistance program, as established
6 in RCW 43.71.110. An individual is eligible for the premium
7 assistance provided if the individual: (a) Has income up to 250
8 percent of the federal poverty level; and (b) meets other eligibility
9 criteria as established in RCW 43.71.110(4)(a).

10 (4)(a) \$10,000,000 of the state health care affordability account
11 —state appropriation is provided solely to provide premium assistance
12 for customers ineligible for federal premium tax credits who meet the
13 eligibility criteria established in subsection (3)(a) and (b) of this
14 section, and is contingent upon continued approval of the applicable
15 waiver described in RCW 43.71.120.

16 (b) In the event the applicable waiver described in RCW 43.71.120
17 is suspended, terminated, or otherwise ended, \$10,000,000 of the
18 state health care affordability account—state appropriation is
19 provided solely to:

20 (i) Implement a state program with coverage comparable to
21 individual market plans, for customers who would have been eligible
22 under the waiver; and

23 (ii) Provide state premium assistance to state program customers
24 who meet the eligibility criteria established in subsection (3) of
25 this section.

26 (c) The exchange may establish or designate a separate entity to
27 administer the state program. Administration of the state program
28 must include, but is not limited to, establishing requirements for
29 eligibility, continued participation, and carrier payments.

30 (d) Moneys collected for premiums written on qualified health
31 benefit plans and qualified dental plans offered through the state
32 program must be deposited in the state health care affordability
33 account under RCW 43.71.130, through a procedure established by the
34 exchange that aligns with the requirements of RCW 48.14.0201(5)(b),
35 48.14.020(2), and 43.71.080.

36 (e) The exchange, and any entity involved in implementing this
37 program, is subject to RCW 43.17.425.

38 (5) (~~(\$1,117,000)~~) \$1,067,000 of the general fund—state
39 appropriation for fiscal year 2026, (~~(\$1,182,000)~~) \$1,254,000 of the

1 general fund—state appropriation for fiscal year 2027,
2 (~~(\$12,510,000)~~) \$16,282,000 of the general fund—federal
3 appropriation, and (~~(\$809,000)~~) \$419,000 of the health benefit
4 exchange account—state appropriation are provided solely to make
5 improvements to healthplanfinder to comply with federal eligibility
6 rule changes required by the centers for medicare and medicaid
7 services and funding is subject to the conditions, limitations, and
8 review requirements of section 701 of this act.

9 (6) \$1,000,000 of the health benefit exchange account—state
10 appropriation for fiscal year 2027 is provided solely for the
11 exchange, in collaboration with stakeholders, to begin development
12 starting January 1, 2027, of an automated solution to ensure
13 continuous health care coverage through qualified health plans for
14 medicaid beneficiaries losing medicaid coverage through Washington
15 healthplanfinder and is subject to the conditions, limitations, and
16 review requirements of section 701 of this act.

17 (7) \$250,000 of the general fund—state appropriation for fiscal
18 year 2026, \$636,000 of the general fund—state appropriation for
19 fiscal year 2027, and \$3,587,000 of the general fund—federal
20 appropriation are provided solely for the implementation of a
21 community engagement hub and other provisions of section 71119 of
22 P.L. 119-21. The exchange must collaborate on the implementation of
23 the community engagement hub with the department of social and health
24 services, health care authority, and other workforce development
25 partners. Funding is subject to the conditions, limitations, and
26 review requirements of section 701 of this act.

27 **Sec. 214.** 2025 c 424 s 214 (uncodified) is amended to read as
28 follows:

29 **FOR THE STATE HEALTH CARE AUTHORITY—COMMUNITY BEHAVIORAL HEALTH**
30 **PROGRAM**

31	General Fund—State Appropriation (FY 2026). . . .	((\$1,185,242,000))
32		<u>\$1,192,787,000</u>
33	General Fund—State Appropriation (FY 2027). . . .	((\$1,185,284,000))
34		<u>\$1,190,759,000</u>
35	General Fund—Federal Appropriation.	((\$3,320,820,000))
36		<u>\$3,533,992,000</u>
37	General Fund—Private/Local Appropriation.	((\$39,200,000))
38		<u>\$39,199,000</u>

1	Criminal Justice Treatment Account—State	
2	Appropriation.	((\$27,541,000))
3		<u>\$30,541,000</u>
4	Problem Gambling Account—State Appropriation.	\$3,249,000
5	Dedicated Cannabis Account—State Appropriation	
6	(FY 2026).	\$28,515,000
7	Dedicated Cannabis Account—State Appropriation	
8	(FY 2027).	\$28,517,000
9	Opioid Abatement Settlement Account—State	
10	Appropriation.	((\$77,463,000))
11		<u>\$93,932,000</u>
12	Statewide 988 Behavioral Health Crisis Response Line	
13	Account—State Appropriation.	((\$74,034,000))
14		<u>\$71,309,000</u>
15	Tribal Opioid Prevention and Treatment Account—State	
16	Appropriation.	((\$16,814,000))
17		<u>\$21,656,000</u>
18	TOTAL APPROPRIATION.	((\$5,986,679,000))
19		<u>\$6,234,456,000</u>

20 The appropriations in this section are subject to the following
21 conditions and limitations:

22 (1) For the purposes of this section, "behavioral health
23 entities" means managed care organizations and behavioral health
24 administrative services organizations that reimburse providers for
25 behavioral health services.

26 (2) Within the amounts appropriated in this section, funding is
27 provided for implementation of the settlement agreement under
28 *Trueblood, et al. v. Department of Social and Health Services, et*
29 *al.*, United States District Court for the Western District of
30 Washington, Cause No. 14-cv-01178-MJP. In addition to amounts
31 provided solely for implementation of the settlement agreement, class
32 members must have access to supports and services funded throughout
33 this section for which they meet eligibility and medical necessity
34 requirements. The authority must include language in contracts that
35 requires regional behavioral health entities to develop and implement
36 plans for improving access to timely and appropriate treatment for
37 individuals with behavioral health needs and current or prior
38 criminal justice involvement who are eligible for services under
39 these contracts.

1 (3) \$57,910,000 of the general fund—state appropriation for
2 fiscal year 2026, \$63,090,000 of the general fund—state appropriation
3 for fiscal year 2027, and \$15,804,000 of the general fund—federal
4 appropriation are provided solely to continue the phase-in of the
5 settlement agreement under *Trueblood, et al. v. Department of Social*
6 *and Health Services, et al.*, United States District Court for the
7 Western District of Washington, Cause No. 14-cv-01178-MJP. The
8 authority, in collaboration with the department of social and health
9 services and the criminal justice training commission, must implement
10 the provisions of the settlement agreement pursuant to the timeline
11 and implementation plan provided for under the settlement agreement.
12 This includes implementing provisions related to competency
13 evaluations, competency restoration, crisis diversion and supports,
14 education and training, and workforce development.

15 (4) \$7,200,000 of the general fund—state appropriation for fiscal
16 year 2026 and \$7,200,000 of the general fund—state appropriation for
17 fiscal year 2027 are provided solely to continue diversion grant
18 programs funded through contempt fines pursuant to *Trueblood, et al.*
19 *v. Department of Social and Health Services, et al.*, United States
20 District Court for the Western District of Washington, Cause No. 14-
21 cv-01178-MJP. The authority must consult with the plaintiffs and
22 court monitor to determine, within the amounts provided, which of the
23 programs will continue to receive funding through this appropriation.
24 The programs shall use this funding to provide assessments, mental
25 health treatment, substance use disorder treatment, case management,
26 employment, and other social services.

27 (5) \$18,891,000 of the general fund—state appropriation for
28 fiscal year 2026, \$18,561,000 of the general fund—state appropriation
29 for fiscal year 2027, and \$41,062,000 of the general fund—federal
30 appropriation are provided solely for the authority and behavioral
31 health entities to continue to contract for implementation of high-
32 intensity programs for assertive community treatment (PACT) teams. In
33 determining the proportion of medicaid and nonmedicaid funding
34 provided to behavioral health entities with PACT teams, the authority
35 shall consider the differences between behavioral health entities in
36 the percentages of services and other costs associated with the teams
37 that are not reimbursable under medicaid. The authority may allow
38 behavioral health entities which have nonmedicaid reimbursable costs
39 that are higher than the nonmedicaid allocation they receive under

1 this section to supplement these funds with local dollars or funds
2 received under subsection (7) of this section. The authority and
3 behavioral health entities shall maintain consistency with all
4 essential elements of the PACT evidence-based practice model in
5 programs funded under this section.

6 (6) \$1,668,000 of the general fund—state appropriation for fiscal
7 year 2026, \$1,668,000 of the general fund—state appropriation for
8 fiscal year 2027, and \$3,040,000 of the general fund—federal
9 appropriation are provided solely for the authority to maintain a
10 pilot project to incorporate peer bridging staff into behavioral
11 health regional teams that provide transitional services to
12 individuals returning to their communities.

13 (7) \$147,449,000 of the general fund—state appropriation for
14 fiscal year 2026 and (~~(\$147,449,000)~~) \$144,949,000 of the general
15 fund—state appropriation for fiscal year 2027 are provided solely for
16 persons and services not covered by the medicaid program. To the
17 extent possible, levels of behavioral health entity spending must be
18 maintained in the following priority order: Crisis and commitment
19 services; community inpatient services; and residential care
20 services, including personal care and emergency housing assistance.
21 These amounts must be distributed to behavioral health entities as
22 follows:

23 (a) \$132,924,000 of the general fund—state appropriation for
24 fiscal year 2026 and \$132,924,000 of the general fund—state
25 appropriation for fiscal year 2027 are provided solely for the
26 authority to contract with behavioral health administrative service
27 organizations for behavioral health treatment services not covered
28 under the medicaid program. Within these amounts, behavioral health
29 administrative service organizations must continue a 15 percent rate
30 increase to providers receiving state funds for nonmedicaid services
31 under this section that was originally effective January 1, 2024.

32 (b) \$14,524,000 of the general fund—state appropriation for
33 fiscal year 2026 and (~~(\$14,525,000)~~) \$12,025,000 of the general fund—
34 state appropriation for fiscal year 2027 are provided solely for the
35 authority to contract with medicaid managed care organizations for
36 wraparound services to medicaid enrolled individuals that are not
37 covered under the medicaid program.

1 (8) The authority is authorized to continue to contract directly,
2 rather than through contracts with behavioral health entities for
3 children's long-term inpatient facility services.

4 (9) (~~(\$2,990,000)~~) \$2,953,000 of the general fund—state
5 appropriation for fiscal year 2026 and (~~(\$3,029,000)~~) \$2,995,000 of
6 the general fund—state appropriation for fiscal year 2027 are
7 provided solely to reimburse counties for the cost of conducting
8 involuntary act judicial proceedings as follows:

9 (a) \$1,025,000 of the general fund—state appropriation for fiscal
10 year 2026 and \$1,025,000 of the general fund—state appropriation for
11 fiscal year 2027 are provided solely to reimburse Pierce county for
12 the cost of conducting 180-day commitment hearings at the state
13 psychiatric hospitals.

14 (b) \$504,000 of the general fund—state appropriation for fiscal
15 year 2026 and \$504,000 of the general fund—state appropriation for
16 fiscal year 2027 are provided solely to reimburse Spokane county for
17 the cost of conducting 180-day commitment hearings at the state
18 psychiatric hospitals.

19 (c) (~~(\$171,000)~~) \$134,000 of the general fund—state appropriation
20 for fiscal year 2026 and (~~(\$210,000)~~) \$176,000 of the general fund—
21 state appropriation for fiscal year 2027 are provided solely to
22 reimburse Thurston county for the cost of conducting 180-day
23 commitment hearings at the Maple Lane facility.

24 (d) \$1,290,000 of the general fund—state appropriation for fiscal
25 year 2026 and \$1,290,000 of the general fund—state appropriation for
26 fiscal year 2027 are provided solely to reimburse either King county
27 or other legal services organizations, or both, for the cost of
28 conducting involuntary treatment act commitment hearings at
29 facilities operating within King county. These amounts must be
30 prioritized for the cost of conducting 180-day commitment hearings at
31 state-operated facilities including facilities operated by the
32 department of social and health services and the University of
33 Washington center for behavioral health and learning. Any remaining
34 amounts may be used to reimburse either King county or other legal
35 services organizations for the cost of other involuntary treatment
36 act commitment hearings provided in other facilities within King
37 county.

38 (10) Behavioral health entities may use local funds to earn
39 additional federal medicaid match, provided the locally matched rate

1 does not exceed the upper-bound of their federally allowable rate
2 range, and provided that the enhanced funding is used only to provide
3 medicaid state plan or waiver services to medicaid clients.
4 Additionally, behavioral health entities may use a portion of the
5 state funds allocated in accordance with subsection (7) of this
6 section to earn additional medicaid match, but only to the extent
7 that the application of such funds to medicaid services does not
8 diminish the level of crisis and commitment, community inpatient,
9 residential care, and outpatient services presently available to
10 persons not eligible for medicaid.

11 (11) \$2,062,000 of the general fund—state appropriation for
12 fiscal year 2026 and \$2,062,000 of the general fund—state
13 appropriation for fiscal year 2027 are provided solely for mental
14 health services for mentally ill offenders while confined in a county
15 or city jail and for facilitating access to programs that offer
16 mental health services upon release from confinement. The authority
17 must collect information from the behavioral health entities on their
18 plan for using these funds, the numbers of individuals served, and
19 the types of services provided.

20 (12) Within the amounts appropriated in this section, funding is
21 provided for the authority to develop and phase in intensive mental
22 health services for high needs youth consistent with the settlement
23 agreement in *T.R. v. Dreyfus and Porter*.

24 (13)(a) The authority must establish minimum and maximum funding
25 levels for all reserves allowed under behavioral health
26 administrative service organization contracts and include contract
27 language that clearly states the requirements and limitations. The
28 reserve levels must be informed by the types of risk carried by
29 behavioral health administrative service organizations for mandatory
30 services and also consider reasonable levels of operating reserves.
31 The authority must monitor and ensure that behavioral health
32 administrative service organization reserves do not exceed maximum
33 levels. The authority must monitor revenue and expenditure reports
34 and must require a behavioral health administrative service
35 organization to submit a corrective action plan on how it will spend
36 its excess reserves within a reasonable period of time, when its
37 reported reserves exceed maximum levels established under the
38 contract. The authority must review and approve such plans and
39 monitor to ensure compliance. If the authority determines that a
40 behavioral health administrative service organization has failed to

1 provide an adequate excess reserve corrective action plan or is not
2 complying with an approved plan, the authority must reduce payments
3 to the entity in accordance with remedial actions provisions included
4 in the contract. These reductions in payments must continue until the
5 authority determines that the entity has come into substantial
6 compliance with an approved excess reserve corrective action plan.
7 The authority must submit to the office of financial management and
8 the appropriate committees of the legislature, each December of the
9 biennium, the minimum and maximum reserve levels established in
10 contract for each of the behavioral health administrative service
11 organizations for the prior fiscal year and the actual reserve levels
12 reported at the end of the fiscal year.

13 (b) In contracts effective during the fiscal biennium, the
14 authority must allow behavioral health administrative services
15 organizations flexibility in utilizing reserve funding received
16 pursuant to a specific legislative proviso in a prior contract
17 period. Funding repurposed under this subsection must be used to
18 support the duties of the administrative services organization under
19 RCW 71.24.045 through programs serving individuals with severe and
20 persistent behavioral health conditions and behavioral health
21 services that promote stability and recovery within their regional
22 service area. Repurposed funds shall prioritize the core mandated
23 functions that behavioral health administrative services
24 organizations must provide for all residents who need the service or,
25 for residents who are not medicaid enrollees, as described in the
26 authority's model contract for behavioral health administrative
27 services organizations. A behavioral health administrative services
28 organization that wishes to repurpose reserve funding must notify the
29 authority in advance and the authority may require modification of
30 the plan if it determines that the behavioral health administrative
31 services organization has not made a good faith effort to implement
32 prior funding for the purpose for which it was originally provided.
33 The authority must capture information related to behavioral health
34 administrative services organization repurposing of funds under this
35 subsection, including identification of which specific legislative
36 provisos it repurposed funding under this subsection and for what
37 purpose those funds were used, through the revenue and expenditure
38 reporting process. These reports shall describe by how much the
39 state's appropriated funding for core mandated functions fell short
40 of need as determined by the behavioral health administrative

1 services organization. The authority must update the revenue and
2 expenditure reporting template and reporting instructions to
3 behavioral health administrative service organizations by September
4 1, 2025.

5 (14) Within the amounts provided in this section, behavioral
6 health entities must provide outpatient chemical dependency treatment
7 for offenders enrolled in the medicaid program who are supervised by
8 the department of corrections pursuant to a term of community
9 supervision. Contracts with behavioral health entities must require
10 that behavioral health entities include in their provider network
11 specialized expertise in the provision of manualized, evidence-based
12 chemical dependency treatment services for offenders. The department
13 of corrections and the authority must develop a memorandum of
14 understanding for department of corrections offenders on active
15 supervision who are medicaid eligible and meet medical necessity for
16 outpatient substance use disorder treatment. The agreement will
17 ensure that treatment services provided are coordinated, do not
18 result in duplication of services, and maintain access and quality of
19 care for the individuals being served. The authority must provide all
20 necessary data, access, and reports to the department of corrections
21 for all department of corrections offenders that receive medicaid
22 paid services.

23 (15) The criminal justice treatment account—state appropriation
24 is provided solely for treatment and treatment support services for
25 offenders with a substance use disorder pursuant to RCW 71.24.580.
26 The authority must offer counties the option to administer their
27 share of the distributions provided for under RCW 71.24.580(5)(a). If
28 a county is not interested in administering the funds, the authority
29 shall contract with behavioral health entities to administer these
30 funds consistent with the plans approved by local panels pursuant to
31 RCW 71.24.580(5)(b).

32 (16)(a) \$11,590,000 of the dedicated cannabis account—state
33 appropriation for fiscal year 2026 and \$11,590,000 of the dedicated
34 cannabis account—state appropriation for fiscal year 2027 are
35 provided solely for:

36 (i) A memorandum of understanding with the department of
37 children, youth, and families to provide substance abuse treatment
38 programs;

1 (ii) A contract with the Washington state institute for public
2 policy to conduct a cost-benefit evaluation of the implementations of
3 chapter 3, Laws of 2013 (Initiative Measure No. 502);

4 (iii) Designing and administering the Washington state healthy
5 youth survey and the Washington state young adult behavioral health
6 survey;

7 (iv) Maintaining increased services to pregnant and parenting
8 women provided through the parent child assistance program;

9 (v) Maintaining increased prevention and treatment service
10 provided by tribes and federally recognized American Indian
11 organization to children and youth;

12 (vi) Maintaining increased residential treatment services for
13 children and youth;

14 (vii) Training and technical assistance for the implementation of
15 evidence-based, research based, and promising programs which prevent
16 or reduce substance use disorder;

17 (viii) Expenditures into the home visiting services account; and

18 (ix) Grants to community-based programs that provide prevention
19 services or activities to youth.

20 (b) The authority must allocate the amounts provided in (a) of
21 this subsection amongst the specific activities proportionate to the
22 fiscal year 2021 allocation.

23 (17)(a) \$1,125,000 of the general fund—state appropriation for
24 fiscal year 2026 and \$1,125,000 of the general fund—state
25 appropriation for fiscal year 2027 is provided solely for Spokane
26 behavioral health entities to implement services to reduce
27 utilization and the census at eastern state hospital. Such services
28 must include:

29 (i) High intensity treatment team for persons who are high
30 utilizers of psychiatric inpatient services, including those with co-
31 occurring disorders and other special needs;

32 (ii) Crisis outreach and diversion services to stabilize in the
33 community individuals in crisis who are at risk of requiring
34 inpatient care or jail services;

35 (iii) Mental health services provided in nursing facilities to
36 individuals with dementia, and consultation to facility staff
37 treating those individuals; and

38 (iv) Services at the 16-bed evaluation and treatment facility.

39 (b) At least annually, the Spokane county behavioral health
40 entities shall assess the effectiveness of these services in reducing

1 utilization at eastern state hospital, identify services that are not
2 optimally effective, and modify those services to improve their
3 effectiveness.

4 (18) \$1,850,000 of the general fund—state appropriation for
5 fiscal year 2026, \$1,850,000 of the general fund—state appropriation
6 for fiscal year 2027, and \$13,312,000 of the general fund—federal
7 appropriation are provided solely for substance use disorder peer
8 support services included in behavioral health capitation rates in
9 accordance with section 213(5)(ss), chapter 299, Laws of 2018. The
10 authority shall require managed care organizations to provide access
11 to peer support services for individuals with substance use disorders
12 transitioning from emergency departments, inpatient facilities, or
13 receiving treatment as part of hub and spoke networks.

14 (19) (~~(\$23,900,000)~~) \$23,800,000 of the general fund—state
15 appropriation for fiscal year 2026, (~~(\$23,900,000)~~) \$21,220,000 of
16 the general fund—state appropriation for fiscal year 2027,
17 (~~(\$1,000,000)~~) \$900,000 of the general fund—federal appropriation,
18 and (~~(\$8,100,000)~~) \$7,290,000 of the opioid abatement settlement
19 account—state appropriation are provided solely to maintain
20 activities to improve outcomes for individuals with behavioral health
21 issues interacting with law enforcement. Of these amounts:

22 (a) \$850,000 of the general fund—state appropriation for fiscal
23 year 2026, (~~(\$850,000)~~) \$680,000 of the general fund—state
24 appropriation for fiscal year 2027, (~~(\$1,000,000)~~) \$900,000 of the
25 general fund—federal appropriation, and (~~(\$3,600,000)~~) \$3,240,000 of
26 the opioid abatement settlement account—state appropriation are
27 provided solely for the authority to maintain a memorandum of
28 understanding with the criminal justice training commission to
29 provide funding for community grants pursuant to RCW 36.28A.450.

30 (b) \$19,600,000 of the general fund—state appropriation for
31 fiscal year 2026 and (~~(\$19,600,000)~~) \$17,640,000 of the general fund—
32 state appropriation for fiscal year 2027 are provided solely for the
33 authority to contract with behavioral health administrative service
34 organizations to implement the statewide recovery navigator program
35 established in chapter 311, Laws of 2021 (ESB 5476) and for related
36 technical assistance to support this implementation. This includes
37 funding for recovery navigator teams to provide community-based
38 outreach and case management services based on the law enforcement
39 assisted diversion model and for technical assistance support from

1 the law enforcement assisted diversion national support bureau. The
2 authority and technical assistance contractor must encourage recovery
3 navigator programs to provide educational information and outreach
4 regarding recovery navigator program services to local retailers that
5 have high levels of retail theft. Of the amounts provided in this
6 subsection (19) (b):

7 (i) \$1,600,000 of the general fund—state appropriation for fiscal
8 year 2026 and (~~(\$1,600,000)~~) \$1,440,000 of the general fund—state
9 appropriation for fiscal year 2027 must be allocated to maintain
10 recovery navigator services in King, Pierce, and Snohomish counties.
11 These amounts must be in addition to the proportion of the allocation
12 of the remaining funds in this subsection the regional behavioral
13 health administrative services organizations serving those counties
14 were allocated pursuant to section 22(1), chapter 311, Laws of 2021.

15 (ii) \$2,000,000 of the general fund—state appropriation for
16 fiscal year 2026 and (~~(\$2,000,000)~~) \$1,800,000 of the general fund—
17 state appropriation for fiscal year 2027 are provided solely for
18 expanding recovery navigator program services in regions where fiscal
19 year 2026 projected expenditures will exceed revenues provided under
20 this subsection. In allocating these amounts, the authority must
21 prioritize regions where the combined fiscal year recovery navigator
22 program allocations and recovery navigator program reserve balances
23 are inadequate to cover estimated fiscal year expenditures.

24 (c) \$700,000 of the general fund—state appropriation for fiscal
25 year 2026 and \$700,000 of the general fund—state appropriation for
26 fiscal year 2027 are provided solely for behavioral health
27 administrative service organizations to develop regional recovery
28 navigator program plans pursuant to chapter 311, Laws of 2021 (ESB
29 5476), and to establish positions focusing on regional planning to
30 improve access to and quality of regional behavioral health services
31 with a focus on integrated care.

32 (d) \$2,250,000 of the general fund—state appropriation for fiscal
33 year 2026, (~~(\$2,250,000)~~) \$1,800,000 of the general fund—state
34 appropriation for fiscal year 2027, and (~~(\$4,500,000)~~) \$4,050,000 of
35 the opioid abatement settlement account—state appropriation are
36 provided solely for the authority to maintain funding for ongoing
37 grants to law enforcement assisted diversion programs under RCW
38 71.24.589.

1 (e) (~~(\$500,000)~~) \$400,000 of the general fund—state appropriation
2 for fiscal year 2026 and (~~(\$500,000)~~) \$400,000 of the general fund—
3 state appropriation for fiscal year 2027 are provided solely for the
4 authority to contract with the University of Washington addictions,
5 drug, and alcohol institute. This funding must be used for advanced,
6 evidence-based training for law enforcement to improve interactions
7 with individuals who use drugs. The training must be developed so it
8 can be adapted and used statewide to decrease stigmatizing beliefs
9 among law enforcement through positive contact with people who use
10 drugs and improve officer well-being and effectiveness by providing
11 skills and techniques to address the drug overdose epidemic. The
12 institute must develop and refine this training, leveraging prior
13 work, and in partnership with a steering committee that includes
14 people with lived or living experience of substance use disorder and
15 criminal legal involvement, researchers, clinicians, law enforcement
16 officers, and others. The training must complement, but not
17 duplicate, existing curricula already provided by the criminal
18 justice training commission. The institute must pilot the advanced
19 training in a subset of regional law enforcement agencies and
20 evaluate its acceptability and feasibility through participant
21 interviews and pretraining and posttraining ratings of stigmatizing
22 beliefs. The institute must incorporate feedback from the pilot
23 training sessions into a final training program that it must make
24 available to law enforcement agencies across the state.

25 ~~(20) (~~(\$1,875,000 of the general fund state appropriation for~~~~
26 ~~fiscal year 2026, \$1,875,000 of the general fund state appropriation~~
27 ~~for fiscal year 2027, \$350,000 of the general fund federal~~
28 ~~appropriation, and \$5,400,000 of the opioid abatement settlement~~
29 ~~account state appropriation are provided solely for the authority to~~
30 ~~continue to provide support for recovery residences. Of these~~
31 ~~amounts:~~

32 ~~(a) \$75,000 of the general fund state appropriation for fiscal~~
33 ~~year 2026, \$75,000 of the general fund state appropriation for fiscal~~
34 ~~year 2027, and \$350,000 of the general fund federal appropriation are~~
35 ~~provided solely to contract with a nationally recognized recovery~~
36 ~~residence organization and to provide technical assistance to~~
37 ~~operators of recovery residences seeking certification in accordance~~
38 ~~with chapter 264, Laws of 2019 (2SHB 1528).~~

1 ~~(b))~~) \$1,800,000 of the general fund—state appropriation for
2 fiscal year 2026, \$1,800,000 of the general fund—state appropriation
3 for fiscal year 2027, and \$5,400,000 of the opioid abatement
4 settlement account—state appropriation are provided solely for the
5 authority to provide grants for the operational costs of new staffed
6 recovery residences which serve individuals with substance use
7 disorders who require more support than a level 1 recovery residence.

8 (21) \$6,510,000 of the general fund—state appropriation for
9 fiscal year 2026, (~~(\$6,510,000)~~) \$4,557,000 of the general fund—state
10 appropriation for fiscal year 2027, (~~(\$21,602,000)~~) \$18,362,000 of
11 the general fund—federal appropriation, and (~~(\$3,500,000)~~) \$2,975,000
12 of the opioid abatement settlement account—state appropriation are
13 provided solely for support of clubhouse programs across the state.
14 The authority shall work with the centers for medicare and medicaid
15 services to review opportunities to include clubhouse services as an
16 optional "in lieu of" service in managed care organization contracts
17 in order to maximize federal participation.

18 (22) \$708,000 of the general fund—state appropriation for fiscal
19 year 2026, \$708,000 of the general fund—state appropriation for
20 fiscal year 2027, and \$1,598,000 of the general fund—federal
21 appropriation are provided solely for implementing mental health peer
22 respite centers and a pilot project to implement a mental health
23 drop-in center in accordance with chapter 324, Laws of 2019 (2SHB
24 1394).

25 (23) \$446,000 of the general fund—state appropriation for fiscal
26 year 2026, (~~(\$446,000)~~) \$223,000 of the general fund—state
27 appropriation for fiscal year 2027, and \$178,000 of the general fund—
28 federal appropriation are provided solely for the University of
29 Washington's evidence-based practice institute which supports the
30 identification, evaluation, and implementation of evidence-based or
31 promising practices. The institute must work with the authority to
32 develop a plan to seek private, federal, or other grant funding in
33 order to reduce the need for state general funds.

34 (24) As an element of contractual network adequacy requirements
35 and reporting, the authority shall direct managed care organizations
36 to make all reasonable efforts to develop or maintain contracts with
37 provider networks that leverage local, federal, or philanthropic
38 funding to enhance effectiveness of medicaid-funded integrated care
39 services. These networks must promote medicaid clients' access to a

1 system of services that addresses additional social support services
2 and social determinants of health as defined in RCW 43.20.025 in a
3 manner that is integrated with the delivery of behavioral health and
4 medical treatment services.

5 (25) In establishing, re-basing, enhancing, or otherwise updating
6 medicaid rates for behavioral health services, the authority and
7 contracted actuaries shall use a transparent process that provides an
8 opportunity for medicaid managed care organizations, behavioral
9 health administrative service organizations, and behavioral health
10 provider agencies, and their representatives, to review and provide
11 data and feedback on proposed rate changes within their region or
12 regions of service operation. The authority and contracted actuaries
13 shall transparently incorporate the information gained from this
14 process and make adjustments allowable under federal law when
15 appropriate.

16 (26) The authority shall seek input from representatives of the
17 managed care organizations (MCOs), licensed community behavioral
18 health agencies, and behavioral health administrative service
19 organizations to develop specific metrics related to behavioral
20 health outcomes under integrated managed care. These metrics must
21 include, but are not limited to: (a) Revenues and expenditures for
22 community behavioral health programs, including medicaid and
23 nonmedicaid funding; (b) access to services, service denials, and
24 utilization by state plan modality; (c) claims denials and record of
25 timely payment to providers; (d) client demographics; and (e) social
26 and recovery measures and managed care organization performance
27 measures. The authority must work with managed care organizations and
28 behavioral health administrative service organizations to integrate
29 these metrics into an annual reporting structure designed to evaluate
30 the performance of the behavioral health system in the state over
31 time. The authority must submit a report to the office of financial
32 management and the appropriate committees of the legislature, before
33 December 30th of each year during the fiscal biennium, that details
34 the implemented metrics and relevant performance outcomes for the
35 prior calendar year.

36 (27) The authority must pursue opportunities for shifting state
37 costs to the state's unused allocation of federal institutions for
38 mental disease disproportionate share hospital funding.

39 (28) \$1,250,000 of the general fund—state appropriation for
40 fiscal year 2026 and \$1,250,000 of the general fund—state

1 appropriation for fiscal year 2027 are provided solely for the
2 authority to contract with the King county behavioral health
3 administrative services organization to maintain children's crisis
4 outreach response system services that were previously funded through
5 the department of children, youth, and families. The authority, in
6 consultation with the behavioral health administrative services
7 organization, medicaid managed care organizations, and the actuaries
8 responsible for developing medicaid managed care rates, must work to
9 maximize federal funding provided for the children's crisis outreach
10 response system program.

11 (29) (~~(\$12,435,000)~~) \$9,409,000 of the general fund—state
12 appropriation for fiscal year 2026, (~~(\$13,015,000)~~) \$10,095,000 of
13 the general fund—state appropriation for fiscal year 2027, and
14 (~~(\$25,450,000)~~) \$18,473,000 of the general fund—federal appropriation
15 are provided solely for the community children's long-term inpatient
16 program. The number of beds is increased on a phased in basis to
17 (~~(62)~~) 52 beds by the end of fiscal year (~~(2026)~~) 2027 at a bed day
18 rate of \$1,121 per day.

19 (30) (~~(\$51,103,000)~~) \$39,830,000 of the general fund—state
20 appropriation for fiscal year 2026, (~~(\$52,933,000)~~) \$40,291,000 of
21 the general fund—state appropriation for fiscal year 2027, and
22 (~~(\$90,434,000)~~) \$76,431,000 of the general fund—federal appropriation
23 are provided solely for the authority to contract with community
24 hospitals or freestanding evaluation and treatment centers to provide
25 long-term inpatient care beds as defined in RCW 71.24.025. Within
26 these amounts, the authority must meet the requirements for
27 reimbursing counties for the judicial services for patients being
28 served in these settings in accordance with RCW 71.05.730. The
29 authority must coordinate with the department of social and health
30 services in developing the contract requirements, selecting
31 contractors, and establishing processes for identifying patients that
32 will be admitted to these facilities. Of the amounts in this
33 subsection, sufficient amounts are provided for the authority to
34 reimburse community hospitals and nonhospital residential treatment
35 centers serving clients in long-term inpatient care beds as defined
36 in RCW 71.24.025 as follows:

37 (a) For a hospital licensed under chapter 70.41 RCW that requires
38 a hospital specific medicaid inpatient psychiatric per diem payment
39 rate for long-term civil commitment patients because the hospital has

1 completed a medicare cost report, the authority shall analyze the
2 most recent medicare cost report of the hospital after a minimum of
3 200 medicaid inpatient psychiatric days. The authority shall
4 establish the inpatient psychiatric per diem payment rate for long-
5 term civil commitment patients for the hospital at 100 percent of the
6 allowable cost of care, based on the most recent medicare cost report
7 of the hospital.

8 (b) For a hospital licensed under chapter 70.41 RCW that has not
9 completed a medicare cost report with more than 200 medicaid
10 inpatient psychiatric days, the authority shall establish the
11 medicaid inpatient psychiatric per diem payment rate for long-term
12 civil commitment patients for the hospital at the higher of the
13 hospital's current medicaid inpatient psychiatric rate; or the
14 annually updated statewide average of the medicaid inpatient
15 psychiatric per diem payment rate of all acute care hospitals
16 licensed under chapter 70.41 RCW providing long-term civil commitment
17 services.

18 (c) For a hospital licensed under chapter 71.12 RCW and currently
19 providing long-term civil commitment services, the authority shall
20 establish the medicaid inpatient psychiatric per diem payment rate at
21 \$1,250 plus adjustments that may be needed to capture costs
22 associated with long-term psychiatric patients that are not allowable
23 on the medicare cost report or reimbursed separately. The hospital
24 may provide the authority with supplemental data to be considered and
25 used to make appropriate adjustments to the medicaid inpatient
26 psychiatric per diem payment rate of the hospital. Adjustment of
27 costs may include:

28 (i) Costs associated with professional services and fees not
29 accounted for in the hospital's medicare cost report or reimbursed
30 separately;

31 (ii) Costs associated with the hospital providing the long-term
32 psychiatric patient access to involuntary treatment court services
33 that are not reimbursed separately; and

34 (iii) Other costs associated with caring for long-term
35 psychiatric patients that are not reimbursed separately.

36 (d) For a hospital licensed under chapter 71.12 RCW that requires
37 an initial medicaid inpatient psychiatric per diem payment rate for
38 long-term civil commitment services because it has not yet completed
39 a medicare cost report, the authority shall establish the medicaid
40 inpatient psychiatric per diem payment rate at the higher of:

1 (i) The hospital's current medicaid inpatient psychiatric rate;
2 or

3 (ii) The annually updated statewide average of the medicaid long-
4 term inpatient psychiatric per diem payment rate of all freestanding
5 psychiatric hospitals licensed under chapter 71.12 RCW providing
6 long-term civil commitment services.

7 (e) For nonhospital residential treatment centers certified to
8 provide long-term inpatient care beds as defined in RCW 71.24.025,
9 the authority shall establish the medicaid psychiatric per diem
10 payment rate at \$1,250 per bed.

11 (f) The authority shall pay a rate enhancement of \$500 per day
12 for patients committed pursuant to the dismissal of criminal charges
13 and a civil evaluation ordered under RCW 10.77.086 or 10.77.088. The
14 enhancement shall be available to all hospital and nonhospital
15 facilities providing services under this subsection except those
16 whose rates are set at 100 percent of their most recent medicare cost
17 report.

18 (g) The authority may pay a rate enhancement of \$500 per day for
19 individuals with complex medical needs, challenging behaviors often
20 diagnosed with co-occurring intellectual or developmental disability,
21 traumatic brain injury, dementia, or significant medical issues
22 requiring personal care. The rate enhancement shall be available to
23 providers contracting directly with the authority.

24 (h) Provider payments for vacant bed days shall not exceed six
25 percent of their annual contracted bed days.

26 (31) \$150,000 of the general fund—state appropriation for fiscal
27 year 2026 and \$150,000 of the general fund—state appropriation for
28 fiscal year 2027 are provided solely for a one-time grant to Island
29 county to maintain support for a pilot program to improve behavioral
30 health outcomes for young people in rural communities. In
31 administering the pilot program, Island county shall coordinate with
32 school districts, community groups, and health care providers to
33 increase access to behavioral health programs for children and youth
34 aged birth to 24 years of age. The grant funds shall be used to
35 coordinate and expand behavioral health services. The grant funding
36 must not be used to supplant funding from existing programs. No more
37 than 10 percent of the funds may be used for administrative costs
38 incurred by Island county in administering the program. Services that
39 may be provided with the grant funding include, but are not limited
40 to:

1 (a) Support for children and youth with significant behavioral
2 health needs to address learning loss caused by COVID-19 and remote
3 learning;

4 (b) School based behavioral health education, assessment, and
5 brief treatment;

6 (c) Screening and referral of children and youth to long-term
7 treatment services;

8 (d) Behavioral health supports provided by community agencies
9 serving youth year-round;

10 (e) Expansion of mental health first aid, a program designed to
11 prepare adults who regularly interact with youth for how to help
12 people in both crisis and noncrisis mental health situations;

13 (f) Peer support services; and

14 (g) Compensation for the incurred costs of clinical supervisors
15 and internships.

16 (32) \$494,000 of the general fund—state appropriation for fiscal
17 year 2026, \$494,000 of the general fund—state appropriation for
18 fiscal year 2027, and \$988,000 of the general fund—federal
19 appropriation are provided solely for the authority to contract with
20 the University of Washington's project extension for community health
21 outcomes (ECHO) and the systemic, therapeutic, assessment, resources,
22 and treatment (START) programs for specialized training and
23 consultation for physicians and professionals to support:

24 (a) Children with developmental disabilities and behavioral
25 health needs;

26 (b) Applied behavior analysis provider training, education, and
27 consultation; and

28 (c) The screening and diagnosis of autism spectrum disorder.

29 (33) \$2,366,000 of the general fund—federal appropriation and
30 \$2,366,000 of the general fund—local appropriation are provided
31 solely for supported housing and employment services described in
32 initiative 3a and 3b of the 1115 demonstration waiver and this is the
33 maximum amount that may be expended for this purpose. Within these
34 amounts, funding is provided for the authority to support community
35 discharge efforts for patients at the state hospitals. Under this
36 initiative, the authority and the department of social and health
37 services shall ensure that allowable and necessary services are
38 provided to eligible clients as identified by the authority or its
39 providers or third party administrator. The department and the

1 authority in consultation with the medicaid forecast work group,
2 shall ensure that reasonable reimbursements are established for
3 services deemed necessary within an identified limit per individual.
4 The authority shall not increase general fund—state expenditures
5 above appropriated levels for this specific purpose. The secretary in
6 collaboration with the director of the authority shall report to the
7 joint select committee on health care oversight no less than
8 quarterly on financial and health outcomes. The secretary in
9 cooperation with the director shall also report to the fiscal
10 committees of the legislature the expenditures of this subsection and
11 shall provide such fiscal data in the time, manner, and form
12 requested by the legislative fiscal committees.

13 (34) Within the amounts provided in this section, sufficient
14 funding is provided for the authority to maintain and increase the
15 capabilities of a tool to track medication assisted treatment
16 provider capacity.

17 (35) \$4,087,000 of the general fund—state appropriation for
18 fiscal year 2026, (~~(\$4,087,000)~~) \$2,861,000 of the general fund—state
19 appropriation for fiscal year 2027, and (~~(\$3,000,000)~~) \$2,550,000 of
20 the general fund—federal appropriation are provided solely for
21 alternative response and coresponse services. Of the amounts provided
22 in this subsection:

23 (a) (~~(\$2,000,000)~~) \$1,700,000 of the general fund—federal
24 appropriation is provided solely for grants to law enforcement and
25 other first responders to include a mental health professional on the
26 team of personnel responding to emergencies.

27 (b) \$1,500,000 of the general fund—state appropriation for fiscal
28 year 2026, (~~(\$1,500,000)~~) \$1,050,000 of the general fund—state
29 appropriation for fiscal year 2027, and (~~(\$1,000,000)~~) \$850,000 of
30 the general fund—federal appropriation are provided solely to support
31 the provision of behavioral health coresponder services on nonlaw
32 enforcement emergency medical response teams.

33 (c) \$2,587,000 of the general fund—state appropriation for fiscal
34 year 2026 and (~~(\$2,587,000)~~) \$1,811,000 of the general fund—state
35 appropriation for fiscal year 2027 are provided solely for the
36 authority to support efforts by counties and cities to implement
37 local response teams. Of these amounts:

38 (i) \$2,000,000 of the general fund—state appropriation for fiscal
39 year 2026 and (~~(\$2,000,000)~~) \$1,400,000 of the general fund—state

1 appropriation for fiscal year 2027 are provided solely for the
2 authority to provide a grant to the association of Washington cities
3 to assist cities with the costs of implementing alternative response
4 teams. This funding must be used to reimburse cities for documented
5 costs associated with creating coresponder teams within different
6 alternative diversion models including law enforcement assisted
7 diversion programs, community assistance referral and education
8 programs, and as part of mobile crisis teams. Cities are encouraged
9 to partner with each other to create a regional response model. In
10 awarding these funds, the association must prioritize applicants with
11 demonstrated capacity for facility-based crisis triage and
12 stabilization services. The association and authority must collect
13 information regarding the number of facility-based crisis
14 stabilization and triage beds available in the locations receiving
15 funding through this subsection.

16 (ii) \$587,000 of the general fund—state appropriation for fiscal
17 year 2026 and (~~(\$587,000)~~) \$411,000 of the general fund—state
18 appropriation for fiscal year 2027 are provided solely to support the
19 Whatcom county alternative response team.

20 (36) (~~(\$2,404,000)~~) \$3,188,000 of the general fund—state
21 appropriation for fiscal year 2026, (~~(\$2,637,000)~~) \$2,750,000 of the
22 general fund—state appropriation for fiscal year 2027, and
23 (~~(\$6,815,000)~~) \$8,224,000 of the general fund—federal appropriation
24 are provided solely for the authority to contract for long-term
25 involuntary treatment services in a 16-bed residential treatment
26 facility developed by the Tulalip tribe in Stanwood.

27 (37) \$956,000 of the general fund—state appropriation for fiscal
28 year 2026 and \$956,000 of the general fund—state appropriation for
29 fiscal year 2027 are provided solely for wraparound with intensive
30 services for youth ineligible for medicaid as outlined in the
31 settlement agreement under *AGC v. Washington State Health Care*
32 *Authority*, Thurston county superior court no. 21-2-00479-34.

33 (38) (~~(\$16,004,000)~~) \$17,151,000 of the general fund—state
34 appropriation for fiscal year 2026 and (~~(\$16,004,000)~~) \$17,151,000 of
35 the general fund—state appropriation for fiscal year 2027 are
36 provided solely for claims for services rendered to medicaid eligible
37 clients admitted to institutions of mental disease that were
38 determined to be unallowable for federal reimbursement due to
39 medicaid's institutions for mental disease exclusion rules.

(39) \$6,010,000 of the general fund—state appropriation for fiscal year 2026, \$6,010,000 of the general fund—state appropriation for fiscal year 2027, and \$1,980,000 of the general fund—federal appropriation are provided solely for the authority, in coordination with the department of health, to deploy an opioid awareness campaign and to contract with syringe service programs and other service settings assisting people with substance use disorders to: Prevent and respond to overdoses; provide other harm reduction services and supplies, including but not limited to distributing naloxone; fentanyl testing and other drug testing supplies; and for expanding contingency management services. The authority is encouraged to use these funds to leverage federal funding for this purpose to expand buying power when possible. The authority should prioritize funds for naloxone in coordination with the department of health, to expand the distribution of naloxone through the department's overdose education and naloxone distribution program. Funding must be prioritized to fill naloxone access gaps in community behavioral health and other community settings, including providing naloxone for agency staff in organizations such as syringe service programs, housing providers, and street outreach programs. Of the amounts provided in this subsection, \$1,000,000 of the general fund—state appropriation for fiscal year 2026 and \$1,000,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the authority to deploy an opioid awareness campaign targeted at youth to increase the awareness of the dangers of fentanyl.

(40) (~~(\$2,148,000)~~) \$760,000 of the general fund—state appropriation for fiscal year 2026 (~~(and \$2,148,000 of the general fund—state appropriation for fiscal year 2027 are)~~) is provided solely to support individuals enrolled in the foundational community supports initiative who are transitioning from benefits under RCW 74.04.805 due to increased income or other changes in eligibility. The authority, department of social and health services, and department of commerce shall collaborate on this effort.

(41) (~~(\$24,684,000)~~) \$23,184,000 of the general fund—state appropriation for fiscal year 2026, (~~(\$24,559,000)~~) \$23,059,000 of the general fund—state appropriation for fiscal year 2027, \$4,464,000 of the general fund—federal appropriation, (~~(\$3,500,000)~~) \$6,500,000 of the criminal justice treatment account—state appropriation, and \$4,000,000 of the opioid abatement settlement account—state

1 appropriation are provided solely to support the housing needs of
2 individuals with behavioral health disorders. Of the amounts provided
3 in this subsection:

4 (a) \$998,000 of the general fund—state appropriation for fiscal
5 year 2026, \$998,000 of the general fund—state appropriation for
6 fiscal year 2027, and \$618,000 of the general fund—federal
7 appropriation are provided solely for the authority to contract for
8 three regional behavioral health mobile crisis response teams focused
9 on supported housing to prevent individuals with behavioral health
10 conditions at high risk of losing housing from becoming homeless,
11 identify and prioritize serving the most vulnerable people
12 experiencing homelessness, and increase alternative housing options
13 to include short-term alternatives which may temporarily deescalate
14 situations where there is high risk of a household from becoming
15 homeless.

16 (b) \$5,623,000 of the general fund—state appropriation for fiscal
17 year 2026, \$5,623,000 of the general fund—state appropriation for
18 fiscal year 2027, and \$3,748,000 of the general fund—federal
19 appropriation are provided solely to maintain and expand access to no
20 barrier, and low-barrier programs using a housing first model
21 designed to assist and stabilize housing supports for adults with
22 behavioral health conditions. Housing supports and services shall be
23 made available with no requirement for treatment for their behavioral
24 health condition and must be individualized to the needs of the
25 individual. The authority and department of commerce shall
26 collaborate on this effort.

27 (c) \$337,000 of the general fund—state appropriation for fiscal
28 year 2026 and \$337,000 of the general fund—state appropriation for
29 fiscal year 2027 are provided solely for a rental voucher and bridge
30 program and to implement strategies to reduce instances where an
31 individual leaves a state operated behavioral or private behavioral
32 health facility directly into homelessness. The authority must
33 prioritize this funding for individuals being discharged from state
34 operated behavioral health facilities.

35 (d) (~~(\$2,487,000)~~) \$2,237,000 of the general fund—state
36 appropriation for fiscal year 2026 (~~((and \$2,487,000))~~), \$2,237,000 of
37 the general fund—state appropriation for fiscal year 2027, and
38 \$500,000 of the criminal justice treatment account—state
39 appropriation are provided solely for short-term rental subsidies for

1 individuals with mental health or substance use disorders. This
2 funding may be used for individuals enrolled in the foundational
3 community support program while waiting for a longer term resource
4 for rental support or for individuals transitioning from behavioral
5 health treatment facilities or local jails. Individuals who would
6 otherwise be eligible for the foundational community support program
7 but are not eligible because of their citizenship status may also be
8 served. (~~(Each December of the fiscal biennium, the authority must~~
9 ~~submit a report identifying the expenditures and number of~~
10 ~~individuals receiving short-term rental supports through the agency~~
11 ~~budget during the prior fiscal year broken out by region, treatment~~
12 ~~need, and the demographics of those served, including but not limited~~
13 ~~to age, country of origin within racial/ethnic categories, gender,~~
14 ~~and immigration status.))~~

15 (e) \$4,211,000 of the general fund—state appropriation for fiscal
16 year 2026 and \$4,211,000 of the general fund—state appropriation for
17 fiscal year 2027 are provided solely for a targeted grant program to
18 three behavioral health administrative services organizations to
19 transition persons who are either being diverted from criminal
20 prosecution to behavioral health treatment services or are in need of
21 housing upon discharge from crisis stabilization services.

22 (f) (~~(\$1,250,000 of the general fund state appropriation for~~
23 ~~fiscal year 2026, \$1,250,000 of the general fund state appropriation~~
24 ~~for fiscal year 2027, \$3,500,000))~~ \$6,000,000 of the criminal justice
25 treatment account—state appropriation(~~(7)~~) and \$4,000,000 of the
26 opioid abatement settlement account—state appropriation are provided
27 solely for the authority to provide short-term housing vouchers for
28 individuals with substance use disorders.

29 (g) \$7,500,000 of the general fund—state appropriation for fiscal
30 year 2026 and \$7,500,000 of the general fund—state appropriation for
31 fiscal year 2027 are provided solely for the authority to implement
32 homeless outreach stabilization teams pursuant to chapter 311, Laws
33 of 2021 (ESB 5476).

34 (h) \$2,278,000 of the general fund—state appropriation for fiscal
35 year 2026, \$2,153,000 of the general fund—state appropriation for
36 fiscal year 2027, and \$98,000 of the general fund—federal
37 appropriation are provided solely for implementing a postinpatient
38 housing program designed for young adults in accordance with the
39 provisions of chapter 175, Laws of 2024 (2SHB 1929). Contracts with

1 the postinpatient housing providers are exempt from the competitive
2 procurement requirements in chapter 39.26 RCW.

3 (42) \$361,000 of the general fund—state appropriation for fiscal
4 year 2026, \$361,000 of the general fund—state appropriation for
5 fiscal year 2027, and \$482,000 of the general fund—federal
6 appropriation are provided solely for the authority, in collaboration
7 with the department of social and health services research and data
8 analysis division, to implement community behavioral health service
9 data into the existing executive management information system. Of
10 these amounts, \$288,000 of the general fund—state appropriation for
11 fiscal year 2026, \$288,000 of the general fund—state appropriation
12 for fiscal year 2027, and \$384,000 of the general fund—federal
13 appropriation are provided solely for the authority to reimburse the
14 research and data analysis division for staff costs associated with
15 this project. The data elements shall be incorporated into the
16 monthly executive management information system reports on a phased-
17 in basis, allowing for elements which are readily available to be
18 incorporated in the initial phase, and elements which require further
19 definition and data collection changes to be incorporated in a later
20 phase. The authority must collaborate with the research and data
21 analysis division to ensure data elements are clearly defined and
22 must include requirements in medicaid managed care organization and
23 behavioral health administrative services organization contracts to
24 provide the data in a consistent and timely manner for inclusion into
25 the system. The community behavioral health executive management
26 system information data elements must include, but are not limited
27 to: Psychiatric inpatient bed days; evaluation and treatment center
28 bed days; long-term involuntary community psychiatric inpatient bed
29 days; children's long-term inpatient bed days; substance use disorder
30 inpatient, residential, withdrawal evaluation and management, and
31 secure withdrawal evaluation and management bed days; crisis triage
32 and stabilization services bed days; mental health residential bed
33 days; mental health and substance use disorder outpatient treatment
34 services; opioid substitution and medication assisted treatment
35 services; program of assertive treatment team services; wraparound
36 with intensive services; mobile outreach crisis services; recovery
37 navigator team services; foundational community supports housing and
38 employment services; projects for assistance in transition from
39 homelessness services; housing and recovery through peer services;

1 other housing services administered by the authority; mental health
2 and substance use disorder peer services; designated crisis responder
3 investigations and outcomes; involuntary commitment hearings and
4 outcomes; pregnant and parenting women case management services; and
5 single bed certifications and no available bed reports. Wherever
6 possible and practical, the data must include historical monthly
7 counts and shall be broken out to distinguish services to medicaid
8 and nonmedicaid individuals and children and adults. The authority
9 and the research and data analysis division must consult with the
10 office of financial management and staff from the fiscal committees
11 of the legislature on the development and implementation of the
12 community behavioral health data elements.

13 (43) ((~~\$178,000~~)) \$117,000 of the general fund—state
14 appropriation for fiscal year 2026(~~(, \$58,000 of the general fund—~~
15 ~~state appropriation for fiscal year 2027,))~~ and ((~~\$650,000~~)) \$739,000
16 of the general fund—federal appropriation are provided solely for the
17 authority to continue development and implementation of the certified
18 community behavioral health clinic model for comprehensive behavioral
19 health services. Funding must be used to secure actuarial expertise,
20 conduct research into national data and other state models, including
21 obtaining resources and expertise from the national council for
22 mental well-being certified community behavioral health clinic
23 success center; and engage stakeholders, including representatives of
24 licensed community behavioral health agencies and medicaid managed
25 care organizations, in the process. The authority must conduct a
26 study built on the preliminary report submitted to the legislature in
27 December 2024 that includes:

28 (a) Overviews of options and considerations for implementing the
29 certified community behavioral health clinic model within Washington
30 state, including participation as a certified community behavioral
31 health clinic demonstration state or for independent statewide
32 implementation;

33 (b) An analysis of the impact of expanding the certified
34 community behavioral health clinic model on the state's behavioral
35 health systems;

36 (c) Relevant federal regulations and options to implement the
37 certified community behavioral health clinic model under those
38 regulations;

1 (d) Options for implementing a prospective payment system
2 methodology;

3 (e) An analysis of the benefits and potential challenges for
4 integrating the certified community behavioral health clinic
5 reimbursement model within an integrated care environment;

6 (f) Actuarial analysis on the costs for implementing the
7 certified community behavioral health clinic model, including
8 opportunities for leveraging federal funding; and

9 (g) Recommendations to the legislature on a pathway for statewide
10 implementation including a plan for implementation no later than
11 fiscal year 2027 that must include the following:

12 (i) Implementation of the certified community behavioral health
13 clinic model with clinics that adhere to the program standards under
14 the federal substance abuse and mental health services administration
15 demonstration program established under section 223 of the federal
16 protecting access to medicare act of 2014 (42 U.S.C. Sec. 1396a
17 note), as amended by the bipartisan safer communities act (P.L.
18 117-159);

19 (ii) Incorporation in the planned funding model of at least one
20 of the prospective payment system methodologies approved by the
21 centers for medicare and medicaid services;

22 (iii) The plan may allow for the certified community behavioral
23 health clinic funding model to be implemented either by applying for
24 and joining the federal demonstration program referenced in (g)(i) of
25 this subsection, applying to the centers for medicare and medicaid
26 services for a medicaid state plan waiver or amendment, or both;

27 (iv) Continued consultation with the national council for mental
28 wellbeing's certified community behavioral health clinic success
29 center for technical assistance and meaningful opportunities for
30 community behavioral health agencies to participate and offer
31 feedback throughout the implementation process; and

32 (v) Inclusion of services to children, youth, and families
33 through the certified community behavioral health clinic funding
34 model through providers that serve individuals of all ages as well as
35 specialty providers that serve children, youth, and families.

36 (44) \$150,000 of the general fund—state appropriation for fiscal
37 year 2026 and \$150,000 of the general fund—state appropriation for
38 fiscal year 2027 are provided solely for the authority to renew a
39 contract with a Seattle based nonprofit organization with experience
40 matching voluntary specialty care providers with patients in need of

1 care to continue established pro bono counseling and behavioral
2 health services to uninsured and underinsured individuals with
3 incomes below 300 percent of the federal poverty line. The authority
4 must provide the funding pursuant to a contract for documented
5 capacity-building to continue pro bono counseling and behavioral
6 health services. The agreement may require the contracted
7 organization to seek, document, and report to the authority on
8 efforts to leverage local, federal, or philanthropic funding to
9 provide sustained operational support for the program.

10 (45) \$219,000 of the general fund—state appropriation for fiscal
11 year 2026 and \$219,000 of the general fund—state appropriation for
12 fiscal year 2027 are provided solely to continue to support the
13 children and youth behavioral health work group to consider and
14 develop longer term strategies and recommendations regarding the
15 delivery of behavioral health services for children, transitioning
16 youth, and their caregivers pursuant to chapter 76, Laws of 2022
17 (2SHB 1890).

18 (46) \$250,000 of the general fund—state appropriation for fiscal
19 year 2026 (~~and \$250,000 of the general fund state appropriation for~~
20 ~~fiscal year 2027 are~~) is provided solely for the authority to
21 continue a contract to provide information and support related to
22 safe housing and support services for youth exiting inpatient mental
23 health and/or substance use disorder facilities to stakeholders,
24 inpatient treatment facilities, young people, and other community
25 providers that serve unaccompanied youth and young adults.

26 (47) \$3,322,000 of the general fund—state appropriation for
27 fiscal year 2026, \$3,322,000 of the general fund—state appropriation
28 for fiscal year 2027, \$1,814,000 of the general fund—federal
29 appropriation, and \$5,248,000 of the opioid abatement settlement
30 account—state appropriation are provided solely for the authority to
31 contract with opioid treatment providers to operate mobile methadone
32 units to address treatment gaps statewide. Within the amounts
33 provided, the authority must provide service support subsidies to all
34 mobile methadone units including those that began operations prior to
35 fiscal year 2024. The authority must work with the actuaries
36 responsible for setting medicaid managed care rates to explore
37 options for creating a specific rate for mobile medication units that
38 reflects the unique costs of these programs.

1 (48)(a) (~~(\$5,753,000)~~) \$5,978,000 of the general fund—state
2 appropriation for fiscal year 2026 and (~~(\$5,753,000)~~) \$6,055,000 of
3 the general fund—state appropriation for fiscal year 2027 are
4 provided solely for the authority to continue a program with coverage
5 comparable to the amount, duration, and scope of care provided in the
6 categorically needy medicaid program for adult individuals who:

7 (i) Have an immigration status making them ineligible for federal
8 medicaid or federal subsidies through the health benefit exchange;

9 (ii) Are age 19 and older, including over age 65, and have
10 countable income of up to 138 percent of the federal poverty level;
11 and

12 (iii) Are not eligible for another full scope federally funded
13 medical assistance program, including any expansion of medicaid
14 coverage for deferred action for childhood arrivals recipients.

15 (b) Within the amount provided in this subsection, the authority
16 shall use the same eligibility, enrollment, redetermination and
17 renewal, and appeals procedures as categorically needy medicaid,
18 except where flexibility is necessary to maintain privacy or minimize
19 burden to applicants or enrollees.

20 (c) The authority in collaboration with the health benefit
21 exchange, the department of social and health services, and community
22 organizations must develop and implement an outreach and education
23 campaign.

24 (d) The authority must provide the following information to the
25 governor's office and appropriate committees of the legislature by
26 February 1st and November 1st of each year:

27 (i) Actual and forecasted expenditures;

28 (ii) Actual and forecasted data from the caseload forecast
29 council; and

30 (iii) The availability and impact of any federal program or
31 proposed rule that expands access to health care for the population
32 described in this subsection, such as the expansion of medicaid
33 coverage for deferred action for childhood arrivals recipients.

34 (e) No later than January 1, 2027, the authority must transition
35 the program described in (a) of this subsection from a managed care
36 to a fee-for-service service delivery model.

37 (f) Beginning January 1, 2027, the authority shall open
38 enrollment for 5,000 individuals.

39 (g) The amount provided in this subsection is the maximum amount
40 that may be expended for the purposes of this program.

1 (h) By October 1, 2026, the authority shall provide a report to
2 the governor's office and fiscal committees of the legislature that
3 includes recommendations for how the program described in (a) of this
4 subsection can achieve savings through a reduction in services or
5 benefits to allow for an increase in enrollment capacity.

6 (49)(a) \$125,000 of the general fund—state appropriation for
7 fiscal year 2026 and \$125,000 of the general fund—state appropriation
8 for fiscal year 2027 are provided solely for the authority to
9 reimburse the department of social and health services for staffing
10 costs related to tracking behavioral health community capacity
11 through the community behavioral health executive management
12 information system and providing annual reports on the implementation
13 of new behavioral health community capacity.

14 (b) The department of commerce, the department of health, and the
15 authority must cooperate with the department of social and health
16 services in collecting and providing the data necessary to
17 incorporate tracking of behavioral health beds into the behavioral
18 health executive management information system and to prepare the
19 required reports. The agencies must work to ensure they are using
20 consistent definitions in classifying behavioral health bed types for
21 the purpose of reporting capacity and utilization.

22 (c) The authority and the department of social and health
23 services must continue tracking behavioral health bed utilization for
24 medicaid and state funded clients by type of bed in the executive
25 management information system. The department of commerce shall
26 identify to the department of social and health services all
27 providers that have received funding through their capital grant
28 program since the 2013-2015 fiscal biennium. The department of social
29 and health services must incorporate tracking of services by provider
30 including an element to identify providers that have received funding
31 through the capital budget so that reports can be provided related to
32 the average daily client counts for medicaid and state funded clients
33 being served by provider and by facility type.

34 (d) The department of social and health services, in coordination
35 with the department of commerce, the department of health, and the
36 authority, must submit an annual report each November of the fiscal
37 biennium to the office of financial management and the appropriate
38 committees of the legislature that provides the following information
39 for each facility that has received funding through the capital
40 budget: (i) The amount received by the state and the total project

1 cost; (ii) the facility address; (iii) the number of new beds or
2 additional bed capacity by the service type being provided; (iv) the
3 utilization of the additional beds by medicaid or state funded
4 clients by service type; and (v) a comparison of capacity to demand
5 by service type by geographical region of the state.

6 (50) \$3,045,000 of the general fund—state appropriation for
7 fiscal year 2026, \$83,000 of the general fund—state appropriation for
8 fiscal year 2027, \$172,000 of the general fund—federal appropriation,
9 \$2,000,000 of the criminal justice treatment account—state
10 appropriation, and \$5,041,000 of the opioid abatement settlement
11 account—state appropriation are provided solely for the authority to
12 expand efforts to provide opioid use disorder and alcohol use
13 disorder medication in city, county, regional, and tribal jails.

14 (51) (~~(\$55,988,000)~~) \$66,269,000 of the general fund—federal
15 appropriation is provided solely for the authority to contract with
16 the University of Washington behavioral health teaching facility to
17 provide long-term inpatient care beds as defined in RCW 71.24.025.
18 The authority must coordinate with the department of social and
19 health services and the University of Washington to evaluate and
20 determine criteria for the current population of state hospital
21 patients, committed pursuant to the dismissal of criminal charges and
22 a civil evaluation ordered under RCW 10.77.086 or 10.77.088, who can
23 be effectively treated at the University of Washington behavioral
24 health teaching facility.

25 (52) \$95,000 of the general fund—state appropriation for fiscal
26 year 2026, \$95,000 of the general fund—state appropriation for fiscal
27 year 2027, and \$264,000 of the general fund—federal appropriation are
28 provided solely for implementation of Substitute House Bill No. 1272
29 (children in crisis program). (~~(If the bill is not enacted by June~~
30 ~~30, 2025, the amounts provided in this subsection shall lapse.)~~)

31 (53) (~~(\$36,306,000)~~) \$33,581,000 of the statewide 988 behavioral
32 health crisis response line account—state appropriation and
33 \$21,410,000 of the general fund—federal appropriation are provided
34 solely for the authority to continue to implement the provisions of
35 chapter 454, Laws of 2023 (E2SHB 1134). Within these amounts,
36 sufficient funding is provided for the authority to:

37 (a) Provide grants to new or existing mobile rapid response teams
38 and to community-based crisis teams to support efforts for meeting
39 the standards and criteria for receiving an endorsement pursuant to

1 provisions of the bill. In awarding grants under this subsection, the
2 authority must prioritize funding for proposals that demonstrate
3 experience and strategies that prioritize culturally relevant
4 services to community members with the least access to behavioral
5 health services;

6 (b) Expand and enhance regional crisis services provided by
7 mobile crisis teams and community-based crisis teams either endorsed
8 or seeking endorsement pursuant to standards adopted by the
9 authority; and

10 (c) Provide performance payments to mobile rapid response teams
11 and community-based crisis teams that receive endorsements pursuant
12 to chapter 454, Laws of 2023 (E2SHB 1134).

13 (54) \$500,000 of the opioid abatement settlement account—state
14 appropriation is provided solely for Spanish language opioid
15 prevention services.

16 (55) (~~(\$16,814,000)~~) \$21,656,000 of the tribal opioid prevention
17 and treatment account—state appropriation is provided solely for the
18 authority to pass through to tribes and urban Indian health programs
19 for opioid and overdose response activities. The funding must be used
20 for prevention, outreach, treatment, recovery support services, and
21 other strategies to address and mitigate the effects of the misuse
22 and abuse of opioid related products. The authority must provide the
23 tribes and urban Indian health programs the latitude to use the
24 funding as they see fit to benefit their communities, provided the
25 activities are allowable under the terms of the opioid settlement
26 agreements.

27 (56) Within existing resources, the authority shall collaborate
28 with the department of social and health services to develop a new
29 program for individuals admitted to a state hospital for purposes of
30 civil commitment under RCW 10.77.086. The program must prioritize the
31 use of assisted outpatient treatment resources for eligible
32 individuals and draw upon existing programs, including the program of
33 assertive community treatment and the governor's opportunity for
34 supportive housing program to provide wraparound services for
35 individuals who may be ready to quickly return to the community
36 following an admission.

37 (57) \$6,700,000 of the opioid abatement settlement account—state
38 appropriation and \$700,000 of the general fund—federal appropriation
39 are provided solely for the authority to contract for the support of

1 an opioid recovery and care access center in Seattle. The contractor
2 must be an established Seattle based behavioral health provider that
3 has developed a partnership for the project and has leveraged
4 additional operations and research funding from other sources. The
5 contract is exempt from the competitive procurement requirements in
6 chapter 39.26 RCW.

7 (58) \$2,000,000 of the opioid abatement settlement account—state
8 appropriation is provided solely for the authority to increase access
9 to long-acting injectable buprenorphine products. The authority must
10 use these funds to cover the cost and administration of the drug for
11 uninsured individuals that do not qualify for other state or federal
12 health insurance programs.

13 (59) \$4,500,000 of the general fund—state appropriation for
14 fiscal year 2026 is provided solely for bridge funding grants to
15 community behavioral health agencies participating in federal
16 certified community behavioral health clinic expansion grant programs
17 to sustain their continued level of operations following expiration
18 of federal grant funding during the planning process for adoption of
19 the certified community behavioral health clinic model statewide.

20 (60) (~~(\$3,066,000)~~) \$415,000 of the general fund—state
21 appropriation for fiscal year 2026, (~~(\$5,446,000)~~) \$5,728,000 of the
22 general fund—state appropriation for fiscal year 2027, and
23 (~~(\$3,457,000)~~) \$3,928,000 of the general fund—federal appropriation
24 are provided solely for the authority to contract for community
25 behavioral health services to be provided at the Olympic heritage
26 behavioral health facility.

27 (61) \$3,884,000 of the general fund—state appropriation for
28 fiscal year 2026, \$3,984,000 of the general fund—state appropriation
29 for fiscal year 2027, and \$15,398,000 of the statewide 988 behavioral
30 health crisis response line account—state appropriation (~~(\$3)~~) are
31 provided solely for startup, implementation, and nonmedicaid
32 operational funding for (~~(three)~~) crisis relief centers and crisis
33 stabilization units beginning operations in the 2025-2027 fiscal
34 biennium. Funding must be distributed to behavioral health
35 administrative services organizations based on the actual and
36 projected number of facilities operating in the region. (~~The~~
37 authority must undergo a competitive solicitation process for this
38 funding that takes into account geographic needs, regional capacity,
39 and operational readiness, and must prioritize providers with limited

1 access to other funding sources and who are projected to have the
2 shortest timelines to utilize funding and begin operations. Of the
3 amounts provided in this subsection:

4 ~~(a) \$8,536,000 is provided solely for startup grants for hiring,~~
5 ~~facility improvements, and other costs necessary to begin providing~~
6 ~~services to clients.~~

7 ~~(b) \$4,925,000 is provided solely for six-month operational~~
8 ~~subsidies for crisis centers that have begun operations as a bridge~~
9 ~~to providing services at full capacity.~~

10 ~~(c) \$1,937,000 is provided for reimbursement for crisis relief~~
11 ~~center services provided to individuals not covered by the state~~
12 ~~medicaid program.))~~

13 (a) Of the amounts provided in this subsection, \$100,000 of the
14 general fund—state appropriation for fiscal year 2027 is provided
15 solely for the authority to develop and submit a report detailing a
16 statewide implementation roadmap and funding plan for crisis relief
17 centers and crisis stabilization units to the governor and the
18 appropriate committees of the legislature by December 1, 2026. The
19 plan must include:

20 (i) An inventory of all existing, contracted, and planned
21 facilities;

22 (ii) A complete analysis of current and projected funding
23 sources; and identification of nonmedicaid funding gaps for uninsured
24 and underinsured populations;

25 (iii) An implementation timeline aligned with funding
26 availability;

27 (iv) Costs to operate stand-alone and combined 23-hour crisis
28 relief centers and crisis stabilization units;

29 (v) The impact of providing urgent care services at facilities;
30 and

31 (vi) Criteria ensuring no new facility is procured or contracted
32 without identified sustainable operating funds, including nonmedicaid
33 funding sufficient to support operations.

34 (b) As part of its 2027 supplemental and 2027-2029 biennial
35 operating budget requests to the governor, the authority must request
36 funding for nonmedicaid costs that exceed resources available to
37 behavioral health administrative services organizations in 23-hour
38 crisis relief centers, as defined in RCW 71.24.025, and crisis
39 stabilization units, as defined in RCW 71.05.020, that have opened or

1 are expected to open during the fiscal biennium in their services
2 area.

3 (62) \$150,000 of the general fund—state appropriation for fiscal
4 year 2026 and \$150,000 of the general fund—state appropriation for
5 fiscal year 2027 are provided solely for a one-time grant to a
6 nonprofit organization for start-up costs and to provide services to
7 medicaid clients and uninsured clients in a crisis stabilization
8 facility located in Skagit county.

9 (63) (~~(\$9,500,000)~~) \$8,250,000 of the opioid abatement settlement
10 account—state appropriation is provided solely for health engagement
11 hub pilot program sites in accordance with the provisions of chapter
12 1, Laws of 2023 sp. sess. (2E2SSB 5536). The authority may use
13 funding within this subsection to contract for technical assistance
14 and evaluation activities associated with the pilot program.

15 (64) (~~(\$328,000 of the general fund state appropriation for~~
16 ~~fiscal year 2026, \$328,000 of the general fund state appropriation~~
17 ~~for fiscal year 2027, and \$656,000 of the general fund federal~~
18 ~~appropriation are provided solely for the authority to implement~~
19 ~~chapter 360, Laws of 2024 (2SHB 2320).~~

20 ~~(65) (\$2,650,000)~~ \$1,325,000 of the general fund—state
21 appropriation for fiscal year 2026 (~~(and \$2,650,000)~~), \$1,325,000 of
22 the general fund—state appropriation for fiscal year 2027, and
23 \$2,650,000 of the general fund—federal appropriation are provided
24 solely for the authority to continue contracts with King county,
25 Kitsap county, Tacoma, Everett, and Spokane for street medicine teams
26 that rapidly assess and address the acute and chronic physical and
27 behavioral health needs of homeless people. Within the amounts
28 provided in this subsection, the authority may also expand the
29 program to contract for a street medicine team in Clallam county. The
30 teams must offer integrated, team-based medical, mental health,
31 substance use, and infectious disease treatment and prevention, and
32 navigation and case management services.

33 (~~((66) (a) \$250,000 of the general fund state appropriation for~~
34 ~~fiscal year 2026, \$250,000 of the general fund state appropriation~~
35 ~~for fiscal year 2027, and \$500,000 of the general fund federal~~
36 ~~appropriation are provided solely for the authority to continue work~~
37 ~~on the behavioral health comparison rate project, including:~~

38 ~~(i) Developing phase 3 comparison rates for all major medicaid~~
39 ~~managed care behavioral health services not addressed in phase 1 or~~

~~phase 2 of the behavioral health comparison rates project or through other work streams; and~~

~~(ii) Preparing to implement a minimum fee schedule for behavioral health services, including developing solutions to resolve any current data and systems limitations.~~

~~(b) By October 1, 2025, the authority must provide a final report to the office of financial management and appropriate committees of the legislature that:~~

~~(i) Summarizes the new comparison rates developed as part of phase 3;~~

~~(ii) Updates comparison rates developed in phase 1 and phase 2 for new salary and wage information based on most current bureau of labor statistics data;~~

~~(iii) Estimates the cost and other impacts to fee-for-service and managed care of incorporating additional behavioral health services developed as part of phase 3 of the behavioral health comparison rates project into a minimum fee schedule effective January 1, 2027;~~

~~(iv) Identifies planned actions and funding needs, if any, to resolve any remaining limitations to implement the phase 3 minimum fee schedule by January 1, 2027;~~

~~(v) Provides additional analysis of variation between the comparison rates developed as part of phase 3 and current payment levels at a service and regional level; and~~

~~(vi) Describes how the authority plans to propose to the legislature implementation of the phase 3 minimum fee schedule by January 1, 2027, to better match medicaid payments to the cost of care.~~

~~(67))~~ (65) \$300,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for the authority to fund the second year of workforce grants to behavioral health agencies contracted with the authority to establish occupational therapy services for behavioral health clients. This funding must be used for establishing and integrating occupational therapy into behavioral health agency programs and operations. Funding may be used for occupational therapist and occupational therapy assistant services, recruitment, training, technical assistance, fieldwork opportunities, and for other approved activities targeted to increase access to occupational therapy services within behavioral health agency settings. The authority must submit a final report to the legislature on the number of patients receiving occupational therapy through this

1 initiative, the programs in which services were provided, and the
2 number and type of fieldwork students trained in each participating
3 behavioral health agency program by January 1, 2027.

4 ~~((+68+))~~ (66) (a) ~~(((\$81,542,000))~~ \$80,120,000 of the general fund—
5 state appropriation for fiscal year 2026, ~~(((\$81,729,000))~~ \$72,787,000
6 of the general fund—state appropriation for fiscal year 2027, and
7 ~~(((\$167,792,000))~~ \$152,747,000 of the general fund—federal
8 appropriation are provided solely for supportive supervision and
9 oversight services pursuant to a 1915(i) state plan amendment. For
10 medicaid clients enrolled in managed care, the authority must
11 contract for these services through managed care organizations
12 utilizing an actuarially sound rate structure as established by the
13 authority and approved by the centers for medicare and medicaid
14 services. The authority may not implement a skills development and
15 restoration benefit until funding is provided for that specific
16 purpose. Within these amounts, funding is provided for:

17 (i) Implementing supportive supervision and oversight services in
18 adult family home settings in accordance with and contingent upon
19 execution of the collective bargaining agreement negotiated between
20 the state and the adult family homes and referenced in part IX of
21 this act;

22 (ii) Implementing supportive supervision and oversight services
23 in assisted living and enhanced services facilities settings;

24 (iii) Providing reimbursement for the state share of exceptional
25 behavioral health personal care services for individuals who have not
26 transitioned into the new 1915(i) state plan services; and

27 (iv) Administrative costs associated with implementation of the
28 new 1915(i) state plan.

29 (b) Within the amounts provided in this subsection, the authority
30 must assure that managed care organizations reimburse the department
31 of social and health services aging and long term support
32 administration for the general fund—state cost of exceptional
33 behavioral health personal care services for medicaid enrolled
34 individuals who require these services because of a psychiatric
35 disability.

36 ~~((+69+))~~ (67) \$1,000,000 of the general fund—state appropriation
37 for fiscal year 2026 and \$1,000,000 of the general fund—state
38 appropriation for fiscal year 2027 are provided solely for grants to

1 tribes to implement the Icelandic model of prevention in their
2 communities.

3 ~~((70))~~ (68) \$3,200,000 of the opioid abatement settlement
4 account—state appropriation is provided solely for a tribal opioid
5 prevention campaign to inform and educate tribal communities about
6 opioid misuse prevention, overdose response, and treatment.

7 ~~((71)—\$5,242,000))~~ (69) \$4,456,000 of the opioid abatement
8 settlement account—state appropriation is provided solely for the
9 authority to provide grants to providers of employment and
10 educational services to individuals with substance use disorder.

11 ~~((72))~~ (70) \$3,768,000 of the opioid abatement settlement
12 account—state appropriation is provided solely for the authority to
13 provide opioid treatment services through new opioid treatment
14 providers that were funded through grants pursuant to chapter 1, Laws
15 of 2023 sp. sess. (controlled substances).

16 ~~((73))~~ (71) \$297,000 of the general fund—state appropriation
17 for fiscal year 2026, \$97,000 of the general fund—state appropriation
18 for fiscal year 2027, and \$140,000 of the general fund—federal
19 appropriation are provided solely for implementation of Engrossed
20 Second Substitute House Bill No. 1813 (medical assistance
21 reprocurement). ~~((If the bill is not enacted by June 30, 2025, the
22 amounts provided in this subsection shall lapse.~~

23 ~~(74)—\$438,000))~~ (72) \$198,000 of the general fund—state
24 appropriation for fiscal year 2026, ~~((438,000))~~ \$198,000 of the
25 general fund—state appropriation for fiscal year 2027, and
26 ~~((284,000))~~ \$128,000 of the general fund—federal appropriation are
27 provided solely for implementation of sections 2 and 3 of Second
28 Substitute House Bill No. 1427 (peer support specialists). ~~((If the
29 bill is not enacted by June 30, 2025, the amounts provided in this
30 subsection shall lapse.~~

31 ~~(75))~~ (73) \$2,132,000 of the opioid abatement settlement account
32 —state appropriation and \$570,000 of the general fund—federal
33 appropriation are provided solely for the authority to contract for a
34 program that provides Washington state emergency departments with
35 real-time medications for opioid use disorder clinical guidance and
36 follow-up appointment scheduling.

37 ~~((76))~~ (74) \$1,000,000 of the statewide 988 behavioral health
38 crisis response line account—state appropriation is provided solely
39 for the purchase of electric vans for 988 behavioral health crisis

1 response and suicide prevention mobile rapid response crisis teams
2 and community-based crisis teams endorsed under RCW 71.24.903. Of the
3 amounts provided in this subsection:

4 (a) \$700,000 of this amount is for mobile rapid response crisis
5 teams and community-based crisis teams endorsed under RCW 71.24.903;
6 and

7 (b) \$300,000 of this amount is for mobile rapid response crisis
8 teams and community-based crisis teams endorsed under RCW 71.24.903
9 that are affiliated with a tribe in Washington state.

10 (~~((77))~~) (75) Within amounts appropriated in this section, the
11 authority and the governor's Indian health advisory council must
12 convene tribal representatives to identify the actual local costs for
13 tribes in their provision of substance use disorder services to non-
14 American Indian/Alaska Native medicaid enrollees receiving services
15 in tribal facilities. The authority must submit a report to the
16 office of financial management and the appropriate committees of the
17 legislature by December 1, 2025, that outlines options and a plan for
18 compensating tribes that is developed through this consultation
19 process that fully compensates tribes for their actual costs of
20 serving non-American Indian/Alaska Native medicaid enrollees
21 receiving services in tribal facilities, and must consider and
22 address state and tribal budget impacts.

23 (~~((78) — \$2,000,000))~~) (76) \$4,000,000 of the opioid abatement
24 settlement account—state appropriation is provided on a one-time
25 basis in the 2025-2027 fiscal biennium solely for the authority to
26 contract for continued operations of the pilot program originally
27 funded in section 215(117), chapter 475, Laws of 2023 (ESSB 5187) to
28 reimburse a licensed pediatric transitional care facility in Spokane
29 county to provide neonatal abstinence syndrome services to infants
30 who have prenatal substance exposure.

31 (~~((79))~~) (77) \$100,000 of the general fund—state appropriation
32 for fiscal year 2026 and \$100,000 of the general fund—state
33 appropriation for fiscal year 2027 are provided solely for the
34 authority to provide a grant to a program in south Seattle providing
35 supportive housing and clinical services for mothers recovering from
36 substance use disorders, and their children. The program must serve
37 pregnant women or mothers, regardless of age, race, religion, or
38 sexual orientation, who are exiting inpatient substance use disorder
39 treatment facilities and must serve individuals with co-occurring

1 disorders. The program must provide on-site support through a
2 dedicated team that offers daily assistance to help women become as
3 independent as possible while focusing on their recovery and
4 stability.

5 ~~((+80+))~~ (78) \$91,000 of the general fund—state appropriation for
6 fiscal year 2026 and \$91,000 of the general fund—state appropriation
7 for fiscal year 2027 are provided solely for implementation of
8 Engrossed Second Substitute Senate Bill No. 5745 (invol. treatment
9 counsel). ~~((If the bill is not enacted by June 30, 2025, the amounts
10 provided in this subsection shall lapse.~~

11 ~~(+81+))~~ (79) Within amounts appropriated in this section,
12 effective January 1, 2026, the authority shall reduce medicaid
13 managed care rates by one percent. Notwithstanding any other proviso
14 in the appropriations act for the current biennium, the authority may
15 adjust existing state directed payments, published fee schedules, or
16 make other administrative changes needed to comply with this
17 subsection.

18 ~~((+82+))~~ (80) Sufficient amounts are appropriated in this section
19 to maintain increases to medicaid reimbursement for community
20 behavioral health providers contracted through managed care
21 organizations to the extent that they align with subsection ~~((+81+))~~
22 (79) of this section. The authority may adjust rates and existing
23 state directed payments to ensure compliance with subsection ~~((+81+))~~
24 (79) of this section.

25 ~~((+83+))~~ (81) The authority shall continue to work with a
26 provider working to reopen a youth behavioral health facility in
27 Clark county to identify a licensing and service delivery pathway
28 that best reflects services delivered through an enhanced model of
29 care for youth residential substance use disorder treatment services.
30 In collaboration with the provider and medicaid managed care
31 organizations, the authority shall work toward developing an enhanced
32 rate for residential substance use disorders services that
33 concurrently provide for the diagnosis, treatment, and medication
34 management of co-occurring mental health conditions as part of the
35 substance use disorder treatment plan. The authority shall submit the
36 new rate and cost impact to the office of financial management and
37 the appropriate committees of the legislature no later than December
38 1, 2025, for consideration of funding in the 2026 legislative
39 session.

1 ~~((84))~~ (82) \$250,000 of the general fund—state appropriation
2 for fiscal year 2026 ~~((and \$250,000 of the general fund—state~~
3 ~~appropriation for fiscal year 2027 are))~~ is provided solely for the
4 authority to contract with a statewide mental health nonprofit
5 organization that provides free community and school-based mental
6 health education and support programs for consumers and families. The
7 contractor must use this funding to provide access to programs
8 tailored to peers living with mental illness as well as family
9 members of people with mental illness and the community at large.
10 Services provided by the contracted program shall include education,
11 support, and assistance to reduce isolation and help consumers and
12 families understand the services available in their communities.

13 (83) Within amounts appropriated in this section, effective
14 January 1, 2027, the authority must reduce medicaid managed care
15 rates to achieve a savings of \$1,728,000 in general fund—state
16 between January and June of 2027. This savings must be implemented by
17 modification of the optional intensive behavioral health support
18 services program offered as an in-lieu-of service in the community
19 behavioral health managed care program. In modifying the program, the
20 authority must prioritize remaining funding for individuals
21 transitioning from state hospitals and other inpatient settings.

22 (84) \$2,500,000 of the general fund—state appropriation for
23 fiscal year 2027 and \$1,346,000 of the general fund—federal
24 appropriation are provided solely for the authority to contract for
25 facility based crisis services in the Thurston-Mason region pursuant
26 to the Trueblood phase 3 settlement agreement implementation plan.
27 The authority must identify whether additional amounts are required
28 to meet the requirements of the settlement agreement implementation
29 plan for facility based crisis services in the region and must
30 request additional needed funding as part of its 2027 supplemental
31 and 2027-2029 biennial operating budget requests to the governor.

32 (85) \$8,408,000 of the general fund—state appropriation for
33 fiscal year 2026, \$8,408,000 of the general fund—state appropriation
34 for fiscal year 2027, and \$12,038,000 of the general fund—federal
35 appropriation are provided solely for the parent child assistance
36 program. Of these amounts, \$292,000 of the general fund—state
37 appropriation for fiscal year 2027 and \$127,000 of the general fund—
38 federal appropriation are provided solely for the authority to
39 contract for an additional 32 slots for individuals involved with the

1 child welfare program. The authority and the department of children,
2 youth, and families must coordinate to identify whether existing
3 capacity within the authority's base funding levels can provide
4 additional slots for individuals involved with the child welfare
5 program.

6 (86) Within existing resources, the authority shall participate
7 in the advisory group for the behavioral health facilities program
8 referenced in chapter 474, Laws of 2023 and chapter 414, Laws of
9 2025. Responsibilities of the authority include the following:

10 (a) Attend monthly advisory group meetings;

11 (b) Designate subject matter experts to provide input and
12 technical assistance in developing program guidelines, notices of
13 funding availability, and application questions;

14 (c) Designate subject matter experts to serve as application
15 reviewers including scoring applications and making recommendations
16 on funding decisions;

17 (d) Provide guidance and technical assistance related to
18 behavioral health facility development, behavioral health service
19 modalities, unmet demand for different types of behavioral health
20 facilities and services, insurance, and other programmatic issues;
21 and

22 (e) In coordination with the department of social and health
23 services, inform local jurisdictions annually on the progress of new
24 state and community behavioral health facilities, including
25 information about contracted providers and anticipated impacts on
26 local community services.

27 (87) \$2,942,000 of the general fund—state appropriation for
28 fiscal year 2027 and \$8,734,000 of the general fund—federal
29 appropriation are provided solely for the authority to implement two
30 certified community behavioral health clinic sites in a federal
31 demonstration project for certified community behavioral health
32 clinics. In selecting demonstration sites, the authority must
33 prioritize selection of sites that make the state competitive for
34 being awarded a demonstration project while also giving consideration
35 to appropriated funding levels.

36 (88) \$100,000 of the general fund—state appropriation for fiscal
37 year 2027 is provided solely for the authority to contract for
38 services with a recovery cafe providing long-term recovery services
39 in north Kitsap county.

1 (89)(a) \$100,000 of the general fund—state appropriation for
2 fiscal year 2027 is provided solely for the authority to convene a
3 task force composed of representatives from the authority, the
4 department of social and health services, and the office of financial
5 management; representatives of adult family home, assisted living,
6 and enhanced services facility providers that serve individuals
7 through the community behavioral health support program or intensive
8 behavioral supportive supervision program; behavioral health
9 advocates; and other key stakeholders. The task force will conduct a
10 comprehensive review of services offered through the community
11 behavioral health support program, the intensive behavioral
12 supportive supervision program, and the residential services waiver
13 program with the goal of improving system-wide efficiencies, data-
14 driven outcomes, and cost effectiveness. The review shall include but
15 not be limited to:

16 (i) Exploration of opportunities for aligning requirements
17 between the community behavioral health support program, intensive
18 behavioral supportive supervision, and the residential service waiver
19 programs to reduce provider administrative burden and conflicting
20 requirements with specific attention provided to value-based patient-
21 centered purchasing models;

22 (ii) Establishment of uniform oversight and clear expectations
23 when community behavioral health support program, intensive
24 behavioral supportive supervision program, and residential service
25 wavier program services overlap;

26 (iii) Creation of a centralized framework for matching
27 participants with complex behavioral health conditions to the most
28 appropriate setting or level of care;

29 (iv) Development of outcome metrics and a practical process for
30 gathering outcomes data such as reductions in hospital readmissions,
31 improved quality of life, and other metrics reflective of community
32 stability;

33 (v) Identification of opportunities for streamlining or
34 consolidation of programs to reduce overlap, ensure simpler referral
35 pathways, and deliver more consistent services across the state's
36 behavioral health continuum; and

37 (vi) Cost estimates for options developed by the task force which
38 examine potential cost impacts for both the authority and the
39 department of social and health services and include identification
40 of cost savings and offsets associated with the options presented.

(b) By December 1, 2026, the authority must provide a report to the office of financial management and the appropriate committees of the legislature which includes but is not limited to:

(i) A matrix of the community behavioral health support program, intensive behavioral supportive supervision program, and other programs at the department of social and health services that provide overlapping services to clients which includes identification of the number of individuals being served, where individuals receiving services under these programs enter the system, the average monthly expenditures at each agency, and the differential eligibility and service requirements for the programs;

(ii) A summary of the findings and recommendations of the task force;

(iii) If an amendment of the community behavioral health support state plan amendment is recommended by the task force, specific options identified by the work group for the amendment to reduce provider administrative burden and improve cost effectiveness and client outcomes; and

(iv) Identification of the estimated costs, risks, benefits, and timeline of implementing the identified recommendations and options.

Sec. 215. 2025 c 424 s 215 (uncodified) is amended to read as follows:

FOR THE HUMAN RIGHTS COMMISSION

General Fund—State Appropriation (FY 2026)	((\$5,057,000))
	<u>\$5,499,000</u>
General Fund—State Appropriation (FY 2027)	((\$5,079,000))
	<u>\$5,705,000</u>
General Fund—Federal Appropriation.	((\$3,036,000))
	<u>\$3,035,000</u>
TOTAL APPROPRIATION.	((\$13,172,000))
	<u>\$14,239,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) \$2,000 of the general fund—state appropriation for fiscal year 2026 and \$3,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of Substitute Senate Bill No. 5104 (immigration status coercion). (~~If the bill is~~

1 ~~not enacted by June 30, 2025, the amounts provided in this subsection~~
2 ~~shall lapse.))~~

3 (2) \$1,000 of the general fund—state appropriation for fiscal
4 year 2026 and \$3,000 of the general fund—state appropriation for
5 fiscal year 2027 are provided solely for implementation of Engrossed
6 Substitute Senate Bill No. 5486 (motion picture captioning). (~~If the~~
7 ~~bill is not enacted by June 30, 2025, the amounts provided in this~~
8 ~~subsection shall lapse.))~~

9 **Sec. 216.** 2025 c 424 s 216 (uncodified) is amended to read as
10 follows:

11 **FOR THE BOARD OF INDUSTRIAL INSURANCE APPEALS**

12 Worker and Community Right to Know Fund—State

13 Appropriation. \$10,000
14 Accident Account—State Appropriation. (~~(\$28,144,000)~~)
15 \$28,282,000

16 Medical Aid Account—State Appropriation. (~~(\$28,141,000)~~)
17 \$28,279,000

18 TOTAL APPROPRIATION. (~~(\$56,295,000)~~)
19 \$56,571,000

20 The appropriations in this section are subject to the following
21 conditions and limitations: \$100,000 of the accident account—state
22 appropriation and \$102,000 of the medical aid account—state
23 appropriation are provided solely for implementation of Senate Bill
24 No. 5463 (industrial insurance/duties). (~~If the bill is not enacted~~
25 ~~by June 30, 2025, the amounts provided in this subsection shall~~
26 ~~lapse.))~~

27 **Sec. 217.** 2025 c 424 s 217 (uncodified) is amended to read as
28 follows:

29 **FOR THE CRIMINAL JUSTICE TRAINING COMMISSION**

30 General Fund—State Appropriation (FY 2026). (~~(\$58,806,000)~~)
31 \$58,837,000

32 General Fund—State Appropriation (FY 2027). (~~(\$58,222,000)~~)
33 \$58,580,000

34 General Fund—Private/Local Appropriation. \$12,977,000

35 Death Investigations Account—State Appropriation. \$1,720,000

36 Municipal Criminal Justice Assistance Account—State
37 Appropriation. \$460,000

Supplemental Criminal Justice Account—State	
Appropriation.	\$100,000,000
Washington Auto Theft Prevention Authority Account—	
State Appropriation.	\$7,167,000
Washington Internet Crimes Against Children Account—	
State Appropriation.	\$2,270,000
24/7 Sobriety Account—State Appropriation.	\$20,000
TOTAL APPROPRIATION.	((\$241,642,000))
	<u>\$242,031,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) The criminal justice training commission may not run a basic law enforcement academy class of fewer than 30 students.

(2) Funding in this section is sufficient for 75 percent of the costs of providing 23 statewide basic law enforcement trainings in each fiscal year 2026 and fiscal year 2027. The criminal justice training commission must schedule its funded classes to minimize wait times throughout each fiscal year and meet statutory wait time requirements. The criminal justice training commission must track and report the average wait time for students at the beginning of each class and provide the findings in an annual report to the legislature due in December of each year. Each year, at least two classes must be held in Spokane, two classes must be held in Vancouver, two classes must be held in Arlington, and two classes must be held in Pasco.

(3) \$1,312,000 of the general fund—state appropriation for fiscal year 2026, \$1,306,000 of the general fund—state appropriation for fiscal year 2027, and \$870,000 of the general fund—private/local appropriation are provided solely for the commission to conduct four additional corrections officer academy classes. These classes may be conducted at the corrections officer academy in Burien or at one of the regional training academies, located in Spokane, Pasco, Vancouver, or Arlington.

(4) \$290,000 of the general fund—state appropriation for fiscal year 2026 and \$290,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for academy training for limited authority Washington peace officers employed by the Washington state gambling commission, Washington state liquor and cannabis board, Washington state parks and recreation commission, department of natural resources, and the office of the insurance commissioner.

1 (a) Up to 30 officers must be admitted to attend the basic law
2 enforcement academy and up to 30 officers must be admitted to attend
3 basic law enforcement equivalency academy.

4 (b) Allocation of the training slots amongst the agencies must be
5 based on the earliest application date to the commission. Training
6 does not need to commence within six months of employment.

7 (c) The state agencies must reimburse the commission for the
8 actual cost of training.

9 (5) \$1,598,000 of the death investigations account—state
10 appropriation is provided solely for the commission to provide 240
11 hours of medicolegal forensic investigation training to coroners and
12 medical examiners to meet the recommendations of the national
13 commission on forensic science for certification and accreditation.

14 (6) \$346,000 of the general fund—state appropriation for fiscal
15 year 2026 is provided solely for implementation of chapter 321, Laws
16 of 2021 (officer duty to intervene).

17 (7) \$30,000 of the general fund—state appropriation for fiscal
18 year 2026 and \$30,000 of the general fund—state appropriation for
19 fiscal year 2027 are provided solely for additional grants to local
20 jurisdictions to investigate instances where a purchase or transfer
21 of a firearm was attempted by an individual who is prohibited from
22 owning or possessing a firearm.

23 (8) \$2,500,000 of the general fund—state appropriation for fiscal
24 year 2026 and \$2,500,000 of the general fund—state appropriation for
25 fiscal year 2027 are provided solely for the criminal justice
26 training commission to provide grant funding to local law enforcement
27 agencies to support law enforcement wellness programs. Of the amount
28 provided in this subsection:

29 (a) \$1,500,000 of the general fund—state appropriation for fiscal
30 year 2026 and \$1,500,000 of the general fund—state appropriation for
31 fiscal year 2027 are provided solely for the commission to provide
32 grants to local law enforcement and corrections agencies for the
33 purpose of establishing officer wellness programs. Grants provided
34 under this subsection may be used for, but not limited to building
35 resilience, injury prevention, peer support programs, physical
36 fitness, proper nutrition, stress management, suicide prevention, and
37 physical or behavioral health services. The commission must consult
38 with a representative from the Washington association of sheriffs and
39 police chiefs and a representative of the Washington state fraternal

1 order of police and the Washington council of police and sheriffs in
2 the development of the grant program.

3 (b) \$1,000,000 of the general fund—state appropriation for fiscal
4 year 2026 and \$1,000,000 of the general fund—state appropriation for
5 fiscal year 2027 are provided solely for the Washington association
6 of sheriffs and police chiefs to establish and coordinate an online
7 or mobile-based application for any Washington law enforcement
8 officer; 911 operator or dispatcher; and any other current or retired
9 employee of a Washington law enforcement agency, and their families,
10 to anonymously access on-demand wellness techniques, suicide
11 prevention, resilience, physical fitness, nutrition, and other
12 behavioral health and wellness supports.

13 (9) \$2,270,000 of the Washington internet crimes against children
14 account—state appropriation is provided solely for the implementation
15 of chapter 84, Laws of 2015.

16 (10) \$5,000,000 of the general fund—state appropriation for
17 fiscal year 2026 and \$5,000,000 of the general fund—state
18 appropriation for fiscal year 2027 are provided to the Washington
19 association of sheriffs and police chiefs solely to verify the
20 address and residency of registered sex offenders and kidnapping
21 offenders under RCW 9A.44.130.

22 (11) \$4,000,000 of the general fund—state appropriation for
23 fiscal year 2026 and \$4,000,000 of the general fund—state
24 appropriation for fiscal year 2027 are provided solely for the mental
25 health field response team program administered by the Washington
26 association of sheriffs and police chiefs. The association must
27 distribute \$7,000,000 in grants to the phase one, phase two, and
28 phase three regions as outlined in the settlement agreement under
29 *Trueblood, et. al. v. Department of Social and Health Services, et.*
30 *al.*, U.S. District Court-Western District, Cause No. 14-cv-01178-MJP.
31 The association must submit an annual report to the Governor and
32 appropriate committees of the legislature by September 1st of each
33 year of the biennium. The report shall include best practice
34 recommendations on law enforcement and behavioral health field
35 response and include outcome measures on all grants awarded.

36 (12) \$899,000 of the general fund—state appropriation for fiscal
37 year 2026 and \$899,000 of the general fund—state appropriation for
38 fiscal year 2027 are provided solely for crisis intervention training
39 for the phase one, phase two, and phase three regions as outlined in

1 the settlement agreement under *Trueblood, et. al. v. Department of*
2 *Social and Health Services, et. al.*, U.S. District Court-Western
3 District, Cause No. 14-cv-01178-MJP.

4 (13) \$300,000 of the general fund—state appropriation for fiscal
5 year 2026 and \$300,000 of the general fund—state appropriation for
6 fiscal year 2027 are provided solely for the administration of the
7 firearms certificate program. The commission will raise the fees for
8 the program so that revenues collected by the program match these
9 expenditures.

10 (14) \$401,000 of the general fund—state appropriation for fiscal
11 year 2026 and \$378,000 of the general fund—state appropriation for
12 fiscal year 2027 are provided solely for additional staff to improve
13 the delays in review and investigation of officer certification
14 complaint cases.

15 (15) \$50,000 of the general fund—state appropriation for fiscal
16 year 2026 and \$60,000 of the general fund—state appropriation for
17 fiscal year 2027 are provided solely for implementation of Second
18 Substitute Senate Bill No. 5356 (criminal justice training). (~~If the~~
19 ~~bill is not enacted by June 30, 2025, the amounts provided in this~~
20 ~~subsection shall lapse.~~)

21 (16) Within existing resources, the commission must produce a
22 report detailing the expenditures of each agency that receives
23 allocations from the Washington auto theft prevention authority
24 account for fiscal year 2023, 2024, and 2025. The report must include
25 documentation of how expenditures were used in accordance with RCW
26 46.66.080 and recommendations based on outcomes from prior years'
27 expenditures for how funds from the account can be used to most
28 effectively prevent auto theft. The report must be submitted to the
29 office of financial management, the governor, and the legislature by
30 October 1, 2025.

31 (17) \$330,000 of the general fund—state appropriation for fiscal
32 year 2026, \$305,000 of the general fund—state appropriation for
33 fiscal year 2027, and \$100,000,000 of the supplemental criminal
34 justice account—state appropriation are provided solely for
35 implementation of Engrossed Substitute House Bill No. 2015 (public
36 safety funding). (~~If the bill is not enacted by June 30, 2025, the~~
37 ~~amounts provided in this subsection shall lapse.~~)

Sec. 218. 2025 c 424 s 218 (uncodified) is amended to read as follows:

FOR THE OFFICE OF INDEPENDENT INVESTIGATIONS

General Fund—State Appropriation (FY 2026)	((\$14,663,000))
	<u>\$15,170,000</u>
General Fund—State Appropriation (FY 2027)	((\$14,801,000))
	<u>\$15,911,000</u>
TOTAL APPROPRIATION	((\$29,464,000))
	<u>\$31,081,000</u>

Sec. 219. 2025 c 424 s 219 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF LABOR AND INDUSTRIES

General Fund—State Appropriation (FY 2026)	((\$22,076,000))
	<u>\$22,167,000</u>
General Fund—State Appropriation (FY 2027)	((\$18,363,000))
	<u>\$16,925,000</u>
General Fund—Federal Appropriation	((\$13,271,000))
	<u>\$13,433,000</u>
Asbestos Account—State Appropriation	\$641,000
Electrical License Account—State Appropriation	((\$80,496,000))
	<u>\$80,694,000</u>
Farm Labor Contractor Account—State Appropriation	\$28,000
Opioid Abatement Settlement Account—State Appropriation	\$250,000
Worker and Community Right to Know Fund—State Appropriation	((\$1,164,000))
	<u>\$1,163,000</u>
Construction Registration Inspection Account—State Appropriation	((\$32,435,000))
	<u>\$32,553,000</u>
Public Works Administration Account—State Appropriation	((\$16,462,000))
	<u>\$16,888,000</u>
Manufactured Home Installation Training Account—State Appropriation	((\$470,000))
	<u>\$472,000</u>
Accident Account—State Appropriation	((\$471,876,000))
	<u>\$478,255,000</u>

1	Accident Account—Federal Appropriation.	((\$20,183,000))
2		<u>\$19,963,000</u>
3	Medical Aid Account—State Appropriation.	((\$441,793,000))
4		<u>\$446,951,000</u>
5	Medical Aid Account—Federal Appropriation.	((\$3,960,000))
6		<u>\$3,740,000</u>
7	Plumbing Certificate Account—State Appropriation. . .	((\$3,694,000))
8		<u>\$3,704,000</u>
9	Pressure Systems Safety Account—State Appropriation. .	((\$5,202,000))
10		<u>\$5,214,000</u>
11	TOTAL APPROPRIATION.	((\$1,132,364,000))
12		<u>\$1,143,041,000</u>

13 The appropriations in this section are subject to the following
14 conditions and limitations:

15 (1) \$8,952,000 of the accident account—state appropriation and
16 \$8,952,000 of the medical aid account—state appropriation are
17 provided solely for the labor and industries workers' compensation
18 information system replacement project and is subject to the
19 conditions, limitations, and review provided in section 701 of this
20 act. The department must:

21 (a) Submit quarterly data within 30 calendar days of the end of
22 each quarter on:

23 (i) The quantifiable deliverables accomplished and the amount
24 spent by each deliverable in each of the following subprojects:

- 25 (A) Business readiness;
- 26 (B) Change readiness;
- 27 (C) Commercial off the shelf procurement;
- 28 (D) Customer access;
- 29 (E) Program foundations;
- 30 (F) Independent assessment; and
- 31 (G) In total by fiscal year;

32 (ii) All of the quantifiable deliverables accomplished by
33 subprojects identified in (a)(i)(A) through (F) of this subsection
34 and in total and the associated expenditures by each deliverable by
35 fiscal month;

36 (iii) The contract full time equivalent charged by subprojects
37 identified in (a)(i)(A) through (F) of this subsection, and in total,
38 compared to the budget spending plan by month for each contracted
39 vendor and what the ensuing contract equivalent budget spending plan

1 by subprojects identified in (a)(i)(A) through (F) of this
2 subsection, and in total, assumes by fiscal month;

3 (iv) The performance metrics by subprojects identified in
4 (a)(i)(A) through (F) of this subsection, and in total, that are
5 currently used, including monthly performance data; and

6 (v) The risks identified independently by at least the quality
7 assurance vendor and Washington technology solutions, and how the
8 project:

9 (A) Has mitigated each risk; and

10 (B) Is working to mitigate each risk, and when it will be
11 mitigated; and

12 (b) Submit the report in (a) of this subsection to fiscal and
13 policy committees of the legislature.

14 (2) \$258,000 of the accident account—state appropriation and
15 \$258,000 of the medical aid account—state appropriation are provided
16 solely for the department of labor and industries safety and health
17 assessment research for prevention program to conduct research to
18 prevent the types of work-related injuries that require immediate
19 hospitalization. The department will develop and maintain a tracking
20 system to identify and respond to all immediate in-patient
21 hospitalizations and will examine incidents in defined high-priority
22 areas, as determined from historical data and public priorities. The
23 research must identify and characterize hazardous situations and
24 contributing factors using epidemiological, safety-engineering, and
25 human factors/ergonomics methods. The research must also identify
26 common factors in certain types of workplace injuries that lead to
27 hospitalization. The department must submit a report to the governor
28 and appropriate legislative committees no later than August 30th of
29 each year of the fiscal biennium summarizing work-related immediate
30 hospitalizations and prevention opportunities, actions that employers
31 and workers can take to make workplaces safer, and ways to avoid
32 severe injuries.

33 (3)(a) \$1,700,000 of the general fund—state appropriation for
34 fiscal year 2026 (~~((and \$1,700,000 of the general fund state~~
35 ~~appropriation for fiscal year 2027))~~), \$1,445,000 of the accident
36 account—state appropriation, and \$255,000 of the medical aid account
37 —state appropriation are provided solely for grants to promote
38 workforce development in aerospace and aerospace related supply chain
39 industries by: Expanding the number of registered apprenticeships,

1 preapprenticeships, and aerospace-related programs; and providing
2 support for registered apprenticeships or programs in aerospace and
3 aerospace-related supply chain industries.

4 (b) Grants awarded under this section may be used for:

5 (i) Equipment upgrades or new equipment purchases for training
6 purposes;

7 (ii) New training space and lab locations to support capacity
8 needs and expansion of training to veterans and veteran spouses, and
9 underserved populations;

10 (iii) Curriculum development and instructor training for industry
11 experts;

12 (iv) Tuition assistance for degrees in engineering and high-
13 demand degrees that support the aerospace industry; and

14 (v) Funding to increase capacity and availability of child care
15 options for shift work schedules.

16 (c) An entity is eligible to receive a grant under this
17 subsection if it is a nonprofit, nongovernmental, or institution of
18 higher education that provides training opportunities, including
19 apprenticeships, preapprenticeships, preemployment training,
20 aerospace-related degree programs, or incumbent worker training to
21 prepare workers for the aerospace and aerospace-related supply chain
22 industries.

23 (d) The department may use up to 5 percent of these funds for
24 administration of these grants.

25 (4) \$500,000 of the general fund—state appropriation for fiscal
26 year 2026 and \$500,000 of the general fund—state appropriation for
27 fiscal year 2027 are provided solely for the crime victims'
28 compensation program to pay for medical exams for suspected victims
29 of domestic violence. Neither the hospital, medical facility, nor
30 victim is to pay for the cost of the medical exam. This funding must
31 not supplant existing funding for sexual assault medical exams. If
32 the cost of medical exams exceeds the funding provided in this
33 subsection, the program shall not reduce the reimbursement rates for
34 medical providers seeking reimbursement for other claimants, and
35 instead the program shall return to paying for domestic violence
36 medical exams after insurance.

37 (5) \$250,000 of the opioid abatement settlement account—state
38 appropriation is provided solely for the department to analyze
39 patients who are maintained on chronic opioids. The department must

1 submit an annual report of its findings to the governor and the
2 appropriate committees of the legislature no later than October 1st
3 of each year of the fiscal biennium. The report shall include
4 analysis of patient data, describing the characteristics of patients
5 who are maintained on chronic opioids and their clinical needs, and a
6 preliminary evaluation of potential interventions to improve care and
7 reduce harms in this population.

8 (6) \$1,406,000 of the public works administration account—state
9 appropriation for fiscal year 2026 is provided solely for the final
10 year of system improvements to the prevailing wage program
11 information technology system. This project is subject to the
12 conditions, limitations, and review provided in section 701 of this
13 act.

14 (7) (~~(\$205,000 of the general fund—state appropriation for fiscal~~
15 ~~year 2026 is))~~ \$174,000 of the accident account—state appropriation
16 and \$31,000 of the medical aid account—state appropriation are
17 provided solely to continue conducting a four-year retention study of
18 state registered apprentices as provided in chapter 156, Laws of 2022
19 (apprenticeship programs). The study shall include the collection of
20 data from all apprentices three months into their apprenticeship to
21 understand challenges and barriers they face towards program
22 participation. The aggregate data by trade must be displayed on a
23 publicly available dashboard. Study data must be provided with
24 apprenticeship coordinators to implement an early response to connect
25 apprentices with needed supports. The department shall submit an
26 annual report to the governor and appropriate legislative committees
27 on June 30, 2026, and June 30, 2027.

28 (8) \$2,879,000 of the accident account—state appropriation and
29 \$2,309,000 of the medical aid account—state appropriation are
30 provided solely to expand access to worker rights and safety
31 information for workers with limited English proficiency (LEP)
32 through outreach and translation of safety-related information,
33 training, and other materials. \$2,000,000 of the amount provided in
34 this subsection is provided solely for grants to community-based
35 organizations to provide workplace rights and safety outreach to
36 underserved workers.

37 (9) (~~(\$946,000))~~ \$607,000 of the public works administration
38 account—state appropriation is provided solely for implementation of
39 chapter 342, Laws of 2023 (apprenticeship utilization).

1 (10) \$1,072,000 of the accident account—state appropriation and
2 \$187,000 of the medical aid account—state appropriation are provided
3 solely to create an effective information technology solution
4 necessary for the implementation of chapter 145, Laws of 2023 (fire-
5 resistant materials).

6 (11) \$200,000 of the medical aid account—state appropriation and
7 \$200,000 of the accident account—state appropriation are provided
8 solely for the staffing of a resolution process for complaints
9 regarding light duty work under Title 51 RCW.

10 (12) \$1,044,000 of the accident account—state appropriation and
11 \$183,000 of the medical account—state appropriation are provided
12 solely for implementation of chapter 250, Laws of 2024 (adult
13 entertainment workers).

14 (13) (~~(\$1,840,000)~~) \$2,697,000 of the accident account—state
15 appropriation and (~~(\$1,838,000)~~) \$2,695,000 of the medical aid
16 account—state appropriation are provided solely for claims management
17 staffing to expand capacity to reduce claims caseload, effective July
18 1, 2025.

19 (14) \$3,477,000 of the accident account—state appropriation and
20 \$614,000 of the medical aid account—state appropriation are provided
21 solely for wage payment act, retaliation, child labor, and
22 determinations, and fiscal units staffing to expand capacity to
23 conduct timely worker complaint investigations, effective July 1,
24 2025.

25 (15) \$1,495,000 of the construction registration inspection
26 account—state appropriation is provided solely for implementation of
27 chapter 213, Laws of 2023 (contractor consumer protection).

28 (~~((17))~~) (16) \$126,000 of the accident account—state
29 appropriation and \$24,000 of the medical aid account—state
30 appropriation are provided solely for implementation of Substitute
31 Senate Bill No. 5101 (worker leave/hate crimes). (~~(If the bill is not~~
32 ~~enacted by June 30, 2025, the amounts provided in this subsection~~
33 ~~shall lapse.~~

34 ~~((18))~~) (17) \$636,000 of the accident account—state appropriation
35 and \$113,000 of the medical aid account—state appropriation are
36 provided solely for implementation of Substitute Senate Bill No. 5104
37 (immigration status coercion). (~~(If the bill is not enacted by June~~
38 ~~30, 2025, the amounts provided in this subsection shall lapse.~~

1 ~~(19))~~ (18) \$4,000 of the accident account—state appropriation
2 and \$1,000 of the medical aid account—state appropriation are
3 provided solely for implementation of Substitute Senate Bill No. 5408
4 (wage and salary disclosures). ~~((If the bill is not enacted by June~~
5 ~~30, 2025, the amounts provided in this subsection shall lapse.~~

6 ~~(20))~~ (19) \$608,000 of the accident account—state appropriation
7 and \$605,000 of the medical aid account—state appropriation are
8 provided solely for implementation of Senate Bill No. 5463
9 (industrial insurance/duties). ~~((If the bill is not enacted by June~~
10 ~~30, 2025, the amounts provided in this subsection shall lapse.~~

11 ~~(21))~~ (20) \$818,000 of the accident account—state appropriation
12 and \$144,000 of the medical aid account—state appropriation are
13 provided solely for implementation of Substitute Senate Bill No. 5501
14 (employee driving requirement). ~~((If the bill is not enacted by June~~
15 ~~30, 2025, the amounts provided in this subsection shall lapse.~~

16 ~~(22))~~ (21) \$50,000 of the general fund—state appropriation for
17 fiscal year 2026 and \$50,000 of the general fund—state appropriation
18 for fiscal year 2027 are provided solely for a grant to an
19 organization in Pierce county experienced in providing peer-to-peer
20 training to continue implementation of a program aimed at reducing
21 workplace sexual harassment in the agricultural sector. The
22 department may use up to five percent of the amount provided in this
23 subsection for administration of this grant. The organization
24 receiving the grant must:

25 (a) Continue peer-to-peer trainings for farmworkers in Yakima
26 county and expand to provide peer-to-peer trainings for farmworkers
27 in Grant and Benton counties;

28 (b) Support an established network of peer trainings as
29 farmworker leaders, whose primary purpose is to prevent workplace
30 sexual harassment and assault through leadership, education, and
31 other tools; and

32 (c) Share best practices from the peer-to-peer model at a
33 statewide conference for farmworkers, industry representatives, and
34 advocates.

35 ~~((23))~~ (22) \$1,213,000 of the accident account—state
36 appropriation and \$213,000 of the medical aid account—state
37 appropriation are provided solely for implementation of Engrossed
38 Second Substitute Senate Bill No. 5217 (pregnancy accommodations).

1 (~~((If the bill is not enacted by June 30, 2025, the amounts provided~~
2 ~~in this subsection shall lapse.~~

3 ~~((24))~~ (23) \$350,000 of the general fund—state appropriation for
4 fiscal year 2026 is provided solely to support the underground
5 economy task force created in section 906, chapter 376, Laws of 2024.

6 ~~((25))~~ (24) \$4,420,000 of the accident account—state
7 appropriation and \$780,000 of the medical aid account—state
8 appropriation are provided solely for the department, in coordination
9 with the Washington state apprenticeship council, to administer,
10 amend, or extend current or new grants to continue the growth of
11 behavioral health apprenticeship programs. Grants may be awarded for
12 provider implementation costs, apprentice tuition and stipend costs,
13 curriculum development, and program administration. Grant awardees
14 must use a minimum of one-half of amounts provided to compensate
15 behavioral health providers for employer implementation costs
16 including mentor wage differentials, related instruction wages, and
17 administrative costs. In awarding this funding, special preference
18 must be given to entities with experience in implementation of
19 behavioral health sector apprenticeships and labor-management
20 partnerships. By June 30, 2027, and June 30, 2028, grantees must
21 report to the department on the number of individuals that were
22 recruited and upskilled in the preceding fiscal year. The department
23 may use up to five percent of the amount provided in this subsection
24 for administration of these grants.

25 ~~((26))~~ (25) \$850,000 of the accident account—state
26 appropriation and \$150,000 of the medical aid account—state
27 appropriation are provided solely for the department, in coordination
28 with the Washington state apprenticeship training council, to
29 administer, amend, or extend current or new grants to address the
30 behavioral health workforce shortage through behavioral health
31 preapprenticeship and behavioral health entry level training,
32 including nursing assistant certified programs. Grants may cover
33 program costs including, but not limited to, provider implementation
34 costs, apprentice tuition and stipend costs, curriculum development,
35 and program administration. In awarding this funding, special
36 preference must be given to entities with experience in
37 implementation of behavioral health sector apprenticeships and labor-
38 management partnerships. By June 30, 2026, and June 30, 2027,
39 grantees must report to the department on the number of individuals

1 that were recruited and upskilled in the preceding fiscal year. The
2 department may use up to five percent of the amount provided in this
3 subsection for administration of these grants.

4 ~~((+27+))~~ (26) \$56,000 of the general fund—state appropriation for
5 fiscal year 2026 and \$59,000 of the general fund—state appropriation
6 for fiscal year 2027 are provided solely for implementation of
7 chapter 298, Laws of 2024 (supporting victims of human trafficking
8 and sexual abuse).

9 ~~((+28+))~~ (27) \$250,000 of the medical aid account—state
10 appropriation and \$250,000 of the accident account—state
11 appropriation are provided solely for the department of labor and
12 industries safety and health assessment and research for prevention
13 program to conduct research to address the high injury rates of the
14 janitorial workforce. The research must quantify the physical demands
15 of common janitorial work tasks and assess the safety and health
16 needs of janitorial workers. The research must also identify
17 potential risk factors associated with increased risk of injury in
18 the janitorial workforce and measure workload based on the strain
19 janitorial work tasks place on janitors' bodies. The department must
20 conduct interviews with janitors and their employers to collect
21 information on risk factors, identify the tools, technologies, and
22 methodologies used to complete work, and understand the safety
23 culture and climate of the industry. The department must produce
24 annual progress reports through the year 2025 or until the tools are
25 fully developed and deployed. The annual progress report must be
26 submitted to the governor and legislature by December 1st of each
27 year such report is due.

28 ~~((+29+))~~ (28) The department shall promptly notify the office of
29 the attorney general upon the receipt of a request from or on behalf
30 of a federal agency or a federal, state, or local law enforcement
31 authority for health care information, as defined in RCW 70.02.010,
32 program eligibility information for individuals, information that may
33 identify a health care provider's or facility's delivery of health
34 care services to noncitizens, or the delivery of protected health
35 care services as defined in RCW 7.115.010 where the request may
36 impact expenditures for such services. The department of labor and
37 industries shall require contracted entities to notify the department
38 of labor and industries promptly upon receipt of a request from a

1 federal agency or law enforcement authority as described in this
2 subsection.

3 ~~((+30+))~~ (29) \$3,774,000 of the accident account—state
4 appropriation and \$890,000 of the medical aid account—state
5 appropriation are provided solely for the creation of an agriculture
6 compliance unit within the division of occupational safety and
7 health. The compliance unit will perform compliance inspections and
8 provide bilingual outreach to agricultural workers and employers.

9 ~~((+31+))~~ (30) \$1,642,000 of the medical aid account—state
10 appropriation is provided solely to cover the overhead rent costs to
11 increase the number of labor and industry vocational specialists
12 embedded in WorkSource offices and to implement a comprehensive
13 quality-assurance team to ensure the continuous improvement of
14 vocational services for injured workers through the workers'
15 compensation program.

16 ~~((+32+))~~ (31) \$639,000 of the accident account—state
17 appropriation and \$157,000 of the medical aid account—state
18 appropriation are provided solely for implementation of Second
19 Substitute House Bill No. 1524 (isolated employees). ~~((If the bill is
20 not enacted by June 30, 2025, the amounts provided in this subsection
21 shall lapse.~~

22 ~~(+33+))~~ (32) \$85,000 of the accident account—state appropriation
23 and \$15,000 of the medical aid account—state appropriation are
24 provided solely for implementation of Substitute House Bill No. 1879
25 (hospital worker breaks). ~~((If the bill is not enacted by June 30,
26 2025, the amounts provided in this subsection shall lapse.~~

27 ~~(+34+))~~ (33) \$1,251,000 of the public works administration account
28 —state appropriation is provided solely for implementation of
29 Engrossed Second Substitute House Bill No. 1549 (responsible bidder
30 criteria). ~~((If the bill is not enacted by June 30, 2025, the amount
31 provided in this subsection shall lapse.~~

32 ~~(+35) —\$197,000 of the electrical license account—state
33 appropriation, \$136,000))~~ (34) \$302,000 of the accident account—state
34 appropriation ~~((+))~~ and ~~((+\$24,000))~~ \$54,000 of the medical aid account
35 —state appropriation are provided solely for implementation of
36 Engrossed Substitute House Bill No. 1533 (specialty electricians).
37 ~~((If the bill is not enacted by June 30, 2025, the amounts provided
38 in this subsection shall lapse.~~

~~(36))~~ (35) \$255,000 of the accident account—state appropriation and \$254,000 of the medical aid account—state appropriation are provided solely for implementation of Second Substitute House Bill No. 1788 (worker's compensation). ~~((If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.~~

~~(37))~~ (36) \$1,031,000 of the accident account—state appropriation and \$180,000 of the medical aid account—state appropriation are provided solely for implementation of Engrossed Substitute House Bill No. 1644 (working minor). ~~((If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.~~

~~(38))~~ (37) \$269,000 of the accident account—state appropriation and \$46,000 of the medical aid account—state appropriation are provided solely for implementation of Engrossed Substitute House Bill No. 1875 (sick leave/immigration). ~~((If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.))~~

(38) \$220,000 of the accident account—state appropriation and \$220,000 of the medical aid account—state appropriation are provided solely to replace a loss of federal funds from the national institute for occupational safety and health for the Washington fatality assessment and control evaluation program, occupational respiratory disease surveillance program, and adult blood lead exposure surveillance system for fiscal year 2027. These funds may only be used if the equivalent amount in federal funds is not received.

(39) \$256,000 of the accident account—state appropriation and \$45,000 of the medical aid account—state appropriation are provided solely for implementation of Second Substitute House Bill No. 1128 (child care workforce board). If the bill is not enacted by June 30, 2026, the amounts provided in this subsection shall lapse.

(40) \$857,000 of the accident account—state appropriation and \$154,000 of the medical aid account—state appropriation are provided solely for implementation of Substitute House Bill No. 2355 (domestic workers). If the bill is not enacted by June 30, 2026, the amounts provided in this subsection shall lapse.

(41) \$459,000 of the accident account—state appropriation and \$114,000 of the medical aid account—state appropriation are provided solely for implementation of Second Substitute House Bill No. 2479 (unpaid wage recovery). If the bill is not enacted by June 30, 2026, the amounts provided in this subsection shall lapse.

1 (42) \$378,000 of the accident account—state appropriation and
2 \$976,000 of the medical aid account—state appropriation are provided
3 solely for implementation of Engrossed Second Substitute Senate Bill
4 No. 5847 (workers' comp. medical care). If the bill is not enacted by
5 June 30, 2026, the amounts provided in this subsection shall lapse.

6 (43) \$5,000 of the accident account—state appropriation and
7 \$5,000 of the medical aid account—state appropriation are provided
8 solely for implementation of Senate Bill No. 5944 (language access
9 providers). If the bill is not enacted by June 30, 2026, the amounts
10 provided in this subsection shall lapse.

11 (44) \$385,000 of the public works administration account—state
12 appropriation is provided solely for implementation of Engrossed
13 Substitute Senate Bill No. 6302 (public works/finishing trade). If
14 the bill is not enacted by June 30, 2026, the amount provided in this
15 subsection shall lapse.

16 ***Sec. 220.** 2025 c 424 s 220 (uncodified) is amended to read as
17 follows:

18 **FOR THE DEPARTMENT OF VETERANS AFFAIRS**

19 (1) The appropriations in this section are subject to the
20 following conditions and limitations:

21 (a) The department of veterans affairs shall not initiate any
22 services that will require expenditure of state general fund moneys
23 unless expressly authorized in this act or other law. The department
24 may seek, receive, and spend, under RCW 43.79.260 through 43.79.282,
25 federal moneys that are unrelated to the coronavirus response and not
26 anticipated in this act as long as the federal funding does not
27 require expenditure of state moneys for the program in excess of
28 amounts anticipated in this act. If the department receives
29 unanticipated unrestricted federal moneys that are unrelated to the
30 coronavirus response, those moneys must be spent for services
31 authorized in this act or in any other legislation that provides
32 appropriation authority, and an equal amount of appropriated state
33 moneys shall lapse. Upon the lapsing of any moneys under this
34 subsection, the office of financial management shall notify the
35 legislative fiscal committees. As used in this subsection,
36 "unrestricted federal moneys" includes block grants and other funds
37 that federal law does not require to be spent on specifically defined
38 projects or matched on a formula basis by state funds.

(b) Each year, there is fluctuation in the revenue collected to support the operation of the state veteran homes. When the department has foreknowledge that revenue will decrease, such as from a loss of census or from the elimination of a program, the legislature expects the department to make reasonable efforts to reduce expenditures in a commensurate manner and to demonstrate that it has made such efforts. In response to any request by the department for general fund—state appropriation to backfill a loss of revenue, the legislature shall consider the department's efforts in reducing its expenditures in light of known or anticipated decreases to revenues.

(2) HEADQUARTERS

General Fund—State Appropriation (FY 2026)	((\$5,001,000))
	<u>\$5,046,000</u>
General Fund—State Appropriation (FY 2027)	((\$5,031,000))
	<u>\$5,946,000</u>
Charitable, Educational, Penal, and Reformatory	
Institutions Account—State Appropriation	\$10,000
TOTAL APPROPRIATION	((\$10,042,000))
	<u>\$11,002,000</u>

(3) FIELD SERVICES

General Fund—State Appropriation (FY 2026)	((\$10,759,000))
	<u>\$10,636,000</u>
General Fund—State Appropriation (FY 2027)	((\$11,204,000))
	<u>\$11,468,000</u>
General Fund—Federal Appropriation	((\$8,834,000))
	<u>\$8,835,000</u>
General Fund—Private/Local Appropriation	((\$6,547,000))
	<u>\$6,548,000</u>
Veteran Estate Management Account—Private/Local	
Appropriation	\$719,000
TOTAL APPROPRIATION	((\$38,063,000))
	<u>\$38,206,000</u>

The appropriations in this subsection are subject to the following conditions and limitations:

(a) \$1,020,000 of the general fund—state appropriation for fiscal year 2026 and \$900,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the department to contract for veteran service officers.

(i) Of the amounts provided in this subsection (3)(a), \$750,000 of the general fund—state appropriation for fiscal year 2026 and \$750,000 of the general fund—state appropriation for fiscal year 2027 are provided solely to support one veteran service officer position in each of the following counties: Walla Walla, Clallam, Stevens, Asotin, and Skamania.

(ii) Of the amounts provided in this subsection (3)(a), \$270,000 of the general fund—state appropriation for fiscal year 2026 and \$150,000 of the general fund—state appropriation for fiscal year 2027 are provided solely to support two veteran service officer positions in Island county.

(b) Funding is sufficient for the department to maintain operations for the suicide prevention community-based services grant program established in RCW 43.60A.260.

(4) STATE VETERANS HOMES PROGRAM

General Fund—State Appropriation (FY 2026)	((\$16,710,000))
	<u>\$8,717,000</u>
General Fund—State Appropriation (FY 2027)	((\$17,786,000))
	<u>\$7,519,000</u>
General Fund—Federal Appropriation	((\$159,652,000))
	<u>\$188,457,000</u>
General Fund—Private/Local Appropriation	((\$21,757,000))
	<u>\$10,554,000</u>
TOTAL APPROPRIATION	((\$215,905,000))
	<u>\$215,247,000</u>

The appropriations in this subsection are subject to the following conditions and limitations:

(a) If the department receives additional unanticipated federal resources that are unrelated to the coronavirus response at any point during the remainder of the 2025-2027 fiscal biennium, an equal amount of general fund—state must be placed in unallotted status so as not to exceed the total appropriation level specified in this subsection. The department may submit as part of the policy level budget submittal documentation required by RCW 43.88.030 a request to maintain the general fund—state resources that were unallotted as required by this subsection.

(b) Appropriations have been adjusted in this section to reflect anticipated changes in state, federal, and local resources as a

1 result of census changes. The department shall incorporate these
2 adjustments in the governor's projected maintenance level budget
3 required in RCW 43.88.030.

4 (5) CEMETERY SERVICES

5	General Fund—State Appropriation (FY 2026)	\$188,000
6	General Fund—State Appropriation (FY 2027)	((\$207,000))
7		<u>\$205,000</u>
8	General Fund—Federal Appropriation.	\$1,042,000
9	TOTAL APPROPRIATION.	((\$1,437,000))
10		<u>\$1,435,000</u>

**Sec. 220 was partially vetoed. See message at end of chapter.*

11 **Sec. 221.** 2025 c 424 s 221 (uncodified) is amended to read as
12 follows:

13 **FOR THE DEPARTMENT OF HEALTH**

14 (1) The appropriations to the department of health in this act
15 shall be expended for the programs and in the amounts specified in
16 this act. Appropriations made in this act to the department of health
17 shall initially be allotted as required by this act. Subsequent
18 allotment modifications shall not include transfers of moneys between
19 sections of this act except as expressly provided in this act, nor
20 shall allotment modifications permit moneys that are provided solely
21 for a specified purpose to be used for other than that purpose.

22 (2)(a) The appropriations to the department of health in this act
23 must be expended for the programs and in the amounts specified in
24 this act, except as provided in (i) and (ii) of this subsection
25 (2)(a):

26 (i) After May 1, 2026, unless prohibited by this act, the
27 department may transfer general fund—state appropriations for fiscal
28 year 2026 among programs and subprograms after approval by the
29 director of the office of financial management. However, the
30 department may not transfer state appropriations that are provided
31 solely for a specified purpose except as expressly provided in (b) of
32 this subsection.

33 (ii) After May 1, 2027, unless prohibited by this act, the
34 department may transfer general fund—state appropriations for fiscal
35 year 2027 and appropriations for the 2025-2027 fiscal biennium among
36 programs and subprograms after approval by the director of the office
37 of financial management. However, the department may not transfer

1 appropriations that are provided solely for a specified purpose
2 except as expressly provided in (b) of this subsection.

3 (b) To the extent that transfers under (a) of this subsection are
4 insufficient to fund actual expenditures, the department may transfer
5 appropriations that are provided solely for a specified purpose. The
6 department may not transfer funds, and the director of the office of
7 financial management may not approve the transfer, unless the
8 transfer is consistent with the objective of conserving, to the
9 maximum extent possible, the expenditure of state funds. The director
10 of the office of financial management shall notify the appropriate
11 fiscal committees of the legislature in writing seven days prior to
12 approving any allotment modifications or transfers under this
13 subsection. The written notification shall include a narrative
14 explanation and justification of the changes, along with expenditures
15 and allotments by budget unit and appropriation, both before and
16 after any allotment modifications or transfers.

17 (c) Within ((30)) 90 days after the close of fiscal year 2026,
18 the department must provide the office of financial management and
19 the fiscal committees of the legislature with an accounting of any
20 transfers under this subsection. The accounting shall include a
21 narrative explanation and justification of the changes, along with
22 expenditures and allotments by subprogram and appropriation, both
23 before and after any allotment modifications or transfers. The
24 department must also provide recommendations for revisions to
25 appropriations to better align funding with the new budget structure
26 for the department in this act and to eliminate the need for the
27 transfer authority in future budgets.

28 (3) The department of health shall not initiate any services that
29 will require expenditure of state general fund moneys unless
30 expressly authorized in this act or other law. ((The)) With the
31 exception of phase one section implementation designated in the board
32 of health legislative report published in 2025, the department of
33 health and the state board of health may begin the rule-making
34 process on subsequent phases, but shall not implement any new or
35 amended rules pertaining to primary and secondary school facilities
36 until the rules and a final cost estimate have been presented to the
37 legislature, and the legislature has formally funded implementation
38 of the rules through the omnibus appropriations act or by statute. To
39 control costs and assist schools in the implementation of phase one,
40 the department shall develop models for any required plans, and

1 shall, as resources allow, make radon tests available to schools at
2 no cost.

3 (4) The department may seek, receive, and spend, under RCW
4 43.79.260 through 43.79.282, federal moneys not anticipated in this
5 act as long as the federal funding does not require expenditure of
6 state moneys for the program in excess of amounts anticipated in this
7 act. If the department receives unanticipated unrestricted federal
8 moneys, those moneys shall be spent for services authorized in this
9 act or in any other legislation that provides appropriation
10 authority, and an equal amount of appropriated state moneys shall
11 lapse. Upon the lapsing of any moneys under this subsection, the
12 office of financial management shall notify the legislative fiscal
13 committees. As used in this subsection, "unrestricted federal moneys"
14 includes block grants and other funds that federal law does not
15 require to be spent on specifically defined projects or matched on a
16 formula basis by state funds.

17 ~~((4))~~ (5) In accordance with RCW 43.70.110 and 71.24.037, the
18 department is authorized to adopt license and certification fees in
19 fiscal years 2026 and 2027 to support the costs of the regulatory
20 program. The department's fee schedule shall have differential rates
21 for providers with proof of accreditation from organizations that the
22 department has determined to have substantially equivalent standards
23 to those of the department, including but not limited to the joint
24 commission on accreditation of health care organizations, the
25 commission on accreditation of rehabilitation facilities, and the
26 council on accreditation. To reflect the reduced costs associated
27 with regulation of accredited programs, the department's fees for
28 organizations with such proof of accreditation must reflect the lower
29 costs of licensing for these programs than for other organizations
30 which are not accredited.

31 ~~((5))~~ (6) Within the amounts appropriated in this act, and in
32 accordance with RCW 70.41.100, the department shall set fees to
33 include the full costs of the performance of inspections pursuant to
34 RCW 70.41.080.

35 ~~((6))~~ (7) In accordance with RCW 43.70.110 and 71.24.037, the
36 department is authorized to adopt fees for the review and approval of
37 mental health and substance use disorder treatment programs in fiscal
38 years 2026 and 2027 as necessary to support the costs of the
39 regulatory program. The department's fee schedule must have
40 differential rates for providers with proof of accreditation from

1 organizations that the department has determined to have
2 substantially equivalent standards to those of the department,
3 including but not limited to the joint commission on accreditation of
4 health care organizations, the commission on accreditation of
5 rehabilitation facilities, and the council on accreditation. To
6 reflect the reduced costs associated with regulation of accredited
7 programs, the department's fees for organizations with such proof of
8 accreditation must reflect the lower cost of licensing for these
9 programs than for other organizations which are not accredited.

10 ~~((+7))~~ (8) The health care authority, the health benefit
11 exchange, the department of social and health services, the
12 department of health, the department of corrections, and the
13 department of children, youth, and families shall work together
14 within existing resources to establish the health and human services
15 enterprise coalition (the coalition). The coalition, led by the
16 health care authority, must be a multi-organization collaborative
17 that provides strategic direction and federal funding guidance for
18 projects that have cross-organizational or enterprise impact,
19 including information technology projects that affect organizations
20 within the coalition. Washington technology solutions shall maintain
21 a statewide perspective when collaborating with the coalition to
22 ensure that projects are planned for in a manner that ensures the
23 efficient use of state resources, supports the adoption of a cohesive
24 technology and data architecture, and maximizes federal financial
25 participation. The work of the coalition and any project identified
26 as a coalition project is subject to the conditions, limitations, and
27 review provided in section 701 of this act.

28 ~~((+8))~~ (9) Within the amounts appropriated in this act, and in
29 accordance with RCW 43.70.110 and 71.12.470, the department shall set
30 fees to include the full costs of the performance of inspections
31 pursuant to RCW 71.12.485.

32 ~~((+9))~~ (10) The department must report to and coordinate with
33 the department of ecology to track expenditures from climate
34 commitment act accounts, as defined and described in RCW 70A.65.300
35 and chapter 173-446B WAC. If an expenditure is expected to result in
36 greenhouse gas emission reductions, the department must use a
37 department of ecology approved calculator tool or methodology.

38 ~~((+10))~~ (11) The department shall promptly notify the office of
39 the attorney general upon the receipt of a request from or on behalf
40 of a federal agency or a federal, state, or local law enforcement

authority for health care information, as defined in RCW 70.02.010, program eligibility information for individuals, information that may identify a health care provider's or facility's delivery of health care services to noncitizens, or the delivery of protected health care services as defined in RCW 7.115.010 where the request may impact expenditures for such services. The department shall require contracted entities to notify the department promptly upon receipt of a request from a federal agency or law enforcement authority as described in this subsection.

*Sec. 222. 2025 c 424 s 222 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF HEALTH—ADMINISTRATION

General Fund—State Appropriation (FY 2026)	((\$24,861,000))
	<u>\$21,890,000</u>
General Fund—State Appropriation (FY 2027)	((\$23,978,000))
	<u>\$17,164,000</u>
General Fund—Federal Appropriation	((\$56,636,000))
	<u>\$54,200,000</u>
General Fund—Private/Local Appropriation	((\$19,121,000))
	<u>\$18,755,000</u>
Dedicated Cannabis Account—State Appropriation (FY 2026)	((\$442,000))
	<u>\$410,000</u>
Dedicated Cannabis Account—State Appropriation (FY 2027)	((\$478,000))
	<u>\$419,000</u>
Climate Commitment Account—State Appropriation	((\$587,000))
	<u>\$937,000</u>
Climate Investment Account—State Appropriation	((\$137,000))
	<u>\$91,000</u>
<u>Foundational Public Health Services Account—State Appropriation</u>	<u>\$4,000</u>
Hospital Data Collection Account—State Appropriation	((\$103,000))
	<u>\$97,000</u>
Health Professions Account—State Appropriation	((\$36,706,000))
	<u>\$27,093,000</u>
Aquatic Lands Enhancement Account—State Appropriation	((\$101,000))

1		<u>\$99,000</u>
2	Emergency Medical Services and Trauma Care Systems	
3	Trust Account—State Appropriation.	((\$1,623,000))
4		<u>\$367,000</u>
5	Medicaid Fraud Penalty Account—State Appropriation. . .	((\$124,000))
6		<u>\$332,000</u>
7	Natural Climate Solutions Account—State	
8	Appropriation.	((\$17,000))
9		<u>\$12,000</u>
10	<u>Abortion Savings Account—State Appropriation.</u>	<u>\$144,000</u>
11	Safe Drinking Water Account—State Appropriation. . . .	((\$2,171,000))
12		<u>\$2,085,000</u>
13	Drinking Water Assistance Account—Federal	
14	Appropriation.	((\$4,637,000))
15		<u>\$4,564,000</u>
16	Waterworks Operator Certification Account—State	
17	Appropriation.	((\$499,000))
18		<u>\$445,000</u>
19	Drinking Water Assistance Administrative Account—	
20	State Appropriation.	((\$525,000))
21		<u>\$497,000</u>
22	Site Closure Account—State Appropriation.	((\$33,000))
23		<u>\$31,000</u>
24	Biotoxin Account—State Appropriation.	((\$290,000))
25		<u>\$233,000</u>
26	Model Toxics Control Operating Account—State	
27	Appropriation.	((\$1,541,000))
28		<u>\$1,321,000</u>
29	Medical Test Site Licensure Account—State	
30	Appropriation.	((\$869,000))
31		<u>\$477,000</u>
32	Secure Drug Take-Back Program Account—State	
33	Appropriation.	((\$241,000))
34		<u>\$221,000</u>
35	Youth Tobacco and Vapor Products Prevention Account—	
36	State Appropriation.	((\$518,000))
37		<u>\$506,000</u>
38	Public Health Supplemental Account—Private/Local	
39	Appropriation.	((\$512,000))

1		<u>\$506,000</u>
2	Accident Account—State Appropriation.	((\$65,000))
3		<u>\$60,000</u>
4	Medical Aid Account—State Appropriation.	((\$8,000))
5		<u>\$5,000</u>
6	Statewide 988 Behavioral Health Crisis Response Line	
7	Account—State Appropriation.	((\$4,646,000))
8		<u>\$4,766,000</u>
9	Opioid Abatement Settlement Account—State	
10	Appropriation.	((\$6,962,000))
11		<u>\$9,250,000</u>
12	TOTAL APPROPRIATION.	((\$188,431,000))
13		<u>\$166,981,000</u>

14 The appropriations in this section are subject to the following
15 conditions and limitations:

16 (1) ((~~\$1,164,000~~)) \$1,234,000 of the general fund—state
17 appropriation for fiscal year 2026 ((and ~~\$1,164,000 of the general~~
18 ~~fund—state appropriation for fiscal year 2027 are~~)) is provided
19 solely for the child profile health promotion notification system.

20 (2) ((~~\$296,000 of the general fund—state appropriation for fiscal~~
21 ~~year 2026 and \$296,000 of the general fund—state appropriation for~~
22 ~~fiscal year 2027 are provided solely for the department to maintain~~
23 ~~the master person index as part of the health and human services~~
24 ~~coalition master person index initiative.~~

25 ~~(3))~~ \$127,000 of the general fund—state appropriation for fiscal
26 year 2026 and \$127,000 of the general fund—state appropriation for
27 fiscal year 2027 are provided solely for the department to coordinate
28 work related to dementia, including but not limited to:

29 (a) Coordinating dementia-related activities with the department
30 of social and health services, the health care authority, and other
31 state agencies as needed;

32 (b) Implementing recommendations from the dementia action
33 collaborative in the updated state Alzheimer's plan within the
34 department; and

35 (c) Other dementia-related activities as determined by the
36 secretary.

37 ((~~(4)~~—\$166,000)) (3) \$193,000 of the general fund—state
38 appropriation for fiscal year 2026 ((and ~~\$166,000 of the general fund~~
39 ~~—state appropriation for fiscal year 2027 are~~)) is provided solely

for community compensation stipends for low-income individuals who participate in priority engagements across the department.

~~((+5))~~ (4) \$130,000 of the general fund—state appropriation for fiscal year 2026 and \$130,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for staffing to support an office of tribal policy at the department.

(5) \$1,690,000 of the opioid abatement settlement account—state appropriation is provided solely for prevention, treatment, and recovery support services to remediate the impacts of the opioid epidemic. This funding must be used consistent with conditions of the opioid settlement agreements that direct how funds deposited into the opioid abatement settlement account created in RCW 43.79.483 must be used.

(6) \$2,662,000 of the opioid abatement settlement account—state appropriation is provided solely to launch a telebuprenorphine hotline that facilitates access to medications for opioid use disorder. This funding must be used consistent with conditions of the opioid settlement agreements that direct how funds deposited into the opioid abatement settlement account created in RCW 43.79.483 must be used.

(7) Within existing resources, the department shall transition sending newsletters for the watch me grow program from physically mailed newsletters to newsletters delivered electronically. The department shall cease sending physical newsletters beginning fiscal year 2027.

**Sec. 222 was partially vetoed. See message at end of chapter.*

Sec. 223. 2025 c 424 s 223 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF HEALTH—HEALTH SCIENCES

General Fund—State Appropriation (FY 2026)	((\$25,569,000))
	<u>\$27,626,000</u>
General Fund—State Appropriation (FY 2027)	((\$26,432,000))
	<u>\$29,568,000</u>
General Fund—Federal Appropriation	((\$73,411,000))
	<u>\$75,235,000</u>
General Fund—Private/Local Appropriation	((\$44,311,000))
	<u>\$60,397,000</u>
Drinking Water Assistance Account—Federal	

1	Appropriation.	\$12,000
2	Biotoxin Account—State Appropriation.	((\$573,000))
3		<u>\$598,000</u>
4	Model Toxics Control Operating Account—State	
5	Appropriation.	((\$501,000))
6		<u>\$974,000</u>
7	Foundational Public Health Services Account—State	
8	Appropriation.	((\$60,000))
9		<u>\$56,000</u>
10	Opioid Abatement Settlement Account—State	
11	Appropriation.	((\$6,836,000))
12		<u>\$6,637,000</u>
13	Public Health Supplemental Account—Private/Local	
14	Appropriation.	\$83,000
15	TOTAL APPROPRIATION.	((\$177,788,000))
16		<u>\$201,186,000</u>

17 The appropriations in this section are subject to the following
18 conditions and limitations:

19 (1) \$85,000 of the general fund—state appropriation for fiscal
20 year 2026 and \$85,000 of the general fund—state appropriation for
21 fiscal year 2027 are provided solely for the department to pass-
22 through to a nonprofit Washington-based organization with expertise
23 in end-of-life care and in chapter 70.245 RCW (death with dignity
24 act), to provide training, outreach, and education to medical
25 professionals, hospice teams, and other Washingtonians, to support
26 the provision of care under chapter 70.245 RCW.

27 (2) \$36,000 of the general fund—state appropriation for fiscal
28 year 2026 and \$36,000 of the general fund—state appropriation for
29 fiscal year 2027 are provided solely for implementation of Substitute
30 Senate Bill No. 5163 (child fatalities). ~~((If the bill is not enacted
31 by June 30, 2025, the amounts provided in this subsection shall
32 lapse.))~~

33 (3) \$80,000 of the general fund—state appropriation for fiscal
34 year 2026 and \$18,000 of the general fund—state appropriation for
35 fiscal year 2027 are provided solely for implementation of Substitute
36 Senate Bill No. 5093 (pregnancy loss). ~~((If the bill is not enacted
37 by June 30, 2025, the amounts provided in this subsection shall
38 lapse.))~~

(4) \$76,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for implementation of Substitute Senate Bill No. 5030 (vital records access). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

(5) \$689,000 of the general fund—state appropriation for fiscal year 2026 and \$689,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the Snohomish county health department to:

(a) Maintain sexually transmitted infection clinical services at the Snohomish county health department and identify opportunities to expand sexual health services provided outside of clinical settings;

(b) Conduct research on opportunities to expand jail-based sexual health services;

(c) Maintain an epidemiology and technical team;

(d) Provide field-based treatment for syphilis; and

(e) Maintain an in-house comprehensive, culturally responsive sexual health clinic at the Snohomish county health department.

(6) \$5,909,000 of the opioid abatement settlement account—state appropriation is provided solely for the department to expand the distribution of naloxone through the department's overdose education and naloxone distribution program. Funding must be prioritized to fill naloxone access gaps in community behavioral health and other community settings, including providing naloxone to agency staff in organizations such as syringe service programs, housing providers, and street outreach programs.

Sec. 224. 2025 c 424 s 224 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF HEALTH—ENVIRONMENTAL PUBLIC HEALTH

General Fund—State Appropriation (FY 2026). ~~(((\$9,579,000))~~
\$12,382,000

General Fund—State Appropriation (FY 2027). ~~(((\$9,707,000))~~
\$10,907,000

General Fund—Federal Appropriation. ~~(((\$31,114,000))~~
\$31,845,000

General Fund—Private/Local Appropriation. ~~(((\$26,883,000))~~
\$32,666,000

Aquatic Lands Enhancement Account—State
Appropriation. ~~(((\$544,000))~~

1		\$546,000
2	((Opioid Abatement Settlement Account—State	
3	Appropriation.	\$9,000))
4	Safe Drinking Water Account—State Appropriation. . .	(((\$11,212,000))
5		<u>\$13,260,000</u>
6	Drinking Water Assistance Account—Federal	
7	Appropriation.	(((\$22,281,000))
8		<u>\$37,535,000</u>
9	Waterworks Operator Certification Account—State	
10	Appropriation.	(((\$2,432,000))
11		<u>\$2,893,000</u>
12	Drinking Water Assistance Administrative Account—	
13	State Appropriation.	(((\$1,988,000))
14		<u>\$2,016,000</u>
15	Site Closure Account—State Appropriation.	(((\$167,000))
16		<u>\$169,000</u>
17	Biotoxin Account—State Appropriation.	(((\$976,000))
18		<u>\$1,012,000</u>
19	Model Toxics Control Operating Account—State	
20	Appropriation.	(((\$9,522,000))
21		<u>\$9,264,000</u>
22	Climate Investment Account—State Appropriation.	(((\$561,000))
23		<u>\$607,000</u>
24	Climate Commitment Account—State Appropriation.	(((\$16,745,000))
25		<u>\$16,445,000</u>
26	Natural Climate Solutions Account—State	
27	Appropriation.	(((\$60,000))
28		<u>\$65,000</u>
29	Accident Account—State Appropriation.	(((\$327,000))
30		<u>\$332,000</u>
31	Medical Aid Account—State Appropriation.	(((\$52,000))
32		<u>\$55,000</u>
33	TOTAL APPROPRIATION.	(((\$144,159,000))
34		<u>\$171,999,000</u>

35 The appropriations in this section are subject to the following
36 conditions and limitations:

37 (1) \$416,000 of the general fund—state appropriation for fiscal
38 year 2026 ~~((and \$416,000 of the general fund—state appropriation for~~
39 ~~fiscal year 2027 are))~~ is provided solely for the department to

1 coordinate with local health jurisdictions to establish and maintain
2 comprehensive group B programs to ensure safe drinking water. These
3 funds shall be used for implementation costs, including continued
4 development and adoption of rules, policies, and procedures;
5 technical assistance; and training.

6 (2) \$157,000 of the general fund—state appropriation for fiscal
7 year 2026 and \$157,000 of the general fund—state appropriation for
8 fiscal year 2027 are provided solely for the department to test for
9 lead in child care facilities to prevent child lead exposure and to
10 research, identify, and connect facilities to financial resources
11 available for remediation costs.

12 (3) (a) (~~(\$4,000,000)~~) \$2,948,000 of the climate commitment
13 account—state appropriation is provided solely to support and
14 administer a workplace health and safety program for workers who are
15 affected by climate impacts, including but not limited to, extreme
16 heat and cold, wildfire smoke, drought, and flooding. This program
17 will focus on workplace health and safety for farmworkers,
18 construction workers, and other workers who face the most risk from
19 climate-related impacts. This amount shall be limited to supporting
20 vulnerable populations in overburdened communities under the climate
21 commitment act as defined in RCW 70A.65.010. Funding shall be
22 provided for:

23 (i) Pass through grants to community-based organizations, tribal
24 governments, and tribal organizations to support workplace health and
25 safety for workers who are burdened by the intersection of their work
26 and climate impacts; and

27 (ii) Procurement and distribution of equipment and resources for
28 workers who are burdened by the intersection of their work and
29 climate impacts directly by the department of health, or through
30 pass-through grants to community-based organizations, tribal
31 governments, and tribal organizations. Equipment and resources may
32 include but are not limited to: Personal protective equipment, other
33 protective or safety clothing for cold and heat, air purifiers for
34 the workplace or worker housing, protection from ticks and
35 mosquitoes, and heating and cooling devices.

36 (b) The department of health, in consultation with the
37 environmental justice council, community groups, and the department
38 of labor and industries, shall evaluate mechanisms to provide workers

1 with financial assistance to cover lost wages or other financial
2 hardships caused by extreme weather events and climate threats.

3 (c) No more than five percent of this funding may be used to
4 administer this grant program.

5 (4) \$5,264,000 of the drinking water assistance account—federal
6 appropriation is provided solely for the office of drinking water to
7 provide technical assistance, direct engineering support, and
8 construction management to small water systems.

9 (5) \$685,000 of the general fund—state appropriation for fiscal
10 year 2026 and \$685,000 of the general fund—state appropriation for
11 fiscal year 2027 are provided solely for the department to assist
12 with access to safe drinking water for homes and businesses with
13 individual wells or small water systems that are contaminated.

14 (6) \$1,690,000 of the model toxics control operating account—
15 state appropriation is provided solely to implement actions provided
16 in the nitrate water hazard mitigation plan to support safe drinking
17 water in the lower Yakima valley. Implementation of this plan
18 includes, but is not limited to, education and outreach, well
19 testing, and provision of alternate water supplies. The department
20 may contract with local governments, local health jurisdictions, and
21 nonprofit organizations to administer the plan.

22 (7) \$362,000 of the model toxics control operating account—state
23 appropriation is provided solely for continued implementation of
24 chapter 156, Laws of 2021 (risk-based water standards), to create
25 standards for developers seeking to reuse wastewater in buildings.

26 ~~((8) \$7,924,000 of the climate commitment account—state~~
27 ~~appropriation is provided solely for the department to implement the~~
28 ~~healthy environment for all act under chapter 70A.02 RCW, including~~
29 ~~additional staff and support for the environmental justice council~~
30 ~~and implementation of a community engagement plan.~~

31 ~~(9))~~ (8)(a) ((\$4,000,000)) \$3,816,000 of the climate commitment
32 account—state appropriation is provided solely for the department to
33 administer capacity grants to tribes and tribal organizations and to
34 overburdened communities and vulnerable populations to provide
35 guidance and input:

36 (i) To agencies and to the environmental justice council on
37 implementation of the healthy environment for all act; and

38 (ii) To the department on updates to the environmental health
39 disparities map.

(b) At least 50 percent of the total amount distributed for capacity grants in this subsection must be reserved for grants to tribes and tribal organizations.

(c) Funding provided in this subsection may be used for tribes and tribal organizations to hire staff or to contract with consultants to engage in updating the environmental health disparities map or on implementing the healthy environment for all act.

(d) The department may use a reasonable amount of funding provided in this subsection to administer the grants.

~~((11) \$382,000))~~ (9) \$333,000 of the climate commitment account—state appropriation is provided solely for one staff to lead cross agency coordination for wildfire and extreme heat emergency management.

~~((11) \$1,124,000 of the climate commitment account—state appropriation is provided solely to migrate, maintain, and continue community engagement to update the health disparities map and increase operating staff to complete environmental assessments.~~

~~(12))~~ (10) \$160,000 of the general fund—state appropriation for fiscal year 2026 and \$157,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of Engrossed Second Substitute House Bill No. 1232 (private detention facilities). ~~((If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.~~

~~(13) \$300,000))~~ (11) \$592,000 of the climate commitment account—state appropriation is provided solely for grants to King county to address the disproportionate rates of asthma among children who reside within 10 miles of the Seattle-Tacoma international airport by increasing access to community health worker asthma interventions.

(12) \$2,469,000 of the general fund—state appropriation for fiscal year 2026 and \$2,251,000 of the general fund—state appropriation for fiscal year 2027 are provided to implement recommendations from an independent analysis of the commercial shellfish program's fee structure by Greene economics published in 2025. Within the amounts provided in this subsection:

(a) Operation license fees in fiscal year 2026 shall be limited:

(i) For a harvester of two or fewer sites, the fee may not exceed \$263;

1 (ii) For a harvester of three or more sites, the fee may not
2 exceed \$523;

3 (iii) For a shellstock shipper operating two or fewer sites on 49
4 acres or less, the fee may not exceed \$297;

5 (iv) For a shellstock shipper operating three or more sites on 49
6 acres or less, the fee may not exceed \$1,280;

7 (v) For a shellstock shipper operating on 50 or more acres, the
8 fee may not exceed \$1,280;

9 (vi) For a wholesale shellstock shipper operating on 49 acres or
10 less, the fee may not exceed \$1,198;

11 (vii) For a wholesale shellstock shipper operating on a
12 department of natural resources tract, the fee may not exceed \$1,089;

13 (viii) For a shucker-packer plant of less than 2,000 square feet
14 with:

15 (A) Two or fewer sites, the fee may not exceed \$542; or

16 (B) Three or more sites, the fee may not exceed \$3,354;

17 (ix) For a shucker-packer plant between 2,000 and 5,000 square
18 feet with:

19 (A) Two or fewer sites, the fee may not exceed \$2,868; or

20 (B) Three or more sites, the fee may not exceed \$3,387; and

21 (x) For a shucker-packer plant of more than 5,000 square feet,
22 the fee may not exceed \$2,868.

23 (b) Operation license fees in fiscal year 2027 shall be limited:

24 (i) For a harvester of two or fewer sites, the fee may not exceed
25 \$518;

26 (ii) For a harvester of three or more sites, the fee may not
27 exceed \$1,046;

28 (iii) For a shellstock shipper operating two or fewer sites on 49
29 acres or less, the fee may not exceed \$1,191;

30 (iv) For a shellstock shipper operating three or more sites on 49
31 acres or less, the fee may not exceed \$2,561;

32 (v) For a shellstock shipper operating on 50 or more acres, the
33 fee may not exceed \$2,560;

34 (vi) For a wholesale shellstock shipper operating on 49 acres or
35 less, the fee may not exceed \$2,396;

36 (vii) For a wholesale shellstock shipper operating on a
37 department of natural resources tract, the fee may not exceed \$2,178;

38 (viii) For a shucker-packer plant of less than 2,000 square feet
39 with:

40 (A) Two or fewer sites, the fee may not exceed \$2,698; or

(B) Three or more sites, the fee may not exceed \$6,709;
(ix) For a shucker-packer plant between 2,000 and 5,000 square feet with:

(A) Two or fewer sites, the fee may not exceed \$5,737; or
(B) Three or more sites, the fee may not exceed \$6,775; and
(x) For a shucker-packer plant of more than 5,000 square feet, the fee may not exceed \$5,737.

(c) The department may not charge a fee for biotoxin testing and geoduck paralytic shellfish testing services beginning in fiscal year 2027.

(d) The department must provide refunds for fees paid between February 1, 2026, and June 30, 2026, in excess of the fee limits established in (a) of this subsection.

(e) Funding is provided for inspection and licensing services provided to tribal treaty or individual treaty shellfishing operations pursuant to the shellfish sanitation consent decree of 1994.

(f) By June 30, 2027, in accordance with RCW 43.01.036, the department must submit a report to the appropriate policy and fiscal committees of the legislature and the governor, including an analysis of possible fee amounts and structures while adhering to RCW 43.70.250 and 43.70.110, including:

(i) Alternative licensing and fee structures that alleviate strain on small commercial shellfish businesses; and

(ii) An analysis of approximate fee levels, impacts to program costs, and timeline for implementation for each structure identified under (f) (i) of this subsection.

(13) \$39,000 of the general fund—state appropriation for fiscal year 2026 and \$39,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for a rural wastewater pilot in Island county to implement findings from a 2023 study to identify regulatory barriers and recommendations. The county and department will collaboratively develop a quality assurance plan, inclusive of monitoring protocols and technical standards, to inform regulation.

***Sec. 225.** 2025 c 424 s 225 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF HEALTH—HEALTH SYSTEMS QUALITY ASSURANCE

General Fund—State Appropriation (FY 2026). ((~~\$17,222,000~~))

1		<u>\$15,169,000</u>
2	General Fund—State Appropriation (FY 2027)	((\$16,432,000))
3		<u>\$10,903,000</u>
4	General Fund—Federal Appropriation.	((\$13,994,000))
5		<u>\$14,942,000</u>
6	General Fund—Private/Local Appropriation.	((\$38,997,000))
7		<u>\$46,992,000</u>
8	Dedicated Cannabis Account—State Appropriation	
9	(FY 2026)	((\$1,038,000))
10		<u>\$1,043,000</u>
11	Dedicated Cannabis Account—State Appropriation	
12	(FY 2027)	((\$1,062,000))
13		<u>\$1,071,000</u>
14	Hospital Data Collection Account—State Appropriation. . .	((\$502,000))
15		<u>\$822,000</u>
16	Health Professions Account—State Appropriation. . .	((\$167,775,000))
17		<u>\$185,210,000</u>
18	Emergency Medical Services and Trauma Care Systems	
19	Trust Account—State Appropriation.	((\$8,603,000))
20		<u>\$10,858,000</u>
21	Medicaid Fraud Penalty Account—State Appropriation. . . .	((\$23,000))
22		<u>\$1,936,000</u>
23	Medical Test Site Licensure Account—State	
24	Appropriation.	((\$4,446,000))
25		<u>\$4,837,000</u>
26	Opioid Abatement Settlement Account—State	
27	Appropriation.	((\$41,000))
28		<u>\$1,425,000</u>
29	Secure Drug Take-Back Program Account—State	
30	Appropriation.	((\$1,117,000))
31		<u>\$1,137,000</u>
32	((Public Health Supplemental Account—State	
33	Appropriation.	\$288,000))
34	Public Health Supplemental Account—Private/Local	
35	Appropriation.	((\$197,000))
36		<u>\$485,000</u>
37	TOTAL APPROPRIATION.	((\$271,737,000))
38		<u>\$296,830,000</u>

1 The appropriations in this section are subject to the following
2 conditions and limitations:

3 (1) Within amounts appropriated in this section, the Washington
4 board of nursing must hire sufficient staff to process applications
5 for nursing licenses so that the time required for processing does
6 not exceed seven days.

7 (2) (~~(\$1,793,000)~~) \$1,709,000 of the general fund—state
8 appropriation for fiscal year 2026 and \$1,793,000 of the (~~general~~
9 ~~fund—state appropriation for fiscal year 2027~~) medicaid fraud
10 penalty account—state appropriation are provided solely for the
11 ongoing operations and maintenance of the prescription monitoring
12 program maintained by the department.

13 (3) \$1,908,000 of the health professions account—state
14 appropriation is provided solely for the Washington board of nursing
15 for nursing licensure and other regulatory activities.

16 (4) \$2,107,000 of the health professions account—state
17 appropriation is provided solely for implementing improvements to
18 licensure processes. Improvements may include, but are not limited
19 to, updating internal policies and procedures, creating web-based
20 tutorials for applicants, updating existing web content for
21 applicants, and researching the feasibility of live chat technology
22 for applicants. In identifying and implementing improvements, the
23 department shall document and incorporate feedback from licensed
24 professionals and utilize continuous quality improvement
25 methodologies.

26 (5) \$127,000 of the general fund—state appropriation for fiscal
27 year 2026 and \$127,000 of the general fund—state appropriation for
28 fiscal year 2027 are provided solely for the midwifery licensure and
29 regulatory program to supplement revenue from fees. The department
30 shall charge no more than \$525 annually for new or renewed licenses
31 for the midwifery program.

32 (6) (~~(\$493,000 of the general fund—state appropriation for fiscal~~
33 ~~year 2026 and \$493,000 of the general fund—state appropriation for~~
34 ~~fiscal year 2027 are)~~) \$986,000 of the emergency medical services and
35 trauma care systems trust account—state appropriation is provided
36 solely for three full-time emergency medical technicians and other
37 resources necessary for the Franklin county public hospital district
38 #1 to provide health services as part of medical transport operations
39 services, including services to the Coyote Ridge corrections center.

1 (7) (a) \$1,260,000 of the health professions account—state
2 appropriation is provided solely for the Washington board of nursing
3 to continue to implement virtual nursing assistant training and
4 testing modalities, create an apprenticeship pathway into nursing for
5 nursing assistants, implement rule changes to support a career path
6 for nursing assistants, and collaborate with the workforce training
7 and education coordinating board on a pilot project to transform the
8 culture and practice in long term care settings. The goal of these
9 activities is to expand the nursing workforce for long term care
10 settings.

11 (b) The department must submit a preliminary report regarding the
12 pilot project by September 1, 2025, to the fiscal committees of the
13 legislature regarding:

14 (i) The pilot project, including:

15 (A) Performance metrics and baseline data;

16 (B) Targeted areas for change;

17 (C) Current and planned efforts to address targeted areas;

18 (D) An implementation plan, barriers to implementation, and
19 strategies to address barriers;

20 (E) Nurse participant data; and

21 (F) Anticipated impacts to culture and practices in long term
22 care settings; and

23 (ii) Apprenticeship pathways, including:

24 (A) Performance metrics and baseline data;

25 (B) Targeted areas for change;

26 (C) Current and planned efforts to address targeted areas;

27 (D) An implementation plan, barriers to implementation, and
28 strategies to address barriers;

29 (E) Recruitment strategies; and

30 (F) Nurse participation data, including nurse assistants
31 recruited, participating, and advancing to apprenticeship programs.

32 (c) By September 1, 2026, the department must submit a report to
33 the fiscal committees of the legislature detailing:

34 (i) Progress towards meeting performance metrics;

35 (ii) Completed efforts to address targeted areas;

36 (iii) The work conducted to meet the outlined objectives in this
37 subsection;

38 (iv) The rules that have been updated and amended to support a
39 career path for nursing assistants;

1 (v) The number of participating nurses in the apprenticeship
2 program and current recruiting practices;

3 (vi) A status update on the implementation of the virtual
4 training and testing modalities; and

5 (vii) Any changes to the nursing workforce for long term care
6 settings.

7 (8) \$646,000 of the health professions account—state
8 appropriation is provided solely for ongoing maintenance of the
9 HEALWA web portal to provide access to health information for health
10 care providers.

11 (9) \$219,000 of the health professions account—state
12 appropriation is provided solely for implementation of House Bill No.
13 1114 (respiratory care compact). ~~((If the bill is not enacted by June
14 30, 2025, the amount provided in this subsection shall lapse.))~~

15 (10) \$25,000 of the health professions account—state
16 appropriation is provided solely for implementation of Substitute
17 House Bill No. 1142 (in-home care training). ~~((If the bill is not
18 enacted by June 30, 2025, the amount provided in this subsection
19 shall lapse.))~~

20 (11) \$155,000 of the health professions account—state
21 appropriation is provided solely for implementation of House Bill No.
22 1190 (UW health sciences library). ~~((If the bill is not enacted by
23 June 30, 2025, the amount provided in this subsection shall lapse.))~~

24 (12) \$25,000 of the health professions account—state
25 appropriation is provided solely for implementation of Substitute
26 House Bill No. 1720 (community care/Rx assistance). ~~((If the bill is
27 not enacted by June 30, 2025, the amount provided in this subsection
28 shall lapse.))~~

29 (13) \$25,000 of the general fund—state appropriation for fiscal
30 year 2026 is provided solely for implementation of House Bill No.
31 1722 (secondary career education). ~~((If the bill is not enacted by
32 June 30, 2025, the amount provided in this subsection shall lapse.))~~

33 (14) \$25,000 of the general fund—state appropriation for fiscal
34 year 2026 and \$14,000 of the general fund—state appropriation for
35 fiscal year 2027 are provided solely for implementation of Substitute
36 House Bill No. 1824 (accredited birthing centers). ~~((If the bill is
37 not enacted by June 30, 2025, the amounts provided in this subsection
38 shall lapse.))~~

1 (15) \$161,000 of the general fund—state appropriation for fiscal
2 year 2026 and \$159,000 of the general fund—state appropriation for
3 fiscal year 2027 are provided solely for implementation of Engrossed
4 Second Substitute House Bill No. 1686 (health care entity registry).
5 ~~((If the bill is not enacted by June 30, 2025, the amounts provided~~
6 ~~in this subsection shall lapse.))~~

7 (16) \$2,955,000 of the general fund—state appropriation for
8 fiscal year 2026 and ~~((\$2,955,000))~~ \$1,476,000 of the general fund—
9 state appropriation for fiscal year 2027 are provided solely for the
10 Washington board of nursing to manage a grant process to incentivize
11 nurses to supervise nursing students in health care settings. The
12 goal of the grant program is to create more clinical placements for
13 nursing students to complete required clinical hours to earn their
14 nursing degree and related licensure.

15 ~~(((18)))~~ (17) \$25,000 of the general fund—state appropriation for
16 fiscal year 2026 is provided solely for the doula licensure and
17 regulatory program to supplement revenue from fees.

18 ~~(((19)))~~ (18) \$515,000 of the general fund—state appropriation
19 for fiscal year 2026 and \$507,000 of the general fund—state
20 appropriation for fiscal year 2027 are provided solely for
21 implementation of Substitute Senate Bill No. 5388 (DOC behavioral
22 health cert.). ~~((If the bill is not enacted by June 30, 2025, the~~
23 ~~amount provided in this subsection shall lapse.~~

24 ~~((20)))~~ (19) \$25,000 of the health professions account—state
25 appropriation is provided solely for implementation of Senate Bill
26 No. 5672 (home care aide certification). ~~((If the bill is not enacted~~
27 ~~by June 30, 2025, the amount provided in this subsection shall lapse.~~

28 ~~((21)))~~ (20) \$25,000 of the general fund—state appropriation for
29 fiscal year 2026 and \$67,000 of the general fund—state appropriation
30 for fiscal year 2027 are provided solely for implementation of
31 Substitute Senate Bill No. 5493 (hospital price transparency). ~~((If~~
32 ~~the bill is not enacted by June 30, 2025, the amounts provided in~~
33 ~~this subsection shall lapse.~~

34 ~~((22)))~~ (21) \$25,000 of the general fund—state appropriation for
35 fiscal year 2026 is provided solely for implementation of Engrossed
36 Substitute Senate Bill No. 5557 (pregnancy/emerg. treatment). ~~((If~~
37 ~~the bill is not enacted by June 30, 2025, the amount provided in this~~
38 ~~subsection shall lapse.~~

1 ~~(23))~~ (22) \$52,000 of the general fund—private/local
2 appropriation is provided solely for implementation of Substitute
3 Senate Bill No. 5568 (state health plan). ~~((If the bill is not~~
4 ~~enacted by June 30, 2025, the amount provided in this subsection~~
5 ~~shall lapse.~~

6 ~~(24))~~ (23) \$191,000 of the general fund—state appropriation for
7 fiscal year 2026, \$188,000 of the general fund—private/local
8 appropriation, and \$214,000 of the health professions account—state
9 appropriation are provided solely for implementation of Substitute
10 Senate Bill No. 5579 (health/contract terminations). ~~((If the bill is~~
11 ~~not enacted by June 30, 2025, the amounts provided in this subsection~~
12 ~~shall lapse.~~

13 ~~(25))~~ (24) For the 2025-2027 fiscal biennium, the department
14 shall exempt a hospital located in Burien, Washington that serves 23
15 percent medicaid patients from the certificate of need requirement
16 under chapter 70.38 RCW for elective percutaneous coronary
17 interventions.

18 ~~((26))~~ (25) \$42,000 of the general fund—state appropriation for
19 fiscal year 2026 and \$42,000 of the general fund—state appropriation
20 for fiscal year 2027 are provided solely for continuation of the
21 rural nursing education program to allow students to remain in rural
22 environments while working towards nursing credentials for the
23 purposes of increasing the nursing workforce in rural critical access
24 hospitals. With the amounts provided, the department shall provide
25 support services to an eight student cohort, which may include
26 tuition vouchers and travel assistance.

27 (26) Within existing resources, the department must submit a
28 report by September 30, 2026, to the governor and legislature
29 regarding an equitable alternative fee structure for the health
30 professions licensing program. The department must:

31 (a) Review the department's current health professions licensing
32 and regulatory costs and the department's methodology for setting
33 fees;

34 (b) Consider relevant fees and methods from other states with
35 comparable licensing and regulatory programs;

36 (c) Include analysis and recommendations on alternative methods,
37 including recommendations to distribute the fee burden more equitably
38 across professions; and

1 (d) Provide estimated costs associated with any recommended
2 alternative methods.

3 (27) Within existing resources, the department shall participate
4 in the advisory group for the behavioral health facilities program
5 referenced in chapter 474, Laws of 2023 and chapter 414, Laws of
6 2025. Responsibilities of the department include:

7 (a) Attend monthly advisory group meetings;

8 (b) Designate subject matter experts to provide input and
9 technical assistance in developing program guidelines, notices of
10 funding availability, and application questions;

11 (c) Designate subject matter experts to serve as application
12 reviewers including scoring applications and making recommendations
13 on funding decisions; and

14 (d) Provide guidance, technical assistance, and training related
15 to behavioral health facility development, behavioral health service
16 modalities, unmet demand for different types of behavioral health
17 facilities and services, insurance, and other programmatic issues.

18 (28) \$1,022,000 of the opioid abatement settlement account—state
19 appropriation is provided solely for implementation of Senate Bill
20 No. 5988 (opioid treatment prg. fees). If the bill is not enacted by
21 June 30, 2026, the amount provided in this subsection shall lapse.

22 **(29) \$42,000 of the general fund—state appropriation for fiscal**
23 **year 2027 is provided solely for implementation of Engrossed**
24 **Substitute House Bill No. 2168 (overdose mapping information). If the**
25 **bill is not enacted by June 30, 2026, the amount provided in this**
26 **subsection shall lapse.**

27 (30) \$44,000 of the health professions account—state
28 appropriation is provided solely for implementation of Substitute
29 Senate Bill No. 5185 (international med. pathways). If the bill is
30 not enacted by June 30, 2026, the amount provided in this subsection
31 shall lapse.

32 (31) \$25,000 of the general fund—state appropriation for fiscal
33 year 2027 is provided solely for implementation of Engrossed
34 Substitute House Bill No. 1187 (delayed ambulance bills). If the bill
35 is not enacted by June 30, 2026, the amount provided in this
36 subsection shall lapse.

37 (32) \$75,000 of the health professions account—state
38 appropriation is provided solely for the rule making costs necessary
39 to implement Substitute House Bill No. 2088 (dietitian licensure

compact), House Bill No. 2113 (radiologic technologists), and Substitute House Bill No. 2363 (music therapy exemptions). If none of the bills identified in this subsection are enacted by June 30, 2026, the amounts provided in this subsection shall lapse.

(33) \$79,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for implementation of House Bill No. 2540 (EMT recertification). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(34) During the 2025-2027 fiscal biennium, the department shall charge no more than \$998 annually for new or renewed licenses for birthing centers as defined in RCW 18.46.010.

(35) \$89,000 of the health professions account—state appropriation is provided solely for implementation of Engrossed Substitute House Bill No. 2247 (veterinarian relationships). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(36) Within amounts appropriated in this section, the department shall take actions in response to recommendations from the joint legislative audit and review committee's 2025 audit of hospital inspection timeliness, data reporting, and related oversight activities. The department's actions may include, but are not limited to, addressing overdue inspections, improving oversight of third-party accreditation and inspection processes, enhancing performance monitoring, improving compliance intake and language access, and identifying funding options for the adverse event program and hospital financial data reporting. The department shall provide an update to the appropriate fiscal and policy committees of the legislature by November 1, 2026, describing progress toward improving hospital inspection timeliness, key milestones achieved, and anticipated next steps.

(37) During the 2025-2027 fiscal biennium, the pharmacy quality assurance commission shall not implement any new or amended rules pertaining to alternative distribution models until legislative direction and authority has been granted, and the rules and a final cost estimate have been presented to the legislature, and the legislature has formally funded implementation of the rules through the omnibus appropriations act or by statute.

****Sec. 225 was partially vetoed. See message at end of chapter.***

*Sec. 226. 2025 c 424 s 226 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF HEALTH—PREVENTION AND COMMUNITY HEALTH

General Fund—State Appropriation (FY 2026)	((\$45,021,000))
	<u>\$49,067,000</u>
General Fund—State Appropriation (FY 2027)	((\$44,830,000))
	<u>\$46,488,000</u>
General Fund—Federal Appropriation	((\$395,004,000))
	<u>\$399,732,000</u>
General Fund—Private/Local Appropriation	((\$63,257,000))
	<u>\$63,313,000</u>
Dedicated Cannabis Account—State Appropriation (FY 2026)	((\$11,268,000))
	<u>\$11,295,000</u>
Dedicated Cannabis Account—State Appropriation (FY 2027)	((\$11,629,000))
	<u>\$11,616,000</u>
<u>Abortion Savings Account—State Appropriation</u>	<u>\$9,855,000</u>
Youth Tobacco and Vapor Products Prevention Account— State Appropriation	((\$2,767,000))
	<u>\$2,779,000</u>
Statewide 988 Behavioral Health Crisis Response Line Account—State Appropriation	((\$51,907,000))
	<u>\$60,681,000</u>
Opioid Abatement Settlement Account—State Appropriation	((\$3,639,000))
	<u>\$349,000</u>
Public Health Supplemental Account—Private/Local Appropriation	((\$3,087,000))
	<u>\$6,046,000</u>
TOTAL APPROPRIATION	((\$632,409,000))
	<u>\$661,221,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) ~~((~~\$1,914,000~~ of the general fund state appropriation for fiscal year 2026 and \$1,914,000 of the general fund state appropriation for fiscal year 2027 are provided solely for:~~

~~(a) Staffing by the department, the department of veterans affairs, and the department of corrections to expand statewide~~

1 suicide prevention efforts, which efforts include suicide prevention
2 efforts for military service members and veterans and incarcerated
3 persons;

4 (b) A suicide prevention public awareness campaign to provide
5 education regarding the signs of suicide, interventions, and
6 resources for support;

7 (c) Staffing for call centers to support the increased volume of
8 calls to suicide hotlines;

9 (d) Training for first responders to identify and respond to
10 individuals experiencing suicidal ideation;

11 (e) Support for tribal suicide prevention efforts;

12 (f) Strengthening behavioral health and suicide prevention
13 efforts in the agricultural sector;

14 (g) Support for the three priority areas of the governor's
15 challenge regarding identifying suicide risk among service members
16 and their families, increasing the awareness of resources available
17 to service members and their families, and lethal means safety
18 planning;

19 (h) Training for community health workers to include culturally
20 informed training for suicide prevention;

21 (i) Coordination with the office of the superintendent of public
22 instruction;

23 (j) Support for the suicide prevention initiative housed in the
24 University of Washington; and

25 (k) By December 1, 2025, an updated suicide prevention plan, to
26 include a report on completed activities, planned activities, and
27 outcomes from implementation, which shall include, but not be limited
28 to:

29 (i) Trends in suicide among service members, agricultural
30 workers, youth, and incarcerated persons;

31 (ii) Outcomes of implemented public awareness campaigns; and

32 (iii) Outcomes of trainings with first responders, including the
33 number of trainings.)) \$4,034,000 of the general fund—state
34 appropriation for fiscal year 2026 and \$4,613,000 of the general fund
35 —state appropriation for fiscal year 2027 are provided solely for
36 suicide prevention at the department.

37 (a) Suicide prevention activities may include:

38 (i) Staffing by the department, the department of veterans
39 affairs, and the department of corrections to expand statewide

1 suicide prevention efforts, including suicide prevention efforts for
2 military service members, veterans, and incarcerated persons;

3 (ii) Support for the three priority areas of the governor's
4 challenge regarding identifying suicide risk among service members
5 and their families, increasing the awareness of resources available
6 to service members and their families, and lethal means safety
7 planning;

8 (iii) Training for first responders to identify and respond to
9 individuals experiencing suicidal ideation;

10 (iv) Support for tribal suicide prevention efforts, including
11 providing support to tribes in developing and implementing culturally
12 appropriate, evidence-based programs and tribal best practices to
13 support youth and adults;

14 (v) Strengthening behavioral health and suicide prevention
15 efforts in the agricultural sector, including implementing
16 recommendations of the agricultural industry task force;

17 (vi) Training for community health workers to include culturally
18 informed training for suicide prevention;

19 (vii) Developing continuing education for mental health
20 professionals and partnering with agencies and organizations serving
21 high-risk populations;

22 (viii) Coordination with the office of the superintendent of
23 public instruction;

24 (ix) Support for the suicide prevention initiative housed in the
25 University of Washington;

26 (x) Developing and implementing postvention aftercare programs;
27 and

28 (xi) Creating a safer homes community campaign on suicide
29 prevention.

30 (b) Within the amounts provided in this subsection, \$1,098,000 of
31 the general fund—state appropriation for fiscal year 2026 and
32 \$1,008,000 of the general fund—state appropriation for fiscal year
33 2027 are provided solely for the department to coordinate and lead a
34 multi-agency approach to youth suicide prevention and intervention.

35 (c) By December 1, 2026, the department must provide to the
36 appropriate policy and fiscal committees of the legislature a report
37 on completed activities, planned activities, outcomes from
38 implementation, and recommendations for future funding, which must
39 include, but not be limited to:

1 (i) Trends in suicide among service members, agricultural
2 workers, youth, and incarcerated persons;
3 (ii) Outcomes of implemented public awareness campaigns;
4 (iii) Outcomes of trainings with first responders, including the
5 number of trainings; and
6 (iv) Recommendations on how future funding can be used to improve
7 outcomes related to suicide prevention.

8 (2) \$1,477,000 of the general fund—state appropriation for fiscal
9 year 2026 and \$1,477,000 of the general fund—state appropriation for
10 fiscal year 2027 are provided solely for the fruit and vegetable
11 incentives program.

12 (3) ~~((~~\$3,834,000~~))~~ \$3,802,000 of the general fund—state
13 appropriation for fiscal year 2026 and \$3,834,000 of the general fund
14 —state appropriation for fiscal year 2027 are provided solely for the
15 department to provide grants to support school-based health centers
16 and behavioral health services. The department must develop a plan
17 for the school-based health centers to become financially self-
18 sufficient.

19 ~~(4) ((~~\$1,098,000~~ of the general fund state appropriation for~~
20 ~~fiscal year 2026 and ~~\$1,098,000~~ of the general fund state~~
21 ~~appropriation for fiscal year 2027 are provided solely for the~~
22 ~~department to coordinate and lead a multi-agency approach to youth~~
23 ~~suicide prevention and intervention.~~

24 ~~(5) \$1,690,000 of the opioid abatement settlement account state~~
25 ~~appropriation is provided solely for prevention, treatment, and~~
26 ~~recovery support services to remediate the impacts of the opioid~~
27 ~~epidemic. This funding must be used consistent with conditions of the~~
28 ~~opioid settlement agreements that direct how funds deposited into the~~
29 ~~opioid abatement settlement account created in RCW 43.79.483 must be~~
30 ~~used.~~

31 ~~(6) —~~\$3,500,000~~))~~ \$7,735,000 of the general fund—state
32 appropriation for fiscal year 2026 and ~~((~~\$3,500,000~~))~~ \$7,735,000 of
33 the general fund—state appropriation for fiscal year 2027 are
34 provided solely for programs and grants to maintain access to
35 abortion care, including but not limited to staffing at the
36 department and grants to providers of abortion care to fund abortion
37 care, workforce retention and recruitment initiatives to ensure
38 continuity of care, training, outreach, and security investments.

1 ~~((7))~~ ~~\$513,000~~) (5) \$463,000 of the general fund—state
2 appropriation for fiscal year 2026 and \$513,000 of the general fund—
3 state appropriation for fiscal year 2027 are provided solely for the
4 early hearing detection, diagnosis, and intervention program.

5 ~~((8))~~ (6) \$972,000 of the general fund—state appropriation for
6 fiscal year 2026 and ~~((972,000 of the general fund state~~
7 ~~appropriation for fiscal year 2027))~~ \$2,913,000 of the public health
8 supplemental account—private/local appropriation are provided solely
9 for the department to expand the birth equity project with the goal
10 of reducing prenatal and perinatal health disparities.

11 ~~((9))~~ (7) \$2,112,000 of the general fund—state appropriation
12 for fiscal year 2026 and \$2,112,000 of the general fund—state
13 appropriation for fiscal year 2027 are provided solely for tobacco,
14 vapor product, and nicotine control, cessation, treatment, and
15 prevention, and other substance use prevention and education, with an
16 emphasis on community-based strategies. These strategies must include
17 programs that consider the disparate impacts of nicotine,
18 specifically flavored nicotine products, addiction on specific
19 populations, including youth, and racial or other disparities.

20 ~~((10))~~ (8) \$257,000 of the general fund—state appropriation for
21 fiscal year 2026 ~~((and \$257,000 of the general fund state~~
22 ~~appropriation for fiscal year 2027 are))~~ is provided solely to
23 support health equity zones, as defined in RCW 43.70.595, in
24 identification and implementation of targeted interventions to have a
25 significant impact on health outcomes and health disparities.

26 ~~((11))~~ (9) \$3,579,000 of the statewide 988 behavioral health
27 crisis response line account—state appropriation is provided solely
28 for behavioral crisis coordination.

29 ~~((12))~~ (10) \$369,000 of the general fund—state appropriation
30 for fiscal year 2026 is provided solely as pass-through funding to an
31 organization that specializes in culturally relevant sports programs
32 for indigenous children and adolescents, with the goal of keeping at-
33 risk youth out of the juvenile justice system.

34 ~~((13))~~ ~~\$2,662,000 of the opioid abatement settlement account—~~
35 ~~state appropriation is provided solely to launch a tele-buprenorphine~~
36 ~~hotline that facilitates access to medications for opioid use~~
37 ~~disorder. This funding must be used consistent with conditions of the~~
38 ~~opioid settlement agreements that direct how funds deposited into the~~

~~opioid abatement settlement account created in RCW 43.79.483 must be used.~~

~~((14))~~ (11) \$346,000 of the opioid abatement settlement account—state appropriation is provided solely for perinatal opioid use disorder information and services. This funding must be used consistent with conditions of the opioid settlement agreements that direct how funds deposited into the opioid abatement settlement account created in RCW 43.79.483 must be used.

~~((15))~~ (12) \$182,000 of the general fund—state appropriation for fiscal year 2026 and \$266,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the department to operate the universal development screening system.

~~((17))~~ (13) \$1,035,000 of the general fund—state appropriation for fiscal year 2026 and \$1,035,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the Washington poison center. This funding is provided in addition to funding pursuant to RCW 69.50.540.

~~((18))~~ (14) \$72,000 of the general fund—state appropriation for fiscal year 2026 and \$72,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for maintenance of the community health worker platform and continued implementation of the community health worker trainings in the pediatric setting for children with behavioral health needs.

~~((19))~~ (15) \$211,000 of the general fund—state appropriation for fiscal year 2026 and \$211,000 of the general fund—state appropriation for fiscal year 2027 are provided solely to implement the recommendations from the community health workers task force to provide statewide leadership, training, and integration of community health workers with insurers, health care providers, and public health systems.

~~((20))~~ ~~\$6,895,000 of the opioid abatement settlement account—state appropriation is provided solely for the department to expand the distribution of naloxone through the department's overdose education and naloxone distribution program. Funding must be prioritized to fill naloxone access gaps in community behavioral health and other community settings, including providing naloxone to first responders and agency staff in organizations such as syringe service programs, house providers, and street outreach programs.~~

~~(21)(a) \$1,042,000 of the statewide 988 behavioral health crisis response line account state appropriation is provided solely for the planning phase of the 988 technology platform implementation project.~~

~~(b) The department must actively collaborate with Washington technology solutions and the health care authority so that the statewide 988 technology solutions will be coordinated and interoperable.~~

~~(c) By October 1, 2025, the department must provide an update to legislative fiscal committees with the following details:~~

~~(i) An identified technology solution, with a list of functionalities and the statutory requirement met by each functionality;~~

~~(ii) Software, processes, and methods currently used by call centers and designated 988 contact hubs that the proposed technology platform would replace;~~

~~(iii) The number of call centers and designated 988 contact hubs planning to transition all work processes to the proposed technology platform; and~~

~~(iv) Identified risks and changes to the schedule and scope of the project.~~

~~(d) These amounts are subject to the conditions, limitations, and review requirements provided in section 701 of this act.~~

~~(22)) (16) \$26,000 of the general fund—state appropriation for fiscal year 2026 and \$26,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of Substitute Senate Bill No. 5163 (child fatalities). ((If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.~~

~~(23)) (17) \$55,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for implementation of Substitute Senate Bill No. 5214 (mobile markets). ((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.~~

~~(24) \$689,000 of the general fund—state appropriation for fiscal year 2026 and \$689,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the Snohomish county health department to:~~

~~(a) Maintain sexually transmitted infection clinical services at the Snohomish county health department and identify opportunities to expand sexual health services provided outside of clinical settings;~~

1 ~~(b) Conduct research on opportunities to expand jail-based sexual~~
2 ~~health services;~~
3 ~~(c) Maintain an epidemiology and technical team;~~
4 ~~(d) Provide field-based treatment for syphilis; and~~
5 ~~(e) Maintain an in-house comprehensive, culturally responsive~~
6 ~~sexual health clinic at the Snohomish county health department.))~~

7 (18) \$1,200,000 of the statewide 988 behavioral health crisis
8 response line account—state appropriation is provided solely for
9 contracting with an organization that has expertise in providing
10 culturally competent suicide prevention services to lesbian, gay,
11 bisexual, transgender, and other sexual and gender minority youth and
12 young adults to collaborate with designated 988 contact hubs in
13 providing crisis response, crisis intervention, and suicide
14 prevention services. These services may include, but not be limited
15 to, responding to calls, chats, and texts to the 988 crisis hotline
16 and coordinating follow-up services. Of the amounts provided, the
17 department must make \$300,000 available to each designated 988
18 contact hub. The department may not use any of the provided funding
19 for administrative, overhead, agency staffing, or indirect costs.

20 (19) \$9,855,000 of the abortion savings account—state
21 appropriation is provided solely for implementation of Second
22 Substitute Senate Bill No. 6182 (abortion savings program). If the
23 bill is not enacted by June 30, 2026, the amount provided in this
24 subsection shall lapse.

25 (20) \$246,000 of the general fund—state appropriation for fiscal
26 year 2026 and \$246,000 of the general fund—state appropriation for
27 fiscal year 2027 are provided solely for the department to contract
28 with the University of Washington's Harborview abuse and trauma
29 center for the sexual assault nurse examiner training program, which
30 includes expanding virtual training modules, access to forensic
31 sexual assault examinations, and access to services for victims of
32 sexual assault.

**Sec. 226 was partially vetoed. See message at end of chapter.*

33 **Sec. 227.** 2025 c 424 s 227 (uncodified) is amended to read as
34 follows:

35 **FOR THE DEPARTMENT OF HEALTH—STATE BOARD OF HEALTH**

36 General Fund—State Appropriation (FY 2026). ((\$1,711,000))
37 \$1,767,000

General Fund—State Appropriation (FY 2027). (~~(\$1,604,000)~~)
\$1,664,000
TOTAL APPROPRIATION. (~~(\$3,315,000)~~)
\$3,431,000

The appropriations in this section are subject to the following conditions and limitations: \$124,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for implementation of Engrossed Substitute House Bill No. 1946 (local board of health/tribes). (~~(If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.)~~)

Sec. 228. 2025 c 424 s 228 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF HEALTH—RESILIENCY AND HEALTH SECURITY

General Fund—State Appropriation (FY 2026). \$4,916,000
General Fund—State Appropriation (FY 2027). (~~(\$4,873,000)~~)
\$4,827,000
General Fund—Federal Appropriation. (~~(\$35,149,000)~~)
\$35,455,000
General Fund—Private/Local Appropriation. \$257,000
TOTAL APPROPRIATION. (~~(\$44,938,000)~~)
\$45,455,000

The appropriations in this section are subject to the following conditions and limitations: \$4,916,000 of the general fund—state appropriation for fiscal year 2026 and (~~(\$4,873,000)~~) \$4,827,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for operation of the statewide medical logistics center. Within these amounts, the department must coordinate with the department of social and health services to develop processes that will minimize the disposal and destruction of personal protective equipment and for interagency distribution of personal protective equipment. It is the intent of the legislature to end funding for the statewide medical logistics center after the end of the lease in effect during the 2025-2027 fiscal biennium.

Sec. 229. 2025 c 424 s 229 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF HEALTH—HEALTH DATA AND PLANNING

1	General Fund—State Appropriation (FY 2026)	((\$3,473,000))
2		<u>\$4,339,000</u>
3	General Fund—State Appropriation (FY 2027)	((\$3,913,000))
4		<u>\$4,419,000</u>
5	General Fund—Federal Appropriation.	((\$7,148,000))
6		<u>\$7,500,000</u>
7	General Fund—Private/Local Appropriation.	((\$947,000))
8		<u>\$968,000</u>
9	((Biotoxin Account—State Appropriation.	\$5,000))
10	TOTAL APPROPRIATION.	((\$15,486,000))
11		<u>\$17,226,000</u>

12 The appropriations in this section are subject to the following
13 conditions and limitations:

14 (1) \$2,786,000 of the general fund—state appropriation for fiscal
15 year 2026 and \$3,156,000 of the general fund—state appropriation for
16 fiscal year 2027 are provided solely to maintain public health
17 information technology infrastructure in a cloud-based environment.

18 (2) ((~~\$686,000~~)) \$619,000 of the general fund—state appropriation
19 for fiscal year 2026 and \$757,000 of the general fund—state
20 appropriation for fiscal year 2027 are provided solely to maintain
21 the WA Health bed tracking and supply database.

22 (3) \$296,000 of the general fund—state appropriation for fiscal
23 year 2026 and \$296,000 of the general fund—state appropriation for
24 fiscal year 2027 are provided solely for the department to maintain
25 the master person index as part of the health and human services
26 coalition master person index initiative.

27 **Sec. 230.** 2025 c 424 s 230 (uncodified) is amended to read as
28 follows:

29 **FOR THE DEPARTMENT OF CORRECTIONS**

30 The health care authority, the health benefit exchange, the
31 department of social and health services, the department of health,
32 the department of corrections, and the department of children, youth,
33 and families shall work together within existing resources to
34 establish the health and human services enterprise coalition (the
35 coalition). The coalition, led by the health care authority, must be
36 a multiorganization collaborative that provides strategic direction
37 and federal funding guidance for projects that have cross-
38 organizational or enterprise impact, including information technology

1 projects that affect organizations within the coalition. Washington
2 technology solutions shall maintain a statewide perspective when
3 collaborating with the coalition to ensure that the development of
4 projects identified in this report are planned for in a manner that
5 ensures the efficient use of state resources and maximizes federal
6 financial participation. The work of the coalition and any project
7 identified as a coalition project is subject to the conditions,
8 limitations, and review provided in section 701 of this act.

9 The appropriations to the department of corrections in this act
10 shall be expended for the programs and in the amounts specified in
11 this act. However, after May 1, 2026, after approval by the director
12 of financial management and unless specifically prohibited by this
13 act, the department may transfer general fund—state appropriations
14 for fiscal year 2026 between programs. The department may not
15 transfer funds, and the director of financial management may not
16 approve the transfer, unless the transfer is consistent with the
17 objective of conserving, to the maximum extent possible, the
18 expenditure of state funds. The director of financial management
19 shall notify the appropriate fiscal committees of the legislature in
20 writing seven days prior to approving any deviations from
21 appropriation levels. The written notification must include a
22 narrative explanation and justification of the changes, along with
23 expenditures and allotments by budget unit and appropriation, both
24 before and after any allotment modifications or transfers.

25 (1) ADMINISTRATION AND SUPPORT SERVICES

26	General Fund—State Appropriation (FY 2026)	((\$159,476,000))
27		<u>\$163,217,000</u>
28	General Fund—State Appropriation (FY 2027)	((\$162,022,000))
29		<u>\$167,135,000</u>
30	General Fund—Federal Appropriation.	((\$400,000))
31		<u>\$1,054,000</u>
32	((General Fund—Private/Local Appropriation.	\$168,000))
33	TOTAL APPROPRIATION.	((\$322,066,000))
34		<u>\$331,406,000</u>

35 The appropriations in this subsection are subject to the
36 following conditions and limitations:

37 (a) \$438,000 of the general fund—state appropriation for fiscal
38 year 2026 and \$438,000 of the general fund—state appropriation for
39 fiscal year 2027 are provided solely for restrictive housing to

1 reduce the use of solitary confinement by increasing correctional
2 staffing, incorporating mental health training, and implementing
3 change to restrictive housing environments.

4 (b) \$2,326,000 of the general fund—state appropriation for fiscal
5 year 2026 and \$2,326,000 of the general fund—state appropriation for
6 fiscal year 2027 are provided solely for reentry investments to
7 include reentry and discharge services and staffing to support the
8 iCOACH supervision model. The staffing and resources must provide
9 expanded reentry and discharge services to include, but not limited
10 to, transition services, preemployment testing, enhanced discharge
11 planning, housing voucher assistance, cognitive behavioral
12 interventions, educational programming, health care discharge teams,
13 and community partnership programs.

14 (c) \$371,000 of the general fund—state appropriation for fiscal
15 year 2026 and \$371,000 of the general fund—state appropriation for
16 fiscal year 2027 are provided solely for maintenance and operation of
17 the sentencing calculation module for the offender management network
18 information system. Implementation of the sentencing calculation
19 module must result in a reduction of tolling staff within six months
20 of the project implementation date of July 1, 2025, and the
21 department must report this result. In addition, the report must
22 include the budgeted and actual tolling staffing levels by fiscal
23 month beginning with fiscal year 2023 and the count of tolling staff
24 reduced by fiscal month from date of implementation through six
25 months post implementation. The report must be submitted to the
26 senate ways and means and house appropriations committees within 30
27 calendar days after six months have passed since implementation.

28 (d) \$761,000 of the general fund—state appropriation for fiscal
29 year 2026 and ((~~\$758,000~~)) \$508,000 of the general fund—state
30 appropriation for fiscal year 2027 are provided solely for the AMEND
31 collaboration and training statewide program administration team and
32 contract.

33 (e) \$320,000 of the general fund—state appropriation for fiscal
34 year 2026 and \$324,000 of the general fund—state appropriation for
35 fiscal year 2027 are provided solely for staffing and operational
36 costs to operate the sixth avenue reentry center in Tacoma as a
37 state-run facility.

38 (f) \$219,000 of the general fund—state appropriation for fiscal
39 year 2026 and \$227,000 of the general fund—state appropriation for

1 fiscal year 2027 are provided solely for staffing and operational
2 costs to operate the Eleanor Chase reentry center in Spokane as a
3 state-run facility.

4 (g) \$319,000 of the general fund—state appropriation for fiscal
5 year 2026 and \$333,000 of the general fund—state appropriation for
6 fiscal year 2027 are provided solely for staffing and operational
7 costs to operate the Brownstone reentry center in Spokane as a state-
8 run facility.

9 (h) Within existing resources, the department must collaborate
10 with the department of children, youth, and families to help them as
11 they develop a juvenile rehabilitation capacity needs assessment
12 model (CNAM) for secure facilities, community residential facilities,
13 and community transition services, as required in section 235(18) of
14 this act, comparable in detail to the capacity needs assessment model
15 that the department of corrections research and analytics team
16 maintains for capacity.

17 (i) \$48,000 of the general fund—state appropriation for fiscal
18 year 2026 is provided solely for implementation of Substitute Senate
19 Bill No. 5093 (pregnancy loss). ~~((If the bill is not enacted by June~~
20 ~~30, 2025, the amount provided in this subsection shall lapse.))~~

21 (j) \$19,000 of the general fund—state appropriation for fiscal
22 year 2026 is provided solely for implementation of Substitute Senate
23 Bill No. 5323 (theft from first responders). ~~((If the bill is not~~
24 ~~enacted by June 30, 2025, the amount provided in this subsection~~
25 ~~shall lapse.))~~

26 (k) \$83,000 of the general fund—state appropriation for fiscal
27 year 2026 and \$90,000 of the general fund—state appropriation for
28 fiscal year 2027 are provided solely for implementation of Substitute
29 Senate Bill No. 5388 (DOC behavioral health cert.). ~~((If the bill is~~
30 ~~not enacted by June 30, 2025, the amounts provided in this subsection~~
31 ~~shall lapse.))~~

32 (l) \$222,000 of the general fund—state appropriation for fiscal
33 year 2026 and \$228,000 of the general fund—state appropriation for
34 fiscal year 2027 are provided solely for implementation of House Bill
35 No. 1068 (DOC WMS employee arbitration). ~~((If the bill is not enacted~~
36 ~~by June 30, 2025, the amounts provided in this subsection shall~~
37 ~~lapse.))~~

38 (m) Within existing resources, and based on the budget structure
39 changes in policy transfers included in the 2025-27 biennial omnibus

operating budget, the department of corrections must submit the following to the office of financial management and the legislative accountability and evaluation program, by December 31, 2025:

(i) A narrative description of changes to include how these changes will affect the availability and understanding of budget and accounting information for policy makers and the public;

(ii) A crosswalk that displays details within the affected programs in the existing structure compared to the revised transferred structure;

(iii) A comparison of the current structure to the revised transferred structure that must compare the current total estimated biennial expenditures and FTEs for all programs, before and after the changes; and

(iv) A comprehensive 10-year restructure of historical data.

(n) \$1,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for implementation of Second Engrossed Substitute Senate Bill No. 5105 (sexually explicit depictions). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

(2) CORRECTIONAL OPERATIONS

General Fund—State Appropriation (FY 2026)	((\$785,488,000))
	<u>\$807,095,000</u>

General Fund—State Appropriation (FY 2027)	((\$812,962,000))
	<u>\$829,458,000</u>

General Fund—Federal Appropriation.	((\$4,326,000))
	<u>\$1,535,000</u>

((General Fund—Private/Local Appropriation.	\$334,000))
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Climate Commitment Account—State Appropriation.	\$577,000
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Institutional Welfare(/Betterment) Account—State	
Appropriation.	\$12,000,000

Opioid Abatement Settlement Account—State	
Appropriation.	\$469,000

Washington Auto Theft Prevention Authority Account—	
State Appropriation.	((\$5,214,000))
	<u>\$5,213,000</u>

TOTAL APPROPRIATION.	((\$1,621,370,000))
	<u>\$1,656,347,000</u>

The appropriations in this subsection are subject to the following conditions and limitations:

1 (a) The department may contract for local jail beds statewide to
2 the extent that it is at no net cost to the department. The
3 department shall calculate and report the average cost per offender
4 per day, inclusive of all services, on an annual basis for a facility
5 that is representative of average medium or lower offender costs. The
6 department shall not pay a rate greater than \$85 per day per offender
7 excluding the costs of department of corrections provided services,
8 including evidence-based substance abuse programming, dedicated
9 department of corrections classification staff on-site for
10 individualized case management, transportation of offenders to and
11 from department of corrections facilities, and gender responsive
12 training for jail staff. The capacity provided at local correctional
13 facilities must be for offenders whom the department of corrections
14 defines as close, medium, or lower security offenders. Programming
15 provided for offenders held in local jurisdictions is included in the
16 rate, and details regarding the type and amount of programming, and
17 any conditions regarding transferring offenders must be negotiated
18 with the department as part of any contract. Local jurisdictions must
19 provide health care to offenders that meets standards set by the
20 department. The local jail must provide all medical care including
21 unexpected emergent care. The department must utilize a screening
22 process to ensure that offenders with existing extraordinary medical/
23 mental health needs are not transferred to local jail facilities. If
24 extraordinary medical conditions develop for an inmate while at a
25 jail facility, the jail may transfer the offender back to the
26 department, subject to terms of the negotiated agreement. Health care
27 costs incurred prior to transfer are the responsibility of the jail.

28 (b) \$3,500,000 of the general fund—state appropriation for fiscal
29 year 2026 and \$3,500,000 of the general fund—state appropriation for
30 fiscal year 2027 are provided solely for the department of
31 corrections to provide wages and gratuities of no less than \$1.00 per
32 hour to incarcerated persons working in class III correctional
33 industries.

34 (c) Within the appropriated amounts in this subsection, the
35 department of corrections must provide a minimum of one dedicated
36 prison rape elimination act compliance specialist at each
37 institution.

38 (d) \$284,000 of the general fund—state appropriation for fiscal
39 year 2026 and \$284,000 of the general fund—state appropriation for

1 fiscal year 2027 are provided solely for maintenance and operation of
2 the sentencing calculation module for the offender management network
3 information system. Implementation of the sentencing calculation
4 module must result in a reduction of tolling staff within six months
5 of the project implementation date of July 1, 2025, and the
6 department must report this result. In addition, the report must
7 include the budgeted and actual tolling staffing levels by fiscal
8 month beginning with fiscal year 2023 and the count of tolling staff
9 reduced by fiscal month from date of implementation through six
10 months post implementation. The report must be submitted to the
11 senate ways and means and house appropriations committees within 30
12 calendar days after six months have passed since implementation.

13 (e) \$5,316,000 of the general fund—state appropriation for fiscal
14 year 2026 and \$5,316,000 of the general fund—state appropriation for
15 fiscal year 2027 are provided solely for restrictive housing to
16 reduce the use of solitary confinement by increasing correctional
17 staffing, incorporating mental health training, and implementing
18 change to restrictive housing environments.

19 (f) \$2,802,000 of the general fund—state appropriation for fiscal
20 year 2026 and \$2,805,000 of the general fund—state appropriation for
21 fiscal year 2027 are provided solely for the AMEND collaboration and
22 training program.

23 (g) \$1,411,000 of the general fund—state appropriation for fiscal
24 year 2026 and \$1,411,000 of the general fund—state appropriation for
25 fiscal year 2027 are provided solely for reentry investments to
26 include state identification cards, reentry and discharge services
27 and staffing to support the iCOACH supervision model. The staffing
28 and resources must provide expanded reentry and discharge services to
29 include, but not limited to, transition services, preemployment
30 testing, enhanced discharge planning, housing voucher assistance,
31 cognitive behavioral interventions, educational programming, health
32 care discharge teams, and community partnership programs.

33 (h) \$1,200,000 of the general fund—state appropriation for fiscal
34 year 2026 is provided solely for one-time costs necessary to close
35 Mission Creek corrections center for women.

36 (i) \$172,000 of the general fund—state appropriation for fiscal
37 year 2026 and \$230,000 of the general fund—state appropriation for
38 fiscal year 2027 are provided solely for direct variable costs at
39 Washington corrections center for women.

1 (j) \$646,000 of the general fund—state appropriation for fiscal
2 year 2026 and \$861,000 of the general fund—state appropriation for
3 fiscal year 2027 are provided solely for the department to maintain
4 the facility, property, and assets at the Mission Creek corrections
5 center for women.

6 (k) \$2,262,000 of the general fund—state appropriation for fiscal
7 year 2026 and \$2,949,000 of the general fund—state appropriation for
8 fiscal year 2027 are provided solely for the department to reopen and
9 operate living unit L at the Washington corrections center for women.

10 (l) (~~(\$195,000)~~) \$22,000 of the general fund—state appropriation
11 for fiscal year 2026 is provided solely for one-time staff relocation
12 costs given the closure of the Mission Creek corrections center for
13 women.

14 (m) The department must report to and coordinate with the
15 department of ecology to track expenditures from climate commitment
16 act accounts, as defined and described in RCW 70A.65.300 and chapter
17 173-446B WAC. If an expenditure is expected to result in greenhouse
18 gas emission reductions, the department must use a department of
19 ecology approved calculator tool or methodology.

20 (n) \$3,000 of the general fund—state appropriation for fiscal
21 year 2026 and \$3,000 of the general fund—state appropriation for
22 fiscal year 2027 are provided solely for implementation of Substitute
23 Senate Bill No. 5139 (reentry council members). (~~If the bill is not~~
24 ~~enacted by June 30, 2025, the amounts provided in this subsection~~
25 ~~shall lapse.))~~

26 (o) \$2,871,000 of the general fund—state appropriation for fiscal
27 year 2026 and \$2,871,000 of the general fund—state appropriation for
28 fiscal year 2027 are provided solely for the department to operate
29 body scanner programs to conduct security screenings for employees,
30 contractors, visitors, volunteers, incarcerated individuals, and
31 other persons entering the secure perimeters at the Washington
32 corrections center for women and the Washington corrections center.

33 (p) \$33,000 of the general fund—state appropriation for fiscal
34 year 2026 is provided solely for implementation of Engrossed
35 Substitute Senate Bill No. 5219 (partial confinement). (~~If the bill~~
36 ~~is not enacted by June 30, 2025, the amount provided in this~~
37 ~~subsection shall lapse.))~~

38 (q) \$1,385,000 of the general fund—state appropriation for fiscal
39 year 2026 and \$8,792,000 of the general fund—state appropriation for

fiscal year 2027 are provided solely to reopen and operate unit A in the Washington state reformatory at the Monroe correctional complex to provide new close custody bed capacity.

(r) \$1,237,000 of the general fund—state appropriation for fiscal year 2026 and \$967,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for additional close custody bed capacity in units A, B, and D at the Clallam Bay corrections center.

(s) \$167,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for a dedicated canine detection team at the Coyote Ridge corrections center. The canine detection team's work schedule must be prioritized around the facility's visiting hours and shift changes, as well as areas of entry by work crews, visitors, employees, contract staff and volunteers entering the secure perimeter of the correctional facility, to ensure that the canine detection team has high visibility and presence during these times.

(3) COMMUNITY SUPERVISION

General Fund—State Appropriation (FY 2026).	((\$237,463,000))
	<u>\$237,886,000</u>
General Fund—State Appropriation (FY 2027).	((\$252,309,000))
	<u>\$251,718,000</u>
General Fund—Federal Appropriation.	((\$4,142,000))
	<u>\$1,197,000</u>
General Fund—Private/Local Appropriation.	((\$10,000))
	<u>\$185,000</u>
TOTAL APPROPRIATION.	((\$493,924,000))
	<u>\$490,986,000</u>

The appropriations in this subsection are subject to the following conditions and limitations:

(a) The department of corrections shall contract with local and tribal governments for jail capacity to house offenders who violate the terms of their community supervision. A contract rate increase may not exceed five percent each year. The department may negotiate to include medical care of offenders in the contract rate if medical payments conform to the department's offender health plan and pharmacy formulary, and all off-site medical expenses are preapproved by department utilization management staff. If medical care of offender is included in the contract rate, the contract rate may exceed five percent to include the cost of that service. The department shall pay the bed rate for the day of release.

1 (b) The department shall engage in ongoing mitigation strategies
2 to reduce the costs associated with community supervision violators,
3 including improvements in data collection and reporting and
4 alternatives to short-term confinement for low-level violators.

5 (c) \$480,000 of the general fund—state appropriation for fiscal
6 year 2026 and \$480,000 of the general fund—state appropriation for
7 fiscal year 2027 are provided solely for maintenance and operation of
8 the sentencing calculation module for the offender management network
9 information system. Implementation of the sentencing calculation
10 module must result in a reduction of tolling staff within six months
11 of the project implementation date of July 1, 2025, and the
12 department must report this result. In addition, the report must
13 include the budgeted and actual tolling staffing levels by fiscal
14 month beginning with fiscal year 2023 and the count of tolling staff
15 reduced by fiscal month from date of implementation through six
16 months post implementation. The report must be submitted to the
17 senate ways and means and house appropriations committees within 30
18 calendar days after six months have passed since implementation.

19 (d) \$110,000 of the general fund—state appropriation for fiscal
20 year 2026 and \$110,000 of the general fund—state appropriation for
21 fiscal year 2027 are provided solely for the AMEND collaboration and
22 training program.

23 (e) \$19,027,000 of the general fund—state appropriation for
24 fiscal year 2026 and \$19,027,000 of the general fund—state
25 appropriation for fiscal year 2027 are provided solely for reentry
26 investments to include reentry and discharge services and staffing to
27 support the iCOACH supervision model. The staffing and resources must
28 provide expanded reentry and discharge services to include, but not
29 limited to, transition services, preemployment testing, enhanced
30 discharge planning, housing voucher assistance, cognitive behavioral
31 interventions, educational programming, health care discharge teams,
32 and community partnership programs.

33 (f) \$4,011,000 of the general fund—state appropriation for fiscal
34 year 2026 and \$4,057,000 of the general fund—state appropriation for
35 fiscal year 2027 are provided solely for staffing and operational
36 costs to operate the sixth avenue reentry center in Tacoma as a
37 state-run facility.

38 (g) \$2,735,000 of the general fund—state appropriation for fiscal
39 year 2026 and \$3,255,000 of the general fund—state appropriation for

fiscal year 2027 are provided solely for staffing and operational costs to operate the Eleanor Chase reentry center in Spokane as a state-run facility.

(h) \$3,465,000 of the general fund—state appropriation for fiscal year 2026 and \$4,257,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for staffing and operational costs to operate the Brownstone reentry center in Spokane as a state-run facility.

(i) \$385,000 of the general fund—state appropriation for fiscal year 2026 and \$577,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the department to maintain the facility, property, and assets at the Ahtanum view reentry center in Yakima.

(j) \$238,000 of the general fund—state appropriation for fiscal year 2026 and \$357,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the department to maintain the facility, property, and assets at the Peninsula reentry center in Port Orchard.

(k) \$238,000 of the general fund—state appropriation for fiscal year 2026 and \$357,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the department to maintain the facility, property, and assets at the Tri-Cities reentry center in Kennewick.

(l) \$252,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for implementation of Engrossed Substitute Senate Bill No. 5219 (partial confinement). (~~If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.~~)

(4) CORRECTIONAL INDUSTRIES

General Fund—State Appropriation (FY 2026)	(\$4,653,000)
	<u>\$5,329,000</u>
General Fund—State Appropriation (FY 2027)	(\$9,696,000)
	<u>\$9,669,000</u>
(General Fund—Federal Appropriation	\$600,000
General Fund—Private/Local Appropriation	\$1,034,000)
TOTAL APPROPRIATION	(\$15,983,000)
	<u>\$14,998,000</u>

(5) INTERAGENCY PAYMENTS

General Fund—State Appropriation (FY 2026)	((\$72,125,000))
	<u>\$71,723,000</u>
General Fund—State Appropriation (FY 2027)	((\$63,129,000))
	<u>\$82,273,000</u>
Opioid Abatement Settlement Account—State	
Appropriation	\$50,000
TOTAL APPROPRIATION	((\$135,304,000))
	<u>\$154,046,000</u>

The appropriations in this subsection are subject to the following conditions and limitations:

(a) \$10,000 of the general fund—state appropriation for fiscal year 2026 and \$10,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of Substitute Senate Bill No. 5388 (DOC behavioral health cert.). ~~((If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.))~~

(b) \$55,000 of the general fund—state appropriation for fiscal year 2026 and \$204,000 of the general fund—state appropriation for fiscal year 2027 are provided solely to reopen and operate unit A in the Washington state reformatory at the Monroe correctional complex to provide new close custody bed capacity.

(c) \$88,000 of the general fund—state appropriation for fiscal year 2026 and \$155,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for additional close custody bed capacity in units A, B, and D at the Clallam Bay corrections center.

(d) \$66,000 of the general fund—state appropriation for fiscal year 2026 and \$155,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for conversion and operation of unit B at the Coyote Ridge corrections center to operate existing medium security beds as a therapeutic community treatment program.

(6) ~~((OFFENDER CHANGE))~~ REENTRY SERVICES

General Fund—State Appropriation (FY 2026)	((\$89,407,000))
	<u>\$47,379,000</u>
General Fund—State Appropriation (FY 2027)	((\$91,651,000))
	<u>\$48,247,000</u>
General Fund—Federal Appropriation	((\$1,436,000))
	<u>\$226,000</u>
TOTAL APPROPRIATION	((\$182,494,000))

The appropriations in this subsection are subject to the following conditions and limitations:

(a) The department of corrections shall use funds appropriated in this subsection (6) for programming for incarcerated individuals. The department shall develop and implement a written comprehensive plan for programming for incarcerated individuals that prioritizes programs which follow the risk-needs-responsivity model, are evidence-based, and have measurable outcomes. The department is authorized to discontinue ineffective programs and to repurpose underspent funds according to the priorities in the written plan.

(b) The department of corrections shall collaborate with the state health care authority to explore ways to utilize federal medicaid funds as a match to fund residential substance use disorder treatment-based alternative beds under RCW 9.94A.664 under the drug offender sentencing alternative program and residential substance use disorder treatment beds that serve individuals on community custody.

(c) \$11,629,000 of the general fund—state appropriation for fiscal year 2026 and \$11,629,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for expanded reentry investments to include, but not be limited to, transition services, preemployment testing, enhanced discharge planning, housing voucher assistance, cognitive behavioral interventions, educational programming, health care discharge teams, and community partnership programs.

(d) Within existing resources, the department of corrections may provide reentry support items such as disposable cell phones, prepaid phone cards, hygiene kits, housing vouchers, and release medications associated with individuals resentenced or ordered released from confinement as a result of policies or court decisions including, but not limited to, the *State v. Blake* decision.

(e) \$122,000 of the general fund—state appropriation for fiscal year 2026 and \$122,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for work on reentry 2030, continued internal and cross agency reentry collaboration, and work on the state's medicaid 1115 transformation waiver impacts to the department.

(f) \$268,000 of the general fund—state appropriation for fiscal year 2026 and \$357,000 of the general fund—state appropriation for

fiscal year 2027 are provided solely for education services for incarcerated individuals in living unit L of the Washington corrections center for women.

(g) \$450,000 of the general fund—state appropriation for fiscal year 2026 and \$601,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for substance use staffing and treatment for incarcerated individuals in living unit L at the Washington corrections center for women.

(h) \$176,000 of the general fund—state appropriation for fiscal year 2026 and \$180,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of Substitute Senate Bill No. 5388 (DOC behavioral health cert.). (~~If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.~~)

(i) \$424,000 of the general fund—state appropriation for fiscal year 2026 and \$424,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the department to operate body scanner programs to conduct security screenings for employees, contractors, visitors, volunteers, incarcerated individuals, and other persons entering the secure perimeters at the Washington corrections center for women and the Washington corrections center.

(j) \$198,000 of the general fund—state appropriation for fiscal year 2026 and \$405,000 of the general fund—state appropriation for fiscal year 2027 are provided solely to reopen and operate unit A in the Washington state reformatory at the Monroe correctional complex to provide new close custody bed capacity with basic skills education.

(7) HEALTH CARE SERVICES

General Fund—State Appropriation (FY 2026)	((\$270,784,000))
	<u>\$326,403,000</u>
General Fund—State Appropriation (FY 2027)	((\$275,569,000))
	<u>\$337,345,000</u>
General Fund—Federal Appropriation.	((\$6,720,000))
	<u>\$983,000</u>
General Fund—Private/Local Appropriation.	((\$2,000))
	<u>\$120,000</u>
Opioid Abatement Settlement Account—State	
Appropriation.	((\$8,916,000))
	<u>\$15,916,000</u>

TOTAL APPROPRIATION. ((~~\$561,991,000~~))
\$680,767,000

The appropriations in this subsection are subject to the following conditions and limitations:

(a) The state prison medical facilities may use funds appropriated in this subsection to purchase goods, supplies, and services through hospital or other group purchasing organizations when it is cost effective to do so.

(b) \$13,605,000 of the general fund—state appropriation for fiscal year 2026 and \$13,605,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for medical staffing in prisons for patient centered care and behavioral health care. Funding must be used to increase access to care, addiction care, and expanded screening of individuals in prison facilities to include chronic illnesses, infectious disease, diabetes, heart disease, serious mental health, and behavioral health services.

(c) \$2,238,000 of the general fund—state appropriation for fiscal year 2026 and \$2,238,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for restrictive housing to reduce the use of solitary confinement by increasing correctional staffing, incorporating mental health training, and implementing change to restrictive housing environments.

(d) \$441,000 of the general fund—state appropriation for fiscal year 2026 and \$441,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the AMEND collaboration and training program.

(e) \$3,308,000 of the general fund—state appropriation for fiscal year 2026 and \$3,326,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for reentry investments to include reentry and discharge services and staffing to support the iCOACH supervision model. The staffing and resources must provide expanded reentry and discharge services to include, but not limited to, transition services, enhanced health care discharge planning, case management, health care discharge teams, and evaluation of physical health and behavioral health.

(f) ((~~\$8,916,000~~)) \$11,957,000 of the opioid abatement settlement account—state appropriation is provided solely for opioid treatment for individuals in the department of corrections' custody on full confinement. ((~~This funding~~)) Funding is provided((+)

1 ~~(ii) To ensure each and every single individual transferring into~~
2 ~~the department of corrections' custody on full confinement is~~
3 ~~provided))~~ for the department to provide medications for opioid use
4 disorder for individuals transferring into the department of
5 corrections' custody on full confinement if they were on medications
6 for opioid use disorder while in jail or out of custody prior to
7 their transfer to the department of corrections.

8 (g) \$1,784,000 of the general fund—state appropriation for fiscal
9 year 2026 and \$1,784,000 of the general fund—state appropriation for
10 fiscal year 2027 are provided solely for medication for the treatment
11 of opioid use disorder (~~(to ensure each and every single individual))~~
12 for the department to provide medications for opioid use disorder for
13 individuals transferring into the department of corrections' custody
14 on full confinement (~~(is provided medications for opioid use~~
15 ~~disorder))~~ if they were on medications for opioid use disorder while
16 in jail or out of custody prior to their transfer to the department
17 of corrections.

18 (h) \$3,959,000 of the opioid abatement settlement account—state
19 appropriation is provided solely for medication for the treatment of
20 opioid use disorder for the department to provide medications for
21 opioid use disorder for individuals transferring into the department
22 of corrections' custody on full confinement if they were on
23 medications for opioid use disorder while in jail or out of custody
24 prior to their transfer to the department of corrections.

25 (i)(i) ((\$2,505,000)) \$1,351,000 of the general fund—state
26 appropriation for fiscal year 2026 (~~(is))~~ and \$7,010,000 of the
27 general fund—state appropriation for fiscal year 2027 are provided
28 solely for the statewide electronic health records solution and is
29 subject to the conditions, limitations, and review requirements of
30 section 701 of this act. The federal match for the department is
31 appropriated to the health care authority, see (~~(section 211(60) of~~
32 ~~this act))~~ section 211(70) of this act.

33 (ii) The statewide electronic health records solution must use an
34 agile development model holding live demonstrations of functioning
35 software, developed using incremental user research, held at the end
36 of two-week sprints.

37 (iii) The statewide electronic health records solution must be
38 capable of being continually updated, as necessary.

1 (iv)(A) The department must collaborate with the department of
2 social and health services and the health care authority and, as a
3 team, must work to successfully meet budget, scope, and schedule for
4 the statewide electronic health records solution.

5 (B) Beginning July 1, 2025, the department of corrections agency
6 project team shall provide necessary updates to the health care
7 authority foundational project team for the statewide electronic
8 health records solution within 15 calendar days of the end of each
9 fiscal quarter.

10 (C) The information provided to the health care authority shall
11 include how funding was spent compared to the budget spending plan
12 for the prior quarter by fiscal month and what the next quarter
13 budget will be by fiscal month.

14 (D) The requirements of the quarterly report are listed in
15 section 211(58) of this act.

16 (~~((+i))~~) (j) \$159,000 of the general fund—state appropriation for
17 fiscal year 2026 and \$212,000 of the general fund—state appropriation
18 for fiscal year 2027 are provided solely for direct variable costs at
19 Washington corrections center for women.

20 (~~((+j))~~) (k) \$247,000 of the general fund—state appropriation for
21 fiscal year 2026 and \$329,000 of the general fund—state appropriation
22 for fiscal year 2027 are provided solely for the department to reopen
23 and operate living unit L at the Washington corrections center for
24 women.

25 (~~((+k))~~) (l) \$1,612,000 of the general fund—state appropriation
26 for fiscal year 2026 and \$1,612,000 of the general fund—state
27 appropriation for fiscal year 2027 are provided solely for the
28 department to operate body scanner programs to conduct security
29 screenings for employees, contractors, visitors, volunteers,
30 incarcerated individuals, and other persons entering the secure
31 perimeters at the Washington corrections center for women and the
32 Washington corrections center.

33 (~~((+l))~~) (m) The department of corrections shall promptly notify
34 the office of the attorney general upon the receipt of a request from
35 or on behalf of a federal agency or a federal, state, or local law
36 enforcement authority for health care information, as defined in RCW
37 70.02.010, program eligibility information for individuals,
38 information that may identify a health care provider's or facility's
39 delivery of health care services to noncitizens, or the delivery of

protected health care services as defined in RCW 7.115.010 where the request may impact expenditures for such services. The department of corrections shall require contracted entities to notify the department of corrections promptly upon receipt of a request from a federal agency or law enforcement authority as described in this subsection.

~~((m))~~ (n) \$451,000 of the general fund—state appropriation for fiscal year 2026 and \$468,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of Substitute Senate Bill No. 5388 (DOC behavioral health cert.). ~~((If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.))~~

(o) \$774,000 of the general fund—state appropriation for fiscal year 2026 and \$4,831,000 of the general fund—state appropriation for fiscal year 2027 are provided solely to reopen and operate unit A at the Washington state reformatory at the Monroe correctional complex to provide new close custody bed capacity.

(p) \$612,000 of the general fund—state appropriation for fiscal year 2026 and \$1,224,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for conversion and operation of unit B at the Coyote Ridge corrections center to operate existing medium security beds as a therapeutic community treatment program.

(q) \$5,200,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for legal costs that exceed the amount covered by the self-insurance liability account for costs associated with a settlement agreement reached in *Estavillo v. Washington State Department of Corrections*, King County Superior Court, Cause No. 24-2-13933-8 KNT.

Sec. 231. 2025 c 424 s 231 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF SERVICES FOR THE BLIND

General Fund—State Appropriation (FY 2026)	((\$5,820,000))
	<u>\$5,924,000</u>
General Fund—State Appropriation (FY 2027)	((\$6,060,000))
	<u>\$6,216,000</u>
General Fund—Federal Appropriation.	((\$29,824,000))
	<u>\$42,024,000</u>
General Fund—Private/Local Appropriation.	\$68,000

1 TOTAL APPROPRIATION. ((~~\$41,772,000~~))
 2 \$54,232,000
 3 The appropriations in this section are subject to the following
 4 conditions and limitations: \$99,000 of the general fund—state
 5 appropriation for fiscal year 2026 and \$99,000 of the general fund—
 6 state appropriation for fiscal year 2027 are provided solely for
 7 grants to federally recognized tribes of Washington to support
 8 culturally appropriate vocational rehabilitation services,
 9 independent living, youth supports, and adaptive technologies for
 10 tribal members who are blind, low-visioned, or deaf-blind.

11 **Sec. 232.** 2025 c 424 s 232 (uncodified) is amended to read as
 12 follows:
 13 **FOR THE EMPLOYMENT SECURITY DEPARTMENT**
 14 (~~(General Fund—State Appropriation (FY 2026). \$18,000)~~)
 15 General Fund—Federal Appropriation. ((~~\$180,070,000~~))
 16 \$164,230,000
 17 General Fund—Private/Local Appropriation. ((~~\$38,716,000~~))
 18 \$38,726,000
 19 Unemployment Compensation Administration Account—
 20 Federal Appropriation. ((~~\$307,077,000~~))
 21 \$309,447,000
 22 Administrative Contingency Account—State
 23 Appropriation. ((~~\$44,230,000~~))
 24 \$47,541,000
 25 Employment Service Administrative Account—State
 26 Appropriation. ((~~\$126,348,000~~))
 27 \$127,822,000
 28 Family and Medical Leave Insurance Account—State
 29 Appropriation. ((~~\$192,400,000~~))
 30 \$193,746,000
 31 Long-Term Services and Supports Trust Account—State
 32 Appropriation. ((~~\$49,760,000~~))
 33 \$49,814,000
 34 (~~(Workforce Education Investment Account—State~~
 35 ~~Appropriation. \$26,000)~~)
 36 TOTAL APPROPRIATION. ((~~\$938,645,000~~))
 37 \$931,326,000

1 The appropriations in this section are subject to the following
2 conditions and limitations:

3 (1) The department is directed to maximize the use of federal
4 funds. The department must update its budget annually to align
5 expenditures with anticipated changes in projected revenues.

6 (2) \$6,397,000 of the long-term services and supports trust
7 account—state appropriation is provided solely for implementation of
8 the long-term services and support trust program information
9 technology project and is subject to the conditions, limitations, and
10 review provided in section 701 of this act.

11 (3) Within existing resources, the department must reassess its
12 ongoing staffing and funding needs for the paid family medical leave
13 program and submit documentation of the updated need to the governor
14 and appropriate committees of the legislature by October 1st of each
15 fiscal year.

16 (4) Within existing resources, the department shall report the
17 following to the legislature and the governor by October 15th of each
18 fiscal year:

19 (a) An inventory of the department's programs, services, and
20 activities, identifying federal, state, and other funding sources for
21 each;

22 (b) Federal grants received by the department, segregated by line
23 of business or activity, for the most recent five fiscal years, and
24 the applicable rules;

25 (c) State funding available to the department, segregated by line
26 of business or activity, for the most recent five fiscal years;

27 (d) A history of staffing levels by line of business or activity,
28 identifying sources of state or federal funding, for the most recent
29 five fiscal years;

30 (e) A projected spending plan for the employment services
31 administrative account and the administrative contingency account.
32 The spending plan must include forecasted revenues and estimated
33 expenditures under various economic scenarios.

34 (5) \$4,684,000 of the administrative contingency account—state
35 appropriation is provided solely for career connected learning grants
36 as provided in RCW 28C.30.050, including sector intermediary grants,
37 technical assistance and support grants, and administrative expenses
38 associated with grant administration.

1 (6) (a) (~~(\$9,154,000)~~) \$14,255,000 of the employment service
2 administrative account—state appropriation is provided solely for the
3 replacement of the WorkSource integrated technology platform. The
4 replacement system must support the workforce administration
5 statewide to ensure adoption of the United States department of
6 labor's integrated service delivery model and program performance
7 requirements for the state's workforce innovation and opportunity act
8 and other federal grants. This subsection is subject to the
9 conditions, limitations, and review provided in section 701 of this
10 act.

11 (b) (~~(\$5,938,000)~~) \$3,804,000 of the employment service
12 administrative account—state appropriation is provided solely for the
13 maintenance and operations of the WorkSource integrated technology
14 project.

15 (7) (~~(\$12,338,000)~~) \$10,338,000 of the employment services
16 administrative account—state appropriation (~~(is)~~) and \$3,000,000 of
17 the general fund—federal appropriation are provided solely for
18 implementation of the economic services for all programs as defined
19 in chapter 92, Laws of 2024. The department must collect quarterly
20 data on the number of participants that participate in the economic
21 security for all program, the costs associated with career, training,
22 and other support services provided by category, including, but not
23 limited to, child care, housing, transportation, and car repair, and
24 progress made towards self-sufficiency. The department must provide a
25 report to the governor and the legislature by December 1, 2026, that
26 includes an analysis of the program, a detailed summary of the
27 quarterly data collected, and associated recommendations for program
28 delivery. The federal funding provided in this subsection is one-time
29 and comes from the workforce innovation and opportunity act's
30 governor's reserve account.

31 (8) \$3,826,000 of the employment services administration account—
32 state appropriation is provided solely for the continuation of the
33 office of agricultural and seasonal workforce services.

34 (9) \$280,000 of the administrative contingency account—state
35 appropriation is provided solely for one full-time employee to
36 provide casework on behalf of constituents who contact their
37 legislators to escalate unresolved claims.

38 (10) (a) \$7,792,000 of the administrative contingency account—
39 state appropriation (~~(and)~~) \$14,470,000 of the employment service

1 administrative account—state appropriation, and \$19,030,000 of the
2 unemployment compensation administrative account—federal
3 appropriation are provided solely to address a projected shortfall of
4 federal revenue that supports the administration of the unemployment
5 insurance program. The department may use funding made available to
6 the state through section 903 (d), (f), and (g) of the social
7 security act (Reed act) in an amount not to exceed the amount
8 provided in this subsection.

9 (b) The department must submit a report no later than November
10 1st of each year in the fiscal biennium to the governor and the
11 appropriate committees of the legislature outlining how the funding
12 in (a) of this subsection is being utilized and recommendations for
13 long-term solutions to address future decreases in federal funding.

14 (11) \$10,823,000 of the family and medical leave insurance
15 account—state appropriation is provided solely to increase staffing
16 for the paid family and medical leave program to process claims and
17 respond to customer and employer inquiries in a timely manner.

18 (12) \$8,966,000 of the family and medical leave insurance account
19 —state appropriation is provided solely for information technology
20 staffing to complete system enhancements for any remaining
21 statutorily required components of the paid family and medical leave
22 program, including, but not limited to, the establishment and
23 collection of overpayments, crossmatching eligibility with other
24 programs, and elective coverage for tribes. This subsection is
25 subject to the conditions, limitations, and review provided in
26 section 701 of this act.

27 (13) \$5,074,000 of the long-term services and supports trust
28 account—state appropriation is provided solely for implementation of
29 chapter 120, Laws of 2024 (LTSS trust access). This subsection is
30 subject to the conditions, limitations, and review provided in
31 section 701 of this act.

32 (14) \$500,000 of the unemployment compensation administration
33 account—federal appropriation is provided solely for the department
34 to contract with a vendor to evaluate current unemployment insurance
35 technology systems and to produce a comprehensive roadmap that
36 addresses system challenges, makes recommendations for future
37 enhancements, and identifies costs associated with the
38 recommendations. If the department does not receive adequate funding
39 from the United States department of labor to cover these costs, the

1 department may use funding made available to the state through
2 section 903 (d), (f), and (g) of the social security act (Reed act)
3 in an amount not to exceed the amount provided in this subsection.
4 This subsection is subject to the conditions, limitations, and review
5 provided in section 701 of this act.

6 (15) Within existing resources, the department must submit a
7 report to the legislature and the governor by September 12, 2026,
8 that provides an analysis of unemployment insurance fraud, strategies
9 deployed to address fraud including those that reduce the false-
10 positive rate, percentage of fraudulent issues identified to claims
11 filed and the average number of days to resolve, alternative
12 approaches that the department could consider along with potential
13 benefits, risks, and costs, and the necessary staffing levels to
14 address fraudulent claims.

15 (16) \$11,156,000 of the employment services administrative
16 account—state appropriation is provided solely to increase staffing
17 for the unemployment insurance program to process claims and respond
18 to customer inquiries in a timely manner and to maintain unemployment
19 insurance ambassadors.

20 (17) (~~(\$852,000)~~) \$1,308,000 of the employment services
21 administrative account—state appropriation is provided solely for
22 implementation of Engrossed Substitute Senate Bill No. 5041 (unemp
23 ins/strikes & lockouts). (~~(If the bill is not enacted by June 30,~~
24 ~~2025, the amount provided in this subsection shall lapse.)~~)

25 (18) \$30,000 of the family and medical leave insurance account—
26 state appropriation is provided solely for implementation of
27 Substitute Senate Bill No. 5191 (dockworkers/PFML premiums). (~~(If the~~
28 ~~bill is not enacted by June 30, 2025, the amount provided in this~~
29 ~~subsection shall lapse.)~~)

30 (19) \$9,606,000 of the long-term services and supports trust
31 account—state appropriation is provided solely for implementation of
32 Engrossed Substitute Senate Bill No. 5291 (long-term services trust).
33 (~~(If the bill is not enacted by June 30, 2025, the amount provided in~~
34 ~~this subsection shall lapse.)~~)

35 (20) \$556,000 of the employment services administrative account—
36 state appropriation is provided solely for implementation of
37 Engrossed Substitute Senate Bill No. 5525 (business closures &
38 layoffs). (~~(If the bill is not enacted by June 30, 2025, the amount~~
39 ~~provided in this subsection shall lapse.)~~)

1 (21) \$51,000 of the employment service administrative account—
2 state appropriation is provided solely to support the underground
3 economy task force created in section 906, chapter 376, Laws of 2024.

4 (22) \$4,936,000 of the family and medical leave insurance account
5 —state appropriation is provided solely for the implementation of
6 Engrossed Second Substitute House Bill No. 1213 (paid family &
7 medical leave). ~~((If the bill is not enacted by June 30, 2025, the
8 amount provided in this subsection shall lapse.))~~

9 (23) \$1,000,000 of the administrative contingency account—state
10 appropriation is provided solely to improve access to the
11 unemployment insurance program to underserved communities by
12 expanding the use of navigators within community-based organizations.
13 At a minimum, \$684,000 of the amount shall be used to contract with
14 community-based organizations to raise awareness of the unemployment
15 insurance program and help individuals navigate the application
16 process.

17 (24) \$1,160,000 of the family and medical leave insurance account
18 —state appropriation is provided solely for implementation of Second
19 Substitute House Bill No. 2345 (paid leave contributions). If the
20 bill is not enacted by June 30, 2026, the amount provided in this
21 subsection shall lapse.

22 (25) \$2,706,000 of the general fund—federal appropriation is
23 provided solely for an interagency agreement in fiscal year 2027 with
24 the state board for community and technical colleges to increase
25 capacity in programs that serve workforce innovation and opportunity
26 act eligible participants, including but not limited to, basic
27 education for adults and integrated basic education and skills
28 training. The state board for community and technical colleges may
29 use up to five percent of these funds for the administration
30 associated with the increased capacity. The federal funding provided
31 in this subsection is one-time and comes from the workforce
32 innovation and opportunity act's governor's reserve account.

33 (26) \$200,000 of the general fund—federal appropriation is
34 provided solely for a third-party vendor to conduct a higher
35 education and workforce development landscape analysis and a related
36 engagement process with relevant parties to analyze the current
37 talent development system and to produce recommendations that would
38 improve access to high-quality employment, education, and training.
39 The federal funding provided in this subsection is one-time and comes

1 from the workforce innovation and opportunity act's governor's
2 reserve account. The department may only implement the work in this
3 subsection upon guidance and approval from the governor's office.

4 (27) Within existing resources, the department shall report on
5 the current state of the paid family and medical leave program under
6 Title 50A RCW to the governor, appropriate committees of the
7 legislature, and the paid family and medical leave advisory committee
8 by November 1, 2026. The report must include:

9 (a) An evaluation of the solvency of the program. This evaluation
10 should include:

11 (i) Potential program changes to achieve long-term fund solvency;
12 (ii) An economic analysis that examines potential program changes
13 and their implications; and

14 (iii) A comparison of program designs from other states with a
15 similar program;

16 (b) An evaluation of the integrity of the program. This
17 evaluation should include:

18 (i) Current practices in place to ensure program integrity;

19 (ii) Applicable rules and laws pertaining to the integrity of the
20 program; and

21 (iii) A review of best practices used in other similar state and
22 federal benefit programs;

23 (c) Comments on the report provided by members of the paid family
24 and medical leave advisory committee established in RCW 50A.05.030;
25 and

26 (d) Any recommendations from the department.

27 **Sec. 233.** 2025 c 424 s 233 (uncodified) is amended to read as
28 follows:

29 **FOR THE DEPARTMENT OF CHILDREN, YOUTH, AND FAMILIES—GENERAL**

30 (1)(a) The appropriations to the department of children, youth,
31 and families in this act shall be expended for the programs and in
32 the amounts specified in this act. Appropriations made in this act to
33 the department of children, youth, and families shall initially be
34 allotted as required by this act. The department shall seek approval
35 from the office of financial management prior to transferring moneys
36 between sections of this act except as expressly provided in this
37 act. Subsequent allotment modifications shall not include transfers
38 of moneys between sections of this act except as expressly provided
39 in this act, nor shall allotment modifications permit moneys that are

provided solely for a specified purpose to be used for other than that purpose. However, after May 1, 2026, unless prohibited by this act, the department may transfer general fund—state appropriations for fiscal year 2026 among programs after approval by the director of the office of financial management. However, the department may not transfer state appropriations that are provided solely for a specified purpose except as expressly provided in (b) of this subsection.

(b) To the extent that transfers under (a) of this subsection are insufficient to fund actual expenditures in excess of fiscal year 2026 caseload forecasts and utilization assumptions in the foster care, adoption support, child protective services, working connections child care, and the juvenile rehabilitation programs, the department may transfer appropriations that are provided solely for a specified purpose.

(2) The health care authority, the health benefit exchange, the department of social and health services, the department of health, the department of corrections, and the department of children, youth, and families shall work together within existing resources to establish the health and human services enterprise coalition (the coalition). The coalition, led by the health care authority, must be a multi-organization collaborative that provides strategic direction and federal funding guidance for projects that have cross-organizational or enterprise impact, including information technology projects that affect organizations within the coalition. Washington technology solutions shall maintain a statewide perspective when collaborating with the coalition to ensure that projects are planned for in a manner that ensures the efficient use of state resources, supports the adoption of a cohesive technology and data architecture, and maximizes federal financial participation.

(3) Information technology projects or investments and proposed projects or investments impacting time capture, payroll and payment processes and systems, eligibility, case management, and authorization systems within the department are subject to technical oversight by Washington technology solutions.

(4) The department of children, youth, and families shall promptly notify the office of the attorney general upon the receipt of a request from or on behalf of a federal agency or a federal, state, or local law enforcement authority for health care information, as defined in RCW 70.02.010, program eligibility

information for individuals, information that may identify a health care provider's or facility's delivery of health care services to noncitizens, or the delivery of protected health care services as defined in RCW 7.115.010 where the request may impact expenditures for such services. The department shall require contracted entities to notify the department promptly upon receipt of a request from a federal agency or law enforcement authority as described in this subsection.

(5) At least 30 calendar days prior to a change in program policies or procedures which the department determines is likely to have an adverse impact to a majority of that program's clients, the department shall communicate the change to impacted persons. The department may leverage multiple communication platforms and diverse methods to communicate the change under this subsection. In cases where the change in program policies or procedures must be implemented in a time frame that renders 30-day advance notice infeasible, the department shall make efforts to notify impacted persons as soon as possible. The department shall partner with community-based organizations, tribes, and state and local agencies to share information broadly, prioritizing language access where possible.

Sec. 234. 2025 c 424 s 234 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF CHILDREN, YOUTH, AND FAMILIES—CHILDREN AND FAMILIES SERVICES PROGRAM

General Fund—State Appropriation (FY 2026)	((\$539,542,000))
	<u>\$557,911,000</u>
General Fund—State Appropriation (FY 2027)	((\$547,301,000))
	<u>\$579,422,000</u>
General Fund—Federal Appropriation.	((\$519,549,000))
	<u>\$534,083,000</u>
General Fund—Private/Local Appropriation.	\$2,824,000
Opioid Abatement Settlement Account—State	
Appropriation.	((\$3,888,000))
	<u>\$3,312,000</u>
TOTAL APPROPRIATION.	((\$1,613,104,000))
	<u>\$1,677,552,000</u>

1 The appropriations in this section are subject to the following
2 conditions and limitations:

3 (1) \$579,000 of the general fund—state appropriation for fiscal
4 year 2026, \$579,000 of the general fund—state appropriation for
5 fiscal year 2027, and \$110,000 of the general fund—federal
6 appropriation are provided solely for a receiving care center east of
7 the Cascade mountains.

8 (2) \$453,000 of the general fund—state appropriation for fiscal
9 year 2026 and \$453,000 of the general fund—state appropriation for
10 fiscal year 2027 are provided solely for the costs of hub home foster
11 and kinship families that provide a foster care delivery model that
12 includes a hub home. Use of the hub home model is intended to support
13 foster parent retention, provide support to biological families,
14 improve child outcomes, and encourage the least restrictive community
15 placements for children in out-of-home care.

16 (3) \$1,620,000 of the general fund—state appropriation for fiscal
17 year 2026 and \$1,620,000 of the general fund—state appropriation for
18 fiscal year 2027 are provided solely for services provided through
19 children's advocacy centers.

20 (4) In each fiscal year, the department shall provide a tracking
21 report for social service specialists and corresponding social
22 services support staff to the office of financial management, and the
23 appropriate policy and fiscal committees of the legislature. The
24 report shall detail continued implementation of the targeted 1:18
25 caseload ratio standard for child and family welfare services
26 caseload-carrying staff and targeted 1:8 caseload ratio standard for
27 child protection services caseload carrying staff. To the extent to
28 which the information is available, the report shall include the
29 following information identified separately for social service
30 specialists doing case management work, supervisory work, and
31 administrative support staff, and identified separately by job duty
32 or program, including but not limited to intake, child protective
33 services investigations, child protective services family assessment
34 response, and child and family welfare services:

35 (a) Total full-time equivalent employee authority, allotments and
36 expenditures by region, office, classification, and band, and job
37 duty or program;

38 (b) Vacancy rates by region, office, and classification and band;
39 and

1 (c) Average length of employment with the department, and when
2 applicable, the date of exit for staff exiting employment with the
3 department by region, office, classification and band, and job duty
4 or program.

5 (5) \$94,000 of the general fund—state appropriation for fiscal
6 year 2026 and \$94,000 of the general fund—state appropriation for
7 fiscal year 2027 are provided solely for a contract with a child
8 advocacy center in Spokane to provide continuum of care services for
9 children who have experienced abuse or neglect and their families.

10 (6)(a) \$539,000 of the general fund—state appropriation for
11 fiscal year 2026, \$540,000 of the general fund—state appropriation
12 for fiscal year 2027, \$656,000 of the general fund—private/local
13 appropriation, and \$252,000 of the general fund—federal appropriation
14 are provided solely for a contract with an educational advocacy
15 provider with expertise in foster care educational outreach. The
16 amounts in this subsection are provided solely for contracted
17 education coordinators to assist foster children in succeeding in
18 K-12 and higher education systems and to assure a focus on education
19 during the department's transition to performance-based contracts.
20 Funding must be prioritized to regions with high numbers of foster
21 care youth, regions where backlogs of youth that have formerly
22 requested educational outreach services exist, or youth with high
23 educational needs. The department is encouraged to use private
24 matching funds to maintain educational advocacy services.

25 (b) The department shall contract with the office of the
26 superintendent of public instruction, which in turn shall contract
27 with a nongovernmental entity or entities to provide educational
28 advocacy services pursuant to RCW 28A.300.590.

29 (7) For purposes of meeting the state's maintenance of effort for
30 the state supplemental payment program, the department of children,
31 youth, and families shall track and report to the department of
32 social and health services the monthly state supplemental payment
33 amounts attributable to foster care children who meet eligibility
34 requirements specified in the state supplemental payment state plan.
35 Such expenditures must equal at least \$3,100,000 annually and may not
36 be claimed toward any other federal maintenance of effort
37 requirement. Annual state supplemental payment expenditure targets
38 must continue to be established by the department of social and
39 health services. Attributable amounts must be communicated by the

1 department of children, youth, and families to the department of
2 social and health services on a monthly basis.

3 (8) \$197,000 of the general fund—state appropriation for fiscal
4 year 2026 and \$197,000 of the general fund—state appropriation for
5 fiscal year 2027 are provided solely for the department to conduct
6 biennial inspections and certifications of facilities, both overnight
7 and day shelters, that serve those who are under 18 years old and are
8 homeless.

9 (9)(a) \$7,106,000 of the general fund—state appropriation for
10 fiscal year 2026, \$7,106,000 of the general fund—state appropriation
11 for fiscal year 2027, and \$1,188,000 of the general fund—federal
12 appropriation are provided solely for the department to operate
13 emergent placement and enhanced emergent placement contracts.

14 (b) The department shall not include the costs to operate
15 emergent placement contracts in the calculations for family foster
16 home maintenance payments and shall submit as part of the budget
17 submittal documentation required by RCW 43.88.030 any costs
18 associated with increases in the number of emergent placement
19 contract beds after the effective date of this section that cannot be
20 sustained within existing appropriations.

21 (10) The department must provide semiannual reports to the
22 governor and appropriate legislative committees that includes the
23 number of in-state behavioral rehabilitation services providers and
24 licensed beds, the number of out-of-state behavioral rehabilitation
25 services placements, and a comparison of these numbers to the same
26 metrics expressed as an average over the prior six months. The report
27 shall identify separately beds with the enhanced behavioral
28 rehabilitation services rate. To the extent the information is
29 available, the report shall include the same information for
30 emergency placement services beds and enhanced emergency placement
31 services beds.

32 (11) \$250,000 of the general fund—state appropriation for fiscal
33 year 2026 and \$250,000 of the general fund—state appropriation for
34 fiscal year 2027 are provided solely for implementing the supportive
35 visitation model that utilizes trained visit navigators to provide a
36 structured and positive visitation experience for children and their
37 parents.

38 (12) \$600,000 of the general fund—state appropriation for fiscal
39 year 2026 and \$600,000 of the general fund—state appropriation for

1 fiscal year 2027 are provided solely for enhanced adoption placement
2 services for legally free children in state custody, through a
3 partnership with a national nonprofit organization with private
4 matching funds. These funds must supplement, but not supplant, the
5 work of the department to secure permanent adoptive homes for
6 children with high needs.

7 (13) The department of children, youth, and families shall make
8 foster care maintenance payments to programs where children are
9 placed with a parent in a residential program for substance abuse
10 treatment. These maintenance payments are considered foster care
11 maintenance payments for purposes of forecasting and budgeting at
12 maintenance level as required by RCW 43.88.058.

13 (14) If the department receives an allocation of federal funding
14 through an unanticipated receipt, the department shall not expend
15 more than what was approved or for another purpose than what was
16 approved by the governor through the unanticipated receipt process
17 pursuant to RCW 43.79.280.

18 (15) \$2,000,000 of the general fund—state appropriation for
19 fiscal year 2026 and \$2,000,000 of the general fund—state
20 appropriation for fiscal year 2027 are provided solely for the
21 department to contract with one or more nonprofit, nongovernmental
22 organizations to purchase and deliver concrete goods to low-income
23 families.

24 (16) \$2,400,000 of the general fund—state appropriation for
25 fiscal year 2026 and \$2,400,000 of the general fund—state
26 appropriation for fiscal year 2027 are provided solely for
27 implementation of performance-based contracts for family support and
28 related services pursuant to RCW 74.13B.020.

29 (17) The department will only refer child welfare cases to the
30 department of social and health services division of child support
31 enforcement when the court has found a child to have been abandoned
32 by their parent or guardian as defined in RCW 13.34.030.

33 (18) The department shall collaborate with the department of
34 social and health services to identify, place, and assist in the
35 voluntary transition of adolescents aged 13 and older who have
36 complex developmental disabilities, intellectual disabilities, or
37 autism spectrum disorder, alongside potential mental health or
38 substance use diagnoses, into a leased facility for specialized
39 residential treatment at Lake Burien operated by the department of

1 social and health services. The partnership is dedicated to
2 transitioning individuals to community-based settings in a seamless
3 and voluntary manner that emphasizes care in less restrictive
4 community-based environments.

5 (19) (~~(\$9,376,000)~~) \$6,511,000 of the general fund—state
6 appropriation for fiscal year 2026, (~~(\$8,709,000)~~) \$8,874,000 of the
7 general fund—state appropriation for fiscal year 2027, and \$512,000
8 of the general fund—federal appropriation are provided solely for the
9 phase-in of the settlement agreement under *D.S. et al. v. Department*
10 *of Children, Youth, and Families et al.*, United States district court
11 for the western district of Washington, cause no. 2:21-cv-00113-BJR.
12 The department must implement the provisions of the settlement
13 agreement pursuant to the timeline and implementation plan provided
14 for under the settlement agreement. This includes implementing
15 provisions related to the emerging adulthood housing program,
16 statewide hub home model, emergent facility-based receiving care
17 resources, and exceptional placement costs. To comply with the
18 settlement agreement, funding in this subsection is provided as
19 follows:

20 (a) (~~(\$1,576,000)~~) \$1,979,000 of the general fund—state
21 appropriation for fiscal year 2026 and (~~(\$1,576,000)~~) \$2,381,000 of
22 the general fund—state appropriation for fiscal year 2027 are
23 provided solely for the emerging adulthood housing program.

24 (b) \$245,000 of the general fund—state appropriation for fiscal
25 year 2026 is provided solely for the statewide hub home model. The
26 department shall develop and adapt the existing hub home model to
27 serve youth as described in the settlement agreement.

28 (c) (~~(\$5,959,000)~~) \$2,656,000 of the general fund—state
29 appropriation for fiscal year 2026 and (~~(\$7,016,000)~~) \$6,211,000 of
30 the general fund—state appropriation for fiscal year 2027 are
31 provided solely for emergent facility-based receiving care resources.

32 (d) \$1,474,000 of the general fund—state appropriation for fiscal
33 year 2026 and \$428,000 of the general fund—federal appropriation are
34 provided solely for exceptional placement costs.

35 (e) \$122,000 of the general fund—state appropriation for fiscal
36 year 2026, \$117,000 of the general fund—state appropriation for
37 fiscal year 2027, and \$84,000 of the general fund—federal
38 appropriation are provided solely for continuous quality improvement.

1 (f) \$35,000 of the general fund—state appropriation for fiscal
2 year 2026 and \$165,000 of the general fund—state appropriation for
3 fiscal year 2027 are provided solely for stakeholder engagement
4 related to system improvements in the settlement agreement.

5 (20) \$6,696,000 of the general fund—state appropriation for
6 fiscal year 2026, \$6,696,000 of the general fund—state appropriation
7 for fiscal year 2027, and \$2,940,000 of the general fund—federal
8 appropriation are provided solely for contracted visitation services
9 for children in temporary out-of-home care. Funding is provided to
10 reimburse providers for certain uncompensated services, which may
11 include work associated with missed or canceled visits.

12 (21) \$375,000 of the general fund—state appropriation for fiscal
13 year 2026, \$375,000 of the general fund—state appropriation for
14 fiscal year 2027, and \$112,000 of the general fund—federal
15 appropriation are provided solely for the department to develop,
16 implement, and expand strategies to improve the capacity,
17 reliability, and effectiveness of contracted visitation services for
18 children in temporary out-of-home care and their parents and
19 siblings. Strategies may include, but are not limited to, increasing
20 mileage reimbursement for providers, offering transportation-only
21 contract options, and mechanisms to reduce the level of parent-child
22 supervision when doing so is in the best interest of the child. (~~The~~
23 ~~department shall report to the office of financial management and the~~
24 ~~relevant fiscal and policy committees of the legislature regarding~~
25 ~~these strategies by September 1, 2025. The report shall include the~~
26 ~~number and percentage of parents requiring supervised visitation and~~
27 ~~the number and percentage of parents with unsupervised visitation,~~
28 ~~prior to reunification.))~~

29 (22) \$2,351,000 of the general fund—state appropriation for
30 fiscal year 2026 and \$2,351,000 of the general fund—state
31 appropriation for fiscal year 2027 are provided solely for a grant to
32 a nonprofit organization in Spokane that has experience administering
33 a family-centered drug treatment and housing program for families
34 experiencing substance use disorder. As a requirement for receiving
35 this funding, the nonprofit organization must provide an annual
36 report to the governor and the department that includes, but is not
37 limited to, the following information: Number of children and
38 families served each month, number of families that entered and

1 exited the program each month, and a comprehensive budget for all
2 costs incurred by the program.

3 (23) \$300,000 of the general fund—state appropriation for fiscal
4 year 2026 and \$300,000 of the general fund—state appropriation for
5 fiscal year 2027 are provided solely for implementation of Substitute
6 House Bill No. 1509 (family reconciliation). ~~((If the bill is not
7 enacted by June 30, 2025, the amounts provided in this subsection
8 shall lapse.))~~

9 (24) Funding in this section is sufficient to maintain rates paid
10 to family preservation services providers.

11 (25) \$412,000 of the general fund—state appropriation for fiscal
12 year 2026, \$365,000 of the general fund—state appropriation for
13 fiscal year 2027, and \$112,000 of the general fund—federal
14 appropriation are provided solely for an evidence-based program that
15 is used to help tribal families reunite with their children.

16 ~~((+28+))~~ (26) \$124,000 of the general fund—state appropriation
17 for fiscal year 2026, \$124,000 of the general fund—state
18 appropriation for fiscal year 2027, and \$60,000 of the general fund—
19 federal appropriation are provided solely for implementation of
20 Substitute House Bill No. 1272 (children in crisis program). ~~((If the
21 bill is not enacted by June 30, 2025, the amounts provided in this
22 subsection shall lapse.))~~

23 (27) \$102,000 of the general fund—state appropriation for fiscal
24 year 2026, \$2,092,000 of the general fund—state appropriation for
25 fiscal year 2027, and \$813,000 of the general fund—federal
26 appropriation are provided solely to implement the department's
27 updated workload model developed as required by chapter 297, Laws of
28 2022. Funding is intended to achieve an average caseload ratio in
29 fiscal year 2027 of 15.1 for child protective services investigations
30 and 14.2 for child protective services family assessment response.
31 This includes funding for additional staff and also assumes
32 reassignment of some existing staff.

33 (28) \$920,000 of the general fund—state appropriation for fiscal
34 year 2027 and \$340,000 of the general fund—federal appropriation are
35 provided solely to establish a regional disability liaison program as
36 required by the voluntary resolution agreement with the United States
37 department of health and human services office for civil rights and
38 the United States department of justice.

1 (29) \$613,000 of the general fund—state appropriation for fiscal
2 year 2027 is provided solely for implementation of Substitute Senate
3 Bill No. 5911 (DCYF/financial stability). If the bill is not enacted
4 by June 30, 2026, the amount provided in this subsection shall lapse.

5 (30) \$252,000 of the general fund—state appropriation for fiscal
6 year 2027 is provided solely to expand the plan of safe care program
7 to five high-needs communities, which provides care coordination and
8 resource navigation to expecting mothers and newborns with prenatal
9 exposure.

10 (31) \$329,000 of the general fund—state appropriation for fiscal
11 year 2027 is provided solely for the department to purchase an
12 updated assessment tool and implement the tool in two communities.

13 (32) \$188,000 of the general fund—state appropriation for fiscal
14 year 2027 is provided solely to refer families to family resource
15 centers in five high-needs communities. Family resource centers will
16 provide information, assess needs, make referrals to family services,
17 and provide direct delivery of services to families exiting the child
18 welfare system with a child older than age three.

19 (33) \$876,000 of the general fund—state appropriation for fiscal
20 year 2027 is provided solely for public health nurse supports in five
21 high-needs communities, which will serve child welfare families with
22 a child under age three where substance use is a factor.

23 (34) \$100,000 of the general fund—state appropriation for fiscal
24 year 2027 is provided solely to contract with one or more community-
25 based organizations to develop a services referral system to serve
26 families exiting the child welfare system.

27 (35) \$849,000 of the general fund—state appropriation for fiscal
28 year 2026 and \$849,000 of the general fund—state appropriation for
29 fiscal year 2027 are provided solely for the intensive foster care
30 assessment program to assess the needs of children who have been in
31 foster care for more than 90 days.

32 (36) The department may contract with one pediatric interim care
33 center. The center shall provide residential care for children
34 through two years of age. Seventy-five percent of the children served
35 by the center must be in need of special care as a result of
36 substance abuse by their parent or parents. The contract shall
37 require the center to allow parents to board in the room with the
38 child, provide eat, sleep, and console services, and provide support
39 for substance use disorder treatment for the parent or parents. The

center shall also provide on-site training to biological, adoptive, or foster parents. The center shall provide at least three months of consultation and support to the parents accepting placement of children from the center. The center may recruit new and current foster and adoptive parents for infants served by the center. The department shall not require case management as a condition of the contract. The pediatric interim care center shall cover any costs associated with the establishment of the contract with the department. By December 1, 2026, the department shall notify the chair and ranking members of both the house appropriations and senate ways and means committees regarding the status of the contract with a pediatric interim care center.

*Sec. 235. 2025 c 424 s 235 (uncodified) is amended to read as follows:

**FOR THE DEPARTMENT OF CHILDREN, YOUTH, AND FAMILIES—JUVENILE
REHABILITATION PROGRAM**

General Fund—State Appropriation (FY 2026)	((\$183,158,000))
	<u>\$191,265,000</u>
General Fund—State Appropriation (FY 2027)	((\$180,765,000))
	<u>\$184,958,000</u>
General Fund—Federal Appropriation.	((\$720,000))
	<u>\$694,000</u>
General Fund—Private/Local Appropriation.	((\$28,000))
	<u>\$58,000</u>
Opioid Abatement Settlement Account—State Appropriation.	\$652,000
Washington Auto Theft Prevention Authority Account— State Appropriation.	\$196,000
TOTAL APPROPRIATION.	((\$365,519,000))
	<u>\$377,823,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) (a) \$2,841,000 of the general fund—state appropriation for fiscal year 2026 and \$2,841,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for grants to county juvenile courts for effective, community-based programs that are culturally relevant, research-informed, and focused on supporting positive youth development, not just reducing recidivism. Additional

funding for this purpose is provided through an interagency agreement with the health care authority. County juvenile courts shall apply to the department of children, youth, and families for funding for program-specific participation and the department shall provide grants to the courts consistent with the per-participant treatment costs identified by the institute. The block grant oversight committee, in consultation with the Washington state institute for public policy, shall identify effective, community-based programs that are culturally relevant, research-informed, and focused on supporting positive youth development to receive funding.

(b) By June 30, 2026, the department of children, youth, and families juvenile rehabilitation program must provide a service inventory by county that shows how much each county court received in block grant funding under this subsection and how those funds were disbursed and spent. The service inventory must be provided in the form of a spreadsheet. The spreadsheet must contain the following data by county:

- (i) The total amount of funding disbursed to each county;
- (ii) The amount retained by the county court versus the amount disbursed to other organizations and entities for services;
- (iii) The name of each organization or entity in that county that ultimately received the grant funding for services provided;
- (iv) The grant amount that each organization or entity received;
- (v) The services and programs provided by each organization;
- (vi) The number of individuals served by each organization and entity as a result of the grant funding received; and
- (vii) By entity, the amount of grant funding that was spent on the direct services for offenders and individuals versus the amount spent on administrative expenses and court salaries.

(2) \$1,537,000 of the general fund—state appropriation for fiscal year 2026 and \$1,537,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for expansion of the juvenile justice treatments and therapies in the department of children, youth, and families. The juvenile rehabilitation evidence-based expansion committee, in consultation with the Washington state institute for public policy, will work with community expert partners to identify culturally relevant and research-informed programs for prevention and intervention services. These programs will include principles of positive youth development, healing centered engagement, or peer centered approaches that holistically benefit

1 young people, or all three principles. The department may concentrate
2 delivery of these treatments and therapies at a limited number of
3 programs to deliver the treatments in a cost-effective manner.

4 (3)(a) \$8,198,000 of the general fund—state appropriation for
5 fiscal year 2026 and (~~(\$8,198,000)~~) \$10,198,000 of the general fund—
6 state appropriation for fiscal year 2027 are provided solely to
7 implement evidence- and research-based programs through community
8 juvenile accountability grants, administration of the grants, and
9 evaluations of programs funded by the grants. In addition to funding
10 provided in this subsection, funding to implement alcohol and
11 substance abuse treatment programs for locally committed offenders is
12 provided through an interagency agreement with the health care
13 authority. Of the amounts provided in this subsection for fiscal year
14 2027, \$3,500,000 must be used solely for services for youth in the
15 county juvenile justice system, which may include staffing used to
16 provide direct services to youth, but may not be used for general
17 court staff salaries.

18 (b) The department of children, youth, and families shall
19 administer a block grant to county juvenile courts for the purpose of
20 serving youth as defined in RCW 13.40.510(4)(a) in the county
21 juvenile justice system. Funds dedicated to the block grant include:
22 Consolidated juvenile service funds, community juvenile
23 accountability act grants, chemical dependency/mental health
24 disposition alternative, and suspended disposition alternative. The
25 department of children, youth, and families shall follow the
26 following formula and must prioritize evidence-based programs and
27 disposition alternatives and take into account juvenile courts
28 program-eligible youth in conjunction with the number of youth served
29 in each approved evidence-based program or disposition alternative:
30 (i) Thirty-seven and one-half percent for the at-risk population of
31 youth ten to seventeen years old; (ii) fifteen percent for the
32 assessment of low, moderate, and high-risk youth; (iii) twenty-five
33 percent for evidence-based program participation; (iv) seventeen and
34 one-half percent for minority populations; (v) three percent for the
35 chemical dependency and mental health disposition alternative; and
36 (vi) two percent for the suspended dispositional alternatives.
37 Funding for the special sex offender disposition alternative shall
38 not be included in the block grant, but allocated on the average
39 daily population in juvenile courts. Funding for the evidence-based
40 expansion grants shall be excluded from the block grant formula.

1 Funds may be used for promising practices when approved by the
2 department of children, youth, and families and juvenile courts,
3 through the community juvenile accountability act committee, based on
4 the criteria established in consultation with Washington state
5 institute for public policy and the juvenile courts.

6 (c) The department of children, youth, and families and the
7 juvenile courts shall establish a block grant funding formula
8 oversight committee with equal representation from the department of
9 children, youth, and families and the juvenile courts. The purpose of
10 this committee is to assess the ongoing implementation of the block
11 grant funding formula, utilizing data-driven decision making and the
12 most current available information. The committee will be co-chaired
13 by the department of children, youth, and families and the juvenile
14 courts, who will also have the ability to change members of the
15 committee as needed to achieve its purpose. The committee may make
16 changes to the formula categories in (b) of this subsection if it
17 determines the changes will increase statewide service delivery or
18 effectiveness of evidence-based program or disposition alternative
19 resulting in increased cost/benefit savings to the state, including
20 long-term cost/benefit savings. The committee must also consider
21 these outcomes in determining when evidence-based expansion or
22 special sex offender disposition alternative funds should be included
23 in the block grant or left separate.

24 (d) The juvenile courts and administrative office of the courts
25 must collect and distribute information and provide access to the
26 data systems to the department of children, youth, and families and
27 the Washington state institute for public policy related to program
28 and outcome data. The department of children, youth, and families and
29 the juvenile courts must work collaboratively to develop program
30 outcomes that reinforce the greatest cost/benefit to the state in the
31 implementation of evidence-based practices and disposition
32 alternatives.

33 (e) By June 30, 2026, the department of children, youth, and
34 families juvenile rehabilitation program must provide a service
35 inventory by county that shows how much each county court received in
36 block grant funding under this subsection and how those funds were
37 disbursed and spent. The service inventory must be provided in the
38 form of a spreadsheet to the appropriate fiscal committees of the
39 legislature. The spreadsheet must contain the following data by
40 county:

1 (i) The total amount of funding disbursed to each county;
2 (ii) The amount retained by the county court versus the amount
3 disbursed to other organizations and entities for services;
4 (iii) The name of each organization or entity in that county that
5 ultimately received the grant funding for services provided;
6 (iv) The grant amount that each organization or entity received;
7 (v) The services and programs provided by each organization;
8 (vi) The number of individuals served by each organization and
9 entity as a result of the grant funding received; and
10 (vii) By entity, the amount of grant funding that was spent on
11 the direct services for offenders and individuals versus the amount
12 spent on administrative expenses and court salaries.

13 (4) \$808,000 of the general fund—state appropriation for fiscal
14 year 2026 and \$808,000 of the general fund—state appropriation for
15 fiscal year 2027 are provided solely for funding of the teamchild
16 project.

17 (5) \$500,000 of the general fund—state appropriation for fiscal
18 year 2026 and \$500,000 of the general fund—state appropriation for
19 fiscal year 2027 are provided solely for a grant program focused on
20 criminal street gang prevention and intervention. The department of
21 children, youth, and families may award grants under this subsection.
22 The department of children, youth, and families shall give priority
23 to applicants who have demonstrated the greatest problems with
24 criminal street gangs. Applicants composed of, at a minimum, one or
25 more local governmental entities and one or more nonprofit,
26 nongovernmental organizations that have a documented history of
27 creating and administering effective criminal street gang prevention
28 and intervention programs may apply for funding under this
29 subsection. Each entity receiving funds must report to the department
30 of children, youth, and families on the number and types of youth
31 served, the services provided, and the impact of those services on
32 the youth and the community.

33 (6) The juvenile rehabilitation institutions may use funding
34 appropriated in this subsection to purchase goods, supplies, and
35 services through hospital group purchasing organizations when it is
36 cost-effective to do so.

37 (7) \$50,000 of the general fund—state appropriation for fiscal
38 year 2026 and \$50,000 of the general fund—state appropriation for
39 fiscal year 2027 are provided solely for grants to county juvenile

1 courts to establish alternative detention facilities similar to the
2 proctor house model in Jefferson county, Washington, that will
3 provide less restrictive confinement alternatives to youth in their
4 local communities. County juvenile courts shall apply to the
5 department of children, youth, and families for funding and each
6 entity receiving funds must report to the department on the number
7 and types of youth serviced, the services provided, and the impact of
8 those services on the youth and the community.

9 (8) \$432,000 of the general fund—state appropriation for fiscal
10 year 2026 and \$432,000 of the general fund—state appropriation for
11 fiscal year 2027 are provided solely for the department to provide
12 housing services to clients releasing from incarceration into the
13 community.

14 (9) (a) (~~(\$878,000)~~) \$1,160,000 of the general fund—state
15 appropriation for fiscal year 2026 and (~~(\$879,000)~~) \$2,007,000 of the
16 general fund—state appropriation for fiscal year 2027 are provided
17 solely for implementation of chapter 206, Laws of 2021 (concerning
18 juvenile rehabilitation community transition services).

19 (b) Of the amounts provided in (a) of this subsection, \$105,000
20 of the general fund—state appropriation for fiscal year 2026 and
21 \$105,000 of the general fund—state appropriation for fiscal year 2027
22 are provided solely for housing vouchers.

23 (10) (a) \$140,000 of the general fund—state appropriation for
24 fiscal year 2026 and \$140,000 of the general fund—state appropriation
25 for fiscal year 2027 are provided solely for implementation of
26 chapter 150, Laws of 2023 (sexual offenses by youth).

27 (b) The department of children, youth, and families—juvenile
28 rehabilitation shall develop and implement a grant program that
29 allows defense attorneys and counties to apply for funding for sex
30 offender evaluation and treatment programs. The department shall
31 provide funding to counties for: (a) Process mapping, site
32 assessment, and training for additional sex offender treatment
33 modalities such as multisystemic therapy-problem sexual behavior or
34 problematic sexual behavior-cognitive behavioral therapy; and (b) for
35 any evaluation and preadjudication treatment costs which are not
36 covered by the court.

37 (11) \$505,000 of the general fund—state appropriation for fiscal
38 year 2026 and \$505,000 of the general fund—state appropriation for

1 fiscal year 2027 are provided solely for contracted services for
2 housing for youth exiting juvenile rehabilitation facilities.

3 (12) \$1,182,000 of the general fund—state appropriation for
4 fiscal year 2026 and \$1,182,000 of the general fund—state
5 appropriation for fiscal year 2027 are provided solely for a
6 dedicated institutional educational oversight and accountability team
7 and staff at Green Hill and Echo Glen secure facilities that will
8 serve as an educational engagement team at the facility and will also
9 coordinate and engage with community enrichment programs and
10 community organizations to afford more successful transitions.

11 (13) \$1,048,000 of the general fund—state appropriation for
12 fiscal year 2026 and \$1,048,000 of the general fund—state
13 appropriation for fiscal year 2027 are provided solely for a contract
14 to provide opioid use disorder post-release education and
15 intervention services.

16 (14) \$652,000 of the opioid abatement settlement account—state
17 appropriation is provided solely for medical personnel to provide
18 medications for opioid use disorder (MOUD) education and treatment.

19 (15) \$12,500,000 of the general fund—state appropriation for
20 fiscal year 2026 and \$12,500,000 of the general fund—state
21 appropriation for fiscal year 2027 are provided solely for the
22 department to open and operate a 48-bed living unit, a modular
23 building, and recreation area at the Stafford Creek corrections
24 center in Aberdeen.

25 (16) \$406,000 of the general fund—state appropriation for fiscal
26 year 2026, \$392,000 of the general fund—state appropriation for
27 fiscal year 2027, and \$16,000 of the general fund—federal
28 appropriation are provided solely for dedicated classification
29 specialists to create and operate a formal classification process to
30 provide more frequent individualized security-level reviews at each
31 full and partial confinement facility operated by the department of
32 children, youth, and families—juvenile rehabilitation program. The
33 classification specialists must also review and update the policies
34 for assigning security classification levels for juvenile
35 rehabilitation youth to provide more frequent individualized
36 security-level reviews at each full and partial confinement facility
37 operated by the department. The department shall update any rules
38 necessary to implement the updated policies. This review and update
39 must include: (a) The consideration of incorporating evidence-based

1 criteria for assigning security classification; (b) the frequency for
2 the review of each person's classification; (c) if deemed necessary,
3 the development of additional security classifications to better
4 reflect the population and available institutional settings; and (d)
5 criteria for the override of a security classification by the
6 superintendent or other authorized person. The classification
7 specialists are encouraged to consult with experts in trauma-informed
8 juvenile rehabilitation policy, experts with experience in
9 noninstitutional approaches to juvenile justice, experts in child
10 psychology and development, individuals with lived experience in
11 juvenile rehabilitation institutions, and experts that may be able to
12 provide a culturally relevant perspective to policies and programs
13 offered in juvenile rehabilitation institutions. The department shall
14 report to the appropriate committees of the legislature any statutory
15 barriers to incorporating evidence-based best practices into the
16 updated policies.

17 (17) \$266,000 of the general fund—state appropriation for fiscal
18 year 2026, \$252,000 of the general fund—state appropriation for
19 fiscal year 2027, and \$10,000 of the general fund—federal
20 appropriation are provided solely for dedicated infraction
21 specialists to create and implement an infractions policy to respond
22 to incidents of violence, harmful behaviors, and safety issues at
23 each full and partial confinement facility operated by the
24 department. The department shall, in consultation with organizations
25 focused on juvenile justice policy and reform, review every six
26 months the infraction data to identify disparities and implement any
27 necessary changes to the system to address such disparities. This
28 review shall also include an assessment of factors that lead to the
29 most common infractions, including staffing, facility population, and
30 availability of programming.

31 (18)(a) \$133,000 of the general fund—state appropriation for
32 fiscal year 2026 and \$126,000 of the general fund—state appropriation
33 for fiscal year 2027 are provided solely for the department of
34 children, youth, and families—juvenile rehabilitation to develop an
35 Excel spreadsheet capacity needs assessment model (CNAM) for all
36 secure residential facilities, community residential facilities, and
37 community transition services for which the juvenile rehabilitation
38 is responsible or that are operated, managed, or administered by the
39 juvenile rehabilitation. The capacity needs assessment model must

1 provide a level of detail comparable to that provided by the capacity
2 needs assessment model maintained by the department of corrections
3 research and analytics team for bed capacity. This capacity needs
4 assessment model shall provide the department with a predictive tool
5 that shows the current number of beds available and the forecasted
6 number of beds that are needed, by security level, by fiscal year,
7 over a 10 fiscal-year period. Similar to the department of
8 corrections' capacity needs assessment model, the model developed by
9 juvenile rehabilitation must specify current and forecasted needed
10 beds based on crime of conviction and assigned custody level over 10
11 fiscal years, by gender, age, custody level, and fiscal year.

12 (b) The Excel spreadsheet capacity needs assessment model must be
13 updated after each caseload forecast council's adopted caseload
14 forecast for the juvenile rehabilitation. No later than 30 calendar
15 days after each adopted caseload forecast, the model shall be
16 electronically transmitted to the appropriate chairs of the fiscal
17 committees for the house of representatives and senate or posted on
18 the department of juvenile rehabilitation's external-facing website.

19 (19) (~~(\$1,418,000)~~) \$709,000 of the general fund—state
20 appropriation for fiscal year 2026 (~~(is)~~) and \$709,000 of the general
21 fund—state appropriation for fiscal year 2027 are provided solely for
22 the department to maintain the facility, property, and assets at the
23 Naselle youth camp in Naselle.

24 (~~((+21+))~~) (20) The department shall promptly notify the office of
25 the attorney general upon the receipt of a request from or on behalf
26 of a federal agency or a federal, state, or local law enforcement
27 authority for health care information, as defined in RCW 70.02.010,
28 program eligibility information for individuals, information that may
29 identify a health care provider's or facility's delivery of health
30 care services to noncitizens, or the delivery of protected health
31 care services as defined in RCW 7.115.010 where the request may
32 impact expenditures for such services. The juvenile rehabilitation
33 program shall require contracted entities to notify the juvenile
34 rehabilitation program promptly upon receipt of a request from a
35 federal agency or law enforcement authority as described in this
36 subsection.

37 (~~((+22+))~~) (21) \$183,000 of the general fund—state appropriation
38 for fiscal year 2026 and \$172,000 of the general fund—state
39 appropriation for fiscal year 2027 are provided solely for

implementation of Senate Bill No. 5032 (juvenile rehab. ombuds). (~~If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.~~)

(22) At least 30 calendar days prior to a change in program policies or procedures which the department determines is likely to have an adverse impact to a majority of that program's clients, the department shall communicate the change to impacted persons. The department may leverage multiple communication platforms and diverse methods to communicate the change under this subsection. In cases where the change in program policies or procedures must be implemented in a time frame that renders 30-day advance notice infeasible, the department shall make efforts to notify impacted persons as soon as possible. The department shall partner with community-based organizations, tribes, and state and local agencies to share information broadly, prioritizing language access where possible.

**Sec. 235 was partially vetoed. See message at end of chapter.*

***Sec. 236.** 2025 c 424 s 236 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF CHILDREN, YOUTH, AND FAMILIES—EARLY LEARNING PROGRAM

General Fund—State Appropriation (FY 2026).	((\$934,956,000))
	<u>\$1,064,991,000</u>
General Fund—State Appropriation (FY 2027).	((\$1,140,922,000))
	<u>\$1,130,751,000</u>
General Fund—Federal Appropriation.	((\$462,759,000))
	<u>\$511,364,000</u>
General Fund—Private/Local Appropriation.	\$579,000
Education Legacy Trust Account—State Appropriation. ((\$410,875,000))	
	<u>\$410,342,000</u>
Home Visiting Services Account—State Appropriation. . ((\$34,500,000))	
	<u>\$32,200,000</u>
Home Visiting Services Account—Federal Appropriation. . .	\$37,059,000
Washington Opportunity Pathways Account—State	
Appropriation.	((\$80,000,000))
	<u>\$120,000,000</u>
Workforce Education Investment Account—State	
Appropriation.	\$13,166,000

TOTAL APPROPRIATION. ((~~\$3,114,816,000~~))
\$3,320,452,000

The appropriations in this section are subject to the following conditions and limitations:

(1) (a) ((~~\$127,001,000~~)) \$127,100,000 of the general fund—state appropriation for fiscal year 2026, ((~~\$133,386,000~~)) \$93,485,000 of the general fund—state appropriation for fiscal year 2027, \$91,810,000 of the education legacy trust account—state appropriation, and ((~~\$80,000,000~~)) \$120,000,000 of the opportunity pathways account—state appropriation are provided solely for the early childhood education and assistance program. These amounts shall support at least 14,278 slots in fiscal year 2026 and 14,528 slots in fiscal year 2027. Of the total slots in each fiscal year, 100 slots must be reserved for foster children to receive school-year-round enrollment.

(b) Funding provided in (a) of this subsection is sufficient to:

(i) Provide a slot rate increase of five percent on full day slots beginning in fiscal year 2026; and

(ii) Increase 250 full day slots beginning in fiscal year 2027.

(c) In addition to the funding provided for the slots in (a) of this subsection, the department will make efforts to increase the number of early childhood education and assistance program slots by leveraging private philanthropic dollars in the pre-k promise account pursuant to Engrossed Senate Bill No. 5872 (PreK promise account). It is the intent of the legislature to fund up to 10,000 additional early childhood education and assistance program slots from the pre-k promise account.

(d) The department of children, youth, and families must develop a methodology to identify, at the school district level, the geographic locations of where early childhood education and assistance program slots are needed to meet the entitlement specified in RCW 43.216.556. This methodology must be linked to the caseload forecast produced by the caseload forecast council and must include estimates of the number of slots needed at each school district and the corresponding facility needs required to meet the entitlement in accordance with RCW 43.216.556. This methodology must be included as part of the budget submittal documentation required by RCW 43.88.030.

(2) The department is the lead agency for and recipient of the federal child care and development fund grant. Amounts within this

grant shall be used to fund child care licensing, quality initiatives, agency administration, and other costs associated with child care subsidies.

(3) The department of children, youth, and families shall work in collaboration with the department of social and health services to determine the appropriate amount of state expenditures for the working connections child care program to claim towards the state's maintenance of effort for the temporary assistance for needy families program. The departments will also collaborate to track the average monthly child care subsidy caseload and expenditures by fund type, including child care development fund, general fund—state appropriation, and temporary assistance for needy families for the purpose of estimating the annual temporary assistance for needy families reimbursement from the department of social and health services to the department of children, youth, and families. Effective December 1, 2025, and annually thereafter, the department of children, youth, and families must report to the governor and the appropriate fiscal and policy committees of the legislature the total state contribution for the working connections child care program claimed the previous fiscal year towards the state's maintenance of effort for the temporary assistance for needy families program and the total temporary assistance for needy families reimbursement from the department of social and health services for the previous fiscal year.

(4) (a) (~~(\$185,996,000)~~) \$192,331,000 of the general fund—state appropriation for fiscal year 2026, (~~(\$321,821,000)~~) \$336,347,000 of the general fund—state appropriation for fiscal year 2027, and \$900,000 of the education legacy trust account—state appropriation are (~~provided solely~~) sufficient for enhancements to the working connections child care program.

(b) Of the amounts provided in (a) of this subsection:

(i) \$126,974,000 of the general fund—state appropriation for fiscal year 2027 is provided (~~solely~~) to increase subsidy base rates to the 85th percentile of market based on the 2024 market rate survey for child care centers, beginning July 1, 2026.

(ii) (~~(\$185,996,000)~~) \$192,331,000 of the general fund—state appropriation for fiscal year 2026, (~~(\$194,847,000)~~) \$209,373,000 of the general fund—state appropriation for fiscal year 2027, and \$900,000 of the education legacy trust account—state appropriation

1 are (~~provided solely~~) sufficient to implement the 2025-2027
2 collective bargaining agreement covering family child care providers
3 as provided in section 907 of this act. Of the amounts provided in
4 this subsection:

5 (A) \$5,342,000 of the general fund—state appropriation for fiscal
6 year 2026 and \$5,784,000 of the general fund—state appropriation for
7 fiscal year 2027 are for a 50 cent per hour per child rate increase
8 for family, friends, and neighbor providers (FFNs) beginning July 1,
9 2025.

10 (B) \$2,785,000 of the general fund—state appropriation for fiscal
11 year 2026 and \$3,343,000 of the general fund—state appropriation for
12 fiscal year 2027 are for a health care contribution increase.

13 (C) (~~(\$81,367,000)~~) \$87,702,000 of the general fund—state
14 appropriation for fiscal year 2026 and (~~(\$84,919,000)~~) \$99,445,000 of
15 the general fund—state appropriation for fiscal year 2027 are for a
16 cost of care rate enhancement.

17 (D) \$96,502,000 of the general fund—state appropriation for
18 fiscal year 2026 and \$100,801,000 of the general fund—state
19 appropriation for fiscal year 2027 are provided to increase subsidy
20 base rates to the 85th percentile of market based on the 2024 market
21 rate survey for licensed family homes.

22 (E) \$900,000 of the education legacy trust account—state
23 appropriation is provided solely for trauma informed care supports.

24 (c) Funding in this subsection must be expended with internal
25 controls that provide child-level detail for all transactions.

26 (d) On July 1st of each fiscal year, the department, in
27 collaboration with the department of social and health services, must
28 report to the governor and the appropriate fiscal and policy
29 committees of the legislature on the status of overpayments in the
30 working connections child care program. The report must include the
31 following information for the previous fiscal year:

32 (i) A summary of the number of overpayments that occurred;
33 (ii) The reason for each overpayment;
34 (iii) The total cost of overpayments;
35 (iv) A comparison to overpayments that occurred in the past two
36 preceding fiscal years; and

37 (v) Any planned modifications to internal processes that will
38 take place in the coming fiscal year to further reduce the occurrence
39 of overpayments.

(e) Within available amounts, the department in consultation with the office of financial management shall report enrollments and active caseload for the working connections child care program to the governor and the legislative fiscal committees and the legislative-executive WorkFirst poverty reduction oversight task force on an agreed upon schedule. The report shall also identify the number of cases participating in both temporary assistance for needy families and working connections child care. The department must also report on the number of children served through contracted slots.

~~(5) ((\$10,754,000 of the general fund federal appropriation is provided solely for the department to comply with new federal requirements of the child care development fund grant, including implementing enrollment-based pay, prospective pay, and to not pursue overpayments in certain cases.))~~ **Within existing resources, the department of children, youth, and families and the office of the superintendent of public instruction must determine best practices, shared strategies, and data sharing approaches for the joint development of regional, public-facing data dashboards that support the transition from early learning to the K-12 education system. The department and the office must collaborate to identify system needs and information technology infrastructure requirements to improve access to actionable, consumer-friendly data for families, school districts, and early learning providers. The joint dashboards developed as part of this work must build from existing dashboards and must include regularly updated key indicators such as program supply and demand, enrollment trends, and outcomes of state early learning investments, disaggregated by geography, program type, and family demographics. The joint dashboards must be completed by June 30, 2026.**

(6) \$13,166,000 of the workforce education investment account—state appropriation is provided solely for the working connections child care program under RCW 43.216.806(1)(a).

(7) \$353,402,000 of the general fund—federal appropriation is reimbursed by the department of social and health services to the department of children, youth, and families for qualifying expenditures of the working connections child care program under RCW 43.216.135.

(8) ~~(\$3,313,000))~~ \$3,456,000 of the general fund—state appropriation for fiscal year 2026, ~~(\$3,323,000))~~ \$3,466,000 of the

1 general fund—state appropriation for fiscal year 2027, and
2 (~~(\$9,303,000)~~) \$9,018,000 of the education legacy trust account—state
3 appropriation are provided solely for the early childhood
4 intervention prevention services (ECLIPSE) program. The department
5 shall contract for ECLIPSE services to provide therapeutic child care
6 and other specialized treatment services to abused, neglected, at-
7 risk, and/or drug-affected children. The department shall pursue
8 opportunities to leverage other funding to continue and expand
9 ECLIPSE services. Priority for services shall be given to children
10 referred from the department.

11 (9) The department shall place a (~~(ten)~~) 10 percent
12 administrative overhead cap on any contract entered into with the
13 University of Washington. (~~(In a bi-annual report to the governor and~~
14 ~~the legislature,)~~) By November 1st of every year the department shall
15 report the total amount of funds spent on the quality rating and
16 improvements system and the total amount of funds spent on degree
17 incentives, scholarships, and tuition reimbursements to the governor
18 and legislature.

19 (10) \$1,728,000 of the general fund—state appropriation for
20 fiscal year 2026 and \$1,728,000 of the general fund—state
21 appropriation for fiscal year 2027 are provided solely for reducing
22 barriers for low-income providers to participate in the early
23 achievers program.

24 (11) \$4,000,000 of the education legacy trust account—state
25 appropriation is provided solely for early intervention assessment
26 and services.

27 (12) \$265,000 of the general fund—state appropriation for fiscal
28 year 2026 and \$265,000 of the general fund—state appropriation for
29 fiscal year 2027 are provided solely for a statewide family resource
30 and referral linkage system, with coordinated access point of
31 resource navigators who will connect families with children prenatal
32 through age five with services, programs, and community resources
33 through a facilitated referral and linkage process.

34 (13)(a) The department must provide to the education research and
35 data center, housed at the office of financial management, data on
36 all state-funded early childhood programs. These programs include the
37 early support for infants and toddlers, early childhood education and
38 assistance program (ECEAP), and the working connections and seasonal
39 subsidized childcare programs including license-exempt facilities or

1 family, friend, and neighbor care. The data provided by the
2 department to the education research data center must include
3 information on children who participate in these programs, including
4 their name and date of birth, and dates the child received services
5 at a particular facility.

6 (b) ECEAP early learning professionals must enter any new
7 qualifications into the department's professional development
8 registry each school year. By October of each fiscal year, the
9 department must provide updated ECEAP early learning professional
10 data to the education research data center.

11 (c) The department must request federally funded head start
12 programs to voluntarily provide data to the department and the
13 education research data center that is equivalent to what is being
14 provided for state-funded programs.

15 (d) The education research and data center must provide an
16 updated report on early childhood program participation and K-12
17 outcomes to the house of representatives appropriations committee and
18 the senate ways and means committee using available data every March
19 for the previous school year.

20 (e) The department, in consultation with the department of social
21 and health services, must withhold payment for services to early
22 childhood programs that do not report on the name, date of birth, and
23 the dates a child received services at a particular facility.

24 (14) \$100,000 of the general fund—state appropriation for fiscal
25 year 2026 and \$100,000 of the general fund—state appropriation for
26 fiscal year 2027 are provided solely for the department to continue
27 implementation of an infant and early childhood mental health
28 consultation initiative to support tribal child care and early
29 learning programs. Funding may be used to provide culturally
30 congruent infant and early childhood mental health supports for
31 tribal child care, the tribal early childhood education and
32 assistance program, and tribal head start providers. The department
33 must consult with federally recognized tribes which may include round
34 tables through the Indian policy early learning committee.

35 (15) Within existing resources, the department, in consultation
36 with the office of tribal relations, must prioritize complex needs
37 funds and equity grants to tribal early learning providers.

38 (16) \$8,144,000 of the general fund—state appropriation for
39 fiscal year 2026 and \$9,264,000 of the general fund—state

1 appropriation for fiscal year 2027 are provided solely for
2 implementation of Engrossed Second Substitute Senate Bill No. 5263
3 (special education funding). (~~If the bill is not enacted by June 30,~~
4 ~~2025, the amounts provided in this subsection shall lapse.~~)

5 (17) Sufficient funding is provided in this section for
6 implementation of Engrossed Substitute Senate Bill No. 5752 (child
7 care & early dev.).

8 (18) \$63,000 of the general fund—state appropriation for fiscal
9 year 2026 is provided solely for implementation of Substitute Senate
10 Bill No. 5030 (vital records access). (~~If the bill is not enacted by~~
11 ~~June 30, 2025, the amount provided in this subsection shall lapse.~~)

12 (19) \$1,000,000 of the general fund—state appropriation for
13 fiscal year 2026 is provided solely for the department of children,
14 youth, and families to contract with a countywide nonprofit
15 organization with early childhood expertise in Pierce county for a
16 project to prevent child abuse and neglect using nationally
17 recognized models.

18 (a) The nonprofit organization must continue to implement a
19 countywide resource and referral linkage system for families of
20 children who are prenatal through age five.

21 (b) The nonprofit organization must offer a voluntary brief
22 newborn home visiting program. The program must meet the diverse
23 needs of Pierce county residents and, therefore, it must be flexible,
24 culturally appropriate, and culturally responsive.

25 (20) \$1,000,000 of the general fund—state appropriation for
26 fiscal year 2026 and \$1,000,000 of the general fund—state
27 appropriation for fiscal year 2027 are provided solely for the
28 department to contract with Washington communities for children to
29 maintain a community-based early childhood network.

30 (21) \$1,812,000 of the general fund—state appropriation for
31 fiscal year 2027 is provided solely for implementation of Substitute
32 House Bill No. 2689 (working connect. child care). If the bill is not
33 enacted by June 30, 2026, the amounts provided in this subsection
34 shall lapse.

35 (22) \$181,266,000 of the general fund—state appropriation for
36 fiscal year 2027, \$2,000,000 of the education legacy trust—state
37 appropriation, and \$7,138,000 of the general fund—federal
38 appropriation are provided solely for the early support for infants
39 and toddlers program, including staffing and operational costs to

administer the program, to provide early intervention services to all eligible children with disabilities from birth to three years of age, as established by RCW 43.216.580. The department shall reimburse providers in accordance with state and federal requirements, including part C of the federal individuals with disabilities education act and Title XIX of the federal social security act. By December 1, 2026, the department, in collaboration with the health care authority, shall report to the legislature the following information, delineated by early intervention service provider:

- (a) An unduplicated count of children served;
- (b) Total state funding reimbursed including, but not limited to, the state share of any payments under Title XIX or XXI of the social security act;
- (c) Total federal funding reimbursed including, but not limited to, any public insurance;
- (d) Other funding expended for qualifying services, which may include private insurance, fees, family contributions, grants, philanthropy, or other fund sources that are available; and
- (e) An assessment of whether service providers are fully leveraging federal and other nonstate funding for qualifying services, including billing applicable funding sources such as public and private insurance and family fees such as copayments and deductibles prior to using state and federal funds for early intervention services, as required by WAC 110-400-0140.

(23) \$79,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for implementation of Second Substitute House Bill No. 1128 (child care workforce board). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

**Sec. 236 was partially vetoed. See message at end of chapter.*

Sec. 237. 2025 c 424 s 237 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF CHILDREN, YOUTH, AND FAMILIES—PROGRAM SUPPORT

General Fund—State Appropriation (FY 2026).	((\$291,756,000))
	<u>\$963,589,000</u>
General Fund—State Appropriation (FY 2027).	((\$293,247,000))
	<u>\$638,403,000</u>
General Fund—Federal Appropriation.	((\$224,909,000))

	<u>\$370,862,000</u>
General Fund—Private/Local Appropriation.	\$713,000
Education Legacy Trust Account—State Appropriation.	((\$1,374,000))
	<u>\$1,086,000</u>
Home Visiting Services Account—State Appropriation.	\$484,000
Home Visiting Services Account—Federal Appropriation.	\$380,000
TOTAL APPROPRIATION.	((\$812,863,000))
	<u>\$1,975,517,000</u>

The appropriations in this section are subject to the following conditions and limitations:

((~~+2~~)) (1) \$25,000 of the general fund—state appropriation for fiscal year 2026, \$29,000 of the general fund—state appropriation for fiscal year 2027, and \$47,000 of the general fund—federal appropriation are provided solely for the implementation of an agreement reached between the governor and the Washington federation of state employees for the language access providers under the provisions of chapter 41.56 RCW for the 2025-2027 fiscal biennium, as provided in section 907 of this act.

((~~+3~~)) (2) \$100,000 of the general fund—state appropriation for fiscal year 2026 and \$100,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for a full-time employee to coordinate policies and programs to support pregnant and parenting individuals receiving chemical dependency or substance use disorder treatment.

((~~+4~~—\$2,640,000)) (3) \$3,560,000 of the general fund—state appropriation for fiscal year 2026, ((~~\$2,640,000~~)) \$3,600,000 of the general fund—state appropriation for fiscal year 2027, and \$181,000 of the general fund—federal appropriation are provided solely for the phase-in of the settlement agreement under *D.S. et al. v. Department of Children, Youth, and Families et al.*, United States district court for the western district of Washington, cause no. 2:21-cv-00113-BJR. The department must implement the provisions of the settlement agreement pursuant to the timeline and implementation plan provided for under the settlement agreement. This includes implementing provisions related to plaintiff's fees, the emerging adulthood housing program, professional therapeutic foster care, statewide hub home model, revised licensing standards, family group planning, referrals and transition, qualified residential treatment program, exceptional placement costs, and monitoring and implementation.

1 ~~((+5))~~ (4) \$1,494,000 of the general fund—federal appropriation
2 is provided solely for continued implementation of the family first
3 prevention services act requirements, including technology
4 enhancements to support the automated assessments, data quality, and
5 reporting requirements. Funding provided in this subsection is
6 subject to the conditions, limitations, and review provided in
7 section 701 of this act.

8 ~~((+6))~~ (5) \$1,248,000 of the general fund—state appropriation
9 for fiscal year 2026 and \$1,248,000 of the general fund—state
10 appropriation for fiscal year 2027 are provided solely for the
11 continuation of the emergency adolescent housing pilot program. The
12 housing pilot will serve hard-to-place foster youth who are at least
13 16 years old with housing and intensive case management.

14 ~~((+7))~~ (6) \$700,000 of the general fund—state appropriation for
15 fiscal year 2026 and \$700,000 of the general fund—state appropriation
16 for fiscal year 2027 are provided solely for funding of the teamchild
17 project.

18 ~~((+8))~~ (7) \$13,990,000 of the general fund—state appropriation
19 for fiscal year 2026, \$17,903,000 of the general fund—state
20 appropriation for fiscal year 2027, and \$31,893,000 of the general
21 fund—federal appropriation are provided solely to begin design,
22 development, and implementation of the comprehensive child welfare
23 information system. The funding in this section is subject to the
24 conditions, limitations, and review requirements of section 701 of
25 this act.

26 ~~((+9)) The department must report to and coordinate with the~~
27 ~~department of ecology to track expenditures from climate commitment~~
28 ~~act accounts, as defined and described in RCW 70A.65.300 and chapter~~
29 ~~173-446B WAC.~~

30 ~~(+10))~~ (8) \$750,000 of the general fund—state appropriation for
31 fiscal year 2026 and \$750,000 of the general fund—state appropriation
32 for fiscal year 2027 are provided solely for the department to
33 maintain rates for independent living service providers.

34 ~~((+11))~~ (9) \$88,000 of the general fund—state appropriation for
35 fiscal year 2026, \$82,000 of the general fund—state appropriation for
36 fiscal year 2027, and \$29,000 of the general fund—federal
37 appropriation are provided solely for implementation of Substitute
38 Senate Bill No. 5163 (child fatalities). ~~((If the bill is not enacted~~

1 ~~by June 30, 2025, the amounts provided in this subsection shall~~
2 ~~lapse.~~

3 ~~(12))~~ (10) \$9,000 of the general fund—state appropriation for
4 fiscal year 2026, \$11,000 of the general fund—state appropriation for
5 fiscal year 2027, and \$2,000 of the general fund—federal
6 appropriation are provided solely for implementation of Substitute
7 Senate Bill No. 5149 (early childhood court prg.). ~~((If the bill is~~
8 ~~not enacted by June 30, 2025, the amounts provided in this subsection~~
9 ~~shall lapse.~~

10 ~~(13))~~ (11) \$250,000 of the general fund—state appropriation for
11 fiscal year 2026 and \$250,000 of the general fund—state appropriation
12 for fiscal year 2027 are provided solely for implementation of
13 Substitute House Bill No. 1177 (child welfare housing assist.). ~~((If~~
14 ~~the bill is not enacted by June 30, 2025, the amounts provided in~~
15 ~~this subsection shall lapse.~~

16 ~~(14))~~ (12) \$25,000 of the general fund—state appropriation for
17 fiscal year 2026, \$50,000 of the general fund—state appropriation for
18 fiscal year 2027, and \$38,000 of the general fund—federal
19 appropriation are provided for the department to:

20 (a) Provide information and support to parents and caregivers on
21 how to become the representative payee for a child or youth receiving
22 social security benefits and maintain eligibility for those benefits
23 when the department is the representative payee and the child is
24 exiting the department's care;

25 (b) Provide information and support to youth turning 18 on how to
26 become the payee for social security benefits and maintain
27 eligibility for those benefits when the department is the
28 representative payee, unless the youth requires a representative
29 payee to manage the funds;

30 (c) Adopt rules to notify caregivers and parties to the
31 dependency proceeding when the department applies for social security
32 or other benefits on behalf of a child and establish procedures for
33 children and caregivers to request and for the department to approve
34 the disbursement of social security and other public benefits to meet
35 the unmet personal needs of a child when the department is the
36 representative payee for such benefits. The department shall adopt
37 rules by January 1, 2026; and

38 (d) Submit a report to the legislature by November 1, 2025, that
39 includes:

1 (i) An updated implementation plan to discontinue the practice of
2 using any benefits paid to or on behalf of a child or youth to
3 reimburse itself for the cost of care and conserve benefits for the
4 future needs of the child by the earliest date feasible;

5 (ii) A description of costs and recommendations for statutory
6 changes necessary to conserve benefits in a manner in which the funds
7 will not count against eligibility for federal or state means-tested
8 programs;

9 (iii) Data on the number of children or youth receiving social
10 security and other public benefits, by age;

11 (iv) The average amount of federal benefits collected per child
12 or youth in fiscal year 2025; and

13 (v) Recommendations for additional supports for families and
14 youth to maintain benefits after reunification or exit from care.

15 ~~((115))~~ (13) \$29,000 of the general fund—state appropriation for
16 fiscal year 2026, \$29,000 of the general fund—state appropriation for
17 fiscal year 2027, and \$8,000 of the general fund—federal
18 appropriation are provided solely for implementation of Senate Bill
19 No. 5032 (juvenile rehab. ombuds). ~~((If the bill is not enacted by
20 June 30, 2025, the amounts provided in this subsection shall lapse.))~~

21 (14) \$42,600,000 of the general fund—state appropriation for
22 fiscal year 2026 is provided solely for legal costs that exceed the
23 amount covered by the self-insurance liability account as follows:

24 (a) \$5,000,000 for the costs associated with a settlement
25 agreement reached in *Wolf for Estate of Ford v. State*, King County
26 Superior Court, Cause No. 23-2-25597-6 SEA.

27 (b) \$5,000,000 for the costs associated with a settlement
28 agreement reached in *J.P., et al. v. State*, Thurston County Superior
29 Court, Cause No. 22-2-00326-34.

30 (c) \$2,000,000 for the costs associated with a settlement
31 agreement reached in *Anderson by Graves, et al. v. State, et al.*,
32 Thurston County Superior Court, Cause No. 24-2-02642-34.

33 (d) \$10,000,000 for the costs associated with a settlement
34 agreement reached in *A.G., et al. v. State, et al.*, King County
35 Superior Court, Cause No. 23-2-02517-2 SEA.

36 (e) \$4,600,000 for the costs associated with a settlement
37 agreement reached in *K.W.L. by Wolf v. State*, Spokane County Superior
38 Court, Cause No. 24-2-05153-32.

1 (f) \$8,500,000 for the costs associated with a settlement
2 agreement reached in *Wolf for Estate of Green v. State, et al.*, King
3 County Superior Court, Cause No. 23-2-09548-1 SEA.

4 (g) \$1,000,000 for the costs associated with a settlement
5 agreement reached in *Tandberg, et al. v. State*, King County Superior
6 Court, Cause No. 19-2-25178-6 SEA; and

7 (h) \$6,500,000 for the costs associated with a settlement
8 agreement reached in *D.H., et al. v. State*, Pierce County Superior
9 Court, Cause No. 18-2-10118-8.

10 (15) \$35,000 of the general fund—state appropriation for fiscal
11 year 2026, \$138,000 of the general fund—state appropriation for
12 fiscal year 2027, and \$23,000 of the general fund—federal
13 appropriation are provided solely for dedicated staffing in the
14 community to work directly with youth on the community transition
15 services program.

16 (16) \$35,000 of the general fund—state appropriation for fiscal
17 year 2026 is provided solely to meet financial obligations under the
18 terms of a voluntary resolution agreement relating to discrimination
19 against parents with disabilities that has been made with the
20 department of health and human services and the department of
21 justice.

22 (17) \$231,000 of the general fund—state appropriation for fiscal
23 year 2027 and \$31,000 of the general fund—federal appropriation are
24 provided solely for implementation of Substitute House Bill No. 2689
25 (working connect. child care). If the bill is not enacted by June 30,
26 2026, the amounts provided in this subsection shall lapse.

(End of part)

PART III
NATURAL RESOURCES

Sec. 301. 2025 c 424 s 301 (uncodified) is amended to read as follows:

FOR THE COLUMBIA RIVER GORGE COMMISSION

General Fund—State Appropriation (FY 2026)	((\$693,000))
	<u>\$723,000</u>
General Fund—State Appropriation (FY 2027)	((\$730,000))
	<u>\$784,000</u>
General Fund—Federal Appropriation.	\$32,000
General Fund—Private/Local Appropriation.	((\$1,699,000))
	<u>\$1,780,000</u>
Climate Commitment Account—State Appropriation.	\$138,000
TOTAL APPROPRIATION.	((\$3,292,000))
	<u>\$3,457,000</u>

***Sec. 302.** 2025 c 424 s 302 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF ECOLOGY

General Fund—State Appropriation (FY 2026)	((\$32,456,000))
	<u>\$31,668,000</u>
General Fund—State Appropriation (FY 2027)	((\$35,602,000))
	<u>\$34,532,000</u>
General Fund—Federal Appropriation.	((\$245,110,000))
	<u>\$245,164,000</u>
General Fund—Private/Local Appropriation.	((\$39,590,000))
	<u>\$39,596,000</u>
Climate Commitment Account—State Appropriation.	((\$15,805,000))
	<u>\$15,295,000</u>
Emergency Drought Response Account—State	
Appropriation.	\$6,000,000
<u>Laboratory Accreditation Account—State Appropriation. . .</u>	<u>\$2,102,000</u>
Natural Climate Solutions Account—State	
Appropriation.	((\$12,851,000))
	<u>\$12,498,000</u>
Reclamation Account—State Appropriation.	((\$4,907,000))
	<u>\$4,910,000</u>
Flood Control Assistance Account—State Appropriation.	((\$4,826,000))

1		<u>\$4,840,000</u>
2	Aquatic Lands Enhancement Account—State	
3	Appropriation.	\$692,000
4	Refrigerant Emission Management Account—State	
5	Appropriation.	\$4,385,000
6	State Emergency Water Projects Revolving Account—	
7	State Appropriation.	\$40,000
8	Waste Reduction, Recycling, and Litter Control	
9	Account—State Appropriation.	((\$44,132,000))
10		<u>\$47,404,000</u>
11	State Drought Preparedness Account—State	
12	Appropriation.	\$219,000
13	State and Local Improvements Revolving Account—Water	
14	Supply Facilities—State Appropriation.	\$186,000
15	Water Rights Tracking System Account—State	
16	Appropriation.	\$48,000
17	Site Closure Account—State Appropriation.	\$582,000
18	Wood Stove Education and Enforcement Account—State	
19	Appropriation.	\$618,000
20	Worker and Community Right to Know Fund—State	
21	Appropriation.	((\$2,258,000))
22		<u>\$2,257,000</u>
23	Water Rights Processing Account—State Appropriation.	\$39,000
24	Water Quality Permit Account—State Appropriation.	((\$74,491,000))
25		<u>\$78,080,000</u>
26	Underground Storage Tank Account—State Appropriation.	((\$5,115,000))
27		<u>\$5,122,000</u>
28	Biosolids Permit Account—State Appropriation.	((\$3,118,000))
29		<u>\$3,132,000</u>
30	Hazardous Waste Assistance Account—State	
31	Appropriation.	((\$11,589,000))
32		<u>\$11,632,000</u>
33	Radioactive Mixed Waste Account—State Appropriation.	((\$27,611,000))
34		<u>\$27,864,000</u>
35	Air Pollution Control Account—State Appropriation.	((\$5,929,000))
36		<u>\$6,012,000</u>
37	Oil Spill Prevention Account—State Appropriation.	((\$10,382,000))
38		<u>\$10,364,000</u>
39	Air Operating Permit Account—State Appropriation.	((\$5,995,000))

1		<u>\$6,010,000</u>
2	Wastewater Treatment Plant Operator Certification	
3	Account—State Appropriation.	((\$831,000))
4		<u>\$830,000</u>
5	Oil Spill Response Account—State Appropriation.	\$7,076,000
6	Model Toxics Control Operating Account—State	
7	Appropriation.	((\$361,962,000))
8		<u>\$355,896,000</u>
9	Model Toxics Control Operating Account—Local	
10	Appropriation.	\$499,000
11	Model Toxics Control Stormwater Account—State	
12	Appropriation.	\$17,323,000
13	Voluntary Cleanup Account—State Appropriation.	\$373,000
14	Paint Product Stewardship Account—State	
15	Appropriation.	\$152,000
16	Water Pollution Control Revolving Administration	
17	Account—State Appropriation.	((\$9,517,000))
18		<u>\$9,563,000</u>
19	Clean Fuels Program Account—State Appropriation.	((\$6,850,000))
20		<u>\$6,898,000</u>
21	Climate Investment Account—State Appropriation.	((\$71,424,000))
22		<u>\$72,709,000</u>
23	TOTAL APPROPRIATION.	((\$1,070,583,000))
24		<u>\$1,072,610,000</u>

25 The appropriations in this section are subject to the following
26 conditions and limitations:

27 (1) \$455,000 of the general fund—state appropriation for fiscal
28 year 2026 and \$455,000 of the general fund—state appropriation for
29 fiscal year 2027 are provided solely for the department to grant to
30 the northwest straits commission to provide funding, technical
31 assistance, and/or coordination support equally to the seven Puget
32 Sound marine resources committees.

33 (2) \$600,000 of the oil spill prevention account—state
34 appropriation is provided solely for a contract with the University
35 of Washington's sea grant program to continue an educational program
36 targeted to small spills from commercial fishing vessels, ferries,
37 cruise ships, ports, and marinas.

38 (3) ~~((~~\$102,000~~ of the general fund—state appropriation for fiscal~~
39 ~~year 2026 and \$102,000 of the general fund—state appropriation for~~

~~fiscal year 2027 are))~~ \$204,000 of the model toxics control operating account—state appropriation is provided solely for implementation of Executive Order No. 12-07, Washington's response to ocean acidification.

(4) \$24,000,000 of the model toxics control operating account—state appropriation is provided solely for the department to provide grants to local governments for the purpose of supporting local solid waste and financial assistance programs.

(5) \$150,000 of the aquatic lands enhancement account—state appropriation is provided solely for implementation of the state marine management plan and ongoing costs of the Washington coastal marine advisory council to serve as a forum and provide recommendations on coastal management issues.

(6) \$2,000,000 of the model toxics control operating account—state appropriation is provided solely for the department to convene a stakeholder group, including representatives from overburdened communities, to assist with developing a water quality implementation plan for polychlorinated biphenyls and to address other emerging contaminants in the Spokane river. The department must also consult with the Spokane tribe of Indians and other interested tribes when developing and implementing actions to address water quality in the Spokane river.

(7) \$4,002,000 of the natural climate solutions account—state appropriation is provided solely to address flood prevention in the Nooksack basin and Sumas prairie. Of this amount:

(a) \$2,000,000 is provided solely to expand and sustain Whatcom county's floodplain integrated planning (FLIP) team planning process, including supporting communication, community participation, coordination, technical studies and analysis, and development of local solutions.

(b) \$900,000 is provided solely for the department to support transboundary coordination, including facilitation and technical support to develop and evaluate alternatives for managing transboundary flooding in Whatcom county and British Columbia.

(c) \$1,102,000 is provided solely to support dedicated local and department capacity for floodplain planning and technical support. Of the amount in this subsection (7)(c), \$738,000 is solely for a grant to Whatcom county. The remaining amount is for the department to

1 provide ongoing staff technical assistance and support to flood
2 prevention efforts in this area.

3 (8) \$24,536,000 of the climate investment account—state
4 appropriation is provided solely for capacity grants to federally
5 recognized tribes for: (a) Consultation on spending decisions on
6 grants in accordance with RCW 70A.65.305; (b) consultation on clean
7 energy siting projects; (c) activities supporting climate resilience
8 and adaptation; (d) developing tribal clean energy projects; (e)
9 applying for state or federal grant funding; (f) participation on a
10 science advisory panel and other associated work on offshore wind;
11 and (g) other related work. In order to meet the requirements of RCW
12 70A.65.230(1)(b), tribal applicants are encouraged to include a
13 tribal resolution supporting their request with their grant
14 application. Of this amount, \$3,000,000 is reserved solely to ensure
15 completion of grants awarded or amended between January 1, 2025, and
16 June 30, 2025.

17 (9) \$1,375,000 of the general fund—state appropriation for fiscal
18 year 2026 and \$1,375,000 of the general fund—state appropriation for
19 fiscal year 2027 are provided solely for preparation and filing of
20 adjudications of state water rights in water resource inventory area
21 1 (Nooksack).

22 (10) \$2,468,000 of the climate investment account—state
23 appropriation is provided solely for addressing air quality in
24 overburdened communities highly impacted by air pollution under RCW
25 70A.65.020.

26 (11) \$2,256,000 of the model toxics control operating account—
27 state appropriation is provided solely for the department to provide
28 technical assistance to landowners and local governments to promote
29 voluntary compliance, implement best management practices, and
30 support implementation of water quality clean-up plans in shellfish
31 growing areas, agricultural areas, forestlands, and other types of
32 land uses, including technical assistance focused on protection and
33 restoration of critical riparian management areas important for
34 salmon recovery.

35 (12) \$1,914,000 of the natural climate solutions account—state
36 appropriation is provided solely for activities related to coastal
37 hazards, including expanding the coastal monitoring and analysis
38 program, operating a coastal hazard organizational resilience team,
39 and operating a coastal hazards grant program to help local

1 communities design projects and apply for funding opportunities. At
2 least 25 percent of the funding in this subsection must be used for
3 the benefit of tribes.

4 (13) \$276,000 of the model toxics control operating account—state
5 appropriation is provided solely for a grant to San Juan county for
6 the enhancement of ongoing oil spill response preparedness staff
7 hiring, spill response equipment acquisition, and spill response
8 training and operational expenses.

9 (14) \$750,000 of the model toxics control operating account—state
10 appropriation is provided solely to:

11 (a) Identify additional priority consumer products containing
12 PFAS for potential regulatory action; and

13 (b) Issue orders to manufacturers under RCW 70A.350.040 and
14 70A.350.030 to obtain ingredient information, including for chemical
15 ingredients used to replace priority chemicals.

16 ((~~(17)~~)) (15) \$4,428,000 of the water quality permit account—
17 state appropriation, \$2,212,000 of the model toxics control operating
18 account—state appropriation, and \$1,864,000 of the hazardous waste
19 assistance account—state appropriation are provided solely for the
20 department to address and mitigate 6PPD. The department may provide
21 funding from this subsection to the University of Washington and
22 Washington State University for the purposes of this subsection. Of
23 these amounts:

24 (a) \$1,094,000 of the model toxics control operating account—
25 state appropriation is provided solely to conduct monitoring and
26 analyze water and sediment for 6PPD.

27 (b) \$1,864,000 of the hazardous waste assistance account—state
28 appropriation and \$1,118,000 of the model toxics control operating
29 account—state appropriation is provided solely to find safer
30 alternatives to 6PPD in consumer products.

31 (c) \$4,428,000 of the water quality permit account—state
32 appropriation is provided solely to identify effective best
33 management practices to treat 6PPD in stormwater.

34 ((~~(18)~~)) (16) \$1,317,000 of the natural climate solutions account
35 —state appropriation is provided solely for the department to assist
36 local governments in building climate resilience by addressing
37 emerging implementation challenges and updating guidance for local
38 jurisdictions, including integration of updated climate policies
39 through amendments to local shoreline master programs.

1 ~~((19) \$331,000))~~ (17) \$166,000 of the natural climate solutions
2 account—state appropriation is provided solely for the department to
3 coordinate implementation of the state's climate resilience strategy
4 developed pursuant to chapter 70A.05 RCW. The department shall
5 coordinate resilience activities among state agencies identified in
6 the strategy, gather data from state agencies to support tracking and
7 progress reporting, and conduct outreach and engagement. The
8 department may also facilitate the establishment of the recommended
9 durable governance structure and support implementation of key
10 resilience activities, as resources allow.

11 ~~((20))~~ (18) \$542,000 of the aquatic lands enhancement account—
12 state appropriation is provided solely to support research to enhance
13 understanding of European green crab behavior and dispersal in
14 Washington's waters and inform the state's response to this invasive
15 pest. The department shall hold technical assistance workshops for
16 natural resource managers to implement larval identification
17 monitoring programs.

18 ~~((21))~~ (19)(a) \$3,908,000 of the model toxics control operating
19 account—state appropriation and \$100,000 of the water quality permit
20 account—state appropriation are provided solely to:

21 (i) Investigate and monitor the sources and impacts of per- and
22 polyfluoroalkyl substances (PFAS) in the environment;

23 (ii) Identify and reduce the risks posed by PFAS used in
24 industry, manufacturing, and businesses through outreach activities
25 and technical assistance to those that have or currently use PFAS;

26 (iii) Support water quality source control and treatment of PFAS
27 at municipal wastewater facilities and cleanup sites. The department
28 will use the amount identified in this subsection from the water
29 quality permit account to complete a study of state waste discharge
30 permittees to inform how the state should best manage these
31 discharges; and

32 (iv) Increase cleanup capacity at PFAS contaminated sites.

33 (b) When engaging in work benefiting specific communities, the
34 department shall prioritize investments to benefit vulnerable
35 populations in overburdened communities as defined in RCW 70A.02.010
36 with a goal of investing at least 40 percent of funds to this
37 purpose.

38 ~~((22))~~ (20) \$400,000 of the climate commitment account—state
39 appropriation is provided solely for the department to develop a

1 report that analyzes equity and accessibility considerations for
2 environmental incident reporting and resolution, and to provide
3 recommendations for changes and improvements. The department will
4 consult with relevant government entities that manage environmental
5 incident reporting for incidents that pollute and damage land, air,
6 and water, such as the department of health, the office of the
7 attorney general, regional air agencies, and relevant state and local
8 agencies. The department will consult with Washington state community
9 based and non-governmental organizations representing overburdened
10 communities. The department may contract with a third party to
11 prepare the report.

12 (a) The report must include: (i) An overview of the existing
13 environmental incident reporting systems in Washington state and a
14 description of business objectives; (ii) challenges, barriers, and
15 accessibility concerns with the current state environmental incident
16 reporting systems; (iii) evaluation of possible service gaps in
17 incident reporting in overburdened communities; and (iv) options and
18 recommendations for improving environmental incident reporting,
19 including improvements to reporting access, process transparency, and
20 equitable service to overburdened communities and vulnerable
21 populations.

22 (b) By October 1, 2026, the department must submit its final
23 report and recommendations to the governor and appropriate committees
24 of the legislature.

25 ~~((+23))~~ (21) \$639,000 of the model toxics control operating
26 account—state appropriation, \$255,000 of the climate investment
27 account—state appropriation, \$128,000 of the water quality permit
28 account—state appropriation, and \$128,000 of the waste reduction,
29 recycling, and litter control account—state appropriation are
30 provided solely for the department to continue implementation of
31 environmental justice requirements in the HEAL act, state and federal
32 environmental justice and equity mandates, and embed expertise within
33 specific environmental programs.

34 ~~((+24))~~ (22) The department must report the department's
35 expenditures from climate commitment act accounts, as defined and
36 described in RCW 70A.65.300 and chapter 173-446B WAC. If an
37 expenditure is expected to result in greenhouse gas emission
38 reductions, the department must use a department approved calculator
39 tool or methodology.

1 ~~((25))~~ (23) \$275,000 of the climate investment account—state
2 appropriation is provided solely for implementation of Engrossed
3 Second Substitute House Bill No. 1912 (agricultural fuel/CCA
4 exemption). ~~((If the bill is not enacted by June 30, 2025, the amount
5 provided in this subsection shall lapse.~~

6 ~~(26))~~ (24) \$2,816,000 of the climate investment account—state
7 appropriation is provided solely for implementation of Second
8 Substitute House Bill No. 1975 (climate commitment act). ~~((If the
9 bill is not enacted by June 30, 2025, the amount provided in this
10 subsection shall lapse.~~

11 ~~(27))~~ (25) \$1,115,000 of the clean fuels program account—state
12 appropriation is provided solely for implementation of Second
13 Substitute House Bill No. 1409 (clean fuels program). ~~((If the bill
14 is not enacted by June 30, 2025, the amount provided in this
15 subsection shall lapse.~~

16 ~~(28))~~ (26) \$426,000 of the climate commitment account—state
17 appropriation is provided solely for implementation of Second
18 Substitute House Bill No. 1462 (hydrofluorocarbons). ~~((If the bill is
19 not enacted by June 30, 2025, the amount provided in this subsection
20 shall lapse.~~

21 ~~(29))~~ (27) \$196,000 of the model toxics control operating
22 account—state appropriation is provided solely for implementation of
23 Substitute Senate Bill No. 5033 (biosolids/PFAS chemicals). ~~((If the
24 bill is not enacted by June 30, 2025, the amount provided in this
25 subsection shall lapse.~~

26 ~~(30))~~ (28) \$89,000 of the model toxics control operating account
27 —state appropriation is provided solely for implementation of
28 Substitute House Bill No. 1670 (sewage-containing spills). ~~((If the
29 bill is not enacted by June 30, 2025, the amount provided in this
30 subsection shall lapse.~~

31 ~~(31))~~ (29) \$493,000 of the model toxics control operating
32 account—state appropriation is provided solely for implementation of
33 Second Substitute House Bill No. 1154 (solid waste handling). ~~((If
34 the bill is not enacted by June 30, 2025, the amount provided in this
35 subsection shall lapse.~~

36 ~~(32) —\$1,656,000))~~ (30) \$2,133,000 of the waste, reduction,
37 recycling, and litter control account—state appropriation is provided
38 solely for implementation of Engrossed Second Substitute Senate Bill

No. 5284 (solid waste management). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.~~

~~(33))~~ (31) \$261,000 of the model toxics control operating account—state appropriation is provided solely for implementation of Second Substitute House Bill No. 1497 (waste material management). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.~~

~~(34))~~ (32) During the 2025-2027 fiscal biennium, when determining the placement of air quality monitoring for the benefit of overburdened communities as required in RCW 70A.65.020(1)(b), the department must prioritize:

(a) Placing air monitoring stations in locations that are physically within overburdened communities;

(b) Engaging with local and tribal governments and community organizations; and

(c) Funding and supporting, to the extent feasible, evidence-supported community-based air monitoring for PM 2.5 pollutants in overburdened communities.

~~((36))~~ (33) \$200,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for a grant to Whatcom county to provide technical assistance that must be made available to all water users in WRIA 1 in filing adjudication claims under RCW 90.03.140. This assistance must be administered by Whatcom county and no portion of this funding may be used to contest the claims of any other claimant in the adjudication.

~~((39) \$670,000))~~ (34) \$510,000 of the ~~((model toxics control operating))~~ climate investment account—state appropriation is provided solely for implementation of Senate Bill No. 5036 (statewide emissions data). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

(35) \$148,000 of the climate commitment account—state appropriation is provided solely for implementation of chapter 419, Laws of 2025 (SHB 2077).

(36) \$2,102,000 of the laboratory accreditation account—state appropriation is provided solely for the department to implement Senate Bill No. 6151 (env. programs/fee accounts). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

1 (37) \$50,000 of the general fund—state appropriation for fiscal
2 year 2027 is provided solely for the development and implementation
3 of phase 3 of the Vancouver lake clean-up plan.

4 (38) \$603,000 of the climate commitment account—state
5 appropriation is provided solely for implementation of Engrossed
6 Senate Bill No. 6246 (emissions/trade-exposed). If the bill is not
7 enacted by June 30, 2026, the amount provided in this subsection
8 shall lapse.

9 (39) \$25,000 of the general fund—state appropriation for fiscal
10 year 2027 is provided solely for the department to engage with the
11 department of archaeology and historic preservation in the
12 development of a model ordinance for archaeological and cultural
13 resource protection.

14 (40) \$466,000 of the climate investment account—state
15 appropriation and \$45,000 of the air pollution control account—state
16 appropriation are provided solely for implementation of Engrossed
17 Second Substitute House Bill No. 2215 (fuels/climate commitment act).
18 If the bill is not enacted by June 30, 2026, the amounts provided in
19 this subsection shall lapse.

20 (41) \$226,000 of the climate commitment account—state
21 appropriation is provided solely for implementation of Engrossed
22 Second Substitute House Bill No. 2416 (waste to energy facilities).
23 If the bill is not enacted by June 30, 2026, the amount provided in
24 this subsection shall lapse.

25 (42) \$50,000 of the climate investment account—state
26 appropriation is provided solely to develop a report to the
27 legislature to characterize and, to the extent feasible, quantify
28 water and energy use for emerging large energy use facilities and
29 estimate no cost allowances allocated to emerging large energy use
30 facilities in Washington under RCW 70A.65.120. The department shall
31 use information that is publicly available or voluntarily disclosed
32 by utilities to provide estimations. In its report, the department
33 shall also describe assumptions and limitations of its findings and
34 gaps. "Emerging large energy use facility" means a facility that has
35 a maximum aggregate contract demand of 20 megawatts or more and is
36 primarily engaged in providing a service described under code 518210
37 of the 2022 North American industry classification system. The
38 department must submit the report to the legislature by December 1,
39 2026.

**Sec. 302 was partially vetoed. See message at end of chapter.*

Sec. 303. 2025 c 424 s 303 (uncodified) is amended to read as follows:

FOR THE WASHINGTON POLLUTION LIABILITY INSURANCE PROGRAM

General Fund—Federal Appropriation.	((\$1,139,000))
	<u>\$1,138,000</u>
Pollution Liability Insurance Agency Underground	
Storage Tank Revolving Account—State	
Appropriation.	((\$1,240,000))
	<u>\$1,241,000</u>
Pollution Liability Insurance Program Trust Account—	
State Appropriation.	((\$10,311,000))
	<u>\$10,360,000</u>
TOTAL APPROPRIATION.	((\$12,690,000))
	<u>\$12,739,000</u>

Sec. 304. 2025 c 424 s 304 (uncodified) is amended to read as follows:

FOR THE STATE PARKS AND RECREATION COMMISSION

General Fund—State Appropriation (FY 2026).	((\$32,851,000))
	<u>\$33,196,000</u>
General Fund—State Appropriation (FY 2027).	((\$33,007,000))
	<u>\$32,905,000</u>
General Fund—Federal Appropriation.	((\$7,289,000))
	<u>\$10,000,000</u>
Climate Commitment Account—State Appropriation.	((\$980,000))
	<u>\$1,591,000</u>
<u>Millersylvania Park Current Account—State</u>	
<u>Appropriation.</u>	<u>\$7,000</u>
Winter Recreation Program Account—State	
Appropriation.	\$4,943,000
ORV and Nonhighway Vehicle Account—State	
Appropriation.	\$333,000
Snowmobile Account—State Appropriation.	\$5,732,000
Aquatic Lands Enhancement Account—State	
Appropriation.	\$375,000
Parks Renewal and Stewardship Account—State	
Appropriation.	((\$166,674,000))

	\$170,805,000
Parks Renewal and Stewardship Account—Private/Local	
Appropriation.	\$720,000
TOTAL APPROPRIATION.	((\$252,904,000))
	<u>\$260,607,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) \$129,000 of the general fund—state appropriation for fiscal year 2026 and \$129,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for a grant for the operation of the Northwest weather and avalanche center.

(2) The commission must report to and coordinate with the department of ecology to track expenditures from climate commitment act accounts, as defined and described in RCW 70A.65.300 and chapter 173-446B WAC. If an expenditure is expected to result in greenhouse gas emission reductions, the commission must use a department of ecology approved calculator tool or methodology.

(3) \$500,000 of the climate commitment account—state appropriation is provided solely for cultural resource vulnerability assessments.

(4) ((~~\$1,111,000~~)) \$2,565,000 of the parks renewal and stewardship account—state appropriation is provided solely for maintenance and operation costs at the Fort Worden state park campus. The state parks and recreation commission shall develop a long-term management plan for the campus.

(5) \$250,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for grants for water safety education for both motorized and nonmotorized water users of Lake Union.

(6) \$3,750,000 of the general fund—state appropriation for fiscal year 2026, \$3,170,000 of the general fund—state appropriation for fiscal year 2027, and \$1,200,000 of the parks renewal and stewardship account—state appropriation are provided solely to continue to address the maintenance backlog associated with providing recreation on lands managed by the commission. Allowable uses include, but are not limited to, maintenance, repair, or replacement of trails, toilet facilities, roads, parking lots, campgrounds, picnic sites, water access areas, signs, kiosks, and gates. It is the intent of the legislature to provide up to \$3,800,000 of general fund—state

appropriations in each fiscal year of the ensuing biennium and each subsequent fiscal year for the purposes of this subsection.

(7) \$454,000 of the climate commitment account—state appropriation is provided solely to replace energy systems in state park buildings with more energy efficient models, which must be fully electric where feasible.

Sec. 305. 2025 c 424 s 305 (uncodified) is amended to read as follows:

FOR THE RECREATION AND CONSERVATION OFFICE

General Fund—State Appropriation (FY 2026)	((\$4,354,000))
	<u>\$4,015,000</u>
General Fund—State Appropriation (FY 2027)	((\$3,717,000))
	<u>\$3,777,000</u>
General Fund—Federal Appropriation.	((\$6,332,000))
	<u>\$6,328,000</u>
General Fund—Private/Local Appropriation.	\$24,000
Aquatic Lands Enhancement Account—State	
Appropriation.	\$483,000
Firearms Range Account—State Appropriation.	\$37,000
Natural Climate Solutions Account—State	
Appropriation.	\$394,000
((Recreation Access Pass Account—State	
 Appropriation.	\$150,000))
Recreation Resources Account—State Appropriation. . .	((\$5,402,000))
	<u>\$5,493,000</u>
NOVA Program Account—State Appropriation.	((\$1,601,000))
	<u>\$1,600,000</u>
TOTAL APPROPRIATION.	((\$22,494,000))
	<u>\$22,151,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) \$37,000 of the firearms range account—state appropriation is provided solely to the recreation and conservation funding board for administration of the firearms range grant program as described in RCW 79A.25.210.

(2) ((~~\$5,402,000~~)) \$5,493,000 of the recreation resources account—state appropriation is provided solely to the recreation and conservation funding board for administrative and coordinating costs

of the recreation and conservation office and the board as described in RCW 79A.25.080(1).

(3) (~~(\$1,601,000)~~) \$1,600,000 of the NOVA program account—state appropriation is provided solely to the recreation and conservation funding board for administration of the nonhighway and off-road vehicle activities program as described in chapter 46.09 RCW.

(4) \$1,704,000 of the general fund—state appropriation for fiscal year 2026 and \$1,704,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for operational and administrative support of lead entities and salmon recovery regions.

(5) \$100,000 of the general fund—state appropriation for fiscal year 2026 and \$100,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for a grant to a nonprofit organization with a mission for salmon and steelhead restoration to install and store near-term solutions to prevent steelhead mortality at the Hood canal bridge.

(6) The office must report to and coordinate with the department of ecology to track expenditures from climate commitment act accounts, as defined and described in RCW 70A.65.300 and chapter 173-446B WAC. If an expenditure is expected to result in greenhouse gas emission reductions, the office must use a department of ecology approved calculator tool or methodology.

~~((+9))~~ (7) \$50,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for implementation of Engrossed Substitute Senate Bill No. 5281 (vessel length/nonresident). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

Sec. 306. 2025 c 424 s 306 (uncodified) is amended to read as follows:

FOR THE ENVIRONMENTAL AND LAND USE HEARINGS OFFICE

General Fund—State Appropriation (FY 2026)	\$3,997,000
General Fund—State Appropriation (FY 2027)	(\$4,118,000)
	<u>\$3,987,000</u>
Climate Investment Account—State Appropriation.	\$100,000
Model Toxics Control Operating Account—State Appropriation.	\$245,000
TOTAL APPROPRIATION.	(\$8,460,000)
	<u>\$8,329,000</u>

1 The appropriations in this section are subject to the following
2 conditions and limitations:

3 (1) \$379,000 of the general fund—state appropriation for fiscal
4 year 2026, \$379,000 of the general fund—state appropriation for
5 fiscal year 2027, and \$100,000 of the climate investment account—
6 state appropriation are provided solely for the agency to hire staff
7 to respond to increased caseloads, including appeals as a result of
8 the climate commitment act, chapter 316, Laws of 2021.

9 (2) The office must report to and coordinate with the department
10 of ecology to track expenditures from climate commitment act
11 accounts, as defined and described in RCW 70A.65.300 and chapter
12 173-446B WAC. If an expenditure is expected to result in greenhouse
13 gas emission reductions, the office must use a department of ecology
14 approved calculator tool or methodology.

15 (3) \$37,000 of the general fund—state appropriation for fiscal
16 year 2027 is provided solely for implementation of Second Substitute
17 House Bill No. 1409 (clean fuels program). ~~((If the bill is not~~
18 ~~enacted by June 30, 2025, the amount provided in this subsection~~
19 ~~shall lapse.))~~

20 (4) \$9,000 of the general fund—state appropriation for fiscal
21 year 2027 is provided solely for implementation of Engrossed Second
22 Substitute Senate Bill No. 5284 (solid waste management). ~~((If the~~
23 ~~bill is not enacted by June 30, 2025, the amount provided in this~~
24 ~~subsection shall lapse.))~~

25 (5) \$25,000 of the general fund—state appropriation for fiscal
26 year 2026 and \$45,000 of the general fund—state appropriation for
27 fiscal year 2027 are provided solely for implementation of Senate
28 Bill No. 5334 (DNR civil enforcement appeal). ~~((If the bill is not~~
29 ~~enacted by June 30, 2025, the amounts provided in this subsection~~
30 ~~shall lapse.))~~

31 **Sec. 307.** 2025 c 424 s 307 (uncodified) is amended to read as
32 follows:

33 **FOR THE CONSERVATION COMMISSION**

34	General Fund—State Appropriation (FY 2026)	\$14,114,000
35	General Fund—State Appropriation (FY 2027)	(\$14,101,000)
36		<u>\$13,406,000</u>
37	General Fund—Federal Appropriation.	\$2,482,000
38	Natural Climate Solutions Account—State	

1	Appropriation.	((\$6,506,000))
2		<u>\$7,756,000</u>
3	Public Works Assistance Account—State Appropriation. . .	\$10,719,000
4	Model Toxics Control Operating Account—State	
5	Appropriation.	\$1,110,000
6	TOTAL APPROPRIATION.	((\$49,032,000))
7		<u>\$49,587,000</u>

8 The appropriations in this section are subject to the following
9 conditions and limitations:

10 (1) ((~~\$2,500,000~~)) \$3,750,000 of the natural climate solutions
11 account—state appropriation is provided solely to the commission to
12 work with conservation districts to implement priority forest health
13 and community wildfire resilience projects.

14 (2) \$1,000,000 of the natural climate solutions account—state
15 appropriation is provided solely to connect scientists,
16 practitioners, and researchers and coordinate efforts to monitor and
17 quantify benefits of best management practices on agricultural lands,
18 and better understand values and motivations of landowners to
19 implement voluntary incentive programs.

20 (3) \$10,719,000 of the public works assistance account—state
21 appropriation is provided solely for implementation of the voluntary
22 stewardship program. This amount may not be used to fund agency
23 indirect and administrative expenses.

24 (4) The commission must report to and coordinate with the
25 department of ecology to track expenditures from climate commitment
26 act accounts, as defined and described in RCW 70A.65.300 and chapter
27 173-446B WAC. If an expenditure is expected to result in greenhouse
28 gas emission reductions, the commission must use a department of
29 ecology approved calculator tool or methodology.

30 (5) \$1,000,000 of the natural climate solutions account—state
31 appropriation are provided solely to increase native tree and shrub
32 availability for riparian restoration projects under the governor's
33 salmon strategy.

34 **Sec. 308.** 2025 c 424 s 308 (uncodified) is amended to read as
35 follows:

36 **FOR THE DEPARTMENT OF FISH AND WILDLIFE**

37	General Fund—State Appropriation (FY 2026).	((\$168,876,000))
38		<u>\$170,325,000</u>

1	General Fund—State Appropriation (FY 2027)	((\$164,430,000))
2		<u>\$162,098,000</u>
3	General Fund—Federal Appropriation.	((\$172,080,000))
4		<u>\$171,247,000</u>
5	General Fund—Private/Local Appropriation.	((\$76,648,000))
6		<u>\$76,238,000</u>
7	Climate Commitment Account—State Appropriation.	\$3,560,000
8	Natural Climate Solutions Account—State	
9	Appropriation.	((\$4,394,000))
10		<u>\$5,146,000</u>
11	ORV and Nonhighway Vehicle Account—State	
12	Appropriation.	\$558,000
13	Aquatic Lands Enhancement Account—State	
14	Appropriation.	((\$14,651,000))
15		<u>\$14,702,000</u>
16	Recreational Fisheries Enhancement Account—State	
17	Appropriation.	((\$3,999,000))
18		<u>\$4,009,000</u>
19	<u>State Agency Office Relocation Pool Account—State</u>	
20	Appropriation.	\$344,000
21	Warm Water Game Fish Account—State Appropriation.	((\$3,116,000))
22		<u>\$3,126,000</u>
23	Eastern Washington Pheasant Enhancement Account—	
24	State Appropriation.	((\$396,000))
25		<u>\$400,000</u>
26	Limited Fish and Wildlife Account—State	
27	Appropriation.	((\$40,680,000))
28		<u>\$42,748,000</u>
29	Special Wildlife Account—State Appropriation.	((\$2,945,000))
30		<u>\$2,965,000</u>
31	Special Wildlife Account—Federal Appropriation.	((\$532,000))
32		<u>\$538,000</u>
33	Special Wildlife Account—Private/Local Appropriation.	((\$3,864,000))
34		<u>\$3,900,000</u>
35	Wildlife Rehabilitation Account—State Appropriation.	((\$361,000))
36		<u>\$486,000</u>
37	Ballast Water and Biofouling Management Account—	
38	State Appropriation.	\$10,000
39	Regional Fisheries Enhancement Salmonid Recovery	

1	Account—Federal Appropriation.	\$5,001,000
2	Oil Spill Prevention Account—State Appropriation. . .	((\$1,335,000))
3		<u>\$1,334,000</u>
4	Aquatic Invasive Species Management Account—State	
5	Appropriation.	((\$1,038,000))
6		<u>\$1,158,000</u>
7	Model Toxics Control Operating Account—State	
8	Appropriation.	((\$9,805,000))
9		<u>\$9,804,000</u>
10	Fish, Wildlife, and Conservation Account—State	
11	Appropriation.	((\$105,030,000))
12		<u>\$107,597,000</u>
13	Oyster Reserve Land Account—State Appropriation.	((\$524,000))
14		<u>\$528,000</u>
15	TOTAL APPROPRIATION.	((\$783,833,000))
16		<u>\$787,822,000</u>

17 The appropriations in this section are subject to the following
18 conditions and limitations:

19 (1) \$1,777,000 of the general fund—state appropriation for fiscal
20 year 2026 and \$1,777,000 of the general fund—state appropriation for
21 fiscal year 2027 are provided solely to grant to the northwest Indian
22 fisheries commission for hatchery operations that are prioritized to
23 increase prey abundance for southern resident orcas, including
24 \$200,000 per fiscal year for tagging and marking costs, and the
25 remainder to grant to tribes in the following amounts per fiscal
26 year: \$150,000 for the Quinault Indian Nation, \$199,000 for the
27 Tulalip Tribes, \$268,000 for the Quileute Tribe, \$186,000 for the
28 Puyallup Tribe, \$122,000 for the Port Gamble S'Klallam Tribe, \$25,000
29 for the Muckleshoot Indian Tribe, \$207,000 for the Squaxin Island
30 Tribe, \$142,000 for the Skokomish Indian Tribe, and \$278,000 for the
31 Lummi Nation.

32 (2) \$330,000 of the general fund—state appropriation for fiscal
33 year 2026 and \$330,000 of the general fund—state appropriation for
34 fiscal year 2027 are provided solely for the department to provide to
35 the Yakama Nation for hatchery operations that are prioritized to
36 increase prey abundance for southern resident orcas.

37 (3) \$175,000 of the general fund—state appropriation for fiscal
38 year 2026 and \$175,000 of the general fund—state appropriation for
39 fiscal year 2027 are provided solely to grant to public utility

1 districts for additional hatchery production that is prioritized to
2 increase prey abundance for southern resident orcas.

3 (4) \$467,000 of the general fund—state appropriation for fiscal
4 year 2026 and \$467,000 of the general fund—state appropriation for
5 fiscal year 2027 are provided solely to pay for emergency fire
6 suppression costs. These amounts may not be used to fund agency
7 indirect and administrative expenses.

8 (5) \$400,000 of the general fund—state appropriation for fiscal
9 year 2026 and \$400,000 of the general fund—state appropriation for
10 fiscal year 2027 are provided solely for a state match to support the
11 Puget Sound nearshore partnership between the department and the
12 United States army corps of engineers.

13 (6) \$6,082,000 of the general fund—state appropriation for fiscal
14 year 2026 and \$6,082,000 of the general fund—state appropriation for
15 fiscal year 2027 are provided solely for the department to implement
16 eradication and control measures on European green crabs through
17 coordination and grants with partner organizations. The department
18 must provide annual progress reports on the success and challenges of
19 the measures to the appropriate committees of the legislature by
20 September 15th of each fiscal year.

21 (7)(a) \$390,000 of the general fund—state appropriation for
22 fiscal year 2026 and \$390,000 of the general fund—state appropriation
23 for fiscal year 2027 are provided solely to develop conflict
24 mitigation strategies for wolf recovery and staff resources statewide
25 for response to wolf-livestock conflicts. The department shall not
26 hire contract range riders in northeast Washington unless there is a
27 gap in coverage from entities funded through the northeast Washington
28 wolf-livestock management grant program as provided in RCW 16.76.020.
29 The department must focus on facilitating coordination with other
30 entities providing conflict deterrence, including range riding, and
31 technical assistance to livestock producers in order to minimize
32 wolf-livestock issues. The department is discouraged from the use of
33 firearms from helicopters for removing wolves.

34 (b) ~~((Of))~~ Within the amounts provided in (a) of this subsection,
35 ~~(((\$200,000))~~ the department shall ~~((be used to))~~ implement a conflict
36 mitigation pilot program in Southeast Washington ~~((in partnership~~
37 ~~with projects guarding the respective interests of predators and~~
38 ~~humans))~~ .

1 (8) \$639,000 of the general fund—state appropriation for fiscal
2 year 2026 and \$639,000 of the general fund—state appropriation for
3 fiscal year 2027 are provided solely for the department to provide
4 additional capacity to the attorney general's office to prosecute
5 environmental crimes. The department must provide an annual report by
6 December 1st of each year, to the appropriate committees of the
7 legislature, on the progress made in prosecuting environmental
8 crimes.

9 (9) \$560,000 of the general fund—state appropriation for fiscal
10 year 2026 and \$560,000 of the general fund—state appropriation for
11 fiscal year 2027 are provided solely for management of pinniped
12 populations on the lower Columbia river and its tributaries with the
13 goal of increasing chinook salmon abundance and prey availability for
14 southern resident orcas.

15 (10) \$6,042,000 of the model toxics control operating account—
16 state appropriation is provided solely to continue and increase the
17 capacity to analyze salmon contaminants of emerging concern (CEC),
18 including substances such as 6PPD-quinone, per- and polyfluoroalkyl
19 substances (PFAS), and polychlorinated biphenyls (PCB) in already
20 collected tissue samples. This research will accelerate recovery and
21 protection by identifying the location and sources of CEC exposure.

22 (11) \$130,000 of the general fund—state appropriation for fiscal
23 year 2026 and \$130,000 of the general fund—state appropriation for
24 fiscal year 2027 are provided solely for an external facilitator to
25 seek solutions through a collaborative process using the department's
26 wolf advisory group.

27 (12) \$285,000 of the general fund—state appropriation for fiscal
28 year 2026 and \$285,000 of the general fund—state appropriation for
29 fiscal year 2027 are provided solely to manage electronic tracked
30 crab fishery gear to avoid whale entanglements during their migration
31 in accordance with the endangered species act incidental take permit.

32 (13) \$1,200,000 of the natural climate solutions account—state
33 appropriation is provided solely to reduce severe wildfire risk and
34 increase forest resiliency through fuels reduction, thinning, fuel
35 break creation, and prescribed burning on agency lands. The amounts
36 provided in this subsection may not be used to fund agency indirect
37 and administrative expenses.

38 (14) \$14,000,000 of the general fund—state appropriation for
39 fiscal year 2026 and (~~(\$14,000,000)~~) \$13,000,000 of the general fund—

1 state appropriation for fiscal year 2027 are provided solely for the
2 protection, recovery, and restoration of biodiversity, the recovery
3 of threatened and endangered species, and a review of the department
4 of fish and wildlife. Examples include habitat protection and
5 restoration, technical assistance for growth management act planning,
6 fish passage improvements, conservation education, scientific
7 research for species and ecosystem protection, and similar
8 activities. Funding in this subsection may include pass-throughs to
9 public, nonprofit, academic, or tribal entities for the purposes of
10 this subsection.

11 (15) The department must report to and coordinate with the
12 department of ecology to track expenditures from climate commitment
13 act accounts, as defined and described in RCW 70A.65.300 and chapter
14 173-446B WAC. If an expenditure is expected to result in greenhouse
15 gas emission reductions, the department must use a department of
16 ecology approved calculator tool or methodology.

17 (16) \$1,175,000 of the general fund—state appropriation for
18 fiscal year 2026 and \$1,175,000 of the general fund—state
19 appropriation for fiscal year 2027 are provided solely for the
20 department to continue to restore shrubsteppe habitat and associated
21 wildlife on public lands as well as private lands by landowners who
22 are willing to participate. The restoration effort must be
23 coordinated with other natural resource agencies and interested
24 stakeholders.

25 (17) \$3,750,000 of the general fund—state appropriation for
26 fiscal year 2026, (~~(\$3,750,000)~~) \$3,170,000 of the general fund—state
27 appropriation for fiscal year 2027, and \$1,200,000 of the limited
28 fish and wildlife account—state appropriation are provided solely to
29 continue to address the maintenance backlog associated with providing
30 recreation on lands managed by the department. Allowable uses
31 include, but are not limited to, maintenance, repair, or replacement
32 of trails, toilet facilities, roads, parking lots, campgrounds,
33 picnic sites, water access areas, signs, kiosks, and gates. The
34 department is encouraged to partner with nonprofit organizations in
35 the maintenance of public lands. It is the intent of the legislature
36 to provide up to \$3,800,000 of general fund—state appropriations in
37 each fiscal year of the ensuing biennium and each subsequent fiscal
38 year for the purposes of this subsection.

1 (18) \$250,000 of the general fund—state appropriation for fiscal
2 year 2026 (~~((and \$250,000 of the general fund—state appropriation for~~
3 ~~fiscal year 2027 are))~~) is provided solely for the department to
4 increase the work of regional fisheries enhancement groups.

5 (19) \$1,000,000 of the general fund—state appropriation for
6 fiscal year 2026 is provided solely for habitat recovery and
7 restoration work on agency owned and managed lands damaged from
8 wildfires.

9 (20) (~~(\$1,866,000)~~) \$933,000 of the general fund—state
10 appropriation for fiscal year 2026, (~~(\$584,000)~~) \$292,000 of the
11 general fund—state appropriation for fiscal year 2027, (~~(\$1,219,000~~
12 ~~of the general fund—federal appropriation, \$513,000 of the general~~
13 ~~fund—private/local appropriation,))~~) \$5,000 of the ORV and nonhighway
14 vehicle account—state appropriation, \$104,000 of the aquatic lands
15 enhancement account—state appropriation, \$22,000 of the warm water
16 game fish account—state appropriation, \$5,000 of the eastern
17 Washington pheasant enhancement account—state appropriation, \$271,000
18 of the limited fish and wildlife account—state appropriation, \$21,000
19 of the special wildlife account—state appropriation, \$9,000 of the
20 oil spill prevention account—state appropriation, \$56,000 of the
21 model toxics control operating account—state appropriation, and
22 (~~(\$634,000)~~) \$1,859,000 of the fish, wildlife, and conservation
23 account—state appropriation, are provided solely to procure a human
24 resource management system. The agency will evaluate and prioritize
25 management systems that have the capability to track and manage
26 volunteer safety training requirements. A letter must be sent to the
27 director of the office of financial management explaining the
28 rationale if the agency selects a technical solution that is not able
29 to support management of volunteer training requirements. The project
30 is subject to the conditions, limitations, and review requirements of
31 section 701 of this act.

32 (21) \$1,810,000 of the general fund—state appropriation for
33 fiscal year 2026, \$1,810,000 of the general fund—state appropriation
34 for fiscal year 2027, and \$3,620,000 of the general fund—private/
35 local appropriation are provided solely for monitoring and response
36 efforts for invasive quagga mussels. Possible activities include
37 coordination with tribal, federal, regional, state, and local
38 entities, watercraft inspections and decontamination, equipment and

1 training, monitoring of potential residential and commercial
2 pathways, and public outreach.

3 (22) \$1,150,000 of the climate commitment account—state
4 appropriation and \$530,000 of the natural climate solutions account—
5 state appropriation are provided solely for increasing management
6 planning capacity for habitat connectivity and to achieve meaningful
7 greenhouse gas emissions reduction through energy efficiency
8 projects.

9 (23) ~~(((\$900,000))~~ \$694,000 of the general fund—state
10 appropriation for fiscal year 2026 and ~~(((\$489,000))~~ \$695,000 of the
11 general fund—state appropriation for fiscal year 2027 are provided
12 solely to implement response efforts to chronic wasting disease in
13 accordance with the chronic wasting disease management plan.

14 (24) \$375,000 of the general fund—state appropriation for fiscal
15 year 2026 and \$375,000 of the general fund—state appropriation for
16 fiscal year 2027 are provided solely to continue operations of the
17 Toutle and Skamania hatcheries.

18 (25) \$79,000 of the general fund—state appropriation for fiscal
19 year 2026 is provided solely for implementation of Substitute Senate
20 Bill No. 5076 (nonspot shrimp pot license). ~~((If the bill is not
21 enacted by June 30, 2025, the amount provided in this subsection
22 shall lapse.))~~

23 (26) \$200,000 of the general fund—state appropriation for fiscal
24 year 2026 is provided solely for a conflict resolution process
25 mediated by the federal mediation and conciliation service. This
26 funding must be used by the department to facilitate meetings between
27 Skagit tribes, drainage and irrigation districts, and state and
28 federal resource agencies and support the technical work necessary to
29 resolve conflict. Invited parties must include the national marine
30 fisheries service, Washington state department of agriculture,
31 Washington state department of fish and wildlife, Swinomish Indian
32 tribal community, Upper Skagit Indian Tribe, Sauk-Suiattle Indian
33 Tribe, and Skagit drainage and irrigation districts consortium LLC. A
34 report documenting meeting notes, points of resolution, and
35 recommendations must be provided to the legislature no later than
36 June 30, 2026.

37 ~~((+28+))~~ (27) Within amounts appropriated in this section, the
38 department shall work with its wolf advisory group and the department
39 of agriculture to explore the concept of a "pay for presence" program

to defray some of the costs incurred by livestock producers who ranch in the presence of wolves. Such programs have been used in other parts of wolf range in the western United States and could serve as a replacement for the state's current indirect livestock compensation program. The department must report to the appropriate committees of the legislature by December 1, 2025, on potential alternatives, estimated costs, and feasibility, including the appropriate administering agency, of implementing such a program in Washington state.

(28) \$350,000 of the natural climate solutions account—state appropriation is provided solely to complete the identification of offsets and opportunities for recreation associated with the potential draw down of reservoirs on the lower Snake river. The funding in this subsection may be used to match private funds and in-kind staff contributions. For the purposes of this analysis, recreational fishing areas include fisheries constrained by the ESA listings in the Snake river basin, including buoy 10 and marine area 1, lower mainstem Columbia river, the lower Snake river, and the Snake river tributaries. The analysis shall include estimated fisheries numbers provided by tribal and joint state fishery professionals. The department shall provide a final report to the governor and the natural resource committees of the legislature by June 30, 2027.

Sec. 309. 2025 c 424 s 309 (uncodified) is amended to read as follows:

FOR THE PUGET SOUND PARTNERSHIP

General Fund—State Appropriation (FY 2026)	((\$8,278,000))
	<u>\$8,198,000</u>
General Fund—State Appropriation (FY 2027)	((\$8,468,000))
	<u>\$8,489,000</u>
General Fund—Federal Appropriation.	((\$32,210,000))
	<u>\$32,218,000</u>
Aquatic Lands Enhancement Account—State	
Appropriation.	((\$1,514,000))
	<u>\$1,520,000</u>
Model Toxics Control Operating Account—State	
Appropriation.	((\$1,365,000))
	<u>\$1,371,000</u>

TOTAL APPROPRIATION. ((~~\$51,835,000~~))
\$51,796,000

The appropriations in this section are subject to the following conditions and limitations:

(1) By October 15, 2026, the Puget Sound partnership shall provide the governor and appropriate legislative fiscal committees a single, prioritized list of state agency 2027-2029 capital and operating budget requests related to Puget Sound recovery and restoration.

(2) \$350,000 of the general fund—state appropriation for fiscal year 2026 and \$350,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the partnership to implement shipping noise reduction initiatives and monitoring programs in the Puget Sound, in coordination with Canadian and United States authorities. The partnership must contract with Washington maritime blue in order to establish and administer the quiet sound program to better understand and reduce the cumulative effects of acoustic and physical disturbance from large commercial vessels on southern resident orcas throughout their range in Washington state. Washington maritime blue will support a quiet sound leadership committee and work groups that include relevant federal and state agencies, ports, industry, research institutions, and nongovernmental organizations and consult early and often with relevant federally recognized tribes.

Sec. 310. 2025 c 424 s 310 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF NATURAL RESOURCES

General Fund—State Appropriation (FY 2026). ((~~\$163,143,000~~))
\$162,670,000
General Fund—State Appropriation (FY 2027). ((~~\$163,174,000~~))
\$157,030,000
General Fund—Federal Appropriation. ((~~\$117,454,000~~))
\$141,086,000
General Fund—Private/Local Appropriation. ((~~\$5,772,000~~))
\$19,361,000
Access Road Revolving Nonappropriated Account—State
Appropriation. ((~~\$1,248,000~~))
\$624,000

1	Climate Commitment Account—State Appropriation.	((\$7,072,000))
2		<u>\$7,117,000</u>
3	Derelict Structure Removal Account—State	
4	Appropriation.	\$2,605,000
5	Forest Development Account—State Appropriation.	((\$58,281,000))
6		<u>\$59,641,000</u>
7	Forest Fire Protection Assessment Nonappropriated	
8	Account—State Appropriation.	((\$492,000))
9		<u>\$246,000</u>
10	Forest Fire Protection Assessment Nonappropriated	
11	Account—Private/Local Appropriation.	\$500,000
12	Forest Health Revolving Nonappropriated Account—	
13	State Appropriation.	((\$578,000))
14		<u>\$289,000</u>
15	Natural Climate Solutions Account—State	
16	Appropriation.	((\$11,734,000))
17		<u>\$12,796,000</u>
18	Natural Resources Federal Lands Revolving	
19	Nonappropriated Account—State Appropriation.	((\$108,000))
20		<u>\$54,000</u>
21	NOVA Program Account—State Appropriation.	\$750,000
22	ORV and Nonhighway Vehicle Account—State	
23	Appropriation.	((\$8,094,000))
24		<u>\$8,212,000</u>
25	State Forest Nursery Revolving Nonappropriated	
26	Account—State Appropriation.	((\$194,000))
27		<u>\$97,000</u>
28	Surveys and Maps Account—State Appropriation.	((\$2,362,000))
29		<u>\$2,595,000</u>
30	Aquatic Lands Enhancement Account—State	
31	Appropriation.	((\$21,801,000))
32		<u>\$22,233,000</u>
33	Resource Management Cost Account—State Appropriation	((\$124,332,000))
34		<u>\$140,343,000</u>
35	Surface Mining Reclamation Account—State	
36	Appropriation.	((\$6,643,000))
37		<u>\$4,663,000</u>
38	Disaster Response Account—State Appropriation.	((\$23,874,000))
39		<u>\$23,968,000</u>

1	Forest and Fish Support Account—State Appropriation.	((\$11,564,000))
2		<u>\$11,579,000</u>
3	<u>Budget Stabilization Account—State Appropriation. . . .</u>	<u>\$141,291,000</u>
4	Aquatic Land Dredged Material Disposal Site Account—	
5	State Appropriation.	\$395,000
6	Natural Resources Conservation Areas Stewardship	
7	Account—State Appropriation.	((\$54,000))
8		<u>\$303,000</u>
9	Forest Practices Application Account—State	
10	Appropriation.	((\$2,157,000))
11		<u>\$2,170,000</u>
12	Air Pollution Control Account—State Appropriation. . . .	((\$936,000))
13		<u>\$946,000</u>
14	Model Toxics Control Operating Account—State	
15	Appropriation.	((\$959,000))
16		<u>\$966,000</u>
17	Wildfire Response, Forest Restoration, and Community	
18	Resilience Account—State Appropriation.	((\$117,658,000))
19		<u>\$124,305,000</u>
20	Derelict Vessel Removal Account—State Appropriation.	((\$10,627,000))
21		<u>\$10,644,000</u>
22	Community Forest Trust Account—State Appropriation.	\$52,000
23	Agricultural College Trust Management Account—State	
24	Appropriation.	((\$3,543,000))
25		<u>\$3,829,000</u>
26	TOTAL APPROPRIATION.	((\$868,156,000))
27		<u>\$1,063,360,000</u>

28 The appropriations in this section are subject to the following
29 conditions and limitations:

30 (1) \$2,823,000 of the natural climate solutions account—state
31 appropriation is provided solely for the department to carry out the
32 forest practices adaptive management program pursuant to RCW
33 76.09.370 and the May 24, 2012, settlement agreement entered into by
34 the department and the department of ecology. Scientific research
35 must be carried out according to the master project schedule and work
36 plan of cooperative monitoring, evaluation, and research priorities
37 adopted by the forest practices board.

38 (2) \$1,000,000 of the general fund—state appropriation for fiscal
39 year 2026 and \$1,000,000 of the general fund—state appropriation for

1 fiscal year 2027 are provided solely for the small forest landowner
2 office, in order to restore staffing capacity reduced during the
3 great recession and to support small forest landowners, including
4 assistance related to forest and fish act regulations.

5 (3) \$1,583,000 of the general fund—state appropriation for fiscal
6 year 2026 and \$1,515,000 of the general fund—state appropriation for
7 fiscal year 2027 are provided solely for deposit into the
8 agricultural college trust management account and are provided solely
9 to manage approximately 70,700 acres of Washington State University's
10 agricultural college trust lands.

11 (4) (~~(\$85,320,000)~~) \$79,470,000 of the general fund—state
12 appropriation for fiscal year 2026, (~~(\$85,320,000)~~) \$79,470,000 of
13 the general fund—state appropriation for fiscal year 2027, (~~and~~)
14 \$16,050,000 of the disaster response account—state appropriation, and
15 \$141,291,000 of the budget stabilization account—state appropriation
16 are provided solely for emergency response, including fire
17 suppression. The department shall provide a monthly report to the
18 office of financial management and the appropriate fiscal and policy
19 committees of the legislature with an update of fire suppression
20 costs incurred and the number and type of wildfires suppressed. The
21 department shall also provide a quarterly report to the office of
22 financial management and the appropriate fiscal committees of the
23 legislature with an update of costs and accomplishments resulting
24 from implementation of chapter 298, Laws of 2021.

25 (5) \$8,470,000 of the general fund—state appropriation for fiscal
26 year 2026, \$8,470,000 of the general fund—state appropriation for
27 fiscal year 2027, and \$396,000 of the disaster response account—state
28 appropriation are provided solely for indirect and administrative
29 expenses related to fire suppression.

30 (6) \$5,500,000 of the forest and fish support account—state
31 appropriation is provided solely for outcome-based performance
32 contracts with tribes to participate in the implementation of the
33 forest practices program. Contracts awarded may only contain indirect
34 costs set at or below the rate in the contracting tribe's indirect
35 cost agreement with the federal government. Of the amount provided in
36 this subsection, \$500,000 is contingent upon receipts under RCW
37 82.04.261 exceeding \$8,000,000 per biennium. If receipts under RCW
38 82.04.261 are more than \$8,000,000 but less than \$8,500,000 for the

1 biennium, an amount equivalent to the difference between actual
2 receipts and \$8,500,000 shall lapse.

3 (7) Consistent with the recommendations of the *Wildfire*
4 *Suppression Funding and Costs (18-02)* report of the joint legislative
5 audit and review committee, the department shall submit a report to
6 the governor and legislature by December 1, 2025, and December 1,
7 2026, describing the previous fire season. At a minimum, the report
8 shall provide information for each wildfire in the state, including
9 its location, impact by type of land ownership, the extent it
10 involved timber or range lands, cause, size, costs, and cost-share
11 with federal agencies and nonstate partners. The report must also be
12 posted on the agency's website.

13 (8) \$4,206,000 of the aquatic land enhancement account—state
14 appropriation is provided solely for the removal of creosote pilings
15 and debris from the marine environment and to continue monitoring
16 zooplankton and eelgrass beds on state-owned aquatic lands managed by
17 the department. Actions will address recommendations to recover the
18 southern resident orca population and to monitor ocean acidification
19 as well as help implement the Puget Sound action agenda.

20 (9) \$266,000 of the general fund—state appropriation for fiscal
21 year 2026 and \$266,000 of the general fund—state appropriation for
22 fiscal year 2027 are provided solely for compensation to the trust
23 beneficiaries and department for lost revenue from leases to amateur
24 radio operators who use space on the department managed radio towers
25 for their equipment. The department is authorized to lease sites at
26 the rate of up to \$100 per year, per site, per lessee. The
27 legislature makes this appropriation to fulfill the remaining costs
28 of the leases at market rate per RCW 79.13.510.

29 ~~((+11))~~ (10) \$3,000,000 of the natural climate solutions account
30 —state appropriation is provided solely for investment in urban
31 forestry to support reduction of negative environmental conditions
32 such as heat, flooding, and pollution and helping communities become
33 greener, cleaner, healthier, and more resilient.

34 ~~((+12))~~ (11) \$1,830,000 of the climate commitment account—state
35 appropriation is provided solely for the department to make
36 investments in education and training to bolster a statewide natural
37 resources workforce to support the health and resilience of
38 Washington's forests. Of this amount, \$400,000 is provided solely to

1 provide wildland fire management training to tribal communities and
2 members.

3 ~~((13))~~ (12) The department must report to and coordinate with
4 the department of ecology to track expenditures from climate
5 commitment act accounts, as defined and described in RCW 70A.65.300
6 and chapter 173-446B WAC. If an expenditure is expected to result in
7 greenhouse gas emission reductions, the department must use a
8 department of ecology approved calculator tool or methodology.

9 ~~((14))~~ (13) \$500,000 of the general fund—state appropriation
10 for fiscal year 2026 and \$500,000 of the general fund—state
11 appropriation for fiscal year 2027 are provided solely for the
12 department to coordinate with the Olympic natural resources center to
13 study emerging ecosystem threats such as Swiss needlecast disease,
14 fully implement the T3 watershed experiments on state trust lands,
15 continue field trials for long-term ecosystem productivity, and
16 engage stakeholders through learning-based collaboration.

17 ~~((15))~~ (14) \$3,750,000 of the general fund—state appropriation
18 for fiscal year 2026 and ~~((3,750,000))~~ \$3,170,000 of the general
19 fund—state appropriation for fiscal year 2027 are provided solely to
20 continue to address the maintenance backlog associated with providing
21 recreation on lands managed by the department. Allowable uses
22 include, but are not limited to, maintenance, repair, or replacement
23 of trails, toilet facilities, roads, parking lots, campgrounds,
24 picnic sites, water access areas, signs, kiosks, and gates. The
25 department is encouraged to partner with nonprofit organizations in
26 the maintenance of public lands. It is the intent of the legislature
27 to provide up to \$3,800,000 of general fund—state appropriations in
28 each fiscal year of the ensuing biennium and each subsequent fiscal
29 year for the purposes of this subsection.

30 ~~((16))~~ (15) \$2,543,000 of the resource management cost account—
31 state appropriation is provided solely for the department to
32 implement eradication and control measures on European green crabs on
33 state-owned aquatic lands and adjacent lands as appropriate. The
34 department must report to and coordinate with the department of fish
35 and wildlife to support the department of fish and wildlife's
36 quarterly progress reports to the legislature.

37 ~~((17))~~ (16) The department must enter into an interagency
38 agreement with the department of fish and wildlife to complete
39 biological survey work necessary to implement the wildstock geoduck

commercial fishery. The department must compensate the department of fish and wildlife for direct costs, but not for agency overhead or indirect costs.

~~((18))~~ (17) \$440,000 of the natural climate solutions account—state appropriation is provided solely for implementation of Engrossed Second Substitute House Bill No. 1563 (prescribed fire claims). ~~((If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.))~~

(18) \$50,000,000 of the wildfire response, forest restoration, and community resilience account—state appropriation is provided solely for the following purposes: \$20,000,000 is provided solely for wildfire response as described in RCW 76.04.511(3)(a), \$20,000,000 is provided solely for forest restoration as described in RCW 76.04.511(3)(b), and \$10,000,000 is provided solely for community resilience as described in RCW 76.04.511(3)(c).

Sec. 311. 2025 c 424 s 311 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF AGRICULTURE

General Fund—State Appropriation (FY 2026).	((\$98,069,000))
	<u>\$101,222,000</u>
General Fund—State Appropriation (FY 2027).	((\$95,345,000))
	<u>\$99,159,000</u>
General Fund—Federal Appropriation.	((\$47,675,000))
	<u>\$48,097,000</u>
General Fund—Private/Local Appropriation.	\$193,000
Agricultural Pest and Disease Response Account—State Appropriation.	\$2,000,000
Aquatic Lands Enhancement Account—State Appropriation.	((\$2,894,000))
	<u>\$2,932,000</u>
Climate Commitment Account—State Appropriation.	((\$1,609,000))
	<u>\$1,649,000</u>
Water Quality Permit Account—State Appropriation.	\$73,000
Model Toxics Control Operating Account—State Appropriation.	((\$14,432,000))
	<u>\$14,527,000</u>
Northeast Washington Wolf-Livestock Management Nonappropriated Account—State Appropriation.	((\$911,000))

1 \$912,000
2 TOTAL APPROPRIATION. ((~~\$263,201,000~~))
3 \$270,764,000

4 The appropriations in this section are subject to the following
5 conditions and limitations:

6 (1) \$20,570,000 of the general fund—state appropriation for
7 fiscal year 2026 and \$20,570,000 of the general fund—state
8 appropriation for fiscal year 2027 are provided solely as base
9 funding for the emergency food assistance program as provided in RCW
10 43.23.290.

11 (2) \$46,625,000 of the general fund—state appropriation for
12 fiscal year 2026 and \$46,625,000 of the general fund—state
13 appropriation for fiscal year 2027 are provided solely as additional
14 funding for implementing the emergency food assistance program as
15 defined in RCW 43.23.290.

16 (3) \$4,342,000 of the general fund—state appropriation for fiscal
17 year 2026 and ((~~\$4,000,000~~)) \$3,262,000 of the general fund—state
18 appropriation for fiscal year 2027 are provided solely for local food
19 system infrastructure and market access grants.

20 (4) \$2,500,000 of the general fund—state appropriation for fiscal
21 year 2026 and \$2,500,000 of the general fund—state appropriation for
22 fiscal year 2027 are provided solely as base funding for the farm to
23 school program established in RCW 15.64.060.

24 (5) ((~~\$2,380,000~~)) \$5,460,000 of the general fund—state
25 appropriation for fiscal year 2026 and ((~~\$2,380,000~~)) \$5,475,000 of
26 the general fund—state appropriation for fiscal year 2027 are
27 provided solely for implementing a *Popillia japonica* monitoring and
28 eradication program in central Washington and King county.

29 (6) \$912,000 of the northeast Washington wolf-livestock
30 management nonappropriated account—state appropriation is provided
31 solely for the department to conduct the following:

32 (a) Offer grants for the northeast Washington wolf-livestock
33 management program as provided in RCW 16.76.020. Funds from the grant
34 program must be used only for the deployment of nonlethal deterrence,
35 specifically with the goal to reduce the likelihood of cattle being
36 injured or killed by wolves by deploying proactive, preventative
37 methods that have a high probability of producing effective results.
38 Grant proposals will be assessed partially on this intent. Grantees
39 who use funds for range riders or herd monitoring must deploy this

1 tool in a manner so that targeted areas with cattle are visited daily
2 or near daily. Grantees must collaborate with other grantees of the
3 program and other entities providing prevention efforts resulting in
4 coordinated wolf-livestock conflict deterrence efforts, both
5 temporally and spatially, therefore providing well timed and placed
6 preventative coverage on the landscape. Additionally, range riders
7 must document their activities with GPS track logs and provide
8 written description of their efforts to the department of fish and
9 wildlife on a monthly basis. The department shall incorporate the
10 requirements of this subsection into contract language with the
11 grantees.

12 (b) Within the amounts provided in this subsection, the
13 department may provide up to \$100,000 each fiscal year to the
14 sheriffs offices of Ferry and Stevens counties for providing a local
15 wildlife specialist to aid the department of fish and wildlife in the
16 management of wolves in northeast Washington.

17 (7) \$424,000 of the general fund—state appropriation for fiscal
18 year 2026 and (~~(\$425,000)~~) \$850,000 of the general fund—state
19 appropriation for fiscal year 2027 are provided solely for
20 implementation of chapter 135, Laws of 2022, which requires the
21 department to establish and maintain cannabis testing lab quality
22 standards by rule.

23 (8) \$1,490,000 of the model toxics control operating account—
24 state appropriation is provided solely to increase capacity and
25 support work to reduce nitrate pollution in groundwater from
26 irrigated agriculture in the lower Yakima valley.

27 (9) (~~(\$462,000)~~) \$651,000 of the general fund—state appropriation
28 for fiscal year 2026, (~~(\$462,000)~~) \$651,000 of the general fund—state
29 appropriation for fiscal year 2027, and (~~(\$700,000)~~) \$988,000 of the
30 general fund—federal appropriation are provided solely to match
31 federal funding for eradication treatments in King and Pierce
32 counties and follow-up monitoring of invasive moths.

33 (10) \$200,000 of the general fund—state appropriation for fiscal
34 year 2026 and \$200,000 of the general fund—state appropriation for
35 fiscal year 2027 are provided solely to continue the early detection
36 program for the spotted lanternfly and the associated invasive
37 *Ailanthus altissima*, known colloquially as tree-of-heaven, survey and
38 control programs.

1 (11) The department must report to and coordinate with the
2 department of ecology to track expenditures from climate commitment
3 act accounts, as defined and described in RCW 70A.65.300 and chapter
4 173-446B WAC. If an expenditure is expected to result in greenhouse
5 gas emission reductions, the department must use a department of
6 ecology approved calculator tool or methodology.

7 (12) \$170,000 of the general fund—state appropriation for fiscal
8 year 2026 and \$170,000 of the general fund—state appropriation for
9 fiscal year 2027 are provided solely to continue a shellfish
10 coordinator position.

11 (13) \$318,000 of the general fund—state appropriation for fiscal
12 year 2026 and \$317,000 of the general fund—state appropriation for
13 fiscal year 2027 are provided solely for compliance-based laboratory
14 analysis of pesticides in cannabis.

15 ~~((+15+))~~ (14) \$893,000 of the climate commitment account—state
16 appropriation is provided solely to support planning and development
17 of statewide livestock composting infrastructure to protect human
18 health and reduce greenhouse gas emission.

19 ~~((+16+))~~ (15) \$300,000 of the model toxics control operating
20 account—state appropriation is provided solely for implementation of
21 Substitute House Bill No. 1309 (burrowing shrimp). ~~((If the bill is~~
22 ~~not enacted by June 30, 2025, the amount provided in this subsection~~
23 ~~shall lapse.~~

24 ~~(+17+))~~ (16) \$118,000 of the model toxics control operating
25 account—state appropriation is provided solely for implementation of
26 Substitute House Bill No. 1294 (pesticide application committee).
27 ~~((If the bill is not enacted by June 30, 2025, the amount provided in~~
28 ~~this subsection shall lapse.))~~

29 (17) \$140,000 of the climate commitment account—state
30 appropriation is provided solely to create program guidelines for a
31 future green fertilizer grant program that aligns with the
32 recommendations of the 2024 green fertilizer work group report.

33 (18) The department shall transfer \$500,000 from the fruit and
34 vegetable inspection account to the plant pest account within the
35 local agricultural fund. The amount transferred must be derived from
36 fees collected for state inspections of tree fruit and shall be used
37 solely to reimburse county horticultural pest and disease boards for
38 the cost of pest control activities, including tree removal,

1 conducted under their existing authority in chapters 15.08 and 15.09
2 RCW. The transfer of funds shall occur by June 30, 2026.

3 (19) \$79,000 of the general fund—state appropriation for fiscal
4 year 2027 is provided solely for implementation of Engrossed
5 Substitute House Bill No. 2238 (statewide food security). If the bill
6 is not enacted by June 30, 2026, the amount provided in this
7 subsection shall lapse.

8 **Sec. 312.** 2025 c 424 s 312 (uncodified) is amended to read as
9 follows:

10 **FOR THE ENERGY FACILITY SITE EVALUATION COUNCIL**

11	General Fund—State Appropriation (FY 2026).	((\$1,639,000))
12		<u>\$1,626,000</u>
13	General Fund—State Appropriation (FY 2027).	((\$1,633,000))
14		<u>\$1,679,000</u>
15	Climate Commitment Account—State Appropriation.	\$6,069,000
16	Energy Facility Site Evaluation Council Account—	
17	Private/Local Appropriation.	\$28,231,000
18	TOTAL APPROPRIATION.	((\$37,572,000))
19		<u>\$37,605,000</u>

20 The appropriations in this section are subject to the following
21 conditions and limitations:

22 (1) \$1,068,000 of the climate commitment account—state
23 appropriation is provided solely to support agency operations and to
24 hire additional environmental siting and compliance positions needed
25 to support an anticipated workload increase from new clean energy
26 projects.

27 (2) \$1,034,000 of the climate commitment account—state
28 appropriation is provided solely for preapplication development and
29 clean energy manufacturing review, reimbursement to tribes for costs
30 associated with clean energy project application reviews, and
31 contracted services for green hydrogen and clean energy manufacturing
32 programs.

33 (3) The council must report to and coordinate with the department
34 of ecology to track expenditures from climate commitment act
35 accounts, as defined and described in RCW 70A.65.300 and chapter
36 173-446B WAC. If an expenditure is expected to result in greenhouse
37 gas emission reductions, the council must use a department of ecology
38 approved calculator tool or methodology.

(End of part)

PART IV
TRANSPORTATION

Sec. 401. 2025 c 424 s 401 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF LICENSING

General Fund—State Appropriation (FY 2026)	((\$2,575,000))
	<u>\$2,338,000</u>
General Fund—State Appropriation (FY 2027)	((\$2,110,000))
	<u>\$1,788,000</u>
Architects' License Account—State Appropriation.	((\$298,000))
	<u>\$281,000</u>
Real Estate Commission Account—State Appropriation.	((\$17,639,000))
	<u>\$17,880,000</u>
Uniform Commercial Code Account—State Appropriation.	((\$4,358,000))
	<u>\$4,374,000</u>
Real Estate Education Program Account—State	
Appropriation.	\$276,000
Real Estate Appraiser Commission Account—State	
Appropriation.	((\$395,000))
	<u>\$453,000</u>
Business and Professions Account—State Appropriation.	((\$37,266,000))
	<u>\$39,991,000</u>
Real Estate Research Account—State Appropriation.	((\$415,000))
	<u>\$825,000</u>
Concealed Pistol License Renewal Notification	
Account—State Appropriation.	\$224,000
Derelict Vessel Removal Account—State Appropriation.	((\$41,000))
	<u>\$42,000</u>
TOTAL APPROPRIATION.	((\$65,598,000))
	<u>\$68,472,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) \$146,000 of the business and professions account—state appropriation is provided solely for implementation of Engrossed Substitute Senate Bill No. 5294 (professional accounts). (~~If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.~~)

(2) \$26,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for implementation of Engrossed Substitute Senate Bill No. 5281 (vessel length/nonresident). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.~~

~~(4))~~ (3) \$16,000 of the business and professions account—state appropriation is provided solely for implementation of Substitute Senate Bill No. 5714 (bail bond agents/immigration). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.~~

~~(5))~~ (4) \$2,440,000 of the business and professions account—state appropriation is provided solely for implementation of Substitute House Bill No. 1023 (cosmetology compact). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.~~

~~(7))~~ (5) \$150,000 of the concealed pistol license renewal notification account—state appropriation is provided solely to implement chapter 74, Laws of 2017 (concealed pistol license).

(6) \$4,000 of the real estate commission account—state appropriation and \$23,000 of the business and professions account—state appropriation are provided solely for implementation of Senate Bill No. 5420 (veteran benefits access). If the bill is not enacted by June 30, 2026, the amounts provided in this subsection shall lapse.

(7) \$13,000 of the business and professions account—state appropriation is provided solely for implementation of Substitute Senate Bill No. 6091 (real estate/exclusive market). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

Sec. 402. 2025 c 424 s 402 (uncodified) is amended to read as follows:

FOR THE WASHINGTON STATE PATROL

General Fund—State Appropriation (FY 2026)	((\$81,686,000))
	<u>\$83,343,000</u>
General Fund—State Appropriation (FY 2027)	((\$83,860,000))
	<u>\$83,237,000</u>
General Fund—Federal Appropriation	\$17,026,000
General Fund—Private/Local Appropriation	((\$3,173,000))

1		<u>\$3,232,000</u>
2	<u>911 Account—State Appropriation.</u>	<u>\$3,867,000</u>
3	Climate Commitment Account—State Appropriation.	\$1,804,000
4	Death Investigations Account—State Appropriation.	((\$9,710,000))
5		<u>\$9,672,000</u>
6	County Criminal Justice Assistance Account—State	
7	Appropriation.	((\$4,916,000))
8		<u>\$4,917,000</u>
9	Municipal Criminal Justice Assistance Account—State	
10	Appropriation.	((\$1,811,000))
11		<u>\$1,810,000</u>
12	Fire Service Trust Account—State Appropriation.	\$131,000
13	Vehicle License Fraud Account—State Appropriation.	\$119,000
14	Disaster Response Account—State Appropriation.	((\$8,000,000))
15		<u>\$20,400,000</u>
16	Fire Service Training Account—State Appropriation.	((\$14,289,000))
17		<u>\$14,343,000</u>
18	Model Toxics Control Operating Account—State	
19	Appropriation.	\$596,000
20	Fingerprint Identification Account—State	
21	Appropriation.	((\$15,490,000))
22		<u>\$15,539,000</u>
23	TOTAL APPROPRIATION.	((\$242,611,000))
24		<u>\$260,036,000</u>

25 The appropriations in this section are subject to the following
26 conditions and limitations:

27 (1) ((~~\$7,500,000~~)) \$19,900,000 of the disaster response account—
28 state appropriation is provided solely for Washington state fire
29 service resource mobilization costs incurred in response to an
30 emergency or disaster authorized under RCW 43.43.960 through
31 43.43.964. The state patrol shall submit a report quarterly to the
32 office of financial management and the legislative fiscal committees
33 detailing information on current and planned expenditures from this
34 account. This work shall be done in coordination with the military
35 department.

36 (2) \$500,000 of the disaster response account—state
37 appropriation, is provided solely for the early deployment or
38 prepositioning of Washington state fire service resources in advance
39 of an expected mobilization event. Any authorization for the

1 deployment of resources under this section must be authorized in
2 accordance with section 6 of the Washington state fire services
3 resource mobilization plan.

4 (3) \$1,000,000 of the fire service training account—state
5 appropriation is provided solely for the firefighter apprenticeship
6 training program.

7 (4) Any funds provided to the missing and exploited children task
8 force shall ensure operations are adherent to federally established
9 internet crimes against children standards.

10 (5) \$5,000 of the general fund—state appropriation for fiscal
11 year 2026 is provided solely for implementation of Substitute Senate
12 Bill No. 5655 (child care centers/buildings). (~~If the bill is not~~
13 ~~enacted by June 30, 2025, the amount provided in this subsection~~
14 ~~shall lapse.))~~

15 (6) \$71,000 of the fingerprint identification account—state
16 appropriation is provided solely for implementation of Engrossed
17 Second Substitute House Bill No. 1163 (firearm purchasing). (~~If the~~
18 ~~bill is not enacted by June 30, 2025, the amount provided in this~~
19 ~~subsection shall lapse.))~~

20 (7)(a) \$150,000 of the general fund—state appropriation for
21 fiscal year 2026 and \$150,000 of the general fund—state appropriation
22 for fiscal year 2027 are provided solely for the Washington state
23 patrol to provide assistance to the forensic investigation council
24 for the following:

25 (i) Compliance with chapter 42.56 RCW (public records act),
26 chapter 42.30 RCW (open public meetings act), records management
27 requirements, general administrative support, and payment processing;

28 (ii) In coordination with Washington technology solutions, the
29 creation and maintenance of a website for the forensic investigation
30 council; and

31 (iii) In coordination with Washington technology solutions, state
32 email addresses for the forensic investigation council.

33 (b) To provide this assistance, the Washington state patrol may
34 assist directly or may enter into interagency agreements as it deems
35 appropriate.

36 (8) \$318,000 of the general fund—state appropriation for fiscal
37 year 2027 is provided solely to fund one field responder position and
38 one fiscal technician position within the all-risk mobilization
39 program.

1 (9) \$100,000 of the general fund—state appropriation for fiscal
2 year 2027 is provided solely for a grant to the Snohomish county
3 sheriff's office to support their rotary wing aviation support unit.

4 (10) \$60,000 of the general fund—private/local appropriation is
5 provided solely for implementation of Second Substitute Senate Bill
6 No. 5880 (toxicology testing). If the bill is not enacted by June 30,
7 2026, the amount provided in this subsection shall lapse.

(End of part)

PART V
EDUCATION

***Sec. 501.** 2025 c 424 s 501 (uncodified) is amended to read as follows:

FOR THE SUPERINTENDENT OF PUBLIC INSTRUCTION

General Fund—State Appropriation (FY 2026)	((\$59,939,000))
	<u>\$60,262,000</u>
General Fund—State Appropriation (FY 2027)	((\$55,045,000))
	<u>\$59,456,000</u>
General Fund—Federal Appropriation	((\$149,780,000))
	<u>\$149,347,000</u>
General Fund—Private/Local Appropriation	\$8,083,000
Dedicated Cannabis Account—State Appropriation	
(FY 2026)	\$637,000
Dedicated Cannabis Account—State Appropriation	
(FY 2027)	((\$658,000))
	<u>\$655,000</u>
Washington Opportunity Pathways Account—State	
Appropriation	\$291,000
Performance Audits of Government Account—State	
Appropriation	\$213,000
TOTAL APPROPRIATION	((\$274,646,000))
	<u>\$278,944,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) BASE OPERATIONS AND EXPENSES OF THE OFFICE

(a) ((~~\$27,766,000~~)) \$28,089,000 of the general fund—state appropriation for fiscal year 2026 and ((~~\$27,685,000~~)) \$29,120,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the operation and expenses of the office of the superintendent of public instruction. Funding in this subsection may only be used for the following purposes:

(i) By October 31st of each year, the office of the superintendent of public instruction shall produce an annual status report on implementation of the budget provisos in this section and sections 515 and 523 of this act. The status report of each proviso shall include, but not be limited to, the following information: Purpose and objective, number of state staff funded by the proviso,

1 number of contractors, status of proviso implementation, number of
2 beneficiaries by year, list of beneficiaries, a comparison of
3 budgeted funding and actual expenditures, other sources and amounts
4 of funding, and proviso outcomes and achievements;

5 (ii) Districts shall annually report to the office of the
6 superintendent of public instruction on: (A) The annual number of
7 graduating high school seniors within the district earning the
8 Washington state seal of biliteracy provided in RCW 28A.300.575; and
9 (B) the number of high school students earning competency-based high
10 school credits for world languages by demonstrating proficiency in a
11 language other than English. The office of the superintendent of
12 public instruction shall provide a summary report to the office of
13 the governor and the appropriate committees of the legislature by
14 December 1st of each year;

15 (iii) The office of the superintendent of public instruction
16 shall perform ongoing program reviews of alternative learning
17 experience programs, dropout reengagement programs, and other high
18 risk programs. Findings from the program reviews will be used to
19 support and prioritize the office of the superintendent of public
20 instruction outreach and education efforts that assist school
21 districts in implementing the programs in accordance with statute and
22 legislative intent, as well as to support financial and performance
23 audit work conducted by the office of the state auditor;

24 (iv) Districts shall report to the office the results of each
25 collective bargaining agreement for certificated staff within their
26 district using a uniform template as required by the superintendent,
27 within 30 days of finalizing contracts. The data must include, but is
28 not limited to: Minimum and maximum base salaries, supplemental
29 salary information, and average percent increase for all certificated
30 instructional staff. Within existing resources by December 1st of
31 each year, the office shall produce a report for the legislative
32 evaluation and accountability program committee summarizing the
33 district level collective bargaining agreement data;

34 (v) Ongoing work of the education opportunity gap oversight and
35 accountability committee;

36 (vi) Activities related to public schools other than common
37 schools authorized under chapter 28A.710 RCW; and

38 (vii) The office of native education to increase services to
39 tribes, including but not limited to, providing assistance to tribes
40 and school districts to implement Since Time Immemorial, applying to

1 become tribal compact schools, convening the Washington state native
2 American education advisory committee, and extending professional
3 learning opportunities to provide instruction in tribal history,
4 culture, and government. The professional development must be done in
5 collaboration with school district administrators and school
6 directors. Funding in this subsection is sufficient for the office,
7 the Washington state school directors' association government-to-
8 government task force, and the association of educational service
9 districts to collaborate with the tribal leaders congress on
10 education to develop a tribal consultation training and schedule; and

11 (viii) Beginning July 1, 2026, the office of the superintendent
12 of public instruction must report to the office of the governor and
13 the appropriate committees of the legislature when allocating title
14 II, part A and title IV, part A federal funding to eligible local
15 education agencies. The report must include:

16 (A) The amount of funding received by each local education
17 agency;

18 (B) The purpose of the funding;

19 (C) The amount of funding received by the office as set-aside
20 funding for statewide activities;

21 (D) The amount of funding received by the office as set-aside
22 funding for administrative purposes;

23 (E) A list of contracts funded by the office using the set-aside
24 funding described in (c) and (d) of this subsection.

25 (b) \$826,000 of the general fund—state appropriation for fiscal
26 year 2026 and \$804,000 of the general fund—state appropriation for
27 fiscal year 2027 are provided solely for the implementation of
28 chapter 240, Laws of 2010, including staffing the office of equity
29 and civil rights.

30 (c) \$3,205,000 of the general fund—state appropriation for fiscal
31 year 2026 and \$1,205,000 of the general fund—state appropriation for
32 fiscal year 2027 are provided solely for the financial education
33 public-private partnership and for the implementation of chapter 238,
34 Laws of 2022 (student financial literacy) which provides grants to
35 school districts for integrating financial literacy education into
36 professional development for certificated staff. Of the amounts
37 provided within this subsection, up to \$1,205,000 of the general fund
38 —state appropriation in each fiscal year may be used for the

operational expenses of the financial education public private partnership.

(d) \$2,393,000 of the general fund—state appropriation for fiscal year 2026 and \$370,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for providing proactive and solutions-oriented regional and local technical and financial assistance to districts. Of the amounts provided in this subsection, \$2,000,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for ~~((school))~~:

(i) School districts that have been removed from their insurance risk pool due to district financial trouble for the difference between the previous cost of insurance provided through the Washington schools risk management pool and the cost of purchasing private insurance; and

(ii) School districts with enrollment of less than 500 students under enhanced financial oversight, to support the repayment of outstanding interfund loans. Priority shall be given to the school district that has been in binding conditions for the longest period.

(e) \$60,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for implementation of Engrossed Substitute Senate Bill No. 5004 (school emergency response). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

(f) \$224,000 of the general fund—state appropriation for fiscal year 2026 and \$12,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of Engrossed Substitute Senate Bill No. 5009 (vehicle types student transpo). ~~((If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.))~~

(g) \$41,000 of the general fund—state appropriation for fiscal year 2026 and \$33,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of Substitute Senate Bill No. 5025 (educational interpreters). ~~((If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.))~~

(h) \$20,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for implementation of Substitute Senate Bill No. 5030 (vital records access). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

1 (i) \$747,000 of the general fund—state appropriation for fiscal
2 year 2026 and \$611,000 of the general fund—state appropriation for
3 fiscal year 2027 are provided solely for implementation of Engrossed
4 Substitute House Bill No. 1296 (public education system). ~~((If the
5 bill is not enacted by June 30, 2025, the amount provided in this
6 subsection shall lapse.))~~

7 (j) \$6,400,000 of the general fund—state appropriation for fiscal
8 year 2026 and \$6,400,000 of the general fund—state appropriation for
9 fiscal year 2027 are provided solely for implementation of Engrossed
10 Second Substitute Senate Bill No. 5263 (special education funding).
11 The funding provided in this subsection is sufficient for 20 pilot
12 schools to establish school-wide centers of excellence for
13 inclusionary practices. ~~((If the bill is not enacted by June 30,
14 2025, the amounts provided in this subsection shall lapse.))~~

15 (k) \$194,000 of the general fund—state appropriation for fiscal
16 year 2026 and \$156,000 of the general fund—state appropriation for
17 fiscal year 2027 are provided solely for implementation of Senate
18 Bill No. 5189 (competency-based education). ~~((If the bill is not
19 enacted by June 30, 2025, the amounts provided in this subsection
20 shall lapse.))~~

21 (l) \$50,000 of the general fund—state appropriation for fiscal
22 year 2026 is provided solely for implementation of Engrossed
23 Substitute Senate Bill No. 5192 (materials, supplies and op costs).
24 ~~((If the bill is not enacted by June 30, 2025, the amount provided in
25 this subsection shall lapse.))~~

26 (m) \$25,000 of the general fund—state appropriation for fiscal
27 year 2026 and \$24,000 of the general fund—state appropriation for
28 fiscal year 2027 are provided solely for implementation of Substitute
29 House Bill No. 1079 (remote testing). ~~((If the bill is not enacted by
30 June 30, 2025, the amounts provided in this subsection shall lapse.))~~

31 (n) \$29,000 of the general fund—state appropriation for fiscal
32 year 2026 is provided solely for implementation of Substitute Senate
33 Bill No. 5253 (special education to 22). ~~((If the bill is not enacted
34 by June 30, 2025, the amount provided in this subsection shall
35 lapse.))~~

36 (o) \$21,000 of the general fund—state appropriation for fiscal
37 year 2026 is provided solely for implementation of Substitute Senate
38 Bill No. 5412 (interfund loans/schools). ~~((If the bill is not enacted~~

1 ~~by June 30, 2025, the amount provided in this subsection shall~~
2 ~~lapse.))~~

3 (p) \$2,000,000 of the general fund—state appropriation for fiscal
4 year 2026 ~~((and))~~, \$2,000,000 of the general fund—state appropriation
5 for fiscal year 2027, and \$400,000 of the general fund—federal
6 appropriation of funds attributable to state-level activities under
7 title II, part A of the elementary and secondary education act, are
8 provided solely for demonstration projects showcasing the processes
9 and outcomes of building school-wide systems to support students in
10 distress and prevent crisis escalation cycles that may result in
11 restraint or isolation.

12 (i) The office of the superintendent of public instruction must
13 provide grants to school districts for:

14 (A) ~~((Six))~~ Up to 10 demonstration sites to showcase best
15 practices and serve as learning communities and examples that allow
16 other school districts to observe positive practices in real-world
17 settings; and

18 (B) Increasing the number of pilot sites to engage in targeted
19 professional development through learning experiences offered by the
20 demonstration sites and contracted providers.

21 (ii) The pilot sites must:

22 (A) Build school-level and district-level systems that
23 incorporate positive, trauma-informed behavior support practices to
24 prevent crisis escalation and reduce the use of restraint and
25 isolation; and

26 (B) Improve data collection and reporting systems and complete
27 other tasks to achieve the project goal.

28 (iii) By November 15, 2026, and in accordance with RCW 43.01.036,
29 the office of the superintendent of public instruction must provide
30 the appropriate committees of the legislature with a report on the
31 demonstration projects. The report must, to the extent possible,
32 quantify the impact of the demonstration projects in terms of student
33 outcomes, such as changes in disruptive student behavior, increases
34 in the amount of time students with disabilities spend in the general
35 education setting, or increases in assessment scores. The report must
36 include an estimate of the fiscal impact that use of the practices
37 identified in this subsection might have on school district budgets
38 if adopted statewide. The report must also address key implementation

1 challenges and findings, as well as include recommendations for
2 statewide policy changes.

3 (iv) Beginning July 1, 2026, school districts may use federal
4 title II, part A funding under the elementary and secondary education
5 act of 1965 to continue previous or existing demonstration sites and
6 pilot sites, or to implement trauma-informed professional development
7 programs, as defined in Engrossed Substitute House Bill No. 1795
8 (student restraint, isolation), as an allowable use of federal title
9 II, part A funding in order to improve the quality and effectiveness
10 of teachers, principals, and other school leaders to increase student
11 achievement.

12 (q) \$164,000 of the general fund—state appropriation for fiscal
13 year 2027 is provided solely for implementation of Second Substitute
14 Senate Bill No. 5969 (IEP transition plans). If the bill is not
15 enacted by June 30, 2026, the amount provided in this subsection
16 shall lapse.

17 (r) \$84,000 of the general fund—state appropriation for fiscal
18 year 2027 is provided solely for implementation of Substitute Senate
19 Bill No. 5841 (financial aid applications). If the bill is not
20 enacted by June 30, 2026, the amount provided in this subsection
21 shall lapse.

22 (s) \$6,000 of the general fund—state appropriation for fiscal
23 year 2027 is provided solely for implementation of Senate Bill No.
24 5922 (transportation vehicle fund). If the bill is not enacted by
25 June 30, 2026, the amount provided in this subsection shall lapse.

26 (t) \$16,000 of the general fund—state appropriation for fiscal
27 year 2027 is provided solely for implementation of Substitute Senate
28 Bill No. 6268 (special ed. complaint record). If the bill is not
29 enacted by June 30, 2026, the amount provided in this subsection
30 shall lapse.

31 (u) \$30,000 of the general fund—state appropriation for fiscal
32 year 2027 is provided solely for increased dues for the interstate
33 compact on educational opportunity for military children.

34 (v) \$72,000 of the general fund—state appropriation for fiscal
35 year 2027 is provided solely for implementation of Substitute Senate
36 Bill No. 5346 (student mobile device use). If the bill is not enacted
37 by June 30, 2026, the amount provided in this subsection shall lapse.

38 (w) \$6,000 of the general fund—state appropriation for fiscal
39 year 2027 is provided solely for implementation of Senate Bill No.

1 6065 (school vehicle funds). If the bill is not enacted by June 30,
2 2026, the amount provided in this subsection shall lapse.

3 (2) DATA SYSTEMS

4 (a) \$1,802,000 of the general fund—state appropriation for fiscal
5 year 2026 and \$1,802,000 of the general fund—state appropriation for
6 fiscal year 2027 are provided solely for implementing a comprehensive
7 data system to include financial, student, and educator data,
8 including development and maintenance of the comprehensive education
9 data and research system (CEDARS).

10 (b) \$281,000 of the general fund—state appropriation for fiscal
11 year 2026 and \$281,000 of the general fund—state appropriation for
12 fiscal year 2027 are provided solely for K-20 telecommunications
13 network technical support in the K-12 sector to prevent system
14 failures and avoid interruptions in school utilization of the data
15 processing and video-conferencing capabilities of the network. These
16 funds may be used to purchase engineering and advanced technical
17 support for the network.

18 (c) \$450,000 of the general fund—state appropriation for fiscal
19 year 2026 and \$450,000 of the general fund—state appropriation for
20 fiscal year 2027 are provided solely for the superintendent of public
21 instruction to develop and implement a statewide accountability
22 system to address absenteeism and to improve student graduation
23 rates. The system must use data to engage schools and districts in
24 identifying successful strategies and systems that are based on
25 federal and state accountability measures. Funding may also support
26 the effort to provide assistance about successful strategies and
27 systems to districts and schools that are underperforming in the
28 targeted student subgroups.

29 (d) Within existing resources, the office of the superintendent
30 of public instruction and the department of children, youth, and
31 families must determine best practices, shared strategies, and data
32 sharing approaches for the joint development of regional, public-
33 facing data dashboards that support the transition from early
34 learning to the K-12 education system. The office and the department
35 must collaborate to identify system needs and information technology
36 infrastructure requirements to improve access to actionable,
37 consumer-friendly data for families, school districts, and early
38 learning providers. The joint dashboards developed as part of this
39 work must build from existing dashboards and must include regularly

updated key indicators such as program supply and demand, enrollment trends, and outcomes of state early learning investments, disaggregated by geography, program type, and family demographics. The joint dashboards must be completed by June 30, 2026.

(3) WORK GROUPS

(a) \$68,000 of the general fund—state appropriation for fiscal year 2026 and \$68,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of chapter 128, Laws of 2023 (regional apprenticeship prgs).

(b) \$200,000 of the general fund—state appropriation for fiscal year 2026 and \$200,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the office of the superintendent of public instruction to meet statutory obligations related to the provision of medically and scientifically accurate, age-appropriate, and inclusive sexual health education as authorized by chapter 206, Laws of 1988 (AIDS omnibus act) and chapter 265, Laws of 2007 (healthy youth act).

(c) \$200,000 of the general fund—state appropriation for fiscal year 2026 and \$200,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of chapter 386, Laws of 2019 (social emotional learning).

(d) \$107,000 of the general fund—state appropriation for fiscal year 2026 and \$107,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the office to support the children and youth behavioral health work group created in chapter 130, Laws of 2020 (child. mental health wk. grp).

(e) \$125,000 of the general fund—state appropriation for fiscal year 2026 and \$51,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of Engrossed Substitute House Bill No. 1414 (CTE careers work group). (~~If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.~~)

(4) STATEWIDE PROGRAMS

(a) \$11,705,000 of the general fund—state appropriation for fiscal year 2026, (~~(\$11,586,000)~~) \$14,184,000 of the general fund—state appropriation for fiscal year 2027, \$637,000 of the dedicated cannabis account—state appropriation for fiscal year 2026, and (~~(\$658,000)~~) \$655,000 of the dedicated cannabis account—state

1 appropriation for fiscal year 2027 are provided solely for the
2 following statewide programs:

3 (i) The Washington kindergarten inventory of developing skills.
4 State funding shall support statewide administration and district
5 implementation of the inventory under RCW 28A.655.080;

6 (ii) The Washington reading corps. The superintendent shall
7 allocate reading corps members to schools identified for
8 comprehensive or targeted support and school districts that are
9 implementing comprehensive, proven, research-based reading programs.
10 Two or more schools may combine their Washington reading corps
11 programs;

12 (iii) School bullying and harassment prevention activities;

13 (iv) Provide statewide support and coordination for the regional
14 network of behavioral health, school safety, and threat assessment
15 established in chapter 333, Laws of 2019 (school safety and well-
16 being);

17 (v) The school safety center within the office of the
18 superintendent of public instruction;

19 (vi) Youth suicide prevention activities;

20 (vii) To support district implementation of comprehensive
21 guidance and planning programs in support of high-quality high school
22 and beyond plans consistent with RCW 28A.230.090;

23 (viii) To provide statewide coordination towards multicultural,
24 culturally responsive, and anti-racist education to support
25 academically, socially, and culturally literate learners. The office
26 must engage community members and key interested parties to:

27 (A) Develop a clear definition and framework for African American
28 studies to guide instruction in grades seven through twelve;

29 (B) Develop a plan for aligning African American studies across
30 all content areas; and

31 (C) Identify professional development opportunities for educators
32 and administrators to build capacity in creating high-quality
33 learning environments centered in belonging and racial equity, anti-
34 racist approaches, and asset-based methodologies that pull from all
35 students' cultural funds of knowledge;

36 (ix) To develop and implement a mathematics pathways pilot to
37 modernize algebra II. The office should use research and engage
38 stakeholders to develop a revised and expanded course;

(x) To establish a media literacy and digital citizenship ambassador program to promote the integration of media literacy and digital citizenship instruction;

(xi) The implementation of chapter 72, Laws of 2016 (educational opportunity gap), chapter 102, Laws of 2014 (biliteracy seal), chapter 202, Laws of 2024 (dual and tribal language edu.), chapter 233, Laws of 2020 (educational outcomes), chapter 353, Laws of 2020 (innovative learning pilot), chapter 164, Laws of 2021 (institutional ed./release), and chapter 107, Laws of 2022 (language access in schools); ~~((and))~~

(xii) Dropout prevention, intervention, and reengagement programs, dropout prevention programs that provide student mentoring, and the building bridges statewide program. The office of the superintendent of public instruction shall convene staff representatives from high schools to meet and share best practices for dropout prevention. Of these amounts, the entire dedicated cannabis account—state appropriation is provided solely for the building bridges statewide program and for grants to districts for life skills training for children and youth in K-12; and

(xiii) Of the amounts provided in (a) of this subsection, \$1,399,000 of the general fund—state appropriation for fiscal year 2027 is provided for school districts to support youth who are truant under chapter 28A.225 RCW or at risk of becoming truant, and for costs associated with filing or serving petitions under RCW 28A.225.030.

(5) CAREER CONNECTED LEARNING

\$1,000,000 of the general fund—state appropriation for fiscal year 2026 and \$1,000,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the Marysville school district to collaborate with Arlington school district, Everett Community College, other local school districts, local labor unions, local Washington state apprenticeship and training council registered apprenticeship programs, and local industry groups to continue the regional apprenticeship pathways program.

**Sec. 501 was partially vetoed. See message at end of chapter.*

Sec. 502. 2025 c 424 s 502 (uncodified) is amended to read as follows:

FOR THE STATE BOARD OF EDUCATION

1	General Fund—State Appropriation (FY 2026)	\$3,104,000
2	General Fund—State Appropriation (FY 2027)	((\$2,921,000))
3		<u>\$2,919,000</u>
4	Washington Opportunity Pathways Account—State	
5	Appropriation.	\$361,000
6	TOTAL APPROPRIATION.	((\$6,386,000))
7		<u>\$6,384,000</u>

8 The appropriations in this section are subject to the following
9 conditions and limitations:

10 (1) \$1,890,000 of the general fund—state appropriation for fiscal
11 year 2026 and ~~((\$1,911,000))~~ \$1,909,000 of the general fund—state
12 appropriation for fiscal year 2027 are for the operation and expenses
13 of the state board of education. Of the amounts provided in this
14 subsection, \$23,000 of the general fund—state appropriation for
15 fiscal year 2026 and \$23,000 of the general fund—state appropriation
16 for fiscal year 2027 are provided solely for the state board of
17 education to be a member in the education commission of the states.

18 (2) \$1,000,000 of the general fund—state appropriation for fiscal
19 year 2026 and \$1,000,000 of the general fund—state appropriation for
20 fiscal year 2027 are provided solely to the state board of education
21 for implementation of mastery-based learning in school district
22 demonstration sites. The state board of education shall require grant
23 recipients to report on impacts and participate in a collaborative to
24 share best practices. The funds must be used for grants to school
25 districts, charter schools, or state-tribal education compact schools
26 established under chapter 28A.715 RCW; professional development of
27 educators; development of a resource suite for school districts
28 statewide; evaluation of the demonstration project; and
29 implementation and policy support provided by the state board of
30 education and other partners. Grants for mastery-based learning may
31 be made in partnership with private matching funds.

32 (3) \$214,000 of the general fund—state appropriation for fiscal
33 year 2026 and \$10,000 of the general fund—state appropriation for
34 fiscal year 2027 are provided solely for implementation of Senate
35 Bill No. 5189 (competency-based education). ~~((If the bill is not
36 enacted by June 30, 2025, the amounts provided in this subsection
37 shall lapse.))~~

Sec. 503. 2025 c 424 s 503 (uncodified) is amended to read as follows:

FOR THE PROFESSIONAL EDUCATOR STANDARDS BOARD

General Fund—State Appropriation (FY 2026)	((\$17,230,000))
	<u>\$16,680,000</u>
General Fund—State Appropriation (FY 2027)	((\$17,171,000))
	<u>\$16,621,000</u>
TOTAL APPROPRIATION.	((\$34,401,000))
	<u>\$33,301,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1)(a) \$2,518,000 of the general fund—state appropriation for fiscal year 2026 and ((~~\$2,523,000~~)) \$2,517,000 of the general fund—state appropriation for fiscal year 2027 are for the operation and expenses of the Washington professional educator standards board including implementation of chapter 172, Laws of 2017 (educator prep. data/PESB).

(b) Within the amounts provided in this subsection (1), the professional educator standards board must initiate the development of standards for two specialty endorsements, one in elementary ethnic studies and one in secondary ethnic studies. The professional educator standards board must consult with teacher education faculty and ethnic studies faculty to confirm the endorsements reflect the appropriate content necessary for the discipline at developmentally appropriate levels. The ethnic studies specialty endorsements must be available to all certificated teachers who hold a valid teaching license and who demonstrate content and pedagogical knowledge in ethnic studies.

(2)(a) \$600,000 of the general fund—state appropriation for fiscal year 2026 and \$600,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for grants to improve preservice teacher training and funding of alternate routes to certification programs administered by the professional educator standards board.

(b) Within the amounts provided in this subsection (2), up to \$496,000 of the general fund—state appropriation for fiscal year 2026 and up to \$496,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for grants to public or private colleges of education in Washington state to develop models and share

best practices for increasing the classroom teaching experience of preservice training programs.

(3) \$1,001,000 of the general fund—state appropriation for fiscal year 2026 and \$997,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the recruiting Washington teachers program with priority given to programs that support bilingual teachers, teachers from populations that are underrepresented, and English language learners. Of the amounts provided in this subsection (3), \$500,000 of the general fund—state appropriation for fiscal year 2026 and \$500,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation and expansion of the bilingual educator initiative pilot project established under RCW 28A.180.120.

(4)(a) (~~(\$13,035,000)~~) \$12,485,000 of the general fund—state appropriation for fiscal year 2026 and (~~(\$13,035,000)~~) \$12,485,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of chapter 237, Laws of 2017 (paraeducators).

(b) Of the amounts provided in (a) of this subsection, (~~(\$12,250,000)~~) \$11,700,000 of the general fund—state appropriation for fiscal year 2026 and (~~(\$12,373,000)~~) \$11,823,000 of the general fund—state appropriation for fiscal year 2027 are for grants to districts to provide two days of training per school year in the paraeducator certificate program to all paraeducators. Funds in this subsection are provided solely for reimbursement to school districts that provide paraeducators with two days of training in the paraeducator certificate program in each of the 2024-25 and 2025-26 school years. Funding provided in this subsection is sufficient for new paraeducators to receive four days of training in the paraeducator certificate program during their first year. School districts receiving grants under this subsection must prioritize funding toward compensation for paraeducators who complete the required hours of instruction per school year. Of the amounts provided within this subsection (4)(b), up to \$750,000 of the general fund—state appropriation for each fiscal year may be used to further develop, update, and maintain the paraeducator training program and professional learning materials, increase paraeducator access across the full spectrum of training curriculum, and remove barriers for paraeducators who are unable to afford the cost of assessments.

(5) \$48,000 of the general fund—state appropriation for fiscal year 2026 and \$16,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of Substitute Senate Bill No. 5025 (educational interpreters). ~~((If the bill is not enacted by June 30, 2025, the amounts provided in this subsection shall lapse.))~~

(6) \$28,000 of the general fund—state appropriation for fiscal year 2026 is provided solely for implementation of Engrossed Substitute House Bill No. 1651 (teacher residency & apprent.). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

(7) \$6,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for implementation of Senate Bill No. 6278 (teacher & principal programs). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

Sec. 504. 2025 c 424 s 504 (uncodified) is amended to read as follows:

FOR THE SUPERINTENDENT OF PUBLIC INSTRUCTION—FOR GENERAL APPORTIONMENT

General Fund—State Appropriation (FY 2026)	((\$9,956,991,000))
	<u>\$9,829,877,000</u>
General Fund—State Appropriation (FY 2027)	((\$10,303,630,000))
	<u>\$9,992,139,000</u>
Education Legacy Trust Account—State Appropriation	((\$2,357,730,000))
	<u>\$2,992,730,000</u>
TOTAL APPROPRIATION.	((\$22,618,351,000))
	<u>\$22,814,746,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1)(a) Each general fund fiscal year appropriation includes such funds as are necessary to complete the school year ending in the fiscal year and for prior fiscal year adjustments.

(b) For the 2025-26 and 2026-27 school years, the superintendent shall allocate general apportionment funding to school districts as provided in the funding formulas and salary allocations in sections 504 and 505 of this act, excluding (c) of this subsection.

(c) From July 1, 2025, to August 31, 2025, the superintendent shall allocate general apportionment funding to school districts

1 programs as provided in sections 504 and 505, chapter 376, Laws of
2 2024, as amended.

3 (d) The enrollment of any district shall be the annual average
4 number of full-time equivalent students and part-time students as
5 provided in RCW 28A.150.350, enrolled on the fourth day of school in
6 September and on the first school day of each month October through
7 June, including students who are in attendance pursuant to RCW
8 28A.335.160 and 28A.225.250 who do not reside within the servicing
9 school district. Any school district concluding its basic education
10 program in May must report the enrollment of the last school day held
11 in May in lieu of a June enrollment.

12 (e) Funding provided in part V of this act is sufficient to
13 provide each full-time equivalent student with the minimum hours of
14 instruction required under RCW 28A.150.220.

15 (f) The superintendent shall adopt rules requiring school
16 districts to report full-time equivalent student enrollment as
17 provided in RCW 28A.655.210.

18 (2) CERTIFICATED INSTRUCTIONAL STAFF ALLOCATIONS

19 Allocations for certificated instructional staff salaries for the
20 2025-26 and 2026-27 school years are determined using formula-
21 generated staff units calculated pursuant to this subsection.

22 (a) Certificated instructional staff units, as defined in RCW
23 28A.150.410, shall be allocated to reflect the minimum class size
24 allocations, requirements, and school prototypes assumptions as
25 provided in RCW 28A.150.260. The superintendent shall make
26 allocations to school districts based on the district's annual
27 average full-time equivalent student enrollment in each grade.

28 (b) Additional certificated instructional staff units provided in
29 this subsection (2) that exceed the minimum requirements in RCW
30 28A.150.260 are enhancements outside the program of basic education,
31 except as otherwise provided in this section.

32 (c)(i) The superintendent shall base allocations for each level
33 of prototypical school, including those at which more than 50 percent
34 of the students were eligible for free and reduced-price meals in the
35 prior school year, on the following regular education average class
36 size of full-time equivalent students per teacher, except as provided
37 in (c)(ii) of this subsection:

38 General education class size:

1	Grade	RCW 28A.150.260	2025-26	2026-27
2			School Year	School Year
3	Grade K		17.00	17.00
4	Grade 1		17.00	17.00
5	Grade 2		17.00	17.00
6	Grade 3		17.00	17.00
7	Grade 4		27.00	27.00
8	Grades 5-6		27.00	27.00
9	Grades 7-8		28.53	28.53
10	Grades 9-12		28.74	28.74

11 The superintendent shall base allocations for: Laboratory science
12 average class size as provided in RCW 28A.150.260; career and
13 technical education (CTE) class size of 23.0; and skill center
14 program class size of 19. Certificated instructional staff units
15 provided for skills centers that exceed the minimum requirements of
16 RCW 28A.150.260 achieve class size reductions under RCW 28A.400.007
17 and are part of the state's program of basic education.

18 (ii) Pursuant to RCW 28A.150.260(4)(a), the assumed teacher
19 planning period, expressed as a percentage of a teacher work day, is
20 13.42 percent in grades K-6, and 16.67 percent in grades 7-12.

21 (iii) Advanced placement and international baccalaureate courses
22 are funded at the same class size assumptions as general education
23 schools in the same grade.

24 (d)(i) Funding for teacher librarians, school nurses, social
25 workers, school psychologists, and guidance counselors is allocated
26 based on the school prototypes as provided in RCW 28A.150.260, and is
27 considered certificated instructional staff.

28 (ii) Students in approved career and technical education and
29 skill center programs generate certificated instructional staff units
30 to provide for the services of teacher librarians, school nurses,
31 social workers, school psychologists, and guidance counselors at the
32 following combined rate per 1000 student full-time equivalent
33 enrollment:

34		2025-26	2026-27
35		School Year	School Year
36	Career and Technical Education	3.91	3.91

(3) ADMINISTRATIVE STAFF ALLOCATIONS

(a) Allocations for school building-level certificated administrative staff salaries for the 2025-26 and 2026-27 school years for general education students are determined using the formula generated staff units calculated pursuant to this subsection. The superintendent shall make allocations to school districts based on the district's annual average full-time equivalent enrollment in each grade. The following prototypical school values shall determine the allocation for principals, assistant principals, and other certificated building level administrators:

Prototypical School Building:

Elementary School	1.253
Middle School	1.353
High School	1.880

(b) Students in approved career and technical education and skill center programs generate certificated school building-level administrator staff units at per student rates that are a multiple of the general education rate in (a) of this subsection by the following factors:

Career and Technical Education students.	1.025
Skill Center students.	1.198

(4) CLASSIFIED STAFF ALLOCATIONS

Allocations for classified staff units providing school building-level and district-wide support services for the 2025-26 and 2026-27 school years are determined using the formula-generated staff units provided in RCW 28A.150.260 and pursuant to this subsection, and adjusted based on each district's annual average full-time equivalent student enrollment in each grade.

(5) CENTRAL OFFICE ALLOCATIONS

In addition to classified and administrative staff units allocated in subsections (3) and (4) of this section, classified and administrative staff units are provided for the 2025-26 and 2026-27 school years for the central office administrative costs of operating a school district, at the following rates:

1 (a) The total central office staff units provided in this
2 subsection (5) are calculated by first multiplying the total number
3 of eligible certificated instructional, certificated administrative,
4 and classified staff units providing school-based or district-wide
5 support services, as identified in RCW 28A.150.260(6)(b) and the
6 increased allocations provided pursuant to subsections (2) and (4) of
7 this section, by 5.3 percent.

8 (b) Of the central office staff units calculated in (a) of this
9 subsection, 74.53 percent are allocated as classified staff units, as
10 generated in subsection (4) of this section, and 25.48 percent shall
11 be allocated as administrative staff units, as generated in
12 subsection (3) of this section.

13 (c) Staff units generated as enhancements outside the program of
14 basic education to the minimum requirements of RCW 28A.150.260, and
15 staff units generated by skill center and career-technical students,
16 are excluded from the total central office staff units calculation in
17 (a) of this subsection.

18 (d) For students in approved career-technical and skill center
19 programs, central office classified units are allocated at the same
20 staff unit per student rate as those generated for general education
21 students of the same grade in this subsection (5), and central office
22 administrative staff units are allocated at staff unit per student
23 rates that exceed the general education rate established for students
24 in the same grade in this subsection (5) by 12.46 percent in the
25 2025-26 school year and (~~(12.46)~~) 12.49 percent in the 2026-27 school
26 year for career and technical education students, and 17.79 percent
27 in the 2025-26 school year and (~~(17.79)~~) 17.83 percent in the 2026-27
28 school year for skill center students.

29 (6) FRINGE BENEFIT ALLOCATIONS

30 Fringe benefit allocations shall be calculated at a rate of 16.02
31 percent in the 2025-26 school year and 16.02 percent in the 2026-27
32 school year for certificated salary allocations provided under
33 subsections (2), (3), and (5) of this section, and a rate of 18.07
34 percent in the 2025-26 school year and 18.07 percent in the 2026-27
35 school year for classified salary allocations provided under
36 subsections (4) and (5) of this section.

37 (7) INSURANCE BENEFIT ALLOCATIONS

38 Insurance benefit allocations shall be calculated at the rates
39 specified in section 506 of this act, based on the number of benefit

units determined as follows: Except for nonrepresented employees of educational service districts, the number of calculated benefit units determined below. Calculated benefit units are staff units multiplied by the benefit allocation factors established in the collective bargaining agreement referenced in section 910 of this act. These factors are intended to adjust allocations so that, for the purpose of distributing insurance benefits, full-time equivalent employees may be calculated on the basis of 630 hours of work per year, with no individual employee counted as more than one full-time equivalent. The number of benefit units is determined as follows:

(a) The number of certificated staff units determined in subsections (2), (3), and (5) of this section multiplied by 1.02; and

(b) The number of classified staff units determined in subsections (4) and (5) of this section multiplied by 1.43.

(8) MATERIALS, SUPPLIES, AND OPERATING COSTS (MSOC) ALLOCATIONS

Funding is allocated per annual average full-time equivalent student for the materials, supplies, and operating costs (MSOC) incurred by school districts, consistent with the requirements of RCW 28A.150.260.

(a)(i) Subject to (a)(ii) of this subsection, general education students generate per student FTE MSOC allocations of \$1,614.28 for the 2025-26 school year and \$1,656.25 for the 2026-27 school year.

(ii) Of the amounts allocated in (a)(i) of this subsection, \$35.27 per student FTE for the 2025-26 school year and \$37.76 per student FTE for the 2026-27 school year are provided solely for implementation of Engrossed Substitute Senate Bill No. 5192 (school district materials). ~~((If the bill is not enacted by June 30, 2025, these amounts shall lapse.))~~

(iii) For the 2025-26 school year and 2026-27 school year, as part of the budget development, hearing, and review process required by chapter 28A.505 RCW, each school district must disclose: (A) The amount of state funding to be received by the district under (a) and (d) of this subsection (8); (B) the amount the district proposes to spend for materials, supplies, and operating costs; (C) the difference between these two amounts; and (D) if (a)(ii)(A) of this subsection (8) exceeds (a)(ii)(B) of this subsection (8), any proposed use of this difference and how this use will improve student achievement.

1 (b) Students in approved skill center programs generate per
2 student FTE MSOC allocations of \$1,810.11 for the 2025-26 school year
3 and \$1,857.17 for the 2026-27 school year.

4 (c) Students in approved exploratory and preparatory career and
5 technical education programs generate per student FTE MSOC
6 allocations of \$1,810.11 for the 2025-26 school year and \$1,857.17
7 for the 2026-27 school year.

8 (d)(i) Subject to (d)(ii) of this subsection, students in grades
9 9-12 generate per student FTE MSOC allocations in addition to the
10 allocations provided in (a) through (c) of this subsection at \$214.84
11 for the 2025-26 school year and \$220.43 for the 2026-27 school year.

12 (ii) Of the amounts allocated in (d)(i) of this subsection, \$4.69
13 per student FTE for the 2025-26 school year and \$5.03 per student FTE
14 for the 2026-27 school year are provided solely for implementation of
15 Engrossed Substitute Senate Bill No. 5192 (school district
16 materials). ~~((If the bill is not enacted by June 30, 2025, these~~
17 ~~amounts shall lapse.))~~

18 (9) SUBSTITUTE TEACHER ALLOCATIONS

19 For the 2025-26 and 2026-27 school years, funding for substitute
20 costs for classroom teachers is based on four (4) funded substitute
21 days per classroom teacher unit generated under subsection (2) of
22 this section, at a daily substitute rate of \$151.86.

23 (10) ALTERNATIVE LEARNING EXPERIENCE PROGRAM FUNDING

24 (a) Amounts provided in this section from July 1, 2025, to August
25 31, 2025, are adjusted to reflect provisions of chapter 376, Laws of
26 2024, as amended (allocation of funding for students enrolled in
27 alternative learning experiences).

28 (b) The superintendent of public instruction shall require all
29 districts receiving general apportionment funding for alternative
30 learning experience (ALE) programs as defined in WAC 392-121-182 to
31 provide separate financial accounting of expenditures for the ALE
32 programs offered in district or with a provider, including but not
33 limited to private companies and multidistrict cooperatives, as well
34 as accurate, monthly headcount and FTE enrollment claimed for basic
35 education, including separate counts of resident and nonresident
36 students.

37 (11) DROPOUT REENGAGEMENT PROGRAM

38 The superintendent shall adopt rules to require students claimed
39 for general apportionment funding based on enrollment in dropout

reengagement programs authorized under RCW 28A.175.100 through 28A.175.115 to meet requirements for at least weekly minimum instructional contact, academic counseling, career counseling, or case management contact. Districts must also provide separate financial accounting of expenditures for the programs offered by the district or under contract with a provider, as well as accurate monthly headcount and full-time equivalent enrollment claimed for basic education, including separate enrollment counts of resident and nonresident students.

(12) ADDITIONAL FUNDING FOR SMALL SCHOOL DISTRICTS AND REMOTE AND NECESSARY PLANTS

For small school districts and remote and necessary school plants within any district which have been judged to be remote and necessary by the superintendent of public instruction, additional staff units are provided to ensure a minimum level of staffing support. Additional administrative and certificated instructional staff units provided to districts in this subsection shall be reduced by the general education staff units, excluding career and technical education and skills center enhancement units, otherwise provided in subsections (2) through (5) of this section on a per district basis.

(a) For districts enrolling not more than twenty-five average annual full-time equivalent students in grades K-8, and for small school plants within any school district which have been judged to be remote and necessary by the superintendent of public instruction and enroll not more than twenty-five average annual full-time equivalent students in grades K-8:

(i) For those enrolling no students in grades 7 and 8, 1.76 certificated instructional staff units and 0.24 certificated administrative staff units for enrollment of not more than five students, plus one-twentieth of a certificated instructional staff unit for each additional student enrolled; and

(ii) For those enrolling students in grades 7 or 8, 1.68 certificated instructional staff units and 0.32 certificated administrative staff units for enrollment of not more than five students, plus one-tenth of a certificated instructional staff unit for each additional student enrolled;

(b) For specified enrollments in districts enrolling more than twenty-five but not more than one hundred average annual full-time equivalent students in grades K-8, and for small school plants within

1 any school district which enroll more than twenty-five average annual
2 full-time equivalent students in grades K-8 and have been judged to
3 be remote and necessary by the superintendent of public instruction:

4 (i) For enrollment of up to sixty annual average full-time
5 equivalent students in grades K-6, 2.76 certificated instructional
6 staff units and 0.24 certificated administrative staff units; and

7 (ii) For enrollment of up to twenty annual average full-time
8 equivalent students in grades 7 and 8, 0.92 certificated
9 instructional staff units and 0.08 certificated administrative staff
10 units;

11 (c) For districts operating no more than two high schools with
12 enrollments of less than three hundred average annual full-time
13 equivalent students, for enrollment in grades 9-12 in each such
14 school, other than alternative schools, except as noted in this
15 subsection:

16 (i) For remote and necessary schools enrolling students in any
17 grades 9-12 but no more than twenty-five average annual full-time
18 equivalent students in grades K-12, four and one-half certificated
19 instructional staff units and one-quarter of a certificated
20 administrative staff unit;

21 (ii) For all other small high schools under this subsection, nine
22 certificated instructional staff units and one-half of a certificated
23 administrative staff unit for the first sixty average annual full-
24 time equivalent students, and additional staff units based on a ratio
25 of 0.8732 certificated instructional staff units and 0.1268
26 certificated administrative staff units per each additional forty-
27 three and one-half average annual full-time equivalent students;

28 (iii) Districts receiving staff units under this subsection shall
29 add students enrolled in a district alternative high school and any
30 grades nine through twelve alternative learning experience programs
31 with the small high school enrollment for calculations under this
32 subsection;

33 (d) For each nonhigh school district having an enrollment of more
34 than seventy annual average full-time equivalent students and less
35 than one hundred eighty students, operating a grades K-8 program or a
36 grades 1-8 program, an additional one-half of a certificated
37 instructional staff unit;

38 (e) For each nonhigh school district having an enrollment of more
39 than fifty annual average full-time equivalent students and less than
40 one hundred eighty students, operating a grades K-6 program or a

grades 1-6 program, an additional one-half of a certificated instructional staff unit;

(f)(i) For enrollments generating certificated staff unit allocations under (a) through (e) of this subsection, one classified staff unit for each 2.94 certificated staff units allocated under such subsections;

(ii) For each nonhigh school district with an enrollment of more than fifty annual average full-time equivalent students and less than one hundred eighty students, an additional one-half of a classified staff unit; and

(g) School districts receiving additional staff units to support small student enrollments and remote and necessary plants under this subsection (12) shall generate additional MSOC allocations consistent with the nonemployee related costs (NERC) allocation formula in place for the 2010-11 school year as provided section 502, chapter 37, Laws of 2010 1st sp. sess. (2010 supplemental budget), adjusted annually for inflation.

(13) Any school district board of directors may petition the superintendent of public instruction by submission of a resolution adopted in a public meeting to reduce or delay any portion of its basic education allocation for any school year. The superintendent of public instruction shall approve such reduction or delay if it does not impair the district's financial condition. Any delay shall not be for more than two school years. Any reduction or delay shall have no impact on levy authority pursuant to RCW 84.52.0531 and local effort assistance pursuant to chapter 28A.500 RCW.

(14) The superintendent may distribute funding for the following programs outside the basic education formula during fiscal years 2026 and 2027 as follows:

(a) (~~(\$650,000 of the general fund state appropriation for fiscal year 2026 and)~~) \$650,000 of the general fund—state appropriation for fiscal year 2027 (~~are~~) is provided solely for fire protection for school districts located in a fire protection district as now or hereafter established pursuant to chapter 52.04 RCW.

(b) \$436,000 of the general fund—state appropriation for fiscal year 2026 and \$436,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for programs providing skills training for secondary students who are enrolled in extended day school-to-work programs, as approved by the superintendent of public

instruction. The funds shall be allocated at a rate not to exceed \$500 per full-time equivalent student enrolled in those programs.

(15) Funding in this section is sufficient to fund a maximum of 1.6 FTE enrollment for skills center students pursuant to chapter 463, Laws of 2007.

~~(16) ((Funding in this section is sufficient to fund a maximum of 1.2 FTE enrollment for career launch students pursuant to RCW 28A.700.130. Expenditures for this purpose must come first from the appropriations provided in section 501(5) of this act; funding for career launch enrollment exceeding those appropriations is provided in this section. The office of the superintendent of public instruction shall provide a summary report to the office of the governor and the appropriate committees of the legislature by January 1, 2026. The report must include the total FTE enrollment for career launch students, the FTE enrollment for career launch students that exceeded the appropriations provided in section 501(5) of this act, and the amount expended from this section for those students.~~

~~(17))~~ (a) Students participating in running start programs may be funded up to a combined maximum enrollment of 1.4 FTE in the 2025-26 school year and 1.3 FTE in the 2026-27 school year including school district and institution of higher education enrollment consistent with the running start course requirements provided in chapter 202, Laws of 2015 (dual credit education opportunities). In calculating the combined 1.4 or 1.3 FTE, the office of the superintendent of public instruction:

(i) Must adopt rules to fund the participating student's enrollment in running start courses provided by the institution of higher education during the summer academic term; and

(ii) May average the participating student's September through June enrollment to account for differences in the start and end dates for courses provided by the high school and the institution of higher education.

(b) In consultation with the state board for community and technical colleges, the participating institutions of higher education, the student achievement council, and the education data center, must annually track and report to the fiscal committees of the legislature on the combined FTE experience of students participating in the running start program, including course load analyses at both the high school and community and technical college system.

1 ~~((18))~~ (17) If two or more school districts consolidate and
2 each district was receiving additional basic education formula staff
3 units pursuant to subsection (12) of this section, the following
4 apply:

5 (a) For three school years following consolidation, the number of
6 basic education formula staff units shall not be less than the number
7 of basic education formula staff units received by the districts in
8 the school year prior to the consolidation; and

9 (b) For the fourth through eighth school years following
10 consolidation, the difference between the basic education formula
11 staff units received by the districts for the school year prior to
12 consolidation and the basic education formula staff units after
13 consolidation pursuant to subsection (12) of this section shall be
14 reduced in increments of twenty percent per year.

15 ~~((19))~~ (18) (a) Indirect cost charges by a school district to
16 approved career and technical education middle and secondary programs
17 shall not exceed the lesser of five percent or the cap established in
18 federal law of the combined basic education and career and technical
19 education program enhancement allocations of state funds. Middle and
20 secondary career and technical education programs are considered
21 separate programs for funding and financial reporting purposes under
22 this section.

23 (b) Career and technical education program full-time equivalent
24 enrollment shall be reported on the same monthly basis as the
25 enrollment for students eligible for basic support, and payments
26 shall be adjusted for reported career and technical education program
27 enrollments on the same monthly basis as those adjustments for
28 enrollment for students eligible for basic support.

29 **Sec. 505.** 2025 c 424 s 505 (uncodified) is amended to read as
30 follows:

31 **FOR THE SUPERINTENDENT OF PUBLIC INSTRUCTION—BASIC EDUCATION EMPLOYEE**
32 **COMPENSATION**

33 (1) The following calculations determine the salaries used in the
34 state allocations for certificated instructional, certificated
35 administrative, and classified staff units as provided in RCW
36 28A.150.260, and under section 504 of this act: For the 2025-26
37 school year and the 2026-27 school year salary allocations for
38 certificated instructional staff, certificated administrative staff,
39 and classified staff units are determined for each school district by

multiplying the statewide minimum salary allocation for each staff type by the school district's regionalization factor shown in LEAP Document 3.

Statewide Minimum Salary Allocation

Staff Type	2025-26 School Year	2026-27 School Year
Certificated Instructional	\$80,164	\$82,248
Certificated Administrative	\$118,994	\$122,088
Classified	\$57,507	\$59,002

(2) For the purposes of this section, "LEAP Document 3" means the school district regionalization factors for certificated instructional, certificated administrative, and classified staff, as developed by the legislative evaluation and accountability program committee on March 3, 2024, at 11:16 hours and adopted in the 2024 operating budget.

(3) Incremental fringe benefit factors are applied to salary adjustments at the rates specified in section 506 of this act.

(4) The salary allocations established in this section are for allocation purposes only except as provided in this subsection, and do not entitle an individual staff position to a particular paid salary except as provided in RCW 28A.400.200, as amended by chapter 13, Laws of 2017 3rd sp. sess. (fully funding the program of basic education).

Sec. 506. 2025 c 424 s 506 (uncodified) is amended to read as follows:

FOR THE SUPERINTENDENT OF PUBLIC INSTRUCTION—FOR SCHOOL EMPLOYEE
COMPENSATION ADJUSTMENTS

General Fund—State Appropriation (FY 2026)	((\$593,474,000))
	<u>\$368,331,000</u>
General Fund—State Appropriation (FY 2027)	((\$738,666,000))
	<u>\$777,595,000</u>
TOTAL APPROPRIATION	((\$1,332,140,000))
	\$1,145,926,000

1 The appropriations in this section are subject to the following
2 conditions and limitations:

3 (1) The salary increases provided in this section are 2.5 percent
4 for the 2025-26 school year, and 2.6 percent for the 2026-27 school
5 year, the annual inflationary adjustments pursuant to RCW
6 28A.400.205.

7 (2)(a) In addition to salary allocations, the appropriations in
8 this section include funding for professional learning as defined in
9 RCW 28A.415.430, 28A.415.432, and 28A.415.434. Funding for this
10 purpose is calculated as the equivalent of three days of salary and
11 benefits for each of the funded full-time equivalent certificated
12 instructional staff units. Nothing in this section entitles an
13 individual certificated instructional staff to any particular number
14 of professional learning days.

15 (b) Of the funding provided for professional learning in this
16 section, the equivalent of one day of salary and benefits for each of
17 the funded full-time equivalent certificated instructional staff
18 units in the 2025-26 school year must be used to train school
19 district staff on cultural competency, diversity, equity, or
20 inclusion, as required in chapter 197, Laws of 2021.

21 (3)(a) The appropriations in this section include associated
22 incremental fringe benefit allocations at 15.39 percent for the
23 2025-26 school year and 15.39 percent for the 2026-27 school year for
24 certificated instructional and certificated administrative staff and
25 14.72 percent for the 2025-26 school year and 14.72 percent for the
26 2026-27 school year for classified staff.

27 (b) The appropriations in this section include the increased or
28 decreased portion of salaries and incremental fringe benefits for all
29 relevant state-funded school programs in part V of this act. Changes
30 for general apportionment (basic education) are based on the salary
31 allocations and methodology in sections 504 and 505 of this act.
32 Changes for special education result from changes in each district's
33 basic education allocation per student. Changes for educational
34 service districts and institutional education programs are determined
35 by the superintendent of public instruction using the methodology for
36 general apportionment salaries and benefits in sections 504 and 505
37 of this act. Changes for pupil transportation are determined by the
38 superintendent of public instruction pursuant to RCW 28A.160.192, and

1 impact compensation factors in sections 504, 505, and 506 of this
2 act.

3 (c) The appropriations in this section include no salary
4 adjustments for substitute teachers.

5 (4) The appropriations in this section are sufficient to fund the
6 collective bargaining agreement referenced in part IX of this act and
7 reflect the incremental change in cost of allocating rates as
8 follows: For the 2025-26 school year, \$1,307 per month and for the
9 2026-27 school year, ~~(((\$1,341))~~ \$1,374 per month.

10 (5) The rates specified in this section are subject to revision
11 each year by the legislature.

12 (6) \$3,554,000 of the general fund—state appropriation for fiscal
13 year 2026 and \$7,185,000 of the general fund—state appropriation for
14 fiscal year 2027 are provided solely for changes to the special
15 education multiplier and enrollment limit as specified in Engrossed
16 Second Substitute Senate Bill No. 5263 (special education funding).
17 ~~((If the bill is not enacted by June 30, 2025, these amounts shall~~
18 ~~lapse.))~~

19 **Sec. 507.** 2025 c 424 s 507 (uncodified) is amended to read as
20 follows:

21 **FOR THE SUPERINTENDENT OF PUBLIC INSTRUCTION—FOR PUPIL TRANSPORTATION**
22 General Fund—State Appropriation (FY 2026). ~~(((\$856,979,000))~~
23 \$880,949,000
24 General Fund—State Appropriation (FY 2027). ~~(((\$868,449,000))~~
25 \$871,386,000
26 TOTAL APPROPRIATION. ~~(((\$1,725,428,000))~~
27 \$1,752,335,000

28 The appropriations in this section are subject to the following
29 conditions and limitations:

30 (1) Each general fund fiscal year appropriation includes such
31 funds as are necessary to complete the school year ending in the
32 fiscal year and for prior fiscal year adjustments.

33 (2)(a) For the 2025-26 and 2026-27 school years, the
34 superintendent shall allocate funding to school district programs for
35 the transportation of eligible students as provided in RCW
36 28A.160.192. Funding in this section constitutes full implementation
37 of RCW 28A.160.192, which enhancement is within the program of basic

1 education. Students are considered eligible only if meeting the
2 definitions provided in RCW 28A.160.160.

3 (b) From July 1, 2025, to August 31, 2025, the superintendent
4 shall allocate funding to school districts programs for the
5 transportation of students as provided in section 507, chapter 376,
6 Laws of 2024, as amended.

7 (3) Within amounts appropriated in this section, up to
8 \$10,000,000 of the general fund—state appropriation for fiscal year
9 2026 and up to \$10,000,000 of the general fund—state appropriation
10 for fiscal year 2027 are for a transportation alternate funding grant
11 program based on the alternate funding process established in RCW
12 28A.160.191. The superintendent of public instruction must include a
13 review of school district efficiency rating, key performance
14 indicators and local school district characteristics such as unique
15 geographic constraints in the grant award process.

16 (4) A maximum of \$939,000 of the general fund—state appropriation
17 for fiscal year 2026 and a maximum of \$939,000 of the general fund—
18 state appropriation for fiscal year 2027 may be expended for regional
19 transportation coordinators and related activities. The
20 transportation coordinators shall ensure that data submitted by
21 school districts for state transportation funding shall, to the
22 greatest extent practical, reflect the actual transportation activity
23 of each district.

24 (5) Subject to available funds under this section, school
25 districts may provide student transportation for summer skills center
26 programs.

27 (6) The office of the superintendent of public instruction shall
28 provide reimbursement funding to a school district for school bus
29 purchases only after the superintendent of public instruction
30 determines that the school bus was purchased from the list
31 established pursuant to RCW 28A.160.195(2) or a comparable
32 competitive bid process based on the lowest price quote based on
33 similar bus categories to those used to establish the list pursuant
34 to RCW 28A.160.195.

35 (7) The superintendent of public instruction shall base
36 depreciation payments for school district buses on the presales tax
37 five-year average of lowest bids in the appropriate category of bus.
38 In the final year on the depreciation schedule, the depreciation
39 payment shall be based on the lowest bid in the appropriate bus

category for that school year. Funding in this section assumes depreciation payments are adjusted pursuant to Engrossed Substitute Senate Bill No. 6260 (public education funding).

(8) The office of the superintendent of public instruction shall annually disburse payments for bus depreciation in August.

(9) Within amounts appropriated in this section, up to \$5,000,000 of the general fund—state appropriation for fiscal year 2027 may be used for increased costs that are directly attributable to increased benefits as provided for under RCW 28A.160.250(4), after all formula and grant obligations in this section are met.

Sec. 508. 2025 c 424 s 508 (uncodified) is amended to read as follows:

FOR THE SUPERINTENDENT OF PUBLIC INSTRUCTION—SCHOOL FOOD SERVICES

General Fund—State Appropriation (FY 2026).	((\$120,073,000))
	<u>\$122,053,000</u>
General Fund—State Appropriation (FY 2027).	((\$120,062,000))
	<u>\$1,000</u>
General Fund—Federal Appropriation.	\$891,898,000
<u>Education Legacy Trust Account—State Appropriation. . .</u>	<u>\$122,041,000</u>
TOTAL APPROPRIATION.	((\$1,132,033,000))
	<u>\$1,135,993,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) \$11,703,000 of the general fund—state appropriation for fiscal year 2026 and \$11,692,000 of the ~~((general fund state appropriation for fiscal year 2027))~~ education legacy trust account—state appropriation are provided solely for state matching money for federal child nutrition programs, and may support the meals for kids program through the following allowable uses:

(a) Elimination of breakfast copays for eligible public school students and lunch copays for eligible public school students in grades pre-kindergarten through twelfth grades who are eligible for reduced-price lunch as required in chapter 74, Laws of 2021 (reduced-price lunch copays);

(b) Assistance to school districts and authorized public and private nonprofit organizations for supporting summer food service programs including the summer electronic benefit transfer program, and initiating new summer food service programs in low-income areas;

1 (c) Reimbursements to school districts for school breakfasts
2 served to students eligible for free and reduced-price lunch,
3 pursuant to chapter 287, Laws of 2005; and

4 (d) Assistance to school districts in initiating and expanding
5 school breakfast programs.

6 (2) The office of the superintendent of public instruction shall
7 report annually to the fiscal committees of the legislature on annual
8 expenditures in subsection (1)(a) through (c) of this section.

9 (3) The superintendent of public instruction shall provide the
10 department of health with the following data, where available, for
11 all nutrition assistance programs that are funded by the United
12 States department of agriculture and administered by the office of
13 the superintendent of public instruction. The superintendent must
14 provide the report for the preceding federal fiscal year by February
15 1, 2026, and February 1, 2027. The report must provide:

16 (a) The number of people in Washington who are eligible for the
17 program;

18 (b) The number of people in Washington who participated in the
19 program;

20 (c) The average annual participation rate in the program;

21 (d) Participation rates by geographic distribution; and

22 (e) The annual federal funding of the program in Washington.

23 (4) \$83,617,000 of the general fund—state appropriation for
24 fiscal year 2026 and \$83,617,000 of the ~~((general fund—state~~
25 ~~appropriation for fiscal year 2027))~~ education legacy trust account—
26 state appropriation are provided solely for reimbursements to school
27 districts for schools and groups of schools required to participate
28 in the federal community eligibility program under section 1, chapter
29 7, Laws of 2022 (schools/comm. eligibility) for meals not reimbursed
30 at the federal free meal rate.

31 (5) ~~(((\$24,634,000))~~ \$26,614,000 of the general fund—state
32 appropriation for fiscal year 2026 and ~~(((\$24,634,000))~~ \$26,614,000 of
33 the ~~((general fund—state appropriation for fiscal year 2027))~~
34 education legacy trust account—state appropriation are provided
35 solely for implementation of chapter 379, Laws of 2023 (free school
36 meals).

37 (6) In the 2025-2027 fiscal biennium, funds are assumed in the
38 budget outlook for access to breakfast and lunch for all children
39 served without charge in schools, upon the implementation of

Engrossed Substitute Senate Bill No. 6346 (tax on millionaires).
Within amounts appropriated in this section, the office shall, no
later than November 1, 2026, submit to the governor and the
appropriate committees of the legislature a forecast of the
anticipated caseload of children expected to participate in a free
breakfast and lunch program. This forecast shall be used to inform
the budgets for the 2027-2029 fiscal biennium.

Sec. 509. 2025 c 424 s 509 (uncodified) is amended to read as follows:

FOR THE SUPERINTENDENT OF PUBLIC INSTRUCTION—FOR SPECIAL EDUCATION PROGRAMS

General Fund—State Appropriation (FY 2026). . . .	((\$2,247,317,000))
	<u>\$2,328,636,000</u>
General Fund—State Appropriation (FY 2027). . . .	((\$2,381,953,000))
	<u>\$2,466,585,000</u>
General Fund—Federal Appropriation.	\$646,520,000
Education Legacy Trust Account—State Appropriation. . . .	\$54,694,000
TOTAL APPROPRIATION.	((\$5,330,484,000))
	<u>\$5,496,435,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1)(a) Funding for special education programs is provided on an excess cost basis, pursuant to RCW 28A.150.390. School districts shall ensure that special education students as a class receive their full share of the general apportionment allocation accruing through sections 504 and 506 of this act. To the extent a school district cannot provide an appropriate education for special education students under chapter 28A.155 RCW through the general apportionment allocation, it shall provide services through the special education excess cost allocation funded in this section.

(b) Funding provided within this section is sufficient for districts to provide school principals and lead special education teachers annual professional development on the best-practices for special education instruction and strategies for implementation. Districts shall annually provide a summary of professional development activities to the office of the superintendent of public instruction.

1 (2)(a) The superintendent of public instruction shall ensure
2 that:

3 (i) Special education students are basic education students
4 first;

5 (ii) As a class, special education students are entitled to the
6 full basic education allocation; and

7 (iii) Special education students are basic education students for
8 the entire school day.

9 (b)(i) The superintendent of public instruction shall continue to
10 implement the full cost method of excess cost accounting, as designed
11 by the committee and recommended by the superintendent, pursuant to
12 section 501(1)(k), chapter 372, Laws of 2006, except as provided in
13 (b)(ii) of this subsection.

14 (ii) The superintendent of public instruction shall implement any
15 changes to excess cost accounting methods required under chapter 417,
16 Laws of 2023 (special education funding).

17 (3) Each fiscal year appropriation includes such funds as are
18 necessary to complete the school year ending in the fiscal year and
19 for prior fiscal year adjustments.

20 (4)(a) For the 2025-26 and 2026-27 school years, the
21 superintendent shall allocate funding to school district programs for
22 special education students as provided in RCW 28A.150.390, except
23 that the calculation of the base allocation also includes allocations
24 provided under section 504 (2) and (4) of this act and RCW
25 28A.150.415, which enhancement is within the program of basic
26 education.

27 (b) From July 1, 2025, to August 31, 2025, the superintendent
28 shall allocate funding to school district programs for special
29 education students as provided in section 509, chapter 376, Laws of
30 2024, as amended.

31 (5) At the request of any interdistrict cooperative of at least
32 15 districts in which all excess cost services for special education
33 students of the districts are provided by the cooperative, the
34 maximum enrollment percent shall be calculated in accordance with RCW
35 28A.150.390(3) (c) and (d), and shall be calculated in the aggregate
36 rather than individual district units. For purposes of this
37 subsection, the average basic education allocation per full-time
38 equivalent student shall be calculated in the aggregate rather than
39 individual district units.

1 (6) (~~(\$205,458,000))~~ \$261,935,000 of the general fund—state
2 appropriation for fiscal year 2026, (~~(\$205,458,000))~~ \$320,785,000 of
3 the general fund—state appropriation for fiscal year 2027, and
4 \$29,574,000 of the general fund—federal appropriation are provided
5 solely for safety net awards for districts with demonstrated needs
6 for special education funding beyond the amounts provided in
7 subsection (4) of this section. If the federal safety net awards
8 based on the federal eligibility threshold exceed the federal
9 appropriation in this subsection (6) in any fiscal year, the
10 superintendent shall expend all available federal discretionary funds
11 necessary to meet this need. At the conclusion of each school year,
12 the superintendent shall recover safety net funds that were
13 distributed prospectively but for which districts were not
14 subsequently eligible.

15 (a) For the 2025-26 and 2026-27 school years, safety net funds
16 shall be awarded by the state safety net oversight committee as
17 provided in section 109(1) chapter 548, Laws of 2009 (education).

18 (b) The office of the superintendent of public instruction shall
19 make award determinations for state safety net funding in August of
20 each school year, except that the superintendent of public
21 instruction shall make award determinations for state safety net
22 funding in July of each school year for the Washington state school
23 for the blind and for the center for childhood deafness and hearing
24 loss. Determinations on school district eligibility for state safety
25 net awards shall be based on analysis of actual expenditure data from
26 the current school year.

27 (7) A maximum of \$1,250,000 may be expended from the general fund
28 —state appropriations to fund teachers and aides at Seattle
29 children's hospital. This amount is in lieu of money provided through
30 the home and hospital allocation and the special education program.

31 (8) The superintendent shall maintain the percentage of federal
32 flow-through to school districts at 85 percent. In addition to other
33 purposes, school districts may use increased federal funds for high-
34 cost students, for purchasing regional special education services
35 from educational service districts, and for staff development
36 activities particularly relating to inclusion issues.

37 (9) A school district may carry over from one year to the next
38 year up to 10 percent of the general fund—state funds allocated under

1 this program; however, carryover funds shall be expended in the
2 special education program.

3 (10) \$87,000 of the general fund—state appropriation for fiscal
4 year 2026, \$87,000 of the general fund—state appropriation for fiscal
5 year 2027, and \$214,000 of the general fund—federal appropriation are
6 provided solely for a special education family liaison position
7 within the office of the superintendent of public instruction.

8 (11) \$660,000 of the general fund—state appropriation for fiscal
9 year 2026 is provided solely for litigation costs for *N.D. v.*
10 *Reykdal*, United States District Court for the Western District of
11 Washington.

12 ~~(12) ((\$114,271,000 of the general fund—state appropriation for~~
13 ~~fiscal year 2026 and \$195,418,000 of the general fund—state~~
14 ~~appropriation for fiscal year 2027 are provided solely for changes to~~
15 ~~the special education multiplier, enrollment limit, and safety net~~
16 ~~payments as specified in Engrossed Second Substitute Senate Bill No.~~
17 ~~5263 (special education funding). If the bill is not enacted by June~~
18 ~~30, 2025, these amounts shall lapse.~~

19 ~~(13))~~ \$5,356,000 of the general fund—state appropriation for
20 fiscal year 2026 and \$7,339,000 of the general fund—state
21 appropriation for fiscal year 2027 are provided solely for
22 implementation of Engrossed Substitute Senate Bill No. 5192 (school
23 district materials). ~~((If the bill is not enacted by June 30, 2025,~~
24 ~~the amounts provided in this subsection shall lapse.~~

25 ~~(14))~~ (13) \$5,123,000 of the general fund—state appropriation
26 for fiscal year 2026 and \$7,275,000 of the general fund—state
27 appropriation for fiscal year 2027 are provided solely for
28 implementation of Substitute Senate Bill No. 5253 (special education
29 services). ~~((If the bill is not enacted by June 30, 2025, the amounts~~
30 ~~provided in this subsection shall lapse.))~~

31 **Sec. 510.** 2025 c 424 s 511 (uncodified) is amended to read as
32 follows:

33 **FOR THE SUPERINTENDENT OF PUBLIC INSTRUCTION—FOR LOCAL EFFORT**
34 **ASSISTANCE**

35	General Fund—State Appropriation (FY 2026)	(\$202,536,000))
36		<u>\$226,420,000</u>
37	General Fund—State Appropriation (FY 2027)	(\$252,636,000))
38		<u>\$241,355,000</u>

TOTAL APPROPRIATION. ((~~\$455,172,000~~))
\$467,775,000

The appropriations in this section are subject to the following conditions and limitations: \$31,627,000 of the general fund—state appropriation for fiscal year 2026 and ((~~\$105,389,000~~)) \$80,296,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for an inflation enhancement in addition to the state local effort assistance threshold under RCW 28A.500.015 of \$150 per pupil in the 2026 calendar year and ((~~\$250~~)) \$150 per pupil in the 2027 calendar year.

Sec. 511. 2025 c 424 s 512 (uncodified) is amended to read as follows:

FOR THE SUPERINTENDENT OF PUBLIC INSTRUCTION—FOR INSTITUTIONAL EDUCATION PROGRAMS

General Fund—State Appropriation (FY 2026)... . ((~~\$19,276,000~~))
\$19,410,000

General Fund—State Appropriation (FY 2027)... . ((~~\$19,361,000~~))
\$19,165,000

TOTAL APPROPRIATION. ((~~\$38,637,000~~))
\$38,575,000

The appropriations in this section are subject to the following conditions and limitations:

(1) Each general fund—state fiscal year appropriation includes such funds as are necessary to complete the school year ending in the fiscal year and for prior fiscal year adjustments.

(2) State funding provided under this section is based on salaries and other expenditures for a 220-day school year. The superintendent of public instruction shall monitor school district expenditure plans for institutional education programs to ensure that districts plan for a full-time summer program.

(3) State funding for each institutional education program shall be based on the institution's annual average full-time equivalent student enrollment. Staffing ratios for each category of institution shall remain the same as those funded in the 1995-97 biennium.

(4) The funded staffing ratios for education programs for juveniles age 18 or less in department of corrections facilities shall be the same as those provided in the 1997-99 biennium.

1 (5) Funding in this section is sufficient to maintain at least
2 one certificated instructional staff and related support services at
3 an institution whenever the K-12 enrollment is not sufficient to
4 support one full-time equivalent certificated instructional staff to
5 furnish the educational program. The following types of institutions
6 are included: Residential programs under the department of social and
7 health services for developmentally disabled juveniles, programs for
8 juveniles under the department of corrections, programs for juveniles
9 under the juvenile rehabilitation administration, and programs for
10 juveniles operated by city and county jails.

11 (6) Within the amounts provided in this section, funding is
12 provided to increase the capacity of institutional education programs
13 to differentiate instruction to meet students' unique educational
14 needs, including students with individualized educational plans.
15 Those needs may include but are not limited to one-on-one
16 instruction, enhanced access to counseling for social emotional needs
17 of the student, and services to identify the proper level of
18 instruction at the time of student entry into the facility.
19 Allocations of amounts for this purpose in a school year must be
20 based on 45 percent of full-time enrollment in institutional
21 education receiving a differentiated instruction amount per pupil
22 equal to the total statewide allocation generated by the distribution
23 formula under RCW 28A.150.260 (4)(a), (5), (6), and (8) and the
24 allocation under RCW 28A.150.415, per the statewide full-time
25 equivalent enrollment in common schools.

26 (7) \$200,000 of the general fund—state appropriation for fiscal
27 year 2026 and \$200,000 of the general fund—state appropriation for
28 fiscal year 2027 are provided solely to support two student records
29 coordinators to manage the transmission of academic records for each
30 of the long-term juvenile institutions. One coordinator is provided
31 for each of the following: The Issaquah school district for the Echo
32 Glen children's center and for the Chehalis school district for Green
33 Hill academic school.

34 (8) Ten percent of the funds allocated for the institution may be
35 carried over from one year to the next.

36 (9) \$742,000 of the general fund—state appropriation for fiscal
37 year 2026 and \$743,000 of the general fund—state appropriation for
38 fiscal year 2027 are provided solely for one educational advocate to
39 each institution with enrollments above 40 full-time equivalent

1 students in addition to any educational advocates supported by
2 federal funding. Educational advocates will provide the following
3 supports to students enrolled in or just released from institutional
4 education programs:

5 (a) Advocacy for institutional education students to eliminate
6 barriers to educational access and success;

7 (b) Consultation with juvenile rehabilitation staff to develop
8 educational plans for and with participating youth;

9 (c) Monitoring educational progress of participating students;

10 (d) Providing participating students with school and local
11 resources that may assist in educational access and success upon
12 release from institutional education facilities; and

13 (e) Coaching students and caregivers to advocate for educational
14 needs to be addressed at the school district upon return to the
15 community.

16 (10) Within the amounts provided in this section, funding is
17 provided to increase materials, supplies, and operating costs by \$85
18 per pupil for technology supports for institutional education
19 programs. This funding is in addition to general education materials,
20 supplies, and operating costs provided to institutional education
21 programs, which exclude formula costs supported by the institutional
22 facilities.

23 (11) \$400,000 of the general fund—state appropriation for fiscal
24 year 2026 and \$400,000 of the general fund—state appropriation for
25 fiscal year 2027 are provided solely to support instruction in
26 cohorts of students grouped by similar age and academic levels.

27 **Sec. 512.** 2025 c 424 s 513 (uncodified) is amended to read as
28 follows:

29 **FOR THE SUPERINTENDENT OF PUBLIC INSTRUCTION—FOR PROGRAMS FOR HIGHLY**
30 **CAPABLE STUDENTS**

31	General Fund—State Appropriation (FY 2026).	((\$34,718,000))
32		<u>\$35,871,000</u>
33	General Fund—State Appropriation (FY 2027).	((\$34,955,000))
34		<u>\$34,889,000</u>
35	TOTAL APPROPRIATION.	((\$69,673,000))
36		<u>\$70,760,000</u>

37 The appropriations in this section are subject to the following
38 conditions and limitations:

(1) Each general fund fiscal year appropriation includes such funds as are necessary to complete the school year ending in the fiscal year and for prior fiscal year adjustments.

(2)(a) For the 2025-26 and 2026-27 school years, the superintendent shall allocate funding to school district programs for highly capable students as provided in RCW 28A.150.260(10)(c) except that allocations must be based on 5.0 percent of each school district's full-time equivalent enrollment. In calculating the allocations, the superintendent shall assume the following: (i) Additional instruction of 2.1590 hours per week per funded highly capable program student; (ii) fifteen highly capable program students per teacher; (iii) 36 instructional weeks per year; (iv) 900 instructional hours per teacher; and (v) the compensation rates as provided in sections 505 and 506 of this act.

(b) From July 1, 2025, to August 31, 2025, the superintendent shall allocate funding to school districts programs for highly capable students as provided in section 513, chapter 376, Laws of 2024, as amended.

Sec. 513. 2025 c 424 s 515 (uncodified) is amended to read as follows:

FOR THE SUPERINTENDENT OF PUBLIC INSTRUCTION—EDUCATION REFORM PROGRAMS

General Fund—State Appropriation (FY 2026)	((\$119,573,000))
	<u>\$115,640,000</u>
General Fund—State Appropriation (FY 2027)	((\$122,469,000))
	<u>\$117,192,000</u>
General Fund—Federal Appropriation.	((\$97,685,000))
	<u>\$97,680,000</u>
General Fund—Private/Local Appropriation.	\$1,454,000
Education Legacy Trust Account—State Appropriation. . . .	\$1,671,000
TOTAL APPROPRIATION.	((\$342,852,000))
	<u>\$333,637,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) ACCOUNTABILITY

\$26,975,000 of the general fund—state appropriation for fiscal year 2026, \$26,975,000 of the general fund—state appropriation for fiscal year 2027, \$1,350,000 of the education legacy trust account—

1 state appropriation, and \$15,868,000 of the general fund—federal
2 appropriation are provided solely for development and implementation
3 of the Washington state assessment system.

4 (2) EDUCATOR CONTINUUM

5 (a) (~~(\$71,642,000)~~) \$67,709,000 of the general fund—state
6 appropriation for fiscal year 2026 and (~~(\$74,508,000)~~) \$71,946,000 of
7 the general fund—state appropriation for fiscal year 2027 are
8 provided solely for the following bonuses for teachers who hold
9 valid, unexpired certification from the national board for
10 professional teaching standards and who are teaching in a Washington
11 public school, subject to the following conditions and limitations:

12 (i) For national board certified teachers, a bonus of \$6,514 per
13 teacher in the 2025-26 school year and a bonus of (~~(\$6,677)~~) \$6,514
14 per teacher in the 2026-27 school year;

15 (ii) An additional \$5,000 annual bonus shall be paid to national
16 board certified teachers who teach in either: (A) High schools where
17 at least 50 percent of student headcount enrollment is eligible for
18 federal free or reduced-price lunch, (B) middle schools where at
19 least 60 percent of student headcount enrollment is eligible for
20 federal free or reduced-price lunch, or (C) elementary schools where
21 at least 70 percent of student headcount enrollment is eligible for
22 federal free or reduced-price lunch;

23 (iii) The superintendent of public instruction shall adopt rules
24 to ensure that national board certified teachers meet the
25 qualifications for bonuses under (b) of this subsection for less than
26 one full school year receive bonuses in a prorated manner. All
27 bonuses in this subsection will be paid in July of each school year.
28 Bonuses in this subsection shall be reduced by a factor of 40 percent
29 for first year NBPTS certified teachers, to reflect the portion of
30 the instructional school year they are certified; and

31 (iv) During the 2025-26 and 2026-27 school years, and within
32 available funds, certificated instructional staff who have met the
33 eligibility requirements and have applied for certification from the
34 national board for professional teaching standards may receive a
35 conditional loan of two thousand dollars or the amount set by the
36 office of the superintendent of public instruction to contribute
37 toward the current assessment fee, not including the initial up-front
38 candidacy payment. The fee shall be an advance on the first annual
39 bonus under RCW 28A.405.415. The conditional loan is provided in

1 addition to compensation received under a district's salary
2 allocation and shall not be included in calculations of a district's
3 average salary and associated salary limitation under RCW
4 28A.400.200. Recipients who fail to receive certification after fully
5 exhausting all years of candidacy as set by the national board for
6 professional teaching standards are required to repay the conditional
7 loan. The office of the superintendent of public instruction shall
8 adopt rules to define the terms for initial grant of the assessment
9 fee and repayment, including applicable fees. To the extent
10 necessary, the superintendent may use revenues from the repayment of
11 conditional loan scholarships to ensure payment of all national board
12 bonus payments required by this section in each school year.

13 (b) \$3,418,000 of the general fund—state appropriation for fiscal
14 year 2026 and \$3,418,000 of the general fund—state appropriation for
15 fiscal year 2027 are provided solely for implementation of a new
16 performance-based evaluation for certificated educators and other
17 activities as provided in chapter 235, Laws of 2010 (education
18 reform) and chapter 35, Laws of 2012 (certificated employee
19 evaluations).

20 (c) \$477,000 of the general fund—state appropriation for fiscal
21 year 2026 and \$477,000 of the general fund—state appropriation for
22 fiscal year 2027 are provided solely for the leadership internship
23 program for superintendents, principals, and program administrators.

24 (d) \$810,000 of the general fund—state appropriation for fiscal
25 year 2026 and (~~(\$810,000)~~) \$405,000 of the general fund—state
26 appropriation for fiscal year 2027 are provided solely for the
27 development of a leadership academy for school principals and
28 administrators. The superintendent of public instruction shall
29 contract with an independent organization to operate a state-of-the-
30 art education leadership academy that will be accessible throughout
31 the state. Semiannually the independent organization shall report on
32 amounts committed by foundations and others to support the
33 development and implementation of this program. Leadership academy
34 partners shall include the state level organizations for school
35 administrators and principals, the superintendent of public
36 instruction, the professional educator standards board, and others as
37 the independent organization shall identify.

38 (e) \$11,500,000 of the general fund—state appropriation for
39 fiscal year 2026 and (~~(\$11,500,000)~~) \$9,200,000 of the general fund—

state appropriation for fiscal year 2027 are provided solely for a beginning educator support program (BEST). The program shall prioritize first year educators in the mentoring program in the 2025-26 school year. During the 2026-27 school year, funding for the program may only support first year educators in the mentoring program. School districts and/or regional consortia may apply for grant funding. The program provided by a district and/or regional consortia shall include: A paid orientation; assignment of a qualified mentor; development of a professional growth plan for each beginning educator aligned with professional certification; release time for mentors and new educators to work together; and educator observation time with accomplished peers. Funding may be used to provide statewide professional development opportunities for mentors and beginning educators. Of the amounts provided in this subsection, \$1,000,000 of the general fund—state appropriation for fiscal year 2026 (~~and \$1,000,000 of the general fund—state appropriation for fiscal year 2027 are~~) is provided solely to support first year educators in the mentoring program.

(f) \$2,000,000 of the general fund—state appropriation for fiscal year 2026 and \$2,000,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the provision of training for teachers, principals, and principal evaluators in the performance-based teacher principal evaluation program.

Sec. 514. 2025 c 424 s 516 (uncodified) is amended to read as follows:

FOR THE SUPERINTENDENT OF PUBLIC INSTRUCTION—FOR TRANSITIONAL BILINGUAL PROGRAMS

General Fund—State Appropriation (FY 2026)	((\$293,614,000))
	<u>\$294,655,000</u>
General Fund—State Appropriation (FY 2027)	((\$302,318,000))
	<u>\$295,681,000</u>
General Fund—Federal Appropriation.	\$137,159,000
TOTAL APPROPRIATION.	((\$733,091,000))
	<u>\$727,495,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) Each general fund fiscal year appropriation includes such funds as are necessary to complete the school year ending in the fiscal year and for prior fiscal year adjustments.

(2)(a) For the 2025-26 and 2026-27 school years, the superintendent shall allocate funding to school districts for transitional bilingual programs under RCW 28A.180.010 through 28A.180.080, including programs for exited students, as provided in RCW 28A.150.260(10)(b) and the provisions of this section. In calculating the allocations, the superintendent shall assume the following averages: (i) Additional instruction of 4.7780 hours per week per transitional bilingual program student in grades kindergarten through six and 6.7780 hours per week per transitional bilingual program student in grades seven through twelve in school years 2025-26 and 2026-27; (ii) additional instruction of 3.0000 hours per week in school years 2025-26 and 2026-27 for the head count number of students who have exited the transitional bilingual instruction program within the previous two years based on their performance on the English proficiency assessment; (iii) fifteen transitional bilingual program students per teacher; (iv) 36 instructional weeks per year; (v) 900 instructional hours per teacher; and (vi) the compensation rates as provided in sections 505 and 506 of this act. Pursuant to RCW 28A.180.040(1)(g), the instructional hours specified in (a)(ii) of this subsection (2) are within the program of basic education.

(b) From July 1, 2025, to August 31, 2025, the superintendent shall allocate funding to school districts for transitional bilingual instruction programs as provided in section 516, chapter 376, Laws of 2024, as amended.

(3) The superintendent may withhold allocations to school districts in subsection (2) of this section solely for the central provision of assessments as provided in RCW 28A.180.090 (1) and (2) up to the following amounts: 1.38 percent for school year 2025-26 and ~~((1.36))~~ 2.04 percent for school year 2026-27.

(4) The general fund—federal appropriation in this section is for migrant education under Title I Part C and English language acquisition, and language enhancement grants under Title III of the elementary and secondary education act.

(5) \$35,000 of the general fund—state appropriation for fiscal year 2026 and \$35,000 of the general fund—state appropriation for

fiscal year 2027 are provided solely to track current and former transitional bilingual program students.

(6) \$1,916,000 of the general fund—state appropriation in fiscal year 2026 (~~((and \$1,916,000 of the general fund—state appropriation in fiscal year 2027 are))~~) is provided solely for the central provision of assessments as provided in RCW 28A.180.090, and is in addition to the withholding amounts specified in subsection (3) of this section.

Sec. 515. 2025 c 424 s 517 (uncodified) is amended to read as follows:

FOR THE SUPERINTENDENT OF PUBLIC INSTRUCTION—FOR THE LEARNING ASSISTANCE PROGRAM

General Fund—State Appropriation (FY 2026)	((\$515,259,000))
	<u>\$538,294,000</u>
General Fund—State Appropriation (FY 2027)	((\$522,631,000))
	<u>\$536,498,000</u>
General Fund—Federal Appropriation	\$636,542,000
TOTAL APPROPRIATION	((\$1,674,432,000))
	<u>\$1,711,334,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) The general fund—state appropriations in this section are subject to the following conditions and limitations:

(a) The appropriations include such funds as are necessary to complete the school year ending in the fiscal year and for prior fiscal year adjustments.

(b) (i) For the 2025-26 and 2026-27 school years, the superintendent shall allocate funding to school districts for learning assistance programs as provided in RCW 28A.150.260(10) (a). In calculating the allocations, the superintendent shall assume the following averages: (A) Additional instruction of 2.3975 hours per week per funded learning assistance program student for the 2025-26 and 2026-27 school years; (B) additional instruction of 1.1 hours per week per funded learning assistance program student for the 2025-26 and 2026-27 school years in qualifying high-poverty school building; (C) 15 learning assistance program students per teacher; (D) 36 instructional weeks per year; (E) 900 instructional hours per teacher; and (F) the compensation rates as provided in sections 505 and 506 of this act.

(ii) From July 1, 2025, to August 31, 2025, the superintendent shall allocate funding to school districts for learning assistance programs as provided in section 517, chapter 376, Laws of 2024, as amended.

(c) A school district's funded students for the learning assistance program shall be the sum of the district's full-time equivalent enrollment in grades K-12 multiplied by the district's percentage of October headcount enrollment in grades K-12 eligible for free or reduced-price lunch in the school year period defined under RCW 28A.150.260(10)(a). A school year's October headcount enrollment for free and reduced-price lunch shall be as reported in the comprehensive education data and research system.

(2) Allocations made pursuant to subsection (1) of this section shall be adjusted to reflect ineligible applications identified through the annual income verification process required by the national school lunch program, as recommended in the report of the state auditor on the learning assistance program dated February, 2010.

(3) The general fund—federal appropriation in this section is provided for Title I Part A allocations of the every student succeeds act of 2016.

(4) A school district may carry over from one year to the next up to 10 percent of the general fund—state funds allocated under this program; however, carryover funds shall be expended for the learning assistance program.

(5) Within existing resources, during the 2025-26 and 2026-27 school years, school districts are authorized to use funds allocated for the learning assistance program to also provide assistance to high school students who have not passed the state assessment in science.

Sec. 516. 2025 c 424 s 518 (uncodified) is amended to read as follows:

FOR THE SUPERINTENDENT OF PUBLIC INSTRUCTION—PER PUPIL ALLOCATIONS

Statewide Average Allocations		
Per Annual Average Full-Time Equivalent Student		
Basic Education Program	2025-26	2026-27
	School Year	School Year

1	General Apportionment	(((\$11,024))	(((\$11,302))
2		<u>\$11,029</u>	<u>\$11,416</u>
3	Pupil Transportation	(((\$835))	(((\$856))
4		<u>\$849</u>	<u>\$889</u>
5	Special Education Programs	(((\$13,928))	(((\$14,514))
6		<u>\$14,216</u>	<u>\$14,863</u>
7	Institutional Education Programs	(((\$27,712))	(((\$28,355))
8		<u>\$29,203</u>	<u>\$29,935</u>
9	Programs for Highly Capable Students	\$684	(((\$704))
10			<u>\$708</u>
11	Transitional Bilingual Programs	(((\$1,686))	(((\$1,729))
12		<u>\$1,677</u>	<u>\$1,708</u>
13	Learning Assistance Program	(((\$1,075))	(((\$1,103))
14		<u>\$1,099</u>	<u>\$1,133</u>

15 **Sec. 517.** 2025 c 424 s 519 (uncodified) is amended to read as
16 follows:

17 **FOR THE SUPERINTENDENT OF PUBLIC INSTRUCTION**

18 (1) Amounts distributed to districts by the superintendent
19 through part V of this act are for allocation purposes only, unless
20 specified by part V of this act, and do not entitle a particular
21 district, district employee, or student to a specific service, beyond
22 what has been expressly provided in statute. Part V of this act
23 restates the requirements of various sections of Title 28A RCW. If
24 any conflict exists, the provisions of Title 28A RCW control unless
25 this act explicitly states that it is providing an enhancement. Any
26 amounts provided in part V of this act in excess of the amounts
27 required by Title 28A RCW provided in statute, are not within the
28 program of basic education unless clearly stated by this act.

29 (2) When adopting new or revised rules or policies relating to
30 the administration of allocations in part V of this act that result
31 in fiscal impact, the office of the superintendent of public
32 instruction shall seek legislative approval through the budget
33 request process.

34 (3) Appropriations made in this act to the office of the
35 superintendent of public instruction shall initially be allotted as
36 required by this act. Subsequent allotment modifications shall not
37 include transfers of moneys between sections of this act.

(4) Appropriations in sections 504 and 506 of this act for insurance benefits under chapter 41.05 RCW are provided solely for the superintendent to allocate to districts for employee health benefits as provided in section 910 of this act. The superintendent may not allocate, and districts may not expend, these amounts for any other purpose beyond those authorized in section 910 of this act.

(5) As required by RCW 28A.710.110, the office of the superintendent of public instruction shall transmit the charter school authorizer oversight fee for the charter school commission to the charter school oversight account.

(6) The appropriations to the office of the superintendent of public instruction in this act shall be expended for the programs and amounts specified in this act. However, after May 1, 2026, unless specifically prohibited by this act and after approval by the director of financial management, the superintendent of public instruction may transfer state general fund appropriations for fiscal year 2026 among the following programs to meet the apportionment schedule for a specified formula in another of these programs: General apportionment; employee compensation adjustments; pupil transportation; special education programs; institutional education programs; transitional bilingual programs; highly capable programs; and learning assistance programs.

(7) The director of the office of financial management shall notify the appropriate legislative fiscal committees in writing prior to approving any allotment modifications or transfers under this section.

Sec. 518. 2025 c 424 s 520 (uncodified) is amended to read as follows:

**FOR THE OFFICE OF THE SUPERINTENDENT OF PUBLIC INSTRUCTION—FOR
CHARTER SCHOOLS**

Washington Opportunity Pathways Account—State

Appropriation.	((\$201,773,000))
	<u>\$178,073,000</u>
TOTAL APPROPRIATION.	((\$201,773,000))
	<u>\$178,073,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) The superintendent shall distribute funding appropriated in this section to charter schools under chapter 28A.710 RCW. Within amounts provided in this section the superintendent may distribute funding for safety net awards for charter schools with demonstrated needs for special education funding beyond the amounts provided under chapter 28A.710 RCW.

(2) \$1,012,000 of the opportunity pathways account—state appropriation is provided solely for changes to the special education multiplier as specified in Engrossed Second Substitute Senate Bill No. 5263 (special education funding). ~~((If the bill is not enacted by June 30, 2025, these amounts shall lapse.))~~

(3) \$7,715,000 of the opportunity pathways account—state appropriation is provided solely for enrichment payments to charter schools.

(4) \$418,000 of the opportunity pathways account—state appropriation is provided solely for materials, supplies, and operating costs pursuant to Engrossed Substitute Senate Bill No. 5192 (school district materials). ~~((If the bill is not enacted by June 30, 2025, these amounts shall lapse.))~~

Sec. 519. 2025 c 424 s 521 (uncodified) is amended to read as follows:

FOR THE OFFICE OF THE SUPERINTENDENT OF PUBLIC INSTRUCTION—FOR THE WASHINGTON STATE CHARTER SCHOOL COMMISSION

Washington Opportunity Pathways Account—State

Appropriation.	((\$459,000))
	<u>\$233,000</u>

Charter Schools Oversight Account—State

Appropriation.	((\$4,939,000))
	<u>\$4,945,000</u>

TOTAL APPROPRIATION.	((\$5,398,000))
	<u>\$5,178,000</u>

The appropriations in this section are subject to the following conditions and limitations: The entire Washington opportunity pathways account—state appropriation in this section is provided to the superintendent of public instruction solely for the operations of the Washington state charter school commission under chapter 28A.710 RCW.

Sec. 520. 2025 c 424 s 522 (uncodified) is amended to read as follows:

FOR THE SUPERINTENDENT OF PUBLIC INSTRUCTION—FOR TRANSITION TO KINDERGARTEN PROGRAMS

General Fund—State Appropriation (FY 2026)	((\$94,183,000))
	<u>\$94,152,000</u>
General Fund—State Appropriation (FY 2027)	((\$95,936,000))
	<u>\$72,178,000</u>
TOTAL APPROPRIATION	((\$190,119,000))
	<u>\$166,330,000</u>

The appropriations in this section are subject to the following conditions and limitations: ~~((Funding in this section is sufficient for implementation of Engrossed Senate Bill No. 5769 (transition to kindergarten).))~~ Funding provided in this section is sufficient to support the enrollment ~~((of))~~ in the transition to kindergarten program: (1) Of 7,266 annual average full-time equivalent eligible children ((per school year)) in school year 2025-26; and pursuant to Engrossed Substitute Senate Bill No. 6260 (public education funding) in school year 2026-27.

Sec. 521. 2025 c 424 s 523 (uncodified) is amended to read as follows:

FOR THE OFFICE OF THE SUPERINTENDENT OF PUBLIC INSTRUCTION—FOR GRANTS AND PASS THROUGH FUNDING

General Fund—State Appropriation (FY 2026)	((\$7,079,000))
	<u>\$8,079,000</u>
<u>General Fund—State Appropriation (FY 2027)</u>	<u>\$8,450,000</u>
TOTAL APPROPRIATION	((\$7,079,000))
	<u>\$16,529,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1)(a) \$1,500,000 of the general fund—state appropriation for fiscal year 2026 ~~((is))~~ and \$1,250,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for dual language grants to grow capacity for high quality dual language learning. Grant funding may be used for new and existing dual language programs, heritage language programs for immigrant and refugee students, and indigenous language programs for native students. Of the amounts provided in this subsection, \$300,000 of the

1 general fund—state appropriation for fiscal year 2026 (~~(is)~~) and
2 \$300,000 of the general fund—state appropriation for fiscal year 2027
3 are provided solely for tribal language grants.

4 (b) Each grant recipient must convene an advisory board to guide
5 the development and continuous improvement of its dual language
6 program, including but not limited to: Determining which schools and
7 languages will be prioritized; conducting outreach to the community;
8 and addressing enrollment considerations and the hiring of staff. At
9 least half the members of the board must be parents of English
10 learner students or current or former English learner students. The
11 other members of the board must represent teachers, students, school
12 leaders, governing board members, youth, and community-based
13 organizations that support English learners.

14 (2) \$1,500,000 of the general fund—state appropriation for fiscal
15 year 2026 is provided solely for a statewide information technology
16 academy program. This public-private partnership will provide
17 educational software, as well as information technology certification
18 and software training opportunities for students and staff in public
19 schools.

20 (3) \$1,200,000 of the general fund—state appropriation for fiscal
21 year 2026 (~~(is)~~) and \$1,200,000 of the general fund—state
22 appropriation for fiscal year 2027 are provided solely for
23 implementation of chapter 157, Laws of 2016 (homeless students).

24 (4) \$200,000 of the general fund—state appropriation for fiscal
25 year 2026 is provided solely for the office to contract with a
26 nonprofit organization to develop and provide a Latino youth-on-youth
27 gang violence prevention program for students and may offer a parent
28 coaching program. The program must target Latino students ages 11
29 through 17 who are either involved in or at risk of becoming involved
30 in a gang or in gang activities, and parents of the students. The
31 nonprofit organization must have at least 15 years of experience
32 serving Latino communities and promoting advocacy and must provide
33 kindergarten through 12th grade social emotional learning, mental
34 health wraparound services, and parent engagement programs in
35 Washington.

36 (5) \$500,000 of the general fund—state appropriation for fiscal
37 year 2026 is provided solely for a grant to the pacific science
38 center to increase hands-on learning opportunities for Title I K-5

1 students statewide by increasing access to science on wheels and
2 virtual field trips.

3 (6) \$500,000 of the general fund—state appropriation for fiscal
4 year 2026 is provided solely for the office of the superintendent of
5 public instruction to contract with a nonprofit organization that
6 supports Washington teachers in implementing lessons on the Holocaust
7 for the expansion of comprehensive Holocaust and genocide education.

8 (7) \$1,500,000 of the general fund—state appropriation for fiscal
9 year 2026 ~~((is))~~ and \$1,500,000 of the general fund—state
10 appropriation for fiscal year 2027 are provided solely for grants to
11 school districts for ninth grade success. Within the amounts in this
12 subsection, funding is provided for the office to contract with an
13 evaluator to conduct a yearly evaluation of the program's success.

14 (8) \$179,000 of the general fund—state appropriation for fiscal
15 year 2026 is provided solely for the Peninsula school district
16 aviation academy to prepare students for diverse careers in the
17 aviation industry.

18 (9)(a) \$3,500,000 of the general fund—state appropriation for
19 fiscal year 2027 is provided solely for a contract with a
20 nongovernmental entity or entities for demonstration sites to improve
21 the educational outcomes of students who are dependent under chapter
22 13.34 RCW pursuant to chapter 71, Laws of 2016 (foster youth edu.
23 outcomes). The office shall require the recipient of these funds to
24 report the impacts of the recipient's efforts in alignment with the
25 measures of the Washington school improvement framework.

26 (b) Of the amount provided in (a) of this subsection, \$55,000 of
27 the general fund—state appropriation for fiscal year 2027 is provided
28 solely for maintaining and implementing the data sharing agreement
29 between the office, the department of children, youth, and families,
30 and the contractors to support targeted service delivery, program
31 evaluation, and statewide education outcomes measurement for students
32 served under this section.

33 (10) \$1,000,000 of the general fund—state appropriation for
34 fiscal year 2026 and \$1,000,000 of the general fund—state
35 appropriation for fiscal year 2027 are provided solely for
36 subsidizing exam fees for dual credit programs for low-income
37 students.

(End of part)

PART VI
HIGHER EDUCATION

Sec. 601. 2025 c 424 s 601 (uncodified) is amended to read as follows:

The appropriations in sections (~~(605 through 611)~~) 602 through 608 of this act are subject to the following conditions and limitations:

(1) "Institutions" means the institutions of higher education receiving appropriations under sections (~~(605 through 611)~~) 602 through 608 of this act.

(2) In addition to waivers granted under the authority of RCW 28B.15.910, the governing boards and the state board may waive all or a portion of operating fees for any student. State general fund appropriations shall not be provided to replace tuition and fee revenue foregone as a result of waivers granted under this subsection.

(3) Teacher preparation programs shall meet the requirements of RCW 28B.10.710 to incorporate information on the culture, history, and government of American Indian people in this state by integrating the curriculum developed and made available free of charge by the office of the superintendent of public instruction into existing programs or courses and may modify that curriculum in order to incorporate elements that have a regionally specific focus.

(4) Institutions must include the phone number of a campus, local, state, or national suicide, crisis, or counseling hotline on the back of newly issued student and faculty identification cards.

(5) Institutions of higher education shall not use appropriated funds to support intercollegiate athletics programs.

(6)(a) The student achievement council and institutions as defined in RCW 28B.92.030 and eligible for state financial aid programs under chapters 28B.92 and 28B.118 RCW shall ensure that data needed to analyze and evaluate the effectiveness of state financial aid programs are promptly transmitted to the education data center so that it is available and easily accessible. The data to be reported must include but not be limited to:

(i) The number of Washington college grant and college bound recipients;

(ii) Persistence and completion rates of Washington college grant recipients and college bound recipients, disaggregated by institution of higher education;

(iii) Washington college grant recipient grade point averages; and

(iv) Washington college grant and college bound scholarship program costs.

(b) The student achievement council shall submit student unit record data for state financial aid program applicants and recipients to the education data center.

(7) The institutions shall promptly notify the office of the attorney general upon the receipt of a request from or on behalf of a federal agency or a federal, state, or local law enforcement authority for health care information, as defined in RCW 70.02.010, program eligibility information for individuals, information that may identify a health care provider's or facility's delivery of health care services to noncitizens, or the delivery of protected health care services as defined in RCW 7.115.010 where the request may impact expenditures for such services. The institutions shall require contracted entities to notify the institutions promptly upon receipt of a request from a federal agency or law enforcement authority as described in this subsection.

(8) Institutions of higher education shall not use appropriated funds to support external governmental relations.

(9) Any administrative reduction made by an institution of higher education must prioritize retaining staff that provide direct student supports.

Sec. 602. 2025 c 424 s 605 (uncodified) is amended to read as follows:

FOR THE STATE BOARD FOR COMMUNITY AND TECHNICAL COLLEGES

General Fund—State Appropriation (FY 2026)	((\$949,700,000))
	<u>\$913,517,000</u>
General Fund—State Appropriation (FY 2027)	((\$960,088,000))
	<u>\$924,241,000</u>
Community/Technical College Capital Projects	
Account—State Appropriation.	\$21,368,000
Education Legacy Trust Account—State Appropriation. ((\$166,595,000))	
	<u>\$166,637,000</u>

Invest in Washington Account—State Appropriation.	\$174,000
Workforce Education Investment Account—State	
Appropriation.	((\$368,202,000))
	<u>\$367,936,000</u>
TOTAL APPROPRIATION.	((\$2,466,127,000))
	<u>\$2,393,873,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) \$33,261,000 of the general fund—state appropriation for fiscal year 2026 and \$33,261,000 of the general fund—state appropriation for fiscal year 2027 are provided solely as special funds for training and related support services, including financial aid, as specified in RCW 28C.04.390. Funding is provided to support at least 7,170 full-time equivalent students in fiscal year 2026 and at least 7,170 full-time equivalent students in fiscal year 2027.

(2) \$5,000,000 of the general fund—state appropriation for fiscal year 2026, \$5,000,000 of the general fund—state appropriation for fiscal year 2027, and \$5,450,000 of the education legacy trust account—state appropriation are provided solely for administration and customized training contracts through the job skills program. The state board shall make an annual report by January 1st of each year to the governor and to the appropriate policy and fiscal committees of the legislature under RCW 43.01.036 regarding implementation of this section, listing the scope of grant awards, the distribution of funds by educational sector and region of the state, and the results of the partnerships supported by these funds.

(3) \$425,000 of the general fund—state appropriation for fiscal year 2026 and \$425,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for Seattle Central College's allied health programs.

(4) \$5,250,000 of the general fund—state appropriation for fiscal year 2026 and \$5,250,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the student achievement initiative.

(5) \$1,610,000 of the general fund—state appropriation for fiscal year 2026, \$1,610,000 of the general fund—state appropriation for fiscal year 2027, and \$904,000 of the workforce education investment account—state appropriation are provided solely for the mathematics, engineering, and science achievement program.

1 (6) \$1,500,000 of the general fund—state appropriation for fiscal
2 year 2026 and \$1,500,000 of the general fund—state appropriation for
3 fiscal year 2027 are provided solely for operating a fabrication
4 composite wing incumbent worker training program to be housed at the
5 Washington aerospace training and research center.

6 (7) \$100,000 of the general fund—state appropriation for fiscal
7 year 2026 (~~and \$100,000 of the general fund—state appropriation for~~
8 ~~fiscal year 2027 are~~) is provided solely for the aerospace center of
9 excellence currently hosted by Everett community college to:

10 (a) Increase statewide communications and outreach between
11 industry sectors, industry organizations, businesses, K-12 schools,
12 colleges, and universities;

13 (b) Enhance information technology to increase business and
14 student accessibility and use of the center's web site; and

15 (c) Act as the information entry point for prospective students
16 and job seekers regarding education, training, and employment in the
17 industry.

18 (8) Community and technical colleges are not required to send
19 mass mailings of course catalogs to residents of their districts.
20 Community and technical colleges shall consider lower cost
21 alternatives, such as mailing postcards or brochures that direct
22 individuals to online information and other ways of acquiring print
23 catalogs.

24 (9) \$157,000 of the general fund—state appropriation for fiscal
25 year 2026 and \$157,000 of the general fund—state appropriation for
26 fiscal year 2027 are provided solely for the Wenatchee Valley college
27 wildfire prevention program.

28 (10) \$150,000 of the general fund—state appropriation for fiscal
29 year 2026 and \$150,000 of the general fund—state appropriation for
30 fiscal year 2027 are provided solely for the Puget Sound welcome back
31 center at Highline College to continue a grant program for
32 internationally trained individuals seeking employment in the
33 behavioral health field in Washington state.

34 (11) \$750,000 of the general fund—state appropriation for fiscal
35 year 2026 and \$750,000 of the general fund—state appropriation for
36 fiscal year 2027 are provided solely for enrollments in the
37 integrated basic education and skills training program. Funding will
38 support approximately 120 full-time equivalent enrollments annually.

1 (12) \$216,000 of the general fund—state appropriation for fiscal
2 year 2026 and \$216,000 of the general fund—state appropriation for
3 fiscal year 2027 are provided solely for the opportunity center for
4 employment and education at North Seattle College.

5 (13) \$500,000 of the general fund—state appropriation for fiscal
6 year 2026 and \$500,000 of the general fund—state appropriation for
7 fiscal year 2027 are provided solely for Highline College to
8 implement the Federal Way higher education initiative in partnership
9 with the city of Federal Way and the University of Washington Tacoma
10 campus.

11 (14) \$350,000 of the general fund—state appropriation for fiscal
12 year 2026 and \$350,000 of the general fund—state appropriation for
13 fiscal year 2027 are provided solely for Peninsula College to
14 maintain the annual cohorts of the specified programs as follows:

15 (a) Medical assisting, 40 students;

16 (b) Nursing assistant, 60 students; and

17 (c) Registered nursing, 32 students.

18 (15) \$338,000 of the general fund—state appropriation for fiscal
19 year 2026 and \$338,000 of the general fund—state appropriation for
20 fiscal year 2027 are provided solely for the Washington state labor
21 education and research center at South Seattle College.

22 (16) \$150,000 of the general fund—state appropriation for fiscal
23 year 2026 (~~and \$150,000 of the general fund—state appropriation for~~
24 ~~fiscal year 2027 are~~) is provided solely for the aerospace and
25 advanced manufacturing center of excellence hosted by Everett
26 Community College to continue a semiconductor and electronics
27 manufacturing branch in Vancouver.

28 (17) \$2,000,000 of the workforce education investment account—
29 state appropriation is provided solely for the state board for
30 community and technical colleges to maintain high-demand enrollments,
31 as provided under RCW 28C.30.020. These programs include, but are not
32 limited to, allied health, computer and information science,
33 manufacturing, and other fields identified by the state board for
34 community and technical colleges.

35 (18) \$8,000,000 of the workforce education investment account—
36 state appropriation is provided solely for the emergency assistance
37 grant program in RCW 28B.50.295.

38 (19) \$1,119,000 of the general fund—state appropriation for
39 fiscal year 2026, \$1,119,000 of the general fund—state appropriation

1 for fiscal year 2027, and \$2,526,000 of the workforce education
2 investment account—state appropriation are provided solely for
3 implementation of diversity, equity, inclusion, and antiracism
4 provisions in chapter 28B.10 RCW.

5 (20) (~~(\$20,473,000)~~) \$19,449,000 of the workforce education
6 investment account—state appropriation is provided solely for
7 implementation of equity and access provisions in chapter 28B.50 RCW.

8 (21) \$3,200,000 of the workforce education investment account—
9 state appropriation is provided solely for costs associated with
10 grants awarded in fiscal year 2023 for nursing programs to purchase
11 or upgrade simulation laboratory equipment.

12 (22) \$4,668,000 of the workforce education investment account—
13 state appropriation is provided solely to support cybersecurity
14 academic enrollments of 250 FTE students.

15 (23) (~~(\$408,000)~~) \$204,000 of the workforce education investment
16 account—state appropriation is provided solely for a center for
17 excellence in cybersecurity.

18 (24) \$1,648,000 of the general fund—state appropriation for
19 fiscal year 2026 and \$1,648,000 of the general fund—state
20 appropriation for fiscal year 2027 are provided solely for legal
21 services related to litigation by employees within the community and
22 technical college system challenging the denial of retirement and
23 sick leave benefits. The cases include *Wolf v. State and SBCTC*, *Rush*
24 *v. State and SBCTC* (retirement), and *Rush v. State and SBCTC* (sick
25 leave).

26 (25) \$2,000,000 of the general fund—state appropriation for
27 fiscal year 2026 and \$2,000,000 of the general fund—state
28 appropriation for fiscal year 2027 are provided solely for the
29 opportunity grant program to provide health care workforce grants for
30 students.

31 (26) \$7,456,000 of the workforce education investment account—
32 state appropriation is provided solely for programming to accommodate
33 refugees and immigrants who have arrived in Washington state on or
34 after July 1, 2021, including those from Afghanistan and Ukraine.

35 (27) \$2,160,000 of the general fund—state appropriation for
36 fiscal year 2026, \$2,160,000 of the general fund—state appropriation
37 for fiscal year 2027, and \$4,800,000 of the workforce education
38 investment account—state appropriation are provided solely for
39 nursing education.

1 (28) \$200,000 of the workforce education investment account—state
2 appropriation is provided solely for the Bellingham Technical College
3 maritime apprenticeship program.

4 (29) \$2,200,000 of the workforce education investment account—
5 state appropriation is provided solely for the Skagit Valley College
6 dental therapy education program.

7 (30)(a) \$854,000 of the workforce education investment account—
8 state appropriation is provided solely for the Seattle Central
9 College for partnership with the Seattle maritime academy. Seattle
10 Central College must enter into a memorandum of agreement with
11 Washington state ferries. Funding may not be expended until Seattle
12 Central College certifies to the office of financial management that
13 a memorandum of agreement with Washington state ferries has been
14 executed. The memorandum of agreement must address:

15 (i) The shared use of training and other facilities and
16 implementation of joint training opportunities where practicable;

17 (ii) Development of a joint recruitment plan aimed at increasing
18 enrollment of women and people of color, with specific strategies to
19 recruit existing community and technical college students, maritime
20 skills center students, high school students from maritime programs,
21 foster care graduates, and former juvenile rehabilitation and adult
22 incarcerated individuals; and

23 (iii) Development of a training program and recruitment plan and
24 a five-year operational plan.

25 (b) The joint training program and recruitment plan and the five-
26 year operational plan must be submitted to the appropriate policy and
27 fiscal committees of the legislature by December 1, 2025.

28 (31) \$331,000 of the general fund—state appropriation for fiscal
29 year 2026, \$331,000 of the general fund—state appropriation for
30 fiscal year 2027, and \$110,000 of the workforce education investment
31 account—state appropriation are provided solely for implementation of
32 state registered apprenticeship provisions in chapter 28B.124 RCW.

33 (32) (~~(\$4,276,000)~~) \$5,382,000 of the workforce education
34 investment account—state appropriation is provided solely for
35 implementation of chapter 421, Laws of 2023 (postsecondary student
36 needs).

37 (33) \$7,436,000 of the workforce education investment account—
38 state appropriation is provided solely for implementation of chapter
39 339, Laws of 2023 (student homelessness pilot).

1 (34) (~~(\$7,278,000)~~) \$7,980,000 of the workforce education
2 investment account—state appropriation is provided solely for
3 implementation of chapter 314, Laws of 2023 (college in high school
4 fees).

5 (35) \$1,024,000 of the workforce education investment account—
6 state appropriation is provided solely for implementation of chapter
7 126, Laws of 2023 (nurse supply).

8 (36) \$1,602,000 of the workforce education investment account—
9 state appropriation is provided solely for community college staff to
10 recruit, advise, and support early achievers scholars completing
11 their early childhood qualifications. The state board shall
12 prioritize colleges with longer wait lists for early achievers
13 scholars. The state board for community and technical colleges shall
14 collaborate with the department of children, youth, and families to
15 submit a report, pursuant to RCW 43.01.036, by September 30, 2025, to
16 the governor and appropriate committees of the legislature on early
17 achievers grant participation data, including data on enrollment and
18 waitlists for the grant program.

19 (37) \$408,000 of the workforce education investment account—state
20 appropriation is provided solely for Olympic College health care
21 pathways.

22 (38) \$2,280,000 of the workforce education investment account—
23 state appropriation is provided solely for the bachelor of science
24 computer science programs.

25 (~~((40))~~) (39) \$150,000 of the workforce education investment
26 account—state appropriation is provided solely for Edmonds College to
27 provide support to students who are military veterans, focusing on
28 counseling services, financial assistance, and reentry services.

29 (~~((41))~~) (40) \$616,000 of the workforce education investment
30 account—state appropriation is provided solely for implementation of
31 Second Substitute House Bill No. 1273 (dual credit program access).
32 (~~((If the bill is not enacted by June 30, 2025, the amounts provided~~
33 ~~in this subsection shall lapse.~~

34 ~~(42))~~) (41) \$7,000 of the workforce education investment account—
35 state appropriation is provided solely for implementation of Senate
36 Bill No. 5189 (competency-based education). (~~((If the bill is not~~
37 ~~enacted by June 30, 2025, the amount provided in this subsection~~
38 ~~shall lapse.~~

1 ~~((43))~~ (42) \$1,190,000 of the workforce education investment
2 account—state appropriation is provided solely to expand the student
3 aid outreach and completion initiative pilot program in RCW
4 28B.50.940. Within the amounts provided in this subsection (~~((43))~~)
5 (42):

6 (a) \$850,000 of the amounts in this subsection (~~((43))~~) (42) are
7 provided to participating community and technical colleges located
8 within capital region educational service district 113.

9 (b) \$340,000 of the amounts provided in this subsection (~~((43))~~)
10 (42) are provided to participating community and technical colleges
11 located within north central educational service district 171.

12 (43) \$25,512,000 of the general fund—state appropriation for
13 fiscal year 2026 and \$26,227,000 of the general fund—state
14 appropriation for fiscal year 2027 are provided solely for
15 implementation of the college affordability program as set forth in
16 RCW 28B.15.066.

17 (44) By December 1, 2026, the state board for community and
18 technical colleges must submit a report, pursuant to RCW 43.01.036,
19 to the governor and appropriate committees of the legislature. The
20 report shall include recommendations that may reduce redundancy and
21 expenses that do not directly correlate to student success. The state
22 board shall also consider locations of current colleges by regions,
23 districts that have more than one campus and other regional
24 considerations where reduction and proximity may not substantially
25 impact access to postsecondary education institutions. The state
26 board shall include a review of the district structure and how it
27 impacts campus operations and student success.

28 (45) \$40,800,000 of the workforce education investment account—
29 state appropriation is provided solely to continue to fund nurse
30 educator salaries.

31 (46) \$40,000,000 of the workforce education investment account—
32 state appropriation is provided solely to continue to fund high-
33 demand program faculty salaries, including but not limited to nurse
34 educators, other health-related professions, information technology,
35 computer science, and trades.

36 (47) \$1,500,000 of the general fund—state appropriation for
37 fiscal year 2026, \$1,500,000 of the general fund—state appropriation
38 for fiscal year 2027, and \$75,847,000 of the workforce education
39 investment account—state appropriation are provided solely for

statewide implementation of guided pathways at each of the state's community and technical colleges or similar programs designed to improve student success, including, but not limited to, academic program redesign, student advising, and other student supports.

Sec. 603. 2025 c 424 s 606 (uncodified) is amended to read as follows:

FOR THE UNIVERSITY OF WASHINGTON

General Fund—State Appropriation (FY 2026)	((\$442,276,000))
	<u>\$400,788,000</u>
General Fund—State Appropriation (FY 2027)	((\$41,821,000))
	<u>\$42,616,000</u>
Dedicated Cannabis Account—State Appropriation (FY 2026)	\$377,000
Dedicated Cannabis Account—State Appropriation (FY 2027)	((\$390,000))
	<u>\$388,000</u>
Aquatic Lands Enhancement Account—State Appropriation	\$1,671,000
Climate Commitment Account—State Appropriation	((\$2,526,000))
	<u>\$2,263,000</u>
Natural Climate Solutions Account—State Appropriation	\$840,000
University of Washington Building Account—State Appropriation	\$1,546,000
Education Legacy Trust Account—State Appropriation	((\$40,637,000))
	<u>\$40,628,000</u>
Economic Development Strategic Reserve Account—State Appropriation	\$3,149,000
Biotoxin Account—State Appropriation	\$635,000
Accident Account—State Appropriation	((\$9,015,000))
	<u>\$9,010,000</u>
Medical Aid Account—State Appropriation	((\$8,378,000))
	<u>\$8,373,000</u>
Workforce Education Investment Account—State Appropriation	((\$544,868,000))
	<u>\$517,563,000</u>
TOTAL APPROPRIATION	((\$1,098,129,000))
	<u>\$1,029,847,000</u>

1 The appropriations in this section are subject to the following
2 conditions and limitations:

3 (1) \$200,000 of the general fund—state appropriation for fiscal
4 year 2026 and \$200,000 of the general fund—state appropriation for
5 fiscal year 2027 are provided solely for one head archivist for the
6 labor archives of Washington and reserved solely for labor archives
7 activities, staffing, supplies, and equipment. The head archivist
8 will determine budget priorities and oversee expenditures on the
9 budget. Budget funds will be reserved solely for the labor archives
10 and shall not be used to supplant or supplement other activities of
11 the University of Washington libraries unrelated to the collections
12 and activities of the labor archives. The university and the head
13 archivist shall work in collaboration with the friends of the labor
14 archives community advisory board.

15 (2) \$10,000,000 of the education legacy trust account—state
16 appropriation is provided solely for the family medicine residency
17 network at the university to maintain and expand the number of
18 residency slots available in Washington.

19 (3) The university must continue work with the education research
20 and data center to demonstrate progress in computer science and
21 engineering enrollments. By September 1st of each year, the
22 university shall provide a report including but not limited to the
23 cost per student, student completion rates, and the number of low-
24 income students enrolled in each program, any process changes or
25 best-practices implemented by the university, and how many students
26 are enrolled in computer science and engineering programs above the
27 prior academic year.

28 (4) \$14,000,000 of the education legacy trust account—state
29 appropriation is provided solely for the expansion of degrees in the
30 department of computer science and engineering at the Seattle campus.

31 (5) \$3,062,000 of the economic development strategic reserve
32 account—state appropriation is provided solely to support the joint
33 center for aerospace innovation technology.

34 (6) \$7,345,000 of the general fund—state appropriation for fiscal
35 year 2026 and \$7,345,000 of the general fund—state appropriation for
36 fiscal year 2027 are provided solely for the continued operations and
37 expansion of the Washington, Wyoming, Alaska, Montana, Idaho medical
38 school program.

1 (7) \$2,625,000 of the general fund—state appropriation for fiscal
2 year 2026 and \$2,625,000 of the general fund—state appropriation for
3 fiscal year 2027 are provided solely for the institute for stem cell
4 and regenerative medicine. Funds appropriated in this subsection must
5 be dedicated to research utilizing pluripotent stem cells and related
6 research methods.

7 (8) \$500,000 of the general fund—state appropriation for fiscal
8 year 2026 and \$500,000 of the general fund—state appropriation for
9 fiscal year 2027 are provided solely to support youth and young
10 adults experiencing homelessness in the university district of
11 Seattle. Funding is provided for the university to work with
12 community service providers and university colleges and departments
13 to plan for and implement a comprehensive one-stop center with
14 navigation services for homeless youth; the university may contract
15 with the department of commerce to expand services that serve
16 homeless youth in the university district.

17 (9) \$1,800,000 of the general fund—state appropriation for fiscal
18 year 2026, \$1,800,000 of the general fund—state appropriation for
19 fiscal year 2027, and \$1,200,000 of the workforce education
20 investment account—state appropriation are provided solely for the
21 adult psychiatry residency program at the University of Washington to
22 offer additional residency positions that are approved by the
23 accreditation council for graduate medical education.

24 (10) \$1,000,000 of the general fund—state appropriation for
25 fiscal year 2026 and \$1,000,000 of the general fund—state
26 appropriation for fiscal year 2027 are provided solely for the
27 psychiatry integrated care training program.

28 (11) \$640,000 of the general fund—state appropriation for fiscal
29 year 2026, \$640,000 of the general fund—state appropriation for
30 fiscal year 2027, and \$426,000 of the workforce education investment
31 account—state appropriation are provided solely for child and
32 adolescent psychiatry residency positions that are approved by the
33 accreditation council for graduate medical education, as provided in
34 RCW 28B.20.445.

35 (12) \$1,000,000 of the general fund—state appropriation for
36 fiscal year 2026 and \$1,000,000 of the general fund—state
37 appropriation for fiscal year 2027 are provided solely for the School
38 of Dentistry to support its role as a major oral health provider to
39 individuals covered by medicaid and the uninsured.

1 (13) \$200,000 of the general fund—state appropriation for fiscal
2 year 2026 and \$200,000 of the general fund—state appropriation for
3 fiscal year 2027 are provided solely for the pre-law pipeline and
4 social justice program at the University of Washington-Tacoma.

5 (14) \$226,000 of the general fund—state appropriation for fiscal
6 year 2026 and \$226,000 of the general fund—state appropriation for
7 fiscal year 2027 are provided solely for the university's neurology
8 department to implement a telemedicine program to disseminate
9 dementia care best practices to primary care practitioners using the
10 project ECHO model. The program shall provide a virtual connection
11 for providers and content experts and include didactics, case
12 conferences, and an emphasis on practice transformation and systems-
13 level issues that affect care delivery. The initial users of this
14 program shall include referral sources in health care systems and
15 clinics, such as the university's neighborhood clinics and Virginia
16 Mason Memorial in Yakima with a goal of adding 15 to 20 providers
17 from smaller clinics and practices per year.

18 (15) \$102,000 of the general fund—state appropriation for fiscal
19 year 2026 and \$102,000 of the general fund—state appropriation for
20 fiscal year 2027 are provided solely for the university's center for
21 international trade in forest products.

22 (16) \$500,000 of the general fund—state appropriation for fiscal
23 year 2026, \$500,000 of the general fund—state appropriation for
24 fiscal year 2027, and \$300,000 of the workforce education investment
25 account—state appropriation are provided solely for the Latino center
26 for health.

27 (17) \$500,000 of the general fund—state appropriation for fiscal
28 year 2026 and \$500,000 of the general fund—state appropriation for
29 fiscal year 2027 are provided solely for a firearm policy research
30 program. The program will:

31 (a) Support investigations of firearm death and injury risk
32 factors;

33 (b) Evaluate the effectiveness of state firearm laws and
34 policies;

35 (c) Assess the consequences of firearm violence; and

36 (d) Develop strategies to reduce the toll of firearm violence to
37 citizens of the state.

38 (18) \$400,000 of the general fund—state appropriation for fiscal
39 year 2026 and \$400,000 of the general fund—state appropriation for

1 fiscal year 2027 are provided solely for the climate impacts group in
2 the college of the environment.

3 (19) \$300,000 of the general fund—state appropriation for fiscal
4 year 2026 and \$300,000 of the general fund—state appropriation for
5 fiscal year 2027 are provided solely for the college of education to
6 collaborate with teacher preparation programs and the office of the
7 superintendent of public instruction to develop open access climate
8 science educational curriculum for use in teacher preparation
9 programs.

10 (20) \$300,000 of the general fund—state appropriation for fiscal
11 year 2026, \$300,000 of the general fund—state appropriation for
12 fiscal year 2027, and \$300,000 of the workforce education investment
13 account—state appropriation are provided solely for the Harry Bridges
14 center for labor studies. The center shall work in collaboration with
15 the state board for community and technical colleges.

16 (21) \$2,700,000 of the workforce education investment account—
17 state appropriation is provided solely to maintain degree capacity
18 and undergraduate enrollments in engineering, mathematics, and
19 science programs to support the biomedical innovation partnership
20 zone at the Bothell campus.

21 (22) \$150,000 of the general fund—state appropriation for fiscal
22 year 2026, \$150,000 of the general fund—state appropriation for
23 fiscal year 2027, and \$700,000 of the workforce education investment
24 account—state appropriation are provided solely for Washington
25 mathematics, engineering, science achievement programs to provide
26 enrichment opportunities in mathematics, engineering, science, and
27 technology to students who are traditionally underrepresented in
28 these programs. Of the amounts provided in this subsection, \$500,000
29 of the workforce education investment account—state appropriation is
30 for Washington State University to implement expansion of MESA
31 activities at the Everett campus to facilitate increased attendance
32 and degree completion by students who are underrepresented in
33 science, technology, engineering, and mathematics degrees.

34 (23) \$75,000 of the general fund—state appropriation for fiscal
35 year 2026 and \$75,000 of the general fund—state appropriation for
36 fiscal year 2027 are provided solely for a community care coordinator
37 for transitional-age youth for the doorway project in partnership
38 with the Seattle campus.

1 (24) \$16,000,000 of the workforce education investment account—
2 state appropriation is provided solely for the expansion of the Paul
3 G. Allen school of computer science and engineering in order to award
4 an additional 200 degrees per year focusing on traditionally
5 underrepresented students. A report on the program graduation rates,
6 waitlist for entry into the program, time to degree completion, and
7 degrees awarded must be submitted to the appropriate committees of
8 the legislature, pursuant to RCW 43.01.036, by June 30, 2026, and
9 June 30, 2027.

10 (25) To ensure transparency and accountability, in the 2025-2027
11 fiscal biennium the University of Washington shall comply with any
12 and all financial and accountability audits by the Washington state
13 auditor including any and all audits of university services offered
14 to the general public, including those offered through any public-
15 private partnership, business venture, affiliation, or joint venture
16 with a public or private entity, except the government of the United
17 States. The university shall comply with all state auditor requests
18 for the university's financial and business information including the
19 university's governance and financial participation in these public-
20 private partnerships, business ventures, affiliations, or joint
21 ventures with a public or private entity. In any instance in which
22 the university declines to produce the information to the state
23 auditor, the university will provide the state auditor a brief
24 summary of the documents withheld and a citation of the legal or
25 contractual provision that prevents disclosure. The summaries must be
26 compiled into a report by the state auditor and provided on a
27 quarterly basis to the legislature.

28 (26) \$200,000 of the general fund—state appropriation for fiscal
29 year 2026, \$200,000 of the general fund—state appropriation for
30 fiscal year 2027, and \$160,000 of the workforce education investment
31 account—state appropriation are provided solely for the Burke museum
32 of natural history and culture to make education programs offered by
33 the museum accessible to more students across Washington, especially
34 students in underserved schools and locations. The funding shall be
35 used for:

36 (a) Increasing the number of students who participate in Burke
37 education programs at reduced or no cost, including virtual programs;

1 (b) Providing bus reimbursement for students visiting the museum
2 on field trips and to support travel to bring museum programs across
3 the state;

4 (c) Staff who will form partnerships with school districts to
5 serve statewide communities more efficiently and equitably, including
6 through the Burkemobile program; and

7 (d) Support of tribal consultation work, including expanding
8 Native programming, and digitization of Native collections.

9 (27) \$410,000 of the general fund—state appropriation for fiscal
10 year 2026 and \$410,000 of the general fund—state appropriation for
11 fiscal year 2027 are provided solely for the university's center for
12 human rights. The appropriation must be used to supplement, not
13 supplant, other funding sources for the center for human rights.

14 (28) \$143,000 of the general fund—state appropriation for fiscal
15 year 2026 and \$143,000 of the general fund—state appropriation for
16 fiscal year 2027 are provided solely to the University of Washington
17 for the establishment and operation of the state forensic
18 anthropologist. The university shall work in conjunction with and
19 provide the full funding directly to the King county medical
20 examiner's office to support the statewide work of the state forensic
21 anthropologist.

22 (29) \$64,000 of the general fund—state appropriation for fiscal
23 year 2026 and \$64,000 of the general fund—state appropriation for
24 fiscal year 2027 are provided solely for one full-time mental health
25 counselor licensed under chapter 18.225 RCW who has experience and
26 training specifically related to working with active members of the
27 military or military veterans.

28 (30) \$443,000 of the general fund—state appropriation for fiscal
29 year 2026 and \$443,000 of the general fund—state appropriation for
30 fiscal year 2027 are provided solely for the operation of the center
31 for environmental forensic science.

32 (31) \$2,000,000 of the climate commitment account—state
33 appropriation is provided solely for staffing and operational
34 expenditures related to the battery fabrication testbed.

35 (32) \$505,000 of the general fund—state appropriation for fiscal
36 year 2026 and \$505,000 of the general fund—state appropriation for
37 fiscal year 2027 are provided solely for pharmacy behavioral health.
38 The University of Washington school of pharmacy/medicine pharmacy
39 services shall retain two residency training positions and one

1 behavioral health faculty to implement a residency program focused on
2 behavioral health.

3 (33) \$1,242,000 of the general fund—state appropriation for
4 fiscal year 2026, \$1,242,000 of the general fund—state appropriation
5 for fiscal year 2027, and \$742,000 of the workforce education
6 investment account—state appropriation are provided solely for an
7 increase in the number of nursing slots and graduates in the already
8 established accelerated bachelor of science in nursing program. Of
9 the amounts provided in this subsection, \$273,000 of the general fund
10 —state appropriation for fiscal year 2026 and \$273,000 of the general
11 fund—state appropriation for fiscal year 2027 are provided solely for
12 the Tacoma school of nursing and healthcare leadership.

13 (34) \$100,000 of the general fund—state appropriation for fiscal
14 year 2026 and \$100,000 of the general fund—state appropriation for
15 fiscal year 2027 are provided solely for the memory and brain
16 wellness center to support the statewide expansion of the dementia
17 friends program.

18 (35) \$250,000 of the general fund—state appropriation for fiscal
19 year 2026 and \$250,000 of the general fund—state appropriation for
20 fiscal year 2027 are provided solely to maintain a data repository to
21 assist the state and all political subdivisions with evaluating
22 whether and to what extent existing laws and practices with respect
23 to voting and elections are consistent with public policy,
24 implementing best practices in voting and elections, and to
25 investigate potential infringements upon the right to vote.

26 (a) The operation of the database shall be the responsibility of
27 the director of the database, who shall be employed by the University
28 of Washington with training and experience in demography, statistical
29 analysis, and electoral systems. The director shall appoint necessary
30 staff to implement and maintain the database.

31 (b) The database shall maintain in electronic format at least the
32 following data and records, where available, for at least the
33 previous 12-year period:

34 (i) Estimates of the total population, voting age population, and
35 citizen voting age population by race, ethnicity, and language-
36 minority groups, broken down to the election district and precinct
37 level on a year-by-year basis for every political subdivision in the
38 state, based on data from the United States census bureau, American

community survey, or data of comparable quality collected by a public office;

(ii) Election results at the precinct level for every statewide election and every election in every political subdivision;

(iii) Regularly updated voter registration lists, voter history files, voting center locations, ballot drop box locations, and student engagement hub locations for every election in every political subdivision;

(iv) Contemporaneous maps, descriptions of boundaries, and shapefiles for election districts and precincts;

(v) The following records for every election in every political subdivision:

(A) Records of all voters issued a ballot and all voters who returned a ballot; and

(B) Records of all ballots with missing and mismatched signatures, including the date on which the voter was contacted or the notice was mailed, as well as the date on which the voter submitted updated information;

(vi) Apportionment plans for every election in every political subdivision; and

(vii) Any other data that the director deems advisable.

(c) Upon the certification of election results and the completion of the voter history file after each general election, the secretary of state shall transmit copies of the following to the director of the database:

(i) Election results at the precinct level, including information about rejected and cured ballots;

(ii) Voter history files;

(iii) Shapefiles for election districts; and

(iv) Lists of voting centers, ballot drop boxes, and student engagement hubs.

(d) The director and staff shall update election data in the database as soon as it is available from the office of the secretary of state, following certification of each election as required by RCW 29A.60.190 or 29A.60.250.

(e) Except for any data, information, or estimates that identify individual voters, the data, information, and estimates maintained by the database shall be posted online and made available to the public at no cost.

1 (f) The database shall prepare any estimates made pursuant to
2 this section by applying scientifically rigorous and validated
3 methodologies.

4 (g) The database shall publish on its website and transmit to the
5 state for dissemination to county auditors and the secretary of state
6 a list of political subdivisions required, pursuant to section 203 of
7 the federal voting rights act, 52 U.S.C. Sec. 10503, to provide
8 assistance to members of language-minority groups and each language
9 in which those political subdivisions are required to provide
10 assistance. Each county auditor shall transmit the list described in
11 this subsection to all political subdivisions within their
12 jurisdiction.

13 (h) The database will complete regular analysis of ballot
14 rejections and cures, identifying population subgroups with higher
15 than average ballot rejection rates. An annual report of ballot
16 rejections will be posted online and made available to the public at
17 no cost. Database staff may work with the secretary of state and
18 county auditors to examine new practices and solutions for reducing
19 ballot rejections and increasing ballot cure rates.

20 (i) Staff at the database may provide nonpartisan technical
21 assistance to political subdivisions, scholars, and the general
22 public seeking to use the resources of the database.

23 (36) \$122,000 of the general fund—state appropriation for fiscal
24 year 2026 and \$122,000 of the general fund—state appropriation for
25 fiscal year 2027 are provided solely for sexual assault nurse
26 examiner training.

27 (37) \$5,010,000 of the workforce education investment account—
28 state appropriation is provided solely for the expansion of the
29 University of Washington school of dentistry regional initiatives in
30 dental education (RIDE) program.

31 (38) Within existing resources, the institution must resume a
32 mentoring, organization, and social support for autism inclusion on
33 campus program. The program must focus on academic coaching, peer-
34 mentoring, support for social interactions, and career preparation.

35 (39) \$1,000,000 of the workforce education investment account—
36 state appropriation is provided solely for the center for indigenous
37 health to increase the number of American Indian and Alaska Native
38 physicians practicing in the state of Washington.

1 (40) \$4,000,000 of the workforce education investment account—
2 state appropriation is provided solely for increasing enrollments in
3 computing and engineering programs at the Tacoma campus.

4 (41) \$520,000 of the natural climate solutions account—state
5 appropriation is provided solely for the biological response to ocean
6 acidification to advance high-priority biological experiments to
7 better understand the relationship between marine organisms and ocean
8 acidification.

9 (42) \$300,000 of the natural climate solutions account—state
10 appropriation is provided solely for monitoring assistance at the
11 Washington ocean acidification center.

12 (43) \$104,000 of the general fund—state appropriation for fiscal
13 year 2026 and \$104,000 of the general fund—state appropriation for
14 fiscal year 2027 are provided solely for the continued implementation
15 of chapter 191, Laws of 2022 (veterans & military suicide).

16 (44) \$800,000 of the workforce education investment account—state
17 appropriation is provided solely for the development and
18 implementation of a program to support pathways from prison to the
19 university's Tacoma campus. The university shall collaborate with
20 formerly incarcerated women, Tacoma Community College, the freedom
21 education project Puget Sound, the women's village, the state board
22 for community and technical colleges, and the department of
23 corrections, in development and implementation of the pathways
24 program.

25 (45) \$910,000 of the workforce education investment account—state
26 appropriation is provided solely for the Allen school scholars
27 program.

28 (46) \$158,000 of the general fund—state appropriation for fiscal
29 year 2026, \$158,000 of the general fund—state appropriation for
30 fiscal year 2027, and \$798,000 of the workforce education investment
31 account—state appropriation are provided solely for continued
32 implementation of diversity, equity, inclusion, and antiracism
33 professional development for faculty and staff, student training, and
34 campus climate assessments in chapter 28B.10 RCW.

35 (47) The institution must report to and coordinate with the
36 department of ecology to track expenditures from climate commitment
37 act accounts, as defined and described in RCW 70A.65.300 and chapter
38 173-446B WAC. If an expenditure is expected to result in greenhouse

1 gas emission reductions, the institution must use a department of
2 ecology approved calculator tool or methodology.

3 (48) \$586,000 of the workforce education investment account—state
4 appropriation is provided solely for implementation of chapter 421,
5 Laws of 2023 (postsecondary student needs).

6 (49) (~~(\$2,862,000)~~) \$3,170,000 of the workforce education
7 investment account—state appropriation is provided solely for
8 implementation of chapter 314, Laws of 2023 (college in high school
9 fees).

10 (50) \$730,000 of the workforce education investment account—state
11 appropriation is provided solely for implementation of chapter 364,
12 Laws of 2023 (psilocybin).

13 (51) \$288,000 of the workforce education investment account—state
14 appropriation is provided solely for implementation of chapter 232,
15 Laws of 2023 (alternative jet fuel).

16 (52) (~~(\$526,000)~~) \$263,000 of the climate commitment account—
17 state appropriation is provided solely for two grant writers to
18 support the ongoing need for tribal and overburdened communities to
19 access state and federal funding opportunities that advance
20 environmental justice through the thriving communities technical
21 assistance program.

22 (53) (~~(\$15,000,000)~~) \$30,000,000 of the workforce education
23 investment account—state appropriation is provided solely for the
24 center for behavioral health learning.

25 (54) \$3,500,000 of the workforce education investment account—
26 state appropriation is provided solely to the institution to address
27 challenges and capacity with discharging patients from acute care
28 settings into post-acute care community settings at Harborview
29 medical center and the University of Washington medical center. Of
30 the amount in this subsection, \$600,000 shall be used to continue the
31 complex discharge task force in order to conclude the work of the
32 task force and the complex discharge pilot program based on
33 Harborview's bed readiness program.

34 (55) \$1,500,000 of the workforce education investment account—
35 state appropriation is provided solely to continue behavioral health
36 education and training opportunities at the behavioral health
37 institute.

38 (56) \$615,000 of the general fund—state appropriation for fiscal
39 year 2026 and \$615,000 of the general fund—state appropriation for

1 fiscal year 2027 are provided solely for legal services related to
2 the behavioral health teaching facility.

3 (57) \$412,000 of the general fund—state appropriation for fiscal
4 year 2026, \$412,000 of the general fund—state appropriation for
5 fiscal year 2027, and \$72,000 of the workforce education investment
6 account—state appropriation are provided solely to develop and
7 implement the Washington reproductive access alliance. The alliance
8 shall provide a service coordination website and phone line,
9 administrative support and coordination of the alliance, patient care
10 coordination, and social support for patient travel.

11 (58) \$650,000 of the workforce education investment account—state
12 appropriation is provided solely for continued implementation of
13 chapter 453, Laws of 2023 (E2SSB 5440).

14 (59) \$214,000 of the general fund—state appropriation for fiscal
15 year 2026 and \$214,000 of the general fund—state appropriation for
16 fiscal year 2027 are provided solely for the implementation of
17 chapter 366, Laws of 2024 (substance use treatment).

18 (60) \$300,000 of the workforce education investment account—state
19 appropriation is provided solely to continue establishing Washpop, a
20 statewide integrated data repository for population and policy
21 research on topics including criminal justice and safety, economic
22 prosperity and equity, and health and social well-being.

23 (61) \$24,000 of the workforce education investment account—state
24 appropriation is provided solely for implementation of Substitute
25 Senate Bill No. 5528 (transportation electrification). (~~(If the bill~~
26 ~~is not enacted by June 30, 2025, the amounts provided in this~~
27 ~~subsection shall lapse.))~~)

28 (62) \$10,000 of the workforce education investment account—state
29 appropriation is provided solely for the University of Washington to
30 conduct a prospective, randomized cohort study between July 1, 2025,
31 and June 30, 2027, to determine the extent to which ibogaine-assisted
32 therapy conducted through a licensed clinic in North America followed
33 by structured therapeutic support presents advantages over treatment
34 as usual for adults diagnosed with opioid use disorder compared to
35 the current standard United States interventions of medication-
36 assisted treatment and psychotherapy. The study must measure outcomes
37 including, but not limited to, treatment engagement, reduction in
38 opioid use, mortality, functional status, craving, motivation to
39 change, and self-efficacy, using toxicology, standard scales, and

other credible research techniques. The university may obtain and utilize private philanthropic funding to assist with the study required by this subsection.

(63) \$100,000 of the workforce education investment account—state appropriation is provided solely for a grant to the University of Washington Friday Harbor labs for an ongoing project that focuses on restoration of a critically endangered species of starfish that could help stabilize foundational Washington state marine ecosystems including kelp forests and eelgrass.

~~((65))~~ (64) \$300,000 of the workforce education investment account—state appropriation is provided solely for implementation of Substitute House Bill No. 1811 (crisis co-response). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

(65) \$107,387,000 of the workforce education investment account—state appropriation is provided solely for implementation of the college affordability program as set forth in RCW 28B.15.066.

(66) \$250,000 of the workforce education investment account—state appropriation is provided solely to support the center for biotech innovation and training at the Bothell campus.

Sec. 604. 2025 c 424 s 607 (uncodified) is amended to read as follows:

FOR WASHINGTON STATE UNIVERSITY

General Fund—State Appropriation (FY 2026). ~~(((\$280,947,000))~~
\$258,766,000

General Fund—State Appropriation (FY 2027). ~~(((\$282,113,000))~~
\$259,933,000

Dedicated Cannabis Account—State Appropriation
(FY 2026). \$203,000

Dedicated Cannabis Account—State Appropriation
(FY 2027). ~~(((\$210,000))~~
\$209,000

Climate Commitment Account—State Appropriation. ~~(((\$7,722,000))~~
\$5,791,000

Washington State University Building Account—State
Appropriation. \$792,000

Education Legacy Trust Account—State Appropriation. . . . \$33,995,000

Model Toxics Control Operating Account—State

fiscal year 2027 are provided solely for the operation of software engineering and data analytic programs at the university center in Everett. At full implementation, the university is expected to enroll 50 students per academic year. The university must identify these students separately when providing data to the education research data center as required in subsection (1) of this section.

~~((General fund state appropriations in this section are reduced to reflect a reduction in state-supported tuition waivers for graduate students. When reducing tuition waivers, the university will not change its practices and procedures for providing eligible veterans with tuition waivers.))~~ \$37,641,000 of the general fund—state appropriation for fiscal year 2026 and \$38,694,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of the college affordability program as set forth in RCW 28B.15.066.

(8) \$1,154,000 of the general fund—state appropriation for fiscal year 2026 and \$1,154,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for RCW 82.16.120 and 82.16.165 (renewable energy, tax incentives).

(9) \$376,000 of the general fund—state appropriation for fiscal year 2026 and \$376,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for RCW 28B.30.357 (children's mental health).

(10) \$585,000 of the general fund—state appropriation for fiscal year 2026 and \$585,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for RCW 77.12.272 (elk hoof disease).

(11) \$2,076,000 of the model toxics control operating account—state appropriation is provided solely for the university's soil health initiative and its network of long-term agroecological research and extension (LTARE) sites. The network must include a Mount Vernon REC site.

(12) \$42,000 of the general fund—state appropriation for fiscal year 2026 and \$42,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for one full-time mental health counselor licensed under chapter 18.225 RCW who has experience and training specifically related to working with active members of the military or military veterans.

1 (13) \$33,000 of the general fund—state appropriation for fiscal
2 year 2026 and \$33,000 of the general fund—state appropriation for
3 fiscal year 2027 (~~((is))~~) are provided solely for compensation funding
4 for Western Washington University employees that work on the
5 Washington State University Everett campus.

6 (14) \$327,000 of the general fund—state appropriation for fiscal
7 year 2026 and \$327,000 of the general fund—state appropriation for
8 fiscal year 2027 (~~((is))~~) are provided solely for pharmacy behavioral
9 health. Washington State University college of pharmacy and
10 pharmaceutical sciences shall retain two residency training positions
11 and one behavioral health faculty to implement a residency program
12 focused on behavioral health.

13 (15) \$608,000 of the general fund—state appropriation for fiscal
14 year 2026 and \$608,000 of the general fund—state appropriation for
15 fiscal year 2027 (~~((is))~~) are provided solely for the Washington state
16 academy of sciences to provide support for core operations and to
17 accomplish its mission of providing science in the service of
18 Washington, pursuant to its memorandum of understanding with the
19 university.

20 (16) \$188,000 of the general fund—state appropriation for fiscal
21 year 2026 is provided solely for stormwater research to study the
22 long-term efficacy of green stormwater infrastructure that
23 incorporates compost to remove pollutants.

24 (17) \$500,000 of the general fund—state appropriation for fiscal
25 year 2026 and \$500,000 of the general fund—state appropriation for
26 fiscal year 2027 are provided solely for the joint center for
27 deployment and research in earth abundant materials.

28 (18) (~~(\$7,722,000)~~) \$5,791,000 of the climate commitment account—
29 state appropriation is provided solely for the institute for
30 northwest energy futures.

31 (19) (~~(\$568,000)~~) \$68,000 of the general fund—state appropriation
32 for fiscal year 2026 and (~~(\$568,000)~~) \$68,000 of the general fund—
33 state appropriation for fiscal year 2027 are provided solely for
34 implementation of chapter 212, Laws of 2022 (community solar
35 projects).

36 (20) \$300,000 of the general fund—state appropriation for fiscal
37 year 2026 and \$300,000 of the general fund—state appropriation for
38 fiscal year 2027 are provided solely for base funding for the William
39 D. Ruckleshaus Center.

1 (21) The institution must report to and coordinate with the
2 department of ecology to track expenditures from climate commitment
3 act accounts, as defined and described in RCW 70A.65.300 and chapter
4 173-446B WAC. If an expenditure is expected to result in greenhouse
5 gas emission reductions, the institution must use a department of
6 ecology approved calculator tool or methodology.

7 (22) \$3,910,000 of the workforce education investment account—
8 state appropriation is provided solely for increasing nursing
9 salaries at the institution.

10 (23) \$4,112,000 of the workforce education investment account—
11 state appropriation is provided solely for a bachelor's degree in
12 cybersecurity operations.

13 (24) \$3,470,000 of the workforce education investment account—
14 state appropriation is provided solely for a bachelor of science in
15 public health degree at the Pullman, Spokane, and Vancouver campuses.

16 (25) \$2,014,000 of the workforce education investment account—
17 state appropriation is provided solely for a bachelor's and master's
18 degree in social work at the Tri-Cities campus.

19 (26) \$1,529,000 of the workforce education investment account—
20 state appropriation is provided solely for the development and
21 operations of a journalism fellowship program focused on civic
22 affairs.

23 (27) \$496,000 of the workforce education investment account—state
24 appropriation is provided solely for implementation of chapter 421,
25 Laws of 2023 (postsecondary student needs).

26 (28) \$190,000 of the general fund—state appropriation for fiscal
27 year 2026 and \$190,000 of the general fund—state appropriation for
28 fiscal year 2027 are provided solely for continued funding of the
29 statewide broadband coordinator within the Washington State
30 University extension program. This funding will support the salary
31 and benefits of this position.

32 (29) \$706,000 of the workforce education investment account—state
33 appropriation is provided solely for the complex social interactions
34 lab.

35 (30)(a) \$2,200,000 of the workforce education investment account—
36 state appropriation is provided solely for the native American
37 scholarship to continue for the 2025-2027 fiscal biennium. Of the
38 amounts in this subsection, no more than \$200,000 of the workforce
39 education investment account—state appropriation may be spent on

administration, support services for students, outreach regarding the program, and technical support for application.

(b) "Eligible student" means a member of a federally recognized Indian tribe located within Washington who files a free application for federal student aid (FAFSA) and enrolls in an undergraduate degree program. Eligible students need to maintain satisfactory academic progress during the 2025-2027 fiscal biennium to remain eligible for the scholarship. The institution shall determine award priorities based on tribal consultation. Awards must be distributed to students no later than May of each fiscal year.

(c) The institution must submit a report to the appropriate committees of the legislature, pursuant to RCW 43.01.036, by June 30, 2027. The report must include: The number of eligible students; the number of students who receive a scholarship; how recipients were determined; and how many members of federally recognized Indian tribes in Washington received scholarships versus members of federally recognized Indian tribes from other states.

(31) \$180,000 of the workforce education investment account—state appropriation is provided solely for implementation of Engrossed House Bill No. 1705 (large animal veterinarians). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

(32) \$63,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for implementation of Substitute House Bill No. 2525 (heritage orchard program). If the bill is not enacted by June 30, 2026, the amount provided in this subsection shall lapse.

Sec. 605. 2025 c 424 s 608 (uncodified) is amended to read as follows:

FOR EASTERN WASHINGTON UNIVERSITY

General Fund—State Appropriation (FY 2026)	((\$66,544,000))
	<u>\$61,623,000</u>
General Fund—State Appropriation (FY 2027)	((\$66,663,000))
	<u>\$61,753,000</u>
Education Legacy Trust Account—State Appropriation	\$16,838,000
Workforce Education Investment Account—State	
Appropriation	((\$32,328,000))
	<u>\$35,664,000</u>
TOTAL APPROPRIATION	((\$182,373,000))

The appropriations in this section are subject to the following conditions and limitations:

(1) At least \$200,000 of the general fund—state appropriation for fiscal year 2026 and at least \$200,000 of the general fund—state appropriation for fiscal year 2027 must be expended on the Northwest autism center.

(2) The university must continue work with the education research and data center to demonstrate progress in computer science and engineering enrollments. By September 1st of each year, the university shall provide a report including but not limited to the cost per student, student completion rates, and the number of low-income students enrolled in each program, any process changes or best-practices implemented by the university, and how many students are enrolled in computer science and engineering programs above the prior academic year.

(3) Within amounts appropriated in this section, the university is encouraged to increase the number of tenure-track positions created and hired.

(4) \$45,000 of the general fund—state appropriation for fiscal year 2026 and \$45,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for one full-time mental health counselor licensed under chapter 18.225 RCW who has experience and training specifically related to working with active members of the military or military veterans.

(5) \$300,000 of the workforce education investment account—state appropriation is provided solely for a center for inclusive excellence for faculty and staff.

(6) \$268,000 of the workforce education investment account—state appropriation is provided solely for a professional masters of science cyber operations degree option.

(7) \$2,144,000 of the workforce education investment account—state appropriation is provided solely for the operation of a bachelor of science in cybersecurity degree option through the computer science program.

(8) (~~(\$4,598,000)~~) \$8,438,000 of the workforce education investment account—state appropriation is provided solely to maintain a cohort of 80 students in the bachelor of nursing program.

1 (9) \$2,108,000 of the workforce education investment account—
2 state appropriation is provided solely for the operation of a
3 coordinated care network that will help to maximize the collaboration
4 of various student support services to create wraparound care for
5 students to address obstacles to degree completion. The amount
6 provided in this subsection must be used to supplement, not supplant,
7 other funding sources for the program.

8 (10) \$110,000 of the general fund—state appropriation for fiscal
9 year 2026 and \$110,000 of the general fund—state appropriation for
10 fiscal year 2027 are provided solely for a summer bridge program.

11 (11) \$1,040,000 of the workforce education investment account—
12 state appropriation is provided solely for the establishment and
13 operating support of a university mathematics, engineering, and
14 science achievement program.

15 (12) \$158,000 of the workforce education investment account—state
16 appropriation is provided solely for implementation of chapter 421,
17 Laws of 2023 (postsecondary student needs).

18 (13) ~~((\$5,142,000))~~ \$7,714,000 of the workforce education
19 investment account—state appropriation is provided solely for
20 implementation of chapter 314, Laws of 2023 (college in high school
21 fees).

22 (14) \$10,000 of the workforce education investment account—state
23 appropriation is provided solely for implementation of Substitute
24 Senate Bill No. 5528 (transportation electrification). ~~((If the bill
25 is not enacted by June 30, 2025, the amounts provided in this
26 subsection shall lapse.))~~

27 (15) \$13,521,000 of the general fund—state appropriation for
28 fiscal year 2026 and \$13,899,000 of the general fund—state
29 appropriation for fiscal year 2027 are provided solely for
30 implementation of the college affordability program as set forth in
31 RCW 28B.15.066.

32 (16) \$764,000 of the workforce education investment account—state
33 appropriation is provided solely for the purpose of funding
34 provisions of the 2025-27 master collective bargaining agreements
35 that were inadvertently excluded from the enacted biennial budget.
36 When requesting funding for the 2027-29 collective bargaining
37 agreements, the university must coordinate with the office of
38 financial management to ensure that all compensation-related changes

included in the agreements are fully and accurately reflected in the institution's budget request.

Sec. 606. 2025 c 424 s 609 (uncodified) is amended to read as follows:

FOR CENTRAL WASHINGTON UNIVERSITY

General Fund—State Appropriation (FY 2026)	((\$70,400,000))
	<u>\$66,060,000</u>
General Fund—State Appropriation (FY 2027)	((\$70,597,000))
	<u>\$66,473,000</u>
Accident Account—State Appropriation.	\$692,000
Central Washington University Capital Projects	
Account—State Appropriation.	\$76,000
Education Legacy Trust Account—State Appropriation. . . .	\$19,076,000
Workforce Education Investment Account—State	
Appropriation.	((\$25,115,000))
	<u>\$27,929,000</u>
TOTAL APPROPRIATION.	((\$185,956,000))
	<u>\$180,306,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) The university must continue work with the education research and data center to demonstrate progress in engineering enrollments. By September 1st of each year, the university shall provide a report including but not limited to the cost per student, student completion rates, and the number of low-income students enrolled in each program, any process changes or best-practices implemented by the university, and how many students are enrolled in engineering programs above the prior academic year.

(2) Within amounts appropriated in this section, the university is encouraged to increase the number of tenure-track positions created and hired.

(3) \$240,000 of the general fund—state appropriation for fiscal year 2026 and \$240,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for two counselor positions to increase access to mental health counseling for traditionally underrepresented students.

(4) \$52,000 of the general fund—state appropriation for fiscal year 2026 and \$52,000 of the general fund—state appropriation for

1 fiscal year 2027 are provided solely for one full-time mental health
2 outreach and service coordination position who has knowledge of
3 issues relevant to veterans.

4 (5) \$240,000 of the workforce education investment account—state
5 appropriation is provided solely for expanding cybersecurity capacity
6 by adding additional faculty resources in the department of computer
7 science.

8 (6) \$586,000 of the workforce education investment account—state
9 appropriation is provided solely for a peer mentoring program. The
10 amount provided in this subsection must be used to supplement, not
11 supplant, other funding sources for the program.

12 (7) \$286,000 of the workforce education investment account—state
13 appropriation is provided solely for the operation of an extended
14 orientation program to help promote retention of underserved
15 students. The amount provided in this subsection must be used to
16 supplement, not supplant, other funding sources for the program.

17 (8) \$1,396,000 of the workforce education investment account—
18 state appropriation is provided solely for student success. Students
19 will receive discipline specific tutoring programs, peer assisted
20 learning sessions, and academic success coaching.

21 (9) \$1,418,000 of the workforce education investment account—
22 state appropriation is provided solely for grow your own teacher
23 residency programs in high need areas of elementary, bilingual,
24 special education, and English language learners.

25 (10) \$1,074,000 of the workforce education investment account—
26 state appropriation is provided solely for dual language expansion
27 programs in Yakima and Des Moines.

28 (11) \$168,000 of the workforce education investment account—state
29 appropriation is provided solely for implementation of chapter 421,
30 Laws of 2023 (postsecondary student needs).

31 (12) (~~(\$7,938,000)~~) \$10,506,000 of the workforce education
32 investment account—state appropriation is provided solely for
33 implementation of chapter 314, Laws of 2023 (college in high school
34 fees).

35 (13) \$766,000 of the workforce education investment account—state
36 appropriation is provided solely for student basic needs. This
37 funding will support two financial aid coaching specialists, support
38 a coordinator for the food pantry, support a director and advocate to

1 assist students who have experienced sexual violence, and help with
2 prevention initiatives.

3 (14) \$422,000 of the workforce education investment account—state
4 appropriation is provided solely for civil rights and risk mitigation
5 staffing.

6 (15) \$692,000 of the accident account—state appropriation is
7 provided solely to increase enrollment in the occupational safety and
8 health programs.

9 (16) \$32,000 of the workforce education investment account—state
10 appropriation is provided solely for implementation of Substitute
11 Senate Bill No. 5528 (transportation electrification). ~~((If the bill
12 is not enacted by June 30, 2025, the amounts provided in this
13 subsection shall lapse.))~~

14 (17) \$116,000 of the workforce education investment account—state
15 appropriation is provided solely for a graduate mental health program
16 and an undergraduate behavioral health degree.

17 (18) \$15,240,000 of the general fund—state appropriation for
18 fiscal year 2026 and \$15,667,000 of the general fund—state
19 appropriation for fiscal year 2027 are provided solely for
20 implementation of the college affordability program as set forth in
21 RCW 28B.15.066.

22 (19) \$130,000 of the workforce education investment account—state
23 appropriation is provided solely for the purpose of funding
24 provisions of the 2025-27 master collective bargaining agreements
25 that were inadvertently excluded from the enacted biennial budget.
26 When requesting funding for the 2027-29 collective bargaining
27 agreements, the university must coordinate with the office of
28 financial management to ensure that all compensation-related changes
29 included in the agreements are fully and accurately reflected in the
30 institution's budget request.

31 **Sec. 607.** 2025 c 424 s 610 (uncodified) is amended to read as
32 follows:

33 **FOR THE EVERGREEN STATE COLLEGE**

34 General Fund—State Appropriation (FY 2026) ~~(\$37,883,000))~~
35 \$33,525,000

36 General Fund—State Appropriation (FY 2027) ~~(\$34,053,000))~~
37 \$32,811,000

38 The Evergreen State College Capital Projects

Account—State Appropriation.	\$80,000
Education Legacy Trust Account—State Appropriation. . . .	\$5,450,000
Workforce Education Investment Account—State	
Appropriation.	((\$14,789,000))
	<u>\$14,552,000</u>
TOTAL APPROPRIATION.	((\$92,255,000))
	<u>\$86,418,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) Funding provided in this section is sufficient for The Evergreen State College to continue operations of the Longhouse Center and the Northwest Indian applied research institute.

(2) Within amounts appropriated in this section, the college is encouraged to increase the number of tenure-track positions created and hired.

(3) ((~~\$2,090,000~~)) \$2,259,000 of the general fund—state appropriation for fiscal year 2026, ((~~\$2,035,000~~)) \$2,630,000 of the general fund—state appropriation for fiscal year 2027, and ((~~\$793,000~~)) \$556,000 of the workforce education investment account—state appropriation are provided solely for the Washington state institute for public policy to initiate, sponsor, conduct, and publish research that is directly useful to policymakers and manage reviews and evaluations of technical and scientific topics as they relate to major long-term issues facing the state. Within the amounts provided in this subsection (3):

(a) ((~~\$1,685,000~~)) \$1,720,000 of the ((~~amounts in~~)) general fund—state appropriation for fiscal year 2026 and ((~~\$1,685,000~~)) \$1,744,000 of the ((~~amounts in~~)) general fund—state appropriation for fiscal year 2027 are provided for administration and core operations.

(b) ((~~\$546,000~~)) \$539,000 of the ((~~amounts in~~)) general fund—state appropriation for fiscal year 2026 ((~~and \$449,000~~)), \$630,000 of the ((~~amounts in~~)) general fund—state appropriation for fiscal year 2027, and \$204,000 of the workforce education investment account—state appropriation are provided solely for ongoing and continuing studies on the Washington state institute for public policy's work plan.

(c) \$82,000 of the ((~~amounts in fiscal year 2026 are~~)) workforce education investment account—state appropriation is provided solely for implementation of Substitute House Bill No. 1606 (journal access/

1 state employ). (~~If the bill is not enacted by June 30, 2025, the~~
2 ~~amounts provided in this subsection shall lapse.~~)

3 (d) \$80,000 of the (~~amounts in fiscal year 2026 are~~) workforce
4 education investment account—state appropriation is provided solely
5 for a review of the funding mechanisms and policies adopted by other
6 states to support the implementation of small modular reactors. The
7 review shall be submitted to the legislature, pursuant to RCW
8 43.01.036, by December 31, 2025.

9 (e) (~~(\$146,000)~~) \$190,000 of the (~~amounts in fiscal year 2026~~
10 ~~and \$44,000 of the amounts in fiscal year 2027 are~~) workforce
11 education investment account—state appropriation is provided solely
12 for the Washington state institute for public policy to conduct a
13 study of the amount of savings to the state of Washington of allowing
14 legally responsible individuals to become paid parental caregivers
15 for their developmentally disabled children. The office of the state
16 actuary, department of social and health services, health care
17 authority, and department of children, youth, and families must
18 cooperate with the institute to facilitate access to data or other
19 resources necessary to complete this work. The institute shall
20 provide an initial report to the appropriate committees of the
21 legislature by December 31, 2025, and a final report by November 15,
22 2026. To the extent possible, the study shall:

23 (i) Quantify cost savings from reductions of entitlement program
24 usage by parental caregivers;

25 (ii) Quantify cost savings from reduced hospital, foster care,
26 and residential facility usage by developmentally disabled children
27 due to having a parental caregiver; and

28 (iii) Summarize any additional cost savings likely to occur due
29 to allowing paid parental caregivers.

30 (f) \$119,000 of the general fund—state appropriation for fiscal
31 year 2027 is provided solely for the institute to conduct a
32 comprehensive review of Washington's universal communication service
33 program and provide a final report by June 30, 2027. To the extent
34 possible, the institute shall:

35 (i) Review current universal communication service programs and
36 statutes, including funding levels, eligibility, and administration;

37 (ii) Analyze impacts of the programs on low-income households,
38 communities of color, immigrant/refugee and limited English
39 proficiency residents, elderly residents, gender and sexual

1 minorities, residents with disabilities, youth in foster care, people
2 experiencing homelessness, and deaf or hard of hearing residents
3 across urban and rural areas;

4 (iii) Identify potential funding models for a sustainable
5 affordable connectivity program designed to make internet access and
6 devices more affordable for low-income households, including options
7 of expanding current revenue sources, creation of a dedicated fund
8 for subsidized internet access, or other options determined; and

9 (iv) Conduct a cost-benefit analysis of each potential funding
10 model to fully implement the state digital equity plan, addressing
11 affordability, access, and sustainability.

12 (g)(i) \$137,000 of the general fund—state appropriation for
13 fiscal year 2027 is provided solely for the Washington state
14 institute for public policy to conduct a study examining state
15 programs that have, within the last 15 years, increased the overall
16 rate of students who enroll in postsecondary education within one
17 year of high school graduation. The study may include, but is not
18 limited to, researching programs and initiatives in peer states that
19 improved matriculation within one year of high school graduation in
20 two-year and four-year degrees, career-technical education programs,
21 certificates, credentials, and apprenticeships. To identify peer
22 states, the institute may consider factors such as workforce needs,
23 demographics, student population, postsecondary system structure, and
24 state funding levels for postsecondary education. The study must
25 include, but is not limited to, an examination of the following types
26 of policies and programs:

27 (A) A statewide strategy or college-going campaign for increasing
28 direct postsecondary enrollment; and

29 (B) Targeted workforce initiatives that addressed specific areas
30 of credential or workforce shortages.

31 (ii) In describing the policies and programs reviewed under the
32 study, the study must include information about the outcomes, lessons
33 learned from implementation, and scalability of statewide strategies,
34 programs, or initiatives.

35 (iii) The institute must submit a report of findings from the
36 review to the appropriate committees of the legislature by December
37 1, 2027, in compliance with RCW 43.01.036.

38 (h) Notwithstanding other provisions in this subsection, the
39 board of directors for the Washington state institute for public

1 policy may adjust due dates for projects included on the institute's
2 2025-27 work plan as necessary to efficiently manage workload.

3 (4) \$213,000 of the general fund—state appropriation for fiscal
4 year 2026 and \$213,000 of the general fund—state appropriation for
5 fiscal year 2027 are provided solely for additional faculty to
6 support Native American and indigenous programs.

7 (5) \$85,000 of the general fund—state appropriation for fiscal
8 year 2026 and \$85,000 of the general fund—state appropriation for
9 fiscal year 2027 are provided solely to the native pathways program
10 for an assistant director.

11 (6) \$110,000 of the general fund—state appropriation for fiscal
12 year 2026 and \$110,000 of the general fund—state appropriation for
13 fiscal year 2027 are provided solely for a tribal liaison position.

14 (7) \$39,000 of the general fund—state appropriation for fiscal
15 year 2026 and \$39,000 of the general fund—state appropriation for
16 fiscal year 2027 are provided solely for one full-time mental health
17 counselor licensed under chapter 18.225 RCW who has experience and
18 training specifically related to working with active members of the
19 military or military veterans.

20 (8) \$137,000 of the general fund—state appropriation for fiscal
21 year 2026 and \$137,000 of the general fund—state appropriation for
22 fiscal year 2027 are provided solely for student mental health and
23 wellness. The amount provided in this subsection must be used to
24 supplement, not supplant, other funding sources for the program.

25 (9) \$600,000 of the general fund—state appropriation for fiscal
26 year 2026 and \$600,000 of the general fund—state appropriation for
27 fiscal year 2027 are provided solely to develop and expand current
28 corrections education programs offered in department of corrections
29 facilities. The college shall appoint a project implementation team,
30 collaborate with stakeholders to plan student success programs and
31 curriculum which lead to transferable credit, associate and
32 bachelor's degrees, and other workforce credentials, and train
33 faculty and staff on working with incarcerated populations.

34 (10) \$988,000 of the workforce education investment account—state
35 appropriation is provided solely for student enrollment and retention
36 support. Funding is provided for hiring a student advisor and
37 underserved student specialist to provide student support and
38 administrative support for the native pathways program.

(11) \$142,000 of the workforce education investment account—state appropriation is provided solely for implementation of chapter 421, Laws of 2023 (postsecondary student needs).

(12) \$1,347,000 of the workforce education investment account—state appropriation is provided solely for the Shelton promise pilot program.

(13) \$42,000 of the general fund—state appropriation for fiscal year 2026 and \$42,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of chapter 272, Laws of 2024 (incarcerated student grants).

(14) \$50,000 of the workforce education investment account—state appropriation is provided solely for captioning, sign language interpreters, and other accessibility tools and services.

(15) \$35,000 of the general fund—state appropriation for fiscal year 2027 is provided solely for contracting with the department of enterprise services for maintenance and operations of the Lord Mansion.

(16) \$4,635,000 of the general fund—state appropriation for fiscal year 2026 and \$4,765,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of the college affordability program as set forth in RCW 28B.15.066.

Sec. 608. 2025 c 424 s 611 (uncodified) is amended to read as follows:

FOR WESTERN WASHINGTON UNIVERSITY

General Fund—State Appropriation (FY 2026)	((\$100,730,000))
	<u>\$95,835,000</u>
General Fund—State Appropriation (FY 2027)	((\$101,249,000))
	<u>\$96,380,000</u>
Western Washington University Capital Projects	
Account—State Appropriation.	\$1,790,000
Education Legacy Trust Account—State Appropriation. . . .	\$13,837,000
Workforce Education Investment Account—State	
Appropriation.	((\$36,713,000))
	<u>\$37,033,000</u>
TOTAL APPROPRIATION.	((\$254,319,000))
	<u>\$244,875,000</u>

1 The appropriations in this section are subject to the following
2 conditions and limitations:

3 (1) The university must continue work with the education research
4 and data center to demonstrate progress in computer science and
5 engineering enrollments. By September 1st of each year, the
6 university shall provide a report including but not limited to the
7 cost per student, student completion rates, and the number of low-
8 income students enrolled in each program, any process changes or
9 best-practices implemented by the university, and how many students
10 are enrolled in computer science and engineering programs above the
11 prior academic year.

12 (2) \$700,000 of the general fund—state appropriation for fiscal
13 year 2026 and \$700,000 of the general fund—state appropriation for
14 fiscal year 2027 are provided solely for the creation and
15 implementation of an early childhood education degree program at the
16 western on the peninsulas campus. The university must collaborate
17 with Olympic college. At full implementation, the university is
18 expected to grant approximately 75 bachelor's degrees in early
19 childhood education per year at the western on the peninsulas campus.

20 (3) \$1,306,000 of the general fund—state appropriation for fiscal
21 year 2026 and \$1,306,000 of the general fund—state appropriation for
22 fiscal year 2027 are provided solely for the university to develop a
23 new program in marine, coastal, and watershed sciences.

24 (4) \$886,000 of the general fund—state appropriation for fiscal
25 year 2026 and \$886,000 of the general fund—state appropriation for
26 fiscal year 2027 are provided solely for the university to reduce
27 tuition rates for four-year degree programs offered in partnership
28 with Olympic college—Bremerton, Olympic college—Poulsbo, and
29 Peninsula college—Port Angeles that are above state-funded resident
30 undergraduate tuition rates.

31 (5) \$150,000 of the general fund—state appropriation for fiscal
32 year 2026 and \$150,000 of the general fund—state appropriation for
33 fiscal year 2027 are provided solely to recruit and retain high
34 quality and diverse graduate students.

35 (6) \$548,000 of the general fund—state appropriation for fiscal
36 year 2026 and \$548,000 of the general fund—state appropriation for
37 fiscal year 2027 are provided solely for critical support services to
38 ensure traditionally underrepresented students receive the same
39 opportunities for academic success as their peers.

1 (7) \$48,000 of the general fund—state appropriation for fiscal
2 year 2026 and \$48,000 of the general fund—state appropriation for
3 fiscal year 2027 are provided solely for one full-time mental health
4 counselor licensed under chapter 18.225 RCW who has experience and
5 training specifically related to working with active members of the
6 military or military veterans.

7 (8) \$530,000 of the general fund—state appropriation for fiscal
8 year 2026 and \$530,000 of the general fund—state appropriation for
9 fiscal year 2027 are provided solely for the operation of two
10 bilingual educator programs in the south King county region,
11 including a bilingual elementary education degree program and a
12 secondary education degree program. At full implementation, each
13 cohort shall support up to 25 students per year.

14 (9) \$361,000 of the general fund—state appropriation for fiscal
15 year 2026 and \$361,000 of the general fund—state appropriation for
16 fiscal year 2027 are provided solely for a master of science program
17 in nursing.

18 (10) \$433,000 of the general fund—state appropriation for fiscal
19 year 2026 and \$433,000 of the general fund—state appropriation for
20 fiscal year 2027 are provided solely for the registered nurse to
21 bachelors in nursing program.

22 (11) Within amounts appropriated in this section, the university
23 is encouraged to increase the number of tenure-track positions
24 created and hired.

25 (12) \$908,000 of the workforce education investment account—state
26 appropriation is provided solely to establish an academic curriculum
27 in ethnic studies.

28 (13) \$400,000 of the workforce education investment account—state
29 appropriation is provided solely for upgrading cyber range equipment
30 and software.

31 (14) \$2,520,000 of the workforce education investment account—
32 state appropriation is provided solely for student support services
33 that include resources for outreach and financial aid support,
34 retention initiatives including targeted support for underserved
35 student populations, mental health support, and initiatives aimed at
36 addressing learning disruption due to the global pandemic. The amount
37 provided in this subsection must be used to supplement, not supplant,
38 other funding sources for student support services.

1 (15) \$3,632,000 of the workforce education investment account—
2 state appropriation is provided solely for the western on the
3 peninsulas expansion. This includes new two plus two degrees programs
4 such as industrial engineering, data science, and sociology.

5 (16) \$1,552,000 of the workforce education investment account—
6 state appropriation is provided solely for expanded remedial math and
7 additional English 101 courses, as well as first year seminars, and
8 disability accommodation counselors.

9 (17) \$100,000 of the workforce education investment account—state
10 appropriation is provided solely for mental health first aid training
11 for faculty.

12 (18) \$150,000 of the workforce education investment account—state
13 appropriation is provided solely for the small business development
14 center to increase technical assistance to black, indigenous, and
15 other people of color small business owners in Whatcom county.

16 (19) \$1,010,000 of the workforce education investment account—
17 state appropriation is provided solely to implement a master of
18 social work program at western on the peninsulas.

19 (20) \$2,412,000 of the workforce education investment account—
20 state appropriation is provided solely for expansion of bilingual
21 educators education.

22 (21) \$1,000,000 of the workforce education investment account—
23 state appropriation is provided solely for additional student support
24 and outreach at western on the peninsulas.

25 (22) \$580,000 of the workforce education investment account—state
26 appropriation is provided solely to convert the human services
27 program at western on the peninsulas from self-sustaining to state-
28 supported to reduce tuition rates for students in the program.

29 (23) \$158,000 of the workforce education investment account—state
30 appropriation is provided solely for implementation of chapter 421,
31 Laws of 2023 (postsecondary student needs).

32 (24) \$2,612,000 of the workforce education investment account—
33 state appropriation is provided solely to administer a teacher
34 residency program focused on special education instruction. Amounts
35 provided in this subsection are sufficient to support one cohort of
36 17 residents per school year, and must be prioritized to communities
37 that are anticipated to be most positively impacted by teacher
38 residents who fill teacher vacancies upon completing the teacher
39 residency program and who remain in the communities in which they are

1 mentored. The teacher residency program must meet the following
2 requirements:

3 (a) Residents receive compensation equivalent to first year
4 paraeducators, as defined in RCW 28A.413.010;

5 (b) Each resident is assigned a preservice mentor;

6 (c) Preservice mentors receive a stipend of \$2,500 per year;

7 (d) Residents receive at least 900 hours of preservice clinical
8 practice over the course of the school year;

9 (e) At least half of the residency hours specified in (d) of this
10 subsection are in a coteaching setting with the resident's preservice
11 mentor and the other half of the residency hours are in a coteaching
12 setting with another teacher;

13 (f) Residents may not be assigned the lead or primary
14 responsibility for student learning;

15 (g) Coursework taught during the residency is codesigned by the
16 teacher preparation program and the school district, state-tribal
17 education compact school, or consortium, tightly integrated with
18 residents' preservice clinical practice, and focused on developing
19 culturally responsive teachers; and

20 (h) The program must prepare residents to meet or exceed the
21 knowledge, skills, performance, and competency standards described in
22 RCW 28A.410.270(1).

23 (25) \$890,000 of the workforce education investment account—state
24 appropriation is provided solely to continue the expansion of the
25 undergraduate electrical and computer engineering program.

26 (26) (~~(\$36,000)~~) \$128,000 of the workforce education investment
27 account—state appropriation is provided solely for implementation of
28 chapter 314, Laws of 2023 (college in high school fees).

29 (27) \$300,000 of the workforce education investment account—state
30 appropriation is provided solely for planning student studios to
31 assist cities and counties with planning projects.

32 (28) \$300,000 of the workforce education investment account—state
33 appropriation is provided solely for the university to contract with
34 a nonprofit organization in Kitsap county that performs no-cost cyber
35 monitoring for small local governments using students at qualified
36 colleges and universities as the cyber analysts to continue providing
37 cyber security curriculum to students at postsecondary institutions,
38 giving them operational experience as cyber analysts by protecting
39 rural communities.

(29) \$55,000 of the workforce education investment account—state appropriation is provided solely for the department of urban and environmental planning and policy to conduct a series of projects and studies for Point Roberts, Washington.

(30) \$21,035,000 of the general fund—state appropriation for fiscal year 2026 and \$21,624,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of the college affordability program as set forth in RCW 28B.15.066.

(31) \$228,000 of the workforce education investment account—state appropriation is provided solely for the purpose of funding provisions of the 2025-27 master collective bargaining agreements that were inadvertently excluded from the enacted biennial budget. When requesting funding for the 2027-29 collective bargaining agreements, the university must coordinate with the office of financial management to ensure that all compensation-related changes included in the agreements are fully and accurately reflected in the institution's budget request.

Sec. 609. 2025 c 424 s 612 (uncodified) is amended to read as follows:

FOR THE STUDENT ACHIEVEMENT COUNCIL—POLICY COORDINATION AND ADMINISTRATION

General Fund—State Appropriation (FY 2026)	((\$9,565,000))
	<u>\$9,564,000</u>
General Fund—State Appropriation (FY 2027)	((\$8,807,000))
	<u>\$8,413,000</u>
General Fund—Federal Appropriation.	((\$5,055,000))
	<u>\$5,054,000</u>
<u>General Fund—Private/Local Appropriation.</u>	<u>\$1,850,000</u>
Workforce Education Investment Account—State	
Appropriation.	((\$7,171,000))
	<u>\$7,170,000</u>
TOTAL APPROPRIATION.	((\$30,598,000))
	<u>\$32,051,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) \$126,000 of the general fund—state appropriation for fiscal year 2026 and \$126,000 of the general fund—state appropriation for

fiscal year 2027 are provided solely for the consumer protection unit.

(2) The student achievement council must ensure that all institutions of higher education as defined in RCW 28B.92.030 and eligible for state financial aid programs under chapters 28B.92 and 28B.118 RCW provide the data needed to analyze and evaluate the effectiveness of state financial aid programs. This data must be promptly transmitted to the education data center so that it is available and easily accessible.

(3) \$575,000 of the general fund—state appropriation for fiscal year 2026 and \$575,000 of the general fund—state appropriation for fiscal year 2027 are provided solely to increase the number of high school seniors and college bound scholars that complete the free application for federal student aid and the Washington application for state financial aid through digital engagement tools, expanded training, and increased events for high school students.

(4) \$850,000 of the general fund—state appropriation for fiscal year 2026 and \$850,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for administrative support services to carry out duties and responsibilities necessary for recipients of the Washington college grant who are enrolled in a state registered apprenticeship program.

(5) \$179,000 of the general fund—state appropriation for fiscal year 2026 and \$179,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the complete Washington program.

(6) \$46,000 of the general fund—state appropriation for fiscal year 2026 and \$46,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the state of Washington's annual dues to the education commission of the state.

(7) \$650,000 of the workforce education investment account—state appropriation is provided solely for implementation of chapter 421, Laws of 2023 (postsecondary student needs).

(8) \$1,388,000 of the workforce education investment account—state appropriation is provided solely for distribution to four-year institutions of higher education participating in the students experiencing homelessness program without reduction by the Washington student achievement council, pursuant to chapter 339, Laws of 2023 (student homelessness pilot). Of the amounts included in this

subsection, no more than \$46,000 per fiscal year is for the administration of the program. The Washington student achievement council may evenly distribute funds provided in this subsection to all university campuses that apply for funding.

(9) \$356,000 of the workforce education investment account—state appropriation is provided solely for the Washington student achievement council to staff the workforce education investment accountability and oversight board as provided in chapter 282, Laws of 2023 (workforce investment board).

(10) \$204,000 of the workforce education investment account—state appropriation is provided solely for students experiencing homelessness program. This funding will allow for the Northwest Indian College to be added to the program as provided in House Bill No. 1540 (homelessness/tribal colleges). ~~((If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.))~~

(11) Within existing resources, the workforce education investment accountability and oversight board shall work with high-tech trade associations to develop recommendations for its 2026 report to the legislature for expanding industry-aligned, high-demand degree programs.

Sec. 610. 2025 c 424 s 613 (uncodified) is amended to read as follows:

FOR THE STUDENT ACHIEVEMENT COUNCIL—OFFICE OF STUDENT FINANCIAL ASSISTANCE

General Fund—State Appropriation (FY 2026)	(((\$300,013,000))
	<u>\$300,012,000</u>
General Fund—State Appropriation (FY 2027)	(((\$299,568,000))
	<u>\$299,588,000</u>
General Fund—Federal Appropriation.	(((\$12,342,000))
	<u>\$12,347,000</u>
((General Fund Private/Local Appropriation.	\$300,000))
Education Legacy Trust Account—State Appropriation. . . .	\$85,488,000
Washington Opportunity Pathways Account—State Appropriation.	(((\$107,193,000))
	<u>\$113,195,000</u>
Aerospace Training Student Loan Account—State Appropriation.	(((\$222,000))

1		<u>\$223,000</u>
2	Workforce Education Investment Account—State	
3	Appropriation.	((\$446,507,000))
4		<u>\$586,777,000</u>
5	Health Professionals Loan Repayment and Scholarship	
6	Program Account—State Appropriation.	\$1,724,000
7	TOTAL APPROPRIATION.	((\$1,253,357,000))
8		<u>\$1,399,354,000</u>

9 The appropriations in this section are subject to the following
10 conditions and limitations:

11 (1) \$8,034,000 of the general fund—state appropriation for fiscal
12 year 2026 and \$8,035,000 of the general fund—state appropriation for
13 fiscal year 2027 are provided solely for student financial aid
14 payments under the state work study program, including up to four
15 percent administrative allowance for the state work study program.

16 (2) \$276,416,000 of the general fund—state appropriation for
17 fiscal year 2026, \$276,416,000 of the general fund—state
18 appropriation for fiscal year 2027, ((~~\$458,742,000~~)) \$582,922,000 of
19 the workforce education investment account—state appropriation,
20 \$69,639,000 of the education legacy trust fund—state appropriation,
21 and \$67,654,000 of the Washington opportunity pathways account—state
22 appropriation are provided solely for the Washington college grant
23 program as provided in RCW 28B.92.200.

24 (3) Changes made to the state work study program in the 2009-2011
25 and 2011-2013 fiscal biennia are continued in the 2025-2027 fiscal
26 biennium including maintaining the increased required employer share
27 of wages; adjusted employer match rates; discontinuation of
28 nonresident student eligibility for the program; and revising
29 distribution methods to institutions by taking into consideration
30 other factors such as off-campus job development, historical
31 utilization trends, and student need.

32 (4) \$1,165,000 of the general fund—state appropriation for fiscal
33 year 2026, \$1,165,000 of the general fund—state appropriation for
34 fiscal year 2027, \$1,000,000 of the workforce education investment
35 account—state appropriation, \$15,849,000 of the education legacy
36 trust account—state appropriation, and ((~~\$39,720,000~~)) \$45,541,000 of
37 the Washington opportunity pathways account—state appropriation are
38 provided solely for the college bound scholarship program and may
39 support scholarships for summer session. The office of student

1 financial assistance and the institutions of higher education shall
2 not consider awards made by the opportunity scholarship program to be
3 state-funded for the purpose of determining the value of an award
4 amount under RCW 28B.118.010.

5 (5) \$6,999,000 of the general fund—state appropriation for fiscal
6 year 2026 and \$6,999,000 of the general fund—state appropriation for
7 fiscal year 2027 are provided solely for the passport to college
8 program. The maximum scholarship award is up to \$5,000. The council
9 shall contract with a nonprofit organization to provide support
10 services to increase student completion in their postsecondary
11 program and shall, under this contract, provide a minimum of \$500,000
12 in fiscal years 2026 and 2027 for this purpose.

13 (6) \$250,000 of the workforce education investment account—state
14 appropriation is provided solely for the national guard grant
15 program.

16 (7) \$150,000 of the workforce education investment account—state
17 appropriation is provided solely for implementation of chapter 369,
18 Laws of 2024 (behav. health scholarship).

19 (8) \$2,250,000 of the workforce education investment account—
20 state appropriation is provided solely for implementation of chapter
21 203, Laws of 2024 (Native American apprentices).

22 (9) \$200,000 of the workforce education investment account—state
23 appropriation is provided solely for implementation of chapter 240,
24 Laws of 2024 (college in the HS fees).

25 (10) Within amounts appropriated in the 2025-27 biennium for the
26 behavioral health loan repayment and conditional scholarship account
27 at least five percent must be dispersed for conditional scholarships.
28 If demand is not met and no eligible applications are submitted for
29 conditional scholarships, then funds may be used for loan repayment.

30 (11) Within amounts appropriated in the 2025-27 biennium for the
31 health professionals loan repayment and scholarship program account
32 at least five percent must be dispersed for conditional scholarships.
33 If demand is not met and no eligible applications are submitted for
34 conditional scholarships, then funds may be used for loan repayment.

35 (12) Within existing resources the council shall collaborate with
36 the University of Washington to maximize skills training for
37 Washington health corps and behavioral health corps conditional
38 scholarship recipients.

(13) Sufficient funding is provided in this section to implement Senate Bill No. 5963 (passport to careers program). Additional Washington college grant costs for individuals eligible for passport to careers must be funded from the Washington college grant carryforward balance of the state financial aid account or from the state education trust fund account.

Sec. 611. 2025 c 424 s 614 (uncodified) is amended to read as follows:

FOR THE WORKFORCE TRAINING AND EDUCATION COORDINATING BOARD

General Fund—State Appropriation (FY 2026)	((\$2,793,000))
	<u>\$2,817,000</u>
General Fund—State Appropriation (FY 2027)	((\$2,415,000))
	<u>\$2,401,000</u>
General Fund—Federal Appropriation.	((\$56,409,000))
	<u>\$56,407,000</u>
General Fund—Private/Local Appropriation.	\$212,000
Climate Commitment Account—State Appropriation.	((\$759,000))
	<u>\$382,000</u>
Workforce Education Investment Account—State	
Appropriation.	((\$3,032,000))
	<u>\$3,033,000</u>
TOTAL APPROPRIATION.	((\$65,620,000))
	<u>\$65,252,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) \$240,000 of the general fund—state appropriation for fiscal year 2026 and \$240,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the health workforce council of the state workforce training and education coordinating board. In partnership with the office of the governor, the health workforce council shall continue to assess workforce shortages across behavioral health disciplines and incorporate the recommended action plan completed in 2020.

(2) \$564,000 of the general fund—state appropriation for fiscal year 2026 and \$564,000 of the general fund—state appropriation for fiscal year 2027 are provided solely to conduct health workforce surveys, in collaboration with the nursing care quality assurance commission, to collect and analyze data on the long-term care

workforce, and to manage a stakeholder process to address retention and career pathways in long-term care facilities.

(3) (~~(\$2,000,000)~~) \$1,880,000 of the workforce education investment account—state appropriation is provided solely for the workforce board to award grants for the purposes of providing apprenticeship, industry certifications and wraparound student supports to workers pursuing job advancement and enhancement through college readiness, apprenticeship, degree, certification, or professional development opportunities in the health care field. Grant recipients must be labor-management partnerships established under section 302 of the labor-management relations act, 29 U.S.C. Sec. 186 that demonstrate adequate funding match and competency in the provision of student supports, or employers who can demonstrate service serving greater than 50 percent medicaid populations who can demonstrate that they will use the grant to join or establish a labor-management partnership dedicated to the purposes of this section. Preference must be given to applications that demonstrate an ability to support students from racially diverse backgrounds, and that are focused on in-demand fields with career ladders to living wage jobs. Grant recipients must use the funds to provide services including, but not limited to, development and implementation of apprenticeship and industry certifications, benefits administration, tuition assistance, counseling and navigation, tutoring and test preparation, instructor/mentor training, materials and technology for students, childcare, and travel costs.

(4) The workforce board must report to and coordinate with the department of ecology to track expenditures from climate commitment act accounts, as defined and described in RCW 70A.65.300 and chapter 173-446B WAC. If an expenditure is expected to result in greenhouse gas emission reductions, the board must use a department of ecology approved calculator tool or methodology.

(5) \$20,000 of the workforce education investment account—state appropriation is provided solely for implementation of chapter 126, Laws of 2023 (nurse supply).

(6) (~~(\$754,000)~~) \$377,000 of the climate commitment account—state appropriation is provided solely for the clean energy technology workforce advisory committee, created in chapter 231, Laws of 2023 (climate-ready communities).

(7) \$504,000 of the workforce education investment account—state appropriation is provided solely to support the career bridge platform.

(8) \$20,000 of the workforce education investment account—state appropriation is provided solely for reasonable accommodation requests.

(9) \$21,000 of the workforce education investment account—state appropriation is provided solely for implementation of Senate Bill No. 5189 (competency-based education). (~~If the bill is not enacted by June 30, 2025, the amount provided in this subsection shall lapse.~~)

Sec. 612. 2025 c 424 s 615 (uncodified) is amended to read as follows:

FOR THE STATE SCHOOL FOR THE BLIND

General Fund—State Appropriation (FY 2026)	((\$11,462,000))
	<u>\$11,460,000</u>
General Fund—State Appropriation (FY 2027)	((\$11,551,000))
	<u>\$12,005,000</u>
General Fund—Private/Local Appropriation	\$34,000
TOTAL APPROPRIATION	((\$23,047,000))
	<u>\$23,499,000</u>

The appropriations in this section are subject to the following conditions and limitations: Funding provided in this section is sufficient for the school to offer to students enrolled in grades six through twelve for full-time instructional services at the Vancouver campus or online with the opportunity to participate in a minimum of 1,080 hours of instruction and the opportunity to earn 24 high school credits.

Sec. 613. 2025 c 424 s 616 (uncodified) is amended to read as follows:

FOR THE WASHINGTON CENTER FOR DEAF AND HARD OF HEARING YOUTH

General Fund—State Appropriation (FY 2026)	((\$19,190,000))
	<u>\$19,578,000</u>
General Fund—State Appropriation (FY 2027)	((\$19,329,000))
	<u>\$20,404,000</u>
General Fund—Private/Local Appropriation	((\$4,119,000))
	<u>\$4,124,000</u>

TOTAL APPROPRIATION. ((~~\$42,638,000~~))
\$44,106,000

The appropriations in this section are subject to the following conditions and limitations: Funding provided in this section is sufficient for the center to offer students ages three through 21 enrolled at the center the opportunity to participate in a minimum of 1,080 hours of instruction and the opportunity to earn 24 high school credits.

Sec. 614. 2025 c 424 s 617 (uncodified) is amended to read as follows:

FOR THE WASHINGTON STATE ARTS COMMISSION

General Fund—State Appropriation (FY 2026). ((~~\$6,585,000~~))
\$6,322,000
General Fund—State Appropriation (FY 2027). ((~~\$6,011,000~~))
\$6,186,000
General Fund—Federal Appropriation. \$2,854,000
General Fund—Private/Local Appropriation. \$184,000
TOTAL APPROPRIATION. ((~~\$15,634,000~~))
\$15,546,000

The appropriations in this section are subject to the following conditions and limitations:

(1) \$79,000 of the general fund—state appropriation for fiscal year 2026 and \$79,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the creative districts program.

(2) \$868,000 of the general fund—state appropriation for fiscal year 2026 and \$867,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for the establishment of a tribal cultural affairs program. Of the amounts provided in this subsection, \$500,000 of the general fund—state appropriation for fiscal year 2026 and \$500,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for grants to support tribal cultural, arts, and creative programs.

(3) ((~~\$708,000~~)) \$395,000 of the general fund—state appropriation for fiscal year 2026 ((~~is~~)) and \$388,000 of the general fund—state appropriation for fiscal year 2027 are provided solely for implementation of chapter 387, Laws of 2023 (Billy Frank Jr. statue).

1 **Sec. 615.** 2025 c 424 s 618 (uncodified) is amended to read as
2 follows:

3 **FOR THE WASHINGTON STATE HISTORICAL SOCIETY**

4	General Fund—State Appropriation (FY 2026).	((\$5,535,000))
5		<u>\$5,532,000</u>
6	General Fund—State Appropriation (FY 2027).	((\$5,565,000))
7		<u>\$5,648,000</u>
8	TOTAL APPROPRIATION.	((\$11,100,000))
9		<u>\$11,180,000</u>

10 **Sec. 616.** 2025 c 424 s 619 (uncodified) is amended to read as
11 follows:

12 **FOR THE EASTERN WASHINGTON STATE HISTORICAL SOCIETY**

13	General Fund—State Appropriation (FY 2026).	((\$4,705,000))
14		<u>\$4,723,000</u>
15	General Fund—State Appropriation (FY 2027).	((\$4,667,000))
16		<u>\$4,857,000</u>
17	Local Museum Account—Eastern Washington State	
18	Historical Society—Private/Local Appropriation.	\$229,000
19	TOTAL APPROPRIATION.	((\$9,601,000))
20		<u>\$9,809,000</u>

21 The appropriations in this section are subject to the following
22 conditions and limitations:

23 (1) \$119,000 of the general fund—state appropriation for fiscal
24 year 2026 and \$119,000 of the general fund—state appropriation for
25 fiscal year 2027 are provided solely for a museum art curator.

26 (2) \$110,000 of the general fund—state appropriation for fiscal
27 year 2027 is provided solely for a tribal liaison.

(End of part)

PART VII
SPECIAL APPROPRIATIONS

*Sec. 701. 2025 c 424 s 701 (uncodified) is amended to read as follows:

**FOR THE OFFICE OF FINANCIAL MANAGEMENT—INFORMATION TECHNOLOGY
INVESTMENT POOL**

General Fund—State Appropriation (FY 2026)	((\$12,049,000))
	<u>\$10,850,000</u>
General Fund—State Appropriation (FY 2027)	\$6,242,000
<u>Other Appropriated Funds—Appropriation.</u>	<u>\$11,059,000</u>
((State Treasurer's Service Account—State	
Appropriation.	\$260,000))
TOTAL APPROPRIATION.	((\$18,551,000))
	<u>\$28,151,000</u>

The appropriations in this section are subject to the following conditions and limitations:

(1) The appropriations are provided solely for expenditure into the information technology investment revolving account created in RCW 43.41.433. Amounts in the account are provided solely for the information technology projects shown in LEAP omnibus document IT-2025, dated April 26, 2025, and IT-2026, dated March 10, 2026, which is hereby incorporated by reference. To facilitate the transfer of moneys from other funds and accounts that are associated with projects contained in LEAP omnibus document IT-2025, dated April 26, 2025, and IT-2026, dated March 10, 2026, the state treasurer is directed to transfer moneys from other funds and accounts to the information technology investment revolving account in accordance with schedules provided by the office of financial management. Restricted federal funds may be transferred only to the extent permitted by law, and will otherwise remain outside the information technology investment account. The projects affected remain subject to the other provisions of this section.

(2) Agencies must apply to Washington technology solutions for certification and release of funding for each gate of the project. When Washington technology solutions certifies the key deliverables of the gate have been met, a current technology budget is approved and includes updated milestone deliverables with start dates and estimated completion dates for each deliverable through each stage of

1 the entire project investment through project implementation and
2 close out; and if applicable to the stage or gate of the project,
3 that the project is putting functioning software into production that
4 addresses user needs, is in compliance with the quality assurance
5 plan, and meets a defined set of industry best practices for code
6 quality that Washington technology solutions will post to their
7 website by July 1, 2025, it must notify the office of financial
8 management and the fiscal committees of the legislature. The office
9 of financial management may not approve funding for the certified
10 project gate any earlier than 10 business days from the date of
11 notification to the fiscal committees of the legislature.

12 (3)(a) Allocations and allotments of information technology
13 investment revolving account must be made for discrete stages of
14 projects as determined by the technology budget approved by
15 Washington technology solutions and the office of financial
16 management.

17 (b) Fifteen percent of total funding allocated by the office of
18 financial management, or another amount as defined jointly by the
19 office of financial management and Washington technology solutions,
20 will be retained in the account, but remain allocated to that
21 project. The retained funding will be released to the agency only
22 after successful completion of that stage of the project and only
23 after Washington technology solutions certifies the stage as required
24 in subsection (2) of this section. For the one Washington project,
25 the amount retained is increased to at least 20 percent of total
26 funding allocated for any stage of that project. If there is no
27 significant risk to the project, the holdback does not apply to the
28 final gate during a biennial close.

29 **(4)(a) Each project must have a technology budget. The technology**
30 **budget must have the detail by fiscal month for the 2025-2027 fiscal**
31 **biennium. The technology budget must use a method similar to the**
32 **state capital budget, identifying project costs, each fund source,**
33 **and anticipated deliverables through each stage of the entire project**
34 **investment and across fiscal periods and biennia from project onset**
35 **through implementation and close out, as well as at least five years**
36 **of maintenance and operations costs.**

37 **(b) As part of the development of a technology budget, as key**
38 **milestone deliverables change that impact scope, schedule, or budget,**
39 **and at each request for funding, the agency shall submit an updated**
40 **technology budget, if changes occurred, to include detailed financial**

1 information to the office of financial management and Washington
2 technology solutions. The technology budget must describe the total
3 cost of the project, as well as maintenance and operations costs, to
4 include and identify at least:

5 (i) Fund sources:

6 (A) If the project is funded from the information technology
7 revolving account, the technology budget must include a worksheet
8 that provides the fund sources that were transferred into the account
9 by fiscal year;

10 (B) If the project managed is by a central service agency, and
11 funds are driven out by the central service model, the technology
12 budget must provide a statewide impact by agency by fund as a
13 worksheet in the technology budget file;

14 (C) Funding amounts must not exceed the enacted budget amounts by
15 fund by fiscal year on the budgeted resources worksheet;

16 (ii) Full time equivalent staffing level to include job
17 classification assumptions. This is to assure that the project has
18 adequate state staffing and agency support to ensure success, ensure
19 user acceptance, and adequately test the functionality being
20 delivered in each sprint before it is accepted by the agency's
21 contracting officer or their representative. Key project functions
22 that are deemed "critical" must be retained by state personnel and
23 not outsourced, to ensure that knowledge is retained within state
24 government and that the state can self-sufficiently support the
25 system and make improvements without long-term dependence on a
26 vendor;

27 (iii) Discrete financial budget codes to include at least ((the
28 ~~appropriation index and program index~~)) a unique cost center code for
29 the project, such as a project code, program index, or an equivalent
30 project-specific code. If the subproject or project is appropriated
31 funding at more than one agency, as is done with the statewide
32 electronic health records solution where federal funding for the
33 department of corrections is appropriated to the health care
34 authority, then:

35 (A) The project technology budget and each impacted agency that
36 receives appropriated funding must use the same ((~~program index~~))
37 designated cost center code for the project for consistency across
38 each agency;

1 (B) Each ((~~appropriation index~~)) expenditure authority code from
2 each impacted agency must be identified on the technology budget
3 input page; and

4 (C) The technology budget must be compiled in the lead agency
5 technology budget only, referencing any differences in
6 ((~~appropriation index~~)) expenditure authority code, as described in
7 (b)(iii)(B) of this subsection;

8 (iv) Object and subobject codes of expenditures;

9 (v) Anticipated deliverables that must include a start date and
10 estimated completion date for each deliverable to include, but not
11 limited to, requests for proposals release dates, go-live dates, and
12 software demonstration dates;

13 (vi) Historical budget and expenditure detail by fiscal year
14 based on enacted budget funding for historical budget amounts and
15 based on the agency financial reporting system (AFRS) for historical
16 budget expenditure amounts; ((and))

17 (vii) Historical agency in-kind expenditure detail by fiscal
18 year, by fund, based on agency base resources used for the project;
19 and

20 (viii) Maintenance and operations costs by fiscal year for at
21 least five years as a separate worksheet.

22 (c) If a project technology budget changes, including technical
23 changes within the workbook, and varies from the prior posted
24 technology budget posted on the dashboard, and once a revised
25 technology budget is completed, a comparison of the revised
26 technology budget to the last posted approved technology budget must
27 be posted to the dashboard, to include a narrative rationale on what
28 changed, why, and how the changes impact the project scope, budget,
29 and schedule.

30 (d) Each technology budget posted to the statewide dashboard must
31 remain posted to the dashboard for historical purposes and must not
32 be removed or replaced.

33 (e) If a project is aware of deliverable and milestone changes
34 compared to the last office of financial management approved funding
35 gated release, before applying for certification and release of
36 funding, the project must update the technology budget deliverables
37 and spending plan to reflect these changes.

38 (5) (a) Each project must have a project charter. The charter must
39 include:

1 (i) An organizational chart of the project management team that
2 identifies team members and their roles and responsibilities, and
3 shows that the project is adequately staffed by state personnel in
4 key functions to ensure success;

5 (ii) The Washington technology solutions staff assigned to the
6 project;

7 (iii) A project roadmap that includes the problems the team is
8 solving and the sequence in which the team intends to take on those
9 problems, updated periodically to reflect what has been learned;

10 (iv) Metrics to support the project strategy and vision, to
11 determine that the project is incrementally meeting user needs;

12 (v) An implementation schedule covering activities, critical
13 milestones, and deliverables at each stage of the project for the
14 life of the project at each agency affected by the project;

15 (vi) Performance measures used to determine that the project is
16 on time, within budget, and meeting expectations for quality of work
17 product;

18 (vii) Ongoing maintenance and operations cost of the project post
19 implementation and close out delineated by agency staffing,
20 contracted staffing, and service level agreements; and

21 (viii) Financial budget coding to include at least discrete
22 financial coding for the project.

23 (b) If required by Washington technology solutions, a project may
24 also need to have an investment plan. Washington technology solutions
25 must:

26 (i) Base the requirement of an agency needing to have an
27 investment plan on the complexity and risk of the project;

28 (ii) Establish requirements by project risk level in statewide
29 technology policy, and publish the requirements by September 30,
30 2025; and

31 (iii) In collaboration with the department of enterprise
32 services, define the circumstances under which the vendor will be
33 terminated or replaced and establish the process by which the agency
34 will transition to a new vendor with a minimal reduction in project
35 productivity.

36 (6)(a) Projects with estimated costs greater than \$100,000,000
37 from initiation to completion and implementation may be divided into
38 discrete subprojects as determined by Washington technology
39 solutions, except for the one Washington project which must be
40 divided into the following discrete subprojects: Core financials,

expanding financials and procurement, budget, and human resources. Each subproject must have a technology budget as provided in this section.

(b) If the project affects more than one agency:

(i) A separate technology budget and investment plan must be prepared by each agency; and

(ii) There must be a budget roll up that includes each affected agency at the subproject level.

(7) Washington technology solutions shall maintain a statewide information technology project dashboard that provides updated information each fiscal month on projects subject to this section. The statewide dashboard must meet the requirements in (~~section 156 of this act~~) section 154 of this act.

(8) For any project that exceeds \$2,000,000 in total funds to complete, requires more than one biennium to complete, or is financed through financial contracts, bonds, or other indebtedness:

(a) Independent quality assurance services for the project must report independently to Washington technology solutions;

(b) Washington technology solutions, based on project risk assessments, may require additional quality assurance services and independent verification and validation services;

(c) Washington technology solutions must review, and, if necessary, revise the proposed project to ensure it is flexible and adaptable to advances in technology;

(d) The technology budget must specifically identify the uses of any financing proceeds. No more than thirty percent of the financing proceeds may be used for payroll-related costs for state employees assigned to project management, installation, testing, or training;

(e) The agency must consult with the office of the state treasurer during the competitive procurement process to evaluate early in the process whether products and services to be solicited and the responsive bids from a solicitation may be financed;

(f) The agency must consult with the contracting division of the department of enterprise services for a review of all contracts and agreements related to the project's information technology procurements;

(g) The agency and project must use an agile development model holding live demonstrations of functioning software, developed using incremental user research, held at the end of every two-week sprint, except for:

1 (i) Hardware or infrastructure projects; and
2 (ii) Projects that have implemented all phases and are now in
3 maintenance and operations;

4 (h) The project solution must be capable of being continually
5 updated, as necessary; and

6 (i) The agency and project must deploy usable functionality into
7 production for users within 180 days from the date of an executed
8 procurement contract in response to a competitive request for
9 proposal.

10 (9) Washington technology solutions must evaluate the project at
11 each stage and certify whether the project is putting functioning
12 software into production that addresses user needs, is projected to
13 be completed within budget, is in compliance with the quality
14 assurance plan, and meets a defined set of industry best practices
15 for code quality, and whether the project is planned, managed,
16 meeting deliverable targets as defined in the project's approved
17 technology budget and investment plan, and that the current
18 technology budget reflects updated scope, schedule, and budget to
19 include updated milestone deliverables with start dates and estimated
20 completion dates through each stage of the entire project investment
21 through project implementation and close out.

22 (10) Washington technology solutions may suspend or terminate a
23 project at any time if it determines that the project is not meeting
24 or not expected to meet anticipated performance and technology
25 outcomes. Once suspension or termination occurs, the agency shall
26 unallot any unused funding and shall not make any expenditure for the
27 project without the approval of the office of financial management.
28 Washington technology solutions must report on December 1 each
29 calendar year any suspension or termination of a project in the
30 previous 12-month period to the legislative fiscal committees.

31 (11) Washington technology solutions, in consultation with the
32 office of financial management, may identify additional projects to
33 be subject to this section, including projects that are not
34 separately identified within an agency budget. Washington technology
35 solutions must report on December 1 each calendar year any additional
36 projects to be subjected to this section that were identified in the
37 previous 12-month period to the legislative fiscal committees.

38 (12) Any cost to administer or implement this section for
39 projects listed in subsection (1) of this section, must be paid from
40 the information technology investment revolving account. For any

other information technology project subject to the conditions, limitations, and review of this section, the cost to implement this section must be paid from the funds for that project.

(13) The following information technology projects are subject to the conditions, limitations, and review of this section:

(a) The resident portal project of the Washington technology solutions agency;

(b) The human resource management system (HRMS) cloud migration project of the office of financial management;

(c) The d365 enterprise resource planning project of the department of corrections; and

(d) The secure access Washington (SAW) project of the Washington technology solutions agency.

**Sec. 701 was partially vetoed. See message at end of chapter.*

Sec. 702. 2025 c 424 s 702 (uncodified) is amended to read as follows:

FOR THE STATE TREASURER—BOND RETIREMENT AND INTEREST, AND ONGOING BOND REGISTRATION AND TRANSFER CHARGES: FOR DEBT SUBJECT TO THE DEBT LIMIT

General Fund—State Appropriation (FY 2026)	((\$1,547,070,000))
	<u>\$1,534,275,000</u>
General Fund—State Appropriation (FY 2027)	((\$1,701,995,000))
	<u>\$1,651,050,000</u>
State Building Construction Account—State	
Appropriation.	\$11,174,000
Watershed Restoration and Enhancement Bond Account—	
State Appropriation.	\$84,000
State Taxable Building Construction Account—State	
Appropriation.	\$293,000
TOTAL APPROPRIATION.	((\$3,260,616,000))
	<u>\$3,196,876,000</u>

The appropriations in this section are subject to the following conditions and limitations: The general fund appropriations are for expenditure into the debt-limit general fund bond retirement account.

Sec. 703. 2025 c 424 s 704 (uncodified) is amended to read as follows:

**FOR THE STATE TREASURER—BOND RETIREMENT AND INTEREST, AND ONGOING
BOND REGISTRATION AND TRANSFER CHARGES: FOR BOND SALE EXPENSES**

General Fund—State Appropriation (FY 2026)	\$1,400,000
General Fund—State Appropriation (FY 2027)	\$1,400,000
State Building Construction Account—State Appropriation	\$4,567,000
Watershed Restoration and Enhancement Bond Account— State Appropriation	\$38,000
State Taxable Building Construction Account—State Appropriation	((\$92,000))
	<u>\$312,000</u>
<u>Excess Earnings Account—State Appropriation</u>	<u>\$1,000</u>
TOTAL APPROPRIATION	((\$7,497,000))
	<u>\$7,718,000</u>

NEW SECTION. **Sec. 704.** A new section is added to 2025 c 424
(uncodified) to read as follows:

FOR SUNDRY CLAIMS

The following sums, or so much thereof as may be necessary, are appropriated from the general fund for fiscal year 2026, unless otherwise indicated, for relief of various individuals, firms, and corporations for sundry claims.

(1) These appropriations are to be disbursed on vouchers approved by the director of the department of enterprise services, except as otherwise provided, for reimbursement of criminal defendants acquitted on the basis of self-defense, pursuant to RCW 9A.16.110, as follows:

(a) Angel I. Garcia, claim number 9991023802	\$161,411
(b) Anthony L. Chastain, claim number 9991023751	\$147,953
(c) Robert J. Peterson, claim number 9991022223	\$4,500
(d) Jeremy R. McBryde, claim number 9991021907	\$14,288
(e) Jeremy J. Spidle, claim number 9991021879	\$10,250
(f) Osman Morales-Santo, claim number 9991024240	\$137,040
(g) Joshalynn (La Chelle) Williams, claim number 9991024244	\$17,978
(h) Juan Bonilla Vasquez, claim number 9991024692	\$723,944
(i) Bacari Hunter, claim number 9991024855	\$13,500
(j) Dondre Butler, claim number 9991024986	\$64,047
(k) Ashton Walker, claim number 9991025137	\$25,798

(1) Pasha Salimiaghdam, claim number 9991025252. \$7,895
(m) Doris Watkins, claim number 9991025309. \$5,000
(n) Darian Downing, claim number 9991025487. \$60,000
(2) This appropriation is to be disbursed on a voucher approved
by the director of the department of enterprise services, except as
otherwise provided, for payment of compensation for wrongful
convictions pursuant to RCW 4.100.060, as follows:
Scott Meier, claim number 9991025490. \$79,669

Sec. 705. 2025 c 424 s 713 (uncodified) is amended to read as
follows:

**FOR THE OFFICE OF FINANCIAL MANAGEMENT—FOUNDATIONAL PUBLIC HEALTH
SERVICES**

General Fund—State Appropriation (FY 2026). \$129,091,000
General Fund—State Appropriation (FY 2027). \$129,091,000
Foundational Public Health Services Account—State
Appropriation. \$42,048,000
TOTAL APPROPRIATION. \$300,230,000

The appropriations in this section are subject to the following
conditions and limitations:

(1) The appropriations are provided solely for distribution as
provided in RCW 43.70.515.

(2) \$719,000 of the general fund—state appropriation for fiscal
year 2026 and \$1,825,000 of the general fund—state appropriation for
fiscal year 2027 are provided solely to maintain core public health
information technology infrastructure and staff at the department of
health.

Sec. 706. 2025 c 424 s 719 (uncodified) is amended to read as
follows:

**FOR THE OFFICE OF FINANCIAL MANAGEMENT—INDIAN HEALTH IMPROVEMENT
REINVESTMENT ACCOUNT**

General Fund—State Appropriation (FY 2026). \$8,208,000
General Fund—State Appropriation (FY 2027). ((~~\$708,000~~))
\$758,000
TOTAL APPROPRIATION. ((~~\$8,916,000~~))
\$8,966,000

The appropriations in this section are subject to the following
conditions and limitations: The appropriations are provided solely

for expenditure into the Indian health improvement reinvestment account created in RCW 43.71B.040.

Sec. 707. 2025 c 424 s 722 (uncodified) is amended to read as follows:

FOR THE DEPARTMENT OF RETIREMENT SYSTEMS—CONTRIBUTIONS TO RETIREMENT SYSTEMS

(1) The appropriations in this section are subject to the following conditions and limitations: The appropriations for the law enforcement officers' and firefighters' retirement system shall be made on a monthly basis consistent with chapter 41.45 RCW, and the appropriations for the judges and judicial retirement systems shall be made on a quarterly basis consistent with chapters 2.10 and 2.12 RCW.

(2) There is appropriated for state contributions to the law enforcement officers' and firefighters' retirement system:

General Fund—State Appropriation (FY 2026)	\$102,000,000
General Fund—State Appropriation (FY 2027)	\$106,300,000
TOTAL APPROPRIATION	\$208,300,000

(3) There is appropriated for contributions to the judicial retirement system:

General Fund—State Appropriation (FY 2026)	\$4,900,000
General Fund—State Appropriation (FY 2027)	(\$4,600,000)
	<u>\$600,000</u>
TOTAL APPROPRIATION	(\$9,500,000)
	<u>\$5,500,000</u>

Sec. 708. 2025 c 424 s 723 (uncodified) is amended to read as follows:

FOR THE BOARD FOR VOLUNTEER FIREFIGHTERS AND RESERVE OFFICERS—CONTRIBUTIONS TO RETIREMENT SYSTEMS

There is appropriated for state contributions to the volunteer firefighters' and reserve officers' relief and pension principal fund:

Volunteer Firefighters' and Reserve Officers'

Administrative Account—State Appropriation	(\$25,548,000)
	<u>\$20,548,000</u>
TOTAL APPROPRIATION	(\$25,548,000)
	<u>\$20,548,000</u>

Sec. 709. 2025 c 424 s 727 (uncodified) is amended to read as follows:

FOR THE OFFICE OF FINANCIAL MANAGEMENT—OPPORTUNITY SCHOLARSHIP MATCH TRANSFER ACCOUNT

Workforce Education Investment Account—State

Appropriation.	((\$11,471,000))
	<u>\$11,459,000</u>
TOTAL APPROPRIATION.	((\$11,471,000))
	<u>\$11,459,000</u>

The appropriations in this section are subject to the following conditions and limitations: The appropriations are provided solely for expenditure into the opportunity scholarship match transfer account created in RCW 28B.145.050.

Sec. 710. 2025 c 424 s 709 (uncodified) is amended to read as follows:

FOR THE OFFICE OF FINANCIAL MANAGEMENT—STATE HEALTH CARE AFFORDABILITY ACCOUNT

General Fund—State Appropriation (FY 2026).	\$55,000,000
General Fund—State Appropriation (FY 2027).	((\$30,000,000))
	<u>\$55,000,000</u>
TOTAL APPROPRIATION.	((\$85,000,000))
	<u>\$110,000,000</u>

The appropriations in this section are subject to the following conditions and limitations: The appropriations are provided solely for expenditure into the state health care affordability account created in RCW 43.71.130.

Sec. 711. 2025 c 424 s 729 (uncodified) is amended to read as follows:

FOR THE OFFICE OF FINANCIAL MANAGEMENT—HOME VISITING SERVICES ACCOUNT

General Fund—State Appropriation (FY 2026).	((\$12,847,000))
	<u>\$10,547,000</u>
General Fund—State Appropriation (FY 2027).	\$12,847,000
TOTAL APPROPRIATION.	((\$25,694,000))
	<u>\$23,394,000</u>

The appropriations in this section are subject to the following conditions and limitations: The appropriations are provided solely

for expenditure into the home visiting services account created in
RCW 43.216.130 for the home visiting program.

Sec. 712. 2025 c 424 s 732 (uncodified) is amended to read as follows:

**FOR THE OFFICE OF FINANCIAL MANAGEMENT—WASHINGTON STATE LEADERSHIP
BOARD ACCOUNT**

General Fund—State Appropriation (FY 2026)	((\$743,000))
	<u>\$864,000</u>
General Fund—State Appropriation (FY 2027)	((\$820,000))
	<u>\$838,000</u>
TOTAL APPROPRIATION	((\$1,563,000))
	<u>\$1,702,000</u>

The appropriations in this section are subject to the following conditions and limitations: The appropriations are provided solely for expenditure into the Washington state leadership board account created in RCW 43.388.020.

Sec. 713. 2025 c 424 s 740 (uncodified) is amended to read as follows:

**FOR THE OFFICE OF FINANCIAL MANAGEMENT—EXTRAORDINARY CRIMINAL JUSTICE
COSTS**

General Fund—State Appropriation (FY 2026)	((\$300,000))
	<u>\$745,000</u>
TOTAL APPROPRIATION	((\$300,000))
	<u>\$745,000</u>

The appropriation in this section is subject to the following conditions and limitations: The director of financial management shall distribute ((~~\$300,000~~)) \$745,000 to Kitsap county for extraordinary criminal justice costs pursuant to RCW 43.330.190.

****NEW SECTION.*** **Sec. 714.** ***A new section is added to 2025 c 424 (uncodified) to read as follows:***

**FOR THE OFFICE OF FINANCIAL MANAGEMENT—ADULT DAY SERVICE FACILITIES
ACCOUNT**

General Fund—State Appropriation (FY 2027)	<u>\$500,000</u>
TOTAL APPROPRIATION	<u>\$500,000</u>

The appropriation in this section is subject to the following conditions and limitations: The appropriation is provided solely for expenditure into the adult day service facilities account created in House Bill No. 2675 (accounts). If the bill is not enacted by June 30, 2026, the amount provided in this section shall lapse.

**Sec. 714 was vetoed. See message at end of chapter.*

NEW SECTION. **Sec. 715.** A new section is added to 2025 c 424 (uncodified) to read as follows:

FOR THE DEPARTMENT OF NATURAL RESOURCES—WILDFIRE RESPONSE, FOREST RESTORATION, AND COMMUNITY RESILIENCE ACCOUNT

Natural Climate Solutions Account—State

Appropriation (FY 2026). \$20,000,000

Natural Climate Solutions Account—State

Appropriation (FY 2027). \$40,000,000

TOTAL APPROPRIATION. \$60,000,000

The appropriations in this section are subject to the following conditions and limitations: The appropriations are provided solely for expenditure into the wildfire response, forest restoration, and community resilience account, for the implementation of chapter 298, Laws of 2021 (2SHB 1168).

NEW SECTION. **Sec. 716.** A new section is added to 2025 c 424 (uncodified) to read as follows:

FOR THE OFFICE OF FINANCIAL MANAGEMENT—INSTITUTIONS OF HIGHER EDUCATION OPERATING FEES ACCOUNT

Community/Technical College Capital Projects

Account—State Appropriation. \$71,168,000

Eastern Washington University Capital Projects

Account—State Appropriation. \$9,800,000

Washington State University Building Account—State

Appropriation. \$45,000,000

Central Washington University Capital Projects

Account—State Appropriation. \$9,000,000

University of Washington Building Account—State

Appropriation. \$85,575,000

Western Washington University Capital Projects

Account—State Appropriation. \$10,184,000

1 General Fund—State Appropriation (FY 2027). \$1,715,000
2 TOTAL APPROPRIATION. ((~~\$945,000~~))
3 \$2,660,000

4 The appropriation in this section is subject to the following
5 conditions and limitations: The appropriation is provided solely for
6 expenditure into the Andy Hill cancer research endowment fund match
7 transfer account per RCW 43.348.080 to fund the Andy Hill cancer
8 research endowment program. Matching funds using the amounts
9 appropriated in this section may not be used to fund new grants that
10 exceed two years in duration.

11 NEW SECTION. **Sec. 720.** A new section is added to 2025 c 424
12 (uncodified) to read as follows:

13 **FOR THE OFFICE OF FINANCIAL MANAGEMENT—YAKIMA CRIMINAL JUSTICE COSTS**
14 General Fund—State Appropriation (FY 2026). \$65,000
15 TOTAL APPROPRIATION. \$65,000

16 The appropriation in this section is subject to the following
17 conditions and limitations: The director of financial management
18 shall distribute \$65,000 to Yakima county for extraordinary criminal
19 justice costs pursuant to RCW 43.330.190.

(End of part)

PART VIII

OTHER TRANSFERS AND APPROPRIATIONS

*Sec. 801. 2025 c 424 s 801 (uncodified) is amended to read as follows:

FOR THE STATE TREASURER—STATE REVENUES FOR DISTRIBUTION

General Fund Appropriation for fire insurance
premium distributions. ((~~\$16,905,000~~))
\$18,490,000

General Fund Appropriation for prosecuting attorney
distributions. \$9,778,000

General Fund Appropriation for boating safety and
education distributions. \$3,230,000

General Fund Appropriation for public utility
district excise tax distributions. ((~~\$72,286,000~~))
\$75,329,000

***Death Investigations Account Appropriation for
distribution to counties for publicly funded
autopsies. ((~~\$6,329,000~~))
\$7,753,000***

Aquatic Lands Enhancement Account Appropriation for
harbor improvement revenue distributions. ((~~\$150,000~~))
\$225,000

Timber Tax Distribution Account Appropriation for
distribution to "timber" counties. \$81,852,000

County Criminal Justice Assistance Appropriation. ((~~\$152,169,000~~))
\$152,228,000

Municipal Criminal Justice Assistance Appropriation. ((~~\$60,343,000~~))
\$60,367,000

City-County Assistance Appropriation. ((~~\$43,751,000~~))
\$45,021,000

Liquor Excise Tax Account Appropriation for liquor
excise tax distribution. \$87,960,000

Columbia River Water Delivery Account Appropriation
for the Confederated Tribes of the Colville
Reservation. ((~~\$10,140,000~~))
\$10,145,000

Columbia River Water Delivery Account Appropriation
for the Spokane Tribe of Indians. \$7,489,000

Liquor Revolving Account Appropriation for liquor

1	profits distribution.	\$98,876,000
2	General Fund Appropriation for other tax	
3	distributions.	\$104,000
4	Dedicated Cannabis Account Appropriation for	
5	Cannabis Excise Tax distributions pursuant to	
6	chapter 169, Laws of 2022 (cannabis revenue). . .	((\$44,177,000))
7		<u>\$39,068,000</u>
8	General Fund Appropriation for Habitat Conservation	
9	Program distributions.	((\$3,596,000))
10		<u>\$3,665,000</u>
11	General Fund Appropriation for payment in lieu of	
12	taxes to counties under Department of Fish and	
13	Wildlife Program.	\$3,882,000
14	Puget Sound Taxpayer Accountability Account	
15	Appropriation for distribution to counties in	
16	amounts not to exceed actual deposits into the	
17	account and attributable to those counties'	
18	share pursuant to RCW 43.79.520.	((\$25,430,000))
19		<u>\$27,700,000</u>
20	Manufacturing and Warehousing Job Centers Account	
21	Appropriation for distribution to local taxing	
22	jurisdictions to mitigate the unintended	
23	revenue redistributions effect of sourcing law	
24	changes pursuant to chapter 83, Laws of 2021	
25	(warehousing & manufacturing jobs).	\$2,770,000
26	State Crime Victim and Witness Assistance Account	
27	Appropriation for distribution to counties.	\$4,000,000
28	TOTAL APPROPRIATION.	((\$735,217,000))
29		<u>\$739,932,000</u>

30 The total expenditures from the state treasury under the

31 appropriations in this section shall not exceed the funds available

32 under statutory distributions for the stated purposes.

****Sec. 801 was partially vetoed. See message at end of chapter.***

33 ***Sec. 802.** 2025 c 424 s 805 (uncodified) is amended to read as

34 follows:

35 **FOR THE STATE TREASURER—TRANSFERS**

36 Administrative Hearings Revolving Account: For

37 transfer to the state general fund,

1	\$6,000,000 for fiscal year 2026.	\$6,000,000
2	Apple Health and Homes Account: For transfer to the	
3	state general fund, \$7,500,000 for fiscal year	
4	2026 and \$7,500,000 for fiscal year 2027.	\$15,000,000
5	Business and Professions Account: For transfer	
6	to the state general fund, \$5,000,000 for	
7	fiscal year 2026.	\$5,000,000
8	Certified Public Accountants' Account: For	
9	transfer to the state general fund,	
10	\$1,060,000 for fiscal year 2026 <u>and</u>	
11	<u>\$575,000 for fiscal year 2027.</u>	((\$1,060,000))
12		<u>\$1,635,000</u>
13	Climate Investment Account: For transfer to the	
14	carbon emissions reduction account,	
15	\$40,000,000 for fiscal year 2026.	\$40,000,000
16	Climate Investment Account: For transfer to the	
17	carbon emissions reduction account,	
18	\$154,153,000 for fiscal year 2027.	\$154,153,000
19	Climate Investment Account: For transfer to the	
20	carbon emissions reduction account,	
21	\$162,000,000 for fiscal year 2027.	\$162,000,000
22	Climate Investment Account: For transfer to the	
23	natural climate solutions account,	
24	\$33,000,000 for fiscal year 2026.	\$33,000,000
25	Construction Registration Inspection Account:	
26	For transfer to the state general fund,	
27	\$2,000,000 for fiscal year 2026.	\$2,000,000
28	Dedicated Cannabis Account: For transfer to the	
29	basic health plan trust account, the lesser of	
30	the amount determined pursuant to RCW 69.50.540	
31	or this amount for fiscal year 2026,	
32	((\$250,000,000)) <u>\$220,000,000</u> and this amount	
33	for fiscal year 2027, ((\$250,000,000))	
34	<u>\$220,000,000.</u>	((\$500,000,000))
35		<u>\$440,000,000</u>
36	Dedicated Cannabis Account: For transfer to the	
37	state general fund, the lesser of the amount	
38	determined pursuant to RCW 69.50.540 or this	
39	amount for fiscal year 2026, ((\$155,000,000))	
40	\$135,000,000 and this amount for fiscal year	

1	2027, ((\$155,000,000)) <u>\$135,000,000</u>	((\$310,000,000))
2		<u>\$270,000,000</u>
3	Department of Retirement Systems Expense Account:	
4	For transfer to the state general fund,	
5	\$3,052,000 for fiscal year 2026 and \$3,000,000	
6	for fiscal year 2027.	\$6,052,000
7	Economic Development Strategic Reserve Account:	
8	For transfer to the state general fund,	
9	\$142,000 for fiscal year 2026 and	
10	\$17,000,000 for fiscal year 2027.	\$17,142,000
11	Electrical License Account: For transfer to the	
12	state general fund, \$6,000,000 for fiscal	
13	year 2026.	\$6,000,000
14	Enterprise Services Account: For transfer to	
15	the state general fund, \$35,000,000 for	
16	fiscal year 2026.	\$35,000,000
17	Financial Services Regulation Account: For transfer	
18	to the state general fund, \$6,880,000 for	
19	fiscal year 2026 and ((\$3,500,000)) <u>\$8,300,000</u>	
20	for fiscal year 2027.	((\$10,380,000))
21		<u>\$15,180,000</u>
22	From auction proceeds received under RCW	
23	70A.65.100(7)((b)) <u>(d)</u> : For transfer to the air	
24	quality and health disparities improvement	
25	account, \$2,600,000 for fiscal year 2026.	\$2,600,000
26	From auction proceeds received under RCW	
27	70A.65.100(7)((e)) <u>(d)</u> : For transfer to the air	
28	quality and health disparities improvement	
29	account, \$2,600,000 for fiscal year 2027.	\$2,600,000
30	Gambling Revolving Account: For transfer to the	
31	state general fund, \$2,200,000 for fiscal year	
32	2026.	\$2,200,000
33	General Fund: For transfer to the death	
34	investigations account, \$2,050,000 for	
35	fiscal year 2026 and \$2,050,000 for fiscal	
36	year 2027.	\$4,100,000
37	General Fund: For transfer to the disaster response	
38	account, ((\$30,000,000)) <u>\$112,378,000</u> for fiscal	
39	year 2027.	((\$30,000,000))
40		<u>\$112,378,000</u>

1 General Fund: For transfer to the fair fund under
 2 RCW 15.76.115, \$2,250,000 for fiscal year 2026
 3 and \$2,250,000 for fiscal year 2027. \$4,500,000
 4 General Fund: For transfer to the flood control
 5 assistance account under RCW 86.26.007,
 6 \$1,850,000 for fiscal year 2026 and
 7 \$1,850,000 for fiscal year 2027. \$3,700,000
 8 General Fund: For transfer to the home security
 9 fund, \$20,227,000 for fiscal year 2026 and
 10 \$49,868,000 for fiscal year 2027. \$70,095,000
 11 General Fund: For transfer to the manufacturing and
 12 warehousing job centers account pursuant to RCW
 13 82.14.545 for distribution in section 801 of
 14 this act, \$2,770,000 for fiscal year 2026. \$2,770,000
 15 General Fund: For transfer to the wildfire response,
 16 forest restoration, and community resilience
 17 account, solely for the implementation of
 18 chapter 298, Laws of 2021 (2SHB 1168)
 19 (long-term forest health), \$20,000,000 for
 20 fiscal year 2026. \$20,000,000
 21 Higher Education Personnel Services Account: For
 22 transfer to the state general fund, \$98,000
 23 for fiscal year 2026. \$98,000
 24 Horse Racing Commission Class C Purse Fund
 25 Account: For transfer to the horse racing
 26 commission operating account, \$340,000 for
 27 fiscal year 2026. \$340,000
 28 Limited Fish and Wildlife Account: For transfer
 29 to the fish, wildlife, and conservation
 30 account, \$3,950,000 for fiscal year 2026
 31 and (~~(\$3,100,000)~~) \$4,100,000 for fiscal
 32 year 2027. (~~(\$7,050,000)~~)
 33 \$8,050,000
 34 Medical Student Loan Account: For transfer to the
 35 state general fund, \$1,751,000 for fiscal
 36 year 2026. \$1,751,000
 37 Model Toxics Control Capital Account: For
 38 transfer to the state general fund,
 39 \$60,000,000 for fiscal year 2026. \$60,000,000
 40 Model Toxics Control Operating Account: For

1	transfer to the state general fund,	
2	\$10,000,000 for fiscal year 2026.	\$10,000,000
3	Municipal Revolving Account: For transfer to	
4	the state general fund, \$5,000,000 for	
5	fiscal year 2026.	\$5,000,000
6	Natural Climate Solutions Account: For transfer	
7	to the wildfire response, forest restoration,	
8	and community resilience account, solely for	
9	the implementation of chapter 298, Laws of	
10	2021 (2SHB 1168) (long-term forest health),	
11	\$20,000,000 for fiscal year 2026 and	
12	\$20,000,000 for fiscal year 2027.	\$40,000,000
13	OFM Central Services Account: For transfer to the	
14	state general fund, \$1,000,000 for fiscal	
15	year 2026 and \$1,000,000 for fiscal year 2027.	\$2,000,000
16	Opioid Abatement Settlement Account: For	
17	transfer to the tribal opioid prevention	
18	and treatment account, the lesser of the	
19	amount determined pursuant to RCW 43.79.483	
20	or this amount for fiscal year 2026,	
21	\$10,000,000 and this amount	
22	for fiscal year 2027, ((\$8,500,000))	
23	<u>\$14,000,000</u>	((\$18,500,000))
24		<u>\$24,000,000</u>
25	Performance Audits of Government Account: For	
26	transfer to the state general fund,	
27	\$2,536,000 for fiscal year 2026 <u>and</u>	
28	<u>\$2,800,000 for fiscal year 2027</u>	((\$2,536,000))
29		<u>\$5,336,000</u>
30	Personnel Service Account: For transfer to the	
31	state general fund, \$3,827,000 for fiscal	
32	year 2026 <u>and \$5,000,000 for fiscal year</u>	
33	<u>2027</u>	((\$3,827,000))
34		<u>\$8,827,000</u>
35	Pipeline Safety Account: For transfer to the	
36	state general fund, \$1,000,000 for fiscal	
37	year 2026.	\$1,000,000
38	Pressure Systems Safety Account: For transfer to	
39	the state general fund, \$260,000 for fiscal	
40	year 2026.	\$260,000

1 Professional Engineers' Account: For transfer to
 2 the state general fund, \$440,000 for fiscal
 3 year 2026. \$440,000
 4 Public Employees' and Retirees' Insurance Account:
 5 For transfer to the state general fund,
 6 \$18,187,000 for fiscal year 2026. \$18,187,000
 7 Public Service Revolving Account: For transfer to
 8 the state general fund, \$7,167,000 for fiscal
 9 year 2026 and \$2,167,000 for fiscal year 2027. \$9,334,000
 10 Public Works Administration Account: For
 11 transfer to the state general fund,
 12 \$1,800,000 for fiscal year 2026. \$1,800,000
 13 Public Works Assistance Account: For transfer to
 14 the state general fund on June 30, 2026,
 15 \$288,000,000 for fiscal year 2026 and, on
 16 June 30, 2027, \$375,000,000 for fiscal year
 17 2027. ((~~\$288,000,000~~))
 18 \$663,000,000
 19 Real Estate Commission Account: For transfer to
 20 the state general fund, \$3,500,000 for
 21 fiscal year 2026. \$3,500,000
 22 Recreational Fisheries Enhancement Account: For
 23 transfer to the fish, wildlife, and
 24 conservation account, \$300,000 for fiscal
 25 year 2026. \$300,000
 26 School Employees' Insurance Account: For transfer to
 27 the state general fund, \$2,551,000 for fiscal
 28 year 2026. \$2,551,000
 29 Shared Game Lottery Account: For transfer to
 30 the education legacy trust account,
 31 \$8,000,000 for fiscal year 2026. \$8,000,000
 32 State Drought Preparedness Account: For transfer
 33 to the state general fund, \$4,000,000 for
 34 fiscal year 2026. \$4,000,000
 35 State Financial Aid Account: For transfer to the
 36 state general fund, \$945,000 for fiscal year
 37 2026. \$945,000
 38 State Seizure Account: For transfer to the
 39 state general fund, \$500,000 for fiscal
 40 year 2026. \$500,000

1 State Treasurer's Service Account: For transfer to
 2 the state general fund, (~~(\$50,000,000)~~)
 3 \$55,000,000 for fiscal year 2026 and
 4 (~~(\$60,000,000)~~) \$65,000,000 for fiscal year
 5 2027. (~~(\$110,000,000)~~)
 6 \$120,000,000
 7 Tobacco Settlement Account: For transfer to the
 8 state general fund, in an amount not to exceed
 9 the actual amount of the annual base payment to
 10 the tobacco settlement account for fiscal year
 11 2026 and additional payments for fiscal year
 12 2026 resulting from the diligent enforcement
 13 settlement. (~~(\$92,000,000)~~)
 14 \$163,014,000
 15 Tobacco Settlement Account: For transfer to the
 16 state general fund, in an amount not to exceed
 17 the actual amount of the annual base payment to
 18 the tobacco settlement account for fiscal year
 19 2027. (~~(\$92,000,000)~~)
 20 \$99,425,000
 21 Traumatic Brain Injury Account: For transfer to
 22 the state general fund, \$1,111,000 for fiscal
 23 year 2026. \$1,111,000
 24 Warm Water Game Fish Account: For transfer to
 25 the fish, wildlife, and conservation
 26 account, \$930,000 for fiscal year 2026 and
 27 \$380,000 for fiscal year 2027. \$1,310,000
 28 Washington Auto Theft Prevention Authority
 29 Account: For transfer to the state general
 30 fund, \$900,000 for fiscal year 2026 and
 31 (~~(\$900,000)~~) \$3,000,000 for fiscal year 2027. (~~(\$1,800,000)~~)
 32 \$3,900,000
 33 Washington State Library-Archives Building
 34 Account: For transfer to the state general
 35 fund, \$18,000,000 for fiscal year 2026 and
 36 \$10,000,000 for fiscal year 2027. (~~(\$18,000,000)~~)
 37 \$28,000,000
 38 Washington Student Loan Account: For transfer to
 39 the state general fund, (~~(\$88,967,000)~~)
 40 \$90,634,000 for fiscal year 2026. (~~(\$88,967,000)~~)

1		\$90,634,000
2	Water Pollution Control Revolving Administration	
3	Account: For transfer to the water pollution	
4	control revolving account, \$3,000,000 for	
5	fiscal year 2026 and \$3,000,000 for fiscal	
6	year 2027.	\$6,000,000
7	<u>Air Operating Permit Account: For transfer to the</u>	
8	<u>state general fund, \$2,000,000 for fiscal</u>	
9	<u>year 2027.</u>	<u>\$2,000,000</u>
10	<u>Budget Stabilization Account: For transfer to the</u>	
11	<u>general fund, \$514,000,000 for fiscal year</u>	
12	<u>2026 and \$366,000,000 for fiscal year 2027.</u>	
13	<u>Pursuant to enactment of Engrossed Second</u>	
14	<u>Substitute House Bill No. 2034 (LEOFF 1</u>	
15	<u>restatement), it is intended that a transfer</u>	
16	<u>of \$880,000,000 will be made from the pension</u>	
17	<u>surplus holding account to the budget</u>	
18	<u>stabilization account by June 30, 2029, as a</u>	
19	<u>repayment for amounts transferred from the</u>	
20	<u>budget stabilization account to the general</u>	
21	<u>fund in the 2025-2027 fiscal biennium.</u>	<u>\$880,000,000</u>
22	<u>Capital Community Assistance Account: For transfer</u>	
23	<u>to the state general fund, \$8,300,000 for</u>	
24	<u>fiscal year 2027.</u>	<u>\$8,300,000</u>
25	<u>Climate Commitment Account: For transfer to the</u>	
26	<u>natural climate solutions account,</u>	
27	<u>\$400,000,000 for fiscal year 2027.</u>	<u>\$400,000,000</u>
28	<u>Climate Investment Account: For transfer to the</u>	
29	<u>climate commitment account, \$20,000,000 for</u>	
30	<u>fiscal year 2027.</u>	<u>\$20,000,000</u>
31	<u>Climate Investment Account: For transfer to the</u>	
32	<u>carbon emissions reduction account,</u>	
33	<u>\$20,000,000 for fiscal year 2026 and</u>	
34	<u>\$20,000,000 for fiscal year 2027.</u>	<u>\$40,000,000</u>
35	<u>Developmental Disabilities Community Services</u>	
36	<u>Account: For transfer to the state general</u>	
37	<u>fund, \$2,000,000 for fiscal year 2027.</u>	<u>\$2,000,000</u>
38	<u>Education Technology Revolving Fund: For transfer</u>	
39	<u>to the state general fund, \$9,000,000 for</u>	
40	<u>fiscal year 2027.</u>	<u>\$9,000,000</u>

1	<u>Fingerprint Identification Account: For transfer</u>	
2	<u>to the state general fund, \$3,000,000 for</u>	
3	<u>fiscal year 2027.</u>	<u>\$3,000,000</u>
4	<u>Fire Service Training Account: For transfer to</u>	
5	<u>the state general fund, \$3,000,000 for</u>	
6	<u>fiscal year 2027.</u>	<u>\$3,000,000</u>
7	<u>Manufacturing Cluster Acceleration Account: For</u>	
8	<u>transfer to the state general fund,</u>	
9	<u>\$2,798,000 for fiscal year 2027.</u>	<u>\$2,798,000</u>
10	<u>Military Department Rental and Lease Account: For</u>	
11	<u>transfer to the state general fund, \$2,000,000</u>	
12	<u>for fiscal year 2026.</u>	<u>\$2,000,000</u>
13	<u>Reclamation Account: For transfer to the state</u>	
14	<u>general fund, \$5,000,000 for fiscal year</u>	
15	<u>2027.</u>	<u>\$5,000,000</u>
16	<u>Secretary of State's Revolving Account: For transfer</u>	
17	<u>to the state general fund, \$5,000,000 for</u>	
18	<u>fiscal year 2027.</u>	<u>\$5,000,000</u>
19	<u>Volunteer Firefighters' and Reserve Officers'</u>	
20	<u>Administrative Fund: For transfer to the</u>	
21	<u>state general fund, \$5,000,000 for fiscal</u>	
22	<u>year 2027.</u>	<u>\$5,000,000</u>
23	<u>Washington Technology Solutions Revolving Account:</u>	
24	<u>For transfer to the state general fund,</u>	
25	<u>\$3,000,000 for fiscal year 2027.</u>	<u>\$3,000,000</u>
26	<u>Waste Reduction, Recycling, and Litter Control</u>	
27	<u>Account: For transfer to the state general</u>	
28	<u>fund, \$3,000,000 for fiscal year 2027.</u>	<u>\$3,000,000</u>
29	<u>Water Quality Permit Account: For transfer to the</u>	
30	<u>state general fund, \$5,000,000 for fiscal year</u>	
31	<u>2027.</u>	<u>\$5,000,000</u>

****Sec. 802 was partially vetoed. See message at end of chapter.***

(End of part)

PART IX
MISCELLANEOUS

Sec. 901. 2025 c 424 s 901 (uncodified) is amended to read as follows:

EXPENDITURE AUTHORIZATIONS

The appropriations contained in this act are maximum expenditure authorizations. Pursuant to RCW 43.88.037, moneys disbursed from the treasury on the basis of a formal loan agreement shall be recorded as loans receivable and not as expenditures for accounting purposes. To the extent that moneys are disbursed on a loan basis, the corresponding appropriation shall be reduced by the amount of loan moneys disbursed from the treasury during the ((2023-2025)) 2025-2027 fiscal biennium.

NEW SECTION. **Sec. 902.** A new section is added to 2025 c 424 (uncodified) to read as follows:

2026 COLLECTIVE BARGAINING AGREEMENTS

(1) In accordance with chapter 41.80 RCW, agreements have been reached between the governor and organizations representing state employee bargaining units and nonstate employee bargaining units for the 2025-2027 fiscal biennium presented to the legislature during the 2026 legislative session. Funding is not provided for compensation and fringe benefit provisions not presented to the legislature by the end of the 2026 legislative session. Funding is approved for agreements and awards with the following organizations:

(a) Washington public employees association, general government; and

(b) Washington public employees association, higher education community college coalition.

(2) In accordance with chapters 41.80 and 41.56 RCW, agreements have been reached between institutions of higher education and employee organizations representing state employee bargaining units for the 2025-2027 fiscal biennium and funding is provided in Part VI of this act for agreements and awards with the following organization: Highline College agreement with the Washington public employees association.

(3) Expenditures for agreements in subsections (1) and (2) of this section may also be funded from nonappropriated accounts. If positions are funded with lidded grants or dedicated fund sources

1 with insufficient revenue, additional funding from other sources is
2 not provided.

3 **Sec. 903.** 2025 c 424 s 907 (uncodified) is amended to read as
4 follows:

5 **COLLECTIVE BARGAINING AGREEMENTS**

6 (1) In accordance with chapters 41.80 and 41.56 RCW, agreements
7 have been reached between the governor and organizations representing
8 state employee bargaining units and nonstate employee bargaining
9 units for the 2025-2027 fiscal biennium presented to the legislature
10 during the 2025 legislative session. Funding is not provided for
11 compensation and fringe benefit provisions not presented to the
12 legislature by the end of the 2025 legislative session. Funding is
13 approved for agreements and awards with the following organizations:

- 14 (a) Washington federation of state employees, general government;
- 15 (b) Teamsters local 117, department of corrections;
- 16 (c) Service employees international union, healthcare 1199NW;
- 17 (d) Professional and technical engineers, local 17;
- 18 (e) Washington association of fish and wildlife professionals;
- 19 (f) The coalition of unions;
- 20 (g) Association of Washington assistant attorneys general;
- 21 (h) Washington federation of state employees, administrative law
22 judges;
- 23 (i) Washington state patrol troopers association;
- 24 (j) Washington state patrol lieutenants and captains association;
- 25 (k) Fish and wildlife officers guild;
- 26 (l) Teamsters 760, fish and wildlife sergeants;
- 27 (m) Washington federation of state employees, higher education
28 community college coalition;
- 29 (n) Service employees international union local 925, family child
30 care providers;
- 31 (o) Adult family home council, adult family home providers; and
- 32 (p) Washington federation of state employees, language access
33 providers.

34 (2) In accordance with chapters 41.80 and 41.56 RCW, agreements
35 have been reached between institutions of higher education and
36 employee organizations representing state employee bargaining units
37 for the 2025-2027 fiscal biennium and funding is provided in Part VI
38 of this act for agreements and awards with the following
39 organizations:

(a) University of Washington:
(i) Washington federation of state employees;
(ii) Service employees international union local 925;
(iii) Teamsters local 117, police; and
(iv) Washington federation of state employees, police management;
(b) Washington State University:
(i) Washington federation of state employees;
(ii) Police guild; and
(iii) International union of operating engineers;
(c) Central Washington University:
(i) Washington federation of state employees;
(ii) Public school employees; and
(iii) Teamsters local 760 police and sergeants;
(d) The Evergreen State College:
(i) Washington federation of state employees; and
(ii) Washington federation of state employees, uniformed personnel;
(e) Western Washington University:
(i) Washington federation of state employees;
(ii) Fraternal order of police, lodge no. 24; and
(iii) Public school employees;
(f) Eastern Washington University:
(i) Washington federation of state employees;
(ii) (~~Washington federation of state employees, uniformed personnel~~) Eastern Washington University police guild; and
(iii) Public school employees; and
(g) Yakima Valley College: (~~Public school employees [Washington public employees association]~~) Washington public employees association.

(3) Expenditures for agreements in subsections (1) and (2) of this section may also be funded from nonappropriated accounts. If positions are funded with lidded grants or dedicated fund sources with insufficient revenue, additional funding from other sources is not provided.

(4) Collective bargaining agreements that are not required to be approved by the legislature under RCW 41.80.010(4)(c)(ii)(A) are not rejected but are left to the institutions delegated to manage those bargained relationships under state employee collective bargaining law. The following agreements are not rejected, but do not require legislative approval:

1 (a) Service employees international union local 1199, research/
2 hall health;

3 (b) Service employees international union local 1199, Harborview
4 medical center/airlift northwest;

5 (c) Service employees international union local 1199, UW medical
6 center—northwest;

7 (d) Washington state nurses association, UW medical center—
8 northwest; and

9 (e) Washington state nurses association, UW medical center—
10 Montlake.

11 **Sec. 904.** 2025 c 424 s 909 (uncodified) is amended to read as
12 follows:

13 **COMPENSATION—INSURANCE BENEFITS**

14 (1)(a) An agreement was reached for the 2025-2027 biennium
15 between the governor and the health care coalition under the
16 provisions of chapter 41.80 RCW. Appropriations in this act for state
17 agencies, including institutions of higher education, are sufficient
18 to implement the provisions of the 2025-2027 collective bargaining
19 agreement, which maintains the provisions of the prior agreement.

20 (b) Appropriations for state agencies in this act are sufficient
21 for represented employees outside the coalition and for
22 nonrepresented state employee health benefits.

23 (2) The appropriations for state agencies in this act are subject
24 to the following conditions and limitations:

25 (a) The monthly employer funding rate for insurance benefit
26 premiums, public employees' benefits board administration, and the
27 uniform medical plan, shall not exceed \$1,333 per eligible employee
28 for fiscal year 2026.

29 (b) For fiscal year 2027, the monthly employer funding rate shall
30 not exceed ((~~\$1,350~~)) \$1,334 per eligible employee.

31 (c) The health care authority, subject to the approval of the
32 public employees' benefits board, shall provide subsidies for health
33 benefit premiums to eligible retired or disabled public employees and
34 school district employees who are eligible for medicare, pursuant to
35 RCW 41.05.085. For calendar years 2026 and 2027, the subsidy shall be
36 up to \$183 per month. Funds from reserves accumulated for future
37 adverse claims experience, from past favorable claims experience, or

otherwise, may not be used to increase this retiree subsidy beyond what is authorized in this subsection.

(d) The monthly employer funding rate paid by school districts and educational service districts to the health care authority includes \$67.61 per month beginning September 1, 2025, and \$77.56 beginning September 1, 2026, for deposit into the public employees' and retirees' insurance account established in RCW 41.05.120.

(3) The funding rates in subsection (2) of this section are sufficient to cover, effective January 1, 2026, the following:

(a) In the uniform medical plan, coverage for doula services;

(b) In the uniform dental plan, the following:

(i) Increasing the temporomandibular joint benefit to \$1,000 annually and \$5,000 per lifetime;

(ii) Eliminating the deductible for children up to age 15; and

(c) Implementation of Engrossed Second Substitute Senate Bill No. 5083 (hospital affordability); and

(d) Elimination of the smart health program as provided in Senate Bill No. 5807 (health plan incentives).

(4) The funding rates in subsection (2) of this section are not sufficient to continue offering an accountable care plan as of plan year 2026.

(5) The rates are not sufficient to add coverage of prescription drugs for the treatment of obesity or weight loss. The authority shall not add coverage of prescription drugs for the treatment of obesity or weight loss without a specific appropriation from the legislature. Nothing in this section requires removal of any existing coverage of prescription drugs to treat diabetes.

(6) Current funding allows for the public employees' benefits board to adjust the employer paid long term disability benefit to a maximum monthly benefit of \$450 within the current funding resources.

Sec. 905. 2025 c 424 s 913 (uncodified) is amended to read as follows:

INITIATIVE 732 COST-OF-LIVING INCREASES

Part VI of this act includes funding for the greater of the general wage increase identified in section 911 of this act or a cost of living adjustment for state employees pursuant to RCW 28B.50.465 and 28B.50.468, as amended by Senate Bill No. 5790 (CTC employee COLAs), for a total increase of 3.0 percent, effective July 1, 2025, and ((2.7)) 2.6 percent, effective July 1, 2026.

1 NEW SECTION. **Sec. 906.** A new section is added to 2025 c 424
2 (uncodified) to read as follows:

3 **WILDLAND FIREFIGHTERS STUDY**

4 During the 2025-2027 fiscal biennium, the law enforcement
5 officers' and firefighters' plan 2 retirement board shall conduct a
6 study of the enrollment of wildland and aviation firefighters
7 employed by the department of natural resources in the law
8 enforcement officers' and firefighters' plan 2 retirement system. In
9 conducting this study, the department of natural resources, the
10 department of retirement systems, and the office of the state actuary
11 shall provide any information or technical assistance requested by
12 the board. The board shall also solicit and consider stakeholder
13 input as part of its deliberations. The board shall submit a report
14 summarizing the findings of the study to the legislature by January
15 1, 2027.

16 NEW SECTION. **Sec. 907.** A new section is added to 2025 c 424
17 (uncodified) to read as follows:

18 **JOINT LEGISLATIVE-EXECUTIVE COMMITTEE ON BUDGET TRANSPARENCY AND**
19 **FISCAL SUSTAINABILITY**

20 (1) A joint legislative-executive committee on budget
21 transparency and fiscal sustainability is established, with members
22 as provided in this subsection.

23 (a) Two members from each of the two largest caucuses of the
24 senate, appointed by the president of the senate;

25 (b) Two members from each of the two largest caucuses of the
26 house of representatives, appointed by the speaker of the house;

27 (c) The director of the office of financial management;

28 (d) The executive director of the economic and revenue forecast
29 council;

30 (e) The executive director of the caseload forecast council;

31 (f) The chief impact officer from the office of the governor;

32 (g) Two chief financial officers representing large state
33 agencies administering forecasted programs, appointed by the
34 governor;

35 (h) Two business representatives, jointly appointed by the
36 president of the senate and the speaker of the house from a list
37 provided by the Washington roundtable; and

1 (i) Two labor representatives, jointly appointed by the president
2 of the senate and the speaker of the house from a list provided by
3 the Washington state labor council.

4 (2) The joint committee shall be co-chaired by three of its
5 members: A member of the senate designated by the president of the
6 senate, a member of the house designated by the speaker of the house,
7 and the director of the office of financial management. Staff support
8 for legislative members of the joint committee shall be provided by
9 senate committee services and the house office of program research.
10 As the co-chairs may collectively agree and reasonably request,
11 additional assistance may be provided by the office of financial
12 management, the economic and revenue forecast council, the caseload
13 forecast council, the legislative evaluation and accountability
14 program committee, the office of equity, and your Washington. These
15 agencies shall enter into any data sharing agreements that are
16 necessary for the work of the joint committee in a timely manner.

17 (3)(a) The co-chairs shall jointly request technical assistance
18 from a nonpartisan organization working to strengthen state
19 government with specific technical expertise in state fiscal policy
20 to provide technical assistance and make recommendations for
21 promoting budget transparency, fiscal sustainability, program
22 accountability, and equitable outcomes.

23 (b) The co-chairs shall jointly request that the organization
24 conduct its work over a two-year period.

25 (i) During the first phase, the organization shall review:
26 Revenue growth projections and spending assumptions in the four-year
27 budget outlook; statutory cost drivers and their effect on
28 carryforward and maintenance levels; and relevant budget practices in
29 other states.

30 (ii) During the second phase, the organization shall review:
31 Management staffing levels, administrative overhead costs, and
32 performance management practices; public reporting tools and data
33 accessibility; and relevant budget practices in other states.

34 (c) The co-chairs shall jointly request that the organization
35 also:

36 (i) Participate in meetings of the joint committee;

37 (ii) Conduct interviews of members of the joint committee, fiscal
38 staff for the house appropriations committee and the senate ways and
39 means committee, staff for the legislative evaluation and

1 accountability program committee, and other stakeholders as part of
2 its work;

3 (iii) Provide members of the joint committee with periodic
4 updates, with progress reviews, preliminary findings, next steps, and
5 opportunities for feedback;

6 (iv) Submit written reports of its findings and recommendations
7 to the joint committee, the house appropriations committee, and the
8 senate ways and means committee for the first phase by November 15,
9 2026, and for the second phase by November 15, 2027; and

10 (v) Present its findings and recommendations at meetings of the
11 joint committee for the first phase by December 1, 2026, and for the
12 second phase by December 1, 2027.

13 (4) The senate and the house of representatives may contract with
14 additional persons who have specific technical expertise if the co-
15 chairs collectively agree that such expertise is necessary for the
16 work of the joint committee. The senate and the house of
17 representatives may enter into such a contract only if an
18 appropriation is specifically provided for this purpose.

19 (5) The co-chairs shall jointly convene up to three meetings of
20 the joint committee per year to review the scope of work to be
21 conducted by the nonprofit organization described in subsection
22 (3)(a) of this section, receive presentations on the organization's
23 findings and recommendations, and make its own recommendations, which
24 shall be submitted to the legislature and the governor for the first
25 phase by December 15, 2026, and for the second phase by December 15,
26 2027. At least two meetings per year shall be fully virtual.

27 (6) Legislative members of the joint committee are reimbursed for
28 travel expenses in accordance with RCW 44.04.120. Nonlegislative
29 members are not entitled to be reimbursed for travel expenses by the
30 senate or the house of representatives if they are elected officials
31 or are participating on behalf of an employer, governmental entity,
32 or other organization.

33 (7) The expenses of the joint committee must be paid jointly by
34 the senate and the house of representatives. Committee expenditures
35 are subject to approval by the senate facilities and operations
36 committee and the house of representatives executive rules committee,
37 or their successor committees.

38 **Sec. 908.** RCW 28B.15.210 and 2025 c 414 s 8026 are each amended
39 to read as follows:

1 Within 35 days from the date of collection thereof, all building
2 fees at the University of Washington, including building fees to be
3 charged students registering in the schools of medicine and
4 dentistry, shall be paid into the state treasury and credited as
5 follows:

6 One-half or such larger portion as may be necessary to prevent a
7 default in the payments required to be made out of the bond
8 retirement fund to the "University of Washington bond retirement
9 fund" and the remainder thereof to the "University of Washington
10 building account." The sum so credited to the University of
11 Washington building account shall be used exclusively for the purpose
12 of erecting, altering, maintaining, equipping, or furnishing
13 buildings, and for certificates of participation under chapter 39.94
14 RCW, except for any sums transferred as authorized in RCW
15 28B.20.725(3). The sum so credited to the University of Washington
16 bond retirement fund shall be used for the payment of principal of
17 and interest on bonds outstanding as provided by chapter 28B.20 RCW
18 except for any sums transferred as authorized in RCW 28B.20.725(5).
19 During the 2023-2025 and 2025-2027 fiscal biennia, sums credited to
20 the University of Washington building account may also be used for
21 routine facility maintenance, utility costs, and facility condition
22 assessments. During the 2025-2027 fiscal biennium, the legislature
23 may direct the state treasurer to make transfers of money in the
24 University of Washington building account to the institutions of
25 higher education operating fees account.

26 **Sec. 909.** RCW 28B.15.310 and 2025 c 414 s 8027 are each amended
27 to read as follows:

28 Within 35 days from the date of collection thereof, all building
29 fees shall be paid and credited as follows: To the Washington State
30 University bond retirement fund, one-half or such larger portion as
31 may be necessary to prevent a default in the payments required to be
32 made out of such bond retirement fund; and the remainder thereof to
33 the Washington State University building account.

34 The sum so credited to the Washington State University building
35 account shall be expended by the board of regents for buildings,
36 equipment, or maintenance on the campus of Washington State
37 University as may be deemed most advisable and for the best interests
38 of the university, and for certificates of participation under
39 chapter 39.94 RCW, except for any sums transferred as authorized by

1 law. During the 2023-2025 and 2025-2027 fiscal biennia, sums credited
2 to the Washington State University building account may also be used
3 for routine facility maintenance, utility costs, and facility
4 condition assessments. Expenditures so made shall be accounted for in
5 accordance with existing law and shall not be expended until
6 appropriated by the legislature. During the 2025-2027 fiscal
7 biennium, the legislature may direct the state treasurer to make
8 transfers of money in the Washington State University building
9 account to the institutions of higher education operating fees
10 account.

11 The sum so credited to the Washington State University bond
12 retirement fund shall be used to pay and secure the payment of the
13 principal of and interest on building bonds issued by the university,
14 except for any sums which may be transferred out of such fund as
15 authorized by law.

16 **Sec. 910.** RCW 28B.35.370 and 2025 c 414 s 8029 are each amended
17 to read as follows:

18 Within 35 days from the date of collection thereof all building
19 fees of each regional university and The Evergreen State College
20 shall be paid into the state treasury and these together with such
21 normal school fund revenues as provided in RCW 28B.35.751 as are
22 received by the state treasury shall be credited as follows:

23 (1) On or before June 30th of each year the board of trustees of
24 each regional university and The Evergreen State College, if issuing
25 bonds payable out of its building fees and above described normal
26 school fund revenues, shall certify to the state treasurer the
27 amounts required in the ensuing 12 months to pay and secure the
28 payment of the principal of and interest on such bonds. The amounts
29 so certified by each regional university and The Evergreen State
30 College shall be a prior lien and charge against all building fees
31 and above described normal school fund revenues of such institution.
32 The state treasurer shall thereupon deposit the amounts so certified
33 in the Eastern Washington University capital projects account, the
34 Central Washington University capital projects account, the Western
35 Washington University capital projects account, or The Evergreen
36 State College capital projects account respectively, which accounts
37 are hereby created in the state treasury. The amounts deposited in
38 the respective capital projects accounts shall be used to pay and
39 secure the payment of the principal of and interest on the building

bonds issued by such regional universities and The Evergreen State College as authorized by law. If in any 12-month period it shall appear that the amount certified by any such board of trustees is insufficient to pay and secure the payment of the principal of and interest on the outstanding building and above described normal school fund revenue bonds of its institution, the state treasurer shall notify the board of trustees and such board shall adjust its certificate so that all requirements of moneys to pay and secure the payment of the principal of and interest on all such bonds then outstanding shall be fully met at all times.

(2) All normal school fund revenue pursuant to RCW 28B.35.751 shall be deposited in the Eastern Washington University capital projects account, the Central Washington University capital projects account, the Western Washington University capital projects account, or The Evergreen State College capital projects account respectively, which accounts are hereby created in the state treasury. The sums deposited in the respective capital projects accounts shall be appropriated and expended to pay and secure the payment of the principal of and interest on bonds payable out of the building fees and normal school revenue and for the construction, reconstruction, erection, equipping, maintenance, demolition and major alteration of buildings and other capital assets, and the acquisition of sites, rights-of-way, easements, improvements or appurtenances in relation thereto except for any sums transferred therefrom as authorized by law. During the 2023-2025 and 2025-2027 fiscal biennia, sums in the respective capital accounts may also be used for routine facility maintenance, utility costs, and facility condition assessments. During the 2025-2027 fiscal biennium, the legislature may direct the state treasurer to make transfers of money in the respective capital projects accounts to the institutions of higher education operating fees account.

(3) Funds available in the respective capital projects accounts may also be used for certificates of participation under chapter 39.94 RCW.

Sec. 911. RCW 28B.50.360 and 2025 c 414 s 8030 are each amended to read as follows:

Within 35 days from the date of start of each quarter all collected building fees of each such community and technical college

1 shall be paid into the state treasury, and shall be credited as
2 follows:

3 (1) On or before June 30th of each year the college board, if
4 issuing bonds payable out of building fees, shall certify to the
5 state treasurer the amounts required in the ensuing 12-month period
6 to pay and secure the payment of the principal of and interest on
7 such bonds. The state treasurer shall thereupon deposit the amounts
8 so certified in the community and technical college capital projects
9 account. Such amounts of the funds deposited in the community and
10 technical college capital projects account as are necessary to pay
11 and secure the payment of the principal of and interest on the
12 building bonds issued by the college board as authorized by this
13 chapter shall be devoted to that purpose. If in any 12-month period
14 it shall appear that the amount certified by the college board is
15 insufficient to pay and secure the payment of the principal of and
16 interest on the outstanding building bonds, the state treasurer shall
17 notify the college board and such board shall adjust its certificate
18 so that all requirements of moneys to pay and secure the payment of
19 the principal and interest on all such bonds then outstanding shall
20 be fully met at all times.

21 (2) The community and technical college capital projects account
22 is hereby created in the state treasury. The sums deposited in the
23 capital projects account shall be appropriated and expended to pay
24 and secure the payment of the principal of and interest on bonds
25 payable out of the building fees and for the construction,
26 reconstruction, erection, equipping, maintenance, demolition and
27 major alteration of buildings and other capital assets owned by the
28 state board for community and technical colleges in the name of the
29 state of Washington, and the acquisition of sites, rights-of-way,
30 easements, improvements or appurtenances in relation thereto,
31 engineering and architectural services provided by the department of
32 enterprise services, and for the payment of principal of and interest
33 on any bonds issued for such purposes. During the 2023-2025 and
34 2025-2027 fiscal biennia, sums in the capital projects account may
35 also be used for routine facility maintenance and utility costs.
36 During the 2025-2027 fiscal biennium, the legislature may direct the
37 state treasurer to make transfers of money in the community and
38 technical colleges capital projects account to the institutions of
39 higher education operating fees account.

1 (3) Funds available in the community and technical college
2 capital projects account may also be used for certificates of
3 participation under chapter 39.94 RCW.

4 **Sec. 912.** RCW 28B.76.526 and 2025 c 58 s 3003 are each amended
5 to read as follows:

6 The Washington opportunity pathways account is created in the
7 state treasury. Expenditures from the account may be used only for
8 programs in chapter 28A.710 RCW (charter schools), chapter 28B.12 RCW
9 (state work-study), chapter 28B.50 RCW (opportunity grant), RCW
10 28B.76.660 (Washington scholars award), RCW 28B.76.670 (Washington
11 award for vocational excellence), chapter 28B.92 RCW (Washington
12 college grant program), chapter 28B.105 RCW (GET ready for math and
13 science scholarship), chapter 28B.117 RCW (passport to careers),
14 chapter 28B.118 RCW (college bound scholarship), and chapter 43.216
15 RCW (early childhood education and assistance program). During the
16 2019-2021, 2021-2023, ~~((and))~~ 2023-2025, and 2025-2027 fiscal
17 biennia, the account may also be appropriated for public schools
18 funded under chapters 28A.150 and 28A.715 RCW.

19 **Sec. 913.** RCW 29B.60.080 and 2024 c 164 s 497 are each amended
20 to read as follows:

21 The public disclosure transparency account is created in the
22 state treasury. All receipts from penalties collected pursuant to
23 enforcement actions or settlements under this title, including any
24 fees or costs, must be deposited into the account. Moneys in the
25 account may be spent only after appropriation. Moneys in the account
26 may be used only for the implementation of chapter 304, Laws of 2018
27 and duties under this title, and may not be used to supplant general
28 fund appropriations to the commission, except during the 2025-2027
29 fiscal biennium.

30 **Sec. 914.** RCW 38.40.210 and 2025 c 424 s 1905 are each amended
31 to read as follows:

32 The military department rental and lease account is created in
33 the state treasury. All receipts from the rental or lease of state-
34 owned military department property must be deposited into the
35 account. Money in the account may be spent only after appropriation.
36 Expenditures from the account may be used only for operating and
37 maintenance costs of military property. During the 2023-2025 and

1 2025-2027 fiscal (~~biennium~~) biennia, the legislature may direct the
2 state treasurer to transfer money in the military department rental
3 and lease account to the state general fund.

4 **Sec. 915.** RCW 41.24.030 and 2023 c 73 s 7 are each amended to
5 read as follows:

6 (1) The volunteer firefighters' relief and pension principal fund
7 is created in the state treasury as a trust fund for the benefit of
8 the volunteer firefighter and emergency worker participants covered
9 by this chapter consisting of:

10 (a) All bequests, fees, gifts, emoluments, or donations given or
11 paid to the fund;

12 (b) An annual fee for each member of its fire department to be
13 paid by each municipal corporation for the purpose of affording
14 relief provided in this chapter for firefighters as follows:

15 (i) Fifty dollars for each volunteer or part-paid member of its
16 fire department;

17 (ii) A sum equal to one and one-half of one percent of the annual
18 salary attached to the rank of each full-paid member of its fire
19 department, prorated for 1970 on the basis of services prior to March
20 1, 1970;

21 (c) An annual fee for each emergency worker of an emergency
22 medical service district paid by the district that is sufficient to
23 pay the full costs of covering the emergency worker under the relief
24 provisions of this chapter, including operating expenses. The state
25 board shall determine the amount of this fee based on the latest
26 actuarial valuation of the system;

27 (d) Where a municipal corporation has elected to make the
28 retirement pension provisions of this chapter available to members of
29 its fire department, an annual fee of ninety dollars for each of its
30 firefighters electing to enroll, forty-five dollars of which shall be
31 paid by the municipality and forty-five dollars of which shall be
32 paid by the firefighter. However, nothing in this section prohibits
33 any municipality from voluntarily paying the firefighters' fee for
34 this retirement pension coverage;

35 (e) Where an emergency medical service district has elected to
36 make the retirement pension provisions of this chapter available to
37 its emergency workers, for each emergency worker electing to enroll:

38 (i) An annual fee of forty-five dollars shall be paid by the
39 emergency worker; and (ii) an annual fee paid by the emergency

1 medical service district that, together with the forty-five dollar
2 fee per emergency worker, is sufficient to pay the full costs of
3 covering the emergency worker under the retirement pension benefits
4 provided under this chapter, including operating expenses. The state
5 board shall determine the amount of this fee based on the latest
6 actuarial valuation of the system. However, nothing in this section
7 prohibits any emergency medical service district from voluntarily
8 paying the emergency workers' fees for this retirement pension
9 coverage;

10 (f) Moneys transferred from the administrative fund, as provided
11 under subsection (5) of this section, which may only be used to pay
12 relief and retirement pensions for firefighters; and

13 (g) Earnings from the investment of moneys in the volunteer
14 firefighters' principal fund.

15 (2) The reserve officers' relief and pension principal fund is
16 created in the state treasury as a trust fund for the benefit of the
17 reserve officer participants covered by this chapter consisting of:

18 (a) All bequests, fees, gifts, emoluments, or donations given or
19 paid to the fund;

20 (b) Where a municipal corporation has elected to make relief
21 provisions of this chapter available to its reserve officers, an
22 annual fee for each reserve officer paid by the municipal corporation
23 that is sufficient to pay the full costs of covering the reserve
24 officer under the relief provisions of this chapter, including
25 operating expenses. The state board shall determine the amount of
26 this fee based on the latest actuarial valuation of the system;

27 (c) Where a municipal corporation has elected to make the
28 retirement pension provisions of this chapter available to its
29 reserve officers, for each reserve officer electing to enroll: (i) An
30 annual fee of \$45 shall be paid by the reserve officer; and (ii) an
31 annual fee paid by the municipal corporation that, together with the
32 \$45 fee per reserve officer, is sufficient to pay the full costs of
33 covering the reserve officer under the retirement pension benefits
34 provided under this chapter, including operating expenses. The state
35 board shall determine the amount of this fee based on the latest
36 actuarial valuation of the system. However, nothing in this section
37 prohibits any municipal corporation from voluntarily paying the
38 reserve officers' fees for this retirement pension coverage;

1 (d) Moneys transferred from the administrative fund, as provided
2 under subsection (5) of this section, which may only be used to pay
3 relief and retirement pensions for reserve officers; and

4 (e) Earnings from the investment of moneys in the reserve
5 officers' principal fund.

6 (3)(a) The state investment board shall have full power to
7 invest, reinvest, manage, contract, sell, comingle, or exchange
8 investments acquired from that portion of the amounts credited to the
9 principal funds as is not, in the judgment of the state board,
10 required to meet current withdrawals. Investments shall be made in
11 the manner prescribed by RCW 43.84.150 and not otherwise.

12 (b) All bonds, investments, or other obligations purchased by the
13 state investment board shall be placed in the custody of the state
14 treasurer, and he or she shall collect the principal thereof and
15 interest thereon when due.

16 (4)(a) The interest, earnings, and proceeds from the sale and
17 redemption of any investments held by the principal fund and invested
18 by the state investment board shall be credited to and form a part of
19 the principal fund, less the allocation to the state investment board
20 expense account pursuant to RCW 43.33A.160.

21 (b) Subject to restrictions contained in this chapter, all
22 amounts credited to the principal fund shall be available for making
23 the benefit payments required by this chapter. Amounts credited to
24 each separate principal fund shall only be available to make benefit
25 payments for the members of that specific principal fund.

26 (c) The state treasurer shall make an annual report showing the
27 condition of the funds.

28 (5) The volunteer firefighters' and reserve officers'
29 administrative fund is created in the state treasury. Moneys in the
30 fund, including unanticipated revenues under RCW 43.79.270, may be
31 spent only after appropriation, and may be used only for operating
32 expenses of the volunteer firefighters' relief and pension principal
33 fund, the reserve officers' relief and pension principal fund, the
34 operating expenses of the volunteer firefighters' and reserve
35 officers' administrative fund, or for transfer from the
36 administrative fund to the principal fund.

37 (a) During the 2025-2027 fiscal biennium:

38 (i) Moneys in the fund may be used for the office of the state
39 actuary to evaluate whether the current annual allocation of fire
40 insurance premium tax provides sufficient funding, together with

1 member and employer contributions, to meet the plan's systematic
2 actuarial required contributions while mitigating the risk of excess
3 funding; and

4 (ii) The legislature may direct the state treasurer to transfer
5 money in the volunteer firefighters' and reserve officers'
6 administrative fund to the state general fund.

7 (b) Forty percent of all moneys received by the state from taxes
8 on fire insurance premiums shall be paid into the state treasury and
9 credited to the administrative fund.

10 ~~((b))~~ (c) The state board shall compute a percentage of the
11 amounts credited to the administrative fund to be paid into the
12 principal fund.

13 ~~((e))~~ (d) For the purpose of providing amounts to be used to
14 defray the cost of administration of the principal and administrative
15 funds, the state board shall ascertain at the beginning of each
16 biennium and request from the legislature an appropriation from the
17 administrative fund sufficient to cover estimated expenses for the
18 biennium.

19 (6) Pursuant to section 3, chapter 73, Laws of 2023, on August 1,
20 2023, the state board will transfer an amount of funds from the
21 principal account in subsection (1) of this section to the new
22 principal account created in subsection (2) of this section.

23 **Sec. 916.** RCW 41.45.060 and 2025 c 381 s 3 are each amended to
24 read as follows:

25 (1) The state actuary shall provide preliminary actuarial
26 valuation results based on the economic assumptions and asset value
27 smoothing technique included in RCW 41.45.035 or adopted under RCW
28 41.45.030 or 41.45.035.

29 (2) Not later than July 31, 2008, and every two years thereafter,
30 consistent with the economic assumptions and asset value smoothing
31 technique included in RCW 41.45.035 or adopted under RCW 41.45.030 or
32 41.45.035, the council shall adopt and may make changes to:

33 (a) A basic state contribution rate for the law enforcement
34 officers' and firefighters' retirement system plan 1;

35 (b) Basic employer contribution rates for the public employees'
36 retirement system, the teachers' retirement system, and the
37 Washington state patrol retirement system; and

38 (c) Basic employer contribution rates for the school employees'
39 retirement system and the public safety employees' retirement system

1 for funding both those systems and the public employees' retirement
2 system plan 1.

3 The council may adopt annual rate changes for any plan for any
4 rate-setting period. The contribution rates adopted by the council
5 shall be subject to revision by the legislature.

6 (3) The employer and state contribution rates adopted by the
7 council shall be the level percentages of pay that are needed:

8 (a) To fully amortize the total costs of the law enforcement
9 officers' and firefighters' retirement system plan 1 not later than
10 June 30, 2024;

11 (b) To fully fund the public employees' retirement system plans 2
12 and 3, the teachers' retirement system plans 2 and 3, the public
13 safety employees' retirement system plan 2, and the school employees'
14 retirement system plans 2 and 3 in accordance with RCW 41.45.061,
15 41.45.067, and this section; and

16 (c) To fully fund the public employees' retirement system plan 1
17 and the teachers' retirement system plan 1 in accordance with RCW
18 41.45.070, 41.45.150, and this section.

19 (4) The aggregate actuarial cost method shall be used to
20 calculate a combined plan 2 and 3 normal cost, a Washington state
21 patrol retirement system normal cost, and a public safety employees'
22 retirement system normal cost.

23 (5) A modified entry age normal cost method, as set forth in this
24 chapter, shall be used to calculate employer contributions to the
25 public employees' retirement system plan 1 and the teachers'
26 retirement system plan 1.

27 (6) The employer contribution rate for the public employees'
28 retirement system and the school employees' retirement system shall
29 equal the sum of:

30 (a) The amount required to pay the combined plan 2 and plan 3
31 normal cost for the system, subject to any minimum rates applied
32 pursuant to RCW 41.45.155; plus

33 (b) The amount required to amortize the unfunded actuarial
34 accrued liability in plan 1 of the public employees' retirement
35 system over a rolling ten-year period using projected future salary
36 growth and growth in system membership, and subject to any minimum or
37 maximum rates applied pursuant to RCW 41.45.150; plus

38 (c) Except as described in (d) of this subsection, the amounts
39 required to amortize the costs of any benefit improvements in plan 1
40 of the public employees' retirement system that become effective

1 after June 30, 2009. The cost of each benefit improvement shall be
2 amortized over a fixed 15-year period using projected future salary
3 growth and growth in system membership. The amounts required under
4 this subsection are not subject to, and are collected in addition to,
5 any minimum or maximum rates applied pursuant to RCW 41.45.150; plus

6 (d) The amounts required to fully amortize the remaining costs of
7 benefit improvements in the public employees' retirement system plan
8 1 effective from July 1, 2018, through (~~(June 30, 2025))~~ July 1,
9 2026, over a fixed 15-year period with the rate between July 1, 2025,
10 and June 30, 2029, being zero. The amounts required under this
11 subsection are not subject to, and are collected in addition to, any
12 minimum or maximum rates applied pursuant to RCW 41.45.150.

13 (7) The employer contribution rate for the public safety
14 employees' retirement system shall equal the sum of:

15 (a) The amount required to pay the normal cost for the system,
16 subject to any minimum rates applied pursuant to RCW 41.45.155; plus

17 (b) The amount required to amortize the unfunded actuarial
18 accrued liability in plan 1 of the public employees' retirement
19 system over a rolling ten-year period using projected future salary
20 growth and growth in system membership, and subject to any minimum or
21 maximum rates applied pursuant to RCW 41.45.150; plus

22 (c) Except as described in (d) of this subsection, the amounts
23 required to amortize the costs of any benefit improvements in plan 1
24 of the public employees' retirement system that become effective
25 after June 30, 2009. The cost of each benefit improvement shall be
26 amortized over a fixed 15-year period using projected future salary
27 growth and growth in system membership. The amounts required under
28 this subsection are not subject to, and are collected in addition to,
29 any minimum or maximum rates applied pursuant to RCW 41.45.150; plus

30 (d) The amounts required to fully amortize the remaining costs of
31 benefit improvements in the public employees' retirement system plan
32 1 effective from July 1, 2018, through (~~(June 30, 2025))~~ July 1,
33 2026, over a fixed 15-year period with the rate between July 1, 2025,
34 and June 30, 2029, being zero. The amounts required under this
35 subsection are not subject to, and are collected in addition to, any
36 minimum or maximum rates applied pursuant to RCW 41.45.150.

37 (8) The employer contribution rate for the teachers' retirement
38 system shall equal the sum of:

1 (a) The amount required to pay the combined plan 2 and plan 3
2 normal cost for the system, subject to any minimum rates applied
3 pursuant to RCW 41.45.155; plus

4 (b) The amount required to amortize the unfunded actuarial
5 accrued liability in plan 1 of the teachers' retirement system over a
6 rolling ten-year period using projected future salary growth and
7 growth in system membership, and subject to any minimum or maximum
8 rates applied pursuant to RCW 41.45.150; plus

9 (c) Except as described in (d) of this subsection, the amounts
10 required to amortize the costs of any benefit improvements in plan 1
11 of the teachers' retirement system that become effective after June
12 30, 2009. The cost of each benefit improvement shall be amortized
13 over a fixed 15-year period using projected future salary growth and
14 growth in system membership. The amounts required under this
15 subsection are not subject to, and are collected in addition to, any
16 minimum or maximum rates applied pursuant to RCW 41.45.150; plus

17 (d) The amounts required to fully amortize the remaining costs of
18 benefit improvements in the teachers' retirement system plan 1
19 effective from July 1, 2018, through (~~(June 30, 2025)~~) July 1, 2026,
20 over a fixed 15-year period with the rate between July 1, 2025, and
21 June 30, 2029, being zero. The amounts required under this subsection
22 are not subject to, and are collected in addition to, any minimum or
23 maximum rates applied pursuant to RCW 41.45.150.

24 (9) The employer contribution rate for each of the institutions
25 of higher education for the higher education supplemental retirement
26 benefits must be sufficient to fund, as a level percentage of pay, a
27 portion of the projected cost of the supplemental retirement benefits
28 for the institution beginning in 2035, with the other portion
29 supported on a pay-as-you-go basis, either as direct payments by each
30 institution to retirees, or as contributions to the higher education
31 retirement plan supplemental benefit fund. Contributions must
32 continue until the council determines that the institution for higher
33 education supplemental retirement benefit liabilities are satisfied.

34 (10) The council shall immediately notify the directors of the
35 office of financial management and department of retirement systems
36 of the state and employer contribution rates adopted. The rates shall
37 be effective for the ensuing biennial period, subject to any
38 legislative modifications.

1 (11) The director shall collect those rates adopted by the
2 council. The rates established in RCW 41.45.062, or by the council,
3 shall be subject to revision by the legislature.

4 (12) The state actuary shall prepare final actuarial valuation
5 results based on the economic assumptions, asset value smoothing
6 technique, and contribution rates included in or adopted under RCW
7 41.45.030, 41.45.035, and this section.

8 **Sec. 917.** RCW 41.45.070 and 2025 c 381 s 4 are each amended to
9 read as follows:

10 (1) In addition to the basic employer contribution rate
11 established in RCW 41.45.060 or 41.45.054, the department shall also
12 charge employers of public employees' retirement system, teachers'
13 retirement system, school employees' retirement system, public safety
14 employees' retirement system, or Washington state patrol retirement
15 system members an additional supplemental rate to pay for the cost of
16 additional benefits, if any, granted to members of those systems.
17 Except as provided in subsections (6), (7), ~~((and))~~ (9), and (10) of
18 this section, the supplemental contribution rates required by this
19 section shall be calculated by the state actuary and shall be charged
20 regardless of language to the contrary contained in the statute which
21 authorizes additional benefits.

22 (2) In addition to the basic member, employer, and state
23 contribution rate established in RCW 41.45.0604 for the law
24 enforcement officers' and firefighters' retirement system plan 2, the
25 department shall also establish supplemental rates to pay for the
26 cost of additional benefits, if any, granted to members of the law
27 enforcement officers' and firefighters' retirement system plan 2.
28 Except as provided in subsection (6) of this section, these
29 supplemental rates shall be calculated by the actuary retained by the
30 law enforcement officers' and firefighters' board and the state
31 actuary through the process provided in RCW 41.26.720(1)(a) and the
32 state treasurer shall transfer the additional required contributions
33 regardless of language to the contrary contained in the statute which
34 authorizes the additional benefits.

35 (3) The supplemental rate charged under this section to fund
36 benefit increases provided to active members of the public employees'
37 retirement system plan 1 and the teachers' retirement system plan 1
38 shall be calculated as the level percentage of all system pay needed
39 to fund the cost of the benefit over a fixed 15-year period, using

1 projected future salary growth and growth in system membership. The
2 supplemental rate to fund benefit increases provided to active
3 members of the public employees' retirement system plan 1 shall be
4 charged to all system employers in the public employees' retirement
5 system, the school employees' retirement system, and the public
6 safety employees' retirement system. The supplemental rate to fund
7 benefit increases provided to active members of the teachers'
8 retirement system plan 1 shall be charged to all system employers in
9 the teachers' retirement system.

10 (4) The supplemental rate charged under this section to fund
11 benefit increases provided to active and retired members of the
12 public employees' retirement system plan 2 and plan 3, the teachers'
13 retirement system plan 2 and plan 3, the public safety employees'
14 retirement system plan 2, the school employees' retirement system
15 plan 2 and plan 3, or the Washington state patrol retirement system
16 shall be calculated as the level percentage of all members' pay
17 needed to fund the cost of the benefit, as calculated under RCW
18 41.45.060, 41.45.061, 41.45.0631, or 41.45.067.

19 (5) The supplemental rate charged under this section to fund
20 postretirement adjustments which are provided on a nonautomatic basis
21 to current retirees shall be calculated as the percentage of pay
22 needed to fund the adjustments as they are paid to the retirees. The
23 supplemental rate charged under this section to fund increases in the
24 automatic postretirement adjustments for active or retired members of
25 the public employees' retirement system plan 1 and the teachers'
26 retirement system plan 1 shall be calculated as the level percentage
27 of pay needed to fund the cost of the automatic adjustments over a
28 fixed 15-year period, using projected future salary growth and growth
29 in system membership. The supplemental rate to fund increases in the
30 automatic postretirement adjustments for active members or retired
31 members of the public employees' retirement system plan 1 shall be
32 charged to all system employers in the public employees' retirement
33 system, the school employees' retirement system, and the public
34 safety employees' retirement system. The supplemental rate to fund
35 increases in automatic postretirement adjustments for active members
36 or retired members of the teachers' retirement system plan 1 shall be
37 charged to all system employers in the teachers' retirement system.

38 (6) A supplemental rate shall not be charged to pay for the cost
39 of additional benefits granted to members pursuant to chapter 340,
40 Laws of 1998.

1 (7) A supplemental rate shall not be charged to pay for the cost
2 of additional benefits granted to members pursuant to chapter 41.31A
3 RCW; section 309, chapter 341, Laws of 1998; or section 701, chapter
4 341, Laws of 1998.

5 (8) A supplemental rate shall not be charged to pay for the cost
6 of additional benefits granted to members and survivors pursuant to
7 chapter 94, Laws of 2006.

8 (9) A supplemental rate shall not be charged to pay for the cost
9 of the additional benefits granted to members of the teachers'
10 retirement system and the school employees' retirement system plans 2
11 and 3 in sections 2, 4, 6, and 8, chapter 491, Laws of 2007 until
12 September 1, 2008. A supplemental rate shall not be charged to pay
13 for the cost of the additional benefits granted to members of the
14 public employees' retirement system plans 2 and 3 under sections 9
15 and 10, chapter 491, Laws of 2007 until July 1, 2008.

16 (10) A supplemental rate shall not be charged to pay for the cost
17 of the additional benefits granted to members of the public
18 employees' and the teachers' retirement systems plans 1 in Substitute
19 Senate Bill No. 5862 (TRS & PERS plan 1 COLA).

20 **Sec. 918.** RCW 43.07.130 and 2025 c 424 s 1907 are each amended
21 to read as follows:

22 There is created within the state treasury a revolving fund, to
23 be known as the "secretary of state's revolving fund," which must be
24 used by the office of the secretary of state to defray the costs of
25 providing registration and information services authorized by law by
26 the office of the secretary of state, and any other cost of carrying
27 out the functions of the secretary of state under Title 11, 18, 19,
28 23, 23B, 24, 25, 26, 30A, 30B, 42, 43, or 64 RCW.

29 The secretary of state is authorized to charge a fee for
30 publications in an amount which will compensate for the costs of
31 printing, reprinting, and distributing such printed matter. Fees
32 recovered by the secretary of state under RCW 43.07.120(2),
33 19.09.305, 19.09.315, 19.09.440, 23.95.260(1) (a)(ii) and (iii) and
34 (d), or 46.64.040, and such other moneys as are expressly designated
35 for deposit in the secretary of state's revolving fund must be placed
36 in the secretary of state's revolving fund.

37 During the 2023-2025 and 2025-2027 fiscal (~~biennium~~) biennia,
38 the legislature may direct the treasurer to transfer money from the
39 secretary of state's revolving fund to the state general fund.

1 **Sec. 919.** RCW 43.41.399 and 2015 3rd sp.s. c 1 s 216 are each
2 amended to read as follows:

3 (1) The education technology revolving fund is created in the
4 custody of the state treasurer. All receipts from billings under
5 subsection (2) of this section must be deposited in the revolving
6 fund. Only the director or the director's designee may authorize
7 expenditures from the fund. The revolving fund shall be used to pay
8 for K-20 network operations, transport, equipment, software,
9 supplies, and services, maintenance and depreciation of on-site data,
10 and shared infrastructure, and other costs incidental to the
11 development, operation, and administration of shared educational
12 information technology services, telecommunications, and systems. The
13 revolving fund shall not be used for the acquisition, maintenance, or
14 operations of local telecommunications infrastructure or the
15 maintenance or depreciation of on-premises video equipment specific
16 to a particular institution or group of institutions.

17 (2) The revolving fund and all disbursements from the revolving
18 fund are subject to the allotment procedure under chapter 43.88 RCW,
19 but an appropriation is not required for expenditures. The office
20 shall, subject to the review and approval of the office of financial
21 management, establish and implement a billing structure for network
22 services identified in subsection (1) of this section.

23 (3) The office shall charge those public entities connected to
24 the K-20 telecommunications system under RCW 43.41.393 an annual
25 copayment per unit of transport connection as determined by the
26 legislature after consideration of the board's recommendations. This
27 copayment shall be deposited into the revolving fund to be used for
28 the purposes in subsection (1) of this section. It is the intent of
29 the legislature to appropriate to the revolving fund such moneys as
30 necessary to cover the costs for transport, maintenance, and
31 depreciation of data equipment located at the individual public
32 institutions, maintenance and depreciation of the K-20 network
33 backbone, and services provided to the network under RCW 43.41.391.

34 (4) During the 2025-2027 fiscal biennium, the legislature may
35 transfer from the education technology revolving fund to the general
36 fund such amounts as reflect the excess fund balance of the account.

37 **Sec. 920.** RCW 43.43.839 and 2019 c 415 s 964 are each amended to
38 read as follows:

1 The fingerprint identification account is created in the custody
2 of the state treasurer. All receipts from incremental charges of
3 fingerprint checks requested for noncriminal justice purposes and
4 electronic background requests shall be deposited in the account.
5 Receipts for fingerprint checks by the federal bureau of
6 investigation may also be deposited in the account. Expenditures from
7 the account may be used only for the cost of record checks. Only the
8 chief of the state patrol or the chief's designee may authorize
9 expenditures from the account. The account is subject to allotment
10 procedures under chapter 43.88 RCW. The account shall be subject to
11 appropriation. During the 2017-2019 and 2019-2021 fiscal biennia,
12 funds in the account may be used for expenditures related to the
13 upgrade of the state patrol's criminal history system. During the
14 2017-2019 and 2019-2021 fiscal biennia, the account may be used for
15 building the sexual assault kit tracking system. It is the intent of
16 the legislature that this policy will be continued in subsequent
17 fiscal biennia. During the 2025-2027 fiscal biennium, the legislature
18 may direct the state treasurer to make transfers of money in the
19 fingerprint identification account to the general fund.

20 **Sec. 921.** RCW 43.43.944 and 2024 c 279 s 1 are each amended to
21 read as follows:

22 (1) The fire service training account is hereby established in
23 the state treasury. The primary purpose of the account is firefighter
24 training for both volunteer and career firefighters. The fund shall
25 consist of:

26 (a) All fees received by the Washington state patrol for fire
27 service training;

28 (b) All grants and bequests accepted by the Washington state
29 patrol under RCW 43.43.940;

30 (c) Twenty-two percent of all moneys received by the state on
31 fire insurance premiums;

32 (d) Revenue from penalties established under RCW 19.27.740; and

33 (e) General fund—state moneys appropriated into the account by
34 the legislature.

35 (2) Moneys in the account may be appropriated for: (a) Fire
36 service training; (b) school fire prevention activities within the
37 Washington state patrol; and (c) the maintenance, operations, and
38 capital projects of the state fire training academy. However,
39 expenditures for purposes of (b) and (c) of this subsection may only

1 be made to the extent that these expenditures do not adversely affect
2 expenditures for the purpose of (a) of this subsection. The state
3 patrol may use amounts appropriated from the fire service training
4 account under this section to contract with the Washington state
5 firefighters apprenticeship trust for the operation of the
6 firefighter joint apprenticeship training program. The contract may
7 call for payments on a monthly basis.

8 (3) Any general fund—state moneys appropriated into the account
9 shall be allocated solely to the firefighter joint apprenticeship
10 training program. The Washington state patrol may contract with
11 outside entities for the administration and delivery of the
12 firefighter joint apprenticeship training program.

13 (4) During the 2025-2027 fiscal biennium, the legislature may
14 direct the state treasurer to make transfers of money in the fire
15 service training account to the general fund.

16 **Sec. 922.** RCW 43.70.250 and 2025 c 360 s 15 are each amended to
17 read as follows:

18 (1) ~~((It))~~ Except as otherwise provided in subsection (4) of this
19 section, it shall be the policy of the state of Washington that the
20 cost of each professional, occupational, or business licensing
21 program be fully borne by the members of that profession, occupation,
22 or business.

23 (2) The secretary shall from time to time establish the amount of
24 all application fees, license fees, registration fees, examination
25 fees, permit fees, renewal fees, and any other fee associated with
26 licensing or regulation of professions, occupations, or businesses
27 administered by the department. Any and all fees or assessments, or
28 both, levied on the state to cover the costs of the operations and
29 activities of the interstate health professions licensure compacts
30 with participating authorities listed under chapter 18.130 RCW shall
31 be borne by the persons who hold licenses issued pursuant to the
32 authority and procedures established under the compacts. In fixing
33 said fees, the secretary shall set the fees for each program at a
34 sufficient level to defray the costs of administering that program
35 and the cost of regulating licensed volunteer medical workers in
36 accordance with RCW 18.130.360, except as provided in RCW 18.79.202.
37 In no case may the secretary impose any certification, examination,
38 or renewal fee upon a person seeking certification as a certified
39 peer support specialist trainee under chapter 18.420 RCW or, between

July 1, 2025, and July 1, 2030, impose a certification, examination, or renewal fee of more than \$100 upon any person seeking certification as a certified peer support specialist under chapter 18.420 RCW. Subject to amounts appropriated for this specific purpose, between July 1, 2024, and July 1, 2029, the secretary may not impose any certification or certification renewal fee on a person seeking certification as a substance use disorder professional or substance use disorder professional trainee under chapter 18.205 RCW of more than \$100.

(3) All such fees shall be fixed by rule adopted by the secretary in accordance with the provisions of the administrative procedure act, chapter 34.05 RCW.

(4) (a) During the 2025-2027 fiscal biennium, amounts that reflect an excess fund balance in the health professions account in RCW 43.70.320 may be used for regulatory and program administration costs for licensing of:

- (i) Music therapists;
- (ii) Home care aides, as related to chapter 323, Laws of 2023;
- (iii) Marriage and family therapists and associates, as related to chapter 425, Laws of 2023 and chapter 371, Laws of 2024;
- (iv) Mental health counselors and associates, as related to chapter 425, Laws of 2023 and chapter 371, Laws of 2024;
- (v) Psychologists, as related to chapter 425, Laws of 2023 and chapter 371, Laws of 2024;
- (vi) Substance use disorder professionals and trainees, as related to chapter 425, Laws of 2023 and chapter 371, Laws of 2024;
- (vii) Social workers and social worker associates, as related to chapter 425, Laws of 2023 and chapter 371, Laws of 2024; and
- (viii) Birth doulas, as related to chapter 217, Laws of 2022.

(b) During the 2025-2027 fiscal biennium, the department may not initiate or impose licensing fee increases to cover the regulatory and program administration costs described in (a) of this subsection or for continued implementation of the health care enforcement and licensing modernization system project.

Sec. 923. RCW 43.70.320 and 2019 c 220 s 1 are each amended to read as follows:

(1) There is created in the state treasury an account to be known as the health professions account. All fees received by the department for health professions licenses, registration,

1 certifications, renewals, compact privileges, or examinations and the
2 civil penalties assessed and collected by the department under RCW
3 18.130.190 shall be forwarded to the state treasurer who shall credit
4 such moneys to the health professions account.

5 (2) All expenses incurred in carrying out the health professions
6 licensing activities of the department shall be paid from the account
7 as authorized by legislative appropriation, except as provided in
8 subsections (4) and (5) of this section. Any residue in the account
9 shall be accumulated and shall not revert to the general fund at the
10 end of the biennium.

11 (3) The secretary shall biennially prepare a budget request based
12 on the anticipated costs of administering the health professions
13 licensing activities of the department which shall include the
14 estimated income from health professions fees.

15 (4) The fees received by the department from applicants for
16 compact privilege under RCW 18.74.500 must be used for the purpose of
17 meeting financial obligations imposed on the state as a result of
18 this state's participation in the physical therapy licensure compact.

19 (5) The secretary shall, at the request of a board or commission
20 as applicable, spend unappropriated funds in the health professions
21 account that are allocated to the requesting board or commission to
22 meet unanticipated costs of that board or commission when revenues
23 exceed more than fifteen percent over the department's estimated
24 six-year spending projections for the requesting board or commission.
25 Unanticipated costs shall be limited to spending as authorized in
26 subsection (3) of this section for anticipated costs.

27 (6) During the 2025-2027 fiscal biennium, excess fund balance of
28 the account may be used as provided in RCW 43.70.250(4).

29 **Sec. 924.** RCW 43.79.565 and 2022 c 297 s 946 are each amended to
30 read as follows:

31 (1) The capital community assistance account is created in the
32 state treasury. Revenues to the account shall consist of
33 appropriations and transfers by the legislature and all other moneys
34 directed for deposit into the account. Moneys in the account may be
35 spent only after appropriation. Moneys in the account may be used for
36 capital costs to provide community support services, and for
37 infrastructure and other capital expenditures to support the well-
38 being of communities.

1 (2) During the 2025-2027 fiscal biennium, the legislature may
2 direct the state treasurer to make transfers of money in the state
3 capital community assistance account to the general fund.

4 **Sec. 925.** RCW 43.88.030 and 2025 c 414 s 8034 are each amended
5 to read as follows:

6 (1) The director of financial management shall provide all
7 agencies with a complete set of instructions for submitting biennial
8 budget requests to the director at least three months before agency
9 budget documents are due into the office of financial management. The
10 budget document or documents shall consist of the governor's budget
11 message which shall be explanatory of the budget and shall contain an
12 outline of the proposed financial policies of the state for the
13 ensuing fiscal period, as well as an outline of the proposed six-year
14 financial policies where applicable, and shall describe in connection
15 therewith the important features of the budget. The biennial budget
16 document or documents shall also describe performance indicators that
17 demonstrate measurable progress towards priority results. The message
18 shall set forth the reasons for salient changes from the previous
19 fiscal period in expenditure and revenue items and shall explain any
20 major changes in financial policy. Attached to the budget message
21 shall be such supporting schedules, exhibits and other explanatory
22 material in respect to both current operations and capital
23 improvements as the governor shall deem to be useful to the
24 legislature. The budget document or documents shall set forth a
25 proposal for expenditures in the ensuing fiscal period, or six-year
26 period where applicable, based upon the estimated revenues and
27 caseloads as approved by the economic and revenue forecast council
28 and caseload forecast council or upon the estimated revenues and
29 caseloads of the office of financial management for those funds,
30 accounts, sources, and programs for which the forecast councils do
31 not prepare an official forecast. Revenues shall be estimated for
32 such fiscal period from the source and at the rates existing by law
33 at the time of submission of the budget document, including the
34 supplemental budgets submitted in the even-numbered years of a
35 biennium. However, the estimated revenues and caseloads for use in
36 the governor's budget document may be adjusted to reflect budgetary
37 revenue transfers and revenue and caseload estimates dependent upon
38 budgetary assumptions of enrollments, workloads, and caseloads. All
39 adjustments to the approved estimated revenues and caseloads must be

1 set forth in the budget document. The governor may additionally
2 submit, as an appendix to each supplemental, biennial, or six-year
3 agency budget or to the budget document or documents, a proposal for
4 expenditures in the ensuing fiscal period from revenue sources
5 derived from proposed changes in existing statutes.

6 The budget document or documents shall also contain:

7 (a) Revenues classified by fund and source for the immediately
8 past fiscal period, those received or anticipated for the current
9 fiscal period, and those anticipated for the ensuing biennium;

10 (b) The undesignated fund balance or deficit, by fund;

11 (c) Such additional information dealing with expenditures,
12 revenues, workload, performance, and personnel as the legislature may
13 direct by law or concurrent resolution;

14 (d) Such additional information dealing with revenues and
15 expenditures as the governor shall deem pertinent and useful to the
16 legislature;

17 (e) Tabulations showing expenditures classified by fund,
18 function, and agency;

19 (f) The expenditures that include nonbudgeted, nonappropriated
20 accounts outside the state treasury;

21 (g) Identification of all proposed direct expenditures to
22 implement the Puget Sound water quality plan under chapter 90.71 RCW,
23 shown by agency and in total; and

24 (h) Tabulations showing each postretirement adjustment by
25 retirement system established after fiscal year 1991, to include, but
26 not be limited to, estimated total payments made to the end of the
27 previous biennial period, estimated payments for the present
28 biennium, and estimated payments for the ensuing biennium.

29 (2) The budget document or documents shall include detailed
30 estimates of all anticipated revenues applicable to proposed
31 operating or capital expenditures and shall also include all proposed
32 operating or capital expenditures. The total of beginning
33 undesignated fund balance and estimated revenues less working capital
34 and other reserves shall equal or exceed the total of proposed
35 applicable expenditures. The budget document or documents shall
36 further include:

37 (a) Interest, amortization and redemption charges on the state
38 debt;

39 (b) Payments of all reliefs, judgments, and claims;

40 (c) Other statutory expenditures;

1 (d) Expenditures incident to the operation for each agency;

2 (e) Revenues derived from agency operations;

3 (f) Expenditures and revenues shall be given in comparative form
4 showing those incurred or received for the immediately past fiscal
5 period and those anticipated for the current biennium and next
6 ensuing biennium;

7 (g) A showing and explanation of amounts of general fund and
8 other funds obligations for debt service and any transfers of moneys
9 that otherwise would have been available for appropriation;

10 (h) Common school expenditures on a fiscal-year basis;

11 (i) A showing, by agency, of the value and purpose of financing
12 contracts for the lease/purchase or acquisition of personal or real
13 property for the current and ensuing fiscal periods; and

14 (j) A showing and explanation of anticipated amounts of general
15 fund and other funds required to amortize the unfunded actuarial
16 accrued liability of the retirement system specified under chapter
17 41.45 RCW, and the contributions to meet such amortization, stated in
18 total dollars and as a level percentage of total compensation.

19 (3) The governor's operating budget document or documents shall
20 reflect the statewide priorities as required by RCW 43.88.090.

21 (4) The governor's operating budget document or documents shall
22 identify activities that are not addressing the statewide priorities.

23 (5)(a) Beginning in the 2021-2023 fiscal biennium, the governor's
24 operating budget document or documents submitted to the legislature
25 must leave, in total, a positive ending fund balance in the general
26 fund and related funds.

27 (b) Beginning in the 2021-2023 fiscal biennium, the projected
28 maintenance level of the governor's operating budget document or
29 documents submitted to the legislature must not exceed the available
30 fiscal resources for the next ensuing fiscal biennium.

31 (c) For purposes of this subsection:

32 (i) "Available fiscal resources" means the beginning general fund
33 and related funds balances and any fiscal resources estimated for the
34 general fund and related funds, adjusted for proposed revenue
35 legislation, and with forecasted revenues adjusted to the greater of
36 (A) the official general fund and related funds revenue forecast for
37 the ensuing biennium, or (B) the official general fund and related
38 funds forecast for the second fiscal year of the current fiscal
39 biennium, increased by 4.5 percent for each fiscal year of the
40 ensuing biennium. For the 2025-2027 fiscal biennium, the forecasted

1 revenues shall be adjusted to be equal to the official general fund
2 and related funds revenue forecast for the ensuing biennium. It is
3 the intent of the legislature to continue this policy in the
4 2027-2029 and 2029-2031 fiscal biennia.

5 (ii) "Projected maintenance level" means estimated appropriations
6 necessary to maintain the continuing costs of program and service
7 levels either funded in the governor's budget document or documents
8 submitted to the legislature or mandated by other state or federal
9 law, adjusted by the estimated cost of proposed executive branch
10 legislation, and the amount of any general fund moneys projected to
11 be transferred to the budget stabilization account pursuant to
12 Article VII, section 12 of the state Constitution. Proposed executive
13 branch legislation does not include proposals by institutions of
14 higher education, other separately elected officials, or other
15 boards, commissions, and offices not under the authority of the
16 governor that are not funded or assumed in the governor's budget
17 document or documents submitted to the legislature.

18 (iii) "Related funds" has the meaning defined in RCW 43.88.055.

19 (d) (b) of this subsection (5) does not apply:

20 (i) To any governor-proposed legislation submitted to the
21 legislature that makes net reductions in general fund and related
22 funds appropriations to prevent the governor from making across-the-
23 board reductions in allotments for these particular funds as provided
24 in RCW 43.88.110(10); or

25 (ii) In a fiscal biennium for which the governor proposes
26 appropriations from the budget stabilization account pursuant to
27 Article VII, section 12(d)(ii) of the state Constitution.

28 (6) A separate capital budget document or schedule shall be
29 submitted that will contain the following:

30 (a) A statement setting forth a long-range facilities plan for
31 the state that identifies and includes the highest priority needs
32 within affordable spending levels;

33 (b) A capital program consisting of proposed capital projects for
34 the next biennium and the two biennia succeeding the next biennium
35 consistent with the long-range facilities plan. Inasmuch as is
36 practical, and recognizing emergent needs, the capital program shall
37 reflect the priorities, projects, and spending levels proposed in
38 previously submitted capital budget documents in order to provide a
39 reliable long-range planning tool for the legislature and state
40 agencies;

1 (c) A capital plan consisting of proposed capital spending for at
2 least four biennia succeeding the next biennium;

3 (d) A strategic plan for reducing backlogs of maintenance and
4 repair projects. The plan shall include a prioritized list of
5 specific facility deficiencies and capital projects to address the
6 deficiencies for each agency, cost estimates for each project, a
7 schedule for completing projects over a reasonable period of time,
8 and identification of normal maintenance activities to reduce future
9 backlogs;

10 (e) A statement of the reason or purpose for a project;

11 (f) Verification that a project is consistent with the provisions
12 set forth in chapter 36.70A RCW;

13 (g) A statement about the proposed site, size, and estimated life
14 of the project, if applicable;

15 (h) Estimated total project cost;

16 (i) For major projects valued over five million dollars,
17 estimated costs for the following project components: Acquisition,
18 consultant services, construction, equipment, project management, and
19 other costs included as part of the project. Project component costs
20 shall be displayed in a standard format defined by the office of
21 financial management to allow comparisons between projects;

22 (j) Estimated total project cost for each phase of the project as
23 defined by the office of financial management;

24 (k) Estimated ensuing biennium costs;

25 (l) Estimated costs beyond the ensuing biennium;

26 (m) Estimated construction start and completion dates;

27 (n) Source and type of funds proposed;

28 (o) Estimated ongoing operating budget costs or savings resulting
29 from the project, including staffing and maintenance costs;

30 (p) For any capital appropriation requested for a state agency
31 for the acquisition of land or the capital improvement of land in
32 which the primary purpose of the acquisition or improvement is
33 recreation or wildlife habitat conservation, the capital budget
34 document, or an omnibus list of recreation and habitat acquisitions
35 provided with the governor's budget document, shall identify the
36 projected costs of operation and maintenance for at least the two
37 biennia succeeding the next biennium. Omnibus lists of habitat and
38 recreation land acquisitions shall include individual project cost
39 estimates for operation and maintenance as well as a total for all
40 state projects included in the list. The document shall identify the

1 source of funds from which the operation and maintenance costs are
2 proposed to be funded;

3 (q) For any capital budget request for funding in the 2025-2027
4 or 2027-2029 fiscal biennia for which the project cost is
5 substantially increased, a statement detailing the amount and reason
6 for the additional cost. If the increased cost is the result of a
7 change in design, the agency must also submit a construction cost
8 estimate for the design as originally submitted. For purposes of this
9 subsection (6)(q), "substantially increased" means total estimated
10 project costs are more than 15 percent above those listed in the
11 prior agency budget request and for which the legislature relied in
12 making a funding decision for design or construction, adjusted for
13 C-100 inflation factors;

14 (r) Such other information bearing upon capital projects as the
15 governor deems to be useful;

16 (s) Standard terms, including a standard and uniform definition
17 of normal maintenance, for all capital projects; and

18 (t) Such other information as the legislature may direct by law
19 or concurrent resolution.

20 For purposes of this subsection (6), the term "capital project"
21 shall be defined subsequent to the analysis, findings, and
22 recommendations of a joint committee comprised of representatives
23 from the house capital appropriations committee, senate ways and
24 means committee, legislative evaluation and accountability program
25 committee, and office of financial management.

26 (7) No change affecting the comparability of agency or program
27 information relating to expenditures, revenues, workload, performance
28 and personnel shall be made in the format of any budget document or
29 report presented to the legislature under this section or RCW
30 43.88.160(1) relative to the format of the budget document or report
31 which was presented to the previous regular session of the
32 legislature during an odd-numbered year without prior legislative
33 concurrence. Prior legislative concurrence shall consist of (a) a
34 favorable majority vote on the proposal by the standing committees on
35 ways and means of both houses if the legislature is in session or (b)
36 a favorable majority vote on the proposal by members of the
37 legislative evaluation and accountability program committee if the
38 legislature is not in session.

1 **Sec. 926.** RCW 43.88.055 and 2021 c 199 s 103 are each amended to
2 read as follows:

3 (1) The legislature must adopt a four-year balanced budget as
4 follows:

5 (a) Beginning in the 2013-2015 fiscal biennium, the legislature
6 shall enact a balanced omnibus operating appropriations bill that
7 leaves, in total, a positive ending fund balance in the general fund
8 and related funds.

9 (b) Beginning in the 2013-2015 fiscal biennium, the projected
10 maintenance level of the omnibus appropriations bill enacted by the
11 legislature shall not exceed the available fiscal resources for the
12 next ensuing fiscal biennium.

13 (2) For purposes of this section:

14 (a) "Available fiscal resources" means the beginning general fund
15 and related fund balances and any fiscal resources estimated for the
16 general fund and related funds, adjusted for enacted legislation, and
17 with forecasted revenues adjusted to the greater of (i) the official
18 general fund and related funds revenue forecast for the ensuing
19 biennium, or (ii) the official general fund and related funds
20 forecast for the second fiscal year of the current fiscal biennium,
21 increased by 4.5 percent for each fiscal year of the ensuing
22 biennium(~~+~~). For the 2025-2027 fiscal biennium, the forecasted
23 revenues shall be adjusted to be equal to the official general fund
24 and related funds revenue forecast for the ensuing biennium. It is
25 the intent of the legislature to continue this policy in the
26 2027-2029 and 2029-2031 fiscal biennia.

27 (b) "Projected maintenance level" means estimated appropriations
28 necessary to maintain the continuing costs of program and service
29 levels either funded in that appropriations bill or mandated by other
30 state or federal law, and the amount of any general fund moneys
31 projected to be transferred to the budget stabilization account
32 pursuant to Article VII, section 12 of the state Constitution(~~+~~).

33 (c) "Related funds," as used in this section, means the
34 Washington opportunity pathways account, the workforce education
35 investment account, the fair start for kids account, and the
36 education legacy trust account.

37 (3) Subsection (1)(a) and (b) of this section does not apply to
38 an appropriations bill that makes net reductions in general fund and
39 related funds appropriations and is enacted between July 1st and
40 February 15th of any fiscal year.

(4) Subsection (1)(b) of this section does not apply in a fiscal biennium in which money is appropriated from the budget stabilization account pursuant to Article VII, section 12(d)(ii) of the state Constitution.

Sec. 927. RCW 43.105.342 and 2024 c 54 s 14 are each amended to read as follows:

(1) The Washington technology solutions revolving account is created in the custody of the state treasurer. All receipts from agency fees and charges for services collected from public agencies must be deposited into the account. The account must be used for the:

(a) Acquisition of equipment, software, supplies, and services; and

(b) Payment of salaries, wages, and other costs incidental to the acquisition, development, maintenance, operation, and administration of: (i) Information services; (ii) telecommunications; (iii) systems; (iv) software; (v) supplies; and (vi) equipment, including the payment of principal and interest on debt by the agency and other users as determined by the office of financial management.

(2) The director or the director's designee, with the approval of the technology services board, is authorized to expend up to one million dollars per fiscal biennium for the technology services board to conduct independent technical and financial analysis of proposed information technology projects.

(3) Only the director or the director's designee may authorize expenditures from the account. The account is subject to allotment procedures under chapter 43.88 RCW, but no appropriation is required for expenditures except as provided in subsection (4) of this section.

(4) Expenditures for the strategic planning and policy component of the agency are subject to appropriation.

(5) During the 2025-2027 fiscal biennium, the legislature may direct the state treasurer to make transfers of money in the Washington technology solutions revolving account to the general fund.

Sec. 928. RCW 43.216.828 and 2025 c 424 s 957 are each amended to read as follows:

(1) It is the intent of the legislature to systemically increase child care subsidy rates over time until rates are equal to the full cost of providing high quality child care.

(2) (~~Beginning~~) In the 2025-2027 fiscal biennium, beginning July 1, 2026, child care subsidy base rates must achieve the 85th percentile of market, as established by the most recent market rate survey published before May 20, 2025, for licensed or certified child care providers. The state and the exclusive representative for family child care providers must enter into bargaining over the implementation of the subsidy rate increase under this subsection.

(3)(a) The department shall build upon the work of the child care collaborative task force to develop and implement a child care cost estimate model and use the completed child care cost model to recommend subsidy rates at levels that are sufficient to compensate licensed or certified child care providers for the full costs of providing high quality child care. The department shall consider:

(i) Adjusting rates to reflect cost of living such as area median income, cost of living by zip code, and grouping by categories such as rural, suburban, or urban; and

(ii) Incorporating the rate model for nonstandard child care hours developed under section 306, chapter 199, Laws of 2021.

(b) The department shall build upon the work of the child care collaborative task force to evaluate options to support access to affordable health care insurance coverage for licensed or certified child care providers.

(4) This section does not interfere with, impede, or in any way diminish the right of family child care providers to bargain collectively with the state through the exclusive bargaining representatives as provided for under RCW 41.56.153.

Sec. 929. RCW 43.280.130 and 2025 c 345 s 1 are each amended to read as follows:

(1) The domestic violence co-responder account is created in the state treasury. All receipts from fees imposed for deposit in the domestic violence co-responder account under RCW 36.18.010 must be deposited into the account. Moneys in the account may be spent only after appropriation.

(2) Expenditures from the account may only be used for:

(a) The domestic violence co-responder grant program created in RCW 43.280.135; and

(b) For the fiscal years ending June 30, 2026, and June 30, 2027,
other programs and services to address domestic violence, including
services for victims and perpetrators of domestic violence.

Sec. 930. RCW 43.330.767 and 2022 c 157 s 1 are each amended to
read as follows:

(1) The manufacturing cluster acceleration account is created in
the state treasury. All receipts from appropriations made to the
manufacturing cluster acceleration account shall be deposited into
the account. Moneys in the account may be spent only after
appropriation.

(2) The department may make expenditures from the account to
support regional cluster acceleration strategies, including:
Supporting projects to assist manufacturers to diversify their
customer base and supply chain, supporting pilot or demonstration
manufacturing projects coordination with organized cluster
initiatives, and supporting projects that are intended to increase
manufacturing and research and development jobs regionally.

(3) The department is encouraged to seek match funds for any
funds appropriated to this account and may utilize funds to match
nonstate funds being expended on a specific project that aligns with
the purpose of this section.

(4) During the 2025-2027 fiscal biennium, the legislature may
direct the state treasurer to transfer money in the manufacturing
cluster acceleration account to the state general fund.

Sec. 931. RCW 50.24.014 and 2025 c 424 s 966 are each amended to
read as follows:

(1)(a) A separate and identifiable account to provide for the
financing of special programs to assist the unemployed is established
in the administrative contingency fund. All money in this account
shall be expended solely for the purposes of this title and for no
other purposes whatsoever, except as provided in subsection (4) of
this section. Contributions to this account shall accrue and become
payable by each employer, except employers as described in RCW
50.44.010 and 50.44.030 who have properly elected to make payments in
lieu of contributions, taxable local government employers as
described in RCW 50.44.035, and those employers who are required to
make payments in lieu of contributions, at a basic rate of two one-

1 hundredths of one percent. The amount of wages subject to tax shall
2 be determined under RCW 50.24.010.

3 (b) A separate and identifiable account is established in the
4 administrative contingency fund for financing the employment security
5 department's administrative costs under RCW 50.22.150 and 50.22.155
6 and the costs under RCW 50.22.150(11) and 50.22.155 (1)(m) and
7 (2)(m). All money in this account shall be expended solely for the
8 purposes of this title and for no other purposes whatsoever.
9 Contributions to this account shall accrue and become payable by each
10 employer, except employers as described in RCW 50.44.010 and
11 50.44.030 who have properly elected to make payments in lieu of
12 contributions, taxable local government employers as described in RCW
13 50.44.035, those employers who are required to make payments in lieu
14 of contributions, those employers described under RCW
15 50.29.025(1)(d), and those qualified employers assigned rate class 20
16 or rate class 40, as applicable, under RCW 50.29.025, at a basic rate
17 of one one-hundredth of one percent. The amount of wages subject to
18 tax shall be determined under RCW 50.24.010. Any amount of
19 contributions payable under this subsection (1)(b) that exceeds the
20 amount that would have been collected at a rate of four one-
21 thousandths of one percent must be deposited in the account created
22 in (a) of this subsection.

23 (2)(a) Contributions under this section shall become due and be
24 paid by each employer under rules as the commissioner may prescribe,
25 and shall not be deducted, in whole or in part, from the remuneration
26 of individuals in the employ of the employer. Any deduction in
27 violation of this section is unlawful.

28 (b) In the payment of any contributions under this section, a
29 fractional part of a cent shall be disregarded unless it amounts to
30 one-half cent or more, in which case it shall be increased to one
31 cent.

32 (3) If the commissioner determines that federal funding has been
33 increased to provide financing for the services specified in chapter
34 50.62 RCW, the commissioner shall direct that collection of
35 contributions under this section be terminated on the following
36 January 1st.

37 (4) During the 2023-2025 and 2025-2027 fiscal biennia, moneys in
38 the account in subsection (1)(a) of this section may be appropriated
39 for poverty reduction programs that coordinate employment, training,
40 education, and other existing systems designed to assist low-income

1 individuals attain self-sufficiency, including the temporary
2 assistance for needy families WorkFirst program established under
3 chapter 74.08A RCW and the food stamp employment and training program
4 established under chapter 74.04 RCW.

5 **Sec. 932.** RCW 70.168.040 and 2011 1st sp.s. c 15 s 86 are each
6 amended to read as follows:

7 (1) The emergency medical services and trauma care system trust
8 account is hereby created in the state treasury. Moneys shall be
9 transferred to the emergency medical services and trauma care system
10 trust account from the public safety education account or other
11 sources as appropriated, and as collected under RCW 46.63.110(7) and
12 46.68.440. Disbursements shall be made by the department subject to
13 legislative appropriation. Expenditures may be made only for the
14 purposes of the state trauma care system under this chapter,
15 including emergency medical services, trauma care services,
16 rehabilitative services, and the planning and development of related
17 services under this chapter and for reimbursement by the health care
18 authority for trauma care services provided by designated trauma
19 centers.

20 (2) During the 2025-2027 fiscal biennium, funds may be used for
21 staffing and resources necessary for the Franklin county public
22 hospital district #1 to provide health services as part of medical
23 transport operations services, including services to the Coyote Ridge
24 corrections center.

25 **Sec. 933.** RCW 70.170.080 and 1993 sp.s. c 24 s 925 are each
26 amended to read as follows:

27 The basic expenses for the hospital data collection and reporting
28 activities of this chapter shall be financed by an assessment against
29 hospitals of no more than four one-hundredths of one percent of each
30 hospital's gross operating costs, to be levied and collected from and
31 after that date, upon which the similar assessment levied under
32 chapter 70.39 RCW is terminated, for the provision of hospital
33 services for its last fiscal year ending on or before June 30th of
34 the preceding calendar year. Budgetary requirements in excess of that
35 limit must be financed by a general fund appropriation by the
36 legislature. All moneys collected under this section shall be
37 deposited by the state treasurer in the hospital data collection
38 account which is hereby created in the state treasury. The department

1 may also charge, receive, and dispense funds or authorize any
2 contractor or outside sponsor to charge for and reimburse the costs
3 associated with special studies as specified in RCW 70.170.050.

4 During the 1993-1995 fiscal biennium, moneys in the hospital data
5 collection account may be expended, pursuant to appropriation, for
6 hospital data analysis and the administration of the health
7 information program. During the 2025-2027 fiscal biennium, moneys in
8 the hospital data collection account may be expended for operating
9 costs of the charity care program.

10 Any amounts raised by the collection of assessments from
11 hospitals provided for in this section which are not required to meet
12 appropriations in the budget act for the current fiscal year shall be
13 available to the department in succeeding years.

14 **Sec. 934.** RCW 70A.15.1010 and 2022 c 179 s 16 are each amended
15 to read as follows:

16 (1) The air pollution control account is established in the state
17 treasury. All receipts collected by or on behalf of the department
18 from RCW 70A.15.2200(2), and receipts from nonpermit program sources
19 under RCW 70A.15.2210(1) and 70A.15.2230(7), and all receipts from
20 RCW 70A.15.5090, 70A.15.5120, and 70A.540.120 shall be deposited into
21 the account. Moneys in the account may be spent only after
22 appropriation. Expenditures from the account may be used only to
23 develop and implement the provisions of this chapter, chapters 70A.25
24 and 70A.540 RCW, and RCW 70A.60.060. Moneys collected under RCW
25 70A.540.120 may only be used to implement chapter 70A.540 RCW.

26 (2) The amounts collected and allocated in accordance with this
27 section shall be expended upon appropriation except as otherwise
28 provided in this section and in accordance with the following
29 limitations:

30 Portions of moneys received by the department of ecology from the
31 air pollution control account shall be distributed by the department
32 to local authorities based on:

33 (a) The level and extent of air quality problems within such
34 authority's jurisdiction;

35 (b) The costs associated with implementing air pollution
36 regulatory programs by such authority; and

37 (c) The amount of funding available to such authority from other
38 sources, whether state, federal, or local, that could be used to
39 implement such programs.

(3) The air operating permit account is created in the custody of the state treasurer. All receipts collected by or on behalf of the department from permit program sources under RCW 70A.15.2210(1), 70A.15.2260, 70A.15.2270, and 70A.15.2230(7) shall be deposited into the account. Expenditures from the account may be used only for the activities described in RCW 70A.15.2210(1), 70A.15.2260, 70A.15.2270, and 70A.15.2230(7). Moneys in the account may be spent only after appropriation. During the 2025-2027 fiscal biennium, the legislature may direct the state treasurer to make transfers of money in the air operating permit account to the general fund.

Sec. 935. RCW 70A.65.260 and 2025 c 424 s 974 are each amended to read as follows:

(1) The climate commitment account is created in the state treasury. The account must receive moneys distributed to the account from the climate investment account created in RCW 70A.65.250. Moneys in the account may be spent only after appropriation. Projects, activities, and programs eligible for funding from the account must be physically located in Washington state and include, but are not limited to, the following:

(a) Implementing the working families' tax credit in RCW 82.08.0206;

(b) Supplementing the growth management planning and environmental review fund established in RCW 36.70A.490 for the purpose of making grants or loans to local governments for the purposes set forth in RCW 43.21C.240, 43.21C.031, 36.70A.500, and 36.70A.600, for costs associated with RCW 36.70A.610, and to cover costs associated with the adoption of optional elements of comprehensive plans consistent with RCW 43.21C.420;

(c) Programs, activities, or projects that reduce and mitigate impacts from greenhouse gases and copollutants in overburdened communities, including strengthening the air quality monitoring network to measure, track, and better understand air pollution levels and trends and to inform the analysis, monitoring, and pollution reduction measures required in RCW 70A.65.020;

(d) Programs, activities, or projects that deploy renewable energy resources, such as solar and wind power, and projects to deploy distributed generation, energy storage, demand-side technologies and strategies, and other grid modernization projects;

1 (e) Programs, activities, or projects that increase the energy
2 efficiency or reduce greenhouse gas emissions of industrial
3 facilities including, but not limited to, proposals to implement
4 combined heat and power, district energy, or on-site renewables, such
5 as solar and wind power, to upgrade the energy efficiency of existing
6 equipment, to reduce process emissions, and to switch to less
7 emissions intensive fuel sources;

8 (f) Programs, activities, or projects that achieve energy
9 efficiency or emissions reductions in the agricultural sector
10 including:

11 (i) Fertilizer management;

12 (ii) Soil management;

13 (iii) Bioenergy;

14 (iv) Biofuels;

15 (v) Grants, rebates, and other financial incentives for
16 agricultural harvesting equipment, heavy duty trucks, agricultural
17 pump engines, tractors, and other equipment used in agricultural
18 operations;

19 (vi) Grants, loans, or any financial incentives to food
20 processors to implement projects that reduce greenhouse gas
21 emissions;

22 (vii) Renewable energy projects;

23 (viii) Farmworker housing weatherization programs;

24 (ix) Dairy digester research and development;

25 (x) Alternative manure management; and

26 (xi) Eligible fund uses under RCW 89.08.615;

27 (g) Programs, activities, or projects that increase energy
28 efficiency in new and existing buildings, or that promote low carbon
29 architecture, including use of newly emerging alternative building
30 materials that result in a lower carbon footprint in the built
31 environment over the life cycle of the building and component
32 building materials;

33 (h) Programs, activities, or projects that promote the
34 electrification and decarbonization of new and existing buildings,
35 including residential, commercial, and industrial buildings;

36 (i) Programs, activities, or projects that improve energy
37 efficiency, including district energy, and investments in market
38 transformation of high efficiency electric appliances and equipment
39 for space and water heating;

1 (j) Clean energy transition and assistance programs, activities,
2 or projects that assist affected workers or people with lower incomes
3 during the transition to a clean energy economy, or grow and expand
4 clean manufacturing capacity in communities across Washington state
5 including, but not limited to:

6 (i) Programs, activities, or projects that directly improve
7 energy affordability and reduce the energy burden of people with
8 lower incomes, as well as the higher transportation fuel burden of
9 rural residents, such as bill assistance, energy efficiency, and
10 weatherization programs;

11 (ii) Community renewable energy projects that allow qualifying
12 participants to own or receive the benefits of those projects at
13 reduced or no cost;

14 (iii) Programs, activities, or other worker-support projects for
15 bargaining unit and nonsupervisory fossil fuel workers who are
16 affected by the transition away from fossil fuels to a clean energy
17 economy. Worker support may include, but is not limited to: (A) Full
18 wage replacement, health benefits, and pension contributions for
19 every worker within five years of retirement; (B) full wage
20 replacement, health benefits, and pension contributions for every
21 worker with at least one year of service for each year of service up
22 to five years of service; (C) wage insurance for up to five years for
23 workers reemployed who have more than five years of service; (D) up
24 to two years of retraining costs, including tuition and related
25 costs, based on in-state community and technical college costs; (E)
26 peer counseling services during transition; (F) employment placement
27 services, prioritizing employment in the clean energy sector; and (G)
28 relocation expenses;

29 (iv) Direct investment in workforce development, via technical
30 education, community college, institutions of higher education,
31 apprenticeships, and other programs including, but not limited to:

32 (A) Initiatives to develop a forest health workforce established
33 under RCW 76.04.521; and

34 (B) Initiatives to develop new education programs, emerging
35 fields, or jobs pertaining to the clean energy economy;

36 (v) Transportation, municipal service delivery, and technology
37 investments that increase a community's capacity for clean
38 manufacturing, with an emphasis on communities in greatest need of
39 job creation and economic development and potential for commute
40 reduction;

1 (k) Programs, activities, or projects that reduce emissions from
2 landfills and waste-to-energy facilities through diversion of organic
3 materials, methane capture or conversion strategies, installation of
4 gas collection devices and gas control systems, monitoring and
5 reporting of methane emissions, or other means, prioritizing funding
6 needed for any activities by local governments to comply with chapter
7 70A.540 RCW;

8 (l) Carbon dioxide removal projects, programs, and activities;
9 and

10 (m) Activities to support efforts to mitigate and adapt to the
11 effects of climate change affecting Indian tribes, including capital
12 investments in support of the relocation of Indian tribes located in
13 areas at heightened risk due to anticipated sea level rise, flooding,
14 or other disturbances caused by climate change. The legislature
15 intends to dedicate at least \$50,000,000 per biennium from the
16 account for purposes of this subsection.

17 (2) Moneys in the account may not be used for projects or
18 activities that would violate tribal treaty rights or result in
19 significant long-term damage to critical habitat or ecological
20 functions. Investments from this account must result in long-term
21 environmental benefits and increased resilience to the impacts of
22 climate change.

23 (3) During the 2023-2025 and 2025-2027 fiscal biennia, the
24 legislature may appropriate moneys from the climate commitment
25 account for activities related to environmental justice, including
26 implementation of chapter 314, Laws of 2021.

27 (4) During the 2025-2027 fiscal biennium, the legislature may
28 direct the state treasurer to make transfers of money in the climate
29 commitment account to the natural climate solutions account.

30 (5) During the 2027-2029 fiscal biennium, the legislature intends
31 to direct the state treasurer to make transfers of money in the
32 pension surplus holding account to the climate commitment account in
33 the amount of \$539,000,000.

34 **Sec. 936.** RCW 70A.200.140 and 2025 c 424 s 976 are each amended
35 to read as follows:

36 (1) There is hereby created an account within the state treasury
37 to be known as the waste reduction, recycling, and litter control
38 account. Moneys in the account may be spent only after appropriation.

Expenditures from the waste reduction, recycling, and litter control account shall be used as follows:

(a) Forty percent to the department of ecology, primarily for use by the departments of ecology, natural resources, revenue, transportation, and corrections, and the parks and recreation commission, for litter collection programs under RCW 70A.200.170. The amount to the department of ecology shall also be used for a central coordination function for litter control efforts statewide; to support employment of youth in litter cleanup as intended in RCW 70A.200.020, and for litter pick up using other authorized agencies; and for statewide public awareness programs under RCW 70A.200.150(7). The amount to the department shall also be used to defray the costs of administering the funding, coordination, and oversight of local government programs for waste reduction, litter control, recycling, and composting so that local governments can apply one hundred percent of their funding to achieving program goals. The amount to the department of revenue shall be used to enforce compliance with the litter tax imposed in chapter 82.19 RCW;

(b)(i) Twenty percent to the department for local government funding programs for waste reduction, litter control, recycling activities, and composting activities by cities and counties under RCW 70A.200.190, to be administered by the department of ecology;

(ii) any unspent funds under (b)(i) of this subsection may be used to create and pay for a matching fund competitive grant program to be used by local governments for the development and implementation of contamination reduction and outreach plans for inclusion in comprehensive solid waste management plans or by local governments and nonprofit organizations for local or statewide education programs designed to help the public with litter control, waste reduction, recycling, and composting of primarily the products taxed under chapter 82.19 RCW. Recipients under this subsection include programs to reduce wasted food and food waste that are designed to achieve the goals established in RCW 70A.205.715(1) and that are consistent with the plan developed in RCW 70A.205.715(3). Grants must adhere to the following requirements: (A) No grant may exceed sixty thousand dollars; (B) grant recipients shall match the grant funding allocated by the department by an amount equal to twenty-five percent of eligible expenses. A local government's share of these costs may be met by cash or contributed services; (C) the obligation of the department to make grant payments is contingent upon the availability

1 of the amount of money appropriated for this subsection (1)(b); and
2 (D) grants are managed under the guidelines for existing grant
3 programs; and

4 (c) Forty percent to the department of ecology to: (i) Implement
5 activities under RCW 70A.200.150 for waste reduction, recycling, and
6 composting efforts; (ii) provide technical assistance to local
7 governments and commercial businesses to increase recycling markets
8 and recycling and composting programs primarily for the products
9 taxed under chapter 82.19 RCW designed to educate citizens about
10 waste reduction, litter control, and recyclable and compostable
11 products and programs; (iii) increase access to waste reduction,
12 composting, and recycling programs, particularly for food packaging
13 and plastic bags and appropriate composting techniques; and (iv) for
14 programs to reduce wasted food and food waste that are designed to
15 achieve the goals established in RCW 70A.205.715(1) and that are
16 consistent with the plan developed in RCW 70A.205.715(3).

17 (2) All taxes imposed in RCW 82.19.010 and fines and bail
18 forfeitures collected or received pursuant to this chapter shall be
19 deposited in the waste reduction, recycling, and litter control
20 account and used for the programs under subsection (1) of this
21 section.

22 (3) Not less than five percent and no more than ten percent of
23 the amount appropriated into the waste reduction, recycling, and
24 litter control account every biennium shall be reserved for capital
25 needs, including the purchase of vehicles for transporting crews and
26 for collecting litter and solid waste. Capital funds shall be
27 distributed among state agencies and local governments according to
28 the same criteria provided in RCW 70A.200.170 for the remainder of
29 the funds, so that the most effective waste reduction, litter
30 control, recycling, and composting programs receive the most funding.
31 The intent of this subsection is to provide funds for the purchase of
32 equipment that will enable the department to account for the greatest
33 return on investment in terms of reaching a zero litter goal.

34 (4) Funds in the waste reduction, recycling, and litter control
35 account, collected under chapter 82.19 RCW, must be prioritized for
36 the products identified under RCW 82.19.020 solely for the purposes
37 of recycling, composting, and litter collection, reduction, and
38 control programs.

39 (5) During the 2021-2023 fiscal biennium, Washington State
40 University may use funds in the waste reduction, recycling, and

1 litter control account, collected under chapter 82.19 RCW, to conduct
2 an organic waste study.

3 (6) During the 2021-2023 fiscal biennium, and as an exception to
4 the distribution of expenditures otherwise required in this section,
5 the department of ecology may use funds in the waste reduction,
6 recycling, and litter control account to continue a series of food
7 waste reduction campaigns, to continue to invest in litter prevention
8 campaigns, to conduct a recycling study, and to increase litter
9 control on state highways.

10 (7) During the 2025-2027 fiscal biennium(~~(f, j)~~), the legislature
11 may appropriate funding for general administrative purposes at the
12 department of ecology. In addition, during the 2025-2027 fiscal
13 biennium, subsection (1)(a), (b), and (c) of this section is
14 suspended.

15 (8) During the 2025-2027 fiscal biennium, the legislature may
16 direct the state treasurer to make transfers of money in the waste
17 reduction, recycling, and litter control account to the general fund.

18 **Sec. 937.** RCW 71A.20.170 and 2020 c 250 s 1 are each amended to
19 read as follows:

20 (1) The developmental disabilities community services account is
21 created in the state treasury.

22 (2) The following revenues must be deposited in the account:

23 (a) All net proceeds from leases or sales of real property,
24 conservation easements, and sales of timber, from the state
25 properties at the Fircrest residential habilitation center, the
26 Lakeland Village residential habilitation center, the Rainier school,
27 and the Yakima Valley school. However, real property that is
28 determined by the department of social and health services to be
29 required for the operations of the residential habilitation centers
30 is excluded from the real property that may be leased or sold for the
31 benefit of the account. In addition, real property owned by the
32 charitable, educational, penal, and reformatory institutions trust,
33 and revenue therefrom, is excluded; and

34 (b) Any other moneys appropriated or transferred to the account
35 by the legislature.

36 (3) Any sale, lease, or easement under this section must be at
37 fair market value.

38 (4) Moneys in the account may be spent only after appropriation.
39 Expenditures from the account shall be used exclusively for:

1 (a) Supports and services in a community setting to benefit
2 eligible persons with intellectual and developmental disabilities;
3 (~~(b)~~)

4 (b) Investment expenses of the state investment board; or

5 (c) During the 2025-2027 fiscal biennium, the legislature may
6 direct the treasurer to make transfers of money in the developmental
7 disabilities community services account to the general fund.

8 (5) The department of social and health services must solicit
9 recommendations from the Washington state developmental disabilities
10 council regarding expenditure of moneys from the Dan Thompson
11 memorial developmental disabilities community services account for
12 supports and services in a community setting to benefit eligible
13 persons with developmental disabilities.

14 (6) Expenditures from the account must supplement, and may not
15 replace, supplant, or reduce current state expenditure levels for
16 supports and services in the community setting for eligible persons
17 with developmental disabilities.

18 (7)(a) The state investment board must invest moneys in the
19 account. The state investment board has the full power to invest,
20 reinvest, manage, contract, sell, or exchange investment money in the
21 account. All investment and operating costs associated with the
22 investment of money shall be paid under RCW 43.33A.160 and 43.84.160.

23 (b) All investments made by the state investment board shall be
24 made with the degree of judgment and care required under RCW
25 43.33A.140 and the investment policy established by the state
26 investment board.

27 (c) The state investment board shall routinely consult and
28 communicate with the department of social and health services and the
29 legislature on the investment policy, earnings of the account, and
30 related needs of the account.

31 (8) The account shall be known as the Dan Thompson memorial
32 developmental disabilities community services account.

33 **Sec. 938.** RCW 74.39A.032 and 2018 c 225 s 3 are each amended to
34 read as follows:

35 (1) The department shall establish in rule a new medicaid payment
36 system for contracted assisted living, adult residential care, and
37 enhanced adult residential care. Beginning July 1, 2019, payments for
38 these contracts must be based on the new methodology which must be
39 phased-in to full implementation according to funding made available

1 by the legislature for this purpose. The new payment system must have
2 these components: Client care, operations, and room and board.

3 (2) Client care is the labor component of the system and must
4 include variables to recognize the time and intensity of client care
5 and services, staff wages, and associated fringe benefits. The wage
6 variable in the client care component must be adjusted according to
7 service areas based on labor costs.

8 (a) The time variable is used to weight the client care payment
9 to client acuity and must be scaled according to the classification
10 levels utilized in the department's assessment tool. The initial
11 system shall establish a variable for time using the residential care
12 time study conducted in 2001 and the department's corresponding
13 estimate of the average staff hours per client by job position.

14 (b) The wage variable shall include recognition of staff
15 positions needed to perform the functions required by contract,
16 including nursing services. Data used to establish the wage variable
17 must be adjusted so that no baseline wage is below the state minimum
18 in effect at the time of implementation. The wage variable is a
19 blended wage based on the federal bureau of labor statistics wage
20 data and the distribution of time according to staff position.
21 Blended wages are established for each county and then counties are
22 arrayed from highest to lowest. Service areas are established and the
23 median blended wage in each service area becomes the wage variable
24 for all the assigned counties in that service area. The system must
25 have no less than two service areas, one of which shall be a high
26 labor cost service area and shall include counties at or above the
27 ninety-fifth percentile in the array of blended wages.

28 (c) The fringe benefit variable recognizes employee benefits and
29 payroll taxes. The factor to calculate the percentage of fringe
30 benefits shall be established using the statewide nursing facility
31 cost ratio of benefits and payroll taxes to in-house wages.

32 (3) The operations component must recognize costs that are
33 allowable under federal medicaid rules for the federal matching
34 percentage. The operations component is calculated at ninety percent
35 or greater of the statewide median nursing facility costs associated
36 with the following:

37 (a) Supplies;

38 (b) Nonlabor administrative expenses;

39 (c) Staff education and in-service training; and

1 (d) Operational overhead including licenses, insurance, and
2 business and (~~occupational~~ ~~[occupation]~~) occupation taxes.

3 (4) The room and board component recognizes costs that do not
4 qualify for federal financial participation under medicaid rules by
5 compensating providers for the medicaid client's share of raw food
6 and shelter costs including expenses related to the physical plant
7 such as property taxes, property and liability insurance, debt
8 service, and major capital repairs. The room and board component is
9 subject to the department's and the Washington state health care
10 authority's rules related to client financial responsibility.

11 (5) Subsections (2) and (3) of this section establish the rate
12 for medicaid covered services. Subsection (4) of this section
13 establishes the rate for nonmedicaid covered services.

14 (6) The rates paid on July 1, 2019, shall be based on data from
15 the 2016 calendar year, except for the time variable under subsection
16 (2)(a) of this section. The client care and operations components
17 must be rebased in even-numbered years. Beginning with rates paid on
18 July 1, 2020, wages, benefits and taxes, and operations costs shall
19 be rebased using 2018 data.

20 (7) Notwithstanding any other provision of this section, the
21 department shall not implement the scheduled rebase of assisted
22 living facility rates that would have otherwise taken effect July 1,
23 2026, until the following fiscal biennium, beginning July 1, 2027.
24 Following the delayed rebase for rates effective July 1, 2027, the
25 department shall resume adherence to the existing statutory biennial
26 rebasings schedule established in this section.

27 (8) Beginning July 1, 2020, the room and board component shall be
28 updated annually subject to the department's and the Washington state
29 health care authority's rules related to client financial
30 responsibility.

31 **Sec. 939.** RCW 74.46.561 and 2023 c 475 s 942 are each amended to
32 read as follows:

33 (1) The legislature adopts a new system for establishing nursing
34 home payment rates beginning July 1, 2016. Any payments to nursing
35 homes for services provided after June 30, 2016, must be based on the
36 new system. The new system must be designed in such a manner as to
37 decrease administrative complexity associated with the payment
38 methodology, reward nursing homes providing care for high acuity

1 residents, incentivize quality care for residents of nursing homes,
2 and establish minimum staffing standards for direct care.

3 (2) The new system must be based primarily on industry-wide
4 costs, and have three main components: Direct care, indirect care,
5 and capital.

6 (3)(a) The direct care component must include the direct care and
7 therapy care components of the previous system, along with food,
8 laundry, and dietary services. Except as provided in (b) of this
9 subsection, direct care must be paid at a fixed rate, based on one
10 hundred percent or greater of statewide case mix neutral median
11 costs, but shall be capped so that a nursing home provider's direct
12 care rate does not exceed 118 percent of its base year's direct care
13 allowable costs except if the provider is below the minimum staffing
14 standard established in RCW 74.42.360(2). Direct care must be
15 performance-adjusted for acuity every six months, using case mix
16 principles. Direct care must be regionally adjusted using countywide
17 wage index information available through the United States department
18 of labor's bureau of labor statistics. There is no minimum occupancy
19 for direct care. The direct care component rate allocations
20 calculated in accordance with this section must be adjusted to the
21 extent necessary to comply with RCW 74.46.421.

22 (b) Unless a nursing home provider is below the minimum staffing
23 standard established in RCW 74.42.360(2), a provider's direct care
24 rate relative to its base year's direct care allowable costs must be
25 capped as follows:

26 (i) For fiscal year 2023, the cap must not exceed 165 percent;

27 (ii) For fiscal year 2024, the cap must not exceed 153 percent;

28 and

29 (iii) For fiscal year 2025, the cap must not exceed 142 percent.

30 (4)(a) The indirect care component must include the elements of
31 administrative expenses, maintenance costs, and housekeeping services
32 from the previous system. Except as provided in (b) of this
33 subsection, a minimum occupancy assumption of ninety percent must be
34 applied to indirect care. Indirect care must be paid at a fixed rate,
35 based on ninety percent or greater of statewide median costs. The
36 indirect care component rate allocations calculated in accordance
37 with this section must be adjusted to the extent necessary to comply
38 with RCW 74.46.421.

39 (b) A minimum occupancy assumption must be applied to indirect
40 care as follows:

1 (i) For fiscal year 2023, the assumption must be 75 percent;

2 (ii) For fiscal year 2024, the assumption must be 80 percent; and

3 (iii) For fiscal year 2025, the assumption must be 80 percent.

4 (5) The capital component must use a fair market rental system to
5 set a price per bed. The capital component must be adjusted for the
6 age of the facility, and must use a minimum occupancy assumption of
7 ninety percent.

8 (a) Beginning July 1, 2016, the fair rental rate allocation for
9 each facility must be determined by multiplying the allowable nursing
10 home square footage in (c) of this subsection by the RSMeans rental
11 rate in (d) of this subsection and by the number of licensed beds
12 yielding the gross unadjusted building value. An equipment allowance
13 of ten percent must be added to the unadjusted building value. The
14 sum of the unadjusted building value and equipment allowance must
15 then be reduced by the average age of the facility as determined by
16 (e) of this subsection using a depreciation rate of one and one-half
17 percent. The depreciated building and equipment plus land valued at
18 ten percent of the gross unadjusted building value before
19 depreciation must then be multiplied by the rental rate at seven and
20 one-half percent to yield an allowable fair rental value for the
21 land, building, and equipment.

22 (b) The fair rental value determined in (a) of this subsection
23 must be divided by the greater of the actual total facility census
24 from the prior full calendar year or imputed census based on the
25 number of licensed beds at ninety percent occupancy.

26 (c) For the rate year beginning July 1, 2016, all facilities must
27 be reimbursed using four hundred square feet. For the rate year
28 beginning July 1, 2017, allowable nursing facility square footage
29 must be determined using the total nursing facility square footage as
30 reported on the medicaid cost reports submitted to the department in
31 compliance with this chapter. The maximum allowable square feet per
32 bed may not exceed four hundred fifty.

33 (d) Each facility must be paid at eighty-three percent or greater
34 of the median nursing facility RSMeans construction index value per
35 square foot. The department may use updated RSMeans construction
36 index information when more recent square footage data becomes
37 available. The statewide value per square foot must be indexed based
38 on facility zip code by multiplying the statewide value per square
39 foot times the appropriate zip code based index. For the purpose of
40 implementing this section, the value per square foot effective July

1 1, 2016, must be set so that the weighted average fair rental value
2 rate is not less than ten dollars and eighty cents per patient day.
3 The capital component rate allocations calculated in accordance with
4 this section must be adjusted to the extent necessary to comply with
5 RCW 74.46.421.

6 (e) The average age is the actual facility age reduced for
7 significant renovations. Significant renovations are defined as those
8 renovations that exceed two thousand dollars per bed in a calendar
9 year as reported on the annual cost report submitted in accordance
10 with this chapter. For the rate beginning July 1, 2016, the
11 department shall use renovation data back to 1994 as submitted on
12 facility cost reports. Beginning July 1, 2016, facility ages must be
13 reduced in future years if the value of the renovation completed in
14 any year exceeds two thousand dollars times the number of licensed
15 beds. The cost of the renovation must be divided by the accumulated
16 depreciation per bed in the year of the renovation to determine the
17 equivalent number of new replacement beds. The new age for the
18 facility is a weighted average with the replacement bed equivalents
19 reflecting an age of zero and the existing licensed beds, minus the
20 new bed equivalents, reflecting their age in the year of the
21 renovation. At no time may the depreciated age be less than zero or
22 greater than forty-four years.

23 (f) A nursing facility's capital component rate allocation must
24 be rebased annually, effective July 1, 2016, in accordance with this
25 section and this chapter.

26 (g) For the purposes of this subsection (5), "RSMeans" means
27 building construction costs data as published by Gordian.

28 (6) A quality incentive must be offered as a rate enhancement
29 beginning July 1, 2016.

30 (a) An enhancement no larger than five percent and no less than
31 one percent of the statewide average daily rate must be paid to
32 facilities that meet or exceed the standard established for the
33 quality incentive. All providers must have the opportunity to earn
34 the full quality incentive payment.

35 (b) The quality incentive component must be determined by
36 calculating an overall facility quality score composed of four to six
37 quality measures. For fiscal year 2017 there shall be four quality
38 measures, and for fiscal year 2018 there shall be six quality
39 measures. Initially, the quality incentive component must be based on
40 minimum data set quality measures for the percentage of long-stay

1 residents who self-report moderate to severe pain, the percentage of
2 high-risk long-stay residents with pressure ulcers, the percentage of
3 long-stay residents experiencing one or more falls with major injury,
4 and the percentage of long-stay residents with a urinary tract
5 infection. Quality measures must be reviewed on an annual basis by a
6 stakeholder work group established by the department. Upon review,
7 quality measures may be added or changed. The department may risk
8 adjust individual quality measures as it deems appropriate.

9 (c) The facility quality score must be point based, using at a
10 minimum the facility's most recent available three-quarter average
11 centers for medicare and medicaid services quality data. Point
12 thresholds for each quality measure must be established using the
13 corresponding statistical values for the quality measure point
14 determinants of eighty quality measure points, sixty quality measure
15 points, forty quality measure points, and twenty quality measure
16 points, identified in the most recent available five-star quality
17 rating system technical user's guide published by the centers for
18 medicare and medicaid services.

19 (d) Facilities meeting or exceeding the highest performance
20 threshold (top level) for a quality measure receive twenty-five
21 points. Facilities meeting the second highest performance threshold
22 receive twenty points. Facilities meeting the third level of
23 performance threshold receive fifteen points. Facilities in the
24 bottom performance threshold level receive no points. Points from all
25 quality measures must then be summed into a single aggregate quality
26 score for each facility.

27 (e) Facilities receiving an aggregate quality score of eighty
28 percent of the overall available total score or higher must be placed
29 in the highest tier (tier V), facilities receiving an aggregate score
30 of between seventy and seventy-nine percent of the overall available
31 total score must be placed in the second highest tier (tier IV),
32 facilities receiving an aggregate score of between sixty and sixty-
33 nine percent of the overall available total score must be placed in
34 the third highest tier (tier III), facilities receiving an aggregate
35 score of between fifty and fifty-nine percent of the overall
36 available total score must be placed in the fourth highest tier (tier
37 II), and facilities receiving less than fifty percent of the overall
38 available total score must be placed in the lowest tier (tier I).

39 (f) The tier system must be used to determine the amount of each
40 facility's per patient day quality incentive component. The per

1 patient day quality incentive component for tier IV is seventy-five
2 percent of the per patient day quality incentive component for tier
3 V, the per patient day quality incentive component for tier III is
4 fifty percent of the per patient day quality incentive component for
5 tier V, and the per patient day quality incentive component for tier
6 II is twenty-five percent of the per patient day quality incentive
7 component for tier V. Facilities in tier I receive no quality
8 incentive component.

9 (g) Tier system payments must be set in a manner that ensures
10 that the entire biennial appropriation for the quality incentive
11 program is allocated.

12 (h) Facilities with insufficient three-quarter average centers
13 for medicare and medicaid services quality data must be assigned to
14 the tier corresponding to their five-star quality rating. Facilities
15 with a five-star quality rating must be assigned to the highest tier
16 (tier V) and facilities with a one-star quality rating must be
17 assigned to the lowest tier (tier I). The use of a facility's five-
18 star quality rating shall only occur in the case of insufficient
19 centers for medicare and medicaid services minimum data set
20 information.

21 (i) The quality incentive rates must be adjusted semiannually on
22 July 1 and January 1 of each year using, at a minimum, the most
23 recent available three-quarter average centers for medicare and
24 medicaid services quality data.

25 (j) Beginning July 1, 2017, the percentage of short-stay
26 residents who newly received an antipsychotic medication must be
27 added as a quality measure. The department must determine the quality
28 incentive thresholds for this quality measure in a manner consistent
29 with those outlined in (b) through (h) of this subsection using the
30 centers for medicare and medicaid services quality data.

31 (k) Beginning July 1, 2017, the percentage of direct care staff
32 turnover must be added as a quality measure using the centers for
33 medicare and medicaid services' payroll-based journal and nursing
34 home facility payroll data. Turnover is defined as an employee
35 departure. The department must determine the quality incentive
36 thresholds for this quality measure using data from the centers for
37 medicare and medicaid services' payroll-based journal, unless such
38 data is not available, in which case the department shall use direct
39 care staffing turnover data from the most recent medicaid cost
40 report.

1 (7) Reimbursement of the safety net assessment imposed by chapter
2 74.48 RCW and paid in relation to medicaid residents must be
3 continued.

4 (8)(a) The direct care and indirect care components must be
5 rebased in even-numbered years, beginning with rates paid on July 1,
6 2016. Rates paid on July 1, 2016, must be based on the 2014 calendar
7 year cost report. On a percentage basis, after rebasing, the
8 department must confirm that the statewide average daily rate has
9 increased at least as much as the average rate of inflation, as
10 determined by the skilled nursing facility market basket index
11 published by the centers for medicare and medicaid services, or a
12 comparable index. If after rebasing, the percentage increase to the
13 statewide average daily rate is less than the average rate of
14 inflation for the same time period, the department is authorized to
15 increase rates by the difference between the percentage increase
16 after rebasing and the average rate of inflation.

17 (b) It is the intention of the legislature that direct and
18 indirect care rates paid in fiscal year 2022 will be rebased using
19 the calendar year 2019 cost reports. For fiscal year 2021, in
20 addition to the rates generated by (a) of this subsection, an
21 additional adjustment is provided as established in this subsection
22 (8)(b). Beginning May 1, 2020, and through June 30, 2021, the
23 calendar year costs must be adjusted for inflation by a twenty-four
24 month consumer price index, based on the most recently available
25 monthly index for all urban consumers, as published by the bureau of
26 labor statistics. It is also the intent of the legislature that,
27 starting in fiscal year 2022 and ending in fiscal year 2028, a
28 facility-specific rate add-on equal to the inflation adjustment that
29 facilities received solely in fiscal year 2021, must be added to the
30 rate. For fiscal year 2024, the direct care and indirect care
31 components shall be rebased to the 2021 calendar year cost report
32 plus a 4.7 percent adjustment for inflation. For fiscal year 2025,
33 the direct and indirect care components shall be rebased to the 2022
34 calendar year cost report plus a five percent adjustment for
35 inflation.

36 (c) To determine the necessity of regular inflationary
37 adjustments to the nursing facility rates, by December 1, 2020, the
38 department shall provide the appropriate policy and fiscal committees
39 of the legislature with a report that provides a review of rates paid

1 in 2017, 2018, and 2019 in comparison to costs incurred by nursing
2 facilities.

3 (9) The direct care component provided in subsection (3) of this
4 section is subject to the reconciliation and settlement process
5 provided in RCW 74.46.022(6). Beginning July 1, 2016, pursuant to
6 rules established by the department, funds that are received through
7 the reconciliation and settlement process provided in RCW
8 74.46.022(6) must be used for technical assistance, specialized
9 training, or an increase to the quality enhancement established in
10 subsection (6) of this section. The legislature intends to review the
11 utility of maintaining the reconciliation and settlement process
12 under a price-based payment methodology, and may discontinue the
13 reconciliation and settlement process after the 2017-2019 fiscal
14 biennium.

15 (10) Compared to the rate in effect June 30, 2016, including all
16 cost components and rate add-ons, no facility may receive a rate
17 reduction of more than one percent on July 1, 2016, more than two
18 percent on July 1, 2017, or more than five percent on July 1, 2018.
19 To ensure that the appropriation for nursing homes remains cost
20 neutral, the department is authorized to cap the rate increase for
21 facilities in fiscal years 2017, 2018, and 2019.

22 (11) It is the intent of the legislature that a rate add-on be
23 applied to the weighted average nursing facility payment rate
24 referenced in the omnibus operating appropriations act in an amount
25 necessary to ensure that the weighted average nursing facility
26 payment rate for fiscal year 2026 is equal to the weighted average
27 nursing facility payment rate for fiscal year 2025.

28 (12) It is the intent of the legislature that no facility may
29 receive a rate reduction for fiscal year 2027 compared to the rate in
30 effect June 30, 2026. To ensure that the appropriation for nursing
31 homes remains cost neutral, the department is authorized to cap the
32 rate increase for facilities in fiscal year 2027. It is the intent of
33 the legislature that this policy will continue into the next fiscal
34 biennium and will end June 30, 2028.

35 **Sec. 940.** RCW 82.87.030 and 2021 c 196 s 2 are each amended to
36 read as follows:

37 (1) All taxes, interest, and penalties collected under this
38 chapter shall be distributed as follows, except as provided in
39 subsection (3) of this section during the 2025-2027 fiscal biennium:

1 (a) The first \$500,000,000 collected each fiscal year shall be
2 deposited into the education legacy trust account created in RCW
3 83.100.230; and

4 (b) Any remainder collected each fiscal year shall be deposited
5 into the common school construction (~~(account-[fund])~~) fund.

6 (2) The amounts specified under subsection (1)(a) of this section
7 shall be adjusted annually as provided under RCW 82.87.150.

8 (3) During the 2025-2027 fiscal biennium, all taxes, interest,
9 and penalties collected under this chapter shall be deposited into
10 the education legacy trust account.

11 **Sec. 941.** RCW 89.16.020 and 2012 c 187 s 9 are each amended to
12 read as follows:

13 (1) For the purpose of carrying out the provisions of this
14 chapter the state reclamation revolving account, heretofore
15 established and hereinafter called the reclamation account, shall
16 consist of all sums appropriated thereto by the legislature; all
17 gifts made to the state therefor and the proceeds of the sale
18 thereof; the proceeds of the sale or redemption of and the interest
19 earned by securities acquired with the moneys thereof; and all
20 reimbursements for moneys advanced for the payment of assessments
21 upon public lands of the state for the improvement thereof. Moneys in
22 the reclamation account may be invested by the state treasurer
23 pursuant to RCW 43.84.080.

24 (2) During the 2025-2027 fiscal biennium, the legislature may
25 direct the state treasurer to make transfers of money in the state
26 reclamation revolving account to the general fund.

27 **Sec. 942.** RCW 90.48.465 and 2022 c 227 s 1 are each amended to
28 read as follows:

29 (1) The department shall establish fees to collect expenses for
30 issuing and administering each class of permits under RCW 90.48.160,
31 90.48.162, and 90.48.260. An initial fee schedule shall be
32 established by rule and be adjusted no more often than once every two
33 years. This fee schedule shall apply to all permits, regardless of
34 date of issuance, and fees shall be assessed prospectively. All fees
35 charged shall be based on factors relating to the complexity of
36 permit issuance and compliance and may be based on pollutant loading
37 and toxicity and be designed to encourage recycling and the reduction
38 of the quantity of pollutants. Fees shall be established in amounts

1 to fully recover and not to exceed expenses incurred by the
2 department in processing permit applications and modifications,
3 monitoring and evaluating compliance with permits, conducting
4 inspections, securing laboratory analysis of samples taken during
5 inspections, reviewing plans and documents directly related to
6 operations of permittees, overseeing performance of delegated
7 pretreatment programs, and supporting the overhead expenses that are
8 directly related to these activities.

9 (2) The department shall ensure that indirect dischargers do not
10 pay twice for the administrative expense of a permit. Accordingly,
11 administrative expenses for permits issued by a municipality under
12 RCW 90.48.165 are not recoverable by the department.

13 (3) In establishing fees, the department shall consider the
14 economic impact of fees on small dischargers and the economic impact
15 of fees on public entities required to obtain permits for stormwater
16 runoff and shall provide appropriate adjustments.

17 (4) The fee for an individual permit issued for a dairy farm as
18 defined under chapter 90.64 RCW shall be fifty cents per animal unit
19 up to one thousand two hundred fourteen dollars for fiscal year 1999.
20 The fee for a general permit issued for a dairy farm as defined under
21 chapter 90.64 RCW shall be fifty cents per animal unit up to eight
22 hundred fifty dollars for fiscal year 1999. Thereafter, these fees
23 may rise in accordance with the fiscal growth factor as provided in
24 chapter 43.135 RCW.

25 (5) The fee for a general permit or an individual permit
26 developed solely as a result of the federal court of appeals decision
27 in *Headwaters, Inc. v. Talent Irrigation District*, 243 F.3rd 526 (9th
28 Cir. 2001) is limited, until June 30, 2003, to a maximum of three
29 hundred dollars. Such a permit is required only, and as long as, the
30 interpretation of this court decision is not overturned or modified
31 by future court rulings, administrative rule making, or clarification
32 of scope by the United States environmental protection agency or
33 legislative action. In such a case the department shall take
34 appropriate action to rescind or modify these permits.

35 (6) All fees collected under this section shall be deposited in
36 the water quality permit account hereby created in the state
37 treasury. Moneys in the account may be appropriated only for purposes
38 of administering permits under RCW 90.46.220, 90.48.160, 90.48.162,
39 and 90.48.260. During the 2025-2027 fiscal biennium, the legislature

1 may direct the state treasurer to make transfers of money in the
2 water quality permit account to the general fund.

3 (7) The department shall present a biennial progress report on
4 the use of moneys from the account to the legislature. The report
5 will be due December 31st of odd-numbered years. The report shall
6 consist of information on fees collected, actual expenses incurred,
7 and anticipated expenses for the current and following fiscal years.

8 NEW SECTION. Sec. 943. If any provision of this act or its
9 application to any person or circumstance is held invalid, the
10 remainder of the act or the application of the provision to other
11 persons or circumstances is not affected.

12 NEW SECTION. Sec. 944. This act is necessary for the immediate
13 preservation of the public peace, health, or safety, or support of
14 the state government and its existing public institutions, and takes
15 effect immediately.

Passed by the Senate March 12, 2026.

Passed by the House March 12, 2026.

Approved by the Governor April 1, 2026, with the exception of
certain items that were vetoed.

Filed in Office of Secretary of State April 1, 2026.

Note: Governor's explanation of partial veto is as follows:

"I am returning herewith, without my approval as to Sections 119(13),
119(14), 127(29), 130, page 71, lines 27-29, 131(3), 154(12),
201(12), 203(2)(c), 211(51), 211(74), 211(79), 220(3)(b), 222(7),
226, page 318, line 34 - page 319, line 17, 235(22), 236(5), page
370, line 14 beginning with "Within" through line 29, 302(17),
501(2)(d), 701(4), 801, page 541, lines 16-19, 802, page 549, lines
6-8, 113(19), 148(3), 225(29), and 714, Engrossed Substitute Senate
Bill No. 5998 entitled:

"AN ACT Relating to fiscal matters."

**Section 119(13), page 27, Office of the Secretary of State,
Washington State Talking Book and Braille Library**

This section directs the Office of the Secretary of State to set
aside \$4,145,000 solely for the Washington Talking Book and Braille
Library. This is more than is needed for the Washington Talking Book
and Braille Library, thereby restricting the use of over \$1 million
that could be used for other purposes, such as institutional
libraries and other library services statewide. The Secretary of
State has committed to utilizing a portion of these funds to keep the
Washington Talking Book and Braille Library operational. Therefore, I
am vetoing Section 119(13).

**Section 119(14), pages 27-28, Office of the Secretary of State,
Primetime Family Reading**

This section provides funding for instructors and additional books to support Humanities Washington's Prime Time Family Reading program, which provides reading assistance to elementary school children and their families. Educational programs like these are important, but our state's fiscal situation necessitates tough choices. For this reason, I am vetoing Section 119(14).

Section 127(29), pages 52-53, Department of Commerce, Retail Crime Prevention

This section provides funding for a contract with an organization to coordinate community efforts around preventing incidents of retail crime, including coordination between law enforcement, retail stores and therapeutic courts. While preventing incidents of retail crime is important, our state's fiscal situation necessitates tough choices. Therefore, I am vetoing Section 127(29).

Section 130, page 71, lines 27-29, Department of Commerce, Andy Hill CARE Fund Authority

This section reduces the Andy Hill Cancer Research Match Transfer Account appropriation from \$22.2 million to \$10 million. The account is projected to have approximately \$18 million in resources available to spend. To restore the appropriation to an amount sufficient to spend the available revenues in the account, I am vetoing Section 130, page 71, line 27-29.

Section 131(3), page 77, Department of Commerce, Clean Energy Permitting/Planning

This section specifies that priority shall be given to awards in jurisdictions where transmission constraints or rapid load growth threaten reliability and achievement of clean energy goals. The funding in this section has already been awarded and cannot be distributed according to these provisions. However, to the extent funding that has already been granted is returned to the Department, I direct the Department to make awards in accordance with the vetoed language. Further, the Department shall place \$490,000 in unallotted status as these funds have been appropriated to a separate division within the agency. For these reasons, I am vetoing Section 131(3).

Section 154(12), pages 129-131, Washington Technology Solutions, IT Project Oversight

This section provides additional requirements for Washington Technology Solutions to update and maintain its public IT project dashboard. While I support the effort to enhance IT project spending transparency, this new language includes a requirement that projected spending must not exceed the enacted budget amounts by fund by fiscal year. This language removes an agency's ability to adjust to schedule changes, thereby creating compliance risks, added administrative burden, and potential project delays even when total biennial funding remains sufficient. For these reasons, I am vetoing Section 154(12).

Section 201(12), page 143, Department of Social and Health Services, Reimagine Structure

This section outlines the Legislature's intent to make organizational changes in the 2027-29 biennial operating budget, as was requested by the Department of Social and Health Services and included in the governor's December 2025 operating budget proposal. This restructuring of the department consolidates DSHS-operated facilities under the Behavioral Health and Habilitation Administration and creates a distinct Home and Community Living Administration for the

home and community services to more efficiently serve clients. This section prescribes a specific budget structure for the reorganization and states that the Legislature's preferred structure must be included in the governor's 2026 budget proposal.

However, the decision-making authority for what is or is not included within a governor's budget resides with the governor. For this reason, I am vetoing Section 201(12).

Section 203(2)(c), pages 164-165, Department of Social and Health Services, Community Dental Services at Residential Habilitation Centers

This section requires the Department of Social and Health Services to develop a pilot program, in collaboration with the Health Care Authority, for individuals with developmental disabilities to access dental services at the state-run residential habilitation centers. Two of the four residential habilitation centers are expected to close once the census reaches a certain threshold, making this only a temporary solution to a long-term barrier to community services. For this reason, I am vetoing Section 203(2)(c).

However, I acknowledge that individuals with developmental disabilities experience extraordinary barriers to receiving dental services and believe that a long-term solution needs to be explored. Therefore, I am directing the Department of Social and Health Services and the Health Care Authority, in partnership with representatives from the dentistry profession, to continue to develop a plan to expand access to dental services for individuals with developmental disabilities in the community. This plan must align with the state's commitment to community-based living by exploring sustainable solutions for providers in the same communities in which these clients reside.

Section 211(51), page 209-210 & Section 226, page 318, line 34 - page 319, line 17, Health Care Authority & Department of Health, 988 Technology Platform IT Project

These sections provide funding from the Statewide 988 Behavioral Health and Suicide Prevention Line account and require WaTech oversight of the interoperable, cross-agency 988 Technology Platform IT Project. This project is now on hold, and the Legislature reduced project funding at both the Health Care Authority and Department of Health. However, the funding in fiscal year 2026 was reduced to levels insufficient to cover costs already incurred. For this reason, I am vetoing Section 211(51) and Section 226, page 318, line 34 - page 319, line 17. The Health Care Authority and Department of Health are to coordinate with WaTech and the Office of Financial Management to determine final costs and formally close out the project. All unspent funds are to remain in unallotted status.

Section 211(74), page 219, Health Care Authority, New Medicaid Quality Improvement Program

This section directs the Health Care Authority to work with managed care organizations, public hospitals, and publicly owned or operated health care entities to develop a new Medicaid Quality Improvement Program. It is unclear if that work would result in a viable proposal, and the possibility exists it may put Washington's existing program at risk. This would divert agency resources from high-priority, federally driven activities. For these reasons I am vetoing Section 211(74).

Section 211(79), pages 221-223, Health Care Authority, Electronic Health Records Reporting

This section directs the Health Care Authority to submit an unnecessarily detailed and burdensome plan for approval by the technology services board before moving forward with an electronic health records project already identified as the preferred option by the executive branch. Funding was not provided for the work associated with plan development and this analysis is not necessary for the project to move forward. For these reasons, I am vetoing Section 211(79).

Section 220(3)(b), page 288, Department of Veterans Affairs, Suicide Prevention Community-based Services Grant Program

This section states that funding is sufficient for the Washington State Department of Veterans Affairs to maintain operations for the suicide prevention community-based services grant program established in RCW 43.60A.260. The 2026 supplemental budget reduced funding for the staff that administers this program, so funding is no longer sufficient to administer the program. Staff and resources will need to be diverted from other programs to continue this program. For these reasons, I am vetoing Section 220(3)(b).

Section 222(7), page 296, Department of Health, Transitioning the Watch Me Grow Program to Electronic Newsletters

This section directs the Department of Health to end the practice of mailing physical newsletters for the Watch Me Grow program beginning fiscal year 2027. The department currently has prepaid postage and printed newsletters which were obtained prior to this decision. The resources are expected to be distributed through fiscal year 2026 and continue into the beginning of fiscal year 2027. For this reason, I am vetoing Section 222(7). However, I am directing the Department of Health to continue to transition the Watch Me Grow newsletters to a digital format to be delivered electronically once the existing resources have been distributed.

Section 235(22), page 366, Department of Children, Youth, and Families, 30-Day Program/Procedure Notification

This section directs the Department of Children, Youth, and Families' Juvenile Rehabilitation program to provide at least 30 days' notice prior to program or procedure changes if it is determined that the change is likely to have an adverse impact on a majority of the program's clients. This requirement is already established for DCYF in section 233 of the budget and including it in the JR program section is duplicative. For this reason, I am vetoing Section 235(22).

Section 236(5), page 370, line 14 beginning with "Within" through line 29, Department of Children, Youth and Families, Joint Dashboard

This proviso directs the Department of Children, Youth, and Families and the Office of Superintendent of Public Instruction to develop best practices, shared strategies, and data-sharing approaches to produce public facing dashboards, all within existing resources. The agencies cannot complete the dashboards by the June 30, 2026, deadline provided. For this reason, I am vetoing Section 236(5), page 370, line 14, beginning with "Within" through line 29. I am also directing the Department of Children, Youth and Families to work with the Office of Superintendent of Public Instruction to strengthen alignment in data collection for early learning programs and make that data available to the public.

Section 302(17), page 386, Department of Ecology, Climate Resilience Workgroup

This section reduces funding for the Department of Ecology to lead the Interagency Climate Resilience Coordinating Council and carry out Washington's climate resilience strategy under Chapter 70A.05 RCW. State law requires Ecology to convene the council, update the strategy every four years, and report biennially on the state's progress. Eliminating this capacity also puts at risk awarded funding from the U.S. Climate Alliance that is contingent on maintaining state staff capacity. For this reason, I am vetoing Section 302(17).

Section 501(2)(d), pages 428-429, Office of Superintendent of Public Instruction, Joint Dashboard

This proviso directs the Office of Superintendent of Public Instruction and the Department of Children, Youth, and Families to develop best practices, shared strategies, and data-sharing approaches to produce public facing dashboards, all within existing resources. The agencies cannot complete the dashboards by the June 30, 2026, deadline provided. For this reason, I am vetoing Section 501(2)(d). I am also encouraging the Office of Superintendent of Public Instruction to work with the Department of Children, Youth and Families to strengthen alignment in data collection for early learning programs and make that data available to the public.

Section 701(4), page 526-528, Office of Financial Management, Information Technology Investment Pool

Section 701(4) includes a new requirement that projected spending amounts within project technology budgets not exceed enacted budget amounts by fund and by fiscal year. This requirement has significant implications for IT projects funded with biennial appropriations, which traditionally allow spending flexibility across the two-year period. By limiting projected spending to amounts by fund and by fiscal year, this language removes an agency's ability to adjust to schedule changes, thereby creating compliance risks, added administrative burdens, and potential project delays even when total biennial funding remains sufficient. For these reasons, I am vetoing Section 701(4).

Section 801, page 541, lines 16-19, Office of the Treasurer, Death Investigations Account Appropriation

This section increases the appropriation for the death investigations account by \$1,424,000. There is not enough revenue in the account to support this increase in expenditure. For this reason, I am vetoing Section 801, page 541, lines 16-19.

Section 802, page 549, lines 6-8, Department of Ecology, Air Operating Permit Account

This section directs the Office of the State Treasurer to transfer funding from the Air Operating Permit Account to the General Fund—State. This transfer would be inconsistent with federal rule (40 Code of Federal Regulations Part 70) restricting the use of these funds solely for costs associated with the state's air quality program. For this reason, I am vetoing Section 802, page 549, lines 6-8.

The following sections provide funding to agencies to implement bills which did not pass the Legislature. Because the funding has lapsed, I am vetoing Section 113(19), Section 148(3), Section 225(29), and Section 714.

**Section 113(19), page 14, Administrative Office of the Courts,
Engrossed Second Substitute Senate Bill 6070, Recovery of Missing
Persons**

**Section 148(3), page 119, Public Employment Relations Commission,
Substitute Senate Bill, 5972, Correctional Officers Arbitration**

**Section 225(29), page 311, Department of Health, Engrossed Substitute
House Bill 2168, Overdose Mapping**

**Section 714, pages 537-538, Office of Financial Management, House
Bill 2675, Adult Day Service Facilities Account**

For these reasons I have vetoed Sections 119(13), 119(14), 127(29), 130, page 71, lines 27-29, 131(3), 154(12), 201(12), 203(2)(c), 211(51), 211(74), 211(79), 220(3)(b), 222(7), 226, page 318, line 34 - page 319, line 17, 235(22), 236(5), page 370, line 14 beginning with "Within" through line 29, 302(17), 501(2)(d), 701(4), 801, page 541, lines 16-19, 802, page 549, lines 6-8, 113(19), 148(3), 225(29), and 714 of Engrossed Substitute Senate Bill No. 5998.

With the exception of Sections 119(13), 119(14), 127(29), 130, page 71, lines 27-29, 131(3), 154(12), 201(12), 203(2)(c), 211(51), 211(74), 211(79), 220(3)(b), 222(7), 226, page 318, line 34 - page 319, line 17, 235(22), 236(5), page 370, line 14 beginning with "Within" through line 29, 302(17), 501(2)(d), 701(4), 801, page 541, lines 16-19, 802, page 549, lines 6-8, 113(19), 148(3), 225(29), and 714, Engrossed Substitute Senate Bill No. 5998 is approved."

(End of Bill)

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